Entrepreneurship answer key (version 1.0.1)

Private grading material. Each entry: question ID, its page in the question collection, the correct choice, why it is right, why each other choice is wrong, whether arithmetic was checked by code, and the sources for the set.

S1-M-Q1 · question page 2

ENT.START.01 · Describe a business as solving a problem for paying customers

Dana bakes bread for fun and gives it to friends. Which change would turn this into a business?

Answer: D. She starts selling loaves each week to neighbors who pay for them.

A business needs customers who pay. Selling loaves to neighbors who pay is the change that matters.

- ✗ A. She buys a bigger, more expensive oven so she can bake more loaves at once.: buying equipment alone does not create customers
- ✗ B. She posts photos of her bread online each day.: posting photos does not involve customers paying
- ✗ C. She bakes twice as many loaves to give away.: giving more away is still not selling to customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q2 · question page 3

ENT.START.01 · Describe a business as solving a problem for paying customers

Which sentence best describes what every business does?

Answer: B. It offers something that customers want and will pay for.

A business can be tiny and have no office or staff; what makes it a business is selling something people want.

- ✗ A. It always rents an office or a store building.: many businesses run from home or online

✗ C. It sells only physical items made in a factory and shipped to stores.: services, digital files and content are businesses too

✗ D. It must have employees besides the owner.: many businesses are run by one person

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q3 · question page 4

ENT.START.01 · Describe a business as solving a problem for paying customers

Marco fixes bikes. Which fact best shows his bike repair is a business rather than a hobby?

Answer: D. He charges a set price and plans to earn more than his costs.

Charging customers and aiming to earn more than it costs is what makes an activity a business.

✗ A. He enjoys fixing bikes on weekends.: enjoyment fits a hobby as well as a business

✗ B. He owns many tools and a work stand.: owning tools does not show he is selling anything

✗ C. He has fixed his own bike many times and knows every part of it well.: fixing his own bike involves no customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q4 · question page 5

ENT.START.01 · Describe a business as solving a problem for paying customers

What is an entrepreneur?

Answer: A. A person who starts and runs a business and takes on its risk.

An entrepreneur starts and runs a business and accepts the risk that it may not succeed.

✗ B. A person who has already earned a lot of money from investing it wisely.: wealth is not part of the definition

✗ C. Any person who works for a large company.: an employee of a company

is not running the business

✗ D. A person who only invents new technology.: entrepreneurs start all kinds of businesses, not only tech

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q5 · question page 6

ENT.START.01 · Describe a business as solving a problem for paying customers

Lena tutors math. Which question should she ask first to check that tutoring can be a business?

Answer: D. Are there students or parents who will pay for this help?

The first test of a business is whether customers will pay for the help it offers.

✗ A. How many hours does she enjoy tutoring?: enjoyment does not tell her whether anyone will pay

✗ B. Should she buy a new laptop and tablet for lessons before she starts?: spending before knowing there are customers adds risk

✗ C. Which color should her business cards be?: design choices matter little until customers exist

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q1 · question page 7

ENT.START.01 · A business in one sentence

A lemonade stand sells cups to walkers who pay 1 dollar. What are the walkers?

Answer: C. The customers

People who buy and pay are the customers.

✗ A. The owners: the owner runs the stand; walkers buy from it

✗ B. The employees: employees work for the business

✗ D. The suppliers: suppliers sell things TO the business

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q2 · question page 8

ENT.START.01 · A business in one sentence

Which of these is a business?

Answer: C. Walking dogs for neighbors who pay 15 dollars a walk

Paid dog walking has a service, customers and payment.

- ✗ A. Watching many online videos about how to train dogs well: no one is selling anything
- ✗ B. Walking a friend's dog as a favor: a favor with no payment is not a business
- ✗ D. Walking your own dog every morning: no customer pays for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q3 · question page 9

ENT.START.01 · A business in one sentence

Sam paints pictures only for his own walls. What is missing for this to be a business?

Answer: B. Customers who pay for the paintings

Without paying customers, painting for your own walls is a hobby.

- ✗ A. A studio in another room: a room does not add customers
- ✗ C. A larger set of paint brushes: tools do not make it a business
- ✗ D. More hours spent painting each week: more time painting still involves no sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q4 · question page 10

ENT.START.01 · A business in one sentence

What three parts does every business need?

Answer: A. Something to sell, customers, and payment

Every business comes down to an offer, customers who want it, and payment.

✗ B. A logo, a website, and a slogan: these help later but are not the core

✗ C. A patent, an outside investor, and a store building: most small businesses have none of these

✗ D. An office, a loan, and employees: many businesses have none of these

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q5 · question page 11

ENT.START.01 · A business in one sentence

Ana knits hats and sells some at a weekend market. Which part of her activity is the business part?

Answer: B. Selling hats to market shoppers who pay

The sales to paying shoppers are what make it a business.

✗ A. Wearing her own hats in winter: personal use is not a business activity

✗ C. Choosing yarn colors and patterns she likes best for hats: choosing materials is not selling

✗ D. Knitting while watching TV: knitting alone is making, not selling

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q1 · question page 12

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Priya sells handmade candles. She charges 12 dollars each, and each candle costs her 5 dollars to make. She sold 20 last month. What is the best sign she is running a business?

Answer: B. She charges customers more than the candles cost to make.

Selling above cost to paying customers shows a business aimed at earning money.

✗ A. Her friends say her candles smell wonderful.: praise is not payment

✗ C. She has made candles for many years as a relaxing evening pastime.:

experience does not show she sells for a profit

✗ D. She bought a box of candle jars in bulk.: buying supplies does not show sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q2 · question page 13

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Tomas mows his own lawn and his grandmother's lawn for free. A neighbor offers to pay him 25 dollars a week. If he says yes and finds more paying neighbors, what has changed?

Answer: D. He now has paying customers, which starts a service business.

Paying customers for a service turn a favor into a business.

✗ A. He now needs a store to run his business.: a mowing service can run without a store

✗ B. He has become an employee of the neighbor.: he is selling a service, not taking a job

✗ C. Nothing has changed, because mowing is the same work as before.: the work is the same but now customers pay for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q3 · question page 14

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Which plan sounds most like a business rather than a hobby?

Answer: A. Sell 30 phone cases a month at a price above their cost.

A plan to sell to customers above cost is a business plan.

✗ B. Design phone cases for my own phone each month.: no customers are involved

✗ C. Watch videos about phone case design.: learning is useful but sells nothing

✗ D. Collect rare and unusual phone cases from shops around the world.:

collecting is not selling

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q4 · question page 15

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Jun earns a little money from a video he posted, but he posts only when he feels like it and tracks nothing. What would most clearly make his channel a business?

Answer: C. Planning content and income sources aimed at earning more than his costs

A business is organized to earn more than it spends; planning content and income is that change.

✗ A. Asking friends to like every video: likes are not income

✗ B. Buying a more expensive camera and new lights so his videos look better: equipment does not create a plan to earn

✗ D. Posting a funny video once in a while: that is the same casual pattern

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q5 · question page 16

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Ruth sells cookies at school events. She spends 40 dollars on ingredients and takes in 35 dollars. What does this tell her about her cookie sales so far?

Answer: D. She is spending more than she takes in, so she is losing money.

35 - 40 = -5: she spent 5 dollars more than she took in.

✗ A. She cannot be a business at all, because she lost money this time.: a business can lose money; the aim is to earn over time

✗ B. She is making a good profit already.: 35 dollars in is less than 40 dollars out

✗ C. She is breaking exactly even.: she took in 5 dollars less than she spent

Arithmetic checked by code: yes. Sources: none (stable)

S1-F2-Q1 · question page 17

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Keisha sells jewelry online but earns less than she spends on supplies every month and has no plan to change prices or costs. Which statement is most accurate?

Answer: C. She is selling, but without changes it will keep losing money.

Selling makes it business activity, but it needs a plan to earn more than it spends.

- ✗ A. Losing money is fine forever, as long as people keep liking the jewelry.: a business must earn more than it spends over time
- ✗ B. She is already a profitable business.: she spends more than she earns
- ✗ D. Selling online means she must be a hobby.: selling online can be a real business

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q2 · question page 18

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Two friends sell T-shirts. Friend A sells 5 a month to strangers above cost. Friend B gives 50 away to promote a club. Which is acting more like a business?

Answer: A. Friend A, because strangers pay more than the shirts cost

Selling to paying customers above cost is business activity; giving away is promotion or a gift.

- ✗ B. Friend B, because more shirts went out: giving shirts away earns nothing
- ✗ C. Both equally, because both handle shirts: only one is selling to customers
- ✗ D. Neither of them, because T-shirts are not a real product to sell: shirts are a common product

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q3 · question page 19

ENT.START.01 · Handle the complications: hobby, business or not sure yet

A learner says, "A business must start big with an office, staff and a loan." What is the best response?

Answer: B. Many businesses start small, from home, with the owner doing the work.

Size does not define a business; selling to paying customers does.

- ✗ A. A business must avoid ever having an office.: some businesses need offices; the point is it is not required
- ✗ C. Only loans make something a business.: many businesses use savings or early sales instead
- ✗ D. That is correct, because small starts at home are not real businesses.: small starts are very common

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q4 · question page 20

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Omar is not sure whether his weekend drone photography will become a business. What should he check first?

Answer: D. Whether people will pay a price that covers his costs and time

Before treating it as a business, he needs evidence of paying demand that covers costs and time.

- ✗ A. Whether his friends and family think his photos look really nice: friendly praise is not evidence that strangers will pay
- ✗ B. Whether he can name the business today: a name matters less than paying demand
- ✗ C. Whether his drone is the newest model: equipment comes after knowing there is demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q5 · question page 21

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Carla charges 20 dollars per haircut at home. Supplies cost 4 dollars per cut, and she does 10 a month. She says she has no business costs at all. What is she forgetting?

Answer: A. The 4 dollars of supplies per cut are a business cost.

Supplies used for each haircut are a business cost: 10 x 4 = 40 dollars a month.

- ✗ B. Haircuts can never have costs.: supplies are used for each cut
- ✗ C. Costs only exist for big companies.: every business has some costs
- ✗ D. Her customers pay for her supplies directly, so they are not her costs.: the customers pay her price, and she pays for supplies

Arithmetic checked by code: yes. Sources: none (stable)

S2-M-Q1 · question page 23

ENT.START.02 · Compare a side business and a full-time business

Mia works 40 hours a week and wants to test a pet-sitting idea. Which plan has the lower personal risk?

Answer: C. Keep her job and pet-sit on weekends to test demand

Keeping her job while testing keeps her bills covered, so the personal risk is lower.

- ✗ A. Borrow money to open a large pet hotel later this month: a large loan adds risk before demand is known
- ✗ B. Sign a long lease for a pet store: a lease is a big commitment before testing
- ✗ D. Quit her job today to pet-sit full time: this removes her steady income before the idea is tested

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q2 · question page 24

ENT.START.02 · Compare a side business and a full-time business

What is the main tradeoff of a side business?

Answer: B. Lower risk to your income, but less time for the business

A side business protects income but limits time.

- ✗ A. No customers and no costs: side businesses have both
- ✗ C. More time for the business and no risk at all to income: a side business has less time, and some risk remains
- ✗ D. Higher risk and more time: that describes a full-time business

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q3 · question page 25

ENT.START.02 · Compare a side business and a full-time business

Which situation best fits a full-time business?

Answer: D. The business is the owner's main work and main source of income.

A full-time business is the owner's main work and income.

- ✗ A. The owner tries it during a school break.: a short trial is usually a side project
- ✗ B. The owner works on it two evenings a week.: that is a side business
- ✗ C. The owner has another full-time job that pays all of the bills.: that makes this a side business

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q4 · question page 26

ENT.START.02 · Compare a side business and a full-time business

Leo's side business earns 300 dollars a month. His personal bills are 2,000 dollars a month. What does this tell him about quitting his job now?

Answer: A. The business does not yet earn enough to cover his bills.

The business earns 1,700 dollars less than his monthly bills, so it cannot replace his job yet.

✗ B. He can quit, because 300 dollars is steady income.: 300 dollars is far below 2,000 dollars

✗ C. He should close the business now, because 300 dollars is too small.: a small start is normal; it just is not enough yet

✗ D. He can quit, because bills do not matter at first.: personal bills must still be paid

Arithmetic checked by code: yes. Sources: none (stable)

S2-M-Q5 · question page 27

ENT.START.02 · Compare a side business and a full-time business

Which evidence would best support moving a side business to full time?

Answer: B. Several months of steady sales plus savings to cover slow months

A steady track record and a savings cushion reduce the risk of going full time.

✗ A. A new logo and website: branding does not show customers will keep paying

✗ C. One very good week of sales: one week is not a pattern

✗ D. Many friends and relatives saying the idea is great and will grow: praise is not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q1 · question page 28

ENT.START.02 · Side or full-time: time and risk

Ana cleans homes on Saturdays and keeps her job. What kind of business is this?

Answer: A. A side business

It runs alongside her job, so it is a side business.

✗ B. A corporation: that is a legal form, not about time

✗ C. A hobby only: she is paid by customers

✗ D. A full-time business: her main work is still her job

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q2 · question page 29

ENT.START.02 · Side or full-time: time and risk

Ben quit his job to clean homes every day. What is his main extra risk compared with Ana?

Answer: C. A slow week can leave him short for personal bills.

Without a paycheck, slow sales hit his personal bills directly.

✗ A. He has fewer hours than Ana to look for customers.: he has more hours, not fewer

✗ B. He cannot have customers.: he can have many customers

✗ D. He must pay for a store.: a cleaning service does not need a store

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q3 · question page 30

ENT.START.02 · Side or full-time: time and risk

What does a side business usually have less of?

Answer: B. Time to work on the business

A side business shares the owner's time with a job or school.

✗ A. Customers who pay for the work: it can have paying customers

✗ C. Risk to income: a side business has LESS risk to income, so this is not what it lacks

✗ D. Legal rights: its rights are the same

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q4 · question page 31

ENT.START.02 · Side or full-time: time and risk

Which word best describes what a job adds to a side business plan?

Answer: C. Safety

A job's paycheck keeps bills paid while the business is tested.

- ✗ A. Speed: a job takes time away, so it usually slows the business
- ✗ B. Ownership: the job does not give ownership of the business
- ✗ D. Customers: the employer is not the business's customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q5 · question page 32

ENT.START.02 · Side or full-time: time and risk

A student runs a small design business after school. Which describes it?

Answer: D. A side business with limited hours

After-school work is a side business.

- ✗ A. Not a business, because students cannot sell: students can sell services
- ✗ B. A partnership with the school: the school is not an owner
- ✗ C. A full-time business with unlimited hours: school takes most of the day

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q1 · question page 33

ENT.START.02 · Apply it: choose a sensible starting setup

Rosa has 3 months of savings, a job she likes, and an untested idea for a meal-prep service. Her goal is to test demand without risking her rent. What is the best start?

Answer: A. Offer meal prep on weekends while keeping her job

A side test keeps her income while she learns whether people will pay.

- ✗ B. Take a large loan to open a restaurant: a big loan adds risk before demand is known
- ✗ C. Wait until the idea is perfect before telling anyone: waiting gives no

evidence

✗ D. Quit her job and spend her savings on a kitchen: this risks her rent before any test

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q2 · question page 34

ENT.START.02 · Apply it: choose a sensible starting setup

Ivan's side business has earned 2,500 dollars a month for 8 months. His bills are 2,200 dollars a month and he has 6 months of savings. He wants to go full time. Which fact most supports his plan?

Answer: C. Steady earnings above his bills, plus savings for slow months

Eight months above his bills plus savings is real evidence that full time is affordable.

✗ A. He enjoys the business more than his current job, so he will work hard: enjoyment does not pay bills

✗ B. His logo won a design contest: a logo does not show steady demand

✗ D. A friend says it will definitely grow: a promise is not evidence

Arithmetic checked by code: yes. Sources: none (stable)

S2-F1-Q3 · question page 35

ENT.START.02 · Apply it: choose a sensible starting setup

A parent can work only 10 hours a week. Which business setup fits best?

Answer: C. A side business with a small number of clients

A small side business matches the hours available.

✗ A. Hiring five staff before having customers: that adds cost and risk first

✗ B. A business that requires being on call all day: that does not fit 10 hours

✗ D. A full-time store open 60 hours a week: that needs far more hours

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q4 · question page 36

ENT.START.02 · Apply it: choose a sensible starting setup

Which is a good reason to keep a business on the side for now?

Answer: A. Sales are growing but still below personal living costs.

When sales do not yet cover living costs, the job still provides needed income.

- ✗ B. The business is fully booked every day.: that suggests it may need full-time attention
- ✗ C. The owner has no other source of income.: then it is not on the side
- ✗ D. Sales already cover all costs with plenty of savings to spare.: that supports going full time

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q5 · question page 37

ENT.START.02 · Apply it: choose a sensible starting setup

Grace runs a side bakery that makes 600 dollars a month. Going full time might triple sales to 1,800 dollars. Her bills are 2,400 dollars a month. What should she conclude?

Answer: D. Even tripled sales would not cover her bills yet.

600 x 3 = 1,800, which is 600 dollars short of 2,400.

- ✗ A. Tripled sales would leave money to spare.: 1,800 is less than 2,400
- ✗ B. The numbers do not really matter for this kind of decision.: bills must be covered
- ✗ C. She should quit because sales would grow.: growth would still fall short of her bills

Arithmetic checked by code: yes. Sources: none (stable)

S2-F2-Q1 · question page 38

ENT.START.02 · Handle the complications: what to check before switching

Owen's employment agreement may limit outside work in the same field. He wants to start a side

business doing similar work. What should he check first?

Answer: B. What his employment agreement says about outside work

Some job agreements limit side work; he needs to read his before starting.

- ✗ A. How many followers a competitor in the same field has online: that does not answer the agreement question
- ✗ C. Whether his friends like the idea: friends cannot tell him what his agreement allows
- ✗ D. Which logo font to use: branding can wait

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q2 · question page 39

ENT.START.02 · Handle the complications: what to check before switching

Nadia plans to quit her job for her business. She has counted business costs but not health insurance, which her job provided. What is the main gap?

Answer: D. She has left out personal costs her job used to cover.

Leaving a job can mean paying for things the job provided, such as insurance.

- ✗ A. Health insurance is only a business cost, not a personal one.: here it is a personal cost the job covered
- ✗ B. There is no gap if sales are high.: she still has not counted the cost
- ✗ C. She has counted too many business costs.: the gap is a missing cost, not an extra one

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q3 · question page 40

ENT.START.02 · Handle the complications: what to check before switching

A side business took 25 hours last week on top of a 40-hour job, and the owner is exhausted. Which choice best protects the business and the owner?

Answer: C. Set a weekly hour limit and take only the work that fits

Matching the workload to available hours protects health and quality.

✗ A. Stop sleeping enough to fit everything in: this harms health and work quality

✗ B. Keep adding customers until it gets easier: more customers means more hours

✗ D. Quit the job now without first checking the personal finances: that may create money problems

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q4 · question page 41

ENT.START.02 · Handle the complications: what to check before switching

Sales were strong for one month because of a holiday. The owner wants to go full time now. What is the main problem with this evidence?

Answer: A. One holiday month may not show normal, steady demand.

A seasonal spike is not the same as steady monthly demand.

✗ B. The owner should ignore all sales numbers.: sales numbers are useful over time

✗ C. Strong sales in one month prove the business will always keep growing.: one month proves little about the future

✗ D. Holiday sales are not real money.: they are real, but may not repeat

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q5 · question page 42

ENT.START.02 · Handle the complications: what to check before switching

Two plans: Plan A keeps a job and grows slowly. Plan B goes full time with 2 months of savings and no steady sales yet. The owner's stated priority is never missing rent. Which plan fits that priority?

Answer: B. Plan A, because the job keeps rent covered while the business grows

With "never miss rent" as the priority, keeping steady income is the better fit.

✗ A. Neither plan, because small businesses never earn enough to cover rent: many do over time

✗ C. Plan B, because full time grows faster: faster growth is not the stated priority

✗ D. Plan B, because savings always last: two months may run out without steady sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q1 · question page 44

ENT.START.03 · Classify a business idea by how it sells

Jada offers house cleaning for 30 dollars an hour. What kind of business is this?

Answer: C. A service

House cleaning sells time and skill, so it is a service.

✗ A. A digital product: nothing is delivered as a file or app

✗ B. A content business: she is not earning from an audience

✗ D. A physical product: she sells her time and work, not an item

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q2 · question page 45

ENT.START.03 · Classify a business idea by how it sells

Ken sells a printable budget planner that buyers download. What kind of business is this?

Answer: B. A digital product

A downloadable file is a digital product.

✗ A. A content business: buyers pay for the file itself, not an audience earning sponsors

✗ C. A service: he is not selling his time to each buyer

✗ D. A physical product: nothing is shipped

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q3 · question page 46

ENT.START.03 · Classify a business idea by how it sells

Which business must plan for stock, packaging and shipping?

Answer: D. Selling handmade soap online

Soap is a physical product, so it needs stock, packaging and shipping.

- ✗ A. Running a cooking video channel: videos are content, not shipped items
- ✗ B. Tutoring students over video calls: tutoring is a service with nothing to ship
- ✗ C. Selling an online course: a course is digital

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q4 · question page 47

ENT.START.03 · Classify a business idea by how it sells

Ola posts free gardening videos and earns money when brands sponsor them. What kind of business is this?

Answer: A. A content business

An audience attracted by content, paid for by sponsors, is a content business.

- ✗ B. A digital product: viewers do not buy a file from her
- ✗ C. A service: she is not paid for hours of work for one client
- ✗ D. A physical product: she does not sell items

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q5 · question page 48

ENT.START.03 · Classify a business idea by how it sells

What usually limits how much a one-person SERVICE business can earn?

Answer: C. The owner's available hours

A solo service sells time, so the owner's hours set a ceiling.

- ✗ A. Platform sponsorship rules: that applies to content businesses
- ✗ B. Shipping costs for each item: services usually ship nothing
- ✗ D. The number of downloads allowed: that applies to digital products

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q1 · question page 49

ENT.START.03 · Four ways to sell, made simple

A customer receives a haircut. What do they get?

Answer: A. Someone's time and skill

A haircut is a service.

- ✗ B. An item to hold: a haircut is not an item
- ✗ C. A file to download: nothing is downloaded
- ✗ D. Free videos paid for by sponsors: the customer pays the stylist directly

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q2 · question page 50

ENT.START.03 · Four ways to sell, made simple

A customer receives a mug in the mail. What kind of sale is this?

Answer: D. A physical product

A mug you can hold is a physical product.

- ✗ A. Content: a mug is not something watched or read
- ✗ B. A service: the customer got an item, not someone's time
- ✗ C. A digital product sent as a file: a mug is not a file

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q3 · question page 51

ENT.START.03 · Four ways to sell, made simple

A customer pays for access to an online course. What kind of sale is this?

Answer: B. A digital product

Online access is digital.

- ✗ A. Content paid for by sponsors: the customer pays for access directly
- ✗ C. A service: the course is prepared once and sold many times
- ✗ D. A physical product: nothing is shipped

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q4 · question page 52

ENT.START.03 · Four ways to sell, made simple

A podcast is free to listen to and earns from ads. What kind of business is it?

Answer: D. Content

Free media paid for by ads is content.

- ✗ A. A service: listeners do not hire the host
- ✗ B. A physical product: nothing is shipped
- ✗ C. A digital product sold to listeners: listeners do not pay for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q5 · question page 53

ENT.START.03 · Four ways to sell, made simple

A tutor also sells a printed workbook. Which two kinds of selling is the tutor doing?

Answer: A. A service and a physical product

Tutoring is a service; a printed workbook is a physical product.

- ✗ B. Two services: a printed workbook is an item
- ✗ C. Two digital products: neither is a file in this case

✗ D. A digital product and a content business: tutoring is a service and the workbook is printed

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q1 · question page 54

ENT.START.03 · Apply it: what each kind of business needs

Ben wants to sell custom T-shirts and ship them across the country. Which need should he plan for first?

Answer: C. Stock or printing, packaging and shipping costs

Shipped T-shirts are physical products, so production and shipping matter first.

✗ A. Sponsorship rules for videos: that applies to content

✗ B. Travel time between appointments at customers' homes: that applies to many services

✗ D. Software updates for users: that applies to digital products

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q2 · question page 55

ENT.START.03 · Apply it: what each kind of business needs

Fatima sells an online quiz app. Which ongoing need fits her business best?

Answer: A. Customer support and app updates

Digital products need support and updates over time.

✗ B. Travel between client homes: she does not visit clients

✗ C. Packaging materials: nothing is packaged

✗ D. Restocking boxes of inventory in a storage room: an app has no boxes

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q3 · question page 56

ENT.START.03 · Apply it: what each kind of business needs

Raj runs a lawn-care service alone. He is fully booked. What is the main way to earn more without adding hours?

Answer: C. Raise prices or offer higher-value services

When hours are full, earning more per hour is the main lever for a solo service.

- ✗ A. Buy more inventory: a service has no inventory to sell
- ✗ B. Post more free videos about lawn care online: that does not raise lawn-care income directly
- ✗ D. Sell more downloads: he is not selling downloads

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q4 · question page 57

ENT.START.03 · Apply it: what each kind of business needs

Lucy makes cooking videos and wants income that does not depend only on sponsors. Which option fits a content business best?

Answer: D. Sell her own recipe e-book to her audience

Selling her own product to her audience adds income beyond sponsors.

- ✗ A. Remove all links and product mentions from her videos: that blocks ways to earn
- ✗ B. Only accept more sponsors: that keeps her dependent on sponsors
- ✗ C. Stop posting videos: that removes the audience she earns from

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q5 · question page 58

ENT.START.03 · Apply it: what each kind of business needs

Which business can sell the same item many times without making a new copy each time?

Answer: B. An e-book sold as a download

A digital file can be delivered again and again.

✗ A. A dog-walking service: each walk takes new time

✗ C. A cake bakery: each cake must be baked

✗ D. A hand-painted portrait of a customer's pet: each portrait must be made separately

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q1 · question page 59

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A yoga teacher runs classes, sells mats, and posts free videos with sponsors. Which statement is most accurate?

Answer: A. She mixes a service, a physical product and content.

Many businesses combine several ways of selling; each part has its own needs.

✗ B. Mixing several kinds of selling is not allowed for one owner.: many businesses mix them

✗ C. She runs only a content business.: classes and mats are also sold

✗ D. She runs only a service business.: mats and sponsored videos are other kinds

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q2 · question page 60

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

Tom thinks his digital course has no costs because "files are free to copy." Which cost is he most likely forgetting?

Answer: C. Course platform fees and time to answer student questions

Digital products still have platform fees and support time.

✗ A. Restocking printed copies: it is a digital course

✗ B. Shipping printed boxes and workbooks to each new student: nothing is shipped

✗ D. Gas for driving to students: students learn online

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q3 · question page 61

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A creator has many viewers but no income. Which missing piece is most likely the problem?

Answer: D. No way to earn yet, such as sponsors, affiliates, ads or products

An audience does not earn by itself; content needs an income source.

✗ A. Too many viewers: viewers are an asset, not the problem

✗ B. Too few service appointments booked with viewers each week: a content business is not appointment-based

✗ C. Not enough shipping options: content does not ship

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q4 · question page 62

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A baker wants to also sell a digital recipe book. Her stated goal is extra income without more baking hours. Which addition fits that goal?

Answer: B. The digital recipe book, sold as a download

A digital product can earn without new baking hours each sale.

✗ A. A weekend market stall: that adds selling hours

✗ C. A second oven so she can bake cakes much faster: that still uses her baking time

✗ D. More custom cakes: that adds baking hours

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q5 · question page 63

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

Which question best decides whether an idea is a service or a product?

Answer: C. Does the customer receive time and skill, or an item or file?

What the customer receives decides the kind of business.

- ✗ A. Is the price above 50 dollars?: price does not decide the kind
- ✗ B. Is the idea popular with people on social media right now?: popularity does not change what is sold
- ✗ D. Does the owner work from home?: both kinds can run from home

Arithmetic checked by code: not applicable. Sources: none (stable)

S4-M-Q1 · question page 65

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

According to the passage, how did the founders learn ice cream making?

Answer: D. A low-cost correspondence course from Penn State

The documented history says they took a $5 correspondence course.

- ✗ A. Buying an existing ice cream company: they opened their own shop
- ✗ B. Working several years in a big ice cream factory first: the passage does not say this
- ✗ C. A degree in food science: the passage names a $5 course

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q2 · question page 66

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Why does the passage say they did not start with bagels?

Answer: B. The bagel equipment cost too much.

The passage says the bagel equipment was too expensive.

- ✗ A. They could not find a building.: they found a gas station for the ice cream shop

✗ C. Nobody in town liked bagels.: the passage does not say this

✗ D. Bagels were not allowed in Vermont.: nothing like this is stated

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q3 · question page 67

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Which lesson does this course draw from the case?

Answer: A. Pick a start you can afford and begin small.

Starting with an affordable idea and one location is the lesson drawn.

✗ B. Never take a course before starting.: they did take a course

✗ C. Buying the most expensive equipment guarantees success.: they avoided the expensive option

✗ D. Always open many locations at once.: they began with one shop

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q4 · question page 68

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Mo wants to sell smoothies. Applying the lesson, which first step fits best?

Answer: B. Take an affordable course and test sales at one small stand

Learning cheaply and testing at one location applies the documented approach.

✗ A. Skip learning and hope customers come: the lesson includes learning the skill

✗ C. Open three cafés in one month: that is a big start

✗ D. Buy the most expensive commercial blender line before testing: that ignores affordable start-up costs

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q5 · question page 69

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Which statement about the Ben & Jerry's case is accurate?

Answer: C. It shows one start, not a guaranteed result for other shops.

A single story can teach a decision, not promise an outcome.

- ✗ A. It shows founders must start in old gas stations to succeed.: the location is a detail, not the lesson
- ✗ B. It shows courses are never useful.: the course was part of their start
- ✗ D. It proves any ice cream shop will succeed.: one case proves nothing about every shop

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q1 · question page 70

ENT.CASE.01 · Evidence versus enthusiasm

Which is documented in the passage about Ben & Jerry's?

Answer: A. They opened their first shop in a renovated gas station.

The first location is a recorded fact.

- ✗ B. They knew from the first day that they would be very famous.: the passage says nothing about this
- ✗ C. Every customer loved the first flavor.: this is not documented
- ✗ D. They never had any doubts.: this is not documented

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q2 · question page 71

ENT.CASE.01 · Evidence versus enthusiasm

A friend says, "Your ice cream idea will definitely work." What is this?

Answer: B. Enthusiasm, not evidence

An opinion is encouragement, not evidence.

✗ A. A signed customer contract: nothing was signed

✗ C. Proof of demand: no one has paid

✗ D. A documented sale: nothing was sold

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q3 · question page 72

ENT.CASE.01 · Evidence versus enthusiasm

Which is the best evidence that people will buy your ice cream?

Answer: D. Customers paying for scoops at a test stand

Real purchases are the strongest evidence.

✗ A. Many likes on a photo of a cone: likes are not purchases

✗ B. Your family saying it tastes good: family praise is not payment

✗ C. A famous national company also sells ice cream: their success says little about yours

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q4 · question page 73

ENT.CASE.01 · Evidence versus enthusiasm

Later fame of a company shows what?

Answer: C. That the company became successful, not that each early step caused it

Success after the fact does not prove cause.

✗ A. That their first shop was the best possible location in the whole state: not shown

✗ B. That every early choice was correct: success does not prove each step caused it

✗ D. That copying them guarantees success: conditions differ

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-B1-Q5 · question page 74

ENT.CASE.01 · Evidence versus enthusiasm

When studying a founder story, what should you separate?

Answer: A. Recorded facts from hopes and opinions

Separating documented facts from enthusiasm keeps lessons honest.

- ✗ B. Dates from names only: trivia is not the point
- ✗ C. Good ice cream flavors from bad ice cream flavors: not the main skill
- ✗ D. Ice cream from bagels: that is a detail of this one case

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-F1-Q1 · question page 75

ENT.CASE.01 · Apply it: an affordable small start for a new business

Ivy wants to open a bike-repair business. Bike-shop rent is high in her town. Applying the lesson, what is the best start?

Answer: B. Learn repairs through an affordable class and start with mobile repairs

Cheap learning plus a low-cost first version applies the documented approach.

- ✗ A. Sign a five-year lease on a large shop on the main street now: a large lease is a big early cost
- ✗ C. Open in three neighborhoods at once: that is not a small start
- ✗ D. Buy every tool before her first customer: that spends heavily before demand is shown

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-F1-Q2 · question page 76

ENT.CASE.01 · Apply it: an affordable small start for a new business

Two ideas: Idea A needs 20,000 dollars of equipment. Idea B needs 1,500 dollars. Owner savings are 3,000 dollars and her goal is to avoid debt. Which idea fits the lesson and her goal?

Answer: D. Idea B, because its start-up cost fits her savings

1,500 dollars fits within 3,000 dollars of savings; 20,000 would need debt.

- ✗ A. Neither, because all equipment is risky: Idea B fits her budget
- ✗ B. Idea A, because bigger ideas earn more: it needs debt
- ✗ C. Idea A, because expensive equipment always pays for itself: that is not guaranteed

Arithmetic checked by code: yes. Sources: case_benjerry

S4-F1-Q3 · question page 77

ENT.CASE.01 · Apply it: an affordable small start for a new business

Sam wants to make candles. Which first step best matches "learn the skill cheaply"?

Answer: C. Follow a low-cost class and practice small batches

A low-cost class and small batches build skill without a big cost.

- ✗ A. Buy a factory candle machine: that is a large cost
- ✗ B. Hire a candle expert full time: that is costly
- ✗ D. Skip practice and start selling candles to stores at once: it skips learning

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F1-Q4 · question page 78

ENT.CASE.01 · Apply it: an affordable small start for a new business

A food-truck owner wants to "start small." Which plan fits best?

Answer: A. Run the truck at one weekly market before adding more locations

One regular location lets the owner learn before expanding.

- ✗ B. Advertise in every city in the state: too broad for a first test
- ✗ C. Buy three trucks before the first sale: that is a large start
- ✗ D. Open a full restaurant and a food truck together in the first month: two big commitments at once

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F1-Q5 · question page 79

ENT.CASE.01 · Apply it: an affordable small start for a new business

Which statement best applies the case to a new business without overclaiming?

Answer: B. Starting small and affordable lowers risk while you learn.

The transferable lesson is lower risk while learning, not a guaranteed outcome.

- ✗ A. Only ice cream businesses can start small.: any kind can
- ✗ C. Taking a $5 course guarantees profit.: no single step guarantees profit
- ✗ D. Starting a business in an old gas station guarantees success.: a location detail guarantees nothing

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q1 · question page 80

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Lana copies the "start in an old gas station" idea for her bakery, but local zoning may not allow food businesses there. What should she check before signing?

Answer: D. Local zoning and health permit rules for that building

A location that worked elsewhere may not be permitted where she is; she must check local rules.

- ✗ A. Whether the old gas station building looks charming to visitors: appearance does not answer the rules question
- ✗ B. Whether friends like the location: opinions do not answer legal rules
- ✗ C. What year Ben & Jerry's opened: trivia does not help her decision

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q2 · question page 81

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Why might "start with one small shop" fail for an online-only business?

Answer: A. An online business may not need a physical shop at all.

The tactic (a shop) may not fit; the principle (a small affordable start) still can.

- ✗ B. Online businesses must start big.: not true
- ✗ C. Online businesses cannot start small, so the lesson never applies.: they often start very small
- ✗ D. Small shops are illegal online.: that makes no sense

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q3 · question page 82

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Raul says, "They took a $5 course, so I need no other training." What is the main problem?

Answer: B. His business may need more training, licenses or experience.

Different businesses have different requirements; the case does not set his.

- ✗ A. Training is never needed.: many fields need training or licenses
- ✗ C. The $5 course was what caused all of their later success.: one step did not cause the outcome
- ✗ D. Courses always cost 5 dollars.: prices vary

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q4 · question page 83

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

A town already has five ice cream shops. A new owner wants to copy the case exactly. What should be checked first?

Answer: C. Whether there is enough demand for another shop and how it would differ

Market conditions differ; demand and differences must be checked.

✗ A. Which year the founders met: trivia

✗ B. How big the founders' very first sign over the shop door was at the opening: not relevant

✗ D. Whether the founders liked vanilla: not relevant

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q5 · question page 84

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Which statement correctly separates history from the course's interpretation?

Answer: C. The shop location is documented; "start small" is a lesson drawn from it.

Facts are recorded; lessons are interpretations.

✗ A. Both the location and the lesson are direct quotes from the two founders.: the lesson is this course's interpretation

✗ B. The lesson is a law that all founders follow.: it is a teaching interpretation

✗ D. Neither is documented.: the location is documented

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S5-M-Q1 · question page 86

ENT.CUST.01 · Identify a real, frequent customer problem

Which statement describes the strongest customer problem?

Answer: B. Restaurant owners spend hours each week fixing their online menus.

Hours spent every week on a task is a frequent, costly problem people already deal with.

✗ A. Some people might enjoy a new kind of phone case someday.: it is a guess with no sign of a costly habit

✗ C. My friends said a glow-in-the-dark mug sounds kind of fun.: a fun idea is not a problem people pay to fix

✗ D. Everyone would probably like more free time in their lives, so it is a problem.: it is vague and names no specific habit

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q2 · question page 87

ENT.CUST.01 · Identify a real, frequent customer problem

What is a "workaround"?

Answer: D. A homemade fix people use because no good solution exists yet

Workarounds, like spreadsheets taped together, are clues that a real problem exists.

✗ A. A product that has already solved the problem fully for everyone: then no workaround would be needed

✗ B. A complaint posted online about a company's prices: a complaint is different from a fix

✗ C. A business rule that customers must follow before buying: that is not what the word means

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q3 · question page 88

ENT.CUST.01 · Identify a real, frequent customer problem

Nina notices dog owners in her building tie their dogs outside the grocery store for 20 minutes. What does this suggest?

Answer: C. A real, repeated problem that a service might solve

A repeated, inconvenient habit is a clue to a real problem worth testing.

✗ A. Nothing useful, because the owners have not complained yet: a costly habit is useful even without complaints

✗ B. Proof that a dog-sitting business will certainly succeed: a clue is not proof of success

✗ D. A sign that dog owners do not care about their pets at all: it shows a

need, not a lack of care

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q4 · question page 89

ENT.CUST.01 · Identify a real, frequent customer problem

Which clue best shows people already spend money on a problem?

Answer: B. Local parents pay 40 dollars an hour for help with math homework.

Money already being spent is strong evidence a problem matters.

✗ A. A news story says homework levels have changed over time.: it says nothing about spending

✗ C. Students post jokes online about long homework assignments.: jokes show no spending

✗ D. Parents say math homework is "annoying" whenever they are asked about it.: a complaint shows no spending

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q5 · question page 90

ENT.CUST.01 · Identify a real, frequent customer problem

Which is the best first question for finding a real problem?

Answer: C. What tasks take up your time each week that you dislike?

Asking about real tasks and frustrations uncovers problems without pushing an idea.

✗ A. Would you buy my new homework app if I built it for you someday?: it pushes a solution before finding a problem

✗ B. How much would you pay for anything I decide to sell?: it is too vague to reveal a problem

✗ D. Do you agree my idea is clever and worth trying out?: it asks for praise, not problems

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q1 · question page 91

ENT.CUST.01 · Problem, not product

People wait 15 minutes in line for coffee each morning. Which part is the problem?

Answer: B. The 15-minute wait

The wasted time is the problem.

- ✗ A. The coffee shop's menu: the menu is not what bothers them
- ✗ C. The price of coffee: the story is about waiting, not price
- ✗ D. An order-ahead app: that is one possible answer, not the problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q2 · question page 92

ENT.CUST.01 · Problem, not product

Which statement starts with a problem?

Answer: B. Many renters struggle to find quiet study spaces nearby.

It names a struggle people have.

- ✗ A. I will sell bright blue backpacks to everyone.: it starts with a product
- ✗ C. My brand will have a lightning bolt logo.: it starts with branding
- ✗ D. I want to build an app with many cool features for people.: it starts with a product

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q3 · question page 93

ENT.CUST.01 · Problem, not product

Why start with the problem?

Answer: C. So you do not build something nobody needs

Understanding the problem first keeps you from building the wrong thing.

✗ A. So the product is as expensive as possible: price is unrelated

✗ B. So you can skip talking to customers completely: problems are found by talking to customers

✗ D. So you can choose a business name sooner: naming is not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q4 · question page 94

ENT.CUST.01 · Problem, not product

An order-ahead app is one answer to long lines. Which is another possible answer?

Answer: B. Adding a second cashier during rush hour

A second cashier also addresses the wait; problems can have several answers.

✗ A. Making the coffee cups larger than before: it does not reduce waiting

✗ C. Raising the price of a large coffee: it does not reduce waiting

✗ D. Changing the color of the store sign: it does not reduce waiting

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q5 · question page 95

ENT.CUST.01 · Problem, not product

Which is a product, not a problem?

Answer: C. A meal-planning app

An app is a possible answer, so it is a product.

✗ A. Workers with no time to cook dinner: that is a problem

✗ B. Families wasting food every week: that is a problem

✗ D. Shoppers forgetting items at the store: that is a problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q1 · question page 96

ENT.CUST.01 · Apply it: choose the problem worth testing

Three problems a student heard about. Which is best to test first? (1) Neighbors pay a teen 20 dollars to carry groceries upstairs weekly. (2) A cousin wishes shoes came in more colors. (3) A friend says parking is annoying sometimes.

Answer: B. Problem 1, because people already pay to solve it every week

Weekly paid help is frequent and already costs money, so it is the strongest to test.

- ✗ A. Problem 3, because parking is a common topic that comes up in towns: it is vague and occasional
- ✗ C. None, because none of these is a real problem at all: problem 1 shows paid, repeated demand
- ✗ D. Problem 2, because more colors would be fun to design: a wish shows no spending or frequency

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q2 · question page 97

ENT.CUST.01 · Apply it: choose the problem worth testing

A small bakery owner spends 5 hours a week answering the same questions about allergies by phone. Which business idea targets this problem most directly?

Answer: C. A clear allergy guide and order form for bakeries

A clear guide answers the repeated questions that cost the owner time.

- ✗ A. A new line of colorful bakery boxes for cakes: boxes do not reduce phone questions
- ✗ B. A social media page with funny bakery jokes and memes for customers: jokes do not answer allergy questions
- ✗ D. A discount coupon book for bakery customers: coupons do not reduce the questions

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q3 · question page 98

ENT.CUST.01 · Apply it: choose the problem worth testing

Which observation most clearly shows a workaround?

Answer: B. Office workers share one spreadsheet to track lunch orders.

A shared spreadsheet is a homemade fix for an unsolved coordination problem.

- ✗ A. Office workers buy lunch from three different nearby restaurants.: buying is not a workaround
- ✗ C. Office workers prefer lunch at noon most days.: a preference is not a fix
- ✗ D. Office workers enjoy eating lunch together on Fridays.: enjoyment is not a homemade fix

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q4 · question page 99

ENT.CUST.01 · Apply it: choose the problem worth testing

A landscaper hears one client say, once, that leaf blowers are loud. What is the best next step?

Answer: D. Ask more clients whether noise is a repeated problem for them

One comment is a clue; asking more people checks whether it is a real, shared problem.

- ✗ A. Ignore it, since only complaints written down in emails count: spoken comments can be useful clues
- ✗ B. Launch a "quiet landscaping" brand next week: too early to build on one remark
- ✗ C. Buy quiet equipment for the whole crew today: one comment is not enough evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q5 · question page 100

ENT.CUST.01 · Apply it: choose the problem worth testing

Two problems: A happens once a year and costs 10 dollars. B happens weekly and costs 30 dollars each time. Over a year (52 weeks), how much does B cost a person?

Answer: D. 1,560 dollars

30 x 52 = 1,560 dollars, far more than problem A's 10 dollars.

- ✗ A. 30 dollars: that is just one week
- ✗ B. 520 dollars: that uses 10 dollars instead of 30
- ✗ C. 1,300 dollars: that uses 25 dollars instead of 30

Arithmetic checked by code: yes. Sources: none (stable)

S5-F2-Q1 · question page 101

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Many people say traffic is terrible, but none would pay for a service to avoid it. What does this show?

Answer: B. A common complaint is not always a problem people will pay to solve.

Complaints show a problem exists; willingness to pay must still be checked.

- ✗ A. Every complaint can become a profitable business quickly.: not every complaint leads to paying customers
- ✗ C. People will always pay as soon as any service exists, without exception.: there is no evidence of that
- ✗ D. Traffic is not a real problem for anyone who drives to work.: it is real; the issue is paying

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q2 · question page 102

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Leah's idea solves a problem only she has. Before building it, what should she check?

Answer: C. Whether other people have the same problem and spend on it

Her own problem is a start, but a business needs others with the same problem.

- ✗ A. Whether she can design a logo for it this week: a logo does not show

others share the problem

✗ B. Whether a big company already has a famous product like it: that does not answer her question directly

✗ D. Whether her own problem bothers her a lot: she already knows it bothers her

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q3 · question page 103

ENT.CUST.01 · Handle the complications: real problem or just interesting?

A problem is frequent and annoying, but free tools already solve it well. What is the main thing to learn next?

Answer: B. Why someone would choose a paid option over the free ones

With free alternatives, a paid offer needs a clear reason people would switch.

✗ A. How to make the free tools stop working well for people: that is not a fair or useful plan

✗ C. Whether the problem is frequent: already known

✗ D. Whether the problem exists at all in this market: already known

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q4 · question page 104

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Which piece of information is MISSING before deciding a problem is worth solving? The problem is frequent and people complain about it.

Answer: A. Whether people already spend time or money to fix it

Spending time or money shows the problem matters enough to pay for a fix.

✗ B. Whether the founder enjoys thinking about it every day: enjoyment does not show demand

✗ C. Whether the problem was in the news this year: news coverage does not show spending

✗ D. Whether the problem has a catchy name for marketing: a name does not show it matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q5 · question page 105

ENT.CUST.01 · Handle the complications: real problem or just interesting?

A student found that dorm residents lose keys often. Replacing a key costs 25 dollars and happens to about 40 residents per term. What total amount do residents spend on replacements each term?

Answer: D. 1,000 dollars

25 x 40 = 1,000 dollars a term, which shows real spending on the problem.

✗ A. 40 dollars: that is the number of residents
✗ B. 65 dollars: that adds instead of multiplying
✗ C. 250 dollars: that uses 10 residents instead of 40

Arithmetic checked by code: yes. Sources: none (stable)

S6-M-Q1 · question page 107

ENT.CUST.02 · Describe a specific customer group

Which customer description is the most specific?

Answer: D. Owners of food trucks in Austin who take card payments

A specific type of owner, place and situation makes a group you can find.

✗ A. Small businesses of every kind everywhere in the whole world: it is far too broad
✗ B. Anyone in Texas who might want to buy things: it is far too broad
✗ C. People who like food and eat out sometimes: it describes almost everyone

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q2 · question page 108

ENT.CUST.02 · Describe a specific customer group

Why does a specific customer group help a new business?

Answer: A. It guides words, prices and where to advertise.

Knowing exactly who you serve shapes your message, price and channels.

- ✗ B. It guarantees that every customer will buy at once.: nothing guarantees sales
- ✗ C. It removes the need to test the idea with anyone.: testing is still needed
- ✗ D. It means the business can never sell to others later.: the group can widen later

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q3 · question page 109

ENT.CUST.02 · Describe a specific customer group

Rewrite "busy people" as a more specific customer. Which is best?

Answer: B. Nurses working night shifts who have little time to cook

Night-shift nurses are a group with a clear situation and need.

- ✗ A. All adults who have jobs in any kind of field: still too broad
- ✗ C. Busy people who use the internet every single day for work: still too broad
- ✗ D. People who are busy and want things to be easier: still too broad

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q4 · question page 110

ENT.CUST.02 · Describe a specific customer group

A tutor writes, "My customers are students." What detail would make this most useful?

Answer: C. High-school juniors preparing for a specific math exam

A grade, a goal and a subject make the customer group clear.

✗ A. Students who like learning new things at school every week: still very broad

✗ B. Students who have smartphones and laptops: device ownership is not the key need

✗ D. Students of any age anywhere in the country: still very broad

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q5 · question page 111

ENT.CUST.02 · Describe a specific customer group

Which detail helps you FIND a specific customer group?

Answer: D. Where they gather, such as a local parents' group

Knowing where a group gathers tells you where to reach them.

✗ A. How many hours they usually sleep each night of the week: it does not tell you where to reach them

✗ B. Their favorite color, if it is known: it rarely helps you reach them

✗ C. Whether they like your logo design: it does not help you find them

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q1 · question page 112

ENT.CUST.02 · Narrowing "everyone" step by step

Which step narrows "people who need meals" by situation?

Answer: B. People recovering from surgery

A situation like surgery recovery narrows the group.

✗ A. People who eat food: that does not narrow

✗ C. People who live on planet Earth: that does not narrow anything

✗ D. People who like meals: that does not narrow

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q2 · question page 113

ENT.CUST.02 · Narrowing "everyone" step by step

Which step narrows a group by place?

Answer: A. In our city

"In our city" is a place.

- ✗ B. Who order online: that is a behavior
- ✗ C. Who are adults: that is age
- ✗ D. Who like good food: that is a preference

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q3 · question page 114

ENT.CUST.02 · Narrowing "everyone" step by step

Why narrow the customer group?

Answer: A. To find people with a clear need you can reach

A narrower group is easier to reach and serve well.

- ✗ B. To make all prices higher automatically for every buyer: narrowing does not set prices
- ✗ C. To avoid all marketing: you still market
- ✗ D. To sell to fewer people forever: you can widen later

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q4 · question page 115

ENT.CUST.02 · Narrowing "everyone" step by step

"Family members ordering meals for someone after surgery in our city." How many narrowing steps does it include beyond "people"?

Answer: C. Three: situation, place and who orders

It adds a situation (surgery), a place (our city) and the buyer (family member).

- ✗ A. One: only the city: it also names situation and who orders
- ✗ B. None at all: it adds several details
- ✗ D. Ten different steps, one for each word in it: it has three main details

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q5 · question page 116

ENT.CUST.02 · Narrowing "everyone" step by step

Which group is narrower?

Answer: D. Dog owners in one apartment complex who work late

Adding a place and a situation makes the group narrower.

- ✗ A. People who have some animals living nearby them: very broad
- ✗ B. Pet owners: broader still
- ✗ C. Dog owners: broader

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q1 · question page 117

ENT.CUST.02 · Apply it: pick a first customer group

Ray sells a scheduling tool. He can afford to reach only one group first. Which group is best to start with?

Answer: A. Independent hair stylists who book clients by text

A narrow group with a clear scheduling pain fits a small budget.

- ✗ B. Anyone who owns a smartphone in the country: too broad
- ✗ C. People who think calendars are useful: too vague
- ✗ D. All businesses that have any kind of schedule at all: too broad to reach with a small budget

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q2 · question page 118

ENT.CUST.02 · Apply it: pick a first customer group

Iris makes gluten-free cupcakes. Which first customer group best fits her product?

Answer: D. Parents planning parties for children who cannot eat gluten

This group has a specific need her cupcakes meet.

- ✗ A. Anyone who likes eating sweet desserts on the weekends: too broad
- ✗ B. Restaurants of every type: too broad
- ✗ C. People who prefer salty snacks: not likely buyers

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q3 · question page 119

ENT.CUST.02 · Apply it: pick a first customer group

A fitness coach targets "people who want to be healthy." Signups are low. What change is most likely to help?

Answer: C. Focus on new parents who want 20-minute home workouts

A specific group with a clear situation makes the offer easier to understand.

- ✗ A. Charge the same price but add more fonts and colors: design does not fix a vague target
- ✗ B. Target "everyone who breathes": even broader
- ✗ D. Remove all descriptions of who it is for: that makes it less clear

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q4 · question page 120

ENT.CUST.02 · Apply it: pick a first customer group

Which detail matters MOST when choosing a customer group for a home-repair service?

Answer: B. Homeowners nearby who cannot do repairs themselves

Location and need decide who can actually become a customer.

✗ A. Renters whose landlord fixes everything: they may not pay for repairs

✗ C. People who live far outside the area the service covers: they cannot be served

✗ D. People who watch home TV shows: watching does not mean needing repairs

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q5 · question page 121

ENT.CUST.02 · Apply it: pick a first customer group

A group has 2,000 people. A business expects 1 out of every 100 to buy. How many buyers is that?

Answer: B. 20

2,000 / 100 = 20 expected buyers.

✗ A. 2: that is 1 out of 1,000

✗ C. 100: that confuses the rate

✗ D. 200: that is 1 out of 10

Arithmetic checked by code: yes. Sources: none (stable)

S6-F2-Q1 · question page 122

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A seller picked "left-handed violinists in one small town." There are about 5 of them. What is the main risk?

Answer: A. The group may be too small to support the business.

A group must be specific but also large enough to sustain sales.

✗ B. The group is perfect because narrow is always better.: narrow groups can be too small

✗ C. The group is too broad to reach at all.: it is very narrow

✗ D. The group must be wrong because violinists exist everywhere.: the issue is size, not existence

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q2 · question page 123

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A founder describes her customer clearly but has not spoken to any of them. What should she do next?

Answer: A. Talk to several people in that group to confirm the need

A clear description is a guess until people in the group confirm it.

✗ B. Build the full product right away: the need is not confirmed

✗ C. Pay for a large ad campaign immediately: too early

✗ D. Widen the group to everyone living anywhere in her state: widening does not confirm the need

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q3 · question page 124

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

Two possible groups for a laundry pickup service: students in one dorm (300 people, no cars, no convenient laundry in the building) or families in a suburb (3,000 people, most have washers). The goal is a quick first test. Which is the better first group?

Answer: B. The dorm students, because they lack easy laundry and cars and are close together

A smaller group with a stronger need and easy reach fits a quick test.

✗ A. Neither, because laundry is not a real need: laundry is a common need

✗ C. Both at once, to cover every possible customer: that is not a quick focused test

✗ D. The suburb families, because their number is ten times larger than the dorm: most have washers, so need is lower

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q4 · question page 125

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A business sells to small offices, but the person who uses the product is not the person who pays. Which detail should the customer description include?

Answer: C. Who makes the buying decision in the office

Knowing the decision-maker tells you whom to convince.

- ✗ A. The color of the office walls: not relevant
- ✗ B. What music the users like to listen to while they work: not relevant to buying
- ✗ D. How many windows the office has: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q5 · question page 126

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A group of 500 customers each buy once a month and spend 12 dollars. If 10 percent of them become your customers, what are your expected monthly sales?

Answer: A. 600 dollars

10 percent of 500 is 50 customers; 50 x 12 = 600 dollars.

- ✗ B. 50 dollars: that is the number of customers
- ✗ C. 60 dollars: that uses 5 customers
- ✗ D. 6,000 dollars: that uses all 500 people

Arithmetic checked by code: yes. Sources: none (stable)

S7-M-Q1 · question page 128

ENT.CUST.03 · Write and judge a clear offer

Which offer is the clearest?

Answer: D. For new runners, we create 8-week plans to help you finish your first 5K.

It names the customer, the help and the result.

✗ A. Our company has many years of fitness experience in sports.: it talks about the company, not the customer

✗ B. We offer the very best fitness services and the highest quality for all of you.: vague; no customer or result

✗ C. Fitness for everyone, everywhere, always, at great prices.: too broad to mean anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q2 · question page 129

ENT.CUST.03 · Write and judge a clear offer

What three parts should a clear offer include?

Answer: B. The customer, the problem, and the result they get

Who, what problem, and what result make an offer clear.

✗ A. A slogan, a logo, and a list of the owner's hobbies: those are not the parts of an offer

✗ C. A discount, a deadline, and a free gift for every buyer: promotions are not the core offer

✗ D. The founding date, the address, and the office hours: useful details, but not the offer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q3 · question page 130

ENT.CUST.03 · Write and judge a clear offer

Why is "best quality cleaning" a weak offer?

Answer: B. It does not say who it is for or what result they get.

Vague praise does not tell the customer what they get.

- ✗ A. It mentions cleaning, which customers usually find very boring.: the topic is fine
- ✗ C. It is too short to be shown on a sign or website.: length is not the problem
- ✗ D. It is illegal to describe a service as good.: it is not illegal; it is vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q4 · question page 131

ENT.CUST.03 · Write and judge a clear offer

Fill in the pattern for a meal-prep business: "For ___ who ___, we ___ so you can ___." Which is best?

Answer: D. Night-shift nurses / have no time to cook / deliver ready meals / eat well at work

Each blank is specific and describes the customer's situation and result.

- ✗ A. Customers / want some food / have a kitchen at home / pay us money today: it does not name a real problem or result
- ✗ B. Our team / loves cooking / make meals / buy from us: it centers the business, not the customer
- ✗ C. Everyone / is hungry / sell food / be happy: too vague to guide anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q5 · question page 132

ENT.CUST.03 · Write and judge a clear offer

Which phrase states a RESULT for the customer?

Answer: A. so your taxes are filed on time without stress

A result says what the customer gets.

- ✗ B. we use the latest accounting software: that describes the business's

tools

✗ C. our accountants have many certificates on the wall: that describes the business

✗ D. we are open on weekdays until five: that is a detail, not a result

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q1 · question page 133

ENT.CUST.03 · Customer, problem, result

In "Busy commuters: car washed in 10 minutes," who is the customer?

Answer: C. Busy commuters

Busy commuters are named as the customer.

✗ A. The coffee shop: not the customer here

✗ B. The car wash owner: the owner sells the service

✗ D. The cars: cars do not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q2 · question page 134

ENT.CUST.03 · Customer, problem, result

In the car wash sign in the passage, what is the result?

Answer: C. A clean car in 10 minutes

The result is what the customer gets.

✗ A. Quality car care for everyone: that is vague

✗ B. Coffee: coffee is not the service

✗ D. Busy commuters: that is the customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q3 · question page 135

ENT.CUST.03 · Customer, problem, result

Which question does an offer help a customer answer?

Answer: A. "Is this for me?"

An offer helps customers see whether it fits them.

- ✗ B. "What year was the company founded?": not part of the offer
- ✗ C. "Who designed the logo?": not relevant
- ✗ D. "What is the owner's favorite food?": not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q4 · question page 136

ENT.CUST.03 · Customer, problem, result

Which sign answers all three questions?

Answer: C. New parents: we deliver diapers within 2 hours when you run low

It names the customer, the problem and the result.

- ✗ A. Diapers and more since 2010: no result
- ✗ B. Quality products for families who shop with us every week: no problem or result
- ✗ D. The best store in town: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q5 · question page 137

ENT.CUST.03 · Customer, problem, result

"Quality car care" fails to tell the customer what?

Answer: A. Who it is for, what problem it fixes, or what they get

Vague phrases answer none of the three questions.

- ✗ B. Where the owner went to school: not relevant
- ✗ C. That the business washes cars at all for customers: it does hint at car care

✗ D. The price of every service: price is a separate detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q1 · question page 138

ENT.CUST.03 · Apply it: improve a real-sounding offer

A dog groomer's website says "Pampering pets with love." She mainly serves large dogs that are anxious at busy salons. Which rewrite is best?

Answer: B. Calm, one-on-one grooming for large, nervous dogs, with no waiting room

It names who it is for and the result that fits their problem.

✗ A. The best grooming in the entire state of Ohio: an unsupported claim, not a clear offer

✗ C. Grooming since 2015 with many happy tails: about the business, not the customer result

✗ D. Pampering all pets with even more love and care every single day: still vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q2 · question page 139

ENT.CUST.03 · Apply it: improve a real-sounding offer

A bookkeeper's draft offer: "We do numbers." Which addition helps most?

Answer: C. Who she serves and what result they get, like on-time monthly records

Naming the customer and result turns "we do numbers" into an offer.

✗ A. More exclamation marks to show excitement: punctuation adds no meaning

✗ B. A bigger logo at the top of the page: design does not clarify the offer

✗ D. A longer list of her favorite software brands and computer tools: tools are not the result

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q3 · question page 140

ENT.CUST.03 · Apply it: improve a real-sounding offer

Which offer is honest AND clear for a new tutor with no results data yet?

Answer: D. For 7th graders behind in fractions: weekly 1-on-1 practice with a written plan

It is specific without promising results she cannot prove.

- ✗ A. The top-rated tutor in the whole country, according to everyone who knows: an unsupported claim
- ✗ B. Guaranteed A grades for every student who signs up: a guarantee she cannot support
- ✗ C. Tutoring that is simply better than all the others: vague and unsupported

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q4 · question page 141

ENT.CUST.03 · Apply it: improve a real-sounding offer

Two offers for a cleaning service. A: "Spotless homes." B: "For renters moving out: a deposit-ready clean in one day." The owner wants more move-out jobs. Which fits that goal?

Answer: C. Offer B, because it names move-out renters

Offer B speaks directly to the customer and job the owner wants.

- ✗ A. Both are the same, because both mention cleaning: only B names the target job
- ✗ B. Neither, because offers do not affect bookings: a clear offer helps the right customers act
- ✗ D. Offer A, because shorter is always better: shorter is not always clearer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q5 · question page 142

ENT.CUST.03 · Apply it: improve a real-sounding offer

Which phrase should be removed from an offer because it cannot be checked?

Answer: D. "the world's best"

Superlatives like "world's best" are unsupported and say nothing specific.

- ✗ A. "with a written quote first": that is a specific detail
- ✗ B. "in 48 hours": that is a specific result
- ✗ C. "for small restaurants": that names a customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q1 · question page 143

ENT.CUST.03 · Handle the complications: honest, specific, and tested

An offer promises "results in 24 hours," but the owner usually needs 3 days. What is the best fix?

Answer: D. Change the promise to match the real delivery time

An offer must match what the business can actually deliver.

- ✗ A. Keep the promise and apologize later: that misleads customers
- ✗ B. Promise even faster results so she can beat her competitors: that makes it more misleading
- ✗ C. Remove all timing so customers cannot complain: customers need to know timing

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q2 · question page 144

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A founder wrote a clear offer but has no idea if customers care about the stated result. What should she check?

Answer: A. Whether target customers say that result matters to them

The offer's promised result must matter to the actual customers.

✗ B. Whether her family likes the wording: family is not the target customer

✗ C. Whether the sentence has a nice rhythm when read aloud: style is secondary

✗ D. Whether the font matches her logo: not relevant to customer interest

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q3 · question page 145

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A web designer serves both restaurants and law firms with very different needs. One offer for both sounds vague. What is a sensible approach?

Answer: C. Write a separate clear offer for each customer group

Different groups often need different offers.

✗ A. Stop serving one of the groups without checking demand: not required; separate offers can work

✗ B. Keep one vague offer to cover everyone: vagueness is the problem

✗ D. Remove all mention of who the service is for: that makes it less clear

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q4 · question page 146

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A competitor's offer is "fast delivery." Yours is the same. What should you check before deciding how to stand out?

Answer: B. What else your customers care about that you do well

Learning what customers value lets you offer a real difference.

✗ A. How to copy the competitor's logo: copying a logo can be a legal problem

✗ C. Whether to remove delivery from your offer completely: delivery may still matter

✗ D. How to claim you are faster without proof: that would mislead

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q5 · question page 147

ENT.CUST.03 · Handle the complications: honest, specific, and tested

Which offer could mislead customers?

Answer: A. "Doctor-approved" when no doctor has reviewed the product

Claims must be true; an unreviewed "doctor-approved" claim is false.

- ✗ B. "Includes a printed instruction sheet" when it really does: accurate
- ✗ C. "Ships within 2 business days" when it does: accurate
- ✗ D. "For runners training for a first marathon": a customer description

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q1 · question page 149

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A school pays for a reading app that students use. Who is the paying customer?

Answer: D. The school

The school pays, so it is the customer.

- ✗ A. The students who use the app every day: they are the users, but they do not pay
- ✗ B. The app's designers who built the screens: they make the product
- ✗ C. The parents who never see the bill: in this case the school pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q2 · question page 150

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A dog-walking service. Who are the user and the customer?

Answer: C. The dog uses the walks; the owner pays.

The owner pays (customer); the dog enjoys the walk (user).

✗ A. The park is the customer and the owner is the user.: the park is not involved in paying

✗ B. The walker is both the user and the customer here.: the walker provides the service

✗ D. The owner uses the walks; the dog pays for them.: dogs do not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q3 · question page 151

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A manager must approve any new software her team uses. What is the manager's role?

Answer: A. The decision-maker

Approving the purchase makes her the decision-maker.

✗ B. The competitor of the software company: not a competitor

✗ C. The supplier of the software to the business: the manager buys, not supplies

✗ D. The user, since the manager tests the software daily: the team uses it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q4 · question page 152

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

Why does it matter that the customer and user can be different?

Answer: D. You must persuade the payer while serving the user.

Sales depend on the payer; satisfaction depends on the user.

✗ A. It means you never need to talk to customers.: you need to talk to both

✗ B. It means only the payer matters when designing the product.: the product must still work for the user

✗ C. It means only the user matters for sales.: the payer must also be

convinced

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q5 · question page 153

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A grandparent buys a video game for a grandchild. Who is the user?

Answer: C. The grandchild

The grandchild plays the game.

- ✗ A. The grandparent who paid for the game: that is the customer
- ✗ B. The store clerk who rang up the sale: the clerk works for the store
- ✗ D. The game company that made the game: the maker is not the user

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q1 · question page 154

ENT.CUST.04 · Who pays, who uses

For a child's soccer camp, whose money pays?

Answer: D. The parent's

The parent pays.

- ✗ A. The child's: children rarely pay
- ✗ B. The coach's: the coach is paid
- ✗ C. The field owner's: not involved

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q2 · question page 155

ENT.CUST.04 · Who pays, who uses

You buy a coffee for yourself. Who is the user?

Answer: A. You

You pay and drink it, so you are both customer and user.

- ✗ B. The café owner: the owner sells it
- ✗ C. The coffee farmer: the farmer grows beans
- ✗ D. The barista: the barista makes it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q3 · question page 156

ENT.CUST.04 · Who pays, who uses

A company buys office chairs. Who uses them?

Answer: B. The workers

Workers sit in the chairs.

- ✗ A. The chair maker: the maker sells
- ✗ C. The bank: not involved
- ✗ D. The delivery driver: the driver delivers

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q4 · question page 157

ENT.CUST.04 · Who pays, who uses

Which two questions separate customer and user?

Answer: A. "Who pays?" and "Who uses it?"

Asking who pays and who uses separates the roles.

- ✗ B. "Who built it?" and "Who sold it?": those are about the seller
- ✗ C. "When?" and "Where?": timing and place
- ✗ D. "What color?" and "What size?": product details

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q5 · question page 158

ENT.CUST.04 · Who pays, who uses

A pet owner buys a cat toy. Who is the customer?

Answer: C. The pet owner

The owner pays.

- ✗ A. The pet store's landlord: not involved
- ✗ B. The cat: the cat uses it
- ✗ D. The toy factory: the factory makes it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q1 · question page 159

ENT.CUST.04 · Apply it: who to convince and who to serve

Lia sells an after-school coding club. Kids love it, but few sign up. Who should her marketing mainly speak to?

Answer: D. Parents, who pay and decide

Parents pay and decide, so the message must reach them.

- ✗ A. Kids only, since they enjoy the club most: kids do not usually pay
- ✗ B. Other coding clubs nearby: competitors do not sign up
- ✗ C. Teachers, since they grade homework: teachers do not pay for the club

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q2 · question page 160

ENT.CUST.04 · Apply it: who to convince and who to serve

A company's IT manager approves software, but sales staff use it. Which feedback is MOST important when improving daily ease of use?

Answer: B. Feedback from the sales staff who use it daily

Daily users know what makes the product easy or hard to use.

- ✗ A. Feedback from the CEO's family: they do not use it

✗ C. Feedback only from the IT manager: the manager does not use it daily

✗ D. Feedback from a competitor's customers in another town: not the users

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q3 · question page 161

ENT.CUST.04 · Apply it: who to convince and who to serve

A senior-care service is used by older adults, but adult children usually pay. Which detail should the website make clear for the payers?

Answer: C. Safety, schedules and how they will be kept informed

Payers want to know their parent is safe and that they will be informed.

✗ A. A long history of the company's logo: not relevant

✗ B. The owner's favorite movies: not relevant

✗ D. Games the care staff like to play on their breaks: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q4 · question page 162

ENT.CUST.04 · Apply it: who to convince and who to serve

A dentist's office buys a booking tool. The receptionist uses it; the dentist pays. The receptionist says it is confusing. What is the risk to the seller?

Answer: B. The office may cancel if the daily user struggles.

If the user struggles, the payer may stop paying.

✗ A. The receptionist will become the payer: roles do not switch that way

✗ C. The tool will start working better by itself over time: it will not fix itself

✗ D. No risk, because the dentist already paid: unhappy users often lead to cancellation

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q5 · question page 163

ENT.CUST.04 · Apply it: who to convince and who to serve

A toy costs 30 dollars. A parent buys 2 for twins. How much does the customer pay?

Answer: A. 60 dollars

30 x 2 = 60 dollars, paid by the parent (the customer).

- ✗ B. 30 dollars: that is one toy
- ✗ C. 32 dollars: that adds 2 instead of multiplying
- ✗ D. 15 dollars: that halves the price

Arithmetic checked by code: yes. Sources: none (stable)

S8-F2-Q1 · question page 164

ENT.CUST.04 · Handle the complications: several people in one decision

A small business owner pays for payroll software, the accountant recommends it, and staff use it. Who has the final say on buying?

Answer: A. The owner, who pays and approves the purchase

The owner pays and approves; others influence the choice.

- ✗ B. The staff, because they use it: users do not usually approve purchases
- ✗ C. The software's salesperson: the seller does not decide for the buyer
- ✗ D. The accountant, because she was the one who suggested it: she influences but does not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q2 · question page 165

ENT.CUST.04 · Handle the complications: several people in one decision

A seller pitches only to users, who love the product, but no one buys. Which detail is most likely missing?

Answer: C. Convincing the person who controls the budget

Users cannot buy without the budget holder's approval.

✗ A. A longer company history page: not the main issue

✗ B. A brighter product color: not the main issue

✗ D. More features that the users did not ask for: users already like it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q3 · question page 166

ENT.CUST.04 · Handle the complications: several people in one decision

A grant program pays for students' summer classes, and the students choose the class. Who is the paying customer?

Answer: C. The grant program

The program's money pays, so it is the paying customer here.

✗ A. The school building: not a payer

✗ B. The teacher: the teacher provides the class

✗ D. The students: they choose, but the grant pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q4 · question page 167

ENT.CUST.04 · Handle the complications: several people in one decision

Before writing a sales message, what should a business check first in a new market?

Answer: D. Who pays, who decides, and who uses

Knowing the roles tells you whom each message is for.

✗ A. What price ends in .99: pricing tricks come later

✗ B. Which font is most popular this year: design comes later

✗ C. How many likes competitors get: likes do not identify the buyer

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q5 · question page 168

ENT.CUST.04 · Handle the complications: several people in one decision

A daycare charges 200 dollars a week per child. A family enrolls 2 children for 4 weeks. How much does the family pay?

Answer: A. 1,600 dollars

200 x 2 x 4 = 1,600 dollars, paid by the family (customer) for the children (users).

- ✗ B. 400 dollars: that is one week
- ✗ C. 800 dollars: that counts only one child
- ✗ D. 206 dollars: that adds instead of multiplying

Arithmetic checked by code: yes. Sources: none (stable)

S9-M-Q1 · question page 170

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

According to the passage, what problem did Blakely start with?

Answer: D. She wanted a smooth look under white pants.

The passage says she cut pantyhose to wear under white pants.

- ✗ A. She wanted to open a factory for making fabric.: not in the passage
- ✗ B. She wanted cheaper shoes for running on trails.: not in the passage
- ✗ C. She wanted a new kind of store for selling dresses.: not in the passage

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q2 · question page 171

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

How much of her own money does the passage say she started with?

Answer: A. $5,000

The documented amount is $5,000 of savings.

- ✗ B. No money at all, only loans: she used her savings
- ✗ C. $50,000: the passage says $5,000

✗ D. $500: the passage says $5,000

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q3 · question page 172

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Which lesson does this course draw?

Answer: D. Your own problem can be a start, but check that others share it.

The lesson pairs a personal problem with evidence from others.

✗ A. Your own problem always proves a large market exists for it.: one person is not a market
✗ B. Big stores accept every new product quickly.: not a lesson from the passage
✗ C. Manufacturers always say yes to new ideas.: several turned her down

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q4 · question page 173

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Theo is annoyed that his bike lock is heavy. Applying the lesson, what should he do first?

Answer: C. Ask other cyclists whether heavy locks bother them and what they use

He should test whether others share his problem before investing.

✗ A. Assume every cyclist feels exactly as he does about heavy locks: he needs evidence
✗ B. Order 5,000 lighter locks today: no evidence others want them
✗ D. Wait until a manufacturer calls him: he should gather evidence himself

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q5 · question page 174

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Which statement about this case is accurate?

Answer: B. Rejections came before a manufacturer agreed.

The passage documents several rejections before a yes.

- ✗ A. Her success guarantees others the same result.: one case guarantees nothing
- ✗ C. She started with a large outside investment.: she used her own savings
- ✗ D. The first manufacturer she asked said yes.: the passage says several turned her down

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q1 · question page 175

ENT.CASE.02 · One person's problem versus a market

Your own frustration with a product is best described as what?

Answer: A. A clue worth checking

Your own problem is a starting clue.

- ✗ B. A guarantee of sales: nothing guarantees sales
- ✗ C. Proof of a large market: one person is not a market
- ✗ D. A finished business plan: it is only a start

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q2 · question page 176

ENT.CASE.02 · One person's problem versus a market

What is a market, in plain words?

Answer: D. Many people with the same need who will pay

A market is many people with a shared need willing to pay.

✗ A. A building where products are sold: that is another meaning of "market"

✗ B. One person with a strong opinion: one person is not a market

✗ C. A list of your friends' favorite things to buy: friends are a small, biased group

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q3 · question page 177

ENT.CASE.02 · One person's problem versus a market

How do you check whether others share your problem?

Answer: A. Ask other people about their experience

Asking others is how you check.

✗ B. Assume they all feel exactly the same as you do: assuming is not checking

✗ C. Design a logo first: a logo does not check need

✗ D. Buy inventory first: that spends before checking

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q4 · question page 178

ENT.CASE.02 · One person's problem versus a market

A "sample of one" means what?

Answer: A. Evidence from only one person

It means the evidence comes from one person.

✗ B. A product that sells once: not the meaning here

✗ C. A free sample given to one customer: a different meaning

✗ D. A test with a thousand people: that is large

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q5 · question page 179

ENT.CASE.02 · One person's problem versus a market

Which shows that others share a problem?

Answer: B. Many people describe it and already pay for fixes

Many people with the problem who pay is evidence.

- ✗ A. You personally feel very strongly about it: that is one person
- ✗ C. Your friend nods politely: politeness is not evidence
- ✗ D. The idea sounds clever: cleverness is not evidence

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F1-Q1 · question page 180

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Ana hates that her reusable water bottle leaks in her bag. Which first step best applies the lesson?

Answer: D. Survey commuters about leaking bottles and what they do now

Asking many commuters checks whether her problem is shared.

- ✗ A. Post a logo and wait for orders: no evidence gathered
- ✗ B. Ask only her mother whether bottles leak: one person is not enough
- ✗ C. Buy a bottle factory before telling anyone about the idea: too much spending first

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F1-Q2 · question page 181

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Ken's own frustration is finding parking at the gym. He asks 30 gym members, and 25 say it bothers them. What fraction said it bothers them?

Answer: C. 25 out of 30, which is about 83 percent

25 / 30 is about 0.83, or about 83 percent.

✗ A. 25 out of 100: he asked 30 people

✗ B. 30 out of 25: that reverses the numbers

✗ D. 5 out of 30, which is about 17 percent: that is the number NOT bothered

Arithmetic checked by code: yes. Sources: case_spanx

S9-F1-Q3 · question page 182

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Mei solved her own problem (tangled earbuds) with a clip. Ten friends tried it and liked it, but none would pay. What does this suggest?

Answer: C. Liking it is not the same as paying; she needs more evidence.

Approval without payment is weak evidence of demand.

✗ A. Her friends' approval proves a market.: approval is not payment

✗ B. She should give up all ideas forever.: one weak test does not end every idea

✗ D. She should order thousands of clips from a factory today.: no one has shown willingness to pay

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F1-Q4 · question page 183

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Which plan follows the lesson with the least money at risk?

Answer: B. Make 20 samples and try selling them at one market

A small test risks little while gathering evidence.

✗ A. Order 10,000 units at a low bulk price: large spending before evidence

✗ C. Sign a contract with a national store chain first: too large before testing

✗ D. Hire a sales team before any sales: spending before evidence

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-F1-Q5 · question page 184

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Which description separates the documented fact from the lesson?

Answer: A. Fact: she started with $5,000 of savings. Lesson: check others share your problem.

The fact is from the record; the lesson is an interpretation.

- ✗ B. Fact: she copied a competitor. Lesson: copying always works.: not documented
- ✗ C. Fact: she had no rejections. Lesson: never ask for feedback.: the fact is wrong
- ✗ D. Fact: everyone loves her product today. Lesson: using savings guarantees success.: neither is documented or sound

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q1 · question page 185

ENT.CASE.02 · Handle the complications: why copying may fail

Ben copies the "use my own savings" idea, but his savings are also his emergency fund for rent. What should he check first?

Answer: D. How much he can spend without risking his living costs

He must protect his own living costs before investing savings.

- ✗ A. Whether savings are always better than loans for founders: not always; it depends
- ✗ B. Whether his logo is ready: not the main question
- ✗ C. Whether the founder used $5,000: her amount is not his limit

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q2 · question page 186

ENT.CASE.02 · Handle the complications: why copying may fail

A product solved the founder's problem, but the founder's situation is unusual (very tall, needing special clothing). What is the main risk in assuming a large market?

Answer: D. Few other people may share the unusual problem.

An unusual situation may mean a small market; it must be checked.

- ✗ A. Unusual problems always make the best businesses.: not always; the market may be small
- ✗ B. Tall people never buy clothing at all.: they do buy clothing
- ✗ C. There is no risk if the product works.: a working product can still lack buyers

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q3 · question page 187

ENT.CASE.02 · Handle the complications: why copying may fail

Several manufacturers reject Pia's product. Using the case wisely, what should she do?

Answer: B. Ask why they said no, improve or adjust, and keep looking if the evidence supports it

Rejections are information; persistence makes sense only with supporting evidence.

- ✗ A. Stop immediately, because one round of rejections ends any idea for good: one round of rejections is not decisive
- ✗ C. Ignore their reasons and send the same pitch again: reasons may reveal real problems
- ✗ D. Assume rejection means guaranteed success later: rejection does not predict success

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q4 · question page 188

ENT.CASE.02 · Handle the complications: why copying may fail

A big store accepted Spanx. A new founder wants to skip testing and go straight to big stores.

What is the main problem?

Answer: A. Without evidence of demand, big stores are unlikely to accept or reorder.

Stores want evidence that customers buy; testing builds that evidence.

- ✗ B. Big stores accept every new product.: they do not
- ✗ C. There is no problem at all, because the case proves that it works.: one case proves nothing for another
- ✗ D. Skipping tests always saves money in the end.: it can waste money

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q5 · question page 189

ENT.CASE.02 · Handle the complications: why copying may fail

What is the most accurate takeaway from a single founder story?

Answer: C. It shows one path and decisions to consider, not a guaranteed formula.

A case teaches decisions to weigh, not a guaranteed outcome.

- ✗ A. It is useless because conditions differ.: it can still teach useful decisions
- ✗ B. It proves that the founder's exact steps caused her later success.: causes are not proven by one story
- ✗ D. It is a formula that works for every product.: no single story is a formula

Arithmetic checked by code: not applicable. Sources: case_spanx

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S10-M-Q1 · question page 191

ENT.TEST.01 · Plan interview questions about past behavior

Which interview question gives the most reliable information?

Answer: D. When did you last hire a tutor, and how did you find one?

Asking about a recent real event gives facts instead of guesses.

✗ A. Would you hire a tutor if I offered one next year?: it asks for a guess about the future

✗ B. Do you think tutoring is a good idea for most kids?: it asks for an opinion, not experience

✗ C. How much would you be willing to pay for my service?: it asks for a prediction about a product they have not seen

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q2 · question page 192

ENT.TEST.01 · Plan interview questions about past behavior

Why are questions about the future weaker evidence?

Answer: C. People often guess kindly or hopefully.

Predictions tend to be polite or optimistic, so they are less reliable.

✗ A. People cannot remember anything about the past.: past events are usually easier to describe

✗ B. Future answers are always negative and unhelpful.: they are often too positive, not negative

✗ D. Future questions are against interview rules.: there is no such rule; they are just weaker

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q3 · question page 193

ENT.TEST.01 · Plan interview questions about past behavior

Which question asks about past behavior?

Answer: B. What did you use last month to track your expenses?

It asks what the person already did.

✗ A. Do you like the idea of tracking every expense?: that asks for an opinion

✗ C. Will you track expenses better next year, do you think?: that is a future guess

✗ D. Would you download an expense app if it were free?: that is a future guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q4 · question page 194

ENT.TEST.01 · Plan interview questions about past behavior

An interviewer hears, "I spent 3 hours last week calling movers." What kind of information is this?

Answer: A. A real past cost of the problem

Hours already spent show the problem's real cost.

✗ B. An opinion about the interviewer's idea: they described an event, not an opinion

✗ C. Proof that a moving business will succeed: it is a clue, not proof

✗ D. A promise to buy from the interviewer soon: nothing was promised

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q5 · question page 195

ENT.TEST.01 · Plan interview questions about past behavior

What should an interviewer mostly do?

Answer: B. Listen and ask follow-up questions

Listening and following up uncovers details about real behavior.

✗ A. Talk about the product as much as possible: pitching crowds out learning

✗ C. Ask only yes-or-no questions to save time: open questions reveal more

✗ D. Argue when the person disagrees with the idea: arguing stops honest answers

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q1 · question page 196

ENT.TEST.01 · Did versus would

"How many times did you go to the gym last week?" asks about what?

Answer: A. Past behavior

It asks what the person actually did.

- ✗ B. A price: it does not mention money
- ✗ C. A future plan: it asks about last week
- ✗ D. An opinion: it asks for a count

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q2 · question page 197

ENT.TEST.01 · Did versus would

"Would you go to the gym three times a week?" mostly measures what?

Answer: D. Hope or intention

Future-tense questions measure intention, not behavior.

- ✗ A. The gym's price: not about price
- ✗ B. The person's age: not about age
- ✗ C. Exact past behavior: it is about the future

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q3 · question page 198

ENT.TEST.01 · Did versus would

Which word usually signals a past-behavior question?

Answer: C. "did"

"Did" asks what already happened.

- ✗ A. "would": signals a guess
- ✗ B. "could": signals a possibility

✗ D. "might": signals a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q4 · question page 199

ENT.TEST.01 · Did versus would

Which answer is behavior, not hope?

Answer: D. "I went twice last week."

A count of real visits is behavior.

✗ A. "I might start next month.": a guess
✗ B. "I plan to go every day.": a plan
✗ C. "I would love to go more.": a wish

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q5 · question page 200

ENT.TEST.01 · Did versus would

Rewrite "Would you buy healthy snacks?" as a "did" question. Which is best?

Answer: B. "What snacks did you buy this week?"

It asks about real recent purchases.

✗ A. "Would you like healthy snacks?": still a "would" question
✗ C. "Do you agree snacks matter?": an opinion
✗ D. "Might you buy snacks soon?": still a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q1 · question page 201

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder plans a meal-kit service. Which question set is best?

Answer: C. What did you eat for dinner last night, and how did you decide?

It asks about a real recent decision.

- ✗ A. Do you think meal kits are a smart idea for families?: an opinion
- ✗ B. How great would it be to never cook again, in your view?: a leading, hopeful question
- ✗ D. Would you buy meal kits every week if they were tasty?: a future guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q2 · question page 202

ENT.TEST.01 · Apply it: improve a set of interview questions

After the person says, "Finding a plumber was a nightmare last month," what is the best follow-up?

Answer: A. What made it hard, and what did you end up doing?

A follow-up about the real experience reveals details.

- ✗ B. Can I sign you up for my newsletter now?: ends the learning
- ✗ C. Do you agree plumbers are usually expensive?: leading and opinion-based
- ✗ D. Would you use my plumber app instead?: it pitches too early

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q3 · question page 203

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder interviewed 10 people. 9 said they "would definitely use" her app; 2 have ever paid for a similar tool. Which number is more meaningful?

Answer: B. The 2 who have paid for a similar tool

Past spending is stronger evidence than predictions.

- ✗ A. The 9 who said they would definitely use it: a polite prediction
- ✗ C. Both are equally meaningful for the decision: past spending is stronger
- ✗ D. Neither, because interviews never help at all: interviews help when they

ask the right things

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q4 · question page 204

ENT.TEST.01 · Apply it: improve a set of interview questions

Which interview goal is most useful early on?

Answer: C. Learn how people handle the problem today

Early interviews aim to understand the problem and current solutions.

- ✗ A. Show off every feature you have planned: pitching crowds out learning
- ✗ B. Get each person to praise the idea: praise is not useful evidence
- ✗ D. Convince each person to buy before they leave: selling is not the goal of an early interview

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q5 · question page 205

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder asks 12 people about their last moving day. 8 say they hired help. What fraction hired help?

Answer: A. 2/3

8/12 simplifies to 2/3.

- ✗ B. 3/4: that would be 9 out of 12
- ✗ C. 8/20: the total asked was 12, not 20
- ✗ D. 1/2: that would be 6 out of 12

Arithmetic checked by code: yes. Sources: none (stable)

S10-F2-Q1 · question page 206

ENT.TEST.01 · Handle the complications: interviews that mislead

A founder interviewed only her close friends, who all loved the idea. What is the main problem?

Answer: D. Friends may be kind and may not be typical customers.

Friends are likely to be polite and may not match the target customer.

- ✗ A. Friends always lie about everything.: too extreme
- ✗ B. Interviews should never include friends at all.: the issue is relying only on them
- ✗ C. Ten friends is always enough evidence.: friends are a biased group

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q2 · question page 207

ENT.TEST.01 · Handle the complications: interviews that mislead

People describe a problem in detail but have never tried to fix it. What should the founder check next?

Answer: C. Whether the problem matters enough that they would pay to fix it

A problem nobody acts on may not matter enough to pay for.

- ✗ A. Whether to build the full product now: too early
- ✗ B. Whether they liked the interviewer: not the key question
- ✗ D. Whether their answers were long enough to fill the notes page: length is not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q3 · question page 208

ENT.TEST.01 · Handle the complications: interviews that mislead

A founder keeps explaining her app during interviews, and people keep saying "sounds great." What is the most likely issue?

Answer: D. Pitching is pushing people toward polite agreement.

Pitching during interviews invites politeness instead of honest facts.

- ✗ A. People truly love the app.: polite agreement is not proof
- ✗ B. Interviews do not work for apps.: they work if done well

✗ C. The founder should talk even more about the app's features.: that makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q4 · question page 209

ENT.TEST.01 · Handle the complications: interviews that mislead

Which piece of information should an interview try to uncover about the current solution?

Answer: B. What it costs them in time or money now

The cost of the current solution shows how much the problem matters.

- ✗ A. Whether they would recommend you to a friend someday: a prediction
- ✗ C. Their opinion of the founder's logo: not useful early
- ✗ D. Their favorite color for the product: design detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q5 · question page 210

ENT.TEST.01 · Handle the complications: interviews that mislead

An interviewer records answers from 15 people. 6 already pay for a similar service at 20 dollars a month. What is the total those 6 already spend each month?

Answer: D. 120 dollars

6 x 20 = 120 dollars a month already spent.

- ✗ A. 26 dollars: that adds instead of multiplying
- ✗ B. 20 dollars: that is one person
- ✗ C. 300 dollars: that uses all 15 people

Arithmetic checked by code: yes. Sources: none (stable)

S11-M-Q1 · question page 212

ENT.TEST.02 · Recognize and rewrite leading questions

Which question is leading?

Answer: B. Don't you think our cookies taste better than store-bought ones?

It pushes the person toward agreeing.

- ✗ A. How often do you eat homemade baked goods each month?: neutral and specific
- ✗ C. Where do you usually buy desserts for family events?: neutral question
- ✗ D. What kind of cookies did you buy last time you shopped?: neutral question about behavior

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q2 · question page 213

ENT.TEST.02 · Recognize and rewrite leading questions

Which is a neutral version of "Wouldn't a faster laundry service be great?"

Answer: C. How do you handle laundry now?

It asks about current behavior with no push.

- ✗ A. You would use a faster service, right?: pushes toward yes
- ✗ B. Isn't slow laundry the worst thing in the world?: still leading
- ✗ D. Wouldn't you love never doing laundry again?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q3 · question page 214

ENT.TEST.02 · Recognize and rewrite leading questions

Why do leading questions cause problems in testing?

Answer: D. They make the idea look better than it really is.

Pushed answers give a false picture of demand.

- ✗ A. They make people refuse to answer anything.: people usually answer, but the answers are biased
- ✗ B. They are always against the law to use.: not illegal, just misleading

✗ C. They take too long to ask in an interview.: length is not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q4 · question page 215

ENT.TEST.02 · Recognize and rewrite leading questions

Which word pattern often signals a leading question?

Answer: C. Starting with "Don't you..." or "Wouldn't it..."

"Don't you" and "Wouldn't it" invite agreement.

✗ A. Starting with "What" or "How": these usually open neutral questions
✗ B. Asking about last week: that asks about behavior
✗ D. Asking how often something happens in a normal month: that is neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q5 · question page 216

ENT.TEST.02 · Recognize and rewrite leading questions

Which question is neutral?

Answer: D. What, if anything, frustrates you about booking a haircut?

"If anything" allows the person to say nothing bothers them.

✗ A. Wouldn't online booking solve all your problems?: pushes toward a solution
✗ B. You hate waiting for haircuts too, right?: pushes toward yes
✗ C. Isn't booking a haircut really frustrating these days?: assumes frustration

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q1 · question page 217

ENT.TEST.02 · A push versus an open door

"The food was amazing, wasn't it?" is what kind of question?

Answer: A. A push (leading)

It suggests the hoped-for answer.

- ✗ B. A math question: not about numbers
- ✗ C. An open door (neutral): it suggests the answer
- ✗ D. A yes-or-no fact check: it pushes an opinion

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q2 · question page 218

ENT.TEST.02 · A push versus an open door

Which is an open-door question?

Answer: B. "How was the food?"

It lets the person answer freely.

- ✗ A. "Don't you love this place?": pushes
- ✗ C. "It was great, right?": pushes
- ✗ D. "Best meal ever, wasn't it?": pushes

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q3 · question page 219

ENT.TEST.02 · A push versus an open door

Which ending word often turns a question into a push?

Answer: C. "right?"

"Right?" invites agreement.

- ✗ A. "when?": neutral
- ✗ B. "what?": neutral
- ✗ D. "how?": neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q4 · question page 220

ENT.TEST.02 · A push versus an open door

Why do open-door questions help?

Answer: D. People can give their own honest answer.

Open questions do not steer the answer.

- ✗ A. They make people buy faster.: not their purpose
- ✗ B. They are shorter to write.: not the reason
- ✗ C. They always get a yes answer from almost everyone.: they allow any answer

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q5 · question page 221

ENT.TEST.02 · A push versus an open door

Which question includes the hoped-for answer?

Answer: D. "Isn't this the easiest app you've used?"

It builds the answer into the question.

- ✗ A. "What app did you use most last week?": neutral
- ✗ B. "When did you last delete an app?": neutral
- ✗ C. "How do you find new apps?": neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q1 · question page 222

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A survey for a dog-walking idea asks, "How much do you love the idea of a reliable dog walker?" Which rewrite is best?

Answer: A. Who walks your dog on days you work late?

It asks about current behavior neutrally.

- ✗ B. Wouldn't a reliable walker make your life better?: still leading
- ✗ C. How much do you REALLY love reliable dog walkers?: still leading
- ✗ D. You agree dogs need walks, don't you?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q2 · question page 223

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

Which survey answer choices are balanced?

Answer: C. Very easy / Easy / Neither / Hard / Very hard

Balanced options include positive, neutral and negative answers.

- ✗ A. Amazing / Great / Good / Pretty good / Okay: all positive choices push results up
- ✗ B. Good / Very good / Excellent: no negative option
- ✗ D. Love it / Like it a lot: no neutral or negative option

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q3 · question page 224

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A founder asks, "Our price of 10 dollars is fair, isn't it?" What is a better question?

Answer: D. What have you paid for similar services before?

Asking about past spending gives real price evidence.

- ✗ A. Isn't 10 dollars a great deal?: still leading
- ✗ B. You'd pay 10 dollars happily for this, wouldn't you, right?: still leading
- ✗ C. Don't you agree 10 dollars is cheap?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q4 · question page 225

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A survey has 5 positive answer options and 1 negative option. What is the likely effect?

Answer: B. Results will look more positive than people really feel.

Unbalanced options pull answers toward the side with more choices.

- ✗ A. Results will look more negative than real feelings.: the imbalance pushes positive
- ✗ C. People will refuse to finish the survey.: not the main effect
- ✗ D. Results will be perfectly accurate.: the options are unbalanced

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q5 · question page 226

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

Of 40 people asked a leading question, 36 said yes. Of 40 asked a neutral version, 14 said yes. How many more said yes to the leading version?

Answer: A. 22

36 - 14 = 22 more yes answers.

- ✗ B. 50: that adds the totals
- ✗ C. 36: that is the leading total, not the difference
- ✗ D. 14: that is the neutral total

Arithmetic checked by code: yes. Sources: none (stable)

S11-F2-Q1 · question page 227

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A question names your product: "How useful is QuickClean for busy families?" What is the subtle problem?

Answer: C. It assumes the product is useful and focuses on your idea.

Naming your product and assuming usefulness leads the answer.

- ✗ A. There is no problem with this question.: it assumes usefulness
- ✗ B. It mentions families, which is never allowed in a survey question.: mentioning a group is fine
- ✗ D. It is too short to be clear.: length is fine

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q2 · question page 228

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

Two surveys: A used leading questions and got 90 percent interest. B used neutral questions and got 30 percent. Which result should guide decisions?

Answer: B. Survey B, because neutral questions are more trustworthy

The neutral survey gives the less biased estimate.

- ✗ A. Neither, because surveys are always useless: neutral surveys can be useful
- ✗ C. Survey A, because higher interest is better news: it is inflated by leading wording
- ✗ D. The average of both, about 60 percent: averaging a biased result is still biased

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q3 · question page 229

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A founder must survey customers quickly. Which approach best avoids leading?

Answer: A. Ask about recent behavior with balanced options

Recent behavior and balanced options reduce bias even in a quick survey.

- ✗ B. Skip neutral options to save space: that unbalances answers
- ✗ C. Ask only questions that will make the idea look good: that is leading by

design

✗ D. Tell people the answer you hope for first: that leads them

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q4 · question page 230

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

Which question is neutral but still useful for pricing?

Answer: D. What did you pay the last time you hired this kind of help?

Past spending gives real price information without pushing.

✗ A. Wouldn't 50 dollars be a fair price?: leading

✗ B. Isn't our price lower than others?: leading

✗ C. You'd happily pay more for real quality, wouldn't you, right?: leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q5 · question page 231

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A founder realizes half her survey questions were leading. What should she do with the results?

Answer: C. Treat those answers with caution and re-ask neutrally if possible

Biased answers need caution; neutral re-asking gives better evidence.

✗ A. Use all answers as if nothing were wrong: the bias remains

✗ B. Report the leading results as proof of demand: that misleads

✗ D. Delete all of the results, including the answers to the neutral ones: the neutral answers may still help

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q1 · question page 233

ENT.TEST.03 · Identify competitors and other alternatives

A new tutoring service. Which is an ALTERNATIVE but not a direct competitor?

Answer: B. Parents helping with homework themselves

Parents helping is another way to solve the problem, not a competing business.

- ✗ A. A tutoring company with the same subjects: that is a direct competitor
- ✗ C. Another tutoring service in the same town: that is a direct competitor
- ✗ D. A tutor who teaches the same grade level: that is a direct competitor

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q2 · question page 234

ENT.TEST.03 · Identify competitors and other alternatives

A founder says, "I have no competition." What is the most likely truth?

Answer: D. Customers solve the problem some other way, or few want it.

Usually people use alternatives, or the need is small.

- ✗ A. Competitors are not allowed in this market.: markets are open
- ✗ B. The idea is guaranteed to succeed without much effort or marketing.: no competition guarantees nothing
- ✗ C. Alternatives do not matter to customers at all.: customers compare options

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q3 · question page 235

ENT.TEST.03 · Identify competitors and other alternatives

What can competitor reviews teach a new business?

Answer: A. What customers like and complain about

Reviews show what customers value and dislike.

- ✗ B. That customers never switch businesses: reviews often show switching reasons

✗ C. Which competitors will close next month: reviews cannot predict that

✗ D. Exactly how much profit competitors make: reviews rarely show profit

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q4 · question page 236

ENT.TEST.03 · Identify competitors and other alternatives

Which is a direct competitor to a mobile car-wash service?

Answer: A. Another business that washes cars at customers' homes

It sells the same service to the same customers.

✗ B. A car rental agency at the airport: a different service

✗ C. A company that changes engine oil: a different service

✗ D. A shop near the highway that sells car air fresheners: a different product

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q5 · question page 237

ENT.TEST.03 · Identify competitors and other alternatives

"Doing nothing" counts as an alternative because...

Answer: B. customers can choose to live with the problem.

If the problem is mild, many customers simply live with it.

✗ A. it is a business that charges money.: doing nothing is free

✗ C. customers are not allowed to do nothing.: they are allowed

✗ D. it only applies to very large companies.: it applies to all

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q1 · question page 238

ENT.TEST.03 · Every other way to solve the problem

Bringing lunch from home is what, for a sandwich shop?

Answer: C. An alternative

Packing lunch is another way to solve hunger.

- ✗ A. A direct competitor: not a business
- ✗ B. A customer: it is a choice, not a buyer
- ✗ D. A supplier: it sells nothing to the shop

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q2 · question page 239

ENT.TEST.03 · Every other way to solve the problem

Another sandwich shop next door is what?

Answer: A. A direct competitor

It sells the same thing to the same people.

- ✗ B. A partner: not stated
- ✗ C. A supplier: it does not supply the shop
- ✗ D. An alternative only: it is a competing business

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q3 · question page 240

ENT.TEST.03 · Every other way to solve the problem

Skipping lunch is which option?

Answer: D. Doing nothing

Choosing not to solve the problem is "doing nothing".

- ✗ A. A price: no
- ✗ B. A direct competitor: not a business
- ✗ C. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q4 · question page 241

ENT.TEST.03 · Every other way to solve the problem

Why list all the alternatives?

Answer: A. To see what your offer must beat

Alternatives show what customers already use.

- ✗ B. To raise your prices: not the purpose
- ✗ C. To copy every one of them: not the goal
- ✗ D. To avoid talking to customers: you still need customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q5 · question page 242

ENT.TEST.03 · Every other way to solve the problem

A vending machine is what, for a sandwich shop?

Answer: B. An alternative

It is another way to solve lunchtime hunger.

- ✗ A. A direct competitor selling sandwiches: it sells snacks, not sandwiches
- ✗ C. A customer: it does not buy
- ✗ D. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q1 · question page 243

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Reviews of three local cleaners mostly complain about missed appointments. What is the best use of this?

Answer: C. Make reliable, on-time scheduling a clear part of your offer

Fixing a common complaint gives a real reason to choose you.

✗ A. Assume customers do not care about timing: the reviews say they do

✗ B. Copy their prices exactly and say nothing else about the service: ignores the main complaint

✗ D. Post negative reviews about them online: unfair and possibly illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q2 · question page 244

ENT.TEST.03 · Apply it: use competitor research to shape an offer

A founder lists competitor prices: 40, 45 and 50 dollars per session. What is their average price?

Answer: D. 45 dollars

(40 + 45 + 50) / 3 = 45 dollars.

✗ A. 40 dollars: that is the lowest

✗ B. 135 dollars: that is the total

✗ C. 50 dollars: that is the highest

Arithmetic checked by code: yes. Sources: none (stable)

S12-F1-Q3 · question page 245

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Many homeowners mow their own lawns. A new lawn service wants customers who would rather pay. Which group is most promising?

Answer: A. Older homeowners or busy owners who find mowing hard to fit in

People for whom the do-it-yourself alternative is hard are the most likely buyers.

✗ B. People who enjoy mowing as relaxing exercise: they prefer doing it themselves

✗ C. Apartment renters with no lawns at all: they have no lawns

✗ D. Owners who already bought brand-new riding mowers this year: they just invested in doing it themselves

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q4 · question page 246

ENT.TEST.03 · Apply it: use competitor research to shape an offer

A free online tool already solves the problem. How can a paid product still compete?

Answer: D. Offer a clear benefit the free tool lacks, such as saved time or support

A paid option needs a real advantage over the free alternative.

- ✗ A. Charge a higher price without offering anything extra to customers: gives no reason to pay
- ✗ B. Ask customers to stop using free tools: unlikely to work
- ✗ C. Pretend the free tool does not exist: customers know it exists

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q5 · question page 247

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Which competitor information is fair and useful to collect?

Answer: B. Public prices, services and customer reviews

Public information is fair; private or deceptive gathering is not.

- ✗ A. Fake customer calls pretending to be from a government office: deceptive
- ✗ C. Their private customer list taken by a former employee: unfair and possibly illegal
- ✗ D. Their passwords guessed from public posts: illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q1 · question page 248

ENT.TEST.03 · Handle the complications: reading competition correctly

A town has no dog groomers. Before celebrating, what should a founder check first?

Answer: B. Whether people drive to groomers elsewhere or groom at home

No local competitor may mean customers use alternatives elsewhere, or there is little demand.

- ✗ A. Whether the founder enjoys bathing dogs: not the key question
- ✗ C. Whether the town likes dogs in general: liking dogs is not the same as paying
- ✗ D. Whether a dog groomer logo would be easy and cheap to design: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q2 · question page 249

ENT.TEST.03 · Handle the complications: reading competition correctly

Ten competitors sell the same product and many seem busy. What does this most likely show?

Answer: C. There is demand, but you will need a reason to be chosen.

Competition shows demand; standing out is the challenge.

- ✗ A. You should copy the busiest competitor exactly, down to the menu.: copying gives no reason to choose you
- ✗ B. You are guaranteed to win if you join.: nothing guarantees that
- ✗ D. There is no demand at all.: busy competitors show demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q3 · question page 250

ENT.TEST.03 · Handle the complications: reading competition correctly

A founder plans to beat competitors only by being cheaper. What should be checked first?

Answer: A. Whether the lower price still covers costs and time

A lower price must still cover costs, or the business loses money.

✗ B. Whether competitors will thank him: irrelevant

✗ C. Whether cheap prices always win every customer: they do not

✗ D. Whether the cheaper price looks nice on a sign: appearance is secondary

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q4 · question page 251

ENT.TEST.03 · Handle the complications: reading competition correctly

Which statement correctly describes competitor research?

Answer: D. It shows what customers accept today, not a full prediction.

Competitor research is evidence about the market, not a forecast.

✗ A. It is only needed after launching.: it helps before launching too

✗ B. It replaces talking to customers yourself.: it does not

✗ C. It proves exactly how many customers you will get.: it cannot predict exact numbers

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q5 · question page 252

ENT.TEST.03 · Handle the complications: reading competition correctly

Competitors charge 60 dollars. You plan 48 dollars, 20 percent less. Your cost per job is 50 dollars. What happens on each job?

Answer: B. You lose 2 dollars per job.

48 - 50 = -2: the lower price is below your cost.

✗ A. You earn 12 dollars per job.: that ignores your cost

✗ C. You earn 10 dollars per job.: that compares 60 and 50

✗ D. You break exactly even.: 48 is below 50

Arithmetic checked by code: yes. Sources: none (stable)

S13-M-Q1 · question page 254

ENT.TEST.04 · Choose a small, cheap test that answers one question

Which is the best small test for a homemade granola idea?

Answer: C. Sell 30 bags at a weekend farmers market

A small market test is cheap and shows whether people buy.

- ✗ A. Design packaging for 20 flavors right away: spends before learning
- ✗ B. Wait a year to perfect the recipe in private: no customer evidence
- ✗ D. Rent a factory to make 50,000 bags first: large cost before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q2 · question page 255

ENT.TEST.04 · Choose a small, cheap test that answers one question

What makes a test "good"?

Answer: A. A clear question, small cost, time limit and success target

Clear questions and pre-set targets keep a test honest and useful.

- ✗ B. Deciding what success means only after seeing all of the results: decide in advance to stay honest
- ✗ C. No time limit so it can run forever: tests need an end
- ✗ D. A big budget so the results look impressive: big budgets defeat the purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q3 · question page 256

ENT.TEST.04 · Choose a small, cheap test that answers one question

A founder wants to know if people will pay for pet sitting. Which test answers that question?

Answer: D. Offer paid visits to a few neighbors this month

Real paid visits answer the question directly.

- ✗ A. Post a photo of a cute dog online: likes are not bookings
- ✗ B. Ask friends if they like pets: liking pets is not paying
- ✗ C. Read several articles about the size of the pet industry: no customer evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q4 · question page 257

ENT.TEST.04 · Choose a small, cheap test that answers one question

Why decide the success target BEFORE the test?

Answer: A. So you judge results honestly, not by hope

A target set in advance prevents explaining away weak results.

- ✗ B. Because it makes the test cheaper to run: it does not change cost
- ✗ C. Because customers ask to see your target: customers do not need it
- ✗ D. Because targets can never be changed later: they can be revised for the next test

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q5 · question page 258

ENT.TEST.04 · Choose a small, cheap test that answers one question

A test cost 60 dollars and brought 4 paying customers. What was the cost per customer found?

Answer: B. 15 dollars

60 / 4 = 15 dollars per customer found.

- ✗ A. 64 dollars: that adds the numbers
- ✗ C. 240 dollars: that multiplies instead of dividing
- ✗ D. 4 dollars: that is the number of customers

Arithmetic checked by code: yes. Sources: none (stable)

S13-B1-Q1 · question page 259

ENT.TEST.04 · Smallest step that teaches something

Why is a lemonade stand a good test before a juice company?

Answer: C. It costs little and shows whether people pay.

A cheap step that reveals real buying behavior.

- ✗ A. It is the only way to sell drinks.: there are many ways
- ✗ B. It guarantees the juice company will succeed.: tests do not guarantee
- ✗ D. It needs no customers.: it needs customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q2 · question page 260

ENT.TEST.04 · Smallest step that teaches something

If the stand sells nothing, what did the owner lose?

Answer: A. A few dollars, not their savings

A small test keeps losses small.

- ✗ B. Everything they own: the test was small
- ✗ C. All future customers forever: not true
- ✗ D. Their right to start a business: no such loss

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q3 · question page 261

ENT.TEST.04 · Smallest step that teaches something

Which is a "smallest step" test for a tutoring idea?

Answer: D. Tutor two paying students for a month

Two paying students is a small, informative test.

✗ A. Open a tutoring center with ten staff: large step

✗ B. Buy a building for classes: large step

✗ C. Write a 300-page textbook: large step

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q4 · question page 262

ENT.TEST.04 · Smallest step that teaches something

What does a successful small test give you?

Answer: A. Evidence to plan the next step

Evidence guides the next decision.

✗ B. A guarantee of profit: no guarantees

✗ C. Permission from the government: unrelated

✗ D. A finished company: it is only a test

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q5 · question page 263

ENT.TEST.04 · Smallest step that teaches something

Which question could a one-day market stall answer?

Answer: C. Will shoppers pay 6 dollars for my soap?

A stall can test a specific price with real shoppers.

✗ A. Will my brand be famous worldwide?: too broad

✗ B. Will every store carry my soap?: too broad

✗ D. Will I be rich in ten years?: too far ahead

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q1 · question page 264

ENT.TEST.04 · Apply it: design a test for a stated question

Question: "Will office workers pre-order healthy lunches for delivery?" Which test fits best?

Answer: B. Take pre-orders for one week from two nearby offices

Pre-orders from real offices directly answer the question.

- ✗ A. Open a full restaurant downtown: too large
- ✗ C. Ask workers if they like salads: liking is not ordering
- ✗ D. Buy a delivery van and hire a driver before any orders arrive: spends before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q2 · question page 265

ENT.TEST.04 · Apply it: design a test for a stated question

A founder sets this target before a test: "At least 10 sign-ups from 100 visitors." The test gets 6 from 100. What should she conclude?

Answer: A. The test did not meet the target; rethink or adjust before scaling.

A missed target is honest information to act on.

- ✗ B. She should change the target to 5 now.: moving the target afterward is dishonest
- ✗ C. Tests never tell you anything useful.: this one gave useful information
- ✗ D. The test succeeded, because 6 sign-ups is fairly close to 10 sign-ups.: it missed the pre-set target

Arithmetic checked by code: yes. Sources: none (stable)

S13-F1-Q3 · question page 266

ENT.TEST.04 · Apply it: design a test for a stated question

Which test has the lowest cost for checking interest in a new online course?

Answer: C. A one-page description with a pre-sale or waitlist

A simple page tests interest before building the whole course.

✗ A. Hiring a team of video editors to film every lesson: high cost

✗ B. Buying a professional studio: high cost

✗ D. Filming all 40 lessons first: high cost before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q4 · question page 267

ENT.TEST.04 · Apply it: design a test for a stated question

A test should have a time limit. Which is reasonable for testing a weekend car-detailing offer?

Answer: A. Four weekends

A few weekends give enough results to judge.

✗ B. No limit at all: tests need an end

✗ C. Ten years: far too long

✗ D. One minute: too short to learn anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q5 · question page 268

ENT.TEST.04 · Apply it: design a test for a stated question

A soap maker spent 90 dollars to make 30 bars and sold 20 at 6 dollars. How much money came in from sales?

Answer: D. 120 dollars

20 x 6 = 120 dollars of sales.

✗ A. 180 dollars: that counts all 30 bars

✗ B. 26 dollars: that adds instead of multiplying

✗ C. 90 dollars: that is the cost

Arithmetic checked by code: yes. Sources: none (stable)

S13-F2-Q1 · question page 269

ENT.TEST.04 · Handle the complications: tests that can mislead

A test ran only during a holiday rush and sold out. What should the founder check before scaling up?

Answer: B. Whether sales hold up in a normal week

A holiday spike may not reflect normal demand.

- ✗ A. Whether holiday customers liked the colors: not the key question
- ✗ C. Whether to triple production at once: too early
- ✗ D. Whether to stop testing completely: more testing is needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q2 · question page 270

ENT.TEST.04 · Handle the complications: tests that can mislead

A founder gave away free samples and everyone took one. What did this test fail to show?

Answer: A. Whether people would pay

Free uptake does not show willingness to pay.

- ✗ B. Whether the founder can make samples: it does show that
- ✗ C. Whether people like free things: that is obvious
- ✗ D. Whether the samples were tasty: it may show that

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q3 · question page 271

ENT.TEST.04 · Handle the complications: tests that can mislead

Two tests asked the same neutral question under comparable conditions. Test A asked 200 prospective target customers recruited independently; Test B asked 10 close friends. Both had a 50 percent yes rate. Which result is more trustworthy?

Answer: D. Test A, because the group is larger and less biased

A larger group of independently recruited target customers gives more reliable results than a few friends, who tend to be kind.

✗ A. Test B, because friends are honest: friends tend to be kind

✗ B. Neither, because tests never work: tests can work

✗ C. Both equally, because the yes rate is the same in each group: size and bias differ

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q4 · question page 272

ENT.TEST.04 · Handle the complications: tests that can mislead

A test met its target, but each customer cost far more to find than they paid. What does this suggest?

Answer: C. Demand may exist, but the way of finding customers needs to change.

Meeting a target is not enough if each sale loses money.

✗ A. Everything is fine; scale it now.: each customer loses money

✗ B. The price should be lowered further so that more customers sign up.: that makes the loss worse

✗ D. Customers do not exist at all.: they do exist

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q5 · question page 273

ENT.TEST.04 · Handle the complications: tests that can mislead

A test spent 200 dollars on ads and gained 5 customers who each pay 30 dollars once. What is the result?

Answer: A. It spent 50 dollars more than it brought in.

5 x 30 = 150 dollars in; 150 - 200 = -50.

✗ B. It made 200 dollars.: that is the spending

✗ C. It broke exactly even.: 150 is less than 200

✗ D. It made 150 dollars of profit from the ads.: 5 x 30 is 150 in, minus 200

Arithmetic checked by code: yes. Sources: none (stable)

S14-M-Q1 · question page 275

ENT.TEST.05 · Rank evidence of demand

Which is the strongest evidence of demand?

Answer: B. Ten customers paid a deposit to reserve a spot.

Paying a deposit means giving up money, the strongest signal.

- ✗ A. Fifty people liked a photo of the product online.: likes cost nothing
- ✗ C. A hundred people visited the website once.: a visit is low effort
- ✗ D. Twenty people said "I would buy that" at a party.: a promise costs nothing

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q2 · question page 276

ENT.TEST.05 · Rank evidence of demand

Rank from strongest to weakest: (1) email sign-up, (2) purchase, (3) compliment.

Answer: C. Purchase, sign-up, compliment

Money beats an email address, which beats words.

- ✗ A. Sign-up, purchase, compliment: a purchase is stronger than a sign-up
- ✗ B. Sign-up, compliment, purchase: a purchase is strongest
- ✗ D. Compliment, sign-up, purchase: reversed

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q3 · question page 277

ENT.TEST.05 · Rank evidence of demand

Why is a pre-order strong evidence?

Answer: B. The customer commits money before getting the product.

Committing money in advance shows real intent.

✗ A. It is free for the customer to place.: a paid pre-order costs money

✗ C. It guarantees the business will earn a profit later on.: nothing guarantees profit

✗ D. It proves the product will be perfect.: it proves interest, not quality

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q4 · question page 278

ENT.TEST.05 · Rank evidence of demand

A booking that requires choosing a time and giving contact details is stronger than a "like" because...

Answer: D. it takes real effort and commitment.

More effort from the customer means more meaningful evidence.

✗ A. it is easier than clicking a like.: it is harder

✗ B. it shows the person is a friend.: not necessarily

✗ C. it costs the business nothing.: that is not why

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q5 · question page 279

ENT.TEST.05 · Rank evidence of demand

Out of 80 visitors to a pre-order page, 4 paid a deposit. What percent paid?

Answer: C. 5 percent

4 / 80 = 0.05, or 5 percent.

✗ A. 4 percent: that is the count, not the percent

✗ B. 20 percent: that divides 80 by 4

✗ D. 50 percent: far too high

Arithmetic checked by code: yes. Sources: none (stable)

S14-B1-Q1 · question page 280

ENT.TEST.05 · What did it cost them?

What does a "like" cost the person?

Answer: B. About a second of effort

Likes cost almost nothing.

- ✗ A. An hour of their time: far less
- ✗ C. Real money: likes are free
- ✗ D. A signed contract: no contract

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q2 · question page 281

ENT.TEST.05 · What did it cost them?

Which signal costs the person the most?

Answer: D. Paying for the product

Paying costs real money.

- ✗ A. Saying "great idea": costs nothing
- ✗ B. Typing an email address: a little effort
- ✗ C. Clicking like: almost nothing

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q3 · question page 282

ENT.TEST.05 · What did it cost them?

Why trust costly signals more?

Answer: D. People rarely give up money or effort for things they do not want.

Giving up something valuable shows real interest.

- ✗ A. Costly signals are easier to collect.: they are harder to collect
- ✗ B. Free signals are always lies.: they are not lies, just weak

✗ C. Costly signals come only from friends and family members who want to help.: they come from anyone

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q4 · question page 283

ENT.TEST.05 · What did it cost them?

Booking a time slot costs the person what?

Answer: C. Planning and commitment

Booking requires planning.

✗ A. A full payment always: not always
✗ B. Their email password: no
✗ D. Nothing at all: it takes effort

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q5 · question page 284

ENT.TEST.05 · What did it cost them?

"Great idea!" from a stranger is what kind of signal?

Answer: A. Weak, because it costs nothing

Free words are weak evidence.

✗ B. Proof of a sale: no sale occurred
✗ C. Strong, because strangers are honest: it still costs nothing
✗ D. A legal agreement: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q1 · question page 285

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A founder of a meal-prep service can run one test. Which gathers the strongest evidence?

Answer: B. Take paid orders for next week's meals

Paid orders are the strongest available evidence.

- ✗ A. Post a poll asking if people like healthy food: cheap opinions
- ✗ C. Count likes on a meal photo: likes are weak
- ✗ D. Ask friends to say it sounds good: words are weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q2 · question page 286

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A crafts seller collected 200 email sign-ups but only 3 sales from them. What should she conclude?

Answer: B. Interest is mild; many sign-ups did not turn into buying.

Few sales from many sign-ups shows weaker demand than the sign-ups suggest.

- ✗ A. Sales do not really matter when email sign-ups are this high.: sales matter most
- ✗ C. Demand is huge because of 200 sign-ups.: sign-ups are weaker than sales
- ✗ D. She should stop selling completely now.: too extreme from one result

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q3 · question page 287

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

Which pre-launch offer gives the strongest signal for a new board game?

Answer: B. A paid pre-order with a ship date

Paying before launch is the strongest signal.

- ✗ A. A free newsletter about games: no commitment

✗ C. A contest to name the game: engagement, not demand

✗ D. A survey about favorite colors: opinions

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q4 · question page 288

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

Two tests: A got 500 likes and 0 sales. B got 40 likes and 12 sales. Which shows stronger demand?

Answer: C. Test B, because 12 people paid

Paying customers outweigh likes.

✗ A. Neither, because likes and sales are unrelated: sales are the key signal

✗ B. Test A, because it got more likes: likes are weak

✗ D. Both equally, because both got attention: only B got sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q5 · question page 289

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A deposit is 25 dollars. Eight customers paid a deposit. How much was committed in total?

Answer: A. 200 dollars

8 x 25 = 200 dollars committed.

✗ B. 8 dollars: that is the number of customers

✗ C. 25 dollars: that is one deposit

✗ D. 33 dollars: that adds instead of multiplying

Arithmetic checked by code: yes. Sources: none (stable)

S14-F2-Q1 · question page 290

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A founder's relatives made most of the early purchases. What should she be careful about?

Answer: D. Relatives may buy to support her, not because they need it.

Purchases from supporters may not reflect strangers' demand.

- ✗ A. Relatives' purchases prove that strangers will also buy the same product.: they may not
- ✗ B. She should refuse to sell to relatives.: not required; just interpret carefully
- ✗ C. Relatives' money is not real money.: it is real, but the motive differs

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q2 · question page 291

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

Pre-orders came in, but the founder cannot deliver for 6 months and many customers asked for refunds. What does this show?

Answer: A. Interest existed, but delays can turn demand into refunds.

Evidence of interest must be matched by delivery the customer accepts.

- ✗ B. Pre-orders guarantee that customers will stay no matter how long they wait.: refunds show they did not
- ✗ C. Delays never affect customers.: they clearly did
- ✗ D. Refunds prove no one wanted it.: they wanted it, but not the delay

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q3 · question page 292

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A business got 30 sales, but all came with a 70 percent discount. What should be tested next?

Answer: B. Whether people buy at a price that covers costs

Heavy-discount sales may not show demand at a sustainable price.

- ✗ A. Whether a 90 percent discount sells even more: moves away from viability

✗ C. Whether the product color matters: not the key question

✗ D. Whether to stop selling for a year: no reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q4 · question page 293

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A survey says 60 percent "would buy," but past tests show only about 1 in 10 people who say this actually buy. About what share of people will likely buy?

Answer: D. About 6 percent

60 percent x 1/10 = 6 percent.

✗ A. 60 percent: that ignores the follow-through rate

✗ B. About 50 percent: no basis

✗ C. About 10 percent: that is the follow-through rate alone

Arithmetic checked by code: yes. Sources: none (stable)

S14-F2-Q5 · question page 294

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

Which missing information should a founder check before trusting a "200 pre-orders" claim from a partner?

Answer: C. Whether the pre-orders were paid or just free reservations

Paid and free pre-orders mean very different things.

✗ A. Whether the partner likes the founder: not relevant

✗ B. What color the order form was: not relevant

✗ D. How long the partner has used social media to promote other products: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q1 · question page 296

ENT.TEST.06 · Explain why likes and praise are weak demand signals

A post about a new candle got 3,000 likes and 2 sales. What does this most likely show?

Answer: A. Many people noticed it, but few wanted to buy.

Attention is not the same as buying.

- ✗ B. The likes prove sales will rise soon.: likes do not predict sales reliably
- ✗ C. Demand is very strong because of the likes.: likes did not turn into sales
- ✗ D. Likes and sales always move together.: this example shows they do not

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q2 · question page 297

ENT.TEST.06 · Explain why likes and praise are weak demand signals

Why are compliments weak evidence of demand?

Answer: C. They cost nothing to give.

Free signals do not show willingness to pay.

- ✗ A. They are always insincere and untrue.: they can be sincere but still free
- ✗ B. Customers never give compliments.: many do
- ✗ D. Compliments are illegal to collect.: not illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q3 · question page 298

ENT.TEST.06 · Explain why likes and praise are weak demand signals

Which action is the strongest sign of demand?

Answer: B. A message asking how to place an order

Asking how to buy shows intent to purchase.

- ✗ A. A new follower on a social account: free and quick
- ✗ C. A heart reaction on a product photo: free and quick

✗ D. A comment saying "so cute!": free praise

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q4 · question page 299

ENT.TEST.06 · Explain why likes and praise are weak demand signals

A creator has 10,000 followers but sells almost nothing. Which is a likely reason?

Answer: D. Followers enjoy the content but are not buyers.

Followers can be fans of content without needing to buy.

✗ A. Followers are the same as paying customers.: they are not
✗ B. Sales are impossible on social media.: many sell on social media
✗ C. 10,000 followers always buy something.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q5 · question page 300

ENT.TEST.06 · Explain why likes and praise are weak demand signals

What should likes be treated as?

Answer: A. A sign of attention

Likes show that something got noticed.

✗ B. A sign of guaranteed profit: no guarantee
✗ C. A legal contract: no
✗ D. A replacement for sales: they are not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q1 · question page 301

ENT.TEST.06 · Attention versus buying

People stopping to look at a store window show what?

Answer: B. Attention

Looking is attention.

- ✗ A. Refunds: nothing was returned
- ✗ C. Profit: nothing was sold
- ✗ D. Purchases: they did not buy

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q2 · question page 302

ENT.TEST.06 · Attention versus buying

Online, a like is most like what?

Answer: C. Glancing at a store window

A like is a quick glance.

- ✗ A. Signing a lease: unrelated
- ✗ B. Paying for an item at the counter: a like costs nothing
- ✗ D. Returning an item: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q3 · question page 303

ENT.TEST.06 · Attention versus buying

Who matters most when measuring demand?

Answer: A. People who pay or make a real commitment

Paying or committing shows demand.

- ✗ B. People who scroll by and never notice the post: no action
- ✗ C. People who glance: attention only
- ✗ D. People who scroll past: no action

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q4 · question page 304

ENT.TEST.06 · Attention versus buying

Which shows buying behavior?

Answer: A. A customer pays for an order

Paying is buying.

- ✗ B. A person shares a meme: attention
- ✗ C. A person follows an account: attention
- ✗ D. A person likes a photo: attention

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q5 · question page 305

ENT.TEST.06 · Attention versus buying

Many look, few buy. What does this pattern describe?

Answer: D. Normal shopping behavior

Most attention never becomes a purchase.

- ✗ A. A broken website: not necessarily
- ✗ B. A guaranteed failure: no
- ✗ C. A legal problem: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q1 · question page 306

ENT.TEST.06 · Apply it: read social signals sensibly

Two products: A got 900 likes and 5 orders. B got 120 likes and 30 orders. Which shows stronger demand?

Answer: C. Product B

Orders show demand; B had six times as many.

- ✗ A. Neither, since likes were low: B sold well

✗ B. Product A, because it got more likes: fewer orders

✗ D. Both equally, since both got likes: orders differ

Arithmetic checked by code: yes. Sources: none (stable)

S15-F1-Q2 · question page 307

ENT.TEST.06 · Apply it: read social signals sensibly

A baker wants a better demand signal than likes. Which step helps most?

Answer: B. Post a pre-order link for Saturday pickup

A pre-order link turns attention into a real commitment.

✗ A. Buy a follower package to look popular: fake followers mislead

✗ C. Post more photos of the same cake: more attention, not orders

✗ D. Ask followers to like the post more: still likes

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q3 · question page 308

ENT.TEST.06 · Apply it: read social signals sensibly

A video got 50,000 views. 25 viewers bought the product. What fraction of viewers bought?

Answer: A. 1 in 2,000

50,000 / 25 = 2,000, so 1 in 2,000 bought.

✗ B. 1 in 50: that would be 1,000 buyers

✗ C. 1 in 200 people: that would be 250 buyers

✗ D. 1 in 20: that would be 2,500 buyers

Arithmetic checked by code: yes. Sources: none (stable)

S15-F1-Q4 · question page 309

ENT.TEST.06 · Apply it: read social signals sensibly

Which comment is the most useful demand signal?

Answer: C. "Do you ship to Ohio? I want two."

Asking about shipping two items shows buying intent.

- ✗ A. "Following for more posts like this one": attention only
- ✗ B. "So pretty": praise only
- ✗ D. "Love this!!!": praise only

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q5 · question page 310

ENT.TEST.06 · Apply it: read social signals sensibly

A founder plans to judge a launch by likes. What better measure fits the goal of sales?

Answer: D. Orders and sales in the first two weeks

The goal is sales, so measure sales.

- ✗ A. Number of emoji reactions: attention only
- ✗ B. Number of likes in the first hour: attention only
- ✗ C. Number of shares by friends: attention only

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q1 · question page 311

ENT.TEST.06 · Handle the complications: when attention misleads

A post went viral because of a funny mistake in the video, not the product. Sales did not change. What is the best conclusion?

Answer: B. The attention was about the mistake, not demand for the product.

Viral attention can be about something other than the product.

- ✗ A. The product must be terrible because sales stayed flat.: too strong a conclusion
- ✗ C. Viral posts always prove product demand.: not here
- ✗ D. The founder should repeat the mistake on purpose.: not a reliable plan

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q2 · question page 312

ENT.TEST.06 · Handle the complications: when attention misleads

A seller bought 5,000 followers. Likes rose, sales did not. What is the main problem?

Answer: C. Bought followers are often not real buyers, so the numbers mislead.

Fake or bought followers inflate numbers without adding customers.

- ✗ A. Sales never follow followers.: real followers can buy
- ✗ B. Buying followers always increases sales a lot over time.: it did not here
- ✗ D. Followers are always real customers.: bought followers are not

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q3 · question page 313

ENT.TEST.06 · Handle the complications: when attention misleads

Many friends praise a product idea online. Before investing, what should the founder check?

Answer: A. Whether people outside her circle will pay

Paying strangers are better evidence than praising friends.

- ✗ B. Whether friends will keep praising it: praise is weak
- ✗ C. Whether the post can get more hearts: still attention
- ✗ D. Whether to buy more followers: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q4 · question page 314

ENT.TEST.06 · Handle the complications: when attention misleads

An account has high engagement (many comments) but low sales. Which next test best checks demand?

Answer: A. Offer a limited paid pre-order and count buyers

A paid offer tests whether engaged followers will buy.

- ✗ B. Post more often each day without any offer or link: no test of buying
- ✗ C. Ask for even more comments: still attention
- ✗ D. Delete the account: too extreme

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q5 · question page 315

ENT.TEST.06 · Handle the complications: when attention misleads

A post with 4,000 likes sold 8 items at 15 dollars each. What were total sales?

Answer: B. 120 dollars

8 x 15 = 120 dollars; the likes did not add sales.

- ✗ A. 4,015 dollars: that adds likes and price
- ✗ C. 15 dollars: one item
- ✗ D. 60,000 dollars: that multiplies likes by price

Arithmetic checked by code: yes. Sources: none (stable)

S16-M-Q1 · question page 317

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 20 paid bookings in a month. Result: 26 bookings. What is the sensible decision?

Answer: A. Continue

Results above the target support continuing.

- ✗ B. Stop: the target was exceeded
- ✗ C. Ignore the result: results should guide the decision
- ✗ D. Change the target to 40 and call it a failure: moving targets afterward is unfair

Arithmetic checked by code: yes. Sources: none (stable)

S16-M-Q2 · question page 318

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 20 bookings. Result: 3 bookings, and customers said the price was fine but the hours did not suit them. What fits best?

Answer: D. Change the hours and test again

Part works (price) and part does not (hours); a change is worth testing.

- ✗ A. Stop, since all ideas with 3 bookings fail: the feedback points to a fixable issue
- ✗ B. Continue exactly as before: results were far below target
- ✗ C. Raise the price immediately: price was not the problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q3 · question page 319

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 30 sales. Result: 1 sale. No feedback suggests a better version, and costs keep rising. What fits best?

Answer: B. Stop and move to a better idea

Far below target with no promising signal supports stopping.

- ✗ A. Call it a success because one person bought: far below target
- ✗ C. Continue with more money: nothing suggests improvement
- ✗ D. Change only the logo: a logo will not fix demand this weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q4 · question page 320

ENT.TEST.07 · Decide from results whether to continue, change or stop

What does "pivot" mean here?

Answer: C. Changing an important part of the idea based on what you learned

A pivot keeps what works and changes what does not.

- ✗ A. Closing the business for good: that is stopping
- ✗ B. Repeating the same test again with nothing changed at all: that is continuing
- ✗ D. Hiring a large team at once: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q5 · question page 321

ENT.TEST.07 · Decide from results whether to continue, change or stop

Why is stopping sometimes the right decision?

Answer: D. It saves time and money for a better idea.

Stopping protects resources.

- ✗ A. It always earns money back.: it may not
- ✗ B. It proves the founder made no mistakes.: not the point
- ✗ C. It is required after any first test.: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q1 · question page 322

ENT.TEST.07 · Three choices after a test

Most cookies sold. What is the choice?

Answer: B. Continue

Good results mean continue.

- ✗ A. Change: nothing needs changing
- ✗ C. Ignore it: results matter
- ✗ D. Stop: they sold well

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q2 · question page 323

ENT.TEST.07 · Three choices after a test

People loved the taste but said cookies were too big for the price. What is the choice?

Answer: C. Change the size

Part works; adjust the part that does not.

- ✗ A. Stop selling cookies: the taste works
- ✗ B. Continue unchanged: feedback points to a change
- ✗ D. Double the price: the problem was value for size

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q3 · question page 324

ENT.TEST.07 · Three choices after a test

Almost no one bought, and no one said why. What is the choice?

Answer: A. Try a different treat

Weak results with no clue suggest stopping.

- ✗ B. Keep going exactly the same: no reason to expect change
- ✗ C. Raise the price: unlikely to help
- ✗ D. Make twice as many cookies: demand is weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q4 · question page 325

ENT.TEST.07 · Three choices after a test

What should guide the choice?

Answer: B. The results and what people said

Evidence guides the decision.

✗ A. What your friends prefer: friends are not the market

✗ C. The color of the packaging: not the main factor

✗ D. How much you hoped it would work: hope is not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q5 · question page 326

ENT.TEST.07 · Three choices after a test

"Change" means what?

Answer: A. Keep what works and adjust what does not

Change is a targeted adjustment.

✗ B. Start everything from zero with a brand-new idea: that is stopping

✗ C. Close forever: that is stopping

✗ D. Do nothing new: that is continuing

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q1 · question page 327

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A tutoring test set a target of 8 students. It got 9 students, but each needs 2 hours of travel. The tutor's goal is to earn at least 25 dollars per hour of total time. Each session pays 40 dollars for 1 hour of teaching. What should the tutor conclude?

Answer: D. Demand is there, but travel time makes the pay too low; change the setup

40 dollars / 3 hours is about 13 dollars an hour, below 25; a change such as online sessions is needed.

✗ A. Raise the target to 20 students: more students would not fix the hourly pay

✗ B. Stop, because tutoring never works: demand exists

✗ C. Continue unchanged, because the target of 8 students was met and passed: the earnings goal is missed

Arithmetic checked by code: yes. Sources: none (stable)

S16-F1-Q2 · question page 328

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A juice stand sold 70 cups against a target of 50, but lost money because cups cost too much. Best next step?

Answer: C. Continue selling but change the cost or price

Strong demand plus a cost problem calls for a change, not stopping.

- ✗ A. Ignore the loss because sales were high: losses add up
- ✗ B. Stop immediately, since it lost money: demand was strong
- ✗ D. Lower the price to sell even more: that increases the loss

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q3 · question page 329

ENT.TEST.07 · Apply it: decide with stated targets and feedback

An app test: target 100 sign-ups, result 95, and users who signed up used it every day. What fits best?

Answer: C. Continue; it is close to target and usage is strong

A near-target result with strong usage supports continuing.

- ✗ A. Delete the app and start over: too extreme
- ✗ B. Change everything about the app, from the name to the features: it is mostly working
- ✗ D. Stop, because 95 is below 100: a near miss with strong usage

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q4 · question page 330

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A dog-walking test got many requests, but almost all were for cat sitting. What change is most sensible?

Answer: B. Test a cat-sitting offer

Customer requests point toward a better offer.

- ✗ A. Keep offering only dog walking: ignores the clear signal
- ✗ C. Stop all pet services: there is clear demand
- ✗ D. Raise dog-walking prices: not the signal

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q5 · question page 331

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A test cost 300 dollars and earned 120 dollars, far below the 400-dollar target, with no useful feedback. What is the most reasonable choice?

Answer: C. Stop or test a clearly different idea

Far below target with no signal supports stopping.

- ✗ A. Spend 3,000 dollars more on the same plan: no sign it would improve
- ✗ B. Change only the font on the flyer: too small a change
- ✗ D. Call it a success: far below target

Arithmetic checked by code: yes. Sources: none (stable)

S16-F2-Q1 · question page 332

ENT.TEST.07 · Handle the complications: mixed and unclear results

Results are mixed: half the customers loved it, half asked for refunds. What should the founder check before deciding?

Answer: A. What the happy and unhappy customers have in common

Finding what separates the two groups points to the right customer or change.

- ✗ B. Whether to raise prices for every customer right away: premature
- ✗ C. Whether the logo is popular: not relevant
- ✗ D. Which group is louder online: not the key fact

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q2 · question page 333

ENT.TEST.07 · Handle the complications: mixed and unclear results

A founder keeps lowering the success target after each weak test so she can "continue." What is the problem?

Answer: D. Moving targets hides weak results and wastes time.

Targets set in advance keep decisions honest.

- ✗ A. Targets should never be set at all.: they are useful
- ✗ B. Lower targets always lead to success in the end.: not true
- ✗ C. There is no problem with this.: it hides evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q3 · question page 334

ENT.TEST.07 · Handle the complications: mixed and unclear results

A test met its target, but the founder has no time left because of a new job. What is a sensible option?

Answer: C. Pause, or find help, before committing to growth

Good results still require the capacity to deliver.

- ✗ A. Grow quickly anyway: ignores capacity
- ✗ B. Pretend the test failed so there is no pressure to grow: dishonest
- ✗ D. Double the target: does not solve the time problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q4 · question page 335

ENT.TEST.07 · Handle the complications: mixed and unclear results

A test missed its target, but the founder discovers the payment link was broken for most of the test. What should she do?

Answer: A. Fix the link and run the test again

A flawed test does not give a fair answer; fix and retest.

- ✗ B. Stop the idea based on this result: the test was flawed
- ✗ C. Count the result as a success: it was not
- ✗ D. Ignore the broken link: it affected results

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q5 · question page 336

ENT.TEST.07 · Handle the complications: mixed and unclear results

Target: at least 25 percent of visitors book. Result: 18 of 60 visitors booked. Should the founder continue by that target?

Answer: C. Yes, 30 percent booked, above the target

18 / 60 = 0.30, which is 30 percent.

- ✗ A. No, only 18 percent booked: 18 is the count; the percent is 30
- ✗ B. It cannot be judged from these numbers: it can
- ✗ D. No, 18 is below 25: that compares a count with a percent

Arithmetic checked by code: yes. Sources: none (stable)

S17-M-Q1 · question page 338

ENT.CASE.03 · Apply a documented test: sell before holding inventory

According to the passage, how did Swinmurn fill early orders?

Answer: D. He bought the shoes from local stores and shipped them.

He bought each ordered pair at full price from the store.

- ✗ A. He had a factory make each pair to order.: not in the passage
- ✗ B. He shipped shoes from a large warehouse he owned.: he held no inventory
- ✗ C. He asked customers to pick up shoes at his home.: not in the passage

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-M-Q2 · question page 339

ENT.CASE.03 · Apply a documented test: sell before holding inventory

What question was this test designed to answer?

Answer: A. Would people buy shoes online?

The test checked whether online shoe buying had demand.

- ✗ B. Which shoe color is the most popular?: not the main question
- ✗ C. Which store has the best staff?: not tested
- ✗ D. How cheaply can shoes be made?: not tested

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-M-Q3 · question page 340

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Why might early sales have earned little money?

Answer: C. He paid full store price for each pair.

Buying at full retail left little or no margin.

- ✗ A. He gave every pair away free.: customers paid
- ✗ B. Customers paid twice the price.: not stated
- ✗ D. He had no shipping costs at all on any order.: he shipped the shoes

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-M-Q4 · question page 341

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Mara wants to sell imported tea online but cannot afford stock. Applying the lesson, what is a good first test?

Answer: B. List a few teas, buy them only after orders arrive, and ship

Selling before stocking tests demand cheaply.

- ✗ A. Buy a full container of tea first: heavy stock first
- ✗ C. Assume demand without any test: no evidence
- ✗ D. Wait until she can afford to rent a warehouse full of tea: no learning meanwhile

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-M-Q5 · question page 342

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Which statement fits the course's interpretation?

Answer: D. Early tests aim to learn, not to maximize profit.

The test's goal was learning.

- ✗ A. Holding large stock is the only real test.: the case shows otherwise
- ✗ B. Every early sale must be profitable.: not required in a test
- ✗ C. This method guarantees success for any product.: no guarantee

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-B1-Q1 · question page 343

ENT.CASE.03 · Testing demand before stock

Which approach takes orders first?

Answer: B. Bake only what customers ordered

Ordering first ties spending to demand.

- ✗ A. Hire staff before any orders: no orders first
- ✗ C. Buy a bakery building first: no orders first
- ✗ D. Bake 200 loaves and hope: no orders first

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-B1-Q2 · question page 344

ENT.CASE.03 · Testing demand before stock

Why does taking orders first risk less?

Answer: D. You spend only after customers commit.

Spending follows commitments.

- ✗ A. Ingredients become free.: they are not free
- ✗ B. It avoids dealing with any customers at all.: it needs customers
- ✗ C. Customers pay double.: not stated

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-B1-Q3 · question page 345

ENT.CASE.03 · Testing demand before stock

What is a downside of baking only to order?

Answer: A. It can be slower and less efficient.

Small batches can be slower.

- ✗ B. It needs a large warehouse for the bread.: it does not
- ✗ C. It guarantees huge waste.: it reduces waste
- ✗ D. It is illegal.: not illegal

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-B1-Q4 · question page 346

ENT.CASE.03 · Testing demand before stock

Baking 200 loaves before any orders is what?

Answer: C. Spending before knowing demand

It risks money before evidence.

✗ A. A pre-order: no orders were taken

✗ B. A refund: unrelated

✗ D. Testing demand first with real orders: no test happened

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-B1-Q5 · question page 347

ENT.CASE.03 · Testing demand before stock

What does ordering first tell you?

Answer: D. What people actually want

Orders reveal real demand.

✗ A. Your future profit for sure: no guarantee

✗ B. The best bakery name: unrelated

✗ C. Nothing useful: it shows real demand

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F1-Q1 · question page 348

ENT.CASE.03 · Apply it: test before stocking in a new business

Leo wants to sell custom phone stands. Which plan best applies the lesson?

Answer: A. Show photos of a sample, take orders, then make each stand

Taking orders before production tests demand cheaply.

✗ B. Skip samples and only post a logo: no real offer

✗ C. Rent a store before making a sample: big cost first

✗ D. Make 1,000 stands in a workshop before showing anyone a sample: stock before demand

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F1-Q2 · question page 349

ENT.CASE.03 · Apply it: test before stocking in a new business

A seller buys each item at 20 dollars and sells at 22 dollars, plus pays 5 dollars shipping. What happens on each sale during this test?

Answer: B. She loses 3 dollars per sale.

22 - 20 - 5 = -3 dollars per sale.

- ✗ A. She earns 2 dollars per sale.: that ignores shipping
- ✗ C. She breaks even.: not quite
- ✗ D. She earns 7 dollars per sale.: that adds shipping instead of subtracting

Arithmetic checked by code: yes. Sources: case_zappos; copyright_fairuse; usc_109

S17-F1-Q3 · question page 350

ENT.CASE.03 · Apply it: test before stocking in a new business

Given the loss above, why might the test still be worthwhile?

Answer: B. It shows whether people buy before investing in stock.

A small, temporary loss can buy useful evidence.

- ✗ A. It proves the business will make a large profit later.: no guarantee
- ✗ C. Losses are always good for a business.: not true
- ✗ D. Shipping costs do not matter in tests.: they matter

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F1-Q4 · question page 351

ENT.CASE.03 · Apply it: test before stocking in a new business

A test showed strong orders. What should come next before buying large stock?

Answer: D. Find a supplier price that leaves a profit

After proving demand, the business must fix its costs.

- ✗ A. Stop testing and ignore costs: costs matter
- ✗ B. Raise prices without checking demand: risky
- ✗ C. Keep losing money on every sale forever: not sustainable

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F1-Q5 · question page 352

ENT.CASE.03 · Apply it: test before stocking in a new business

Which product is LEAST suited to "buy only after an order"?

Answer: D. Fresh food that must be ready instantly

Some products cannot wait for an order to be bought or made.

- ✗ A. Books from a supplier: can be ordered after sales
- ✗ B. Printed posters made on demand after each order: made after orders
- ✗ C. Shoes from a nearby store: can be bought after an order

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F2-Q1 · question page 353

ENT.CASE.03 · Handle the complications: when the tactic does not fit

A store owner learns her product photos are being copied, without permission, to sell her shoes online. What should a founder using this tactic have done?

Answer: D. Ask permission to use the store's photos, or take his own

The store's photos are its copyrighted work, so using them needs permission or his own photos. Reselling genuine shoes that were bought lawfully is a separate question.

- ✗ A. Hide where the shoes came from: unfair
- ✗ B. Copy the store's brand name: could be a trademark problem
- ✗ C. Assume any photo of a store's shoes is free to use online: not safe

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F2-Q2 · question page 354

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Customers expect delivery in 2 days, but buying each item after an order takes 5 days. What is the main risk?

Answer: D. Slow delivery may cause cancellations and bad reviews.

The test must still meet customer expectations or tell them clearly.

- ✗ A. There is no risk if the item arrives eventually.: expectations matter
- ✗ B. Customers prefer slow delivery.: not usually
- ✗ C. Delivery time never matters online.: it matters

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F2-Q3 · question page 355

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Which detail should a founder check before copying the "buy after order" approach for a rare product?

Answer: C. Whether the supplier will reliably have the item in stock

If supply is unreliable, orders may not be filled.

- ✗ A. Whether the founder of Zappos personally liked this kind of product: irrelevant
- ✗ B. What year Zappos started: trivia
- ✗ D. Whether competitors use the same font: irrelevant

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F2-Q4 · question page 356

ENT.CASE.03 · Handle the complications: when the tactic does not fit

A founder ran the test, lost money on every sale, and kept going for two years without changing costs. What went wrong?

Answer: A. The test turned into a long-term loss without a plan to fix costs.

A test should be short and lead to a plan for profitable operation.

- ✗ B. The test should have lasted five years.: longer does not fix costs
- ✗ C. Tests should never lose any money.: small losses can be acceptable
- ✗ D. Nothing went wrong, because losses are part of every business forever.:

not sustainable

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S17-F2-Q5 · question page 357

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Which is the most accurate statement about using a famous founder's tactic?

Answer: B. The tactic may help, but your product, costs and customers must be checked.

Tactics must be adapted to different conditions.

- ✗ A. The tactic guarantees the same success for any founder who copies it.: no guarantee
- ✗ C. Only shoe sellers may use it.: others can adapt it
- ✗ D. The tactic never works for anyone else.: too strong

Arithmetic checked by code: not applicable. Sources: case_zappos; copyright_fairuse; usc_109

S18-M-Q1 · question page 359

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

According to the passage, what did Houston share before the product was public?

Answer: B. A short demo video

He shared a demo video with a waiting-list sign-up.

- ✗ A. A finished product sold in stores: it was not finished
- ✗ C. A printed catalog of features: not mentioned
- ✗ D. A list of investors: not mentioned

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q2 · question page 360

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

What did the video let viewers do?

Answer: C. Join a waiting list for the early version

The sign-up was for a beta waiting list.

- ✗ A. Download the finished app: not finished
- ✗ B. Buy a lifetime plan for the product immediately: not stated
- ✗ D. Apply for a job at the company: not stated

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q3 · question page 361

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Why does the passage avoid exact sign-up numbers?

Answer: B. Different accounts give different numbers.

When sources disagree, the course avoids the disputed detail.

- ✗ A. The numbers were secret forever.: not stated
- ✗ C. There were no sign-ups at all.: the list grew
- ✗ D. Numbers never matter in business stories like this one.: they matter, but must be reliable

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q4 · question page 362

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Which lesson does the course draw?

Answer: D. A demo can test interest, but sign-ups are not payment.

Interest is useful evidence but weaker than payment.

- ✗ A. Products must be fully finished before any test is run.: the case shows otherwise
- ✗ B. Sign-ups prove customers will pay.: sign-ups are weaker than payment
- ✗ C. Videos always go viral.: no guarantee

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q5 · question page 363

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Sofia is building a budgeting app. Applying the lesson, what is a good early test?

Answer: B. Show a short demo and offer a waiting list

A demo tests interest before full building.

- ✗ A. Spend a year building every feature first: no early evidence
- ✗ C. Skip any test and launch in app stores: no early evidence
- ✗ D. Buy ads for an app that does not exist without explaining it: misleading

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q1 · question page 364

ENT.CASE.04 · Interest versus payment

A waiting-list sign-up measures what?

Answer: D. Interest

Giving an email shows interest.

- ✗ A. Payment: no money given
- ✗ B. Profit: no sale
- ✗ C. Refunds: unrelated

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q2 · question page 365

ENT.CASE.04 · Interest versus payment

Which measures commitment?

Answer: C. Paying for early access

Paying shows commitment.

✗ A. Liking a post: attention only

✗ B. Watching a demo: interest only

✗ D. Joining an email list: interest only

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q3 · question page 366

ENT.CASE.04 · Interest versus payment

A large waiting list should lead to which next step?

Answer: A. Check how many will pay

Test payment next.

✗ B. Stop collecting emails: not necessary

✗ C. Assume all will pay: not safe

✗ D. Delete the list: no reason

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q4 · question page 367

ENT.CASE.04 · Interest versus payment

Why can a sign-up list overstate demand?

Answer: B. Many people sign up but never buy.

Free sign-ups are easy to give.

✗ A. Sign-ups are illegal.: no

✗ C. Sign-ups cost a lot of money.: they are free

✗ D. Sign-ups are always fake.: not always

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q5 · question page 368

ENT.CASE.04 · Interest versus payment

Which is stronger evidence?

Answer: A. 50 paid early-access customers

Paid customers are strongest.

- ✗ B. 50 likes: attention only
- ✗ C. 5,000 video views: attention only
- ✗ D. 500 email sign-ups for updates: interest only

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q1 · question page 369

ENT.CASE.04 · Apply it: a demo test for a new digital product

A designer has a template idea. Which test follows the lesson AND checks payment?

Answer: B. Show a demo, then offer paid early access at a discount

A demo plus a paid offer tests interest and payment.

- ✗ A. Show a demo only to friends: biased audience
- ✗ C. Build 100 templates before showing anyone a single example: no early evidence
- ✗ D. Post a logo and wait: no real test

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q2 · question page 370

ENT.CASE.04 · Apply it: a demo test for a new digital product

A demo page got 1,200 visitors and 300 sign-ups. What percent signed up?

Answer: D. 25 percent

300 / 1,200 = 0.25, or 25 percent.

- ✗ A. 40 percent: too high
- ✗ B. 12 percent: not the right division
- ✗ C. 30 percent: not the right division

Arithmetic checked by code: yes. Sources: case_dropbox

S18-F1-Q3 · question page 371

ENT.CASE.04 · Apply it: a demo test for a new digital product

Of the 300 sign-ups, 15 paid for early access. What does this show?

Answer: A. Some real demand, much smaller than the sign-up list

Only 15 of 300 paid, so paid demand is about 5 percent of sign-ups.

- ✗ B. No demand at all: 15 paid
- ✗ C. All 300 will certainly pay later: not shown
- ✗ D. Payments do not matter much if the number of sign-ups is high: payments matter most

Arithmetic checked by code: yes. Sources: case_dropbox

S18-F1-Q4 · question page 372

ENT.CASE.04 · Apply it: a demo test for a new digital product

Which demo would be misleading?

Answer: D. A video showing features that do not exist and are not planned

Showing features that will not exist misleads people.

- ✗ A. A video clearly labeled "planned features": honest labeling
- ✗ B. A short screen recording that shows the current early version: honest
- ✗ C. A video showing a real early prototype: honest

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q5 · question page 373

ENT.CASE.04 · Apply it: a demo test for a new digital product

After a strong demo test, what should a founder do before promising a launch date?

Answer: C. Check how long building the real product will take

Promises must match realistic building time.

- ✗ A. Raise money without a plan: not required
- ✗ B. Promise the earliest possible date anyway to keep people excited: risky
- ✗ D. Stop talking to people on the list: they need updates

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q1 · question page 374

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A founder's product is hard to show in a short video (for example, a new kind of accounting method). What is a sensible adaptation?

Answer: D. Use a different test, such as a simple trial with a few customers

When a demo does not fit, choose a test that does.

- ✗ A. Copy Dropbox's video style exactly, scene by scene, for the method: style does not fix the fit
- ✗ B. Make a confusing video anyway: unlikely to test interest fairly
- ✗ C. Skip testing entirely: no evidence

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q2 · question page 375

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A demo video went viral, but most viewers were outside the countries the founder can serve. What should she check?

Answer: C. How many sign-ups come from customers she can actually serve

Only reachable customers count toward real demand.

- ✗ A. The total view count only: misleading
- ✗ B. Which country liked the video the most, judging by comments: not the key question
- ✗ D. The number of likes: attention only

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q3 · question page 376

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A founder copies the demo approach but has no clear problem to show. What is the likely result?

Answer: A. Few people will care, because the demo shows no clear benefit.

A demo works only if it shows a real problem being solved.

- ✗ B. Huge numbers of sign-ups, because demo videos always work well: no guarantee
- ✗ C. Payment from everyone who watches: unlikely
- ✗ D. A guaranteed investor offer: no

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q4 · question page 377

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

Which statement correctly separates history from interpretation?

Answer: B. The video and waiting list are documented; "demos test interest" is a lesson drawn.

Documented facts versus the course's interpretation.

- ✗ A. Neither is documented.: the video is documented
- ✗ C. Both are quotes from the founder.: the lesson is the course's interpretation
- ✗ D. The exact number of sign-ups is documented and agreed on by every source.: sources disagree

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q5 · question page 378

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A waiting list has 2,000 people. Past launches in this field turned about 3 percent of a list into paying customers. About how many paying customers might the founder expect?

Answer: C. About 60

3 percent of 2,000 is 60.

- ✗ A. About 600: that uses 30 percent
- ✗ B. About 2,000: that assumes everyone pays
- ✗ D. About 6: that uses 0.3 percent

Arithmetic checked by code: yes. Sources: case_dropbox

S19-M-Q1 · question page 380

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

"Rivera Services LLC" operates as "Sparkle Clean" and uses a blue bubble logo. Which is the legal entity?

Answer: A. Rivera Services LLC

The LLC on state records is the legal entity.

- ✗ B. The blue bubble logo used on the website: that is part of the brand
- ✗ C. Sparkle Clean, the name printed on the van doors: that is the name customers see
- ✗ D. The owner, Ms. Rivera, as a private person: the LLC is the entity

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q2 · question page 381

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

In the same example, what is "Sparkle Clean"?

Answer: B. The name customers see

It is the trade name used with customers.

- ✗ A. The bank account where all the payments go: not a name

✗ C. The legal entity registered with the state as an LLC: that is Rivera Services LLC

✗ D. The tax number the business uses for filings: not a name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q3 · question page 382

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

Which is part of a BRAND?

Answer: D. The business's logo and the tone of its messages

Logo, colors, voice and reputation make up the brand.

✗ A. The official filing number the state gave the LLC: that is a legal record

✗ B. The name of the registered agent on state records: that is a legal role

✗ C. The type of entity, such as an LLC or a corporation: that is legal structure

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q4 · question page 383

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

Can a business's legal name and the name customers see be different?

Answer: C. Yes, often

A business may operate under a different name, often after registering it as a trade name where required.

✗ A. No, the law always requires them to be identical everywhere: businesses often use trade names

✗ B. Only for very large public companies with many stores: small businesses do it too

✗ D. Only if the owner changes the bank account first: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q5 · question page 384

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

A customer says, "I love that company; they are always friendly." What is the customer describing?

Answer: D. The brand

Feelings and reputation are part of the brand.

- ✗ A. The registered agent's office address in the state: not customer-facing
- ✗ B. The legal entity type listed in the state database: customers rarely see that
- ✗ C. The owner's personal tax filing status this year: not customer-facing

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q1 · question page 385

ENT.LEGAL.01 · Person, nickname, reputation

"Robert James Lee" on official papers is like a business's what?

Answer: B. Legal entity name

Official papers show the legal name.

- ✗ A. Logo: not a name
- ✗ C. Brand and reputation with customers: that is reputation
- ✗ D. Nickname used by friends and customers: that is "Bobby"

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q2 · question page 386

ENT.LEGAL.01 · Person, nickname, reputation

"Bobby" is like a business's what?

Answer: A. Name customers see

A nickname is like a trade name.

- ✗ B. Legal entity on state records: that is the legal name
- ✗ C. Insurance policy: unrelated
- ✗ D. Tax identification number: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q3 · question page 387

ENT.LEGAL.01 · Person, nickname, reputation

"Reliable and funny" is like a business's what?

Answer: C. Brand

Reputation matches brand.

- ✗ A. Mailing address: unrelated
- ✗ B. Legal entity: not a reputation
- ✗ D. Bank account: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q4 · question page 388

ENT.LEGAL.01 · Person, nickname, reputation

Which belongs on official legal papers?

Answer: A. The legal entity name

Legal papers use the legal name.

- ✗ B. A slogan: brand
- ✗ C. A customer review posted online: reputation
- ✗ D. The logo colors: brand

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q5 · question page 389

ENT.LEGAL.01 · Person, nickname, reputation

Which can change without any legal filing in most cases?

Answer: D. The colors on a logo

Brand design changes usually do not require filings (though trademark issues can still matter).

- ✗ A. The registered agent on file: requires a filing
- ✗ B. The type of legal entity: requires legal steps
- ✗ C. The name of an LLC on state records: usually requires a filing

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q1 · question page 390

ENT.LEGAL.01 · Apply it: use the right name in the right place

"Kim Design LLC" operates as "Pixel Pine." Which name belongs on a contract the LLC signs?

Answer: C. Kim Design LLC

Contracts should name the legal entity (often with "doing business as" the trade name).

- ✗ A. The owner's first name only, Jenny: the LLC is the party
- ✗ B. Pixel Pine only, with no mention of the LLC: the legal entity should be identified
- ✗ D. The logo image instead of any written name: a contract needs the legal name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q2 · question page 391

ENT.LEGAL.01 · Apply it: use the right name in the right place

Which name usually appears on store signs and the website?

Answer: A. The name customers see

Customers see the trade name or brand name.

- ✗ B. The registered agent's company name: not customer-facing
- ✗ C. The state filing number for the entity: not a name
- ✗ D. The bank's name for the business account: not the business name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q3 · question page 392

ENT.LEGAL.01 · Apply it: use the right name in the right place

A baker changes her logo from pink to green. What has changed?

Answer: B. Only part of the brand

Logo colors are brand elements.

- ✗ A. Her legal entity type, from LLC to corporation: colors do not change entity type
- ✗ C. Her state registration and filing number: not affected
- ✗ D. Her tax classification with the IRS: not affected

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q4 · question page 393

ENT.LEGAL.01 · Apply it: use the right name in the right place

An LLC wants customers to see a different name from its legal name. What should the owner check?

Answer: A. Whether the state or county requires registering that trade name

Using a different name often requires a trade name (DBA) filing; rules vary by state.

- ✗ B. Whether the logo is pretty enough: not a legal question
- ✗ C. Whether the bank account is open: not the main check
- ✗ D. Whether longtime customers liked the old name better than the new one: not the legal question

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q5 · question page 394

ENT.LEGAL.01 · Apply it: use the right name in the right place

Which situation mixes up name and brand?

Answer: C. Thinking a new logo protects the business name from use by others

A logo is branding; protecting a name involves separate legal steps.

- ✗ A. Keeping the same colors across the website and van: consistent branding
- ✗ B. Checking whether a trade name must be registered: sensible check
- ✗ D. Using the LLC name on contracts and the trade name on signs: correct use

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q1 · question page 395

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

A customer's payment fails because the invoice shows only "Pixel Pine," but the bank account is in the name "Kim Design LLC." What would most likely help?

Answer: A. Show the legal name with the trade name, such as "Kim Design LLC dba Pixel Pine"

Matching the legal name to the account, with the trade name shown, reduces confusion.

- ✗ B. Ask the customer to pay the owner personally: mixes personal and business money
- ✗ C. Change the logo and colors so the invoice looks nicer and more professional: not the issue
- ✗ D. Remove all names from future invoices: makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q2 · question page 396

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

An owner assumes that because her LLC name was approved by the state, no one else can use her brand name anywhere. What is wrong?

Answer: D. State approval of an entity name is not the same as trademark rights.

Entity name approval and trademark protection are separate.

- ✗ A. Names can never be protected in any way.: trademarks are a separate process
- ✗ B. State approval of the LLC gives her worldwide ownership of the name.: it does not
- ✗ C. Nothing; approval protects the brand everywhere.: it does not

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q3 · question page 397

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

Two owners argue about whether to rename the business. Which question should be answered first?

Answer: A. Which name is being changed: the legal entity name, the trade name, or the brand?

Each kind of name change involves different steps.

- ✗ B. Whether to close the bank account: premature
- ✗ C. Which of the two possible names sounds more modern and catchy to customers today: secondary
- ✗ D. Which owner chose the first logo: not the first question

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q4 · question page 398

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

A business operates under three trade names. What extra task does this most likely create?

Answer: D. Keeping each name's registrations and records straight

Each trade name may need its own filing and consistent use.

✗ A. Changing the tax classification for each name: trade names do not change taxes

✗ B. Forming three separate legal entities automatically: trade names do not create entities

✗ C. Nothing at all; extra names never add work: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q5 · question page 399

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

Which statement is accurate?

Answer: B. One legal entity can use a different name with customers.

An entity may operate under a trade name; the entity is unchanged.

✗ A. A brand is the same thing as the legal entity.: they are different

✗ C. A trade name creates a new legal entity.: it does not

✗ D. Logos must be registered with the state to be used.: not generally required

Arithmetic checked by code: not applicable. Sources: none (stable)

S20-M-Q1 · question page 401

ENT.LEGAL.02 · Separate name availability from trademark rights

Nia bought the domain "glowpaws.com." What does this show?

Answer: A. That domain was available to buy.

Buying a domain only shows that the domain was available.

✗ B. No other business anywhere may use the name "Glow Paws.": not shown

✗ C. The state has approved "Glow Paws" as her legal entity.: a domain is not a state filing

✗ D. She owns the trademark "Glow Paws" everywhere in the country.: a domain does not give trademark rights

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q2 · question page 402

ENT.LEGAL.02 · Separate name availability from trademark rights

The state approved "Blue Fern LLC." What does this approval mean?

Answer: D. The LLC can use that entity name in that state's records.

Entity name approval is a state record, not trademark protection.

✗ A. The name is guaranteed safe from any legal objection.: not guaranteed

✗ B. Nobody can ever sell products called Blue Fern.: not guaranteed

✗ C. She has a federal trademark on "Blue Fern" in all fifty states.: state entity approval is not a trademark

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q3 · question page 403

ENT.LEGAL.02 · Separate name availability from trademark rights

Which search best helps check whether a brand name might conflict with others?

Answer: C. A trademark database search plus a web search

Searching trademark records and the web finds existing users of a name.

✗ A. Only checking whether the social media handle is free: not enough

✗ B. Only checking whether the domain name is for sale: not enough

✗ D. Only asking friends if they have heard of the name: not enough

Arithmetic checked by code: not applicable. Sources: uspto_name

S20-M-Q4 · question page 404

ENT.LEGAL.02 · Separate name availability from trademark rights

Why could a business object to a new company's name even if the domain was available?

Answer: B. It may already use a similar name for similar goods.

Existing users of a name can have rights even without the domain.

- ✗ A. Names cannot be used by two businesses for any reason.: too absolute
- ✗ C. Domains are always illegal to buy.: they are legal
- ✗ D. Only the government can object to names.: other businesses can object

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q5 · question page 405

ENT.LEGAL.02 · Separate name availability from trademark rights

Which statement is accurate?

Answer: C. A free social media handle does not give trademark rights.

Handles show only availability on one platform.

- ✗ A. A free handle gives the owner exclusive rights to the name.: not true
- ✗ B. A free handle proves no one else uses the name.: not true
- ✗ D. A free handle replaces the need for any search.: not true

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q1 · question page 406

ENT.LEGAL.02 · An empty parking spot is not a deed

An available domain is most like what?

Answer: B. An empty parking spot

It is only availability.

✗ A. A building permit: unrelated

✗ C. A signed lease for ten years: not a lease

✗ D. A deed to land: it is not ownership

Arithmetic checked by code: not applicable. Sources: uspto_name

---

S20-B1-Q2 · question page 407

ENT.LEGAL.02 · An empty parking spot is not a deed

Which gives ownership-like rights to a brand name?

Answer: A. Trademark law

Trademark rights come from trademark law.

✗ B. Buying a domain: availability only

✗ C. Getting a free social handle: availability only

✗ D. Printing business cards: no rights

Arithmetic checked by code: not applicable. Sources: uspto_name

---

S20-B1-Q3 · question page 408

ENT.LEGAL.02 · An empty parking spot is not a deed

A state approving an LLC name is most like what?

Answer: D. An open spot on that state's list

It shows availability in state records.

✗ A. A federal trademark registration: separate

✗ B. A worldwide brand deed: too broad

✗ C. A patent: unrelated

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q4 · question page 409

ENT.LEGAL.02 · An empty parking spot is not a deed

Does an empty parking spot mean you own the land?

Answer: C. No

Using a spot is not owning it.

- ✗ A. Only if you park first: no
- ✗ B. Yes, always: ownership is separate
- ✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

S20-B1-Q5 · question page 410

ENT.LEGAL.02 · An empty parking spot is not a deed

Which is a separate system from domain and state name checks?

Answer: A. Trademark law

Trademarks are their own legal system.

- ✗ B. Phone numbers: unrelated
- ✗ C. Email newsletters: unrelated
- ✗ D. Website hosting: not about name rights

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q1 · question page 411

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Ravi plans to print 5,000 bags with his new brand name. Domain and handle are free. What should he do before printing?

Answer: D. Search trademark records and the web for similar names

A conflict found after printing would be expensive.

- ✗ A. Register a second domain to be safe: still only availability
- ✗ B. Ask only his family if they like the name: not a legal check
- ✗ C. Print right away, since the domain and handle were both free to register:

not enough checking

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q2 · question page 412

ENT.LEGAL.02 · Apply it: what to check before committing to a name

A search finds a company using "Bright Leaf" for tea in another state. Lina wants "Bright Leaf" for tea too. What is the most sensible next step?

Answer: B. Treat it as a possible conflict and consider another name or advice

Similar names for similar goods can conflict; get advice or choose another name.

- ✗ A. Copy their logo as well: makes the problem worse
- ✗ C. Ignore it, because that company sells tea only in another state far away: distance does not always remove conflicts
- ✗ D. Assume her LLC filing protects her: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q3 · question page 413

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Which name choice carries the lowest conflict risk, based only on these search results?

Answer: B. A name with no similar uses found in trademark or web searches

Fewer existing similar uses means lower risk, though searches are not guarantees.

- ✗ A. A name used by a large company in the same industry: high risk
- ✗ C. A name very similar to a famous brand: high risk
- ✗ D. A name whose domain is available but used by a competitor offline: risk remains

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q4 · question page 414

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Which statement about a clear search is accurate?

Answer: A. It lowers risk but does not guarantee no conflict.

Searches reduce but do not remove risk.

- ✗ B. It guarantees no one can ever object.: searches can miss uses
- ✗ C. It gives the owner a trademark automatically.: registration is separate
- ✗ D. It is never worth doing.: it is worth doing

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q5 · question page 415

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Who is the most appropriate person to ask about a possible trademark conflict?

Answer: C. A trademark attorney

Trademark questions are legal questions.

- ✗ A. A graphic designer: not legal advice
- ✗ B. A website hosting company: not legal advice
- ✗ D. A social media follower: not legal advice

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q1 · question page 416

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

An owner says, "My LLC name was approved, I bought the domain, and I got the handle, so I own the name." What is the unsupported assumption?

Answer: A. That availability checks create trademark ownership

None of those steps is a trademark right.

- ✗ B. That domain names can be bought at all by small businesses: they can be bought

✗ C. That LLCs need names: they do need names

✗ D. That handles can be registered: they can

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q2 · question page 417

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

A seller gets a letter saying her product name is too similar to another company's trademark. What is a sensible first step?

Answer: B. Read it carefully and get advice before responding

Legal letters deserve careful reading and qualified advice.

✗ A. Post the letter online and mock the company: can make things worse

✗ C. Ignore it, since her domain is valid: risky

✗ D. Immediately pay any amount demanded: get advice first

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q3 · question page 418

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

Two businesses have similar names but sell very different things (bakery versus car repair) in different towns. What should a founder understand?

Answer: D. Conflict risk depends on similarity, goods and markets; check carefully

Trademark questions depend on the specific facts.

✗ A. Similar names can never conflict at all: too absolute

✗ B. Any similar name is always illegal: too absolute

✗ C. Only the older business may ever use any similar name for anything at all: too absolute

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q4 · question page 419

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

Which check is MISSING from this plan? "Name chosen, domain bought, logo designed, bags ordered."

Answer: A. A trademark and web search for similar names

No step checks whether the name conflicts with existing marks.

- ✗ B. A larger bag order: not missing
- ✗ C. A second, more colorful logo design for the bags: not missing
- ✗ D. A new email address: not the key gap

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q5 · question page 420

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

A name search costs 0 dollars online. Reprinting 5,000 bags costs 0.60 dollars each. How much could skipping the search cost if the name must change?

Answer: C. 3,000 dollars

5,000 x 0.60 = 3,000 dollars of reprinting, not counting other costs.

- ✗ A. 60 dollars: that uses 100 bags
- ✗ B. 5,000 dollars total: that uses 1 dollar per bag
- ✗ D. 600 dollars: that uses 1,000 bags

Arithmetic checked by code: yes. Sources: uspto_name

S21-M-Q1 · question page 422

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

Jo starts selling crafts alone and registers no entity. What is her business most likely?

Answer: B. A sole proprietorship

Doing business alone without forming an entity is usually a sole proprietorship.

- ✗ A. An LLC, created automatically when she makes a sale: LLCs require a

state filing

✗ C. A partnership, because she has customers: customers are not partners

✗ D. A corporation, because she sells products to the public: corporations require filings

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q2 · question page 423

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

What is the main risk of a sole proprietorship?

Answer: A. The owner is personally responsible for business debts.

The owner and business are not separate, so debts can reach personal assets.

✗ B. It must have at least ten employees on payroll.: no such rule

✗ C. It can never earn a profit under the law.: it can earn profits

✗ D. It is always taxed as a large corporation.: not true

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q3 · question page 424

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

Two friends start a painting business together, share profits, and form no entity. What is it most likely?

Answer: D. A general partnership

Two or more people in business together without an entity is usually a partnership.

✗ A. A sole proprietorship, since only one can own it: there are two owners

✗ B. A nonprofit, because they are friends: unrelated

✗ C. An LLC, because two people are involved: an LLC requires a filing

Arithmetic checked by code: not applicable. Sources: sba_structure

S21-M-Q4 · question page 425

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

In a general partnership, who can be personally responsible for business debts?

Answer: C. Usually each partner

General partners can each be personally responsible.

- ✗ A. Only the partner who signed the most recent contract: responsibility is usually shared
- ✗ B. No one, because the partnership is a separate shield: general partners usually are responsible
- ✗ D. Only the customers who owe the business money: customers are not responsible for the business's debts

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q5 · question page 426

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

What is a main advantage of a sole proprietorship?

Answer: A. It is simple to start.

Few formal steps are needed, though local licenses and permits may still apply.

- ✗ B. It must be approved by the federal government.: no such requirement
- ✗ C. It always protects personal savings from lawsuits.: it does not
- ✗ D. It guarantees lower taxes than other forms.: not guaranteed

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q1 · question page 427

ENT.LEGAL.03 · You and the business are the same

In a sole proprietorship, whose debt is the business's debt?

Answer: C. The owner's

Owner and business are the same legally.

- ✗ A. The bank's: no
- ✗ B. Only the customers': no
- ✗ D. No one's: debts belong to someone

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q2 · question page 428

ENT.LEGAL.03 · You and the business are the same

Is there a legal wall between a sole proprietor and the business?

Answer: B. No

There is no separation.

- ✗ A. Only on weekends: no
- ✗ C. Yes, always: not in this form
- ✗ D. Only for small debts: no such rule

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q3 · question page 429

ENT.LEGAL.03 · You and the business are the same

A general partnership is like what?

Answer: D. Several people sharing one wallet

Partners share the business and its debts.

- ✗ A. One person with two wallets: not quite
- ✗ B. A bank loan: unrelated
- ✗ C. A wall between owners and debts: that is what some other forms try

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q4 · question page 430

ENT.LEGAL.03 · You and the business are the same

What do some owners form to try to build a wall?

Answer: B. An LLC or corporation

Entities can separate liability, with limits.

- ✗ A. A website: not a legal entity
- ✗ C. A logo: branding
- ✗ D. A business card with a printed logo: no legal effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q5 · question page 431

ENT.LEGAL.03 · You and the business are the same

If a sole proprietor's business owes a supplier, who owes the supplier?

Answer: D. The owner

The owner is personally responsible.

- ✗ A. The local library: unrelated
- ✗ B. Nobody: someone owes it
- ✗ C. The supplier's customers: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q1 · question page 432

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Mo tutors on his own, files nothing with the state, and a client sues him over a missed contract. Whose assets could be at risk?

Answer: A. Mo's personal assets, since he is a sole proprietor

Without a separate entity, Mo is personally responsible.

- ✗ B. No one's, because tutoring is too small to sue: size does not prevent lawsuits

✗ C. Only the client's assets: the client is suing Mo

✗ D. Only the tutoring business's separate assets, protected from Mo: there is no separation

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q2 · question page 433

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Two partners have no written agreement. One partner orders 3,000 dollars of supplies for the business without telling the other. What risk does this show?

Answer: C. Each partner can create debts that affect both

In a general partnership, one partner's business actions can bind the others.

✗ A. Only the ordering partner can ever be responsible: partners usually share responsibility

✗ B. Partnerships cannot buy supplies: they can

✗ D. The order is automatically canceled by law: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q3 · question page 434

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Which business is most likely a sole proprietorship?

Answer: B. A single dog walker who never registered an entity

One owner, no entity filed.

✗ A. Two partners who formed an LLC together: that is an LLC

✗ C. Three cofounders who filed incorporation papers: that is a corporation

✗ D. A company with an LLC certificate from the state: that is an LLC

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q4 · question page 435

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

A sole proprietor has 2,000 dollars of business debt and 5,000 dollars of personal savings. If the business cannot pay, what could happen?

Answer: C. Creditors could seek payment from her personal savings.

Personal assets can be used to pay business debts.

- ✗ A. The debt disappears because the business closed.: debts do not vanish that way
- ✗ B. Savings are always protected from business debts.: not for a sole proprietor
- ✗ D. Only 50 percent of the debt can ever be collected.: no such rule

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q5 · question page 436

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Which step changes a sole proprietorship into a different structure?

Answer: D. Forming an entity, such as an LLC, with the state

A state filing creates a different entity.

- ✗ A. Hiring a first customer: no legal change
- ✗ B. Opening a business bank account in his own name at a local bank: helpful but does not create an entity
- ✗ C. Getting a logo designed: branding only

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q1 · question page 437

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Two friends call their joint business "just a hobby" but share profits from regular sales. What should they understand?

Answer: D. The law may treat them as a partnership based on what they do

Structure can depend on the actual arrangement, not the name they use.

- ✗ A. Hobbies cannot have profits by law: not the rule
- ✗ B. They become an LLC by sharing profits: an LLC needs a filing
- ✗ C. Calling it a hobby removes all legal responsibility: labels do not decide this

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q2 · question page 438

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

A sole proprietor wants less personal risk but is unsure what to do. What is the best first step?

Answer: A. Learn about other structures and ask an attorney or accountant

Structure and insurance choices depend on facts; professional advice helps.

- ✗ B. Stop keeping records: harmful
- ✗ C. Assume insurance is never needed for a small one-person business: risky assumption
- ✗ D. Change the business logo: no legal effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q3 · question page 439

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Which is MISSING from a two-person business plan with no entity? "We split profits 50/50 and both buy supplies."

Answer: D. A written agreement about roles, decisions and debts

Partners need a written agreement even without forming an entity.

- ✗ A. A second social media account for posting photos of their work: not the key gap
- ✗ B. A third logo: not missing
- ✗ C. A larger supply budget: not the key gap

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q4 · question page 440

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

A sole proprietor assumes local business licenses are not needed "because I am just one person." What should she check?

Answer: B. Her city, county and state license and permit requirements

Licensing depends on the activity and location, not the number of owners.

- ✗ A. Only federal rules, since local rules never apply: local rules often apply
- ✗ C. Nothing, one-person businesses never need licenses: often false
- ✗ D. Only whether her friends have licenses: not reliable

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q5 · question page 441

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Which statement is accurate?

Answer: C. Being simple to start does not make a sole proprietorship risk-free.

Simplicity and personal responsibility go together.

- ✗ A. Simple structures like this have no legal responsibilities at all.: they do
- ✗ B. Partnerships protect partners from all debts.: general partnerships usually do not
- ✗ D. Sole proprietors cannot be sued.: they can

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q1 · question page 443

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

How is an LLC created?

Answer: D. By filing with a state

An LLC exists after a state filing.

✗ A. By buying a domain name with "LLC" in it: a domain does not form an entity

✗ B. Automatically when a business makes its first sale: that is a sole proprietorship

✗ C. By opening a business bank account: a bank account does not form an entity

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q2 · question page 444

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

What does "limited liability" generally mean?

Answer: B. Business debts are generally the company's, not the owners'.

Limited liability separates business debts from owners in general.

✗ A. The owners can never be sued for anything at all.: not total immunity

✗ C. The company can only earn a limited amount of money.: not what it means

✗ D. The business never has to pay any taxes.: unrelated to taxes

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q3 · question page 445

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Which can still make an LLC owner personally responsible?

Answer: A. Signing a personal guarantee for a business loan

A personal guarantee makes the owner personally responsible for that debt.

✗ B. Using a logo on business cards: not a source of liability

✗ C. Paying the state filing fee on time: not a source of liability

✗ D. Choosing a business name with an LLC ending: naming does not create

liability

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q4 · question page 446

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Who owns a corporation?

Answer: C. Its shareholders

Shareholders own corporations.

- ✗ A. Its suppliers: suppliers sell to it
- ✗ B. Its customers: customers buy, not own
- ✗ D. The state that approved it: the state does not own it

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q5 · question page 447

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Which statement about LLCs is accurate?

Answer: D. An LLC is not total immunity from personal responsibility.

Protection has limits, such as guarantees and personal wrongful acts.

- ✗ A. An LLC protects owners from every possible claim.: not true
- ✗ B. An LLC automatically lowers taxes for every owner.: not automatic
- ✗ C. An LLC means owners may mix personal and business money freely.: mixing can weaken protection

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q1 · question page 448

ENT.LEGAL.04 · A wall with doors

In this picture, what does forming an LLC do?

Answer: B. Builds a wall between business and personal life

The LLC creates separation.

- ✗ A. Pays taxes automatically: no
- ✗ C. Guarantees profit: no
- ✗ D. Removes all business debts from existence at once: debts remain

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q2 · question page 449

ENT.LEGAL.04 · A wall with doors

Which is a "door" through the wall?

Answer: C. Signing a personal guarantee

Personal guarantees bypass the wall.

- ✗ A. Keeping separate bank accounts: keeps the door closed
- ✗ B. Filing the LLC paperwork: that builds the wall
- ✗ D. Using the LLC name on contracts: good practice

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q3 · question page 450

ENT.LEGAL.04 · A wall with doors

Mixing business and personal money does what?

Answer: B. Can weaken the wall

Mixing money can undermine protection.

- ✗ A. Makes the wall stronger: no
- ✗ C. Creates a corporation: no
- ✗ D. Has no effect at all: it can matter

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-B1-Q4 · question page 451

ENT.LEGAL.04 · A wall with doors

Do most ordinary business debts stay on the business side?

Answer: A. Generally, yes

That is the main feature.

- ✗ B. Only for corporations: LLCs too
- ✗ C. Never: that is the point of the wall
- ✗ D. Only after five years: no

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-B1-Q5 · question page 452

ENT.LEGAL.04 · A wall with doors

What keeps the doors closed?

Answer: D. Careful habits, like separate accounts and not guaranteeing debts personally

Good habits protect the separation.

- ✗ A. Ignoring contracts: risky
- ✗ B. Posting about the business often on several social media accounts: no effect
- ✗ C. Changing the logo often: no effect

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-F1-Q1 · question page 453

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Lee's LLC owes a supplier 4,000 dollars and cannot pay. Lee signed nothing personally and kept money separate. Generally, whose debt is it?

Answer: C. The LLC's debt

With separation maintained and no guarantee, the debt is generally the company's.

- ✗ A. The state's debt: no
- ✗ B. The supplier's own debt: the supplier is owed
- ✗ D. Lee's personal debt automatically: not without more

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q2 · question page 454

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Same LLC, but Lee personally guaranteed a 10,000-dollar loan. If the LLC cannot repay, who may have to pay?

Answer: D. Lee personally

A personal guarantee makes the owner personally responsible for that loan.

- ✗ A. Only the LLC, never Lee: the guarantee makes Lee responsible
- ✗ B. No one: someone owes it
- ✗ C. The bank absorbs the loss automatically: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q3 · question page 455

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

An LLC owner pays personal rent from the business account every month and records nothing. What risk does this create?

Answer: C. It can weaken the separation between owner and LLC

Treating business money as personal can undermine limited liability.

- ✗ A. It lowers the owner's taxes automatically: no
- ✗ B. No risk; LLC money is the owner's to use any way: mixing is risky
- ✗ D. It turns the LLC into a corporation: no

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-F1-Q4 · question page 456

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Which business is a corporation?

Answer: A. One formed with the state that issues shares to owners

Corporations are formed with the state and have shareholders.

- ✗ B. Two friends sharing profits with no filing: partnership
- ✗ C. A single owner selling crafts at markets with no state filing at all: sole proprietorship
- ✗ D. A brand name printed on a website: not an entity

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-F1-Q5 · question page 457

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

An LLC owner personally causes a car accident while driving for the business. What should the owner understand?

Answer: B. Personal wrongful acts can create personal responsibility, and insurance matters.

Limited liability does not erase responsibility for one's own wrongful acts.

- ✗ A. Accidents are never a business concern.: they can be
- ✗ C. The LLC always shields the owner from any claim about any accident at all.: not always
- ✗ D. Only the other driver is ever responsible.: depends on facts

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-F2-Q1 · question page 458

ENT.LEGAL.04 · Handle the complications: common LLC myths

A friend says, "Form an LLC and you can never be sued." What is wrong with this?

Answer: C. People can still sue, and owners can still be responsible in some situations

An LLC limits some liability; it does not stop lawsuits.

- ✗ A. Nothing is wrong, because LLC owners can never be sued for anything: false
- ✗ B. Only corporations can be sued: false
- ✗ D. LLCs make lawsuits illegal: false

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q2 · question page 459

ENT.LEGAL.04 · Handle the complications: common LLC myths

A friend says, "An LLC automatically saves taxes." What should the owner check?

Answer: A. How the LLC will be taxed and whether it actually changes her taxes

Tax effects depend on classification and facts; an accountant can help.

- ✗ B. Nothing, because forming an LLC always saves taxes for its owners: not automatic
- ✗ C. Only the LLC's logo design: unrelated
- ✗ D. Whether the bank likes LLCs: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q3 · question page 460

ENT.LEGAL.04 · Handle the complications: common LLC myths

An owner forms an LLC but keeps signing contracts in her own name only. What risk might this create?

Answer: B. She may be personally bound by those contracts

Signing as the LLC (with the LLC's name) helps keep obligations with the company.

✗ A. The state will cancel the LLC immediately: not automatically

✗ C. None; the LLC covers anything she signs: not necessarily

✗ D. The contracts become invalid automatically: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q4 · question page 461

ENT.LEGAL.04 · Handle the complications: common LLC myths

Which detail should an owner verify before relying on LLC protection for a risky activity, such as running trampoline parties?

Answer: C. Insurance coverage and how liability works for that activity

Risky activities call for insurance and advice; the LLC is not enough alone.

✗ A. The number of social media followers the business has gained: unrelated

✗ B. The domain renewal date: unrelated

✗ D. Logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q5 · question page 462

ENT.LEGAL.04 · Handle the complications: common LLC myths

Which statement is accurate?

Answer: D. An LLC can help, but it works best with separate money and careful signing.

Protection depends on maintaining separation and good practices.

✗ A. An LLC is required for every business.: not required

✗ B. An LLC means its owners can safely ignore the contracts they sign.: no

✗ C. An LLC replaces the need for insurance.: it does not

Arithmetic checked by code: not applicable. Sources: sba_structure

S23-M-Q1 · question page 464

ENT.LEGAL.05 · Separate legal form from tax treatment

Who sets a business's legal form?

Answer: B. State law, through the entity's formation

Legal form comes from state law.

- ✗ A. The IRS, by assigning it a tax form: the IRS sets tax treatment
- ✗ C. Customers, by how they pay: unrelated
- ✗ D. The bank, when it opens an account: banks do not set legal form

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q2 · question page 465

ENT.LEGAL.05 · Separate legal form from tax treatment

By default, a single-owner LLC is usually taxed how for federal income tax?

Answer: D. With its owner ("disregarded")

By default the single-owner LLC is disregarded and taxed with the owner.

- ✗ A. Always as a large corporation with shareholders: not by default
- ✗ B. As a partnership, even with one owner: partnerships need two or more
- ✗ C. Never taxed at all, since it is an LLC: income is still taxed

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q3 · question page 466

ENT.LEGAL.05 · Separate legal form from tax treatment

By default, an LLC with three owners is usually taxed as what?

Answer: C. A partnership

Multi-owner LLCs default to partnership tax treatment.

✗ A. A sole proprietorship: it has more than one owner

✗ B. A government agency: no

✗ D. A nonprofit: not by default

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q4 · question page 467

ENT.LEGAL.05 · Separate legal form from tax treatment

Can an LLC choose to be taxed as a corporation?

Answer: A. Yes, by making an election

An LLC can elect corporate tax treatment.

✗ B. Only if it changes its name: naming is unrelated

✗ C. No, never, under any circumstance: an election is possible

✗ D. Only if it closes: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q5 · question page 468

ENT.LEGAL.05 · Separate legal form from tax treatment

"My business is an LLC." What does this tell you for sure?

Answer: B. Its legal form

"LLC" names the legal form; tax treatment is separate.

✗ A. Exactly how it is taxed: not by itself

✗ C. How much tax it owes this year: not by itself

✗ D. That it pays no tax: not true

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q1 · question page 469

ENT.LEGAL.05 · Two different labels

A business's legal form is like a student's what?

Answer: D. School

Legal form is one label.

- ✗ A. Shoe size: unrelated
- ✗ B. Sports team: that is tax treatment
- ✗ C. Favorite food: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q2 · question page 470

ENT.LEGAL.05 · Two different labels

Tax treatment is like what?

Answer: B. The team, chosen separately

Tax treatment is a separate label.

- ✗ A. The cafeteria lunch menu: unrelated
- ✗ C. The bus route: unrelated
- ✗ D. The school: that is legal form

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q3 · question page 471

ENT.LEGAL.05 · Two different labels

Does knowing the legal form always tell you the tax treatment?

Answer: C. No

They are separate questions.

- ✗ A. Only in summer: no
- ✗ B. Yes, always: they are separate
- ✗ D. Only for big companies: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q4 · question page 472

ENT.LEGAL.05 · Two different labels

Who decides tax treatment rules?

Answer: A. Federal IRS rules and the business's elections

Federal tax rules and elections decide tax treatment.

- ✗ B. The state alone, with no federal rules applying at all: state sets legal form
- ✗ C. The bank: no
- ✗ D. Customers: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q5 · question page 473

ENT.LEGAL.05 · Two different labels

Which word means "choosing" a tax treatment?

Answer: C. Election

An election is a choice.

- ✗ A. Registration: filing with the state
- ✗ B. Formation: creating the entity
- ✗ D. Reconciliation: matching records

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q1 · question page 474

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Ana forms an LLC alone and makes no tax election. What are her legal form and default federal tax treatment?

Answer: D. LLC; taxed with Ana as a disregarded entity

Legal form LLC; default tax treatment disregarded (with the owner).

- ✗ A. Sole proprietorship; not taxed at all: income is taxed
- ✗ B. Corporation; taxed as a corporation: she formed an LLC
- ✗ C. Partnership; taxed as a partnership: she is the only owner

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q2 · question page 475

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Ben and Cal form an LLC together with no election. What is the default federal tax treatment?

Answer: B. Partnership

Two-owner LLCs default to partnership treatment.

- ✗ A. Corporation automatically: not by default
- ✗ C. No tax ever: income is taxed
- ✗ D. Disregarded with Ben only: there are two owners

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q3 · question page 476

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

An LLC elected to be taxed as a corporation. What is its legal form now?

Answer: C. Still an LLC

The election changes tax treatment, not the state legal form.

- ✗ A. A partnership: no
- ✗ B. A corporation under state law automatically: the election changes tax treatment, not state legal form
- ✗ D. A sole proprietorship: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q4 · question page 477

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

A friend says, "LLCs pay a special LLC tax rate." What is the best response?

Answer: C. Tax depends on how the LLC is classified, not on "LLC" alone

There is no single "LLC tax"; treatment depends on classification.

- ✗ A. Only states tax LLCs: not true
- ✗ B. Yes, every LLC in the country pays one special LLC tax rate: not true
- ✗ D. LLCs never pay any tax: not true

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q5 · question page 478

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Who is the best person to help decide whether an LLC should make a tax election?

Answer: B. An accountant or tax professional

Elections have tax consequences; a tax professional can help.

- ✗ A. A web designer: not tax advice
- ✗ C. A social media manager for the business: not tax advice
- ✗ D. A sign printer: not tax advice

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q1 · question page 479

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

An owner thinks forming an LLC changed her tax forms automatically into corporate forms. What should she check?

Answer: D. Her LLC's tax classification and what returns it must file

Tax filing depends on classification; she should confirm it.

✗ A. Her logo's file format: unrelated

✗ B. Her competitor's prices and the services they list online: unrelated

✗ C. Her domain renewal date: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q2 · question page 480

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Two owners disagree: one says their LLC is a partnership, the other says it is an LLC. What is the clearest way to put it?

Answer: A. Legally an LLC; by default taxed as a partnership

Both are right in different senses: legal form versus tax treatment.

✗ B. Neither, since it has two owners: it is both, in different senses

✗ C. Only a partnership, not an LLC: it is an LLC

✗ D. Only an LLC, which has no tax treatment of any kind: it has a tax treatment

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q3 · question page 481

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Rules about elections and deadlines can change. What is the sensible approach for a beginner?

Answer: B. Check current IRS guidance or ask a tax professional before choosing

Time-sensitive tax rules should be checked at the source.

✗ A. Assume the rules never change and rely on what a friend did years ago: they can

✗ C. Rely on an old blog post: may be outdated

✗ D. Ask a competitor: not reliable

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q4 · question page 482

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Which statement is accurate?

Answer: C. A sole proprietorship and a single-owner LLC can both be taxed with the owner by default.

Default treatment for a single-owner LLC is like a sole proprietor for income tax.

- ✗ A. Sole proprietorships are taxed as corporations.: not true
- ✗ B. All LLCs are taxed as corporations by default.: not true
- ✗ D. A single-owner LLC can never be taxed together with its owner under any rule.: that is its default

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q5 · question page 483

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Which information is needed to know how an LLC is taxed?

Answer: D. Its number of owners and whether it made an election

Owners and elections decide default and chosen treatment.

- ✗ A. Its logo and slogan: unrelated
- ✗ B. Its number of social media followers and likes: unrelated
- ✗ C. Its website color scheme: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S24-M-Q1 · question page 485

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

What does a registered agent do?

Answer: A. Accepts official legal papers for the business

The registered agent receives official notices and legal papers.

✗ B. Opens and manages the business's bank account: banking is separate

✗ C. Files the owner's personal tax return every spring: that is a tax preparer's job

✗ D. Designs the logo and picks brand colors for the LLC: that is branding work

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q2 · question page 486

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Which step creates the LLC itself?

Answer: C. Filing formation papers with the state

The state filing creates the LLC.

✗ A. Printing business cards that say "LLC" on them: printing has no legal effect

✗ B. Buying a matching domain name for the website: domains do not create entities

✗ D. Opening a business bank account at a local bank: banks need the LLC first

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q3 · question page 487

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Which order makes the most sense?

Answer: B. Choose a name and agent, file with the state, then open a bank account

Formation comes before steps that require the LLC's documents.

✗ A. Print signs first, then pick a registered agent years later: agent is

required at filing

✗ C. Apply for licenses before deciding what business it is: licenses depend on the business

✗ D. Open a bank account, then decide whether to form the LLC later: the bank usually needs the LLC's papers

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q4 · question page 488

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Many states do not accept which address for a registered agent?

Answer: D. A PO Box

The agent needs a physical in-state address where papers can be delivered.

✗ A. The agent's own office address in the state: acceptable

✗ B. A street address where someone is present: that is usually required

✗ C. A physical office address inside the state: that is what is usually required

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q5 · question page 489

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Where should a founder confirm the exact steps and fees?

Answer: C. The state's official business filing website

Official state sources give current steps and fees.

✗ A. An old textbook from another country: not the right jurisdiction

✗ B. A competitor's opinion about filing fees: not authoritative

✗ D. A random social media post about LLCs: may be wrong or outdated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q1 · question page 490

ENT.LEGAL.06 · The registered agent as a mail desk

A registered agent is most like what?

Answer: C. An office front desk for legal papers

It receives official papers.

- ✗ A. A delivery truck that carries packages: it delivers, not receives
- ✗ B. A bank teller: unrelated
- ✗ D. A logo designer: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q2 · question page 491

ENT.LEGAL.06 · The registered agent as a mail desk

Why does the agent need a street address?

Answer: B. Someone must be able to deliver papers there

Papers are delivered to a physical place.

- ✗ A. So customers can walk in and shop there in person: not the purpose
- ✗ C. So the logo looks local: unrelated
- ✗ D. So taxes are lower: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q3 · question page 492

ENT.LEGAL.06 · The registered agent as a mail desk

When must the agent usually be available?

Answer: D. During business hours

Someone must be there to receive papers.

- ✗ A. Never: they must receive papers
- ✗ B. Only on holidays: no

✗ C. Only late at midnight: no

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q4 · question page 493

ENT.LEGAL.06 · The registered agent as a mail desk

What does the agent receive?

Answer: C. Official legal papers and notices

Its role is legal papers.

✗ A. Job applications: not its job
✗ B. Customer orders: not its job
✗ D. Product shipments from suppliers: not its job

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q5 · question page 494

ENT.LEGAL.06 · The registered agent as a mail desk

Which is a good choice for a registered agent?

Answer: B. Someone with a reliable in-state street address

Reliability and a physical in-state address matter.

✗ A. An email address only: not usually enough
✗ C. A friend who moves often and has no address: unreliable
✗ D. A PO Box in another state: not usually allowed

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q1 · question page 495

ENT.LEGAL.06 · Apply it: plan an LLC formation

Lia wants an LLC but works away from home all day and moves often. What registered agent choice fits best?

Answer: D. A registered agent service with a stable in-state office

A service with a stable address can reliably receive papers.

- ✗ A. A PO Box near her apartment: often not accepted
- ✗ B. Her email address: not usually enough
- ✗ C. Her own home address, even though she is rarely there: she is often away

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q2 · question page 496

ENT.LEGAL.06 · Apply it: plan an LLC formation

Ana filed her LLC papers. The state approved them. What is a sensible next step?

Answer: B. Write an operating agreement and handle tax IDs and banking

After formation, internal agreements, tax IDs and banking follow.

- ✗ A. Choose a name the state will accept: already done
- ✗ C. File the formation papers again: already filed
- ✗ D. Pick a registered agent for the very first time now: needed at filing

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q3 · question page 497

ENT.LEGAL.06 · Apply it: plan an LLC formation

A state charges a 125-dollar filing fee and a registered agent service costs 100 dollars a year. What is the first-year cost of these two items?

Answer: C. 225 dollars

125 + 100 = 225 dollars in the first year (fees here are example assumptions).

- ✗ A. 100 dollars: only the agent fee
- ✗ B. 25 dollars: the difference
- ✗ D. 125 dollars: only the filing fee

Arithmetic checked by code: yes. Sources: sba_launch; state_agent

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S24-F1-Q4 · question page 498

ENT.LEGAL.06 · Apply it: plan an LLC formation

Raj picked a name, but the state rejects it as too similar to an existing LLC. What should he do?

Answer: C. Choose a different name and check availability first

Pick an available name before filing.

- ✗ A. File anyway and hope it passes: it will be rejected
- ✗ B. Skip forming the LLC entirely: not necessary
- ✗ D. Use the rejected name anyway, but only on his website: still confusing and risky

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q5 · question page 499

ENT.LEGAL.06 · Apply it: plan an LLC formation

Which item is NOT part of forming the LLC with the state?

Answer: D. Designing the company logo

Logos are branding, not formation.

- ✗ A. Paying the state filing fee: part of filing
- ✗ B. Filing formation papers: part of filing
- ✗ C. Naming a registered agent: part of filing

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q1 · question page 500

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

Mo wants privacy and plans to list his PO Box as the registered agent address. What should he check first?

Answer: B. Whether his state allows a PO Box for the registered agent

Many states require a physical in-state address; a PO Box may be rejected.

- ✗ A. Whether the PO Box is cheap: cost does not decide whether it is allowed
- ✗ C. Whether his logo fits neatly in the space on the state form: unrelated
- ✗ D. Whether friends use PO Boxes: not authoritative

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q2 · question page 501

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

An LLC's registered agent quits and the owner forgets to replace them. What is the main risk?

Answer: A. Official legal papers might not reach the business

Without an agent, important papers and deadlines may be missed.

- ✗ B. The LLC automatically turns into a corporation: no
- ✗ C. Taxes drop to zero: no
- ✗ D. No risk; agents are optional: they are usually required

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q3 · question page 502

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

A website offers "LLC formation in 5 minutes" for 300 dollars plus the state fee. What should a founder understand?

Answer: D. The state filing can often be done directly; services add their own fee

Compare the direct state filing option with the paid convenience.

- ✗ A. Only paid services can file: many states allow direct filing
- ✗ B. Services guarantee lower taxes: no
- ✗ C. The whole 300-dollar service fee is paid to the state as a tax: it is the service's fee

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q4 · question page 503

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

A founder plans to operate in a second state. What should she check?

Answer: C. Whether that state requires registering the LLC there too

Doing business in another state can require registration there.

- ✗ A. Whether to dissolve the first LLC: not required
- ✗ B. Whether her logo is popular in that state: unrelated
- ✗ D. Nothing; one state filing automatically covers every other state: not always

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q5 · question page 504

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

Which statement is accurate?

Answer: B. Formation steps and fees vary by state.

Always check the specific state.

- ✗ A. Only federal law controls LLC formation.: state law controls
- ✗ C. LLCs never need a registered agent.: they usually do
- ✗ D. Every state has identical forms and fees.: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

---

S25-M-Q1 · question page 506

ENT.LEGAL.07 · Identify what an operating agreement should cover

Which topic belongs in an operating agreement?

Answer: A. What happens if an owner wants to leave

Exit rules are a core part of an operating agreement.

- ✗ B. The menu for the office holiday party: not a governance topic
- ✗ C. The color scheme for the company website: branding detail
- ✗ D. Which social media app to post on first: marketing detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q2 · question page 507

ENT.LEGAL.07 · Identify what an operating agreement should cover

Who are the parties to an LLC's operating agreement?

Answer: C. The LLC's owners (members)

Members agree among themselves.

- ✗ A. The LLC's customers who buy its products: customers are not parties
- ✗ B. The bank that holds the business account: not a party
- ✗ D. The state that approved the LLC filing: the state is not a party

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q3 · question page 508

ENT.LEGAL.07 · Identify what an operating agreement should cover

When is the best time to write an operating agreement?

Answer: D. At the start, while owners agree

Calm early agreement prevents later disputes.

- ✗ A. Never, because it is always unnecessary: it is often valuable
- ✗ B. Only after a serious argument begins: too late for calm decisions
- ✗ C. Only if the business becomes very large: small businesses benefit too

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q4 · question page 509

ENT.LEGAL.07 · Identify what an operating agreement should cover

Two owners each own 50 percent. Which topic is especially important to settle?

Answer: B. How tie votes are broken

Equal ownership can lead to deadlocks.

- ✗ A. Which owner has the nicer handwriting: irrelevant
- ✗ C. Whose car is newer for deliveries: not governance
- ✗ D. Which font the invoices use: not governance

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q5 · question page 510

ENT.LEGAL.07 · Identify what an operating agreement should cover

Does a one-owner LLC ever benefit from an operating agreement?

Answer: D. Yes, it can

It documents how the LLC is run and can support the separation from the owner.

- ✗ A. Only if it has more than 100 employees: size is not the test
- ✗ B. Only if the owner changes the logo: unrelated
- ✗ C. No, never, under any circumstances at all: it can help

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q1 · question page 511

ENT.LEGAL.07 · House rules for owners

An operating agreement is most like what?

Answer: A. Roommates' house rules

It sets rules for those who share something.

- ✗ B. A daily weather report: unrelated

✗ C. A movie ticket: unrelated

✗ D. A grocery list: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q2 · question page 512

ENT.LEGAL.07 · House rules for owners

When are house rules easiest to write?

Answer: A. On move-in day

Early agreement is easier.

✗ B. During an argument: hardest

✗ C. Never: they help

✗ D. After someone moves out: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q3 · question page 513

ENT.LEGAL.07 · House rules for owners

"What happens if someone moves out" matches which agreement topic?

Answer: B. An owner leaving the business

Exit rules cover an owner leaving.

✗ A. Website design: unrelated

✗ C. A list of product prices for the shop: unrelated

✗ D. Logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q4 · question page 514

ENT.LEGAL.07 · House rules for owners

"Who pays which bills" matches what?

Answer: D. How money and responsibilities are shared

Money and duties are covered.

- ✗ A. Who designs the logo and the website: branding
- ✗ B. Who is the customer: unrelated
- ✗ C. Where to advertise: marketing

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q5 · question page 515

ENT.LEGAL.07 · House rules for owners

"How to settle arguments" matches what?

Answer: C. Resolving disagreements between owners

Dispute rules are part of it.

- ✗ A. Hiring a designer for the brand and website: unrelated
- ✗ B. Raising prices: unrelated
- ✗ D. Choosing a domain: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q1 · question page 516

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A two-owner LLC agreement covers ownership and profit split only. What important gap remains?

Answer: B. What happens if an owner leaves or cannot work

Exit and incapacity rules are a major gap.

- ✗ A. Holiday decorations: minor
- ✗ C. Which printer brand to buy for the office: minor
- ✗ D. The office plant schedule: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q2 · question page 517

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

Owners own 60 and 40 percent. Profits are 10,000 dollars, split by ownership. How much goes to the 40-percent owner?

Answer: A. 4,000 dollars

40 percent of 10,000 = 4,000 dollars.

- ✗ B. 400 dollars: decimal error
- ✗ C. 5,000 dollars: that is an equal split
- ✗ D. 6,000 dollars: that is the 60-percent share

Arithmetic checked by code: yes. Sources: none (stable)

S25-F1-Q3 · question page 518

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

One owner does most of the daily work but owns 30 percent. What should the agreement make clear?

Answer: C. How work is paid separately from ownership

Ownership share and pay for work can be set separately.

- ✗ A. That work and pay never need to be discussed: causes disputes
- ✗ B. That ownership must always equal hours worked: not required
- ✗ D. That the hard worker gets nothing extra ever: may not be fair

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q4 · question page 519

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

An agreement says big purchases need both owners' approval. Which purchase most clearly needs it?

Answer: A. A 20,000-dollar delivery van

A large purchase falls under the approval rule.

- ✗ B. A 3-dollar coffee: small
- ✗ C. A 5-dollar pack of pens: small
- ✗ D. A 10-dollar shipping label: small

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q5 · question page 520

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A new person wants to buy into the LLC. Where should the rules for adding owners be?

Answer: D. In the operating agreement

Admitting new members is a governance rule.

- ✗ A. In a customer invoice: unrelated
- ✗ B. On the company website: not binding
- ✗ C. In a social media post: not binding

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q1 · question page 521

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Two equal owners disagree on hiring and their agreement has no tie-break rule. What is a sensible step?

Answer: A. Use a mediator or add a tie-break process both accept

A neutral process helps resolve deadlocks.

- ✗ B. Ask customers to vote: not their role
- ✗ C. Stop all business forever: too extreme
- ✗ D. Let the louder owner decide every disagreement from now on: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q2 · question page 522

ENT.LEGAL.07 · Handle the complications: disagreements and changes

An owner wants to sell her share to an outsider. The agreement gives other owners first chance to buy. What should she do first?

Answer: D. Offer her share to the other owners as the agreement requires

Follow the agreed process.

- ✗ A. Sell to the outsider quietly without telling the other owners: breaks the agreement
- ✗ B. Dissolve the LLC immediately: not required
- ✗ C. Ignore the agreement because it is old: it still applies

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q3 · question page 523

ENT.LEGAL.07 · Handle the complications: disagreements and changes

A template agreement from the internet does not fit the owners' real arrangement. What is the risk?

Answer: B. It may not match what they actually agreed or state law

Agreements should fit the actual business and state rules.

- ✗ A. Templates are illegal: not illegal
- ✗ C. It automatically guarantees the owners lower taxes: no
- ✗ D. None; any template works: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q4 · question page 524

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Which detail should be checked before signing an operating agreement?

Answer: C. Whether it covers decisions, money, exits and disputes

Coverage of key topics matters most.

✗ A. Whether a competitor approves: not relevant

✗ B. Whether it is longer than ten pages, since longer is better: length is not the test

✗ D. Whether the font is attractive: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q5 · question page 525

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Who can help write or review an operating agreement for a complex situation?

Answer: D. A business attorney

Legal documents benefit from legal review.

✗ A. A social media influencer: not legal

✗ B. A web developer: not legal

✗ C. A sign maker: not legal

Arithmetic checked by code: not applicable. Sources: none (stable)

S26-M-Q1 · question page 527

ENT.LEGAL.08 · Explain what a DBA does and does not do

Maria Lopez sells cakes as "Sunny Bakes." What does a DBA filing let her do?

Answer: A. Operate under the name "Sunny Bakes"

A DBA registers a name the business uses.

✗ B. Turn her business into an LLC without other filings: a DBA does not create an entity

✗ C. Stop all others from using "Sunny Bakes" nationwide: no trademark rights

✗ D. Protect her house from business debts: no liability protection

Arithmetic checked by code: not applicable. Sources: uspto_name

S26-M-Q2 · question page 528

ENT.LEGAL.08 · Explain what a DBA does and does not do

Does a DBA create a new legal entity?

Answer: B. No

A DBA is a name registration, not an entity.

- ✗ A. Yes, it creates a corporation: it does not
- ✗ C. Only for partnerships: it never does
- ✗ D. Yes, it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q3 · question page 529

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is another common term for a DBA?

Answer: C. Trade name

Trade name, assumed name and fictitious name are similar terms.

- ✗ A. Registered agent: a role
- ✗ B. Articles of organization: LLC formation papers
- ✗ D. Operating agreement: owners' agreement

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q4 · question page 530

ENT.LEGAL.08 · Explain what a DBA does and does not do

Where is a DBA filed?

Answer: D. It depends on the location: state, county or city

Filing location varies.

✗ A. Always with the IRS only, in every location: not typical

✗ B. Always with a bank: banks may ask for it but do not file it

✗ C. Never anywhere: many places require it

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q5 · question page 531

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is TRUE about a DBA?

Answer: B. It does not give liability protection.

A DBA is only a name registration.

✗ A. It replaces a business license.: separate requirement

✗ C. It gives trademark rights everywhere.: it does not

✗ D. It shields personal savings.: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q1 · question page 532

ENT.LEGAL.08 · A name tag, not a new person

A DBA is most like what?

Answer: D. A name tag

It is just a name used publicly.

✗ A. A shield: no protection

✗ B. A trademark certificate: not trademark rights

✗ C. A new person: it is the same business

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q2 · question page 533

ENT.LEGAL.08 · A name tag, not a new person

Robert wearing a "Coach Bob" tag is still who?

Answer: A. Robert

The name changes; the person does not.

- ✗ B. A company: no
- ✗ C. No one: he is Robert
- ✗ D. A new person named Bob: same person

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q3 · question page 534

ENT.LEGAL.08 · A name tag, not a new person

Does a business with a DBA change its legal form?

Answer: C. No

The legal form stays the same.

- ✗ A. Yes, always: it does not
- ✗ B. Only for LLCs: never
- ✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q4 · question page 535

ENT.LEGAL.08 · A name tag, not a new person

Does a DBA give special protection?

Answer: D. No

It is only a name.

- ✗ A. Yes, from lawsuits: no
- ✗ B. Yes, from debts: no
- ✗ C. Yes, from taxes: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q5 · question page 536

ENT.LEGAL.08 · A name tag, not a new person

What does a DBA tell customers?

Answer: B. What name the business uses

It is the public-facing name.

- ✗ A. The owner's salary: unrelated
- ✗ C. Who the owner's doctor is: unrelated
- ✗ D. The bank balance: unrelated

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q1 · question page 537

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Lee, a sole proprietor, opens a bank account for "Lee's Lawns." The bank asks for a DBA certificate. Why?

Answer: A. The business name differs from Lee's legal name

Banks often require proof the business may use that name.

- ✗ B. Because banks issue DBAs: banks do not issue them
- ✗ C. Because a DBA replaces the owner's driver's license: no
- ✗ D. Because it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q2 · question page 538

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which business most likely needs a DBA?

Answer: A. "Green Path LLC" selling under the name "Fresh Bowls"

Using a different name usually needs a DBA where required.

- ✗ B. "Green Path LLC" selling only as "Green Path LLC": same as legal name
- ✗ C. Jane Smith selling as "Jane Smith": same as legal name
- ✗ D. A business with no name at all: unusual case

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q3 · question page 539

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A sole proprietor files a DBA to look more official. What does she still lack?

Answer: D. Liability protection

A DBA adds a name, not protection.

- ✗ A. Customers: unrelated
- ✗ B. Permission to sell: licenses are separate, but she has the name
- ✗ C. A business name to use: she has one

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q4 · question page 540

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A DBA filing costs 25 dollars and must be renewed every 5 years. Over a 15-year window (the first filing now plus renewals at years 5 and 10), how much is spent, assuming the same fee?

Answer: A. 75 dollars

3 filings x 25 dollars = 75 dollars (fees are example assumptions).

- ✗ B. 25 dollars: only the first filing
- ✗ C. 375 dollars: multiplies wrongly
- ✗ D. 15 dollars: not the fee

Arithmetic checked by code: yes. Sources: uspto_name

S26-F1-Q5 · question page 541

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which step would actually give some liability protection?

Answer: B. Forming an LLC or corporation

Entity formation, not a DBA, aims at liability separation.

- ✗ A. Filing a DBA: no protection
- ✗ C. Buying a domain: no protection
- ✗ D. Ordering business cards with "LLC": no protection

Arithmetic checked by code: not applicable. Sources: uspto_name

S26-F2-Q1 · question page 542

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

An owner believes his DBA means no one else can use "River Tees." What should he check?

Answer: A. Trademark records and whether anyone else already uses the name

A DBA does not give trademark rights.

- ✗ B. Only his domain registrar: not enough
- ✗ C. Nothing; the DBA protects the name everywhere in the nation: false
- ✗ D. Only his county website: not enough

Arithmetic checked by code: not applicable. Sources: uspto_name

S26-F2-Q2 · question page 543

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A business uses a DBA in two counties. What should the owner check?

Answer: B. Whether each county requires its own filing

Filing rules vary by place.

✗ A. Whether the logo needs a DBA: no

✗ C. Whether one filing covers every country in the world: no

✗ D. Whether DBAs are illegal: they are legal

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q3 · question page 544

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A customer contract is signed only as "Fresh Bowls" with no legal name. What is the risk?

Answer: C. Confusion about which legal entity is responsible

Showing the legal name with the DBA reduces confusion.

✗ A. None at all: confusion is possible

✗ B. It cancels the DBA: no

✗ D. Signing as Fresh Bowls creates a new LLC called Fresh Bowls: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q4 · question page 545

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A founder plans: "File DBA, then sell food from home." What else must be checked?

Answer: D. Licenses, permits and local rules for selling food

Selling food usually involves separate rules; a DBA is only a name.

✗ A. Only the font and layout of the printed DBA certificate: no

✗ B. Nothing; the DBA is enough: no

✗ C. Only competitor prices: not the key gap

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q5 · question page 546

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

Which statement is accurate?

Answer: A. A DBA can be useful, but it is only a registered name.

A DBA has a narrow purpose.

- ✗ B. A DBA lowers taxes.: no
- ✗ C. A DBA is a trademark.: no
- ✗ D. A DBA replaces the need to form an LLC for protection.: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S27-M-Q1 · question page 548

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

What is a personal guarantee?

Answer: A. A promise to pay a business debt yourself if the business cannot

It makes you personally responsible for that debt.

- ✗ B. A promise by the bank to lend you more money later: not what it is
- ✗ C. A guarantee that the business will make a profit this year: not what it is
- ✗ D. A warranty you give customers on a product: different meaning

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q2 · question page 549

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

An LLC owner signed a personal guarantee on the shop lease. The business closes. Who may owe the rest of the lease?

Answer: C. The owner personally

The guarantee makes the owner responsible.

- ✗ A. The state: no
- ✗ B. Only the landlord: the landlord is owed
- ✗ D. No one, because the LLC closed: the guarantee remains

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q3 · question page 550

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Why do lenders often ask new owners for guarantees?

Answer: D. New businesses have little history.

Lenders want someone with a track record responsible.

- ✗ A. Because LLCs cannot sign contracts.: they can
- ✗ B. Because guarantees are required by every state.: not a universal law
- ✗ C. Because guarantees lower the owner's taxes.: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q4 · question page 551

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Where can a personal guarantee sometimes hide?

Answer: B. Inside a long application or contract

Read long forms carefully.

- ✗ A. Only on billboards outside the bank: no
- ✗ C. Only in the company logo: no
- ✗ D. Only in social media ads: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q5 · question page 552

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Before signing a guarantee, what should an owner ask?

Answer: C. Could I pay this amount personally if needed?

Consider the personal risk.

✗ A. Will signing this make my company logo look better?: irrelevant

✗ B. How fast can I sign?: speed is not the point

✗ D. Is the paper a nice color?: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q1 · question page 553

ENT.LEGAL.09 · Co-signing for a friend

Co-signing means what?

Answer: D. You may have to pay if the main borrower does not

The co-signer backs the debt.

✗ A. You get a free phone: no

✗ B. You own the company: no

✗ C. You can never be asked to pay anything at all: you can

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S27-B1-Q2 · question page 554

ENT.LEGAL.09 · Co-signing for a friend

A personal guarantee is like co-signing for whom?

Answer: B. Your own business

You back your company's debt.

✗ A. A competitor down the street: no

✗ C. A stranger: no

✗ D. The bank: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q3 · question page 555

ENT.LEGAL.09 · Co-signing for a friend

If the LLC cannot pay a guaranteed debt, who may pay?

Answer: D. The person who signed the guarantee

The guarantor pays.

- ✗ A. The state: no
- ✗ B. The business's regular customers: no
- ✗ C. Nobody: someone owes it

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q4 · question page 556

ENT.LEGAL.09 · Co-signing for a friend

Who is the main borrower on a business loan with a guarantee?

Answer: B. The business

The business borrows; the guarantor backs it.

- ✗ A. The guarantor only: the business borrows
- ✗ C. The landlord: no
- ✗ D. The bank: the bank lends

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q5 · question page 557

ENT.LEGAL.09 · Co-signing for a friend

Does an LLC stop a guarantor from having to pay?

Answer: A. No

The guarantee is personal.

- ✗ B. Only in summer: no
- ✗ C. Only if small: no
- ✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F1-Q1 · question page 558

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A supplier offers 30-day payment terms if the owner signs a personal guarantee up to 5,000 dollars. The owner has 1,000 dollars in savings. What is the main concern?

Answer: B. She could owe more than she could personally pay

A 5,000-dollar guarantee exceeds her 1,000 dollars of savings.

- ✗ A. Payment terms are always free of risk: not with a guarantee
- ✗ C. Guarantees only apply to big companies: no
- ✗ D. The supplier will never actually ask anyone for payment: they may

Arithmetic checked by code: yes. Sources: sba_structure

S27-F1-Q2 · question page 559

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Two lease offers: A requires a personal guarantee; B costs 100 dollars more a month with no guarantee. The owner's priority is protecting her house. Which fits her priority?

Answer: C. Offer B, without the guarantee

Avoiding the guarantee protects personal assets.

- ✗ A. Offer A, because it is cheaper: it adds personal risk
- ✗ B. Neither, because all leases require guarantees: not true here
- ✗ D. Offer A, because guarantees never get used: they can be used

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F1-Q3 · question page 560

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A loan application has a page titled "Unconditional Guaranty." What should the owner do?

Answer: A. Read it and ask what it covers before signing

Understanding the guarantee is essential.

- ✗ B. Ignore it because it is a standard form: it matters
- ✗ C. Cross it out without telling the lender: not an agreement
- ✗ D. Sign quickly so the loan closes faster: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F1-Q4 · question page 561

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A guarantee covers a 12,000-dollar loan. The business repays 9,000 dollars and then closes. How much might the guarantor owe, ignoring interest and fees?

Answer: C. 3,000 dollars

12,000 - 9,000 = 3,000 dollars remaining.

- ✗ A. 0 dollars: a balance remains
- ✗ B. 9,000 dollars: that was repaid
- ✗ D. 12,000 dollars: ignores repayments

Arithmetic checked by code: yes. Sources: sba_structure

S27-F1-Q5 · question page 562

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Which action can reduce guarantee risk?

Answer: C. Negotiating a limit or a time period on the guarantee

Limits and time periods can reduce exposure.

- ✗ A. Hiding the guarantee from a business partner so they do not worry: unfair
- ✗ B. Ignoring the amount: risky
- ✗ D. Signing several guarantees at once: increases risk

Arithmetic checked by code: not applicable. Sources: sba_structure

S27-F2-Q1 · question page 563

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Two partners own an LLC equally. Only one signs a personal guarantee. What should the partners discuss?

Answer: D. How they will share that risk fairly

Uneven personal risk should be addressed in their agreement.

- ✗ A. Whether to change the logo: unrelated
- ✗ B. Nothing; guarantees are always shared automatically: not automatically
- ✗ C. Whether to stop keeping records: harmful

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q2 · question page 564

ENT.LEGAL.09 · Handle the complications: guarantees and partners

An owner says, "I have an LLC, so the guarantee does not matter." What is wrong?

Answer: B. The guarantee makes her personally responsible despite the LLC

A personal guarantee bypasses limited liability for that debt.

- ✗ A. Guarantees expire when signed: no
- ✗ C. Personal guarantees are illegal for anyone who owns an LLC: no
- ✗ D. Nothing; the LLC overrides it: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q3 · question page 565

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Which missing information should be checked before signing a guarantee?

Answer: A. The maximum amount and how long it lasts

Amount and duration define the risk.

✗ B. How many employees the lender has: irrelevant

✗ C. The lender's office paint color: irrelevant

✗ D. Whether the lender likes your logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q4 · question page 566

ENT.LEGAL.09 · Handle the complications: guarantees and partners

A business owner's spouse is asked to sign a guarantee too. What should the spouse understand?

Answer: D. Their personal assets could also be used for the debt

Anyone who signs can be personally responsible.

✗ A. Spouses can never be responsible: they can if they sign

✗ B. Signing only helps the credit score: it creates liability

✗ C. It is just a formality that has no legal effect on the spouse: it has effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q5 · question page 567

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Who is the best person to review a large guarantee before signing?

Answer: C. A business attorney

Independent legal advice helps.

✗ A. A social media follower: not qualified

✗ B. The lender only: they represent the lender

✗ D. A graphic designer: not qualified

Arithmetic checked by code: not applicable. Sources: sba_structure

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S28-M-Q1 · question page 569

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Lucy wants to sell homemade baked goods from her kitchen. What should she check?

Answer: A. Local and state rules for selling food made at home

Food sales often have specific rules.

- ✗ B. Only whether her friends and neighbors like her cookies: not a legal check
- ✗ C. Only how to post on social media: not a legal check
- ✗ D. Only the price of flour at the store: not a legal check

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-M-Q2 · question page 570

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

What do zoning rules decide?

Answer: D. What activities are allowed at a location

Zoning is about land use and location.

- ✗ A. Which colors a business logo may use: not zoning
- ✗ B. How much tax the owner pays each year: not zoning
- ✗ C. Which bank the business must use: not zoning

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-M-Q3 · question page 571

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Which job most likely needs a professional license?

Answer: C. Electrical wiring in customers' homes

Electrical work commonly needs a license.

- ✗ A. Dog photography at a park: usually no professional license
- ✗ B. Writing a personal blog for fun: not a business license issue
- ✗ D. Selling greeting cards online: usually no special license

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-M-Q4 · question page 572

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Who sets licensing and permit rules?

Answer: C. It depends: city, county, state and sometimes federal agencies

Several levels can apply.

- ✗ A. Only the business owner's friends: no
- ✗ B. Only the bank that holds the account: no
- ✗ D. Only the federal government, for every business in the country: too narrow

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-M-Q5 · question page 573

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

A tenant wants to run a business from an apartment. What else besides city rules should she check?

Answer: D. Her lease terms

Leases can limit business use.

- ✗ A. The weather forecast: irrelevant
- ✗ B. Her favorite restaurant's hours: irrelevant
- ✗ C. A competitor's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q1 · question page 574

ENT.LEGAL.10 · Permission slips

A general business license is like which permission slip?

Answer: B. Permission to operate at all

It is broad permission.

- ✗ A. Permission to drive a car: that is personal
- ✗ C. Permission to skip class: unrelated
- ✗ D. Permission to change a logo: not needed

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q2 · question page 575

ENT.LEGAL.10 · Permission slips

A food permit covers what?

Answer: A. A specific activity: selling food

Permits cover specific activities.

- ✗ B. The owner's taxes: unrelated
- ✗ C. The company name: unrelated
- ✗ D. All business activity everywhere: too broad

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q3 · question page 576

ENT.LEGAL.10 · Permission slips

Zoning approval is about what?

Answer: B. Whether the location allows the activity

Zoning concerns the place.

- ✗ A. The owner's education level and degrees: no
- ✗ C. The website design: no
- ✗ D. The product's price: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q4 · question page 577

ENT.LEGAL.10 · Permission slips

A hair stylist's license is which kind?

Answer: D. A personal professional license

It applies to the person doing the work.

- ✗ A. A zoning rule for the salon: no
- ✗ B. A trademark: no
- ✗ C. A DBA: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q5 · question page 578

ENT.LEGAL.10 · Permission slips

Who issues each permission?

Answer: A. The group in charge of that rule

Each authority issues its own permission.

- ✗ B. The business owner alone, by choice: no
- ✗ C. Competitors: no
- ✗ D. Customers: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F1-Q1 · question page 579

ENT.LEGAL.10 · Apply it: make a permissions checklist

Sam wants to run a home-based tutoring business with students visiting 4 evenings a week. Which checks fit best?

Answer: D. City business license, zoning limits on home visits, and his lease or HOA rules

Visits to a home business can trigger zoning and lease rules.

- ✗ A. Only a trademark search: not the main permission

✗ B. Only a social media account to advertise the tutoring sessions to local families: not a permission

✗ C. Only a food permit: he is not selling food

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F1-Q2 · question page 580

ENT.LEGAL.10 · Apply it: make a permissions checklist

A food truck plans to sell in two cities. What should the owner check?

Answer: B. Each city's permits and rules

Each city may have its own permits.

✗ A. Nothing, trucks are always exempt: no

✗ C. Only the truck's paint color: irrelevant

✗ D. One city's rules, since all cities match: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F1-Q3 · question page 581

ENT.LEGAL.10 · Apply it: make a permissions checklist

A city charges 50 dollars for a business license and 120 dollars for a sign permit. What is the total for both?

Answer: A. 170 dollars

50 + 120 = 170 dollars (example fees).

✗ B. 120 dollars: only the sign permit

✗ C. 70 dollars: the difference

✗ D. 50 dollars: only the license

Arithmetic checked by code: yes. Sources: sba_launch

S28-F1-Q4 · question page 582

ENT.LEGAL.10 · Apply it: make a permissions checklist

An online-only digital product seller works from home with no visitors. Which check is still sensible?

Answer: B. Whether the city or state requires a general business license or registration

Even online businesses may need general registration where they are based.

- ✗ A. A liquor license: not relevant
- ✗ C. A food handler permit and a restaurant health inspection for the home kitchen: not relevant
- ✗ D. A construction permit: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F1-Q5 · question page 583

ENT.LEGAL.10 · Apply it: make a permissions checklist

Where is the best place to find local requirements?

Answer: A. The city or county government's business office or website

Official local sources give current requirements.

- ✗ B. A random forum post: unreliable
- ✗ C. A competitor: unreliable
- ✗ D. The comment section under a video about business licenses: unreliable

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q1 · question page 584

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A friend says, "Home businesses never need permits." What is wrong with this?

Answer: B. Rules depend on the activity and location

Many home businesses need registration or permits.

- ✗ A. Nothing; it is always true: false

✗ C. Only big businesses exist: false

✗ D. Home businesses are illegal everywhere: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q2 · question page 585

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A dog groomer's city allows home businesses, but her homeowner association bans customer visits. What should she do?

Answer: C. Follow both sets of rules or find another location

Private association rules can add limits beyond city rules.

✗ A. Assume rules never get enforced: risky

✗ B. Ask customers to keep visits secret: not honest

✗ D. Ignore the association because the city allows it: both can apply

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q3 · question page 586

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which missing check is the biggest risk in this plan? "Rent a shop, print signs, open next week."

Answer: C. Whether zoning and permits allow this use at the shop

Opening without allowed use and permits can force closure.

✗ A. Whether the printed signs are colorful enough to attract walkers: minor

✗ B. Whether competitors are nearby: not a permission

✗ D. Whether the website loads fast: minor

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F2-Q4 · question page 587

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A license must be renewed each year. What is a sensible habit?

Answer: A. Put renewal dates on a deadline calendar

Tracking renewals avoids lapses.

- ✗ B. Wait for a reminder that may never come: risky
- ✗ C. Assume one license lasts forever: often false
- ✗ D. Renew only if inspected: not compliant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F2-Q5 · question page 588

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which statement is accurate for this course?

Answer: A. Rules vary by place, so check the official sources where you operate.

Jurisdiction matters.

- ✗ B. New Jersey's rules apply the same way everywhere in the US.: no single state's rules apply everywhere
- ✗ C. Federal rules replace all local rules.: not true
- ✗ D. No business needs any permission.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S29-M-Q1 · question page 590

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about a confusing lease clause?

Answer: C. An attorney

Lease clauses are legal questions.

- ✗ A. A graphic designer who made the logo: not legal
- ✗ B. A social media manager: not legal
- ✗ D. A delivery driver: not legal

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q2 · question page 591

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about whether to make a tax election?

Answer: B. An accountant or tax professional

Tax elections are tax questions.

- ✗ A. A web developer who builds websites: not tax
- ✗ C. A sign maker: not tax
- ✗ D. A florist: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q3 · question page 592

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

When is professional help most worth paying for?

Answer: B. When stakes are high and mistakes are hard to undo

High stakes justify expert help.

- ✗ A. When ordering pens: low stakes
- ✗ C. When picking a lunch spot: irrelevant
- ✗ D. When choosing a font for the business's social media posts: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q4 · question page 593

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

What is a good way to prepare for a meeting with an expert?

Answer: D. Write questions and bring documents

Preparation saves time and money.

✗ A. Arrive with no questions to save time: wastes time

✗ B. Avoid asking about fees: fees matter

✗ C. Bring only a logo sketch: not enough

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q5 · question page 594

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional helps match coverage to business risks?

Answer: D. An insurance agent or broker

Insurance professionals match coverage to risks.

✗ A. A trademark examiner at the agency: no

✗ B. A banker: not insurance

✗ C. A copywriter: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q1 · question page 595

ENT.LEGAL.11 · Matching the question to the expert

A contract question goes to whom?

Answer: D. An attorney

Contracts are legal.

✗ A. A designer: not legal

✗ B. An accountant: tax

✗ C. An insurance agent: coverage

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q2 · question page 596

ENT.LEGAL.11 · Matching the question to the expert

A tax question goes to whom?

Answer: C. An accountant or tax professional

Taxes go to a tax professional.

- ✗ A. A dentist: no
- ✗ B. An attorney only, never anyone else: tax pro fits better
- ✗ D. A designer: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q3 · question page 597

ENT.LEGAL.11 · Matching the question to the expert

An insurance coverage question goes to whom?

Answer: D. An insurance agent

Coverage goes to an insurance professional.

- ✗ A. A chef: no
- ✗ B. A tutor: no
- ✗ C. A store cashier: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q4 · question page 598

ENT.LEGAL.11 · Matching the question to the expert

Why match the question to the expert?

Answer: B. To get a better answer faster

The right expert answers best.

- ✗ A. To avoid all advice: no
- ✗ C. To confuse the expert on purpose: no
- ✗ D. To pay more: not the goal

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q5 · question page 599

ENT.LEGAL.11 · Matching the question to the expert

A dentist for teeth is like what for a lease dispute?

Answer: A. An attorney

Legal disputes go to an attorney.

- ✗ B. A house painter: no
- ✗ C. A baker: no
- ✗ D. A coach: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q1 · question page 600

ENT.LEGAL.11 · Apply it: decide whether to get help now

Mia is about to sign a 5-year commercial lease with a personal guarantee. What is the best step?

Answer: A. Have an attorney review it before signing

A long lease with a guarantee is high stakes.

- ✗ B. Ask a friend who once rented an apartment: not equivalent
- ✗ C. Sign quickly before the landlord changes his mind: risky
- ✗ D. Skip reading the guarantee page: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q2 · question page 601

ENT.LEGAL.11 · Apply it: decide whether to get help now

Jon needs to choose a font for his flyers. Does he need an attorney?

Answer: C. No, this is a low-stakes design choice

Low-stakes choices rarely need legal help (though licensed font use matters).

✗ A. Yes, attorneys design flyers: no

✗ B. Yes, every decision needs an attorney: too costly

✗ D. Yes, fonts are legal contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q3 · question page 602

ENT.LEGAL.11 · Apply it: decide whether to get help now

An attorney charges 200 dollars an hour. A lease review takes 1.5 hours. What is the cost?

Answer: A. 300 dollars

200 x 1.5 = 300 dollars (example rate).

✗ B. 201.5 dollars: adds instead of multiplying

✗ C. 200 dollars: one hour

✗ D. 400 dollars: two hours

Arithmetic checked by code: yes. Sources: sba_structure

S29-F1-Q4 · question page 603

ENT.LEGAL.11 · Apply it: decide whether to get help now

Which question is best brought to a tax professional?

Answer: C. How to plan estimated tax payments for a new business

Estimated tax planning is a tax question.

✗ A. Which supplier has nicer boxes: not tax

✗ B. How to write an Instagram caption: not tax

✗ D. Which color to paint the shop's front door this spring: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q5 · question page 604

ENT.LEGAL.11 · Apply it: decide whether to get help now

A founder can afford only one paid consultation this month. Which use is most valuable?

Answer: A. Reviewing the partnership agreement before both partners sign

A binding agreement between owners is high stakes.

- ✗ B. Naming a product flavor: low stakes
- ✗ C. Picking a nice email signature for every message she sends: low stakes
- ✗ D. Choosing a logo color: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q1 · question page 605

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A free online article explains LLC rules but is from another state and five years old. What is the limit?

Answer: D. It may not match current rules where you operate

Location and date matter for legal information.

- ✗ A. It fully replaces all professional advice for every owner: no
- ✗ B. Articles can never be useful: they can help
- ✗ C. It is always perfectly accurate: not necessarily

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q2 · question page 606

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder asks a lawyer friend casually at a party about a lawsuit threat. What is the concern?

Answer: C. Casual answers may be incomplete; a proper consultation is safer

Serious issues need proper advice with full facts.

- ✗ A. The lawsuit will disappear: no
- ✗ B. Lawyers never answer questions: they do
- ✗ D. No concern; advice given at a party is binding and complete: not reliable

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q3 · question page 607

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Before hiring an accountant, which question should the owner ask?

Answer: B. What the fee is and what is included

Fees and scope prevent surprises.

- ✗ A. Whether the accountant uses social media: irrelevant
- ✗ C. Whether the accountant likes the logo: irrelevant
- ✗ D. What the accountant's favorite movie is: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q4 · question page 608

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder uses an AI tool to draft a contract. What is the sensible next step for an important deal?

Answer: C. Have a qualified professional review it

AI drafts need human professional review for important matters.

- ✗ A. Assume AI drafts are legally verified: they are not
- ✗ B. Sign it as written: AI can make errors
- ✗ D. Delete all contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q5 · question page 609

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Which statement fits this course?

Answer: B. Education explains what to check; individual decisions may need professional advice.

The course teaches what to check and why.

- ✗ A. Professionals are never needed.: sometimes they are
- ✗ C. Every question needs a lawyer.: too costly and unnecessary
- ✗ D. This course gives each learner individual legal advice for their own business.: it does not

Arithmetic checked by code: not applicable. Sources: sba_structure

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S30-M-Q1 · question page 611

ENT.ID.01 · Explain what an EIN is and who usually needs one

What is an EIN?

Answer: D. A federal tax ID number for a business

The IRS issues EINs to identify businesses for federal taxes.

- ✗ A. A registered trademark for a business name: trademarks are separate
- ✗ B. A credit score assigned to new businesses: not a credit score
- ✗ C. A state license that lets a business sell food: that is a permit

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q2 · question page 612

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which agency issues EINs?

Answer: A. The IRS

The IRS is the federal tax agency.

- ✗ B. The US Postal Service: it handles mail
- ✗ C. The patent and trademark office: it handles trademarks
- ✗ D. The state's business licensing office: states issue other IDs

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q3 · question page 613

ENT.ID.01 · Explain what an EIN is and who usually needs one

How much does the IRS charge for an EIN?

Answer: C. Nothing; it is free

The IRS states you never have to pay a fee for an EIN.

- ✗ A. A fee set by each county: the EIN is federal and free
- ✗ B. A 50-dollar filing fee paid online: the IRS says there is no fee
- ✗ D. A yearly fee based on sales: there is no fee

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q4 · question page 614

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which business most clearly needs an EIN?

Answer: B. A shop that hires its first employee

Hiring employees is a common reason an EIN is required.

- ✗ A. A person who only buys from businesses: a customer, not a business
- ✗ C. A child selling lemonade one afternoon: not a formal business
- ✗ D. A hobby blogger who earns no money at all: not a business with tax needs

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q5 · question page 615

ENT.ID.01 · Explain what an EIN is and who usually needs one

Why might a sole proprietor with no employees still get an EIN?

Answer: C. To give clients an EIN instead of her SSN

An EIN can keep her Social Security number more private.

✗ A. Because it automatically creates an LLC for her: it does not create an entity

✗ B. Because it protects her house from business debts: no liability protection

✗ D. Because it removes the need to pay income tax: taxes still apply

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q1 · question page 616

ENT.ID.01 · An ID number for the business

An EIN is most like which of these?

Answer: D. A student ID number

It identifies the business.

✗ A. A shop's front sign: not an ID

✗ B. A house key: not an ID

✗ C. A bank loan: not an ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q2 · question page 617

ENT.ID.01 · An ID number for the business

A person's tax ID is usually what?

Answer: D. A Social Security number

People use an SSN for taxes.

✗ A. A home street address: not a tax ID

✗ B. A zip code: not a tax ID

✗ C. A phone number: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q3 · question page 618

ENT.ID.01 · An ID number for the business

What does the EIN tell the IRS?

Answer: C. Which business the records belong to

It matches records to the business.

- ✗ A. Where to buy supplies: no
- ✗ B. How good the products are: no
- ✗ D. The owner's favorite color and hobbies: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q4 · question page 619

ENT.ID.01 · An ID number for the business

Does an EIN protect the owner from debts?

Answer: D. No, it is only an ID number

It does not change liability.

- ✗ A. Yes, but only for LLC owners: no
- ✗ B. Yes, from every debt: no
- ✗ C. Yes, in every state: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q5 · question page 620

ENT.ID.01 · An ID number for the business

When might a bank ask for an EIN?

Answer: C. When opening a business bank account

Banks often ask for it.

- ✗ A. When checking the weather: no
- ✗ B. When paying at a city parking meter: no
- ✗ D. When buying a coffee: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q1 · question page 621

ENT.ID.01 · Apply it: decide whether to get an EIN

Dee runs a one-person bookkeeping service as a sole proprietor. Clients ask for a tax ID on forms. She does not want to share her SSN widely. What fits?

Answer: B. Get a free EIN and give clients that number

A free EIN can be used instead of her SSN.

- ✗ A. Refuse all clients who ask for a tax ID: loses business unnecessarily
- ✗ C. Make up a nine-digit number for the forms: false information
- ✗ D. Pay a website 200 dollars, believing it is required: the EIN is free from the IRS

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q2 · question page 622

ENT.ID.01 · Apply it: decide whether to get an EIN

Raj is hiring two part-time workers for his food truck. What should he get?

Answer: C. An EIN from the IRS

Employers need an EIN.

- ✗ A. Only a trademark for the truck's name: not a tax ID
- ✗ B. Only a new business email address: not a tax ID
- ✗ D. Only a PO Box for mail: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q3 · question page 623

ENT.ID.01 · Apply it: decide whether to get an EIN

Which statement about an EIN is accurate?

Answer: A. It identifies the business for federal taxes.

Its purpose is federal tax identification.

- ✗ B. It means the business has trademark rights.: separate
- ✗ C. It is issued by the bank that holds the account.: the IRS issues it
- ✗ D. It replaces the business license from the city.: licenses are separate

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q4 · question page 624

ENT.ID.01 · Apply it: decide whether to get an EIN

An EIN has how many digits?

Answer: B. Nine

An EIN is a nine-digit number.

- ✗ A. Twelve: not the format
- ✗ C. Four: not the format
- ✗ D. Six: not the format

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q5 · question page 625

ENT.ID.01 · Apply it: decide whether to get an EIN

Lena formed a two-owner LLC with her brother. What is the most likely situation?

Answer: D. The LLC will usually need an EIN

Multi-member LLCs are generally partnerships for tax and need an EIN.

- ✗ A. The LLC can never have an EIN: false
- ✗ B. Each owner must use the other's SSN: false
- ✗ C. The LLC uses the state's phone number as its ID: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q1 · question page 626

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A website charges 250 dollars to "obtain your EIN." What should a founder know?

Answer: C. The IRS gives EINs for free

Third parties may charge, but the IRS does not.

- ✗ A. Paying more gives a better EIN: no such thing
- ✗ B. The 250 dollars is the IRS's official fee: there is no IRS fee
- ✗ D. Only paid websites can request EINs: the IRS accepts direct applications

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q2 · question page 627

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner thinks getting an EIN means she now has an LLC. What is the error?

Answer: A. An EIN is a tax ID, not a legal entity

Entities are formed with the state.

- ✗ B. There is no error; EINs create LLCs: false
- ✗ C. EINs end the business's tax duties: false
- ✗ D. EINs are only for corporations: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q3 · question page 628

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A sole proprietor shares her EIN on an invoice. Compared with sharing her SSN, what is the benefit?

Answer: B. Her Social Security number stays more private

The EIN limits SSN exposure.

- ✗ A. Her invoices become legally binding contracts: not how invoices work

✗ C. She pays no income tax at all: false

✗ D. Her business turns into a corporation: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q4 · question page 629

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

Which source is best to confirm whether a business needs an EIN?

Answer: C. The IRS website

The IRS is the official source.

✗ A. A competitor's guess: unreliable

✗ B. A comment on a social media post: unreliable

✗ D. An old flyer from a print shop: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q5 · question page 630

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner loses track of her EIN. What is a sensible first step?

Answer: D. Check earlier IRS letters or bank and tax records

The number appears on earlier official records.

✗ A. Use a random nine-digit number on forms until she finds it: false information

✗ B. Stop filing taxes until it turns up: creates problems

✗ C. Apply for many new EINs right away: creates confusion

Arithmetic checked by code: not applicable. Sources: irs_ein

S31-M-Q1 · question page 632

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

Where should an owner apply for an EIN to avoid unnecessary fees?

Answer: C. Directly with the IRS

Applying directly is free.

- ✗ A. Through the city hall front desk: not the issuer
- ✗ B. Through any website that appears first in an ad: may charge fees
- ✗ D. Through the business's bank teller: the IRS issues EINs

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q2 · question page 633

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What is the "responsible party" on the application?

Answer: A. An individual who controls the business

It is a person in control.

- ✗ B. Any customer who bought something from the business: customers do not control it
- ✗ C. The state office that approved the LLC: not the controller
- ✗ D. The bank that will hold the business account: not a person in control

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q3 · question page 634

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What must the responsible party have for the online application?

Answer: B. An SSN or ITIN

The online form requires an SSN or ITIN.

- ✗ A. A college degree in business: not required
- ✗ C. A business credit card with a high limit: not required
- ✗ D. A registered trademark for the name: not required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q4 · question page 635

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

An owner is forming an LLC. What order does the IRS advise?

Answer: D. Form the LLC with the state, then apply for the EIN

Form the entity first to avoid delays.

- ✗ A. Apply for the EIN, then decide on a business later: may cause delays
- ✗ B. Print invoices, then decide on the business form: not the advised order
- ✗ C. Open a bank account, then form the LLC years later: banks need the entity papers

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q5 · question page 636

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What does the IRS say about completing the online application?

Answer: A. It must be finished in one session

Gather information before starting.

- ✗ B. It must be signed in person at a bank: not required
- ✗ C. It can be saved for three weeks and resumed: must be completed in one session
- ✗ D. It must be mailed in on paper afterward: not for the online version

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q1 · question page 637

ENT.ID.02 · The official counter versus a middleman

In the story, who is the official counter?

Answer: B. The library desk

The library issues the card.

- ✗ A. The stranger outside: a middleman
- ✗ C. A bookstore: no
- ✗ D. The parking lot: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q2 · question page 638

ENT.ID.02 · The official counter versus a middleman

For an EIN, who is the official counter?

Answer: D. The IRS

The IRS issues EINs.

- ✗ A. A competitor: no
- ✗ B. A paid website: a middleman
- ✗ C. A friend: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q3 · question page 639

ENT.ID.02 · The official counter versus a middleman

Does the official counter charge for an EIN?

Answer: C. No

The IRS EIN is free.

- ✗ A. Yes, 100 dollars: no fee
- ✗ B. Only on weekends: no fee
- ✗ D. Yes, monthly: no fee

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q4 · question page 640

ENT.ID.02 · The official counter versus a middleman

What might a middleman website add?

Answer: B. Its own fee

Middlemen may charge for convenience.

- ✗ A. A trademark: no
- ✗ C. A free gift card: not typical
- ✗ D. A business loan: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q5 · question page 641

ENT.ID.02 · The official counter versus a middleman

What is the safest way to avoid extra fees?

Answer: D. Use the official IRS site

Go to the official source.

- ✗ A. Pay whoever asks: risky
- ✗ B. Guess a number: false info
- ✗ C. Click the first ad you see: may be a middleman

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q1 · question page 642

ENT.ID.02 · Apply it: prepare and apply correctly

Pat wants to apply online but has not decided who controls the business with his partner. What should he do first?

Answer: A. Decide who the responsible party is before starting

The application must be completed in one session with that information.

- ✗ B. Apply twice, once for each partner: creates duplicate EINs

✗ C. List a loyal customer as the responsible party instead: not correct

✗ D. Start and leave the field blank: it is required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q2 · question page 643

ENT.ID.02 · Apply it: prepare and apply correctly

A founder searched "get EIN" and found a site charging 199 dollars that looks official. What should she check?

Answer: D. Whether the web address is the IRS's official irs.gov site

The official IRS site ends in irs.gov.

✗ A. Whether the site has nice colors: not a test

✗ B. Whether the price is lower than another paid EIN website: still unnecessary

✗ C. Whether the site has many ads: not a test

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q3 · question page 644

ENT.ID.02 · Apply it: prepare and apply correctly

Kai plans to form an LLC next month. He wants an EIN today for the future LLC. What does the IRS advise?

Answer: B. Form the LLC first, then apply

Form the entity first.

✗ A. Apply today; order never matters: IRS warns of delays

✗ C. Skip the EIN entirely for an LLC: may still need one

✗ D. Use his own SSN as the LLC's EIN forever: not the same thing

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q4 · question page 645

ENT.ID.02 · Apply it: prepare and apply correctly

Which information should be ready before starting the online application?

Answer: C. The business type and responsible party's SSN or ITIN

Gather required details in advance.

- ✗ A. The logo file, brand colors and a sample of the website: not needed
- ✗ B. Next year's marketing plan: not needed
- ✗ D. A list of competitors' prices: not needed

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q5 · question page 646

ENT.ID.02 · Apply it: prepare and apply correctly

Nora saved 199 dollars by applying directly with the IRS instead of a paid site. If she had also avoided a 49-dollar "rush" add-on, how much did she save in total?

Answer: D. 248 dollars

199 + 49 = 248 dollars (example prices).

- ✗ A. 199 dollars: only the base fee
- ✗ B. 49 dollars: only the add-on
- ✗ C. 150 dollars: the difference

Arithmetic checked by code: yes. Sources: irs_ein; irs_ein_online

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S31-F2-Q1 · question page 647

ENT.ID.02 · Handle the complications: special cases and scams

A founder has no SSN or ITIN. What does the IRS page say about the online application?

Answer: A. It requires an SSN or ITIN, so another IRS method may be needed

The online option needs an SSN or ITIN; check the IRS for alternatives.

- ✗ B. She can never get an EIN: other methods exist

✗ C. Anyone can apply online without any SSN or ITIN at all: not online

✗ D. She should use a friend's SSN: false information

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q2 · question page 648

ENT.ID.02 · Handle the complications: special cases and scams

An email says, "Your EIN expires. Pay 75 dollars to renew." What should the owner do?

Answer: C. Treat it as suspicious and check with the IRS directly

EINs are free; verify through official channels.

✗ A. Reply with her bank details: risky

✗ B. Click the link and enter her SSN: risky

✗ D. Pay quickly by card so the business does not lose its EIN: likely a scam

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q3 · question page 649

ENT.ID.02 · Handle the complications: special cases and scams

A business is located outside the US. What does the IRS online page say?

Answer: D. The online application is for businesses in the US or its territories

Check the IRS for other application methods.

✗ A. Foreign businesses get EINs from their bank: not correct

✗ B. Every business located abroad must use only the online tool: not correct

✗ C. Foreign businesses can never get an EIN: other methods exist

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q4 · question page 650

ENT.ID.02 · Handle the complications: special cases and scams

An owner started the online form, left for lunch and came back. What might happen?

Answer: B. She may need to start again because it is one session

The session must be completed at once.

- ✗ A. She gets two EINs: no
- ✗ C. The IRS mails her the EIN anyway: not complete
- ✗ D. Her progress is saved for several months automatically: not how it works

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q5 · question page 651

ENT.ID.02 · Handle the complications: special cases and scams

Which statement is accurate?

Answer: A. Rules on the IRS site can change, so check it when applying.

Official pages give current rules.

- ✗ B. Paid websites set IRS rules.: no
- ✗ C. IRS rules never change.: they can change
- ✗ D. Banks decide which businesses are allowed to get an EIN.: the IRS does

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S32-M-Q1 · question page 653

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Which ID is the federal tax ID?

Answer: B. The EIN

The EIN comes from the IRS.

- ✗ A. The state sales tax permit: state level
- ✗ C. The DBA certificate number: a name filing
- ✗ D. The city business license number: local permission

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q2 · question page 654

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

A shop will collect sales tax. Which ID is it most likely to need from the state?

Answer: D. A state tax account or sales tax permit

Sales tax is usually a state matter.

- ✗ A. Only a trademark registration: not a tax ID
- ✗ B. Only a domain name registration for the site: not a tax ID
- ✗ C. Only an EIN from the IRS: the EIN is federal

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q3 · question page 655

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

What does business registration (like forming an LLC) do?

Answer: C. Records the business with the state

Registration records the business or name.

- ✗ A. Replaces all business licenses: separate
- ✗ B. Collects sales tax for the state: the business collects
- ✗ D. Gives a federal tax ID number: that is the EIN

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q4 · question page 656

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Does an EIN replace a city business license?

Answer: A. No, they do different jobs

An EIN is a tax ID, not permission to operate.

✗ B. Yes, if the business has an LLC: it does not

✗ C. Yes, but only for food businesses: it does not

✗ D. Yes, an EIN covers every permission: it does not

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q5 · question page 657

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

According to the SBA launch steps, how are federal and state tax IDs treated?

Answer: B. As separate steps

They are listed separately.

✗ A. As the same as a trademark: unrelated

✗ C. As one single combined number: they are separate

✗ D. As optional for all businesses: not optional for many

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q1 · question page 658

ENT.ID.03 · Different cards in a wallet

Why can't a gym card be used at the library?

Answer: B. Each card is for a different place

Each card has its own purpose.

✗ A. Gym cards are illegal: no

✗ C. Gym cards are too big to fit in slots: not the point

✗ D. Libraries are closed: not the point

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q2 · question page 659

ENT.ID.03 · Different cards in a wallet

The EIN is the card for which office?

Answer: D. The IRS

The EIN is federal.

- ✗ A. The city: licenses
- ✗ B. The post office: mail
- ✗ C. The state tax agency: state ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q3 · question page 660

ENT.ID.03 · Different cards in a wallet

A state tax account is the card for which office?

Answer: C. The state tax agency

It is for state taxes.

- ✗ A. The IRS: that is the EIN
- ✗ B. The bank: no
- ✗ D. The trademark office: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q4 · question page 661

ENT.ID.03 · Different cards in a wallet

A license is like which wallet card?

Answer: C. A pass letting you do something

A license grants permission.

- ✗ A. A coupon: no
- ✗ B. A photo: no
- ✗ D. A store receipt from shopping: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q5 · question page 662

ENT.ID.03 · Different cards in a wallet

Can one business ID replace all the others?

Answer: C. No

Each serves its own office.

- ✗ A. Yes, the DBA: no
- ✗ B. Yes, the EIN: no
- ✗ D. Yes, any card: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q1 · question page 663

ENT.ID.03 · Apply it: build an ID and registration checklist

Mara is opening a retail gift shop LLC with one employee. Which list is most complete?

Answer: B. LLC registration, EIN, state tax account, local license

A retail employer needs several IDs and permissions.

- ✗ A. EIN only: missing state and local items
- ✗ C. DBA and logo only: missing most items
- ✗ D. A local license only, with no tax IDs or LLC filing: missing tax IDs and registration

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q2 · question page 664

ENT.ID.03 · Apply it: build an ID and registration checklist

Theo got an EIN and thinks he is ready to collect sales tax. What is missing?

Answer: A. A state sales tax permit or account

Sales tax is usually registered with the state.

- ✗ B. A new domain name: not for sales tax
- ✗ C. Nothing, the EIN covers sales tax: state ID needed
- ✗ D. A trademark search: not for sales tax

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q3 · question page 665

ENT.ID.03 · Apply it: build an ID and registration checklist

Which item gives permission to operate in the city?

Answer: C. A city business license

Licenses give permission.

- ✗ A. The EIN: tax ID
- ✗ B. The DBA filing: name filing
- ✗ D. The state tax account: tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q4 · question page 666

ENT.ID.03 · Apply it: build an ID and registration checklist

A business owner counts 4 required items and has finished 3. What fraction is done?

Answer: A. 3/4

3 done out of 4 required = 3/4.

- ✗ B. 1/4: the part not done
- ✗ C. 4/3: upside down
- ✗ D. 3/7: adds incorrectly

Arithmetic checked by code: yes. Sources: irs_ein; sba_launch

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S32-F1-Q5 · question page 667

ENT.ID.03 · Apply it: build an ID and registration checklist

Which source lists federal and state tax IDs as launch steps?

Answer: D. The SBA's launch guide

The SBA provides an official overview.

- ✗ A. A competitor's social media page: not official
- ✗ B. An old print advertisement: not official
- ✗ C. A random online forum: not official

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q1 · question page 668

ENT.ID.03 · Handle the complications: mixing up IDs

An owner gives a state tax form her EIN in the box for her state account number. What is the problem?

Answer: A. The EIN and state account number are different IDs

Each form asks for a specific number.

- ✗ B. The state only needs her logo: no
- ✗ C. No problem; the federal and state numbers are always identical: not identical
- ✗ D. The state form needs a trademark: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q2 · question page 669

ENT.ID.03 · Handle the complications: mixing up IDs

A seller thinks a DBA filing gives her a state tax account. What is the error?

Answer: C. A DBA registers a name, not a tax account

Tax accounts are separate.

- ✗ A. DBAs are federal IDs: false

✗ B. No error; a DBA filing also opens a state tax account: false

✗ D. DBAs replace the EIN: false

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q3 · question page 670

ENT.ID.03 · Handle the complications: mixing up IDs

A business moves to a new state. Which items should it check?

Answer: D. State registration, state tax accounts and local licenses there

State and local items depend on the location.

✗ A. Only its logo colors: unrelated

✗ B. Only the EIN, which must be replaced: the EIN is federal and usually stays

✗ C. Nothing; every state registration and license transfers automatically: not always

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q4 · question page 671

ENT.ID.03 · Handle the complications: mixing up IDs

Which statement is accurate?

Answer: B. Requirements depend on the state, the activity and whether there are employees.

Check the specific situation.

✗ A. No business needs a state ID.: not true

✗ C. Every business in every state needs exactly the same IDs and filings.: not true

✗ D. Only big companies need IDs.: not true

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

S32-F2-Q5 · question page 672

ENT.ID.03 · Handle the complications: mixing up IDs

Where should a founder check state tax ID needs?

Answer: D. The state tax agency's official website

State agencies handle state taxes.

- ✗ A. The IRS only: the IRS is federal
- ✗ B. A neighbor's guess: unreliable
- ✗ C. The comment section under a business video: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

S33-M-Q1 · question page 674

ENT.BANK.01 · Explain why business money needs its own account

What is commingling?

Answer: C. Mixing personal and business money

Commingling means mixing funds.

- ✗ A. Keeping receipts in a folder by month: that is good record keeping
- ✗ B. Paying taxes on time each quarter: not the meaning
- ✗ D. Opening several savings accounts at once: not the meaning

Arithmetic checked by code: not applicable. Sources: sba_launch

S33-M-Q2 · question page 675

ENT.BANK.01 · Explain why business money needs its own account

What is one benefit of a separate business account?

Answer: B. Bookkeeping and taxes are easier

Clear records simplify bookkeeping.

✗ A. The owner never needs to keep receipts: records are still needed

✗ C. The business pays no taxes at all: taxes still apply

✗ D. Customers must pay in cash only: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q3 · question page 676

ENT.BANK.01 · Explain why business money needs its own account

Which money should go into the business account?

Answer: A. All business income

All business income goes into the business account.

✗ B. Only the owner's birthday gifts: personal money

✗ C. Nothing; it should stay empty: the account is for business money

✗ D. Only cash from personal savings: personal money

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q4 · question page 677

ENT.BANK.01 · Explain why business money needs its own account

How can commingling affect an LLC owner?

Answer: D. It can weaken liability protection

Mixing funds blurs the line between owner and LLC.

✗ A. It removes the need for licenses: unrelated

✗ B. It always lowers the owner's taxes: not a benefit

✗ C. It makes the LLC a trademark: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q5 · question page 678

ENT.BANK.01 · Explain why business money needs its own account

Which purchase belongs on the business account?

Answer: C. Packaging supplies for orders

Business expenses go through the business account.

- ✗ A. The owner's gym membership: personal
- ✗ B. A family vacation: personal
- ✗ D. The owner's groceries: personal

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q1 · question page 679

ENT.BANK.01 · Two jars

Customer payments go in which jar?

Answer: B. The BUSINESS jar

Business income goes to business.

- ✗ A. Neither jar: they must go somewhere
- ✗ C. The HOME jar: personal
- ✗ D. A third secret jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q2 · question page 680

ENT.BANK.01 · Two jars

Groceries are paid from which jar?

Answer: D. The HOME jar

Personal costs come from personal money.

- ✗ A. The BUSINESS jar: personal expense
- ✗ B. No jar: no
- ✗ C. Both jars equally: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S33-B1-Q3 · question page 681

ENT.BANK.01 · Two jars

What happens if both jars are poured into one?

Answer: A. You cannot tell what the business earned

Mixing hides the business results.

- ✗ B. Nothing changes: records get mixed
- ✗ C. Taxes disappear: no
- ✗ D. The business automatically earns more money: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q4 · question page 682

ENT.BANK.01 · Two jars

A business bank account is like which jar?

Answer: B. The BUSINESS jar

It holds only business money.

- ✗ A. The HOME jar for family money: no
- ✗ C. A broken jar: no
- ✗ D. A cookie jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q5 · question page 683

ENT.BANK.01 · Two jars

Business supplies are paid from which jar?

Answer: C. The BUSINESS jar

Business costs come from business money.

✗ A. A neighbor's jar: no

✗ B. The HOME jar: no

✗ D. No jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q1 · question page 684

ENT.BANK.01 · Apply it: sort transactions into the right account

Gia's client pays 600 dollars for a design project. Where should it be deposited?

Answer: A. The business account

Business income goes to the business account.

✗ B. Her personal savings for safekeeping: commingling

✗ C. Her child's school account: commingling

✗ D. Split randomly between accounts: confusing

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q2 · question page 685

ENT.BANK.01 · Apply it: sort transactions into the right account

Ben pays for his personal phone and his business software from one personal card. What is the issue?

Answer: D. Business and personal costs are mixed

Business costs should come from business funds.

✗ A. Nothing, one card is always best: mixing makes records unclear

✗ B. Phones are illegal for businesses: no

✗ C. Software is never a business cost: it can be

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q3 · question page 686

ENT.BANK.01 · Apply it: sort transactions into the right account

In a month, the business account shows deposits of 3,200 dollars and expenses of 2,450 dollars. What is the net change?

Answer: C. 750 dollars more

3,200 - 2,450 = 750 dollars.

- ✗ A. 750 dollars less: wrong direction
- ✗ B. 2,450 dollars more: only expenses
- ✗ D. 5,650 dollars more: adds instead of subtracting

Arithmetic checked by code: yes. Sources: sba_launch

S33-F1-Q4 · question page 687

ENT.BANK.01 · Apply it: sort transactions into the right account

Which is commingling?

Answer: B. Paying the owner's rent from the LLC account

Personal rent paid by the LLC mixes funds.

- ✗ A. Paying the LLC's web hosting from the LLC account: business
- ✗ C. Paying supplier invoices from the LLC account: business
- ✗ D. Depositing client payments in the LLC account: business

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q5 · question page 688

ENT.BANK.01 · Apply it: sort transactions into the right account

A new freelancer has no LLC. Is a separate account still useful?

Answer: A. Yes, it keeps records clearer

Separation helps any business.

- ✗ B. No, it raises taxes automatically: false
- ✗ C. No, freelancers cannot open them: false
- ✗ D. No, only corporations may have one: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q1 · question page 689

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Ava accidentally paid a 40-dollar personal dinner with the business card. What is a sensible fix?

Answer: C. Record it and repay the business from personal money

Correcting and documenting keeps records clean.

- ✗ A. Close the business account: too extreme
- ✗ B. Ignore it, since small mistakes on business cards never matter: records become wrong
- ✗ D. Call it a business expense anyway: not honest

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q2 · question page 690

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

A customer pays by a payment app linked to the owner's personal account. What should the owner change?

Answer: A. Link the payment app to the business account

Payment tools should deposit into the business account.

- ✗ B. Nothing, apps never matter: still commingling
- ✗ C. Delete all records: harmful
- ✗ D. Ask customers to stop paying through the app: loses income

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q3 · question page 691

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

An owner pays herself from the business by moving money to her personal account and noting it. Is that commingling?

Answer: D. No, a recorded transfer to the owner is a normal step

Clear, recorded owner payments are fine.

- ✗ A. Yes, owners can never be paid: false
- ✗ B. Yes, every transfer from business to owner is illegal: false
- ✗ C. Only if done on Mondays: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q4 · question page 692

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which habit best prevents commingling?

Answer: C. Use business cards and accounts only for business

Consistent separation prevents mixing.

- ✗ A. Pay all costs in untracked cash: unclear records
- ✗ B. Use whichever card is closest: mixes funds
- ✗ D. Keep one shared card for both kinds of spending: mixes funds

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q5 · question page 693

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which statement is accurate?

Answer: C. A separate account helps, but it does not by itself guarantee liability protection.

It is one important habit among several.

- ✗ A. A separate account by itself makes the owner immune to every lawsuit and every business debt.: overstated
- ✗ B. A separate account removes the need for bookkeeping.: false
- ✗ D. A separate account eliminates taxes.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q1 · question page 695

ENT.BANK.02 · Prepare documents and compare business account fees and signers

What is a signer on a bank account?

Answer: C. A person allowed to use the account

Signers can make transactions.

- ✗ A. The bank employee who opened the account: not a signer
- ✗ B. A customer who pays the business by check: not a signer
- ✗ D. The state office that approved the LLC: not a signer

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q2 · question page 696

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which document does a bank commonly ask for when opening an LLC account?

Answer: D. The LLC's formation papers

Banks need proof the LLC exists.

- ✗ A. The company's logo file: not relevant
- ✗ B. A competitor's price list: not relevant
- ✗ C. The owner's high school report card: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q3 · question page 697

ENT.BANK.02 · Prepare documents and compare business account fees and signers

A sole proprietor uses the trade name "Pine Cleaners." What may the bank ask for?

Answer: B. A DBA certificate

Banks may need proof of the trade name.

✗ A. A trademark from another country: not needed

✗ C. A food permit: not relevant

✗ D. An operating agreement only: for LLCs

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q4 · question page 698

ENT.BANK.02 · Prepare documents and compare business account fees and signers

An account is "free" if the balance stays above 1,500 dollars. What should an owner check?

Answer: A. Whether she can keep that minimum balance

Conditions decide whether fees apply.

✗ B. Whether the bank's logo is attractive: not relevant

✗ C. Whether the lobby has coffee: not relevant

✗ D. Whether her friends bank there: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q5 · question page 699

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which is part of comparing business accounts?

Answer: D. Monthly fees and transaction limits

Costs and limits matter most.

✗ A. The color of the debit card only: cosmetic

✗ B. How tall the bank building is: irrelevant

✗ C. The bank's TV ads: not a cost

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q1 · question page 700

ENT.BANK.02 · Packing for the bank visit

What happens if you arrive without the right papers?

Answer: B. You may be sent back

Banks need documents.

- ✗ A. Nothing at all: papers are needed
- ✗ C. You get a free account: no
- ✗ D. The bank guesses for you: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q2 · question page 701

ENT.BANK.02 · Packing for the bank visit

Which shows the business exists?

Answer: C. Formation papers or a DBA certificate

Official papers prove it.

- ✗ A. A social media page for the business: not proof
- ✗ B. A photo of the shop: not proof
- ✗ D. A business card: not proof

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q3 · question page 702

ENT.BANK.02 · Packing for the bank visit

Which ID does each account user bring?

Answer: A. A personal photo ID

Each signer is identified.

- ✗ B. A coupon: not ID
- ✗ C. A gym card: not ID
- ✗ D. A library card only: not enough

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q4 · question page 703

ENT.BANK.02 · Packing for the bank visit

Comparing account fees is like comparing what?

Answer: A. Airline baggage fees

Compare costs before choosing.

- ✗ B. Paint colors at a hardware store: no
- ✗ C. Movie plots: no
- ✗ D. Song lyrics: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q5 · question page 704

ENT.BANK.02 · Packing for the bank visit

Which tax ID do you bring?

Answer: C. The EIN

The EIN identifies the business.

- ✗ A. A license plate: no
- ✗ B. A zip code: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q1 · question page 705

ENT.BANK.02 · Apply it: compare two accounts

Account A costs 15 dollars a month. Account B costs 5 dollars a month plus 0.50 dollars per deposit after 20 deposits. A business makes 30 deposits a month. Which costs less?

Answer: A. Account B (10 dollars)

B: 5 + (30 - 20) x 0.50 = 10 dollars, less than 15.

- ✗ B. Account B (20 dollars): miscounted the extra deposits
- ✗ C. They cost the same: B is lower
- ✗ D. Account A (15 dollars): A is higher

Arithmetic checked by code: yes. Sources: sba_launch

S34-F1-Q2 · question page 706

ENT.BANK.02 · Apply it: compare two accounts

Tia's LLC has two owners who will both write checks. What must the bank set up?

Answer: D. Both owners as signers with ID

Each person who uses the account is a signer.

- ✗ A. Only Tia, while her partner uses Tia's card: sharing cards is unsafe
- ✗ B. A customer as a signer: not appropriate
- ✗ C. No signers; the LLC signs itself: people sign

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q3 · question page 707

ENT.BANK.02 · Apply it: compare two accounts

An account waives its 12-dollar monthly fee if the balance stays above 1,000 dollars. Ken's balance usually drops to 400 dollars. What yearly fee should he expect?

Answer: A. 144 dollars

12 x 12 = 144 dollars.

- ✗ B. 12 dollars: only one month
- ✗ C. 0 dollars: he misses the minimum
- ✗ D. 400 dollars: that is the balance

Arithmetic checked by code: yes. Sources: sba_launch

S34-F1-Q4 · question page 708

ENT.BANK.02 · Apply it: compare two accounts

Which document is the bank LEAST likely to require?

Answer: B. The business's marketing plan

Marketing plans are not usually required.

- ✗ A. Formation papers: commonly required
- ✗ C. The EIN: commonly required
- ✗ D. A photo ID for each signer: commonly required

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q5 · question page 709

ENT.BANK.02 · Apply it: compare two accounts

A cash-heavy food truck compares accounts. Which fee matters most to it?

Answer: D. Cash deposit fees

Frequent cash deposits make that fee important.

- ✗ A. International wire fees: rare for it
- ✗ B. Check-printing designs: minor
- ✗ C. Branch decor: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q1 · question page 710

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A partner leaves the business but is still a signer. What should the remaining owner do?

Answer: C. Ask the bank to remove that signer

Update signers when roles change.

- ✗ A. Close every account immediately: not required
- ✗ B. Share the password with the former partner: unsafe

✗ D. Nothing; old signers lose access automatically: not automatic

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q2 · question page 711

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A bank ad says "Free business checking." What should the owner do before opening?

Answer: A. Read the fee schedule and conditions

Fine print shows when fees apply.

✗ B. Assume all banks are the same: they differ
✗ C. Ask a stranger online: unreliable
✗ D. Open it right away; free means no fees ever: conditions may apply

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q3 · question page 712

ENT.BANK.02 · Handle the complications: signers, changes and fine print

An owner gives her bookkeeper her own online banking password. What is a better option?

Answer: D. Ask the bank about separate access for the bookkeeper

Separate user access keeps control and records clear.

✗ A. Use the same password for everything: unsafe
✗ B. Post the password where every staff member can see it: unsafe
✗ C. Share her ID card too: unsafe

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q4 · question page 713

ENT.BANK.02 · Handle the complications: signers, changes and fine print

The bank asks for documents the owner did not expect. What is the reason most likely?

Answer: B. Banks set their own rules for opening accounts

Requirements vary by bank.

- ✗ A. The bank is breaking the law: not necessarily
- ✗ C. The IRS controls bank forms: not exactly
- ✗ D. The business is not allowed to exist in that state: unlikely

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q5 · question page 714

ENT.BANK.02 · Handle the complications: signers, changes and fine print

Which statement is accurate?

Answer: D. Account requirements and fees vary by bank, so compare before choosing.

Comparison helps choose wisely.

- ✗ A. Every bank charges exactly the same monthly and deposit fees.: false
- ✗ B. Banks never ask for ID.: false
- ✗ C. No bank ever charges business fees.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S35-M-Q1 · question page 716

ENT.BANK.03 · Tell debit, credit and payment processing apart

Where does a business debit card take money from?

Answer: A. The business bank account

Debit draws from the account.

- ✗ B. A loan that must be repaid with interest: that is credit
- ✗ C. The customer's bank account directly: not how debit works for the owner
- ✗ D. The owner's personal savings account: not if it is a business card

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q2 · question page 717

ENT.BANK.03 · Tell debit, credit and payment processing apart

What happens if a credit card balance is not paid in full?

Answer: B. Interest is usually charged

Unpaid credit balances usually charge interest.

- ✗ A. The bank pays the balance for the business: no
- ✗ C. The card becomes a debit card: no
- ✗ D. The balance is forgiven after a month: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q3 · question page 718

ENT.BANK.03 · Tell debit, credit and payment processing apart

What does a payment processor do?

Answer: D. Lets the business accept customer card payments

Processors move customer payments to the business.

- ✗ A. Files the business's yearly tax return: not its job
- ✗ B. Registers the business name with the state: not its job
- ✗ C. Designs the online store: not its main job

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q4 · question page 719

ENT.BANK.03 · Tell debit, credit and payment processing apart

Which tool brings money IN from customers?

Answer: C. A payment processor

Processors collect customer payments.

✗ A. A business debit card: money out

✗ B. A business credit card: borrowing to pay out

✗ D. A checkbook: usually money out

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q5 · question page 720

ENT.BANK.03 · Tell debit, credit and payment processing apart

When does the processor usually deposit the money?

Answer: B. A day or more after the sale

Deposits often take one or more business days.

✗ A. Exactly one year later: not typical

✗ C. Before the customer buys anything: not possible

✗ D. Never; it keeps the money: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q1 · question page 721

ENT.BANK.03 · In-doors and out-doors

A payment processor is which door?

Answer: A. An IN door

Customer payments come in.

✗ B. A locked door: no

✗ C. No door: no

✗ D. An OUT door: it brings money in

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q2 · question page 722

ENT.BANK.03 · In-doors and out-doors

A debit card is which door?

Answer: C. An OUT door

Debit takes money out now.

- ✗ A. A locked door: no
- ✗ B. An IN door: it pays out
- ✗ D. A borrowed door: that is credit

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q3 · question page 723

ENT.BANK.03 · In-doors and out-doors

A credit card is which door?

Answer: B. A borrowed OUT door

Credit lets you spend borrowed money.

- ✗ A. A locked door with no key: no
- ✗ C. A free door: not free
- ✗ D. An IN door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q4 · question page 724

ENT.BANK.03 · In-doors and out-doors

What does the processor keep?

Answer: B. A fee

Processors charge a fee.

- ✗ A. The customer's card: no
- ✗ C. The whole sale: no
- ✗ D. Nothing: it charges a fee

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q5 · question page 725

ENT.BANK.03 · In-doors and out-doors

What may you owe on a credit card later?

Answer: A. The balance and maybe interest

Borrowed money must be repaid.

- ✗ B. A free gift: no
- ✗ C. Only a thank-you note to the card company: no
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q1 · question page 726

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A processor charges 2.9 percent plus 0.30 dollars per sale. A sale is 50 dollars. What is the fee?

Answer: A. 1.75 dollars

0.029 x 50 + 0.30 = 1.45 + 0.30 = 1.75 dollars (example rate).

- ✗ B. 1.45 dollars: forgot the 0.30 dollars
- ✗ C. 3.20 dollars: added 2.9 as dollars
- ✗ D. 0.30 dollars: only the fixed part

Arithmetic checked by code: yes. Sources: none (stable)

S35-F1-Q2 · question page 727

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A processor charges 2.9 percent plus 0.30 dollars per sale. How much is deposited for a 50-dollar sale?

Answer: C. 48.25 dollars

50 - 1.75 = 48.25 dollars.

- ✗ A. 50.00 dollars: ignores the fee
- ✗ B. 48.55 dollars: forgot the 0.30 dollars
- ✗ D. 46.80 dollars: added 2.9 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S35-F1-Q3 · question page 728

ENT.BANK.03 · Apply it: estimate deposits and choose tools

Lou buys 300 dollars of supplies with a business credit card and pays the whole bill on time. What interest does he pay, assuming the card charges none when paid in full?

Answer: B. 0 dollars

Paying in full on time avoids interest on many cards.

- ✗ A. 30 dollars: guessed a rate
- ✗ C. 3 dollars: guessed a rate
- ✗ D. 300 dollars: that is the purchase

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q4 · question page 729

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A business wants to stop overspending money it does not have. Which card fits that goal?

Answer: A. A business debit card

Debit spends only what is in the account.

- ✗ B. A store credit account: borrowing
- ✗ C. Several new credit cards: more borrowing
- ✗ D. A credit card with a high limit: allows borrowing

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q5 · question page 730

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A customer pays by card on Friday. The owner needs the cash Friday afternoon. What should she know?

Answer: C. Processor deposits often arrive a day or more later

Plan for deposit timing.

- ✗ A. Cash arrives in her wallet instantly: false
- ✗ B. Card sales never deposit: false
- ✗ D. Card deposits always arrive before the customer even pays: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q1 · question page 731

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner charges 2,000 dollars on a credit card and pays only the minimum each month. What is the main risk?

Answer: D. Interest builds and the debt lasts a long time

Carrying a balance costs interest.

- ✗ A. The purchase becomes free: no
- ✗ B. No risk; minimum payments clear the debt quickly: slow and costly
- ✗ C. The bank cancels the debt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q2 · question page 732

ENT.BANK.03 · Handle the complications: fees, timing and debt

Two processors: one charges 2.6 percent plus 0.15 dollars per sale, one charges 3 percent with no fixed fee. For a 10-dollar sale, which costs less?

Answer: B. 3 percent (0.30 dollars)

0.026 x 10 + 0.15 = 0.41; 0.03 x 10 = 0.30 (example rates).

✗ A. 2.6 percent plus 0.15 dollars (0.41 dollars): that is higher

✗ C. They cost the same: they differ

✗ D. 3 percent (3.00 dollars): used 3 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S35-F2-Q3 · question page 733

ENT.BANK.03 · Handle the complications: fees, timing and debt

A processor holds a new seller's deposits for a few days after a large sale. What is a sensible response?

Answer: D. Read the processor's terms and plan cash for delays

Processors may hold funds under their terms.

✗ A. Sign up for many processors at once to spread out sales: not a fix

✗ B. Stop recording sales: harmful

✗ C. Assume the money is lost forever: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q4 · question page 734

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner pays personal bills with the business credit card to earn rewards. What is the problem?

Answer: A. It mixes personal and business spending

Keep business cards for business costs.

✗ B. Business cards cannot earn rewards: some do

✗ C. Nothing; rewards make it fine: still commingling

✗ D. Rewards are illegal: not the point

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q5 · question page 735

ENT.BANK.03 · Handle the complications: fees, timing and debt

Which statement is accurate?

Answer: A. Fees and rules differ by provider, so compare current terms.

Provider terms vary.

- ✗ B. Credit cards never charge interest on any unpaid balance.: false
- ✗ C. Debit cards borrow money.: false
- ✗ D. All processors charge the same.: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q1 · question page 737

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner puts into the business is called what?

Answer: D. An owner contribution

A contribution is money in from the owner.

- ✗ A. A refund to a customer: that is money out
- ✗ B. An owner's draw for personal use: that is money out
- ✗ C. A customer payment for a product: that is revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q2 · question page 738

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner withdraws from the business for personal use is called what?

Answer: B. An owner's draw

A draw is an owner withdrawal for personal use.

- ✗ A. A loan from a bank: not a draw
- ✗ C. A business expense for supplies: not a draw
- ✗ D. A sales tax payment: not a draw

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q3 · question page 739

ENT.BANK.04 · Record contributions, draws and owner loans correctly

For a sole proprietor, is a draw a business expense?

Answer: C. No

Draws are not business expenses.

- ✗ A. Only in December: no
- ✗ B. Only if over 1,000 dollars: no
- ✗ D. Yes, always: it is not an expense

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q4 · question page 740

ENT.BANK.04 · Record contributions, draws and owner loans correctly

An owner lends the business 2,000 dollars. What should be done?

Answer: A. Write it down with how it will be repaid

Documented loans keep books accurate.

- ✗ B. Keep it secret from any partners: unclear
- ✗ C. Spend it without recording anything: unclear books
- ✗ D. Call it sales income: not revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q5 · question page 741

ENT.BANK.04 · Record contributions, draws and owner loans correctly

What is the best way to move money between owner and business?

Answer: D. A recorded bank transfer

Transfers leave a clear record.

✗ A. Paying personal bills from the business card: commingling

✗ B. Untracked cash from a drawer: hard to prove

✗ C. Guessing amounts at year end: inaccurate

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q1 · question page 742

ENT.BANK.04 · A family piggy bank with a notebook

Putting money in the piggy bank is like what?

Answer: B. An owner contribution

Money in from the owner.

✗ A. A refund paid to a customer: no

✗ C. An owner's draw: money out

✗ D. A tax bill: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q2 · question page 743

ENT.BANK.04 · A family piggy bank with a notebook

Taking money out is like what?

Answer: D. An owner's draw

Money out to the owner.

✗ A. A business license: no

✗ B. A contribution: money in

✗ C. A sale: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q3 · question page 744

ENT.BANK.04 · A family piggy bank with a notebook

Why keep the notebook?

Answer: C. It tells the true story of the money

Records show what happened.

- ✗ A. For decoration: no
- ✗ B. To make the piggy bank heavier: no
- ✗ D. To hide the money: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q4 · question page 745

ENT.BANK.04 · A family piggy bank with a notebook

"Borrowed 30, will repay Friday" is like what?

Answer: A. A loan with repayment terms

A loan is repaid.

- ✗ B. A tax: no
- ✗ C. A sale: no
- ✗ D. A gift to a friend or cousin: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q5 · question page 746

ENT.BANK.04 · A family piggy bank with a notebook

What happens if moves are not written down?

Answer: B. No one knows the true balance

Unrecorded moves create confusion.

- ✗ A. Nothing at all: records get lost
- ✗ C. The money multiplies by itself: no
- ✗ D. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q1 · question page 747

ENT.BANK.04 · Apply it: label owner money moves

Ivy moves 1,000 dollars from her savings into her new LLC account to buy supplies. How should it be recorded?

Answer: A. As an owner contribution

Money put in by the owner is a contribution.

- ✗ B. As an owner's draw: that is money out
- ✗ C. As sales revenue from customers: not revenue
- ✗ D. As a supply expense: the purchase is later

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q2 · question page 748

ENT.BANK.04 · Apply it: label owner money moves

A sole proprietor's business has 5,000 dollars of cash available. The owner withdraws 1,500 dollars as a draw for personal use. With no other transactions, how much cash remains in the business?

Answer: C. 3,500 dollars

5,000 - 1,500 = 3,500 dollars of cash. The draw lowers cash, but it is not an expense, so it does not reduce profit.

- ✗ A. 6,500 dollars: added the draw
- ✗ B. 5,000 dollars: ignores the draw
- ✗ D. 1,500 dollars: that is the draw

Arithmetic checked by code: yes. Sources: none (stable)

S36-F1-Q3 · question page 749

ENT.BANK.04 · Apply it: label owner money moves

Omar lends his business 3,000 dollars to be repaid 250 dollars a month. How many months to

repay it?

Answer: A. 12 months

3,000 / 250 = 12 months.

- ✗ B. 10 months: miscounted
- ✗ C. 3 months: used thousands
- ✗ D. 25 months: used the wrong numbers

Arithmetic checked by code: yes. Sources: none (stable)

S36-F1-Q4 · question page 750

ENT.BANK.04 · Apply it: label owner money moves

An owner takes 200 dollars cash from the register for personal use without recording it. What is the problem?

Answer: B. The books will not match the real money

Every owner withdrawal should be recorded.

- ✗ A. It becomes a business expense: not an expense
- ✗ C. It counts as sales: not sales
- ✗ D. No problem; owners can take any cash: records break

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q5 · question page 751

ENT.BANK.04 · Apply it: label owner money moves

Which is NOT a business expense for a sole proprietor?

Answer: D. The owner's draw

Draws are not expenses.

- ✗ A. Web hosting: expense
- ✗ B. Shipping supplies: expense
- ✗ C. Business software: expense

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q1 · question page 752

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner takes large draws while the business owes suppliers. What is the risk?

Answer: C. The business may not have cash to pay its bills

Draws reduce business cash.

- ✗ A. Draws reduce taxes to zero: false
- ✗ B. No risk; draws create more cash: false
- ✗ D. Suppliers stop asking the business for payment: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q2 · question page 753

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Two equal LLC partners agreed to take draws equally. One takes 2,000 dollars and the other 500 dollars. What should they do?

Answer: C. Record it and fix the imbalance as their agreement says

Draws should follow the agreement.

- ✗ A. Delete the records: harmful
- ✗ B. Ignore it forever: creates disputes
- ✗ D. Have their customers vote on which partner was right: not their role

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q3 · question page 754

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

A corporation's owner who works in the business may be paid through payroll. Why does this differ from a sole proprietor's draw?

Answer: D. Business structure affects how owners are paid

Rules depend on structure; a tax professional can help.

- ✗ A. Corporations cannot pay owners: false
- ✗ B. All owners are paid identically: not true
- ✗ C. Sole proprietors must always pay themselves through payroll: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q4 · question page 755

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner put 2,000 dollars into the business but did not record whether it was a loan or a contribution. Why does the label matter?

Answer: C. A loan is a debt to repay; a contribution adds to owner equity

A loan is recorded as a debt repaid on agreed terms. A contribution increases owner equity and has no repayment schedule, though owners may later take money out, for example as draws.

- ✗ A. Both labels mean the money counts as customer sales: neither is sales
- ✗ B. Both labels mean the money is tax the business owes: neither is a tax
- ✗ D. The label has no effect on the books or on repayment: the label decides how the books show it and whether repayment is owed

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q5 · question page 756

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Which statement is accurate?

Answer: B. Owner pay rules vary by structure, so check with a tax professional.

Structure and tax treatment matter.

- ✗ A. Owners may never take money out.: not true

✗ C. Every business owner must take a weekly salary through payroll.: not true

✗ D. Draws are always business expenses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q1 · question page 758

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

What does reconciling mean?

Answer: B. Comparing your records with the bank statement

It checks that records match.

✗ A. Opening a second account at another bank: not reconciling

✗ C. Paying all bills on the same day: not reconciling

✗ D. Asking the bank for a loan: not reconciling

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q2 · question page 759

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

Which is a common reason records and the bank differ?

Answer: C. A bank fee that was not recorded

Unrecorded fees cause differences.

✗ A. A customer posted a review: unrelated

✗ B. The owner changed the logo colors: unrelated

✗ D. The website was redesigned: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q3 · question page 760

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

A check was written but has not cleared. What does that mean?

Answer: D. The bank has not processed it yet

Uncleared checks cause timing differences.

- ✗ A. The bank closed the account: no
- ✗ B. The check was never written at all: it was written
- ✗ C. The money was refunded twice: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q4 · question page 761

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

An unknown 89-dollar charge appears. What should the owner do?

Answer: A. Report it to the bank quickly

Unknown charges should be checked quickly.

- ✗ B. Record it as sales: wrong
- ✗ C. Delete it from the records: hides the problem
- ✗ D. Ignore it, since small charges never matter: may be fraud

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q5 · question page 762

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

How often is reconciling commonly done?

Answer: B. Monthly

Monthly reconciling catches problems early.

- ✗ A. Never: problems would be missed
- ✗ C. Only when closing the business: too late
- ✗ D. Once every ten years: too rare

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q1 · question page 763

ENT.BANK.05 · Checking a receipt against the bag

In the shopping example, what is compared?

Answer: A. The receipt and the bag

Two lists are compared.

- ✗ B. Two stores: no
- ✗ C. Coupons and ads: no
- ✗ D. Prices and the weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q2 · question page 764

ENT.BANK.05 · Checking a receipt against the bag

For a business, which two lists are compared?

Answer: B. Records and bank statement

Records versus the bank.

- ✗ A. Ads and reviews: no
- ✗ C. Logo and website: no
- ✗ D. Products and their colors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q3 · question page 765

ENT.BANK.05 · Checking a receipt against the bag

Two milks on the receipt but one in the bag means what?

Answer: D. Something does not match

A mismatch needs checking.

✗ A. Milk is free: no

✗ B. The store closed: no

✗ C. Everything is fine as it is: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q4 · question page 766

ENT.BANK.05 · Checking a receipt against the bag

After finding a mismatch, what do you do?

Answer: B. Find out why

Investigate differences.

✗ A. Buy more milk: no

✗ C. Ignore it: no

✗ D. Throw away the receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q5 · question page 767

ENT.BANK.05 · Checking a receipt against the bag

An item only on the bank statement could be what?

Answer: A. A fee you did not record

Fees are common unrecorded items.

✗ B. A paper coupon: no

✗ C. A logo: no

✗ D. A review a customer posted: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F1-Q1 · question page 768

ENT.BANK.05 · Apply it: find the difference

Records show 2,450 dollars. The bank shows 2,435 dollars. The statement lists a 15-dollar monthly fee not in the records. What explains the difference?

Answer: D. The unrecorded 15-dollar fee

2,450 - 2,435 = 15 dollars.

- ✗ A. Nothing; they match: they differ by 15
- ✗ B. A 150-dollar deposit error: wrong size
- ✗ C. A missing 2,435-dollar sale: wrong size

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q2 · question page 769

ENT.BANK.05 · Apply it: find the difference

Records show 1,800 dollars. A 200-dollar check to a supplier has not cleared. What will the bank likely show?

Answer: A. 2,000 dollars

The bank has not subtracted the 200 yet: 1,800 + 200 = 2,000.

- ✗ B. 200 dollars: only the check
- ✗ C. 1,600 dollars: subtracted twice
- ✗ D. 1,800 dollars: ignores the uncleared check

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q3 · question page 770

ENT.BANK.05 · Apply it: find the difference

A deposit of 350 dollars was recorded as 530 dollars. What is the difference?

Answer: B. 180 dollars

530 - 350 = 180 dollars.

- ✗ A. 530 dollars: not the difference
- ✗ C. 880 dollars: added instead

✗ D. 350 dollars: not the difference

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q4 · question page 771

ENT.BANK.05 · Apply it: find the difference

The statement shows two identical 45-dollar charges from one supplier on the same day. The owner made one purchase. What should she do?

Answer: A. Contact the supplier or bank about a possible duplicate

Check duplicates promptly.

✗ B. Record both as normal: one may be wrong
✗ C. Close the business: too extreme
✗ D. Delete both charges from her records and move on: one was real

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F1-Q5 · question page 772

ENT.BANK.05 · Apply it: find the difference

Which habit makes reconciling easier?

Answer: D. Recording transactions as they happen

Timely records simplify matching.

✗ A. Keeping no receipts: harder
✗ B. Mixing in personal purchases now and then: harder
✗ C. Recording only at year end: harder

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q1 · question page 773

ENT.BANK.05 · Handle the complications: fraud, timing and delays

An owner has not reconciled for 8 months and finds an unknown charge from 7 months ago. What is the problem?

Answer: A. Waiting long can make disputes and recovery harder

Banks may set time limits for reporting problems.

- ✗ B. The bank fixes any old charge automatically: not without notice
- ✗ C. No problem; any timing is fine: delays can matter
- ✗ D. Old charges always disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q2 · question page 774

ENT.BANK.05 · Handle the complications: fraud, timing and delays

A small recurring 9.99-dollar charge appears for software the owner cancelled. What should she do?

Answer: D. Cancel properly and dispute charges after cancellation

Small recurring charges add up.

- ✗ A. Record it as revenue: wrong
- ✗ B. Ignore it; it is small: adds up
- ✗ C. Hide it from her accountant to keep the books simple: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q3 · question page 775

ENT.BANK.05 · Handle the complications: fraud, timing and delays

The 9.99-dollar charge has continued for 12 months. How much has it cost?

Answer: B. 119.88 dollars

9.99 x 12 = 119.88 dollars.

- ✗ A. 99.90 dollars: 10 months
- ✗ C. 129.87 dollars: 13 months
- ✗ D. 9.99 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S37-F2-Q4 · question page 776

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Records and bank match exactly, but the owner forgot to record a customer refund paid in cash. What is true?

Answer: C. Matching the bank does not catch cash moves outside the account

Cash outside the bank needs its own records.

- ✗ A. Cash never needs recording: it does
- ✗ B. All money is always perfect: not necessarily
- ✗ D. The bank automatically records the cash kept in her drawer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q5 · question page 777

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Which statement is accurate?

Answer: B. Reconciling regularly catches errors and fraud sooner.

Regular checks help.

- ✗ A. Reconciling is only needed by large companies with many staff.: all benefit
- ✗ C. Reconciling replaces keeping receipts.: receipts still matter
- ✗ D. Banks never make mistakes.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S38-M-Q1 · question page 779

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address receives official legal papers?

Answer: D. The registered agent address

The registered agent receives legal papers.

- ✗ A. The mailing address used for catalogs and bills: ordinary mail
- ✗ B. The address of the owner's favorite supplier: not the business's address
- ✗ C. The address printed on the shipping boxes: not a legal role

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q2 · question page 780

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Where does the business actually operate?

Answer: B. Its physical address

The physical address is where work happens.

- ✗ A. Its website's domain name registrar: not a place of operation
- ✗ C. Its bank's main headquarters building: not where it operates
- ✗ D. Its registered agent's office in every case: may differ

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q3 · question page 781

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address can often be a PO Box?

Answer: C. The mailing address

Many mailing addresses can be PO Boxes.

- ✗ A. The physical place where customers visit: a box is not a workplace
- ✗ B. The kitchen where food is prepared: a physical place
- ✗ D. The registered agent address in Washington: not allowed there

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q4 · question page 782

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Why might a home-based owner avoid listing her home on every form?

Answer: A. Some addresses appear in public records

Public records can expose a home address.

- ✗ B. Home addresses are banned for every business: not banned
- ✗ C. Using a home address doubles the tax owed: no such rule
- ✗ D. Mail cannot be delivered to houses at all: it can

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q5 · question page 783

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Who sets the rules for registered agent addresses?

Answer: B. Each state

State rules apply; Washington is one example.

- ✗ A. The owner's neighbors on the same street: not a rule maker
- ✗ C. Each customer who buys from the business: not customers
- ✗ D. The business's favorite delivery company: not a rule maker

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q1 · question page 784

ENT.MAIL.01 · Doors of a house

The slot where letters drop matches which address?

Answer: D. The mailing address

Everyday mail goes to the mailing address.

- ✗ A. The website address for online visitors: not in the picture
- ✗ B. The registered agent address for papers: the official door

✗ C. The physical address of the workshop: that is the rooms

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q2 · question page 785

ENT.MAIL.01 · Doors of a house

The rooms where the family lives match which address?

Answer: A. The physical address

Work happens at the physical address.

✗ B. The bank's branch address downtown: not in the picture
✗ C. The mailing address on envelopes: that is the slot
✗ D. The registered agent address only: the official door

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q3 · question page 786

ENT.MAIL.01 · Doors of a house

The official door for legal papers matches which address?

Answer: C. The registered agent address

Legal papers go to the agent.

✗ A. The email address for customers: not in the picture
✗ B. The physical address of a warehouse: where work happens
✗ D. The mailing address for catalogs: everyday mail

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q4 · question page 787

ENT.MAIL.01 · Doors of a house

Can all three addresses be the same place?

Answer: D. Yes, sometimes

They can match or differ.

- ✗ A. Only if the business has no customers: not the rule
- ✗ B. No, never under any state law: they can match
- ✗ C. Only for companies with 500 workers: size is not the rule

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q5 · question page 788

ENT.MAIL.01 · Doors of a house

How many kinds of address does the picture show?

Answer: A. Three

Agent, mailing and physical.

- ✗ B. Two, mail and email: not the roles shown
- ✗ C. Ten, one for each room in the house: not the roles
- ✗ D. One, because a business has only one address: there are three roles

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q1 · question page 789

ENT.MAIL.01 · Apply it: choose an address for each job

Ruth runs an online shop from her apartment in Washington and wants privacy. Which plan fits her state's rule?

Answer: D. A registered agent service for legal papers, and a PO Box for mail

An agent service and a mailing box keep her home off some records.

- ✗ A. Her PO Box as the registered agent address, and her home for mail: Washington does not allow that
- ✗ B. No address on any form at all: addresses are required
- ✗ C. A made-up street address on every form: false information

Arithmetic checked by code: not applicable. Sources: state_agent

S38-F1-Q2 · question page 790

ENT.MAIL.01 · Apply it: choose an address for each job

A bakery has a storefront where customers buy bread. What is its physical address?

Answer: B. The storefront's street address

The storefront is where it operates.

- ✗ A. The flour supplier's warehouse address: not the bakery
- ✗ C. The owner's PO Box at the post office: that is mailing
- ✗ D. The registered agent service's office: that is for papers

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q3 · question page 791

ENT.MAIL.01 · Apply it: choose an address for each job

Which address should a supplier use to send a monthly bill?

Answer: A. The mailing address

Ordinary bills go to the mailing address.

- ✗ B. A customer's home address: not the business
- ✗ C. The registered agent address for lawsuits: for legal papers
- ✗ D. The state filing office address: not the business

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q4 · question page 792

ENT.MAIL.01 · Apply it: choose an address for each job

A registered agent service costs 125 dollars a year and a PO Box costs 90 dollars a year. What is the yearly total for both?

Answer: B. 215 dollars

125 + 90 = 215 dollars (example prices).

✗ A. 90 dollars, the PO Box alone: only one item

✗ C. 125 dollars, the agent service alone: only one item

✗ D. 35 dollars, the difference: subtracted

Arithmetic checked by code: yes. Sources: state_agent

S38-F1-Q5 · question page 793

ENT.MAIL.01 · Apply it: choose an address for each job

Kai lists his home as all three addresses. What is one tradeoff?

Answer: A. His home address may appear in public records

Convenience versus privacy.

✗ B. His taxes are automatically doubled: no such rule

✗ C. He can never receive any packages: packages can arrive

✗ D. His LLC automatically becomes invalid in the state: no such rule

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q1 · question page 794

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

An owner moves her business to a new building. Which records may need updating?

Answer: C. State filings, bank, licenses and mailing lists

Address changes must be reported to each place.

✗ A. Only the logo on her social media page: not enough

✗ B. Nothing, because addresses update themselves: not automatic

✗ D. Only her personal library card: not business records

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q2 · question page 795

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A friend in another state says PO Boxes are fine for registered agents everywhere. What should the owner do?

Answer: D. Check her own state's official rules

State rules differ.

- ✗ A. Follow the friend because all states match: they differ
- ✗ B. Skip naming a registered agent: usually required
- ✗ C. Use a PO Box and hope the state accepts it: may be rejected

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q3 · question page 796

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A registered agent service forwards legal papers by email. What should the owner do when one arrives?

Answer: D. Read it promptly, because legal papers can have deadlines

Legal papers often require timely action.

- ✗ A. Ignore it until year end: deadlines may pass
- ✗ B. Delete it if the subject line looks boring or routine: may be important
- ✗ C. Forward it to customers: not appropriate

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q4 · question page 797

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which statement about public records is accurate?

Answer: A. Some business addresses are visible to the public.

Plan with privacy in mind.

- ✗ B. Every business address is always kept secret.: not true
- ✗ C. Only email addresses are public.: not true

✗ D. Public records never include addresses.: not true

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q5 · question page 798

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which source should confirm address rules for a filing?

Answer: B. The state's official filing office or website

Official sources give the current rule.

✗ A. A post on a neighborhood message board: unreliable
✗ C. A shipping company's ad: not the rule maker
✗ D. A guess based on another state's rule: differs

Arithmetic checked by code: not applicable. Sources: state_agent

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S39-M-Q1 · question page 800

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Where is a PO Box rented?

Answer: A. At a Post Office

PO Boxes are rented from the Postal Service.

✗ B. At the state business filing office: not a PO Box
✗ C. At any coffee shop that sells stamps: not a PO Box
✗ D. At a bank branch near the business: not a PO Box

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q2 · question page 801

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What does the Street Addressing option allow?

Answer: C. Using the Post Office's street address with the box number

It lets carriers that need a street address deliver.

- ✗ A. Skipping the box rental fee for a year: not the purpose
- ✗ B. Receiving legal papers in every state: agent rules differ
- ✗ D. Using any home address on the street as if it were the box: not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q3 · question page 802

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What is a CMRA?

Answer: A. A private business that receives mail for customers

CMRAs offer private mailboxes.

- ✗ B. A government agency that issues tax ID numbers to businesses: that is the IRS
- ✗ C. A state rule for registered agents: not a rule
- ✗ D. A type of business bank account: not a bank account

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q4 · question page 803

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Which form is used so a CMRA can receive mail for a customer?

Answer: B. USPS Form 1583

Form 1583 authorizes the CMRA.

- ✗ A. A state DBA certificate: a name filing
- ✗ C. A city business license form: local permission
- ✗ D. IRS Form SS-4 for an EIN: that is a tax form

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q5 · question page 804

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Is Street Addressing offered at every Post Office?

Answer: A. No; availability varies

Ask the specific Post Office.

- ✗ B. Only at locations in large cities: not stated
- ✗ C. Only for customers with no business: not the rule
- ✗ D. Yes, at every single location: not everywhere

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q1 · question page 805

ENT.MAIL.02 · Lockers at a gym

A PO Box is like a locker where?

Answer: B. At the post office

PO Boxes are at post offices.

- ✗ A. At your house: no
- ✗ C. At the bank: no
- ✗ D. At a private shop: that is a private mailbox

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q2 · question page 806

ENT.MAIL.02 · Lockers at a gym

A private mailbox is like a locker where?

Answer: D. At a private shop

Private stores offer them.

✗ A. At the state office: no

✗ B. At the post office: that is a PO Box

✗ C. At a school: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q3 · question page 807

ENT.MAIL.02 · Lockers at a gym

Why sign a form at the private shop?

Answer: D. So the shop may accept your mail

Permission is required.

✗ A. To open a bank account at the shop: no

✗ B. To get a discount: not the reason

✗ C. To change your name: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q4 · question page 808

ENT.MAIL.02 · Lockers at a gym

Why do some post offices offer a street address?

Answer: B. Some carriers deliver only to street addresses

It helps carriers that need a street address.

✗ A. To lower taxes: no

✗ C. To make the lockers bigger for packages: no

✗ D. To replace the key: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q5 · question page 809

ENT.MAIL.02 · Lockers at a gym

What do you add to the post office's street address?

Answer: C. Your box number

The box number routes the mail.

- ✗ A. Your birthday: no
- ✗ B. Your phone number: no
- ✗ D. Your logo: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q1 · question page 810

ENT.MAIL.02 · Apply it: pick a mailbox option

Ana ships products and her suppliers use private package carriers that need a street address. She rents a PO Box. What should she ask her Post Office?

Answer: C. Whether it offers the Street Addressing option

Street Addressing can let those carriers deliver.

- ✗ A. Whether it is open on holidays: not the need
- ✗ B. Whether it can file her taxes: no
- ✗ D. Whether it sells padded envelopes in bulk at a discount: not the need

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q2 · question page 811

ENT.MAIL.02 · Apply it: pick a mailbox option

Ben rents a box at a private mail store. What must he complete so the store may receive his mail?

Answer: D. USPS Form 1583 with identity documents

Form 1583 authorizes the CMRA.

- ✗ A. A business license renewal: not this purpose
- ✗ B. A trademark application: not this purpose

✗ C. An IRS application for a new EIN number: not this purpose

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q3 · question page 812

ENT.MAIL.02 · Apply it: pick a mailbox option

A PO Box costs 40 dollars for 3 months. What is the cost for 12 months at the same rate?

Answer: A. 160 dollars

12 / 3 = 4 periods; 4 x 40 = 160 dollars (example price).

✗ B. 40 dollars, the same as 3 months: only one period
✗ C. 120 dollars, three times the fee: miscounted periods
✗ D. 480 dollars, twelve times the fee: multiplied by months

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

S39-F1-Q4 · question page 813

ENT.MAIL.02 · Apply it: pick a mailbox option

A private mailbox costs 25 dollars a month; a PO Box costs 160 dollars a year. How much more does the private mailbox cost per year?

Answer: B. 140 dollars

25 x 12 = 300; 300 - 160 = 140 dollars (example prices).

✗ A. 160 dollars, the PO Box alone: not the difference
✗ C. 135 dollars, a small miscalculation: arithmetic slip
✗ D. 300 dollars, the private box alone: not the difference

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

S39-F1-Q5 · question page 814

ENT.MAIL.02 · Apply it: pick a mailbox option

Which option is run by a private business?

Answer: D. A private mailbox at a CMRA

CMRAs are private businesses.

- ✗ A. PO Box Street Addressing: postal
- ✗ B. Home mail delivery by the Postal Service: postal
- ✗ C. A PO Box at the Post Office: postal

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q1 · question page 815

ENT.MAIL.02 · Handle the complications: rules that change and limits

An online article from several years ago explains Form 1583 steps. What is the concern?

Answer: A. Requirements have changed, so check the current form

Use the current form and the provider's instructions.

- ✗ B. Online articles are always newer than the official forms: not true
- ✗ C. Nothing; postal forms never change: they can change
- ✗ D. The form no longer exists for anyone: not stated

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q2 · question page 816

ENT.MAIL.02 · Handle the complications: rules that change and limits

An owner wants to use her private mailbox as her registered agent address in Washington. What is the issue?

Answer: D. Washington does not allow private or virtual mailboxes for it

The agent needs a physical in-state street address.

- ✗ A. It must be a PO Box instead: also not allowed there
- ✗ B. Private mailboxes cannot receive any mail or packages at all: they can
- ✗ C. No issue; any box works in every state: not in Washington

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q3 · question page 817

ENT.MAIL.02 · Handle the complications: rules that change and limits

A box holder using Street Addressing gives a package carrier the address. What must be included?

Answer: B. The box number with the Post Office street address

The box number is part of the address.

- ✗ A. Her home address instead: defeats the purpose
- ✗ C. The Post Office's phone number: not an address
- ✗ D. Only the Post Office street address with no box number: mail cannot be routed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q4 · question page 818

ENT.MAIL.02 · Handle the complications: rules that change and limits

A mail store closes suddenly. What should an owner using it do first?

Answer: C. Update her mailing address with banks, customers and agencies

A changed mailing address must be updated everywhere.

- ✗ A. Do nothing; mail forwards itself forever: not guaranteed
- ✗ B. Close the business entirely: too extreme
- ✗ D. Wait a few months to see if her mail still arrives somewhere: risky

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q5 · question page 819

ENT.MAIL.02 · Handle the complications: rules that change and limits

Which statement is accurate?

Answer: B. Availability and rules vary, so confirm with the Post Office or provider.

Check the specific location.

- ✗ A. PO Boxes are free.: they are rented
- ✗ C. Every Post Office offers every service at the same price nationwide.: not true
- ✗ D. Private mailboxes need no paperwork.: Form 1583 applies

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S40-M-Q1 · question page 821

ENT.MAIL.03 · Match each organization to the kind of address it accepts

In Washington, what can be listed separately as a mailing address?

Answer: B. A PO Box

A PO Box can be the mailing address.

- ✗ A. A made-up address that sounds official: false information
- ✗ C. Nothing other than the agent's address: a separate mailing address is allowed
- ✗ D. The address of another state's office: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-M-Q2 · question page 822

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Why might a package carrier fail to deliver to a plain PO Box?

Answer: A. Some carriers need a street address

Street addresses are needed by some carriers.

- ✗ B. Package carriers deliver only to banks: not true
- ✗ C. PO Boxes are only for postcards and nothing else: boxes hold more
- ✗ D. Packages are not allowed for businesses: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-M-Q3 · question page 823

ENT.MAIL.03 · Match each organization to the kind of address it accepts

What should an owner do before filling in an address on a form?

Answer: C. Read what kind of address the form asks for

Each form may require a specific type.

- ✗ A. Copy an address from a competitor's form: false information
- ✗ B. Use whichever address is shortest to write: may be the wrong kind
- ✗ D. Leave the address line blank to stay private: forms may be rejected

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-M-Q4 · question page 824

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which organization may require a physical address when opening an account?

Answer: D. A bank

Banks may ask for a physical address.

- ✗ A. A supplier of packing tape: not usually
- ✗ B. A social media follower: not relevant
- ✗ C. A customer buying one product online: not usually

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-M-Q5 · question page 825

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which address does a state usually require for the registered agent?

Answer: B. A physical in-state street address

Agents need a physical location.

✗ A. A PO Box in any state: often not allowed

✗ C. A phone number with voicemail: not an address

✗ D. Any email address the owner checks: not a physical address

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q1 · question page 826

ENT.MAIL.03 · Different doors accept different deliveries

Where do big deliveries go at the school?

Answer: D. The loading dock

Each door has its own job.

✗ A. The classroom: homework only

✗ B. The parking lot: not a door

✗ C. The office mail tray: letters

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q2 · question page 827

ENT.MAIL.03 · Different doors accept different deliveries

Ordinary letters for a business can often go where?

Answer: C. A PO Box

Letters often go to a box.

✗ A. A loading dock only: no

✗ B. Nowhere: they must go somewhere

✗ D. Only a registered agent: not ordinary mail

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q3 · question page 828

ENT.MAIL.03 · Different doors accept different deliveries

Legal papers usually need what kind of address?

Answer: A. A real street address

Papers need a physical place.

- ✗ B. An email only: not usually
- ✗ C. A phone number with voicemail: not an address
- ✗ D. Any PO Box: often not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q4 · question page 829

ENT.MAIL.03 · Different doors accept different deliveries

Some packages need what kind of address?

Answer: B. A street address

Some carriers need a street address.

- ✗ A. A PO Box only: some carriers cannot
- ✗ C. A website: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q5 · question page 830

ENT.MAIL.03 · Different doors accept different deliveries

Sending a truck to a classroom is like what mistake?

Answer: D. Using the wrong address type

Match the address to the job.

- ✗ A. Using a pen: no
- ✗ B. Paying a bill: no
- ✗ C. Writing a short letter to a friend: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F1-Q1 · question page 831

ENT.MAIL.03 · Apply it: fill in the right address

Tom's Washington LLC form asks for the registered agent address and a mailing address. He has a PO Box and an agent service. What fits?

Answer: C. Agent service address for the agent; PO Box for mailing

Match each line to the allowed type.

- ✗ A. Agent service for mailing and PO Box for the agent: reversed
- ✗ B. Leave both lines blank: rejected
- ✗ D. PO Box for both lines: not allowed for the agent

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F1-Q2 · question page 832

ENT.MAIL.03 · Apply it: fill in the right address

A supplier ships by a private carrier that cannot deliver to plain PO Boxes. The owner's Post Office offers Street Addressing. What should she give the supplier?

Answer: A. The Post Office street address with her box number

Street Addressing helps here.

- ✗ B. A neighbor's street address, without asking first: not appropriate
- ✗ C. Her plain PO Box number only: carrier cannot deliver
- ✗ D. The registered agent's address: not for packages

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F1-Q3 · question page 833

ENT.MAIL.03 · Apply it: fill in the right address

Of 5 forms, 2 require a physical street address and the rest accept a PO Box. How many accept a PO Box?

Answer: D. 3

5 - 2 = 3 forms.

- ✗ A. 7, the two numbers added: added
- ✗ B. 2, the forms needing a street address: reversed
- ✗ C. 5, every one of the forms: not all

Arithmetic checked by code: yes. Sources: usps_pobox; state_agent

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S40-F1-Q4 · question page 834

ENT.MAIL.03 · Apply it: fill in the right address

A bank form asks for the business's physical address. The owner works from home. What should she write?

Answer: D. Her actual home address, if that is where the business operates

Give truthful information of the requested type.

- ✗ A. The bank's own address: not her business
- ✗ B. Her PO Box number, labeled on the form as her physical address: not physical
- ✗ C. A fake address for privacy: false information

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F1-Q5 · question page 835

ENT.MAIL.03 · Apply it: fill in the right address

Which address type is most often accepted for ordinary bills and letters?

Answer: C. A mailing address such as a PO Box

Mailing addresses handle ordinary mail.

- ✗ A. Only the registered agent address: not required for bills
- ✗ B. Only a storefront address: not required
- ✗ D. Only an overseas address: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q1 · question page 836

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A state rejected a filing because the agent address was a private mailbox. What should the owner do?

Answer: B. Name an agent with a physical in-state address and refile

Fix the address type.

- ✗ A. Use a PO Box instead of the private mailbox and refile: also often rejected
- ✗ C. Give up on forming the LLC: not necessary
- ✗ D. File the same form again unchanged: will be rejected again

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q2 · question page 837

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A licensing office asks for a physical address but the owner has only a PO Box. What should she do?

Answer: C. Ask the office what address it accepts for her situation

Ask the issuer when unsure.

- ✗ A. Write the PO Box anyway and call it her physical address: misleading
- ✗ B. Use a random street address: false information
- ✗ D. Skip the license: not compliant

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q3 · question page 838

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which mistake is most likely to cause missed legal papers?

Answer: C. Listing an address where no one receives documents

The agent address must be monitored.

- ✗ A. Using a business email for customers: fine
- ✗ B. Listing a PO Box as the ordinary mailing address: often fine
- ✗ D. Printing the address on invoices: fine

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q4 · question page 839

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

An owner used three different addresses on her forms. Is that wrong?

Answer: D. Not necessarily, if each fits the form's request

Different forms can need different types.

- ✗ A. Yes, it is always illegal: not true
- ✗ B. Yes, the bank will close her account: not necessarily
- ✗ C. Yes, businesses may only have one address: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q5 · question page 840

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which statement is accurate?

Answer: B. Address rules depend on the organization and state, so read each form.

Check each requirement.

- ✗ A. Only email addresses matter today.: not true
- ✗ C. Every organization accepts a PO Box for every kind of address.: not true
- ✗ D. No organization accepts PO Boxes.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S41-M-Q1 · question page 842

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Why plan how often to check a business mailbox?

Answer: C. Important letters can have deadlines

Bills and notices may need action.

- ✗ A. Boxes must be emptied every hour by law: no such rule
- ✗ B. Checking often lowers the rental fee: not how fees work
- ✗ D. Mail disappears after exactly one day: not the reason

Arithmetic checked by code: not applicable. Sources: usps_pobox

S41-M-Q2 · question page 843

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What may happen if a box rental is not renewed?

Answer: A. The box can be closed and mail disrupted

Renew before the period ends.

- ✗ B. The Post Office files the owner's taxes: not its job
- ✗ C. The box becomes free for life: not how rentals work
- ✗ D. Mail is automatically sent to customers: not how it works

Arithmetic checked by code: not applicable. Sources: usps_pobox

S41-M-Q3 · question page 844

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

When moving, what should the owner do besides forwarding mail?

Answer: B. Update the address with banks, customers and agencies

Records still need updating.

✗ A. Cancel the business bank account: not required

✗ C. Only change the logo on her website: not an address update

✗ D. Nothing, because forwarding fixes everything forever: not a full fix

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-M-Q4 · question page 845

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What do PO Box fees depend on?

Answer: D. Location and box size

Fees vary by location and size.

✗ A. How many products the business sells: not the basis

✗ B. The business's logo colors: irrelevant

✗ C. The owner's age and height: irrelevant

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-M-Q5 · question page 846

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Which is a good practice for mailbox keys?

Answer: B. Keep them safe and decide who may use them

Control access to business mail.

✗ A. Give keys to any customer who asks: unsafe

✗ C. Never decide who picks up mail: causes confusion

✗ D. Tape a spare key to the outside of the box: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-B1-Q1 · question page 847

ENT.MAIL.04 · Renting a storage unit

Choosing a mailbox size is like what?

Answer: A. Choosing a storage unit size

Pick a size that fits.

- ✗ B. Choosing a movie to watch: no
- ✗ C. Choosing a meal: no
- ✗ D. Choosing a song: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-B1-Q2 · question page 848

ENT.MAIL.04 · Renting a storage unit

What happens if you forget to pay for the unit?

Answer: D. It can be closed

Renewal matters.

- ✗ A. Nothing at all: it can be closed
- ✗ B. It becomes free: no
- ✗ C. It gets bigger: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-B1-Q3 · question page 849

ENT.MAIL.04 · Renting a storage unit

Why check the unit regularly?

Answer: C. To find important items in time

Regular checks catch deadlines.

- ✗ A. To make it heavier: no
- ✗ B. To lower taxes: no
- ✗ D. To change the color of its door: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-B1-Q4 · question page 850

ENT.MAIL.04 · Renting a storage unit

What should you do with the key?

Answer: B. Keep it safe

Protect access.

- ✗ A. Leave it in the lock: unsafe
- ✗ C. Share it with strangers: unsafe
- ✗ D. Lose it: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-B1-Q5 · question page 851

ENT.MAIL.04 · Renting a storage unit

If you move, what do you tell people?

Answer: C. Your new location

Update your address.

- ✗ A. A fake location: no
- ✗ B. Your old location: no
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F1-Q1 · question page 852

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A small box costs 60 dollars for 6 months and a medium box costs 95 dollars for 6 months. How much more does the medium box cost per year?

Answer: A. 70 dollars

(95 - 60) x 2 = 70 dollars (example prices).

- ✗ B. 190 dollars, the medium box per year: not the difference
- ✗ C. 120 dollars, the small box per year: not the difference
- ✗ D. 35 dollars, the 6-month difference: only half a year

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F1-Q2 · question page 853

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

Mia receives tax notices that give 30 days to respond. She checks her box once a month. What is a better plan?

Answer: D. Check at least weekly

More frequent checks leave time to respond.

- ✗ A. Check once a year: too rare
- ✗ B. Check only when she remembers: unreliable
- ✗ C. Never check; notices arrive by email: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F1-Q3 · question page 854

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A box was rented on March 1 for 6 months. When does it need renewal?

Answer: A. By September 1

March + 6 months = September.

- ✗ B. By March 1 next year: a year is too long
- ✗ C. Never; rentals last forever: they expire
- ✗ D. By April 1, one month later: too early

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F1-Q4 · question page 855

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

An owner's employee picks up mail. What should the owner set up?

Answer: D. Clear permission and a key for that employee only

Control who has access.

- ✗ A. No rules about who collects mail: confusing
- ✗ B. A key hidden under the doormat: unsafe
- ✗ C. A sign on the wall that lists the box's lock combination: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F1-Q5 · question page 856

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A business moved and set up mail forwarding. Six months later some mail still goes to the old address. What is the fix?

Answer: B. Update the address directly with those senders

Senders need the new address.

- ✗ A. Ignore the misdirected mail: risky
- ✗ C. Rely on forwarding forever: it may end
- ✗ D. Move the business back to the old address: unnecessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q1 · question page 857

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A package is too large for the box. What should the owner ask the Post Office?

Answer: C. How it handles packages that do not fit

Many locations hold packages for pickup; ask how.

- ✗ A. Whether packages are banned for businesses: not true

✗ B. Whether it can deliver to her neighbor without asking: not appropriate

✗ D. Whether she must rent ten boxes: not necessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q2 · question page 858

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

An owner travels for three weeks. What is a sensible plan for her business mail?

Answer: D. Arrange for a trusted person or a hold service

Plan coverage while away.

✗ A. Let mail pile up and hope nothing is urgent: risky

✗ B. Ask customers to stop writing: unrealistic

✗ C. Close the box for the trip: disrupts mail

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q3 · question page 859

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A late fee notice arrived in the box two weeks ago, but she checked late. What lesson fits?

Answer: D. Regular checks prevent missed deadlines

Build a checking routine.

✗ A. Mailboxes cause late fees: missed checking did

✗ B. Bills never matter: they do

✗ C. Late fees are always forgiven if you ask: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q4 · question page 860

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Box rent rises from 120 to 150 dollars a year. What is the percent increase?

Answer: C. 25 percent

(150 - 120) / 120 = 0.25 = 25 percent.

- ✗ A. 150 percent, the new price: not the increase
- ✗ B. 20 percent, based on the new price: wrong base
- ✗ D. 30 percent, the dollar change: used dollars as percent

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F2-Q5 · question page 861

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Which statement is accurate?

Answer: C. Fees and services vary by location, so ask the specific Post Office.

Confirm locally.

- ✗ A. Forwarding replaces updating records.: not true
- ✗ B. Every Post Office charges the same price for every box size.: not true
- ✗ D. Boxes never need renewal.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S42-M-Q1 · question page 863

ENT.MAIL.05 · Set up professional email, phone and voicemail

Which email address looks most established for a business called Lime Tree Pets?

Answer: B. hello@limetreepets.example

An address on the business domain looks established.

- ✗ A. xyz123@freemail.example: random
- ✗ C. catsrule99@freemail.example: unrelated name
- ✗ D. limetreefan2003@freemail.example: personal style

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q2 · question page 864

ENT.MAIL.05 · Set up professional email, phone and voicemail

Why use a separate business phone number?

Answer: A. It separates business calls and protects privacy

Separation and privacy are the main benefits.

- ✗ B. It doubles the number of customers each month: not guaranteed
- ✗ C. It is required for every business by federal law: not a universal law
- ✗ D. It removes the need for any email: still useful

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q3 · question page 865

ENT.MAIL.05 · Set up professional email, phone and voicemail

What should a business voicemail greeting include?

Answer: C. The business name and when to expect a reply

Name and response time help callers.

- ✗ A. Nothing; silence is professional: confusing
- ✗ B. A long story about the founder: too long
- ✗ D. The owner's home address and birthday: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q4 · question page 866

ENT.MAIL.05 · Set up professional email, phone and voicemail

A greeting promises a reply within one business day. What builds trust?

Answer: D. Actually replying within one business day

Kept promises build trust.

✗ A. Replying whenever convenient, even a week later: breaks the promise

✗ B. Deleting messages from unknown numbers: loses customers

✗ C. Changing the promise every week: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q5 · question page 867

ENT.MAIL.05 · Set up professional email, phone and voicemail

What is a web domain?

Answer: A. The business's own website name, like yourshop.example

A domain can also host email.

✗ B. A type of business bank account: not a domain

✗ C. A shipping label format: not a domain

✗ D. A state filing that registers the business's legal name: that is a DBA or entity

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q1 · question page 868

ENT.MAIL.05 · A shop's front window and bell

A business email on its own web name is like what?

Answer: C. A clean shop window

It looks tidy and ready.

✗ A. A broken shop bell: no

✗ B. A dark sign: no

✗ D. A locked door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q2 · question page 869

ENT.MAIL.05 · A shop's front window and bell

Why keep a separate business phone?

Answer: B. To keep business calls apart from family calls

Separation helps.

- ✗ A. To avoid hearing from any customers at all: no
- ✗ C. To raise prices: no
- ✗ D. To get more ads: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q3 · question page 870

ENT.MAIL.05 · A shop's front window and bell

A voicemail greeting should say what?

Answer: C. Who you are and when you will call back

Name and timing.

- ✗ A. A joke only: not helpful
- ✗ B. Your bank PIN and online password: unsafe
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q4 · question page 871

ENT.MAIL.05 · A shop's front window and bell

A bell that works tells customers what?

Answer: A. Someone is ready to help

Reachability builds trust.

- ✗ B. The owner left: no
- ✗ C. The shop is closed for good: no
- ✗ D. Prices went up: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q5 · question page 872

ENT.MAIL.05 · A shop's front window and bell

Email, phone and voicemail are like what for a modern shop?

Answer: D. Its window and bell

They are how customers reach you.

- ✗ A. Its back parking lot: no
- ✗ B. Its basement: no
- ✗ C. Its roof: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q1 · question page 873

ENT.MAIL.05 · Apply it: improve contact details

Rita's flyers list "rita.party.girl@freemail.example." She owns ritasbakes.example. What is the best change?

Answer: B. Use an address like orders@ritasbakes.example

A domain address looks professional.

- ✗ A. Remove all contact details from the flyer: customers cannot reach her
- ✗ C. Keep the personal address on every flyer: less established
- ✗ D. List her home address instead of email: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q2 · question page 874

ENT.MAIL.05 · Apply it: improve contact details

Leo answers business calls on his personal phone at family dinners. What helps most?

Answer: C. A separate business number with set hours

Separation sets boundaries.

- ✗ A. Answering every call at any hour: stressful
- ✗ B. Never answering business calls: loses customers
- ✗ D. Giving customers his family's numbers: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q3 · question page 875

ENT.MAIL.05 · Apply it: improve contact details

A business gets 40 voicemails a month and promises a same-day reply. It replies same day to 34. What percent met the promise?

Answer: A. 85 percent

34 / 40 = 0.85 = 85 percent.

- ✗ B. 15 percent, the ones missed: reversed
- ✗ C. 34 percent, the count itself: not a percent of 40
- ✗ D. 6 percent, the number missed: not a percent

Arithmetic checked by code: yes. Sources: none (stable)

S42-F1-Q4 · question page 876

ENT.MAIL.05 · Apply it: improve contact details

Which voicemail greeting is best?

Answer: A. "You've reached Pine Cleaners. We reply within one business day."

Clear name and promise.

- ✗ B. "Call my cousin instead at home.": unprofessional
- ✗ C. "Hey, it's me. Leave something after the beep, maybe I'll call.": unclear
- ✗ D. "This number is unavailable forever.": confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q5 · question page 877

ENT.MAIL.05 · Apply it: improve contact details

A customer emails on Saturday; the business replies Monday as its auto-reply promised. Was the promise kept?

Answer: C. Yes, it matched what was promised

Keeping the stated promise builds trust.

- ✗ A. No, weekends are banned for email: not true
- ✗ B. Only if the reply was very long: length is not the test
- ✗ D. No, every email needs a reply in minutes: not what was promised

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q1 · question page 878

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Customers call at midnight. What is a reasonable boundary?

Answer: B. State business hours in the greeting and reply then

Set and share clear hours.

- ✗ A. Answer every midnight call to keep them happy: unsustainable
- ✗ C. Give out a personal number for night calls: privacy risk
- ✗ D. Block all customer numbers: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q2 · question page 879

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

An email claims to be from the owner's bank and asks for her password. What should she do?

Answer: B. Contact the bank through its official number

Verify through official channels.

✗ A. Click the email link and log in to check: scam risk

✗ C. Reply with the password quickly: scam risk

✗ D. Forward it to customers: not helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q3 · question page 880

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

The owner's inbox gets 200 messages a week and replies are slipping. Which step helps most?

Answer: C. Use folders or templates for common questions

Organized tools save time.

✗ A. Stop listing any email address: customers cannot reach her

✗ B. Delete every message unread: loses customers

✗ D. Promise faster replies she cannot meet: breaks trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q4 · question page 881

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

A greeting promises a reply in one hour, but the owner is often away for half a day. What should change?

Answer: A. Promise a time she can actually meet

Promises should be realistic.

✗ B. Keep the promise and miss it often: breaks trust

✗ C. Remove the voicemail entirely: confusing

✗ D. Never check messages: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q5 · question page 882

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Which statement is accurate?

Answer: A. Clear, realistic response promises build more trust than fast but broken ones.

Reliability builds trust.

- ✗ B. Free email addresses are illegal for any business to use for customer messages.: not illegal
- ✗ C. A business must answer every call at any hour.: not required
- ✗ D. Customers never care about replies.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q1 · question page 884

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a one-time cost?

Answer: B. Buying a used oven to start a bakery

Equipment bought once to start is one-time.

- ✗ A. Renewing the business license every year: repeats yearly
- ✗ C. Paying for a website hosting plan each month: repeats monthly
- ✗ D. Paying the monthly rent for the bakery space: repeats monthly

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q2 · question page 885

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a recurring cost?

Answer: A. A software subscription paid monthly

Subscriptions repeat.

- ✗ B. A sewing machine bought on opening day: paid once
- ✗ C. A single state filing fee to form the LLC: paid once

✗ D. A logo designed once by a freelancer: paid once

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q3 · question page 886

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

A phone plan costs 30 dollars a month. What is the yearly cost?

Answer: C. 360 dollars

30 x 12 = 360 dollars.

✗ A. 390 dollars: used 13 months
✗ B. 300 dollars: used 10 months
✗ D. 30 dollars: one month only

Arithmetic checked by code: yes. Sources: none (stable)

S43-M-Q4 · question page 887

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Insurance costs 600 dollars a year. What is that per month?

Answer: D. 50 dollars

600 / 12 = 50 dollars.

✗ A. 60 dollars: divided by 10
✗ B. 600 dollars: not converted
✗ C. 7,200 dollars: multiplied by 12

Arithmetic checked by code: yes. Sources: none (stable)

S43-M-Q5 · question page 888

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Why convert recurring costs to the same period?

Answer: B. To compare and add them fairly

Same periods allow fair comparison.

- ✗ A. To make every cost look smaller than it is: not the purpose
- ✗ C. Because one-time costs never matter: they do
- ✗ D. Because yearly costs are not real costs: they are real

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q1 · question page 889

ENT.COST.01 · Converting between months and years

How many months are in a year?

Answer: C. 12

There are 12 months.

- ✗ A. 7: days in a week
- ✗ B. 10: too few
- ✗ D. 52: weeks in a year

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q2 · question page 890

ENT.COST.01 · Converting between months and years

20 dollars a month is how much per year?

Answer: A. 240 dollars

20 x 12 = 240.

- ✗ B. 120 dollars: used 6
- ✗ C. 32 dollars: added 12
- ✗ D. 200 dollars: used 10

Arithmetic checked by code: yes. Sources: none (stable)

S43-B1-Q3 · question page 891

ENT.COST.01 · Converting between months and years

120 dollars a year is how much per month?

Answer: D. 10 dollars

120 / 12 = 10.

- ✗ A. 12 dollars: divided by 10
- ✗ B. 1,440 dollars: multiplied
- ✗ C. 108 dollars: subtracted 12

Arithmetic checked by code: yes. Sources: none (stable)

S43-B1-Q4 · question page 892

ENT.COST.01 · Converting between months and years

To change a monthly amount to yearly, you do what?

Answer: C. Multiply by 12

Multiply monthly by 12.

- ✗ A. Add 12: not a conversion
- ✗ B. Divide by 12: that is yearly to monthly
- ✗ D. Subtract 12: not a conversion

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q5 · question page 893

ENT.COST.01 · Converting between months and years

15 dollars a month is how much per year?

Answer: A. 180 dollars

15 x 12 = 180.

- ✗ B. 150 dollars: used 10
- ✗ C. 27 dollars: added 12

✗ D. 165 dollars: used 11

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q1 · question page 894

ENT.COST.01 · Apply it: list and total first-year costs

Startup: a 400-dollar laptop and a 100-dollar filing fee. Recurring: 20 dollars a month for software. What is the total for the first year?

Answer: B. 740 dollars

400 + 100 + 20 x 12 = 740 dollars.

✗ A. 240 dollars: software only
✗ C. 500 dollars: no software
✗ D. 520 dollars: one month of software

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q2 · question page 895

ENT.COST.01 · Apply it: list and total first-year costs

Which cost will continue in year two?

Answer: D. Monthly booth rent at a market

Recurring costs continue.

✗ A. The starter set of tools: one-time
✗ B. The LLC formation fee: one-time
✗ C. The first sign printed for opening: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F1-Q3 · question page 896

ENT.COST.01 · Apply it: list and total first-year costs

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over the first year?

Answer: C. B, at 300 dollars

A: 300 + 120 = 420; B: 25 x 12 = 300.

- ✗ A. A, at 420 dollars: A costs more
- ✗ B. They cost the same: they differ
- ✗ D. A, at 300 dollars: forgot A's monthly fee

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q4 · question page 897

ENT.COST.01 · Apply it: list and total first-year costs

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over 3 years (36 months)?

Answer: B. A, at 660 dollars

A: 300 + 10 x 36 = 660; B: 25 x 36 = 900.

- ✗ A. B, at 300 dollars: only one year
- ✗ C. B, at 900 dollars: B costs more by year 3
- ✗ D. They cost the same: they differ

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q5 · question page 898

ENT.COST.01 · Apply it: list and total first-year costs

A tutor lists costs: whiteboard (once), monthly ads, yearly license, textbooks (once). How many are recurring?

Answer: A. 2

Monthly ads and yearly license recur.

- ✗ B. 4: counted all
- ✗ C. 1: missed one
- ✗ D. 3: counted a one-time cost

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q1 · question page 899

ENT.COST.01 · Handle the complications: hidden recurring costs

A "free" app charges 15 dollars a month after a 3-month trial. What is the cost in the first year?

Answer: D. 135 dollars

9 paid months x 15 = 135 dollars.

- ✗ A. 45 dollars: counted trial months
- ✗ B. 0 dollars: ignored charges after the trial
- ✗ C. 180 dollars: ignored the trial

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q2 · question page 900

ENT.COST.01 · Handle the complications: hidden recurring costs

An owner budgets the startup laptop but forgets a yearly antivirus renewal. What kind of cost was missed?

Answer: A. A recurring cost

Renewals recur.

- ✗ B. An owner draw: not a draw
- ✗ C. A customer refund: not a refund
- ✗ D. A one-time cost: it repeats yearly

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F2-Q3 · question page 901

ENT.COST.01 · Handle the complications: hidden recurring costs

A piece of equipment lasts about 3 years and costs 900 dollars. To plan for replacing it, about how much should be set aside each month?

Answer: C. 25 dollars

900 / 36 months = 25 dollars.

- ✗ A. 300 dollars: per year, not per month
- ✗ B. 900 dollars: not spread out
- ✗ D. 75 dollars: divided by 12 only

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q4 · question page 902

ENT.COST.01 · Handle the complications: hidden recurring costs

Which item is easiest to forget when listing recurring costs?

Answer: C. Small subscriptions that renew automatically

Auto-renewals hide easily.

- ✗ A. The first batch of business cards: one-time
- ✗ B. The rent check the owner writes on the first of every month: usually remembered
- ✗ D. The large oven bought on day one: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F2-Q5 · question page 903

ENT.COST.01 · Handle the complications: hidden recurring costs

Which statement is accurate?

Answer: D. A one-time cost today can lead to recurring costs later, like repairs.

Plan for follow-on costs.

- ✗ A. All costs are recurring.: not true
- ✗ B. One-time costs never lead to other costs.: not always
- ✗ C. Recurring costs can safely be ignored by small businesses that are new.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q1 · question page 905

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a variable cost for a bakery?

Answer: B. Flour used for each batch of bread

Ingredients rise with sales.

- ✗ A. The monthly accounting software plan: fixed
- ✗ C. Monthly rent for the bakery building: fixed
- ✗ D. Yearly insurance for the shop: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q2 · question page 906

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a fixed cost for an online T-shirt shop?

Answer: D. A monthly website plan

The plan stays the same each month.

- ✗ A. Payment fees taken from each sale: variable
- ✗ B. Blank shirts bought for each order: variable
- ✗ C. Shipping paid on each package: variable

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q3 · question page 907

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Using the candle example, what does it cost to make 50 candles in a month?

Answer: A. 700 dollars

500 + 4 x 50 = 700 dollars.

✗ B. 900 dollars: used 100 candles

✗ C. 500 dollars: left out wax and jars

✗ D. 200 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

S44-M-Q4 · question page 908

ENT.COST.02 · Classify fixed and variable costs and compute total cost

If the candle maker sells nothing in a month, what is the total cost?

Answer: C. 500 dollars

Fixed costs remain even with no sales.

✗ A. 0 dollars: rent is still due

✗ B. 504 dollars: added one candle

✗ D. 4 dollars: one candle

Arithmetic checked by code: yes. Sources: none (stable)

S44-M-Q5 · question page 909

ENT.COST.02 · Classify fixed and variable costs and compute total cost

What happens to variable costs when sales double?

Answer: D. They roughly double

Variable costs follow volume.

✗ A. They fall to zero: no

✗ B. They stay exactly the same: that describes fixed

✗ C. They are cut in half: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-B1-Q1 · question page 910

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 100, cost per item 2, items 30. What is the total?

Answer: C. 160

100 + 2 x 30 = 160.

- ✗ A. 60: left out fixed
- ✗ B. 3,060: added first
- ✗ D. 132: added all three

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q2 · question page 911

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Which step comes first in "fixed + rate x quantity"?

Answer: B. Multiply rate by quantity

Multiplication before addition.

- ✗ A. Subtract quantity: not a step
- ✗ C. Divide by fixed: not a step
- ✗ D. Add the fixed cost and the rate: wrong order

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-B1-Q3 · question page 912

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 300, cost per item 5, items 20. What is the total?

Answer: A. 400

300 + 5 x 20 = 400.

- ✗ B. 325: added all
- ✗ C. 6,100: added first
- ✗ D. 100: left out fixed

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q4 · question page 913

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 50, cost per item 10, items 0. What is the total?

Answer: B. 50

50 + 10 x 0 = 50.

- ✗ A. 0: fixed remains
- ✗ C. 500: multiplied fixed
- ✗ D. 60: added rate

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q5 · question page 914

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 250, cost per item 1.50, items 100. What is the total?

Answer: A. 400

250 + 1.50 x 100 = 400.

- ✗ B. 150: left out fixed
- ✗ C. 25,150: added first
- ✗ D. 351.50: added the rate to items

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q1 · question page 915

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A soap maker pays 300 dollars a month for a studio and 2 dollars of supplies per bar. What is the cost for 200 bars?

Answer: C. 700 dollars

300 + 2 x 200 = 700 dollars.

- ✗ A. 302 dollars: one bar
- ✗ B. 500 dollars: used 100 bars
- ✗ D. 400 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q2 · question page 916

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A soap maker pays 300 dollars a month for a studio, which does not change with output, and 2 dollars of supplies per bar. How much more does it cost to make 300 bars than 200 bars?

Answer: D. 200 dollars

Only variable cost changes: 2 x 100 = 200 dollars.

- ✗ A. 900 dollars: total for 300
- ✗ B. 100 dollars: used 1 dollar per bar
- ✗ C. 300 dollars: added rent again

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q3 · question page 917

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

Which cost is variable for a mobile car wash?

Answer: B. Soap and water used per car

Supplies rise with each wash.

- ✗ A. Yearly business license: fixed
- ✗ C. The van loan payment: fixed
- ✗ D. Monthly phone plan: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F1-Q4 · question page 918

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A dog walker has 60 dollars a month of fixed costs and 1 dollar of variable cost per walk. In a month with 80 walks, what is the average cost per walk?

Answer: A. 1.75 dollars

(60 + 80) / 80 = 1.75 dollars.

- ✗ B. 140 dollars: total cost
- ✗ C. 1.00 dollar: ignored fixed costs
- ✗ D. 0.75 dollars: only fixed per walk

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q5 · question page 919

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

When sales rise, what happens to the fixed cost per item?

Answer: C. It goes down

The same fixed cost is shared by more items.

- ✗ A. It becomes variable: still fixed
- ✗ B. It goes up: spread over more items
- ✗ D. It stays exactly the same: per-item share changes

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q1 · question page 920

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A baker's rent is fixed, but if sales triple she must rent a second oven. What does this show?

Answer: D. Fixed costs can step up at higher volumes

Capacity limits create steps.

- ✗ A. Ovens are variable costs that rise with each loaf: not per loaf

✗ B. Fixed costs never change at all: they can step up

✗ C. Rent is a variable cost: still fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q2 · question page 921

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A shipping service charges 5 dollars per package up to 100 packages, then 4 dollars per package after that. What is the cost for 150 packages?

Answer: C. 700 dollars

100 x 5 + 50 x 4 = 700 dollars.

✗ A. 200 dollars: only the extra

✗ B. 750 dollars: used 5 dollars for all

✗ D. 600 dollars: used 4 dollars for all

Arithmetic checked by code: yes. Sources: none (stable)

S44-F2-Q3 · question page 922

ENT.COST.02 · Handle the complications: costs that do not fit neatly

An owner counts her own hours as free. What cost is missing?

Answer: C. The value of her time

Owner time has value even if unpaid.

✗ A. Supplies used for each item: counted

✗ B. Rent: counted

✗ D. Shipping: counted

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q4 · question page 923

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A phone bill is 40 dollars a month plus overage charges in busy months. How should it be

planned?

Answer: B. As mostly fixed with a variable part

Some costs are mixed.

- ✗ A. As a one-time cost: recurring
- ✗ C. As a fully variable cost for each sale: mostly fixed
- ✗ D. As free: it costs money

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q5 · question page 924

ENT.COST.02 · Handle the complications: costs that do not fit neatly

Which statement is accurate?

Answer: C. Classifying costs is an estimate that helps planning, not an exact law.

Use classification as a tool.

- ✗ A. Fixed costs are always larger than variable costs.: depends
- ✗ B. Every single cost is either perfectly fixed or perfectly variable, always.: some are mixed
- ✗ D. Variable costs never matter for small sellers.: they matter

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q1 · question page 926

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is a contingency in a budget?

Answer: B. Extra money set aside for surprises

It covers unexpected costs.

- ✗ A. Money owed to customers for refunds: not the meaning
- ✗ C. A tax paid to the state each month: not the meaning

✗ D. The owner's profit for the first year: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q2 · question page 927

ENT.COST.03 · Build a startup budget with assumptions and contingency

Why include several months of recurring costs?

Answer: D. Sales often start slowly

Early months may not cover costs.

✗ A. It makes the budget look smaller: it makes it larger
✗ B. Banks require exactly twelve months listed: not a rule
✗ C. Recurring costs are paid only once: they repeat

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q3 · question page 928

ENT.COST.03 · Build a startup budget with assumptions and contingency

One-time costs are 2,000 dollars and 3 months of recurring costs are 900 dollars. A 10 percent contingency is added. What is the total budget?

Answer: C. 3,190 dollars

2,900 x 1.10 = 3,190 dollars.

✗ A. 3,100 dollars: contingency on one-time only
✗ B. 2,900 dollars: no contingency
✗ D. 2,990 dollars: added 90 only

Arithmetic checked by code: yes. Sources: none (stable)

S45-M-Q4 · question page 929

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is an assumption in a budget?

Answer: B. A stated guess, like "rent stays 400 dollars a month"

Assumptions can be checked later.

- ✗ A. A tax form filed with the IRS: a filing
- ✗ C. A receipt from a supplier: a record
- ✗ D. A cost the owner has already paid in full to a supplier: not a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q5 · question page 930

ENT.COST.03 · Build a startup budget with assumptions and contingency

A budget totals 5,000 dollars and the owner has 4,200 dollars. What is the gap?

Answer: B. 800 dollars

5,000 - 4,200 = 800 dollars.

- ✗ A. 9,200 dollars: added
- ✗ C. 5,000 dollars: the budget
- ✗ D. 4,200 dollars: money available

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q1 · question page 931

ENT.COST.03 · Finding a percent of an amount

What is 10 percent of 500?

Answer: C. 50

0.10 x 500 = 50.

- ✗ A. 5: moved two places
- ✗ B. 5,000: multiplied by 10
- ✗ D. 510: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q2 · question page 932

ENT.COST.03 · Finding a percent of an amount

15 percent as a decimal is what?

Answer: D. 0.15

15 / 100 = 0.15.

- ✗ A. 0.015: three places
- ✗ B. 1.5: one place
- ✗ C. 15.0: not converted

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-B1-Q3 · question page 933

ENT.COST.03 · Finding a percent of an amount

What is 500 increased by 10 percent?

Answer: A. 550

500 x 1.10 = 550.

- ✗ B. 510: added 10
- ✗ C. 5,000: multiplied by 10
- ✗ D. 50: only the percent

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q4 · question page 934

ENT.COST.03 · Finding a percent of an amount

What is 5 percent of 2,000?

Answer: D. 100

0.05 x 2,000 = 100.

✗ A. 2,005: added 5

✗ B. 400: divided by 5

✗ C. 10: moved too far

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q5 · question page 935

ENT.COST.03 · Finding a percent of an amount

What is 20 percent of 150?

Answer: A. 30

0.20 x 150 = 30.

✗ B. 3: moved too far

✗ C. 170: added 20

✗ D. 7.5: divided by 20

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q1 · question page 936

ENT.COST.03 · Apply it: check a draft budget

Ida's budget: equipment 1,500, first inventory 800, 3 months of rent at 350, no contingency. What is missing?

Answer: D. A contingency for surprises

No buffer is included.

✗ A. The cost of the first inventory: listed

✗ B. Rent: listed

✗ C. The equipment cost: listed

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F1-Q2 · question page 937

ENT.COST.03 · Apply it: check a draft budget

Ida's budget: equipment 1,500 dollars, first inventory 800 dollars, and 3 months of rent at 350 dollars. What is the total before any contingency?

Answer: B. 3,350 dollars

1,500 + 800 + 3 x 350 = 3,350 dollars.

- ✗ A. 2,300 dollars: no rent
- ✗ C. 4,400 dollars: six months of rent
- ✗ D. 2,650 dollars: one month of rent

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q3 · question page 938

ENT.COST.03 · Apply it: check a draft budget

If Ida adds a 15 percent contingency to 3,350 dollars, what is the new total?

Answer: D. 3,852.50 dollars

3,350 x 1.15 = 3,852.50 dollars.

- ✗ A. 3,365 dollars: added 15
- ✗ B. 3,850 dollars: rounded too early
- ✗ C. 502.50 dollars: only the contingency

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q4 · question page 939

ENT.COST.03 · Apply it: check a draft budget

An assumption says "supplies cost 2 dollars per unit." The supplier now charges 2.40 dollars. What should Ida do?

Answer: A. Update the assumption and recalculate

Budgets improve when assumptions are checked.

- ✗ B. Delete the supplies line: cost still exists
- ✗ C. Keep the old number; budgets never change: outdated

✗ D. Double every cost to be safe: not justified

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F1-Q5 · question page 940

ENT.COST.03 · Apply it: check a draft budget

Which budget is most realistic for a new café?

Answer: C. One with equipment, several months of costs and a buffer

Completeness and buffers matter.

✗ A. One with no rent listed, because the first rent is due later: still due
✗ B. One listing only the espresso machine: incomplete
✗ D. One assuming full sales on day one: unrealistic

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q1 · question page 941

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget needs 6,000 dollars; the owner has 4,500. Which option keeps risk lowest?

Answer: B. Start smaller and cut nonessential costs

Reducing scope fits the available money.

✗ A. Borrow at a high rate without a repayment plan: adds risk
✗ C. Skip rent payments for a while: harmful
✗ D. Remove the contingency and hope: adds risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q2 · question page 942

ENT.COST.03 · Handle the complications: tight money and changing plans

An owner's contingency is 5 percent but her equipment is old and breaks often. What should she consider?

Answer: D. A larger contingency

Risky situations need bigger buffers.

- ✗ A. Assuming nothing will break: unrealistic
- ✗ B. No contingency at all: adds risk
- ✗ C. Removing equipment from the budget: still needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q3 · question page 943

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget used last year's prices. Prices rose about 8 percent. A 2,500-dollar line becomes about how much?

Answer: C. 2,700 dollars

2,500 x 1.08 = 2,700 dollars.

- ✗ A. 2,508 dollars: added 8
- ✗ B. 3,300 dollars: added 800
- ✗ D. 200 dollars: only the increase

Arithmetic checked by code: yes. Sources: none (stable)

S45-F2-Q4 · question page 944

ENT.COST.03 · Handle the complications: tight money and changing plans

Which mistake makes a budget look better than reality?

Answer: B. Leaving out the owner's living costs while sales are slow

Personal needs affect how long the owner can last.

- ✗ A. Including a buffer: helpful
- ✗ C. Writing down each assumption clearly: helpful
- ✗ D. Listing recurring costs for several months ahead of time: helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q5 · question page 945

ENT.COST.03 · Handle the complications: tight money and changing plans

Which statement is accurate?

Answer: D. A budget is a plan to update as real numbers arrive.

Update as you learn.

- ✗ A. Budgets are only useful for large companies with many staff.: all benefit
- ✗ B. A budget is fixed and never changes.: should be updated
- ✗ C. A budget guarantees profit.: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q1 · question page 947

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 50 bracelets uses 75 dollars of beads and string. What is the cost per bracelet?

Answer: C. 1.50 dollars

75 / 50 = 1.50 dollars.

- ✗ A. 3.75 dollars: divided wrongly
- ✗ B. 75.00 dollars: not divided
- ✗ D. 0.67 dollars: divided 50 by 75

Arithmetic checked by code: yes. Sources: none (stable)

S46-M-Q2 · question page 948

ENT.PRICE.01 · Compute cost per item and compare it with price

The cookie cost per item is 0.60 dollars. The price is 1.50 dollars. What does each sale contribute?

Answer: D. 0.90 dollars

1.50 - 0.60 = 0.90 dollars.

✗ A. 0.60 dollars: the cost

✗ B. 1.50 dollars: the price

✗ C. 2.10 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S46-M-Q3 · question page 949

ENT.PRICE.01 · Compute cost per item and compare it with price

What happens if the price is below the cost per item?

Answer: B. Each sale loses money

Price must exceed unit cost.

✗ A. Fixed costs disappear: no

✗ C. Each sale makes more profit than before: not true

✗ D. Nothing changes at all: losses grow

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q4 · question page 950

ENT.PRICE.01 · Compute cost per item and compare it with price

Which should be included in cost per item for a candle?

Answer: A. Wax, wick, jar and label

Include everything the item uses.

✗ B. The owner's personal groceries: not a business cost

✗ C. Only the label, since customers see it: incomplete

✗ D. Only the wax, since it is the main material: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q5 · question page 951

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 20 cards costs 8 dollars of paper and 2 dollars of envelopes. What is the cost per card?

Answer: B. 0.50 dollars

(8 + 2) / 20 = 0.50 dollars.

- ✗ A. 10.00 dollars: not divided
- ✗ C. 0.40 dollars: paper only
- ✗ D. 0.10 dollars: envelopes only

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q1 · question page 952

ENT.PRICE.01 · Dividing a total among items

24 dollars for 8 items. What is the cost per item?

Answer: C. 3 dollars

24 / 8 = 3.

- ✗ A. 0.33 dollars: divided 8 by 24
- ✗ B. 16 dollars: subtracted
- ✗ D. 192 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q2 · question page 953

ENT.PRICE.01 · Dividing a total among items

How do you check 2.50 dollars per item for 12 items?

Answer: C. Multiply 2.50 by 12 to get 30

Multiplying back checks the division.

- ✗ A. Subtract 12 from 30 and compare: not a check
- ✗ B. Divide 12 by 2.50: not a check
- ✗ D. Add 2.50 and 12: not a check

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-B1-Q3 · question page 954

ENT.PRICE.01 · Dividing a total among items

45 dollars for 10 items. What is the cost per item?

Answer: A. 4.50 dollars

45 / 10 = 4.50.

- ✗ B. 0.22 dollars: divided wrong way
- ✗ C. 35 dollars: subtracted
- ✗ D. 450 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q4 · question page 955

ENT.PRICE.01 · Dividing a total among items

12 dollars of ingredients plus 3 dollars of boxes for 30 items. What is the cost per item?

Answer: B. 0.50 dollars

(12 + 3) / 30 = 0.50.

- ✗ A. 0.40 dollars: ingredients only
- ✗ C. 0.10 dollars: boxes only
- ✗ D. 15 dollars: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q5 · question page 956

ENT.PRICE.01 · Dividing a total among items

A result of 240 dollars per item from a 60-dollar batch of 4 is a sign of what?

Answer: B. Multiplying instead of dividing

60 x 4 = 240 is the mistake.

✗ A. A missing item: no

✗ C. A correct answer for the batch: 60 / 4 = 15

✗ D. A cheap batch: no

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q1 · question page 957

ENT.PRICE.01 · Apply it: set a price that covers cost

A tote bag costs 6 dollars to make. Which price at least covers the cost per item?

Answer: D. 9 dollars

9 > 6.

✗ A. 4 dollars: below cost

✗ B. 5.50 dollars: below cost

✗ C. 5 dollars: below cost

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q2 · question page 958

ENT.PRICE.01 · Apply it: set a price that covers cost

A baker makes 24 muffins with 18 dollars of ingredients and 6 dollars of liners and boxes. She prices muffins at 2 dollars. What does each muffin contribute?

Answer: A. 1.00 dollar

Cost = 24 / 24 = 1.00; 2.00 - 1.00 = 1.00.

✗ B. 1.25 dollars: ingredients only

✗ C. 2.00 dollars: the price

✗ D. 0.75 dollars: cost per item

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q3 · question page 959

ENT.PRICE.01 · Apply it: set a price that covers cost

A printer charges 0.80 dollars per sticker plus 10 dollars per order. An order of 100 stickers costs how much per sticker?

Answer: B. 0.90 dollars

(0.80 x 100 + 10) / 100 = 0.90 dollars.

- ✗ A. 0.10 dollars: only the order fee
- ✗ C. 90 dollars: total cost
- ✗ D. 0.80 dollars: left out order fee

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q4 · question page 960

ENT.PRICE.01 · Apply it: set a price that covers cost

A seller forgot the 0.30-dollar label on each 2-dollar item. What is the true cost per item?

Answer: C. 2.30 dollars

2.00 + 0.30 = 2.30 dollars.

- ✗ A. 1.70 dollars: subtracted
- ✗ B. 2.00 dollars: forgot the label
- ✗ D. 0.30 dollars: label only

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q5 · question page 961

ENT.PRICE.01 · Apply it: set a price that covers cost

Two suppliers: A sells 100 jars for 120 dollars; B sells 60 jars for 66 dollars. Which is cheaper per jar?

Answer: A. B, at 1.10 dollars

A: 1.20; B: 66 / 60 = 1.10.

- ✗ B. They cost the same: they differ
- ✗ C. A, at 1.10 dollars: mixed up

✗ D. A, at 1.20 dollars: A is higher

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q1 · question page 962

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A baker makes 40 cookies but 4 break and cannot be sold. Ingredients cost 20 dollars. What is the cost per SOLD cookie, to the nearest cent?

Answer: A. 0.56 dollars

20 / 36 = 0.555... about 0.56.

✗ B. 5.00 dollars: divided by 4
✗ C. 0.50 dollars: divided by 40
✗ D. 0.45 dollars: divided by 44

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q2 · question page 963

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A supplier requires a minimum order of 500 labels for 50 dollars, but the owner needs only 100 this month. What is the purchase cost per label?

Answer: B. 0.10 dollars

50 / 500 = 0.10 dollars per label. The 100 labels used this month cost 100 x 0.10 = 10 dollars; the other 400 stay in stock.

✗ A. 50 dollars: did not divide
✗ C. 0.50 dollars: divided by the 100 used, not the 500 bought
✗ D. 5.00 dollars: divided 50 by 10

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q3 · question page 964

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Ingredient prices rose 10 percent, raising cost per item from 2.00 to 2.20 dollars. Price stays 3.00 dollars. What is the new contribution per item?

Answer: D. 0.80 dollars

3.00 - 2.20 = 0.80 dollars.

- ✗ A. 0.20 dollars: the increase
- ✗ B. 2.20 dollars: the new cost
- ✗ C. 1.00 dollar: old contribution

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q4 · question page 965

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A seller computes cost per item but forgets shipping supplies used on every order. What happens?

Answer: D. The price may look profitable when it is not

Missing costs inflate apparent margin.

- ✗ A. Costs are overestimated by the seller: underestimated
- ✗ B. Nothing changes: costs are missing
- ✗ C. Taxes disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-F2-Q5 · question page 966

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Which statement is accurate?

Answer: B. Cost per item should be rechecked when supplier prices or waste change.

Recalculate when inputs change.

- ✗ A. Cost per item is calculated once at the start and never changes after

that.: it can change

✗ C. Waste never affects cost.: it does

✗ D. Only fixed costs matter for price.: unit cost matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q1 · question page 968

ENT.CASH.01 · Distinguish revenue, profit and cash

What is revenue?

Answer: A. Money earned from customers before costs

Revenue is total sales.

✗ B. Money borrowed from a bank loan: not earned

✗ C. Money left after paying every expense: that is profit

✗ D. Money sitting in the bank right now: that is cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q2 · question page 969

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 4,000 dollars and expenses are 3,100 dollars. What is the profit?

Answer: B. 900 dollars

4,000 - 3,100 = 900 dollars.

✗ A. 3,100 dollars: expenses

✗ C. 7,100 dollars: added

✗ D. 4,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-M-Q3 · question page 970

ENT.CASH.01 · Distinguish revenue, profit and cash

How can a business show a profit but have little cash?

Answer: D. Customers have not paid their invoices yet

Unpaid invoices and inventory tie up cash.

- ✗ A. Expenses are counted twice: not the reason
- ✗ B. Profit always equals cash in the bank: not always
- ✗ C. Revenue is always zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q4 · question page 971

ENT.CASH.01 · Distinguish revenue, profit and cash

What is cash?

Answer: D. Money actually available in the account

Cash is what you can spend now.

- ✗ A. Sales minus costs on paper for the month: profit
- ✗ B. All sales ever made: revenue
- ✗ C. The value of the logo: not cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q5 · question page 972

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 2,000 dollars and expenses are 2,300 dollars. What is the result?

Answer: D. A loss of 300 dollars

2,000 - 2,300 = -300.

- ✗ A. A loss of 2,000 dollars: revenue only
- ✗ B. A profit of 300 dollars: wrong sign
- ✗ C. A profit of 4,300 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q1 · question page 973

ENT.CASH.01 · A lemonade stand's day

The stand's revenue is what?

Answer: B. 30 dollars

30 cups x 1 dollar.

- ✗ A. 12 dollars: profit
- ✗ C. 18 dollars: costs
- ✗ D. 25 dollars: cash from sales

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q2 · question page 974

ENT.CASH.01 · A lemonade stand's day

The stand's profit is what?

Answer: C. 12 dollars

30 - 18 = 12.

- ✗ A. 48 dollars: added
- ✗ B. 18 dollars: costs
- ✗ D. 30 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q3 · question page 975

ENT.CASH.01 · A lemonade stand's day

Why is there only 25 dollars of sales cash?

Answer: C. A neighbor will pay tomorrow

An unpaid sale is not yet cash.

✗ A. Profit for the day was negative: no

✗ B. Lemons were free: no

✗ D. Cups were stolen: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-B1-Q4 · question page 976

ENT.CASH.01 · A lemonade stand's day

"What is in the box" means which word?

Answer: D. Cash

Cash is what you hold.

✗ A. Expenses: costs

✗ B. Profit: after costs

✗ C. Revenue: sold

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-B1-Q5 · question page 977

ENT.CASH.01 · A lemonade stand's day

"What is left after costs" means which word?

Answer: A. Profit

Profit is after costs.

✗ B. Cash: in the box

✗ C. Sales: revenue

✗ D. Revenue: before costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F1-Q1 · question page 978

ENT.CASH.01 · Apply it: read a month's results

A photographer did and billed 5,000 dollars of work in May. May expenses were 2,200 dollars. Clients have paid 3,500 dollars so far. Using accrual accounting (income counted when earned), what is the May profit?

Answer: C. 2,800 dollars

5,000 - 2,200 = 2,800 dollars.

- ✗ A. 1,300 dollars: used cash received
- ✗ B. 3,500 dollars: cash received
- ✗ D. 5,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q2 · question page 979

ENT.CASH.01 · Apply it: read a month's results

The photographer collected 3,500 dollars from clients and paid 2,200 dollars of expenses in May. What is cash received minus expenses paid?

Answer: B. 1,300 dollars

3,500 - 2,200 = 1,300 dollars.

- ✗ A. 1,500 dollars: unpaid invoices
- ✗ C. 2,800 dollars: profit
- ✗ D. 5,700 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q3 · question page 980

ENT.CASH.01 · Apply it: read a month's results

A shop spends 3,000 dollars on inventory it will sell next month. This month's cash drops. What happened to the money?

Answer: A. It turned into goods waiting to be sold

Inventory ties up cash.

- ✗ B. It was paid as taxes: not stated

✗ C. It disappeared: it became inventory

✗ D. It became profit for the month right away: not yet sold

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F1-Q4 · question page 981

ENT.CASH.01 · Apply it: read a month's results

Which month shows revenue but a loss?

Answer: A. Revenue 1,800, expenses 2,100

1,800 - 2,100 = -300.

✗ B. Revenue 1,800, expenses 1,200: profit

✗ C. Revenue 0, expenses 0: no revenue

✗ D. Revenue 2,500, expenses 2,000: profit

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q5 · question page 982

ENT.CASH.01 · Apply it: read a month's results

An owner says "We sold 10,000 dollars, so we have 10,000 dollars." What is wrong?

Answer: C. Sales are not cash or profit

Costs and timing differ.

✗ A. Revenue is a cost: no

✗ B. Sales should be doubled: no

✗ D. Nothing; revenue always equals cash: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q1 · question page 983

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Sales are rising fast, but the owner must buy materials 60 days before customers pay. What risk grows?

Answer: C. Running out of cash despite profits

Fast growth can drain cash.

- ✗ A. Taxes vanishing: no
- ✗ B. Revenue falling to zero: not implied
- ✗ D. Too much cash piling up in the bank: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q2 · question page 984

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business is profitable on paper but cannot pay rent this week. Which action helps soonest?

Answer: A. Collect overdue invoices

Collecting payments brings cash in.

- ✗ B. Ignore the rent notice: harmful
- ✗ C. Lower all prices: not immediate
- ✗ D. Buy more inventory today: uses more cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q3 · question page 985

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business made 12,000 dollars of profit this year, all received in cash. The owner took 9,000 dollars in draws and paid 4,000 dollars in cash for equipment. With no other adjustments, how did cash change?

Answer: C. Down 1,000 dollars

12,000 - 9,000 - 4,000 = -1,000.

- ✗ A. Down 13,000 dollars: ignored profit
- ✗ B. Up 3,000 dollars: ignored equipment
- ✗ D. Up 12,000 dollars: ignored uses

Arithmetic checked by code: yes. Sources: none (stable)

S47-F2-Q4 · question page 986

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which number should an owner check before promising to pay a supplier on Friday?

Answer: B. Cash expected by Friday

Bills are paid with cash.

- ✗ A. Number of followers: irrelevant
- ✗ C. Total revenue for the year: not timing
- ✗ D. Profit last year: not timing

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q5 · question page 987

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which statement is accurate?

Answer: A. A business needs profit over time and cash at every moment.

Track both.

- ✗ B. Profit and cash are always identical.: not true
- ✗ C. Cash never matters for businesses that are profitable on paper.: not true
- ✗ D. Revenue is the only number that matters.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q1 · question page 989

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the markup?

Answer: B. 60 percent

3 / 5 = 0.60.

✗ A. 3 percent: the dollar gap

✗ C. 37.5 percent: that is margin

✗ D. 160 percent: price over cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-M-Q2 · question page 990

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the margin?

Answer: A. 37.5 percent

3 / 8 = 0.375.

✗ B. 60 percent: that is markup

✗ C. 62.5 percent: cost over price

✗ D. 3 percent: the dollar gap

Arithmetic checked by code: yes. Sources: none (stable)

S48-M-Q3 · question page 991

ENT.PRICE.02 · Compute markup and margin and tell them apart

Markup uses which base?

Answer: C. The cost

Markup divides by cost.

✗ A. The price: that is margin

✗ B. The tax rate: not the base

✗ D. The number sold: not the base

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q4 · question page 992

ENT.PRICE.02 · Compute markup and margin and tell them apart

For an item with a positive cost sold above cost, which percentage is larger?

Answer: D. Markup

Dividing by the smaller cost gives a larger percent.

- ✗ A. It depends on the tax rate: not related
- ✗ B. Margin: smaller base wins
- ✗ C. They are always equal: not equal

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q5 · question page 993

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 20 dollars, a 50 percent markup. What is the price?

Answer: C. 30 dollars

20 x 1.50 = 30.

- ✗ A. 25 dollars: 25 percent markup
- ✗ B. 40 dollars: 100 percent markup
- ✗ D. 10 dollars: the markup alone

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q1 · question page 994

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 2 of 8?

Answer: B. 25 percent

2 / 8 = 0.25.

- ✗ A. 4 percent: divided 8 by 2
- ✗ C. 400 percent: reversed
- ✗ D. 2 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q2 · question page 995

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 6 of 10?

Answer: A. 60 percent

6 / 10 = 0.60.

- ✗ B. 167 percent: reversed
- ✗ C. 6 percent: not converted
- ✗ D. 16 percent: added

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q3 · question page 996

ENT.PRICE.02 · Writing a part as a percent of a whole

In "3 is what percent of 12?", which number is the base?

Answer: D. 12

The base is "of what."

- ✗ A. 3: the part
- ✗ B. 100: not the base
- ✗ C. 15: added

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B1-Q4 · question page 997

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 5 of 20?

Answer: B. 25 percent

5 / 20 = 0.25.

✗ A. 5 percent: not divided

✗ C. 4 percent: reversed

✗ D. 20 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q5 · question page 998

ENT.PRICE.02 · Writing a part as a percent of a whole

Why do 3 / 4 and 3 / 12 give different percents?

Answer: A. The base is different

Different bases give different percents.

✗ B. One is wrong: both correct

✗ C. The part is different: same part

✗ D. Percents are random: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q1 · question page 999

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Markup compares the gap with what?

Answer: C. What you paid

Markup uses cost.

✗ A. The tax: no

✗ B. The customer: no

✗ D. The price tag: margin

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q2 · question page 1000

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Margin compares the gap with what?

Answer: D. The price tag

Margin uses price.

- ✗ A. What you paid: markup
- ✗ B. The rent: no
- ✗ C. The weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q3 · question page 1001

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

In the example, what is the dollar gap?

Answer: A. 4 dollars

10 - 6 = 4.

- ✗ B. 10 dollars: price
- ✗ C. 16 dollars: added
- ✗ D. 6 dollars: cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-B2-Q4 · question page 1002

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

"How much of the price tag do I keep?" is which idea?

Answer: C. Margin

Margin is the share of price kept.

- ✗ A. Cash: money on hand
- ✗ B. Markup: uses cost
- ✗ D. Revenue: total sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q5 · question page 1003

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Does the dollar gap change between markup and margin?

Answer: D. No, only the comparison changes

The base changes, not the gap.

- ✗ A. Yes, it halves: no
- ✗ B. Yes, it becomes zero for margin: no
- ✗ C. Yes, it doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-F1-Q1 · question page 1004

ENT.PRICE.02 · Apply it: price with a target markup or margin

A reseller buys mugs for 8 dollars and wants a 40 percent margin. What price works, to the nearest cent?

Answer: B. 13.33 dollars

Price = cost / (1 - 0.40) = 8 / 0.60 = 13.33.

- ✗ A. 12.00 dollars: added 4
- ✗ C. 3.20 dollars: the markup
- ✗ D. 11.20 dollars: used 40 percent markup

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q2 · question page 1005

ENT.PRICE.02 · Apply it: price with a target markup or margin

An owner adds a 40 percent markup to a cost of 8 dollars, thinking it gives a 40 percent margin. What margin does she actually get, to one decimal place?

Answer: C. 28.6 percent

Price 11.20; gap 3.20; 3.20 / 11.20 = 0.286.

- ✗ A. 11.2 percent: price as percent
- ✗ B. 40 percent: the mistake
- ✗ D. 60 percent: one minus 40

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q3 · question page 1006

ENT.PRICE.02 · Apply it: price with a target markup or margin

Cost 12 dollars, price 20 dollars. What is the margin?

Answer: D. 40 percent

8 / 20 = 0.40.

- ✗ A. 8 percent: the dollar gap
- ✗ B. 67 percent: markup
- ✗ C. 60 percent: cost over price

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q4 · question page 1007

ENT.PRICE.02 · Apply it: price with a target markup or margin

A supplier says "Industry margin is 50 percent." Item cost is 15 dollars. What price gives a 50 percent margin?

Answer: A. 30 dollars

15 / 0.50 = 30.

- ✗ B. 22.50 dollars: 50 percent markup
- ✗ C. 15 dollars: no margin
- ✗ D. 7.50 dollars: half of cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q5 · question page 1008

ENT.PRICE.02 · Apply it: price with a target markup or margin

Which statement is correct for cost 6, price 10?

Answer: B. Markup is about 67 percent and margin is 40 percent

Markup 4/6; margin 4/10.

- ✗ A. Both are 4 percent: dollars, not percent
- ✗ C. Markup is 40 percent and margin is about 67 percent: reversed
- ✗ D. Both are 40 percent: not equal

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q1 · question page 1009

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

An item costs 10 dollars and sells for 20 dollars (50 percent margin). A 20 percent discount is offered. What is the new margin?

Answer: B. 37.5 percent

New price 16; gap 6; 6 / 16 = 0.375.

- ✗ A. 30 percent: subtracted 20 points
- ✗ C. 50 percent: ignored discount
- ✗ D. 20 percent: the discount

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q2 · question page 1010

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A payment fee takes 3 percent of a 50-dollar price. Item cost is 30 dollars. What is the margin after the fee?

Answer: D. 37 percent

Gap = 50 - 30 - 1.50 = 18.50; 18.50 / 50 = 0.37.

- ✗ A. 40 percent: ignored fee

✗ B. 43 percent: added the fee

✗ C. 3 percent: only the fee

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q3 · question page 1011

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A business partner says "our markup is 25 percent" but means margin. Why does it matter?

Answer: A. Prices set from the wrong term can be too low

Confirm which base is meant.

✗ B. It never matters which word is used: it changes price

✗ C. Margin is only for taxes: not true

✗ D. Markup and margin are legally identical: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-F2-Q4 · question page 1012

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

Which mistake leads to a lower price than intended?

Answer: A. Using a markup percent when a margin percent was intended

Markup of the same percent gives a lower price.

✗ B. Using a margin percent when a margin percent was intended: correct

✗ C. Writing down the cost carefully: helpful

✗ D. Including packaging in cost: helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-F2-Q5 · question page 1013

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

Which statement is accurate?

Answer: A. Always state whether a percent is markup or margin.

Clarity prevents pricing errors.

- ✗ B. Markup and margin always give the same price.: not true
- ✗ C. Only margin is ever used in business.: both used
- ✗ D. Percents never need a base.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q1 · question page 1015

ENT.PRICE.03 · Calculate break-even from stated assumptions

Fixed costs 800 dollars, price 20 dollars, variable cost 10 dollars. What is break-even?

Answer: C. 80 sales

800 / (20 - 10) = 80.

- ✗ A. 40 sales: divided by price
- ✗ B. 27 sales: divided by price plus cost
- ✗ D. 8,000 sales: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S49-M-Q2 · question page 1016

ENT.PRICE.03 · Calculate break-even from stated assumptions

What is profit exactly at break-even?

Answer: B. Zero

Revenue equals cost.

- ✗ A. Equal to fixed costs: covered, not profit
- ✗ C. Negative: that is below break-even
- ✗ D. Equal to revenue: costs are subtracted

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q3 · question page 1017

ENT.PRICE.03 · Calculate break-even from stated assumptions

What does each sale contribute toward fixed costs?

Answer: D. Price minus variable cost

Contribution = price - variable cost.

- ✗ A. The whole price: ignores variable cost
- ✗ B. Price plus variable cost: wrong sign
- ✗ C. Fixed cost divided by price: not contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-M-Q4 · question page 1018

ENT.PRICE.03 · Calculate break-even from stated assumptions

Fixed costs 500 dollars, contribution 3 dollars per sale. What is break-even, rounded up?

Answer: A. 167 sales

500 / 3 = 166.67, rounded up to 167.

- ✗ B. 166 sales: rounded down
- ✗ C. 1,500 sales: multiplied
- ✗ D. 503 sales: added

Arithmetic checked by code: yes. Sources: none (stable)

S49-M-Q5 · question page 1019

ENT.PRICE.03 · Calculate break-even from stated assumptions

If the price drops and costs stay the same, what happens to break-even?

Answer: C. It rises

Less contribution means more sales needed.

✗ A. It becomes zero: no

✗ B. It stays the same: contribution changed

✗ D. It falls: smaller contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-B1-Q1 · question page 1020

ENT.PRICE.03 · Dividing and rounding up

What is 300 / 7, rounded up?

Answer: D. 43

300 / 7 = 42.86, up to 43.

✗ A. 44: too high

✗ B. 2,100: multiplied

✗ C. 42: rounded down

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q2 · question page 1021

ENT.PRICE.03 · Dividing and rounding up

Why round break-even UP?

Answer: B. Rounding down leaves costs uncovered

Round up to cover costs.

✗ A. Rounding does not matter: it does

✗ C. Rounding up always gives the wrong answer: no

✗ D. Partial sales are common: not possible

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-B1-Q3 · question page 1022

ENT.PRICE.03 · Dividing and rounding up

What is 400 / 8?

Answer: A. 50

400 / 8 = 50.

- ✗ B. 3,200: multiplied
- ✗ C. 408: added
- ✗ D. 32: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q4 · question page 1023

ENT.PRICE.03 · Dividing and rounding up

Does 41 x 6 cover 250?

Answer: C. No, it is 246

41 x 6 = 246 < 250.

- ✗ A. No, it is 206: miscalculated
- ✗ B. Yes, it is 256: miscalculated
- ✗ D. Yes, it is 250: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S49-B1-Q5 · question page 1024

ENT.PRICE.03 · Dividing and rounding up

What is 1,000 / 9, rounded up?

Answer: D. 112

1,000 / 9 = 111.1, up to 112.

- ✗ A. 110: too low
- ✗ B. 111: rounded down
- ✗ C. 9,000: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q1 · question page 1025

ENT.PRICE.03 · Apply it: test a plan with break-even

A food truck has fixed costs of 2,400 dollars a month. Each meal sells for 12 dollars and costs 4 dollars to make. How many meals per month to break even?

Answer: B. 300 meals

2,400 / 8 = 300.

- ✗ A. 200 meals: divided by price
- ✗ C. 150 meals: divided by 16
- ✗ D. 600 meals: divided by cost

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q2 · question page 1026

ENT.PRICE.03 · Apply it: test a plan with break-even

A food truck needs 300 meals a month to break even (2,400 dollars of fixed costs, a 12-dollar price, a 4-dollar cost per meal). It is open 25 days a month. About how many meals per day does it need to break even?

Answer: A. 12 meals

300 / 25 = 12.

- ✗ B. 8 meals: used price
- ✗ C. 25 meals: used days
- ✗ D. 300 meals: per month

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q3 · question page 1027

ENT.PRICE.03 · Apply it: test a plan with break-even

The food truck must sell 12 meals a day for 25 days to break even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal). The owner expects 9 meals a day. What does that

mean?

Answer: D. The plan loses money unless something changes

9 x 25 = 225 meals; 225 x 8 = 1,800 dollars of contribution against 2,400 of fixed costs, a 600-dollar loss.

- ✗ A. Break-even does not matter: it does
- ✗ B. Costs will fall automatically as the truck gets busier: not stated
- ✗ C. The plan makes a large profit: below break-even

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q4 · question page 1028

ENT.PRICE.03 · Apply it: test a plan with break-even

The food truck has 2,400 dollars of fixed costs a month and a 4-dollar cost per meal. If it raises its price from 12 to 14 dollars, what is the new break-even per month?

Answer: C. 240 meals

2,400 / (14 - 4) = 240.

- ✗ A. 172 meals: divided by price
- ✗ B. 400 meals: subtracted wrong
- ✗ D. 300 meals: old price

Arithmetic checked by code: yes. Sources: none (stable)

S49-F1-Q5 · question page 1029

ENT.PRICE.03 · Apply it: test a plan with break-even

Which assumption should be written down with the food truck's break-even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal)?

Answer: D. Meal cost stays 4 dollars

Costs and prices drive the result.

- ✗ A. The logo stays the same: irrelevant

✗ B. The truck color: irrelevant

✗ C. The owner's favorite meal: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-F2-Q1 · question page 1030

ENT.PRICE.03 · Handle the complications: changing assumptions

A studio's break-even was 50 classes using a 30-dollar price and 10-dollar cost (1,000 dollars fixed). Rent rises by 200 dollars. What is the new break-even?

Answer: A. 60 classes

1,200 / 20 = 60.

✗ B. 50 classes: old

✗ C. 70 classes: added 20

✗ D. 40 classes: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q2 · question page 1031

ENT.PRICE.03 · Handle the complications: changing assumptions

A seller forgot payment fees of 1 dollar per sale. Price 15, variable cost 5, fixed 600. What is the corrected break-even, rounded up?

Answer: B. 67 sales

600 / (15 - 5 - 1) = 66.7, up to 67.

✗ A. 55 sales: added fee to price

✗ C. 60 sales: ignored fee

✗ D. 40 sales: divided by price

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q3 · question page 1032

ENT.PRICE.03 · Handle the complications: changing assumptions

Break-even is 200 units, but the market research suggests only about 120 buyers. What is the best response?

Answer: A. Rethink price, costs or the plan before launching

A gap signals the plan needs work.

- ✗ B. Launch anyway and hope that more buyers appear later: risky
- ✗ C. Ignore the research: risky
- ✗ D. Double the fixed costs: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S49-F2-Q4 · question page 1033

ENT.PRICE.03 · Handle the complications: changing assumptions

Variable cost is 0 dollars for a digital download. Fixed costs are 900 dollars and price is 15 dollars. What is break-even?

Answer: D. 60 sales

900 / 15 = 60.

- ✗ A. 13,500 sales: multiplied
- ✗ B. 0 sales: fixed costs remain
- ✗ C. 900 sales: used 1 dollar

Arithmetic checked by code: yes. Sources: none (stable)

S49-F2-Q5 · question page 1034

ENT.PRICE.03 · Handle the complications: changing assumptions

Which statement is accurate?

Answer: A. Break-even is only as good as its assumptions.

Recalculate when assumptions change.

- ✗ B. Break-even ignores fixed costs.: it uses them
- ✗ C. Break-even guarantees the business will succeed.: no

✗ D. Break-even never changes once found.: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-M-Q1 · question page 1036

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Using 2.9 percent + 0.30 dollars, what is the fee on a 100-dollar sale?

Answer: B. 3.20 dollars

0.029 x 100 + 0.30 = 3.20.

✗ A. 2.90 dollars: left out the fixed part
✗ C. 0.30 dollars: fixed part only
✗ D. 3.00 dollars: used 3 percent

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q2 · question page 1037

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Using the same fee, how much does the business receive from a 100-dollar sale?

Answer: D. 96.80 dollars

100 - 3.20 = 96.80.

✗ A. 97.10 dollars: left out the fixed part
✗ B. 99.70 dollars: fixed part only
✗ C. 100.00 dollars: ignored the fee

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q3 · question page 1038

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Why does the fixed part hurt small sales most?

Answer: C. It is a larger share of a small price

A fixed amount is a bigger percent of a small sale.

- ✗ A. Small sales have no percentage fee: they do
- ✗ B. It is charged only on large sales: it applies to every sale
- ✗ D. Processors waive fees on large sales: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-M-Q4 · question page 1039

ENT.PRICE.04 · Calculate processing fees and include them in pricing

On a 3-dollar sale, what percent of the price is the 0.30-dollar fixed part?

Answer: A. 10 percent

0.30 / 3 = 0.10.

- ✗ B. 30 percent: used cents as percent
- ✗ C. 3 percent: used the percentage rate
- ✗ D. 1 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S50-M-Q5 · question page 1040

ENT.PRICE.04 · Calculate processing fees and include them in pricing

Where should processing fees appear when setting prices?

Answer: C. In the cost of each sale

Fees reduce what each sale brings in.

- ✗ A. Only in the yearly tax return: they affect each sale
- ✗ B. Only in the owner's personal budget: business cost
- ✗ D. Nowhere, because customers pay them separately: the business pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q1 · question page 1041

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.03 x 50 + 0.25?

Answer: D. 1.75

1.50 + 0.25 = 1.75.

- ✗ A. 1.50: forgot fixed part
- ✗ B. 0.28: added rates
- ✗ C. 150.25: used 3 not 0.03

Arithmetic checked by code: yes. Sources: none (stable)

S50-B1-Q2 · question page 1042

ENT.PRICE.04 · Percent of an amount plus a fixed amount

2 percent as a decimal is what?

Answer: B. 0.02

2 / 100 = 0.02.

- ✗ A. 0.002: three places
- ✗ C. 0.2: one place
- ✗ D. 2.0: not converted

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q3 · question page 1043

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.02 x 80 + 0.10?

Answer: A. 1.70

1.60 + 0.10 = 1.70.

- ✗ B. 0.12: added rates
- ✗ C. 1.60: forgot fixed part

✗ D. 160.10: used 2

Arithmetic checked by code: yes. Sources: none (stable)

S50-B1-Q4 · question page 1044

ENT.PRICE.04 · Percent of an amount plus a fixed amount

A fee of 25 dollars on a 20-dollar sale suggests what?

Answer: B. The percent was not converted to a decimal

Check that fees are small compared with the sale.

✗ A. The fee is correct: too large
✗ C. The fixed part of the fee was forgotten entirely: opposite
✗ D. The sale was 2,000 dollars: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-B1-Q5 · question page 1045

ENT.PRICE.04 · Percent of an amount plus a fixed amount

What is 0.04 x 25 + 0.50?

Answer: C. 1.50

1.00 + 0.50 = 1.50.

✗ A. 1.00: forgot fixed part
✗ B. 0.54: added rates
✗ D. 100.50: used 4

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q1 · question page 1046

ENT.PRICE.04 · Apply it: price with fees included

A seller's cost per item is 12 dollars and she charges 20 dollars. Fee is 2.9 percent + 0.30 dollars. What does each sale contribute after the fee?

Answer: D. 7.12 dollars

Fee 0.88; 20 - 12 - 0.88 = 7.12.

- ✗ A. 7.42 dollars: left out 0.30
- ✗ B. 8.00 dollars: ignored the fee
- ✗ C. 7.70 dollars: only 0.30

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q2 · question page 1047

ENT.PRICE.04 · Apply it: price with fees included

A café sells 2-dollar cookies by card. Same fee. What is the fee per cookie?

Answer: A. 0.36 dollars

0.058 + 0.30 = 0.358, about 0.36.

- ✗ B. 0.58 dollars: used 29 percent
- ✗ C. 0.30 dollars: only the fixed part
- ✗ D. 0.06 dollars: left out fixed part

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q3 · question page 1048

ENT.PRICE.04 · Apply it: price with fees included

To reduce the fee share on small items, which option fits?

Answer: B. Encourage bundles, like 3 cookies for one payment

One payment for several items shares the fixed part.

- ✗ A. Hide the fee from her records: inaccurate
- ✗ C. Raise the fixed fee by choosing a new processor: worse
- ✗ D. Split every sale into smaller payments: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F1-Q4 · question page 1049

ENT.PRICE.04 · Apply it: price with fees included

Monthly card sales are 4,000 dollars over 200 sales. Same fee. What are total fees?

Answer: C. 176 dollars

0.029 x 4,000 + 0.30 x 200 = 116 + 60 = 176.

- ✗ A. 1,160 dollars: used 29 percent
- ✗ B. 60 dollars: fixed parts only
- ✗ D. 116 dollars: left out fixed parts

Arithmetic checked by code: yes. Sources: none (stable)

S50-F1-Q5 · question page 1050

ENT.PRICE.04 · Apply it: price with fees included

Processor A: 2.6 percent + 0.10 dollars. Processor B: 2.9 percent + 0.30 dollars. Which is cheaper for a 20-dollar sale?

Answer: D. A, at 0.62 dollars

A: 0.52 + 0.10 = 0.62; B: 0.58 + 0.30 = 0.88.

- ✗ A. B, at 0.88 dollars: B is higher
- ✗ B. A, at 0.52 dollars: left out fixed part
- ✗ C. They cost the same: they differ

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q1 · question page 1051

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

A processor also charges 15 dollars a month. A seller has 30 sales a month. How much does this add per sale?

Answer: A. 0.50 dollars

15 / 30 = 0.50.

✗ B. 0.15 dollars: moved decimal

✗ C. 2.00 dollars: divided 30 by 15

✗ D. 15.00 dollars: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q2 · question page 1052

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

An owner wants to add a card surcharge to customers. What should she check first?

Answer: B. Laws and processor rules on surcharges

Surcharge rules vary by place and processor.

✗ A. Nothing; surcharges are always allowed: rules vary

✗ C. Only whether customers will notice: not the rule

✗ D. Whether her competitors like the idea: not the rule

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F2-Q3 · question page 1053

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

An invoice of 1,000 dollars is paid by card at 2.9 percent + 0.30. What is received?

Answer: D. 970.70 dollars

1,000 - 29.30 = 970.70.

✗ A. 971.00 dollars: left out 0.30

✗ B. 999.70 dollars: only 0.30

✗ C. 1,000.00 dollars: ignored fee

Arithmetic checked by code: yes. Sources: none (stable)

S50-F2-Q4 · question page 1054

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

A seller compares processors only on the percentage. What might she miss?

Answer: C. Fixed and monthly fees

All parts of the fee matter.

- ✗ A. The weather: irrelevant
- ✗ B. Her customers' names: irrelevant
- ✗ D. Her own logo colors: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S50-F2-Q5 · question page 1055

ENT.PRICE.04 · Handle the complications: extra fees and surcharges

Which statement is accurate?

Answer: B. Fees vary by provider and plan, so read current terms.

The rates in this course are assumptions.

- ✗ A. Every payment processor charges exactly 2.9 percent plus 0.30 dollars.: example only
- ✗ C. Fees never change.: they can
- ✗ D. Fees only apply to large businesses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q1 · question page 1057

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

A 25-dollar item costs 15 dollars. With a 20 percent discount, what is the new price?

Answer: D. 20 dollars

25 x 0.80 = 20.

- ✗ A. 24.80 dollars: subtracted 0.20
- ✗ B. 5 dollars: only the discount
- ✗ C. 30 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-M-Q2 · question page 1058

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

Same item. What is the contribution after the discount?

Answer: C. 5 dollars

20 - 15 = 5.

- ✗ A. 20 dollars: the price
- ✗ B. 15 dollars: the cost
- ✗ D. 10 dollars: before discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-M-Q3 · question page 1059

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

What should a refund policy state?

Answer: B. The time limit, return condition and who pays shipping

Clear terms prevent disputes.

- ✗ A. Only the store's opening date: not policy terms
- ✗ C. Nothing at all, because written policies only confuse customers: clear policies help
- ✗ D. Only the owner's favorite products: not policy terms

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q4 · question page 1060

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

When should a refund policy be shown?

Answer: A. Before customers buy

Posting it first sets expectations.

- ✗ B. Never: customers need it
- ✗ C. Only after a complaint: too late
- ✗ D. Only once a year in an email: not reliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-M-Q5 · question page 1061

ENT.PRICE.05 · Calculate how discounts and refunds change contribution and write a policy

A 10-dollar discount on an item with a 12-dollar contribution leaves what contribution?

Answer: B. 2 dollars

12 - 10 = 2.

- ✗ A. 12 dollars: ignored discount
- ✗ C. 22 dollars: added
- ✗ D. 10 dollars: the discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q1 · question page 1062

ENT.PRICE.05 · Applying a percent decrease

What is 50 with 20 percent off?

Answer: D. 40

50 x 0.80 = 40.

- ✗ A. 10: only the discount
- ✗ B. 30: took 20 off
- ✗ C. 49.80: subtracted 0.20

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q2 · question page 1063

ENT.PRICE.05 · Applying a percent decrease

15 percent off means multiply by what?

Answer: C. 0.85

1 - 0.15 = 0.85.

- ✗ A. 85: not a decimal
- ✗ B. 1.15: that is an increase
- ✗ D. 0.15: that is the discount

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-B1-Q3 · question page 1064

ENT.PRICE.05 · Applying a percent decrease

What is 60 with 25 percent off?

Answer: B. 45

60 x 0.75 = 45.

- ✗ A. 15: only the discount
- ✗ C. 35: took 25 off
- ✗ D. 75: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q4 · question page 1065

ENT.PRICE.05 · Applying a percent decrease

What is 10 percent of 30?

Answer: C. 3

0.10 x 30 = 3.

- ✗ A. 0.3: moved too far
- ✗ B. 27: subtracted

✗ D. 300: multiplied by 10

Arithmetic checked by code: yes. Sources: none (stable)

S51-B1-Q5 · question page 1066

ENT.PRICE.05 · Applying a percent decrease

What is 80 with 10 percent off?

Answer: A. 72

80 x 0.90 = 72.

✗ B. 88: added
✗ C. 8: only the discount
✗ D. 70: took 10 off

Arithmetic checked by code: yes. Sources: none (stable)

S51-F1-Q1 · question page 1067

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A shop sells 100 shirts a month at 30 dollars with a 18-dollar cost. A 25 percent sale is planned. How many shirts must sell during the sale to earn the same total contribution, rounded up?

Answer: D. 267 shirts

Old: 100 x 12 = 1,200. New price 22.50; contribution 4.50; 1,200 / 4.50 = 266.7, up to 267.

✗ A. 200 shirts: guessed double
✗ B. 125 shirts: added 25 percent
✗ C. 100 shirts: ignored discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-F1-Q2 · question page 1068

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A customer returns a 50-dollar item for a full refund. The processor kept a 1.75-dollar fee and

does not return it. The item can be resold. What did the return cost the business?

Answer: C. 1.75 dollars

Only the kept fee is lost.

- ✗ A. 0 dollars: fee kept
- ✗ B. 50 dollars: item resold
- ✗ D. 51.75 dollars: item resold

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q3 · question page 1069

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A returned item arrives damaged and cannot be resold. Its cost was 18 dollars. The refund was 30 dollars. What is the loss compared with no sale?

Answer: D. 18 dollars

The money returned evens out; the item cost is lost.

- ✗ A. 30 dollars: the refund was money received first
- ✗ B. 48 dollars: added
- ✗ C. 12 dollars: the contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q4 · question page 1070

ENT.PRICE.05 · Apply it: evaluate a sale or refund

Which refund policy is clearest?

Answer: B. "Returns within 30 days, unused, buyer pays return shipping."

Specific terms avoid disputes.

- ✗ A. "No questions, no answers, contact us someday.": unclear
- ✗ C. "Returns are maybe possible, depending on my mood that week.": unclear

✗ D. "Ask a friend about our return rules.": unclear

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F1-Q5 · question page 1071

ENT.PRICE.05 · Apply it: evaluate a sale or refund

A 10 percent discount for first-time buyers brings 40 new customers who keep buying later. Why might it be worth it?

Answer: B. Repeat purchases can outweigh the one-time discount

The value depends on what happens after the discount.

✗ A. First-time buyers never return: not stated
✗ C. Discounts always increase profit on every single sale: not always
✗ D. Discounts remove all costs: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q1 · question page 1072

ENT.PRICE.05 · Handle the complications: stacking and abuse

A customer uses a 20 percent coupon on top of a 20 percent sale. What total discount does she get on a 50-dollar item, applied one after the other?

Answer: A. 36 percent

50 x 0.8 x 0.8 = 32; 18 / 50 = 0.36.

✗ B. 20 percent: only one
✗ C. 4 percent: multiplied percents
✗ D. 40 percent: added

Arithmetic checked by code: yes. Sources: none (stable)

S51-F2-Q2 · question page 1073

ENT.PRICE.05 · Handle the complications: stacking and abuse

Many customers return items after wearing them once. What should the owner change?

Answer: B. Add a clear "unused" condition to the policy

Clear conditions limit abuse.

- ✗ A. Accept every return forever, in any condition: continues losses
- ✗ C. Accuse customers publicly: harmful
- ✗ D. Stop selling online: too extreme

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q3 · question page 1074

ENT.PRICE.05 · Handle the complications: stacking and abuse

A store says "all sales final" but the law where it sells may require some refunds. What should it check?

Answer: C. Local consumer protection rules

Policies must follow applicable law.

- ✗ A. Only competitors' policies: not the law
- ✗ B. Only its logo: irrelevant
- ✗ D. Nothing; the store decides alone: laws may apply

Arithmetic checked by code: not applicable. Sources: none (stable)

S51-F2-Q4 · question page 1075

ENT.PRICE.05 · Handle the complications: stacking and abuse

A 20-dollar item has a 6-dollar contribution, so its cost is 14 dollars. The owner offers 30 percent off. What is the contribution per sale now?

Answer: D. 0 dollars

20 x 0.70 = 14; 14 - 14 = 0. Every sale now only covers its cost.

- ✗ A. 14 dollars: that is the cost
- ✗ B. 12 dollars: added
- ✗ C. 6 dollars: ignores the discount

Arithmetic checked by code: yes. Sources: none (stable)

S51-F2-Q5 · question page 1076

ENT.PRICE.05 · Handle the complications: stacking and abuse

Which statement is accurate?

Answer: A. Discounts should be checked against contribution before offering them.

Check the math first.

- ✗ B. Bigger discounts always mean more profit.: not always
- ✗ C. Discounts are always free marketing.: they cost money
- ✗ D. Refund policies are optional for online stores, so no one needs to post one.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q1 · question page 1078

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

A job earns 120 dollars of profit and takes 4 hours in total. What is the effective hourly rate?

Answer: C. 30 dollars an hour

120 / 4 = 30.

- ✗ A. 40 dollars an hour: used 3 hours
- ✗ B. 124 dollars an hour: added
- ✗ D. 480 dollars an hour: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S52-M-Q2 · question page 1079

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

What is capacity?

Answer: A. The most work the business can do in a period

Capacity is a work limit.

- ✗ B. The size of the logo file: not capacity
- ✗ C. The number of followers on social media: not capacity
- ✗ D. The amount of money in savings: not capacity

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q3 · question page 1080

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

Which hidden time should be counted for a house-cleaning job?

Answer: D. Travel and invoicing time

All time the job requires counts.

- ✗ A. Time spent sleeping at night: not the job
- ✗ B. Time the owner spends on a personal hobby: not the job
- ✗ C. Time a customer spends at work: not her time

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-M-Q4 · question page 1081

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

A job pays 200 dollars of profit for 5 hours of work plus 3 hours of travel and email. What is the true hourly rate?

Answer: B. 25 dollars an hour

200 / 8 = 25.

- ✗ A. 40 dollars an hour: ignored hidden time
- ✗ C. 66.67 dollars an hour: used only hidden time
- ✗ D. 1,600 dollars an hour: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S52-M-Q5 · question page 1082

ENT.PRICE.06 · Compute effective hourly rates and recognize capacity limits

Capacity is full. Which option lets the business complete more work safely?

Answer: D. Get qualified help or improve the process

Qualified help or a better process adds capacity safely. Raising prices is a separate choice: it manages demand but does not add capacity.

- ✗ A. Work 20 hours a day indefinitely: unsustainable and unsafe
- ✗ B. Ignore all new requests without replying: loses goodwill and adds no capacity
- ✗ C. Take every new job and skip quality checks: hurts quality and safety

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q1 · question page 1083

ENT.PRICE.06 · Seats on a bus

A full bus is like what?

Answer: C. A full work week

Capacity is limited.

- ✗ A. A big savings account: no
- ✗ B. An empty calendar: opposite
- ✗ D. A new logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q2 · question page 1084

ENT.PRICE.06 · Seats on a bus

The "hidden seats" are like what?

Answer: B. Travel and paperwork time

Hidden tasks take hours.

✗ A. Customer reviews online: no

✗ C. Free time: no

✗ D. Extra profit: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q3 · question page 1085

ENT.PRICE.06 · Seats on a bus

A bigger bus is like what choice?

Answer: D. Getting help

Help adds capacity.

✗ A. Doing nothing: no change

✗ B. Working more hours: more trips

✗ C. Raising prices: pricier ticket

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q4 · question page 1086

ENT.PRICE.06 · Seats on a bus

A pricier ticket is like what choice?

Answer: C. Raising prices

Higher prices manage demand.

✗ A. More trips: more hours

✗ B. Lowering quality: not the picture

✗ D. Getting help: bigger bus

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-B1-Q5 · question page 1087

ENT.PRICE.06 · Seats on a bus

Can more riders fit once all seats are full?

Answer: A. No, not on that trip

Full means full.

- ✗ B. Only on weekends: no
- ✗ C. Yes, always: seats are full
- ✗ D. Only if they stand on the roof: unsafe

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F1-Q1 · question page 1088

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

Job A: 150 dollars profit, 3 hours total. Job B: 240 dollars profit, 6 hours total. Which pays more per hour?

Answer: B. A, at 50 dollars an hour

A: 50; B: 40.

- ✗ A. B, at 40 dollars an hour: B is lower
- ✗ C. They pay the same: they differ
- ✗ D. B, at 240 dollars: not per hour

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q2 · question page 1089

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A tutor can work 25 hours a week. Each student takes 1.5 hours including prep. What is the most students per week, rounded down?

Answer: A. 16 students

25 / 1.5 = 16.7, so 16 whole students.

- ✗ B. 37 students: multiplied
- ✗ C. 25 students: ignored prep

✗ D. 17 students: rounded up

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q3 · question page 1090

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A baker charges 60 dollars for a custom cake with 20 dollars of ingredients. It takes 5 hours. What is the hourly rate on profit?

Answer: D. 8 dollars an hour

(60 - 20) / 5 = 8.

✗ A. 12 dollars an hour: ignored ingredients
✗ B. 40 dollars an hour: not per hour
✗ C. 4 dollars an hour: used 10 hours

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q4 · question page 1091

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A custom cake takes 5 hours and uses 20 dollars of ingredients. The baker wants at least 20 dollars an hour of profit on it. What price is needed?

Answer: B. 120 dollars

20 x 5 + 20 = 120.

✗ A. 25 dollars: per hour plus 5
✗ C. 100 dollars: left out ingredients
✗ D. 80 dollars: too low

Arithmetic checked by code: yes. Sources: none (stable)

S52-F1-Q5 · question page 1092

ENT.PRICE.06 · Apply it: compare jobs by true hourly rate

A photographer is fully booked for 2 months. What does this suggest?

Answer: C. Prices may be too low for the demand

Full capacity can support a price increase.

- ✗ A. She should lower prices further: demand already exceeds capacity
- ✗ B. She should stop marketing forever: too extreme
- ✗ D. Nothing; bookings never matter: they signal demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q1 · question page 1093

ENT.PRICE.06 · Handle the complications: burnout and hidden work

An owner works 70 hours a week to meet demand and feels exhausted. What is the main risk?

Answer: D. Mistakes and burnout that hurt the business

Overwork harms quality and health.

- ✗ A. Customers will pay double automatically: not stated
- ✗ B. Capacity grows by itself: no
- ✗ C. More profit with no downside: ignores risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q2 · question page 1094

ENT.PRICE.06 · Handle the complications: burnout and hidden work

A job seems to pay 50 dollars an hour, but the client asks for many unpaid revisions, doubling the time. What is the real rate?

Answer: B. 25 dollars an hour

Double the time halves the rate.

- ✗ A. 75 dollars an hour: averaged wrongly
- ✗ C. 100 dollars an hour: wrong direction
- ✗ D. 50 dollars an hour: ignored revisions

Arithmetic checked by code: yes. Sources: none (stable)

S52-F2-Q3 · question page 1095

ENT.PRICE.06 · Handle the complications: burnout and hidden work

What helps prevent unpaid revisions?

Answer: B. Stating how many revisions the price includes

Clear scope protects time.

- ✗ A. Charging nothing at all for the first job with a client: unrelated
- ✗ C. Offering unlimited free changes: causes the problem
- ✗ D. Never talking about revisions: causes confusion

Arithmetic checked by code: not applicable. Sources: none (stable)

S52-F2-Q4 · question page 1096

ENT.PRICE.06 · Handle the complications: burnout and hidden work

A helper costs 20 dollars an hour and lets the owner take jobs earning 45 dollars an hour of profit before paying help. Ignoring other costs, what is left per helper hour?

Answer: C. 25 dollars

45 - 20 = 25.

- ✗ A. 65 dollars: added
- ✗ B. 45 dollars: ignored helper cost
- ✗ D. 20 dollars: helper cost

Arithmetic checked by code: yes. Sources: none (stable)

S52-F2-Q5 · question page 1097

ENT.PRICE.06 · Handle the complications: burnout and hidden work

Which statement is accurate?

Answer: A. Owner time is a real cost even when no one sends a bill for it.

Count all hours.

✗ B. Capacity never limits small businesses, because owners can always work more.: it does

✗ C. Hidden tasks take no time.: they do

✗ D. Owner time is always free.: it has value

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q1 · question page 1099

ENT.PRICE.07 · Decide when to raise prices and communicate the change

Which is a sign a price may be too low?

Answer: C. The owner is fully booked months ahead

Full demand can support higher prices.

✗ A. Customers sometimes compliment the product: not a pricing signal

✗ B. The owner bought a new phone: unrelated

✗ D. The logo was redesigned recently: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q2 · question page 1100

ENT.PRICE.07 · Decide when to raise prices and communicate the change

Supplies rise from 4 to 5 dollars per item and price stays 12 dollars. What is the new contribution?

Answer: D. 7 dollars

12 - 5 = 7.

✗ A. 17 dollars: added

✗ B. 1 dollar: the cost change

✗ C. 8 dollars: old contribution

Arithmetic checked by code: yes. Sources: none (stable)

S53-M-Q3 · question page 1101

ENT.PRICE.07 · Decide when to raise prices and communicate the change

What is a respectful way to raise prices?

Answer: A. Give notice and a short reason

Notice and honesty keep trust.

- ✗ B. Raise prices every week: confusing
- ✗ C. Blame customers for the change: harmful
- ✗ D. Change prices without telling anyone: surprises customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q4 · question page 1102

ENT.PRICE.07 · Decide when to raise prices and communicate the change

How often might a small business review prices?

Answer: B. Every 6 or 12 months, or when costs change

Regular reviews keep prices current.

- ✗ A. Never, because prices are set permanently at opening: not true
- ✗ C. Only once, on opening day: too rare
- ✗ D. Every hour: impractical

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-M-Q5 · question page 1103

ENT.PRICE.07 · Decide when to raise prices and communicate the change

After a raise, some customers leave. What should the owner check?

Answer: D. Whether total contribution went up or down

Fewer customers can still mean more money.

- ✗ A. Only competitors' logos: irrelevant
- ✗ B. Only whether anyone complained about the new price: not the full

picture

✗ C. Only the number of customers: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-B1-Q1 · question page 1104

ENT.PRICE.07 · Percent increase

What is 50 raised by 10 percent?

Answer: C. 55

50 x 1.10 = 55.

✗ A. 5: only the raise

✗ B. 50.10: added 0.10

✗ D. 60: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q2 · question page 1105

ENT.PRICE.07 · Percent increase

From 20 to 25 dollars is what percent increase?

Answer: A. 25 percent

5 / 20 = 0.25.

✗ B. 5 percent: dollar change

✗ C. 125 percent: ratio

✗ D. 20 percent: used new price

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q3 · question page 1106

ENT.PRICE.07 · Percent increase

A 15 percent raise means multiply by what?

Answer: B. 1.15

1 + 0.15 = 1.15.

- ✗ A. 0.15: only the raise
- ✗ C. 15: not a decimal
- ✗ D. 0.85: a decrease

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-B1-Q4 · question page 1107

ENT.PRICE.07 · Percent increase

What is 80 raised by 5 percent?

Answer: D. 84

80 x 1.05 = 84.

- ✗ A. 85: added 5
- ✗ B. 4: only the raise
- ✗ C. 80.05: added 0.05

Arithmetic checked by code: yes. Sources: none (stable)

S53-B1-Q5 · question page 1108

ENT.PRICE.07 · Percent increase

To find a percent change, divide the change by which price?

Answer: C. The old price

Percent change uses the original value.

- ✗ A. The cost: not the base
- ✗ B. The new price: wrong base
- ✗ D. Any price: base matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F1-Q1 · question page 1109

ENT.PRICE.07 · Apply it: test a price increase

A dog groomer has 50 clients at 40 dollars with a 15-dollar cost each. She raises the price to 48 dollars and 5 clients leave. What is the new total contribution?

Answer: A. 1,485 dollars

Old: 50 x 25 = 1,250. New: 45 x 33 = 1,485.

- ✗ B. 2,160 dollars: used price not contribution
- ✗ C. 1,650 dollars: no clients lost
- ✗ D. 1,250 dollars: old total

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q2 · question page 1110

ENT.PRICE.07 · Apply it: test a price increase

A dog groomer had 50 clients at 40 dollars with a 15-dollar cost each. After she raised the price to 48 dollars, 45 clients stayed. Did the raise help?

Answer: B. Yes, contribution rose by 235 dollars

Before: 50 x 25 = 1,250. After: 45 x 33 = 1,485. Contribution rose by 235 dollars.

- ✗ A. No, because she lost 5 of her clients: but earns more
- ✗ C. It made no difference: it changed
- ✗ D. No, contribution fell: it rose

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q3 · question page 1111

ENT.PRICE.07 · Apply it: test a price increase

Which notice is best?

Answer: A. "From March 1, prices rise to 48 dollars due to higher supply

costs."

Date, amount and reason.

- ✗ B. "Prices might change sometime, maybe.": unclear
- ✗ C. "Prices are higher now. Deal with it.": disrespectful
- ✗ D. No notice at all; she should just charge more at checkout from now on: surprises

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F1-Q4 · question page 1112

ENT.PRICE.07 · Apply it: test a price increase

A 40-dollar price raised by 12.5 percent becomes what?

Answer: C. 45 dollars

40 x 1.125 = 45.

- ✗ A. 52.50 dollars: added 12.5
- ✗ B. 5 dollars: only the raise
- ✗ D. 40.13 dollars: added 0.125

Arithmetic checked by code: yes. Sources: none (stable)

S53-F1-Q5 · question page 1113

ENT.PRICE.07 · Apply it: test a price increase

A loyal client has booked monthly for 3 years. What is a thoughtful option during a raise?

Answer: B. Keep the old price for a short grace period

Grace periods reward loyalty.

- ✗ A. Raise her price more than everyone else's price: unfair
- ✗ C. Hide the raise from her: dishonest
- ✗ D. Drop her as a client: unnecessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q1 · question page 1114

ENT.PRICE.07 · Handle the complications: fear and competitors

An owner fears that any raise will lose all customers. What evidence would help?

Answer: C. Testing a modest raise and tracking results

A small test produces data.

- ✗ A. Assuming the worst and never changing: no evidence
- ✗ B. Asking only family: biased
- ✗ D. Copying a random competitor's price: not her costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q2 · question page 1115

ENT.PRICE.07 · Handle the complications: fear and competitors

A competitor charges less. The owner's costs are higher because she uses better materials. What fits?

Answer: B. Explain the value and price to cover her costs

Price must cover costs; value explains it.

- ✗ A. Ignore costs entirely: risky
- ✗ C. Match the competitor's lower price, even if she loses money: unsustainable
- ✗ D. Use worse materials secretly: dishonest

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q3 · question page 1116

ENT.PRICE.07 · Handle the complications: fear and competitors

Prices rose 20 percent but sales fell 40 percent. Contribution per sale went from 10 to 14 dollars. Was it a gain? (Start with 100 sales.)

Answer: A. No, contribution fell from 1,000 to 840 dollars

60 x 14 = 840 < 1,000.

- ✗ B. No change at all: it changed
- ✗ C. Yes, contribution rose from 1,000 to 1,400 dollars: ignored lost sales
- ✗ D. Yes, from 1,000 to 1,200 dollars: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S53-F2-Q4 · question page 1117

ENT.PRICE.07 · Handle the complications: fear and competitors

Costs rose 10 percent but the owner has not reviewed prices in 3 years. What should she do?

Answer: D. Recalculate costs and review prices now

Regular review prevents shrinking margins.

- ✗ A. Cut quality quietly to avoid any price raise: may lose customers
- ✗ B. Stop tracking costs: harmful
- ✗ C. Wait another 3 years: costs keep rising

Arithmetic checked by code: not applicable. Sources: none (stable)

S53-F2-Q5 · question page 1118

ENT.PRICE.07 · Handle the complications: fear and competitors

Which statement is accurate?

Answer: B. A price increase can raise total contribution even if some customers leave.

Check the totals.

- ✗ A. Raises always double profit.: not true
- ✗ C. Losing any customer at all always means the business loses money overall.: not always
- ✗ D. Prices should never change.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q1 · question page 1120

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What does "Net 30" mean?

Answer: D. Payment is due 30 days after the invoice date

Net 30 sets the due date.

- ✗ A. The business must pay 30 dollars: not the meaning
- ✗ B. A 30 percent discount for paying early: not the meaning
- ✗ C. The customer may pay any time in the year: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q2 · question page 1121

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What is a deposit?

Answer: A. Money paid up front before work starts

Deposits come first.

- ✗ B. A refund paid after a customer complaint: not a deposit
- ✗ C. A bonus paid to employees: not a deposit
- ✗ D. A tax paid to the state: not a deposit

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q3 · question page 1122

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

An invoice dated June 1 is Net 30. When is it due?

Answer: C. July 1

June has 30 days: June 1 + 30 days = July 1.

✗ A. August 1: Net 60

✗ B. June 2: too early

✗ D. June 30 of next year: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q4 · question page 1123

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

What are accounts receivable?

Answer: B. Money customers owe the business

Receivables are unpaid invoices.

✗ A. The value of equipment: assets, not receivables

✗ C. Cash in the owner's wallet: not receivable

✗ D. Money the business owes suppliers: payables

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-M-Q5 · question page 1124

ENT.CASH.02 · Plan for invoice timing, deposits and overdue payments

Why ask for a deposit on a large custom order?

Answer: A. It reduces risk and helps pay for materials

Deposits protect cash.

✗ B. It lowers the business's taxes: not the purpose

✗ C. It replaces the need for an invoice: still invoice

✗ D. It guarantees the customer will love the order: no guarantee

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q1 · question page 1125

ENT.CASH.02 · Waiting for allowance

Doing chores before being paid is like what?

Answer: C. Working before an invoice is paid

Work comes before cash.

- ✗ A. Paying taxes: no
- ✗ B. Getting a deposit up front from the customer: paid first
- ✗ D. Buying supplies: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q2 · question page 1126

ENT.CASH.02 · Waiting for allowance

Needing lunch money while waiting is like what?

Answer: B. Bills due before payment arrives

The cash gap.

- ✗ A. A discount code for next time: no
- ✗ C. A refund: no
- ✗ D. Extra profit for the whole month: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q3 · question page 1127

ENT.CASH.02 · Waiting for allowance

Getting part of the allowance first is like what?

Answer: C. A deposit

Money before work.

- ✗ A. An invoice: a bill
- ✗ B. A refund: no
- ✗ D. A fee: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q4 · question page 1128

ENT.CASH.02 · Waiting for allowance

What makes the waiting harder?

Answer: A. Longer payment terms

Longer waits widen the gap.

- ✗ B. Shorter payment terms: easier
- ✗ C. Deposits: easier
- ✗ D. Reminders: help

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-B1-Q5 · question page 1129

ENT.CASH.02 · Waiting for allowance

What helps close the gap?

Answer: D. Deposits and prompt invoicing

Get paid sooner.

- ✗ A. Offering longer terms: worse
- ✗ B. Never sending reminders: worse
- ✗ C. Waiting longer to invoice: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q1 · question page 1130

ENT.CASH.02 · Apply it: plan cash around invoices

A designer finishes a 2,000-dollar project and invoices Net 30. Her rent of 900 dollars is due in 10 days. She has 500 dollars. What is the problem?

Answer: A. She is 400 dollars short for rent before the invoice is due

900 - 500 = 400 short.

- ✗ B. Rent is not her concern: it is due
- ✗ C. She has plenty of cash right now to cover the rent easily: only 500 dollars
- ✗ D. The invoice is already overdue: not yet due

Arithmetic checked by code: yes. Sources: none (stable)

S54-F1-Q2 · question page 1131

ENT.CASH.02 · Apply it: plan cash around invoices

Which change would help her most on future projects?

Answer: D. Ask for a 50 percent deposit at the start

Deposits bring cash earlier.

- ✗ A. Stop sending invoices: no payment
- ✗ B. Offer Net 90 payment terms to all clients: makes it worse
- ✗ C. Invoice only after 2 months: makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q3 · question page 1132

ENT.CASH.02 · Apply it: plan cash around invoices

A 50 percent deposit on a 2,000-dollar project is how much?

Answer: B. 1,000 dollars

0.50 x 2,000 = 1,000.

- ✗ A. 500 dollars: 25 percent
- ✗ C. 1,500 dollars: 75 percent
- ✗ D. 2,000 dollars: full price

Arithmetic checked by code: yes. Sources: none (stable)

S54-F1-Q4 · question page 1133

ENT.CASH.02 · Apply it: plan cash around invoices

An invoice was due 15 days ago and is unpaid. What is a sensible first step?

Answer: B. Send a polite reminder with the invoice attached

A reminder often solves it.

- ✗ A. Start a lawsuit today: too early
- ✗ C. Ignore it forever: loses money
- ✗ D. Post the client's name online as a late payer: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F1-Q5 · question page 1134

ENT.CASH.02 · Apply it: plan cash around invoices

A business has receivables of 6,000 dollars, of which 1,500 dollars is over 60 days late. What fraction is very late?

Answer: C. 1/4

1,500 / 6,000 = 0.25.

- ✗ A. 1/2: miscalculated
- ✗ B. 1/6: miscalculated
- ✗ D. 3/4: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S54-F2-Q1 · question page 1135

ENT.CASH.02 · Handle the complications: late payers and big clients

A large client insists on Net 60 terms. The order is 10,000 dollars of materials and labor. What should the owner check?

Answer: C. Whether she has cash to cover costs for 60 days

Long terms need cash to cover the wait.

✗ A. Whether the logo will be on the client's site: not the issue

✗ B. Nothing; big clients always pay early: not guaranteed

✗ D. Only whether the client is famous: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q2 · question page 1136

ENT.CASH.02 · Handle the complications: late payers and big clients

A client has missed three payment dates. What protects the business on future work?

Answer: B. Require payment or a deposit before starting

Upfront payment reduces risk.

✗ A. Do more work on credit: more risk

✗ C. Remove invoices: no record

✗ D. Offer even longer payment terms to be kind: more risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q3 · question page 1137

ENT.CASH.02 · Handle the complications: late payers and big clients

A contract allows a 1.5 percent monthly late fee where permitted. A 2,000-dollar invoice is one month late. What is the fee?

Answer: A. 30 dollars

0.015 x 2,000 = 30.

✗ B. 300 dollars: used 15 percent

✗ C. 1.50 dollars: not percent

✗ D. 3 dollars: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S54-F2-Q4 · question page 1138

ENT.CASH.02 · Handle the complications: late payers and big clients

Before adding late fees, what should an owner check?

Answer: D. Whether local law allows them and the contract states them

Fees must be legal and agreed.

- ✗ A. Only whether competitors in her area use late fees: not the rule
- ✗ B. Nothing; any fee is allowed: rules vary
- ✗ C. Only the invoice font: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S54-F2-Q5 · question page 1139

ENT.CASH.02 · Handle the complications: late payers and big clients

Which statement is accurate?

Answer: A. Clear written terms and early reminders reduce late payments.

Systems help cash flow.

- ✗ B. Customers always pay on time without any reminders or written terms.: not always
- ✗ C. Deposits are illegal.: not true
- ✗ D. Invoices are optional for businesses.: records needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q1 · question page 1141

ENT.CASH.03 · Size and build a business cash reserve

What is a cash reserve?

Answer: A. Money set aside for slow months and surprises

It is a safety buffer.

- ✗ B. Money owed to suppliers: not a reserve
- ✗ C. Money used for the owner's vacation: not a reserve
- ✗ D. Money spent on advertising and promotions each month: not a reserve

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q2 · question page 1142

ENT.CASH.03 · Size and build a business cash reserve

Essential expenses are 1,500 dollars a month. What is a 3-month reserve?

Answer: C. 4,500 dollars

1,500 x 3 = 4,500.

- ✗ A. 1,500 dollars: one month
- ✗ B. 500 dollars: divided
- ✗ D. 3,000 dollars: two months

Arithmetic checked by code: yes. Sources: none (stable)

S55-M-Q3 · question page 1143

ENT.CASH.03 · Size and build a business cash reserve

How can a reserve be built gradually?

Answer: B. Move a percentage of each sale into savings

Small regular amounts add up.

- ✗ A. Wait until a big emergency happens, then start saving: too late
- ✗ C. Spend everything and hope: no reserve
- ✗ D. Borrow the full amount at once: adds debt

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q4 · question page 1144

ENT.CASH.03 · Size and build a business cash reserve

When should the reserve be used?

Answer: C. For slow months and surprises, then refilled

A reserve covers planned shortfalls and unexpected needs, and is refilled after.

✗ A. Never, not even in a real emergency: it exists to be used

✗ B. Only to pay the owner a yearly bonus: not its purpose

✗ D. For any purchase the owner happens to want: not its purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-M-Q5 · question page 1145

ENT.CASH.03 · Size and build a business cash reserve

What can happen without a reserve?

Answer: D. A surprise may force expensive borrowing

Reserves reduce risk.

✗ A. Nothing ever goes wrong for the business: not realistic

✗ B. Taxes disappear: no

✗ C. Profits always double: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-B1-Q1 · question page 1146

ENT.CASH.03 · Saving a percent until a goal

10 percent of 3,000 dollars is what?

Answer: A. 300 dollars

0.10 x 3,000 = 300.

✗ B. 30 dollars: moved too far

✗ C. 2,700 dollars: subtracted

✗ D. 3,300 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q2 · question page 1147

ENT.CASH.03 · Saving a percent until a goal

Saving 250 dollars a month, how long to reach 1,000 dollars?

Answer: D. 4 months

1,000 / 250 = 4.

- ✗ A. 3 months: too few
- ✗ B. 250 months: confused
- ✗ C. 40 months: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q3 · question page 1148

ENT.CASH.03 · Saving a percent until a goal

Saving 300 dollars a month, how long to reach 1,000 dollars, rounded up?

Answer: A. 4 months

1,000 / 300 = 3.33, up to 4.

- ✗ B. 5 months: too many
- ✗ C. 3 months: rounded down
- ✗ D. 3.3 months: not rounded

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q4 · question page 1149

ENT.CASH.03 · Saving a percent until a goal

5 percent of 4,000 dollars is what?

Answer: C. 200 dollars

0.05 x 4,000 = 200.

- ✗ A. 800 dollars: divided by 5
- ✗ B. 20 dollars: moved too far
- ✗ D. 4,005 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S55-B1-Q5 · question page 1150

ENT.CASH.03 · Saving a percent until a goal

Why round up the number of months?

Answer: A. A partial month does not reach the goal

Round up to fully reach the goal.

- ✗ B. Months cannot be counted: they can
- ✗ C. Rounding down is always better for savings goals: falls short
- ✗ D. It does not matter: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q1 · question page 1151

ENT.CASH.03 · Apply it: plan a reserve

A shop's essential costs are 2,000 dollars a month. It wants a 2-month reserve and saves 8 percent of 5,000 dollars of monthly sales. How many months to reach the goal?

Answer: D. 10 months

Goal 4,000; saving 400 a month; 10 months.

- ✗ A. 8 months: miscalculated
- ✗ B. 25 months: used 4 percent
- ✗ C. 5 months: used one month of costs

Arithmetic checked by code: yes. Sources: none (stable)

S55-F1-Q2 · question page 1152

ENT.CASH.03 · Apply it: plan a reserve

Which account fits a reserve best?

Answer: B. A separate business savings account

Separate and safe.

- ✗ A. A friend's account: not controlled
- ✗ C. The owner's personal checking account: mixed
- ✗ D. A shoebox under the counter: unsafe

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q3 · question page 1153

ENT.CASH.03 · Apply it: plan a reserve

The reserve target is 3,000 dollars. An oven repair uses 1,200 dollars of it. How much must be added to bring the reserve back to its target?

Answer: C. 1,200 dollars

1,800 remains; refill the 1,200 used.

- ✗ A. 3,000 dollars: full amount
- ✗ B. 4,200 dollars: added
- ✗ D. 1,800 dollars: what remains, not refill

Arithmetic checked by code: yes. Sources: none (stable)

S55-F1-Q4 · question page 1154

ENT.CASH.03 · Apply it: plan a reserve

A seasonal ice cream stand earns most money in summer. What does that suggest for its reserve?

Answer: A. Save more in summer to cover winter

Seasonal businesses need bigger buffers.

- ✗ B. Borrow every winter as a plan: costly
- ✗ C. Spend all summer income right away: risky
- ✗ D. Ignore winter costs: they continue

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F1-Q5 · question page 1155

ENT.CASH.03 · Apply it: plan a reserve

An owner uses the reserve to buy a new logo design. What is the problem?

Answer: D. It is not an emergency

Reserves are for emergencies.

- ✗ A. Reserves must never be used: they can be used for emergencies
- ✗ B. Logos are illegal: no
- ✗ C. There is no problem: misuse

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q1 · question page 1156

ENT.CASH.03 · Handle the complications: competing needs

An owner can either pay down a high-interest credit card or build a reserve. What is a balanced approach?

Answer: D. Build a small starter reserve, then focus on the debt

Balance protection and cost.

- ✗ A. Take on more debt: worse
- ✗ B. Ignore both: risky
- ✗ C. Spend on extras first and decide about debt later: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q2 · question page 1157

ENT.CASH.03 · Handle the complications: competing needs

Sales drop 30 percent for 2 months. Essential costs stay 2,000 dollars and income falls to 1,400 dollars. How much reserve is used over both months?

Answer: B. 1,200 dollars

(2,000 - 1,400) x 2 = 1,200.

✗ A. 600 dollars: one month

✗ C. 2,800 dollars: income

✗ D. 4,000 dollars: all costs

Arithmetic checked by code: yes. Sources: none (stable)

S55-F2-Q3 · question page 1158

ENT.CASH.03 · Handle the complications: competing needs

A business has a 6-month reserve but keeps adding to it while equipment is failing. What should it consider?

Answer: C. Whether part of the reserve should fund needed equipment

Reserves should match real needs.

✗ A. Never touching the reserve, even for needed equipment: may harm operations

✗ B. Closing the business: too extreme

✗ D. Selling the equipment: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q4 · question page 1159

ENT.CASH.03 · Handle the complications: competing needs

A reserve sits in an account the owner also uses for daily spending. What is the risk?

Answer: A. It gets spent without noticing

Keep it separate.

✗ B. It becomes taxable twice each year: no

✗ C. Nothing at all: mixing risk

✗ D. It grows faster: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S55-F2-Q5 · question page 1160

ENT.CASH.03 · Handle the complications: competing needs

Which statement is accurate?

Answer: D. The right reserve size depends on the business; months of expenses is a planning guide.

Tailor to risk.

- ✗ A. A reserve replaces insurance.: both help
- ✗ B. Every business needs exactly 3 months of expenses saved, no matter its risks or seasons.: not a rule
- ✗ C. Reserves are only for big companies.: all benefit

Arithmetic checked by code: not applicable. Sources: none (stable)

S56-M-Q1 · question page 1162

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

According to the passage, how much working capital did they start with?

Answer: A. 538 dollars

The passage gives 538 dollars.

- ✗ B. No money at all: they had 538 dollars
- ✗ C. 5,380 dollars: not the documented figure
- ✗ D. 53,800 dollars: not the documented figure

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q2 · question page 1163

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

What was their first product?

Answer: B. An audio oscillator for testing sound equipment

The HP 200A was an audio oscillator.

✗ A. A printer for offices: not their first product

✗ C. A home computer for families and schools: not their first product

✗ D. A film camera for studios: not their first product

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q3 · question page 1164

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

What did Walt Disney Studios do?

Answer: D. Asked for changes and ordered eight of the modified model

Disney ordered eight 200B units.

✗ A. Designed the product for HP: HP made the changes

✗ B. Refused to buy any product: they ordered

✗ C. Bought the whole company outright in its first year: not stated

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q4 · question page 1165

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

Which lesson does this course draw?

Answer: C. Solve a specific need and adapt to a serious customer

Adapting for a key customer is the lesson drawn.

✗ A. Only sell to the general public: they sold to professionals

✗ B. Never change a product, even for a serious customer: they did adapt

✗ D. Always start with a large investment: they started with little

Arithmetic checked by code: not applicable. Sources: case_hp

S56-M-Q5 · question page 1166

ENT.CASE.05 · Apply a documented early decision: solve a specific need and adapt for a key customer

Which statement about the HP case is accurate?

Answer: D. It shows one start, not a promise for every garage business.

One story teaches; it does not promise.

- ✗ A. It shows a big customer is never risky.: not stated
- ✗ B. It proves every business started in a garage will succeed.: one case proves nothing
- ✗ C. It shows capital never matters.: not the lesson

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q1 · question page 1167

ENT.CASE.05 · Facts versus the lesson

"They started with 538 dollars" is which part?

Answer: C. Documented history

It is a recorded fact.

- ✗ A. A rumor with no source: it is sourced
- ✗ B. The lesson drawn: interpretation
- ✗ D. A guarantee: not a promise

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q2 · question page 1168

ENT.CASE.05 · Facts versus the lesson

"Adapt to a serious customer's request" is which part?

Answer: D. The lesson drawn by the course

It is an interpretation.

- ✗ A. A legal rule for all businesses: no

✗ B. Documented history from HP: interpretation

✗ C. A tax fact: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q3 · question page 1169

ENT.CASE.05 · Facts versus the lesson

Does later fame prove each early step caused success?

Answer: D. No

Correlation is not proof.

✗ A. Only for HP: not proof

✗ B. Only in California: not proof

✗ C. Yes, always: not proof

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q4 · question page 1170

ENT.CASE.05 · Facts versus the lesson

Why keep facts and lessons separate?

Answer: A. So you know what is recorded and what is opinion

Clarity about evidence.

✗ B. Because facts never matter: they do

✗ C. Because lessons drawn from cases are always wrong: not always

✗ D. To confuse readers: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-B1-Q5 · question page 1171

ENT.CASE.05 · Facts versus the lesson

"Disney ordered eight units" is which part?

Answer: B. Documented history

It is recorded.

- ✗ A. The lesson drawn: it is a record
- ✗ C. A guess with no record: documented
- ✗ D. A promise: not a promise

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q1 · question page 1172

ENT.CASE.05 · Apply it: adapt for a serious customer

Lena makes a sound-testing app for audio studios. A large studio asks for two specific features and offers to buy 10 licenses. Applying the lesson, what fits?

Answer: D. Check the cost of the changes and consider adapting for the order

Adapt when a serious customer commits, after checking cost.

- ✗ A. Promise any feature without checking cost: risky
- ✗ B. Refuse the order, because a product must never change after launch: opposite of lesson
- ✗ C. Ignore the studio and target everyone: misses a real buyer

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q2 · question page 1173

ENT.CASE.05 · Apply it: adapt for a serious customer

Raj has 600 dollars to start. Which first step best follows the lesson?

Answer: C. Build a simple tool for one specific professional need

Start small and specific.

- ✗ A. Rent a large factory first: needs much capital
- ✗ B. Wait until he has saved 100,000 dollars before starting: the case started small

✗ D. Design ten products for everyone: unfocused

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q3 · question page 1174

ENT.CASE.05 · Apply it: adapt for a serious customer

A customer asks for changes that would cost 2,000 dollars, and offers an order worth 1,500 dollars of contribution. What does the math suggest?

Answer: A. The order alone does not cover the change

1,500 < 2,000.

✗ B. It is clearly profitable: costs more
✗ C. Costs do not matter: they do
✗ D. Accept the order and ignore the cost of changes: loses money

Arithmetic checked by code: yes. Sources: case_hp

S56-F1-Q4 · question page 1175

ENT.CASE.05 · Apply it: adapt for a serious customer

A customer's requested changes would cost 2,000 dollars, and that customer's order brings 1,500 dollars of contribution. What could make the change worthwhile?

Answer: C. Other customers also wanting the improved version

Wider demand can spread the cost.

✗ A. Never telling anyone: irrelevant
✗ B. A nicer logo: irrelevant
✗ D. Lowering the price of the studio's order further: worse

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F1-Q5 · question page 1176

ENT.CASE.05 · Apply it: adapt for a serious customer

Which detail is documented in the HP case and which is the course's lesson?

Answer: D. Eight units ordered is documented; "adapt for a key customer" is the lesson

Separate record from interpretation.

- ✗ A. The lesson is documented by HP; the eight-unit order is only a guess: reversed
- ✗ B. Both are guesses with no source: one is documented
- ✗ C. Both are documented quotes from the founders: the lesson is an interpretation

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q1 · question page 1177

ENT.CASE.05 · Handle the complications: depending on one big customer

A small maker gets 80 percent of its sales from one customer. What is the main risk?

Answer: B. Losing that customer would cut most sales

Concentration creates risk.

- ✗ A. Taxes will double: unrelated
- ✗ C. No risk at all, since one customer is simpler to serve: concentration risk
- ✗ D. Costs disappear: no

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q2 · question page 1178

ENT.CASE.05 · Handle the complications: depending on one big customer

A big customer asks for a custom version at a discount. What should the owner check?

Answer: A. Whether the price still covers costs and time

Check the math.

- ✗ B. Nothing; big orders are always good: not always
- ✗ C. Only whether the customer is famous in the industry: not enough

✗ D. Only the logo placement: irrelevant

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q3 · question page 1179

ENT.CASE.05 · Handle the complications: depending on one big customer

After adapting for one studio, the owner hopes others will buy. What should she do next?

Answer: C. Test whether other customers want the new version

Test before assuming.

✗ A. Assume all studios will buy: untested
✗ B. Raise prices tenfold: untested
✗ D. Stop selling the old version immediately to every customer: premature

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q4 · question page 1180

ENT.CASE.05 · Handle the complications: depending on one big customer

Someone says, "HP started in a garage, so I need a garage to succeed." What is wrong?

Answer: C. The location is a detail, not the cause

Do not copy surface details.

✗ A. HP never used a garage: it did
✗ B. Nothing; garages guarantee success: not true
✗ D. Garages are illegal for businesses: not true

Arithmetic checked by code: not applicable. Sources: case_hp

S56-F2-Q5 · question page 1181

ENT.CASE.05 · Handle the complications: depending on one big customer

Which statement is accurate?

Answer: A. The case shows one path; other businesses face different

conditions.

Learn the principle, not a promise.

- ✗ B. Every business should copy HP exactly.: not true
- ✗ C. Big customers never cause problems.: not true
- ✗ D. Starting with small capital guarantees that a business will succeed.: not true

Arithmetic checked by code: not applicable. Sources: case_hp

S57-M-Q1 · question page 1183

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

What is bookkeeping?

Answer: D. Recording every money event in the business

Bookkeeping records money events.

- ✗ A. Choosing which products to put on sale each week: that is merchandising
- ✗ B. Designing the shelves where the business keeps its books: a pun, not the meaning
- ✗ C. Writing a business plan for investors once a year: that is planning

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q2 · question page 1184

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

Which detail belongs on every record?

Answer: A. The date, amount, other party and purpose

Each record needs these details.

- ✗ B. The weather and the owner's mood on that day: not needed
- ✗ C. Only the amount, rounded to the nearest hundred: incomplete

✗ D. Only the customer's favorite product: not needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q3 · question page 1185

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

What does a receipt do?

Answer: B. Proves a transaction happened

Receipts are proof.

✗ A. Shows how many followers the business has online: unrelated
✗ C. Replaces the need to record the transaction at all: still record it
✗ D. Guarantees the expense will be tax deductible: not guaranteed

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q4 · question page 1186

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

Which is a reason to keep good records?

Answer: C. To see whether the business makes money

Records show results.

✗ A. To make the office look more organized to visitors: not the main reason
✗ B. Because records automatically lower all prices: not true
✗ D. Because records replace the need for a bank account: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-M-Q5 · question page 1187

ENT.BOOK.01 · Explain why records and receipts matter and what each record needs

When is the best time to record a transaction?

Answer: A. Soon after it happens

Prompt records are accurate.

- ✗ B. Never, if the amount is under 100 dollars: small amounts add up
- ✗ C. Once a year, from memory, just before taxes are due: unreliable
- ✗ D. Only when a tax agency asks a question about it: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q1 · question page 1188

ENT.BOOK.01 · A diary for money

Bookkeeping is like a diary about what?

Answer: B. Money

A money diary.

- ✗ A. Weather: not money
- ✗ C. Favorite songs: not money
- ✗ D. Sports scores: not money

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q2 · question page 1189

ENT.BOOK.01 · A diary for money

A receipt is like what in the diary picture?

Answer: D. A photo that proves the entry

Receipts prove entries.

- ✗ A. A torn page: not proof
- ✗ B. A blank page in the diary: no proof
- ✗ C. A pen: a tool, not proof

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q3 · question page 1190

ENT.BOOK.01 · A diary for money

Which is a complete entry?

Answer: B. "May 3, paid 42 dollars to Paper Plus for boxes"

When, how much, with whom, why.

- ✗ A. "Boxes": missing details
- ✗ C. "Spent some money at a store this week on things": missing details
- ✗ D. "42": missing details

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q4 · question page 1191

ENT.BOOK.01 · A diary for money

What happens if the diary is skipped for months?

Answer: C. You forget what payments were for

Records must be timely.

- ✗ A. Nothing changes at all: memory fades
- ✗ B. Taxes disappear: no
- ✗ D. Your money doubles by itself: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-B1-Q5 · question page 1192

ENT.BOOK.01 · A diary for money

Why can someone else check a diary with photos?

Answer: C. The photos are proof

Proof allows checking.

- ✗ A. Photos hide mistakes: opposite
- ✗ B. Photos are pretty: not the reason

✗ D. Photos replace numbers: they support numbers

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q1 · question page 1193

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Sam writes "supplies 85" on a sticky note with no date or store. What should he add?

Answer: A. The date, store and what was bought

Complete records need details.

✗ B. Nothing, because the amount is enough by itself: incomplete
✗ C. A smiley face to show it was a good purchase: not useful
✗ D. The total of all his personal spending this month: not this record

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q2 · question page 1194

ENT.BOOK.01 · Apply it: improve a record-keeping habit

A seller keeps receipts in a shoebox but records nothing for a year. What is the main problem?

Answer: C. Rebuilding the records will be slow and error-prone

Prompt recording is better.

✗ A. Receipts expire after one month and become invalid: not true
✗ B. Shoeboxes are illegal for storing receipts: not illegal
✗ D. There is no problem as long as the receipts exist: records are still missing

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q3 · question page 1195

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Monthly records show sales of 3,400 dollars and expenses of 3,650 dollars. What do they reveal?

Answer: B. A loss of 250 dollars

3,400 - 3,650 = -250.

- ✗ A. A profit of 7,050 dollars for the month: added
- ✗ C. Nothing useful about the business at all: they reveal a loss
- ✗ D. A profit of 250 dollars for the month: wrong sign

Arithmetic checked by code: yes. Sources: none (stable)

S57-F1-Q4 · question page 1196

ENT.BOOK.01 · Apply it: improve a record-keeping habit

Which habit makes receipts easier to keep?

Answer: A. Photographing each receipt the day you get it

Same-day photos protect records.

- ✗ B. Throwing receipts away once the item is used up: loses proof
- ✗ C. Asking stores never to give receipts at all: loses proof
- ✗ D. Keeping receipts only for purchases over 1,000 dollars: loses many

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F1-Q5 · question page 1197

ENT.BOOK.01 · Apply it: improve a record-keeping habit

A lender asks for a year of income records. Which owner is ready?

Answer: D. One with monthly records and receipts

Complete records support applications.

- ✗ A. One with only a bank card and no statements: incomplete
- ✗ B. One who remembers roughly what she earned last year: not proof
- ✗ C. One who kept records only for the first month: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q1 · question page 1198

ENT.BOOK.01 · Handle the complications: missing proof and messy records

A receipt for a 60-dollar business purchase is lost. What is a sensible step?

Answer: A. Use the bank or card statement and note what it was for

Statements can support the record.

- ✗ B. Delete the purchase from the records entirely: records become wrong
- ✗ C. Make up a new receipt that looks like the old one: false record
- ✗ D. Record it as twice the amount to be safe: false record

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q2 · question page 1199

ENT.BOOK.01 · Handle the complications: missing proof and messy records

An owner finds cash sales missing from records because they were never written down. What fix helps most?

Answer: D. Record every cash sale at the time with a simple log

Cash needs its own same-day record.

- ✗ A. Only record card sales from now on: still missing cash
- ✗ B. Guess the total of cash sales at the end of each year: unreliable
- ✗ C. Stop accepting cash from any customers: not necessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q3 · question page 1200

ENT.BOOK.01 · Handle the complications: missing proof and messy records

Records show 12 payments to an unknown vendor. What might that reveal?

Answer: C. An error or possible fraud to investigate

Records help catch problems.

✗ A. Nothing; unknown vendors are always fine to ignore: risky
✗ B. That the bank account should be closed today: too early
✗ D. A guaranteed tax refund for the business: not related

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q4 · question page 1201

ENT.BOOK.01 · Handle the complications: missing proof and messy records

A tax agency asks about a deduction from two years ago. What helps the owner answer?

Answer: B. Kept receipts and records for that year

Kept records support answers.

✗ A. A memory of roughly how much she spent: not proof
✗ C. A new receipt printed today for that year: not genuine
✗ D. A screenshot of a competitor's website: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S57-F2-Q5 · question page 1202

ENT.BOOK.01 · Handle the complications: missing proof and messy records

Which statement is accurate?

Answer: D. Good records are proof; memory alone is not.

Records make claims checkable.

✗ A. Receipts are only useful on the day of purchase.: they matter later
✗ B. Records are only needed by large companies with staff.: all need them
✗ C. Bookkeeping means only counting cash once a year.: too narrow

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q1 · question page 1204

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

What is a ledger?

Answer: B. A list of every transaction with columns

A ledger records transactions.

- ✗ A. A bank's yearly report on interest rates: not a ledger
- ✗ C. A promotional flyer that lists product prices: not a ledger
- ✗ D. A legal agreement among the owners of an LLC: that is an operating agreement

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q2 · question page 1205

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Which category fits "paid 35 dollars for postage on orders"?

Answer: C. Shipping

Postage on orders is shipping.

- ✗ A. Rent for the workspace: not rent
- ✗ B. Owner draws taken for personal use: not shipping
- ✗ D. Sales from customers: money out, not in

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q3 · question page 1206

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Start 500, a sale of 200, supplies of 80. What is the balance?

Answer: A. 620

500 + 200 - 80 = 620.

- ✗ B. 780: added both
- ✗ C. 380: subtracted both
- ✗ D. 220: subtracted from the sale

Arithmetic checked by code: yes. Sources: none (stable)

S58-M-Q4 · question page 1207

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Why use consistent categories?

Answer: D. To total each type and spot trends

Consistency enables totals.

- ✗ A. To make the ledger look longer and more impressive: not the purpose
- ✗ B. Because each transaction needs a brand-new category: opposite
- ✗ C. To avoid writing the amount of each transaction: amounts still needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-M-Q5 · question page 1208

ENT.BOOK.02 · Keep a simple categorized ledger and running balance

Which tool can hold a simple ledger?

Answer: A. A spreadsheet

Spreadsheets or software work.

- ✗ B. A product photo: not a record tool
- ✗ C. A paper coffee cup: not a record tool
- ✗ D. A billboard: not a record tool

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-B1-Q1 · question page 1209

ENT.BOOK.02 · Keeping a running balance

Start 200, then +50. What is the balance?

Answer: B. 250

200 + 50 = 250.

✗ A. 150: subtracted

✗ C. 200: not changed

✗ D. 50: only the change

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q2 · question page 1210

ENT.BOOK.02 · Keeping a running balance

Start 250, then -70. What is the balance?

Answer: C. 180

250 - 70 = 180.

✗ A. 170: arithmetic slip

✗ B. 70: only the change

✗ D. 320: added

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q3 · question page 1211

ENT.BOOK.02 · Keeping a running balance

Start 100; +40; -25; +10. What is the balance?

Answer: B. 125

100 + 40 - 25 + 10 = 125.

✗ A. 175: added all

✗ C. 115: missed +10

✗ D. 75: subtracted all

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q4 · question page 1212

ENT.BOOK.02 · Keeping a running balance

Opening 400, total in 300, total out 250. What is the closing balance?

Answer: D. 450

400 + 300 - 250 = 450.

- ✗ A. 950: added all
- ✗ B. 350: subtracted in
- ✗ C. 50: only in minus out

Arithmetic checked by code: yes. Sources: none (stable)

S58-B1-Q5 · question page 1213

ENT.BOOK.02 · Keeping a running balance

Money spent on supplies is added or subtracted?

Answer: C. Subtracted

Money out is subtracted.

- ✗ A. Added: it goes out
- ✗ B. Ignored completely: it counts
- ✗ D. Doubled: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F1-Q1 · question page 1214

ENT.BOOK.02 · Apply it: record and total a week

A week: sales 120, 90, 150; supplies 45; shipping 30. What is the total of sales?

Answer: A. 360

120 + 90 + 150 = 360.

- ✗ B. 435: added costs
- ✗ C. 270: missed a sale
- ✗ D. 285: subtracted costs

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q2 · question page 1215

ENT.BOOK.02 · Apply it: record and total a week

A week: sales 120, 90 and 150; supplies 45; shipping 30. What is sales minus supplies and shipping?

Answer: C. 285

360 - 75 = 285.

- ✗ A. 435: added
- ✗ B. 75: costs only
- ✗ D. 360: sales only

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q3 · question page 1216

ENT.BOOK.02 · Apply it: record and total a week

Which entry is categorized well?

Answer: D. "Jun 4 | Ad on local site | Advertising | out 25"

Complete and correct.

- ✗ A. "Stuff | 25" with no date or category given: incomplete
- ✗ B. "Something online, maybe 25, maybe 30": vague
- ✗ C. "Jun 4 | Ad | Sales | in 25" for money paid out: wrong category and direction

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F1-Q4 · question page 1217

ENT.BOOK.02 · Apply it: record and total a week

Shipping was 80 dollars in March and 140 dollars in April with the same sales. What does the category total reveal?

Answer: A. Shipping costs rose and should be checked

Category totals show trends.

- ✗ B. Sales doubled in April: sales were the same
- ✗ C. Nothing; categories never reveal trends: they do
- ✗ D. Rent was paid twice: not shown

Arithmetic checked by code: yes. Sources: none (stable)

S58-F1-Q5 · question page 1218

ENT.BOOK.02 · Apply it: record and total a week

A payment to the owner's personal account is categorized as "supplies." What is wrong?

Answer: B. It should be categorized as an owner draw

Use the right category.

- ✗ A. It should be deleted from the ledger: it happened
- ✗ C. It should be categorized as sales revenue: money out, not revenue
- ✗ D. Nothing, because all money out is supplies: wrong category

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F2-Q1 · question page 1219

ENT.BOOK.02 · Handle the complications: mixed and split transactions

One store receipt has 60 dollars of business supplies and 20 dollars of personal snacks paid on the business card. How should it be recorded?

Answer: D. Supplies 60 and an owner draw of 20

Split the transaction.

- ✗ A. Supplies 80, since it was one receipt: mixes personal
- ✗ B. Sales 80, since the card was used: not sales
- ✗ C. Ignore it, since it was a mixed purchase: records become wrong

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q2 · question page 1220

ENT.BOOK.02 · Handle the complications: mixed and split transactions

An owner changes category names every month. What problem results?

Answer: A. Totals cannot be compared from month to month

Consistency matters.

- ✗ B. The ledger becomes more accurate each month: less comparable
- ✗ C. Nothing; names never matter: they matter
- ✗ D. Taxes are automatically reduced: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S58-F2-Q3 · question page 1221

ENT.BOOK.02 · Handle the complications: mixed and split transactions

The ledger balance is 1,240 but the bank shows 1,190, and a 50-dollar fee is missing from the ledger. What should happen?

Answer: C. Add the 50-dollar fee to the ledger

1,240 - 50 = 1,190.

- ✗ A. Change the bank balance to match the ledger: cannot
- ✗ B. Delete a sale worth 50 dollars: false
- ✗ D. Ignore the 50-dollar difference forever: records wrong

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q4 · question page 1222

ENT.BOOK.02 · Handle the complications: mixed and split transactions

A refund to a customer of 30 dollars is recorded as a new sale of 30 dollars. What is the effect?

Answer: B. Sales are overstated by 60 dollars

It should be -30; recording +30 is off by 60.

✗ A. Sales are overstated by 30 dollars only: counted both ways

✗ C. Sales are understated by 30 dollars: wrong direction

✗ D. There is no effect on sales: there is

Arithmetic checked by code: yes. Sources: none (stable)

S58-F2-Q5 · question page 1223

ENT.BOOK.02 · Handle the complications: mixed and split transactions

Which statement is accurate?

Answer: C. Clear, consistent categories make records useful.

Categories turn data into information.

✗ A. Any random category is fine as long as amounts are right.: categories matter

✗ B. Ledgers are needed only for businesses with employees.: all benefit

✗ D. A ledger replaces the need for receipts.: both needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q1 · question page 1225

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Money customers owe you is called what?

Answer: A. Accounts receivable

Receivables are owed to you.

✗ B. Retained cash in savings: not owed

✗ C. Owner contributions to the business: not owed by customers

✗ D. Accounts payable owed to suppliers: money you owe

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q2 · question page 1226

ENT.BOOK.03 · Track invoices and bills as receivables and payables

A supplier's bill you have not paid yet is what?

Answer: D. Accounts payable

Payables are what you owe.

- ✗ A. Accounts receivable from customers: owed to you
- ✗ B. An owner draw for personal use: not a bill
- ✗ C. Revenue earned from sales: not a bill

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q3 · question page 1227

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Which item should appear on an invoice?

Answer: B. An invoice number and due date

Numbers and dates help tracking.

- ✗ A. A list of the owner's other customers: private
- ✗ C. The supplier's cost for the materials: not needed
- ✗ D. The owner's personal bank password: never share

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-M-Q4 · question page 1228

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Receivables total 2,400 dollars and payables total 1,100 dollars. What is the difference?

Answer: A. 1,300 dollars

2,400 - 1,100 = 1,300.

- ✗ B. 1,100 dollars: payables only
- ✗ C. 3,500 dollars: added
- ✗ D. 2,400 dollars: receivables only

Arithmetic checked by code: yes. Sources: none (stable)

S59-M-Q5 · question page 1229

ENT.BOOK.03 · Track invoices and bills as receivables and payables

Why pay supplier bills on time?

Answer: D. It protects your reputation with suppliers

Reliability builds trust.

- ✗ A. It removes the need for any records: still record
- ✗ B. It guarantees customers will pay you sooner: not linked
- ✗ C. It doubles your sales the next month: not linked

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q1 · question page 1230

ENT.BOOK.03 · IOUs going two ways

A customer who has not paid your invoice holds an IOU to whom?

Answer: C. To you

It is a receivable.

- ✗ A. To the supplier: no
- ✗ B. To the bank: no
- ✗ D. To nobody: they owe you

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q2 · question page 1231

ENT.BOOK.03 · IOUs going two ways

A supplier bill means you owe whom?

Answer: B. The supplier

It is a payable.

✗ A. Yourself: no

✗ C. The state: not this bill

✗ D. The customer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q3 · question page 1232

ENT.BOOK.03 · IOUs going two ways

"Owed to me" is which list?

Answer: C. Receivables

Receivables are owed to you.

✗ A. Draws: no

✗ B. Expenses for the month: not a list of owed money

✗ D. Payables: I owe

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q4 · question page 1233

ENT.BOOK.03 · IOUs going two ways

"I owe" is which list?

Answer: D. Payables

Payables are what you owe.

✗ A. Sales: no

✗ B. Assets: no

✗ C. Receivables: owed to me

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-B1-Q5 · question page 1234

ENT.BOOK.03 · IOUs going two ways

Why keep two lists?

Answer: D. So neither kind of IOU is forgotten

Tracking both prevents misses.

- ✗ A. To avoid paying: no
- ✗ B. Because keeping only one list is illegal: no
- ✗ C. To confuse the owner: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F1-Q1 · question page 1235

ENT.BOOK.03 · Apply it: manage the two lists

Invoice 104 for 600 dollars was paid; invoice 105 for 450 dollars is unpaid; invoice 106 for 300 dollars is unpaid. What are receivables?

Answer: B. 750 dollars

450 + 300 = 750.

- ✗ A. 300 dollars: only one
- ✗ C. 600 dollars: the paid one
- ✗ D. 1,350 dollars: included the paid one

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q2 · question page 1236

ENT.BOOK.03 · Apply it: manage the two lists

A supplier bill of 400 dollars is due in 5 days. Cash is 300 dollars and a 500-dollar receivable is due in 10 days. What is the best action?

Answer: C. Ask the supplier about timing before the due date

Early communication helps.

- ✗ A. Cancel the customer invoice: loses money
- ✗ B. Ignore the bill and say nothing: harms trust

✗ D. Pay 300 dollars and claim it was full payment: dishonest

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q3 · question page 1237

ENT.BOOK.03 · Apply it: manage the two lists

Which invoice is missing something important?

Answer: A. One with no due date or payment method

Due date and method are key.

✗ B. One showing the customer and business names and an amount and due date: mostly complete

✗ C. One with a number, date, items, amount, due date and method: complete

✗ D. One listing the work, total and how to pay by a due date: mostly complete

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F1-Q4 · question page 1238

ENT.BOOK.03 · Apply it: manage the two lists

A business owes three bills: 120, 85 and 240 dollars. What are payables?

Answer: D. 445 dollars

120 + 85 + 240 = 445.

✗ A. 325 dollars: missed one

✗ B. 205 dollars: missed one

✗ C. 360 dollars: missed one

Arithmetic checked by code: yes. Sources: none (stable)

S59-F1-Q5 · question page 1239

ENT.BOOK.03 · Apply it: manage the two lists

Why number invoices in order?

Answer: B. To track each one and spot missing invoices

Numbering supports tracking.

- ✗ A. Because customers prefer large numbers on bills: not the reason
- ✗ C. To change the amount owed later: not allowed
- ✗ D. To make each invoice look official only: not the main reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q1 · question page 1240

ENT.BOOK.03 · Handle the complications: disputes and duplicates

A customer says an invoice was never received. What should the owner do?

Answer: B. Resend it and confirm the correct address

Resending is the simple fix.

- ✗ A. Send the same invoice to all customers: wrong
- ✗ C. Double the amount as a penalty right away: unfair
- ✗ D. Write it off without asking anything: loses money

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q2 · question page 1241

ENT.BOOK.03 · Handle the complications: disputes and duplicates

An owner paid the same supplier bill twice. What should she do?

Answer: A. Ask the supplier for a refund or credit

Recover the duplicate payment.

- ✗ B. Record it as a sale: not a sale
- ✗ C. Stop buying from that supplier forever: overreaction
- ✗ D. Ignore it because the supplier will notice: may not

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q3 · question page 1242

ENT.BOOK.03 · Handle the complications: disputes and duplicates

A customer disputes part of an invoice: 200 of 1,000 dollars. What is undisputed?

Answer: C. 800 dollars

1,000 - 200 = 800.

- ✗ A. 1,200 dollars: added
- ✗ B. 200 dollars: disputed part
- ✗ D. 1,000 dollars: all

Arithmetic checked by code: yes. Sources: none (stable)

S59-F2-Q4 · question page 1243

ENT.BOOK.03 · Handle the complications: disputes and duplicates

Receivables are large but cash is low. What does this suggest?

Answer: D. Collecting from customers is the priority

Collection brings in cash.

- ✗ A. Payables should be ignored: still owed
- ✗ B. The business has no customers at all: not true
- ✗ C. Prices should be cut immediately: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S59-F2-Q5 · question page 1244

ENT.BOOK.03 · Handle the complications: disputes and duplicates

Which statement is accurate?

Answer: A. Receivables are money not yet in hand.

Owed money is not cash.

✗ B. Receivables can be spent today like cash.: not cash yet

✗ C. Payables are money customers owe.: reversed

✗ D. Invoices are optional for all businesses.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q1 · question page 1246

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

An owner puts 1,000 dollars into the business. Is it sales revenue?

Answer: D. No, it is an owner contribution

Contributions are equity, not revenue.

✗ A. Yes, but only if it is spent the same day: still not sales

✗ B. No, it is a business expense instead: not an expense

✗ C. Yes, it counts as sales for that month: not from customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q2 · question page 1247

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

What does an owner draw do to owner's equity?

Answer: B. Decreases it

Draws reduce equity.

✗ A. Leaves it exactly unchanged: it decreases

✗ C. Turns it into revenue: not revenue

✗ D. Increases it each time: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q3 · question page 1248

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

If a 1,000-dollar contribution is recorded as a sale, what happens to profit?

Answer: C. It looks 1,000 dollars too high

Mislabeling inflates profit.

- ✗ A. It looks 2,000 dollars too high: counted once
- ✗ B. It looks 1,000 dollars too low: wrong direction
- ✗ D. It looks exactly right: distorted

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q4 · question page 1249

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

How is a loan from the owner recorded?

Answer: A. As money the business owes back

Loans are liabilities.

- ✗ B. As sales revenue for the month: not revenue
- ✗ C. As a supply expense: not an expense
- ✗ D. As an owner draw for personal use: opposite direction

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-M-Q5 · question page 1250

ENT.BOOK.04 · Record owner contributions, draws and loans without distorting profit

A draw recorded as an expense does what to profit?

Answer: B. Makes it look too low

Expenses reduce profit.

- ✗ A. Makes it look too high: opposite
- ✗ C. Doubles it: no
- ✗ D. Has no effect on profit at all: it lowers profit

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q1 · question page 1251

ENT.BOOK.04 · Money moving in the family versus money from customers

Grandma's loan to the bakery is what?

Answer: A. Family money moving in, not a sale

It is not revenue.

- ✗ B. A flour expense for the cakes: not a cost
- ✗ C. A tax: no
- ✗ D. A cake sale: not from customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q2 · question page 1252

ENT.BOOK.04 · Money moving in the family versus money from customers

The baker taking money home is what?

Answer: B. Family money moving out, not an expense

It is a draw.

- ✗ A. A cake sale: no
- ✗ C. The cost of flour for the week's cakes: not a cost
- ✗ D. A loan: not this

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q3 · question page 1253

ENT.BOOK.04 · Money moving in the family versus money from customers

What counts as revenue?

Answer: B. Cake sales

Only customer sales.

✗ A. Grandma's loan: no

✗ C. A gift: no

✗ D. Money taken home: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q4 · question page 1254

ENT.BOOK.04 · Money moving in the family versus money from customers

What counts as an expense?

Answer: A. Flour for the cakes

Business costs only.

✗ B. Cake sales: revenue

✗ C. Grandma's loan: liability

✗ D. Money taken home: draw

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-B1-Q5 · question page 1255

ENT.BOOK.04 · Money moving in the family versus money from customers

Mixing family moves with sales gives what?

Answer: D. A false picture

Mislabeling distorts results.

✗ A. A true picture: no

✗ B. More money: no

✗ C. Lower taxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F1-Q1 · question page 1256

ENT.BOOK.04 · Apply it: correct the labels

Records show sales of 5,000 dollars, including a 1,500-dollar owner contribution. Expenses are 3,000 dollars. What is the true profit?

Answer: C. 500 dollars

(5,000 - 1,500) - 3,000 = 500.

- ✗ A. 3,500 dollars: sales only
- ✗ B. 1,500 dollars: contribution only
- ✗ D. 2,000 dollars: included contribution

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q2 · question page 1257

ENT.BOOK.04 · Apply it: correct the labels

Expenses of 4,200 dollars include 1,200 dollars of owner draws. Sales are 6,000 dollars. What is the true profit for a sole proprietor?

Answer: A. 3,000 dollars

6,000 - (4,200 - 1,200) = 3,000.

- ✗ B. 4,200 dollars: expenses only
- ✗ C. 1,800 dollars: kept draws as expense
- ✗ D. 6,000 dollars: sales only

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q3 · question page 1258

ENT.BOOK.04 · Apply it: correct the labels

An owner lends 2,000 dollars and the business repays 500 dollars. What does the business still owe her?

Answer: C. 1,500 dollars

2,000 - 500 = 1,500.

- ✗ A. 2,500 dollars: added

✗ B. 500 dollars: repaid amount

✗ D. 2,000 dollars: ignored repayment

Arithmetic checked by code: yes. Sources: none (stable)

S60-F1-Q4 · question page 1259

ENT.BOOK.04 · Apply it: correct the labels

Which label fits "moved 300 dollars from my savings to buy a printer for the shop"?

Answer: B. Owner contribution

Money in from the owner.

✗ A. Refund to a customer: not a refund

✗ C. Owner draw for personal use: money in, not out

✗ D. Sales revenue from customers: not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F1-Q5 · question page 1260

ENT.BOOK.04 · Apply it: correct the labels

Why does correct labeling matter for a loan application?

Answer: D. Lenders look at true profit

Accurate profit supports applications.

✗ A. Labels change the bank's interest rate directly: not directly

✗ B. Lenders ignore records: they review them

✗ C. Labels are only for taxes: also lending

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q1 · question page 1261

ENT.BOOK.04 · Handle the complications: unclear transfers

An owner moved 800 dollars into the business without saying whether it was a loan or a contribution. What should she do?

Answer: D. Decide and document which it is

Documentation removes doubt.

- ✗ A. Record it as sales to be safe: wrong
- ✗ B. Leave it unlabeled forever: unclear
- ✗ C. Record it as an expense: wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q2 · question page 1262

ENT.BOOK.04 · Handle the complications: unclear transfers

Two partners contribute 1,000 and 3,000 dollars. They agreed contributions affect ownership. What share did the first partner contribute?

Answer: B. 25 percent

1,000 / 4,000 = 0.25.

- ✗ A. 33 percent: used 1,000 / 3,000
- ✗ C. 50 percent: equal split
- ✗ D. 75 percent: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S60-F2-Q3 · question page 1263

ENT.BOOK.04 · Handle the complications: unclear transfers

A corporation pays its owner-employee a salary through payroll. How does this differ from a sole proprietor's draw?

Answer: C. Salary through payroll is usually a business expense

Structure changes the treatment; ask a tax professional.

- ✗ A. It is exactly the same as a draw: structure matters
- ✗ B. It is recorded as sales: not sales
- ✗ D. Salaries are never allowed for owners of any business: they are for corporations

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q4 · question page 1264

ENT.BOOK.04 · Handle the complications: unclear transfers

For the year, an owner's draws exceed the business's profit, with no new owner contributions or other equity changes. What happens to owner's equity?

Answer: A. It goes down

Taking more than profit reduces equity.

- ✗ B. It becomes revenue: not revenue
- ✗ C. It goes up: opposite
- ✗ D. It stays the same: it changes

Arithmetic checked by code: not applicable. Sources: none (stable)

S60-F2-Q5 · question page 1265

ENT.BOOK.04 · Handle the complications: unclear transfers

Which statement is accurate?

Answer: A. Owner money moves are recorded, but not as sales or (for draws) expenses.

Correct labels keep profit honest.

- ✗ B. Draws are always deductible expenses.: not for sole props
- ✗ C. Owner money never needs to be recorded at all, since it is the owner's own money.: must be recorded
- ✗ D. All owner money is revenue.: not revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q1 · question page 1267

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Under cash basis, when is income recorded?

Answer: A. When money is received

Cash basis follows money in.

- ✗ B. When the invoice is designed in software: not received
- ✗ C. When the customer first asks for a quote: too early
- ✗ D. When the work is advertised online: not income

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q2 · question page 1268

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Under accrual basis, when is income recorded?

Answer: D. When it is earned

Accrual follows earning.

- ✗ A. Only when the owner takes a draw: unrelated
- ✗ B. Only when cash arrives in the bank: that is cash
- ✗ C. Only at the end of each tax year: not the rule

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q3 · question page 1269

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Work done in December, paid in January. Under accrual, which month gets the income?

Answer: B. December

Earned in December.

- ✗ A. January: cash basis
- ✗ C. Neither month: it counts
- ✗ D. Both months equally: not split

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q4 · question page 1270

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Same job under cash basis: which month?

Answer: D. January

Received in January.

- ✗ A. Both months: not split
- ✗ B. December: accrual
- ✗ C. Neither month: it counts

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-M-Q5 · question page 1271

ENT.BOOK.05 · Tell cash basis from accrual basis with a timing example

Who should be asked about which method a business may use for taxes?

Answer: C. A tax professional

Tax method rules vary.

- ✗ A. A social media follower: not qualified
- ✗ B. The supplier of packaging: not qualified
- ✗ D. A customer who likes the products: not qualified

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q1 · question page 1272

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Counting when you finish the work is like which basis?

Answer: A. Accrual

Accrual counts when earned.

✗ B. Neither: accrual

✗ C. Cash: when payment arrives

✗ D. Both: just one

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q2 · question page 1273

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Counting when the grade comes back is like which basis?

Answer: B. Cash

Cash counts when money arrives.

✗ A. Both: just one

✗ C. Neither: cash

✗ D. Accrual: when earned

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q3 · question page 1274

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Does the amount of work change between methods?

Answer: A. No, only the timing

Only timing differs.

✗ B. Yes, it halves: no

✗ C. Yes, it doubles: no

✗ D. Yes, it disappears: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q4 · question page 1275

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

In the picture, the "grade coming back" stands for what?

Answer: C. Money received

Cash basis waits for money.

- ✗ A. Work finished: accrual
- ✗ B. A late fee: no
- ✗ D. A new assignment: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-B1-Q5 · question page 1276

ENT.BOOK.05 · Counting when you hand in homework versus when it is graded

Why might the same job land in different months?

Answer: D. The two methods use different moments

Different timing rules.

- ✗ A. The job changed: no
- ✗ B. One is illegal: no
- ✗ C. Customers decide the month to use: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q1 · question page 1277

ENT.BOOK.05 · Apply it: place income and expenses in the right month

A plumber finishes a 900-dollar job on March 28 and is paid April 5. Under cash basis, how much March income does this job add?

Answer: D. 0 dollars

Cash basis records April.

- ✗ A. 900 dollars: accrual
- ✗ B. 5 dollars: confused date
- ✗ C. 450 dollars: split

Arithmetic checked by code: yes. Sources: none (stable)

S61-F1-Q2 · question page 1278

ENT.BOOK.05 · Apply it: place income and expenses in the right month

A shop receives a 300-dollar supply bill in June and pays it in July. Under accrual, when is the expense?

Answer: C. June

Incurred in June.

- ✗ A. Never: it counts
- ✗ B. August: neither
- ✗ D. July: cash basis

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q3 · question page 1279

ENT.BOOK.05 · Apply it: place income and expenses in the right month

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under cash basis, May income is?

Answer: B. 2,500 dollars

Only cash received counts.

- ✗ A. 1,500 dollars: unpaid part
- ✗ C. 6,500 dollars: added
- ✗ D. 4,000 dollars: accrual

Arithmetic checked by code: yes. Sources: none (stable)

S61-F1-Q4 · question page 1280

ENT.BOOK.05 · Apply it: place income and expenses in the right month

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under accrual, May income is?

Answer: A. 4,000 dollars

All earned work counts.

- ✗ B. 2,500 dollars: cash
- ✗ C. 0 dollars: it was earned
- ✗ D. 1,500 dollars: unpaid

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F1-Q5 · question page 1281

ENT.BOOK.05 · Apply it: place income and expenses in the right month

Which method shows more clearly how much work was done each month?

Answer: D. Accrual

Accrual matches income to work.

- ✗ A. Both always match: not always
- ✗ B. Cash: follows payments
- ✗ C. Neither method: accrual does

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q1 · question page 1282

ENT.BOOK.05 · Handle the complications: switching and mixing methods

An owner records some income when invoiced and some when paid. What is the problem?

Answer: D. Income may be counted twice or missed

Pick one method consistently.

- ✗ A. It makes records more accurate: less
- ✗ B. Taxes are automatically lower: no
- ✗ C. Nothing; mixing methods is recommended: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q2 · question page 1283

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Under cash basis, an owner prepays 12 months of insurance (1,200 dollars) in January. What does January show?

Answer: C. 1,200 dollars of expense

Cash basis records it when paid.

- ✗ A. 100 dollars of expense: accrual-style spreading
- ✗ B. 2,400 dollars of expense: doubled
- ✗ D. 0 dollars of expense: it was paid

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q3 · question page 1284

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Under accrual, the same 1,200-dollar insurance covers 12 months. About how much is recorded as each month's expense?

Answer: A. 100 dollars

1,200 / 12 = 100.

- ✗ B. 1,200 dollars: all at once
- ✗ C. 0 dollars: it is used
- ✗ D. 12 dollars: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S61-F2-Q4 · question page 1285

ENT.BOOK.05 · Handle the complications: switching and mixing methods

A business wants to change its tax accounting method. What should it do first?

Answer: B. Ask a tax professional about the rules

Method changes can have rules.

✗ A. Change it silently in the middle of the year: may cause problems

✗ C. Ask a customer: not qualified

✗ D. Use both methods at once: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S61-F2-Q5 · question page 1286

ENT.BOOK.05 · Handle the complications: switching and mixing methods

Which statement is accurate?

Answer: D. Cash and accrual differ in timing, not in total amounts over time.

Timing is the difference.

✗ A. Accrual ignores unpaid invoices.: it includes them

✗ B. Accrual always shows more profit.: not always

✗ C. Cash basis is illegal for every kind of business to use.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q1 · question page 1288

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report shows profit over a month?

Answer: C. The profit and loss statement

The P&L shows profit.

✗ A. The balance sheet on one date: snapshot, not profit

✗ B. The cash flow statement only: cash movement

✗ D. The supplier's price list: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q2 · question page 1289

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report shows what the business owns and owes on one date?

Answer: D. The balance sheet

The balance sheet is a snapshot.

- ✗ A. A marketing plan for the year: not a report
- ✗ B. The cash flow statement: cash movement
- ✗ C. The profit and loss statement: over a period

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q3 · question page 1290

ENT.BOOK.06 · Read the three basic reports and match each to its question

Assets are 10,000 dollars and liabilities are 4,000 dollars. What is equity?

Answer: B. 6,000 dollars

10,000 - 4,000 = 6,000.

- ✗ A. 14,000 dollars: added
- ✗ C. 10,000 dollars: assets
- ✗ D. 4,000 dollars: liabilities

Arithmetic checked by code: yes. Sources: none (stable)

S62-M-Q4 · question page 1291

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which is a liability?

Answer: A. An unpaid bank loan

Liabilities are amounts owed.

- ✗ B. Inventory on shelves: asset
- ✗ C. A delivery van owned: asset
- ✗ D. Cash in the business account: asset

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-M-Q5 · question page 1292

ENT.BOOK.06 · Read the three basic reports and match each to its question

Which report best shows where cash came from and went?

Answer: B. The cash flow statement

Cash flow tracks cash movement.

- ✗ A. A customer review page: not a report
- ✗ C. The profit and loss statement: profit, not cash
- ✗ D. The balance sheet: snapshot

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-B1-Q1 · question page 1293

ENT.BOOK.06 · Using assets = liabilities + equity

Liabilities 2,000, equity 7,000. What are assets?

Answer: D. 9,000

2,000 + 7,000 = 9,000.

- ✗ A. 7,000: equity
- ✗ B. 2,000: liabilities
- ✗ C. 5,000: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q2 · question page 1294

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 12,000, liabilities 5,000. What is equity?

Answer: C. 7,000

12,000 - 5,000 = 7,000.

✗ A. 5,000: liabilities

✗ B. 17,000: added

✗ D. 12,000: assets

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q3 · question page 1295

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 6,000, equity 6,000. What are liabilities?

Answer: B. 0

6,000 - 6,000 = 0.

✗ A. 12,000: added

✗ C. 6,000: equity

✗ D. 1: ratio

Arithmetic checked by code: yes. Sources: none (stable)

S62-B1-Q4 · question page 1296

ENT.BOOK.06 · Using assets = liabilities + equity

Which equation is correct?

Answer: C. Assets = liabilities + equity

The basic equation.

✗ A. Liabilities = assets + equity: wrong

✗ B. Equity = assets + liabilities: wrong

✗ D. Assets = liabilities - equity: wrong sign

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-B1-Q5 · question page 1297

ENT.BOOK.06 · Using assets = liabilities + equity

Assets 4,500, liabilities 1,500. What is equity?

Answer: D. 3,000

4,500 - 1,500 = 3,000.

- ✗ A. 4,500: assets
- ✗ B. 6,000: added
- ✗ C. 1,500: liabilities

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q1 · question page 1298

ENT.BOOK.06 · Apply it: answer questions with the right report

An owner wants to know if March was profitable. Which report?

Answer: A. The March profit and loss statement

The P&L answers profitability.

- ✗ B. The balance sheet from last year: wrong period and type
- ✗ C. A list of customer names: not a report
- ✗ D. The supplier's catalog: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F1-Q2 · question page 1299

ENT.BOOK.06 · Apply it: answer questions with the right report

A lender wants to know how much the business owes in total today. Which report?

Answer: B. The balance sheet

Liabilities appear on the balance sheet.

- ✗ A. A tax receipt: not a report
- ✗ C. The profit and loss statement: period results
- ✗ D. A sales flyer: not a report

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F1-Q3 · question page 1300

ENT.BOOK.06 · Apply it: answer questions with the right report

A P&L shows revenue 8,000 and expenses 6,500. What profit does it report?

Answer: D. 1,500 dollars

8,000 - 6,500 = 1,500.

- ✗ A. 6,500 dollars: expenses
- ✗ B. 14,500 dollars: added
- ✗ C. 8,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q4 · question page 1301

ENT.BOOK.06 · Apply it: answer questions with the right report

Profit was 1,500 but cash fell by 700 because the owner bought equipment for 2,200. Which report shows this cash use clearly?

Answer: C. The cash flow statement

Cash flow shows the purchase.

- ✗ A. The logo guide: not a report
- ✗ B. The profit and loss statement alone: misses equipment purchase
- ✗ D. A customer survey: not a report

Arithmetic checked by code: yes. Sources: none (stable)

S62-F1-Q5 · question page 1302

ENT.BOOK.06 · Apply it: answer questions with the right report

A balance sheet shows cash 2,000, equipment 3,000, a loan of 1,500 and unpaid bills of 500. What is equity?

Answer: A. 3,000 dollars

(2,000 + 3,000) - (1,500 + 500) = 3,000.

- ✗ B. 2,000 dollars: liabilities only
- ✗ C. 5,000 dollars: assets only
- ✗ D. 7,000 dollars: added all

Arithmetic checked by code: yes. Sources: none (stable)

S62-F2-Q1 · question page 1303

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

The P&L shows a profit, but the bank balance fell. What could explain it?

Answer: D. Cash was used for equipment, loan payments or draws

Different reports measure different things.

- ✗ A. The P&L must be fake: not necessarily
- ✗ B. The bank made a mistake on every single statement: unlikely
- ✗ C. Profit and cash must always match: they can differ

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q2 · question page 1304

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

A balance sheet does not balance: assets 9,000, liabilities 3,000, equity 5,000. What is the gap?

Answer: C. 1,000 dollars

9,000 - 8,000 = 1,000.

- ✗ A. 0 dollars: it does not balance
- ✗ B. 8,000 dollars: sum
- ✗ D. 9,000 dollars: assets

Arithmetic checked by code: yes. Sources: none (stable)

S62-F2-Q3 · question page 1305

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

What should the owner do about that gap?

Answer: B. Look for a missing or mislabeled record

An imbalance signals an error.

- ✗ A. Add 1,000 dollars of fake equity: false
- ✗ C. Ignore it because reports never balance: they should
- ✗ D. Delete the balance sheet: not a fix

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q4 · question page 1306

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

An owner reads only the P&L and misses that a large loan is due next month. Which report would have shown the loan?

Answer: A. The balance sheet

Liabilities are on the balance sheet.

- ✗ B. The P&L alone: not liabilities
- ✗ C. A customer list: no
- ✗ D. A marketing report: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S62-F2-Q5 · question page 1307

ENT.BOOK.06 · Handle the complications: reports that seem to disagree

Which statement is accurate?

Answer: C. Each report answers a different question, so review all three.

Use them together.

- ✗ A. Reports are only for big companies.: all benefit

✗ B. Cash flow and profit are the same report.: different

✗ D. One report tells everything an owner needs to know about a business.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S63-M-Q1 · question page 1309

ENT.TAX.01 · Explain how deductions and credits differ

What does a deduction lower?

Answer: A. The income that tax is calculated on

Deductions reduce taxable income.

✗ B. The tax itself, dollar for dollar, after it is calculated: that is a credit

✗ C. The price customers pay for each product: unrelated

✗ D. The interest rate on a business loan: unrelated

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q2 · question page 1310

ENT.TAX.01 · Explain how deductions and credits differ

What does a credit lower?

Answer: B. The tax itself, dollar for dollar

Credits cut the tax directly.

✗ A. Only the number of receipts the owner must keep: unrelated

✗ C. Only the sales tax collected from customers: different tax

✗ D. Only the income that tax is calculated on: that is a deduction

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q3 · question page 1311

ENT.TAX.01 · Explain how deductions and credits differ

With a made-up 20 percent rate, how much tax does a 500-dollar deduction save?

Answer: C. 100 dollars

0.20 x 500 = 100.

- ✗ A. 500 dollars: treated as credit
- ✗ B. 20 dollars: used rate as dollars
- ✗ D. 400 dollars: subtracted

Arithmetic checked by code: yes. Sources: irs_credits

S63-M-Q4 · question page 1312

ENT.TAX.01 · Explain how deductions and credits differ

With a made-up 20 percent rate, assume a 500-dollar credit is fully eligible and usable. How much tax does it save?

Answer: A. 500 dollars

A credit saves its full amount.

- ✗ B. 100 dollars: treated as deduction
- ✗ C. 20 dollars: used rate
- ✗ D. 2,500 dollars: divided by rate

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-M-Q5 · question page 1313

ENT.TAX.01 · Explain how deductions and credits differ

Which expenses are commonly deductible for a business?

Answer: B. Ordinary and necessary business expenses

The business purpose matters.

- ✗ A. Only expenses over 10,000 dollars each: not a rule
- ✗ C. Any personal purchase the owner makes during the year: personal is not business

✗ D. Only expenses paid in cash with no receipt: records matter

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q1 · question page 1314

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

A deduction is like which coupon?

Answer: C. One that lowers the amount tax is figured on

It shrinks the base.

✗ A. One that expired: no
✗ B. One that adds a fee: no
✗ D. One that comes straight off the final bill: that is a credit

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q2 · question page 1315

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

A credit is like which coupon?

Answer: A. One straight off the final bill

It cuts what you owe.

✗ B. One for a free gift: no
✗ C. One that lowers the base: deduction
✗ D. One that raises the final bill: no

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q3 · question page 1316

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

For the same dollar amount, which usually saves more?

Answer: B. The credit

Credits save dollar for dollar.

- ✗ A. They always save the same: not usually
- ✗ C. Neither saves anything: both save
- ✗ D. The deduction: saves only part

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q4 · question page 1317

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

What does "the amount tax is figured on" mean here?

Answer: C. Taxable income

The base is taxable income.

- ✗ A. The coupon's color: no
- ✗ B. The store's name: no
- ✗ D. The final bill: tax owed

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-B1-Q5 · question page 1318

ENT.TAX.01 · A coupon on the price versus a coupon on the bill

"Straight off what you owe" describes what?

Answer: A. A credit

Credits cut tax owed.

- ✗ B. A deduction: base, not bill
- ✗ C. A refund policy: no
- ✗ D. A fee: no

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F1-Q1 · question page 1319

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Assume a 25 percent rate (an assumption for practice). A 2,000-dollar business expense is deductible. About how much tax does it save?

Answer: D. 500 dollars

0.25 x 2,000 = 500.

- ✗ A. 25 dollars: used rate as dollars
- ✗ B. 2,000 dollars: treated as credit
- ✗ C. 1,500 dollars: subtracted

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q2 · question page 1320

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Assume a flat made-up 25 percent rate and that the credit is fully eligible and usable. Which saves more: a 1,000-dollar deduction or a 400-dollar credit?

Answer: A. The 400-dollar credit

Deduction: 0.25 x 1,000 = 250 dollars. Credit: 400 dollars.

- ✗ B. They save exactly the same amount of tax: they differ
- ✗ C. The 1,000-dollar deduction, since it is a bigger number: saves only 250
- ✗ D. Neither one changes the tax owed: both do

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q3 · question page 1321

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

An owner says, "Buying anything is free because it's a deduction." What is wrong?

Answer: B. A deduction saves only part of the cost

You still pay most of the cost.

- ✗ A. Nothing; deductions refund the whole price: not true

✗ C. Deductions are always illegal: not true

✗ D. Purchases cannot be deducted ever: business expenses can be

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F1-Q4 · question page 1322

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

With a 25 percent assumed rate, a 600-dollar printer that is fully deductible really costs the owner about how much after tax savings?

Answer: C. 450 dollars

600 - 150 = 450.

✗ A. 0 dollars: not free

✗ B. 150 dollars: only the savings

✗ D. 600 dollars: ignores savings

Arithmetic checked by code: yes. Sources: irs_credits

S63-F1-Q5 · question page 1323

ENT.TAX.01 · Apply it: compare tax effects with a stated assumption

Which is the best source to confirm which credits a business qualifies for?

Answer: D. A tax professional or official tax agency guidance

Credits depend on current law.

✗ A. A product advertisement promising "tax-free" purchases: marketing

✗ B. A friend's guess based on a different year: outdated

✗ C. A social media post with no source listed: unreliable

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q1 · question page 1324

ENT.TAX.01 · Handle the complications: claims that sound too good

A seller claims a gadget "pays for itself through tax write-offs." What should a buyer understand?

Answer: C. A write-off reduces taxable income; it does not refund the price

Deductions save a fraction of the cost.

- ✗ A. Tax savings always exceed cost: not true
- ✗ B. The government reimburses the full price of the gadget to the buyer: not true
- ✗ D. Write-offs work for personal items too: business use matters

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q2 · question page 1325

ENT.TAX.01 · Handle the complications: claims that sound too good

An owner deducts a family vacation as a business trip. What is the problem?

Answer: D. Personal expenses are not business deductions

Deductions require genuine business purpose.

- ✗ A. Deductions do not need a business purpose: they do
- ✗ B. Vacations are always deductible: not true
- ✗ C. No problem as long as she brings a laptop: not enough

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q3 · question page 1326

ENT.TAX.01 · Handle the complications: claims that sound too good

The owner does not know her flat marginal rate, only that it is below 100 percent. Both items are fully eligible and the credit is fully usable. Can she still compare a deduction and a credit of the same size?

Answer: A. Yes; under these assumptions the credit saves at least as much

A deduction saves rate x amount, which is less than the amount when the rate is below 100 percent; a fully usable credit saves the whole amount.

- ✗ B. Only if the rate is zero: not needed
- ✗ C. No, never without the exact rate: logic works

✗ D. Yes; the deduction always saves more than a credit of the same size: not true

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q4 · question page 1327

ENT.TAX.01 · Handle the complications: claims that sound too good

Credits and deductions available last year may have changed. What should the owner do?

Answer: C. Check current rules each year

Rules change.

✗ A. Copy last year's return exactly: risky
✗ B. Assume tax law never changes: it changes
✗ D. Skip deductions to be safe: may overpay

Arithmetic checked by code: not applicable. Sources: irs_credits

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S63-F2-Q5 · question page 1328

ENT.TAX.01 · Handle the complications: claims that sound too good

Which statement is accurate for this course?

Answer: B. It teaches the idea, not current rates or credit amounts.

Rates in questions are assumptions.

✗ A. The 25 percent rate is the real rate for everyone.: assumption
✗ C. Deductions and credits are the same thing.: different
✗ D. It lists every current tax credit and rate.: not taught

Arithmetic checked by code: not applicable. Sources: irs_credits

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S64-M-Q1 · question page 1330

ENT.TAX.02 · Split mixed-use costs and keep evidence

A phone bill is 80 dollars and 25 percent of use is for business. What is the business portion?

Answer: D. 20 dollars

0.25 x 80 = 20.

- ✗ A. 25 dollars: used percent as dollars
- ✗ B. 60 dollars: personal part
- ✗ C. 80 dollars: the whole bill

Arithmetic checked by code: yes. Sources: none (stable)

S64-M-Q2 · question page 1331

ENT.TAX.02 · Split mixed-use costs and keep evidence

What evidence supports business use of a car?

Answer: A. A mileage log

Logs record business trips.

- ✗ B. A photo of the car's paint color: not evidence of use
- ✗ C. A guess written at year end: unreliable
- ✗ D. The car's brand name on a website: not evidence of use

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q3 · question page 1332

ENT.TAX.02 · Split mixed-use costs and keep evidence

Which item is most likely mixed-use?

Answer: C. A cell phone used for clients and family

Mixed use needs a split.

- ✗ A. Booth rent at a craft fair for selling: business only
- ✗ B. A family birthday cake for the owner's child: personal only
- ✗ D. Packaging bought only for customer orders: business only

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q4 · question page 1333

ENT.TAX.02 · Split mixed-use costs and keep evidence

Generally, which part of a mixed-use cost may be a business expense?

Answer: D. The business-use portion

Only the business share.

- ✗ A. None of it, ever: business portion may be
- ✗ B. Double the business portion: not allowed
- ✗ C. The whole cost, always, with no split needed: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-M-Q5 · question page 1334

ENT.TAX.02 · Split mixed-use costs and keep evidence

Where should an owner check home office rules?

Answer: A. Official guidance or a tax professional

Home office rules are specific.

- ✗ B. A video comment from a stranger: unreliable
- ✗ C. A furniture store ad: marketing
- ✗ D. A neighbor's opinion over the fence: not authoritative

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-B1-Q1 · question page 1335

ENT.TAX.02 · Finding a percent of a bill

What is 30 percent of 50?

Answer: C. 15

0.30 x 50 = 15.

✗ A. 35: subtracted

✗ B. 1.5: moved decimal

✗ D. 20: subtracted 30

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q2 · question page 1336

ENT.TAX.02 · Finding a percent of a bill

Business share is 15 of a 50-dollar bill. What is the personal share?

Answer: B. 35

50 - 15 = 35.

✗ A. 65: added

✗ C. 50: whole bill

✗ D. 15: business share

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q3 · question page 1337

ENT.TAX.02 · Finding a percent of a bill

4 of 10 trips were for business. What percent is that?

Answer: A. 40 percent

4 / 10 = 0.40.

✗ B. 14 percent: added

✗ C. 4 percent: not converted

✗ D. 60 percent: personal share

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q4 · question page 1338

ENT.TAX.02 · Finding a percent of a bill

What is 60 percent of 120?

Answer: D. 72

0.60 x 120 = 72.

- ✗ A. 180: added
- ✗ B. 60: used percent as number
- ✗ C. 48: the other 40 percent

Arithmetic checked by code: yes. Sources: none (stable)

S64-B1-Q5 · question page 1339

ENT.TAX.02 · Finding a percent of a bill

How do you check a business and personal split?

Answer: B. The two shares add back to the bill

Shares sum to the total.

- ✗ A. They must be equal: not required
- ✗ C. They should multiply to the bill: no
- ✗ D. The business share must be bigger: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q1 · question page 1340

ENT.TAX.02 · Apply it: calculate business portions with records

A mileage log shows 3,000 business miles out of 12,000 total. What percent is business use?

Answer: C. 25 percent

3,000 / 12,000 = 0.25.

- ✗ A. 75 percent: personal share
- ✗ B. 4 percent: divided wrongly
- ✗ D. 30 percent: used thousands

Arithmetic checked by code: yes. Sources: none (stable)

S64-F1-Q2 · question page 1341

ENT.TAX.02 · Apply it: calculate business portions with records

Home internet is 70 dollars a month; a reasonable record shows 50 percent business use. What is the yearly business portion?

Answer: B. 420 dollars

0.50 x 70 x 12 = 420.

- ✗ A. 840 dollars: whole bill yearly
- ✗ C. 35 dollars: one month
- ✗ D. 70 dollars: one bill

Arithmetic checked by code: yes. Sources: none (stable)

S64-F1-Q3 · question page 1342

ENT.TAX.02 · Apply it: calculate business portions with records

An owner claims 100 percent business use of a car she also drives to the grocery store. What is the issue?

Answer: C. The claim does not match her actual mixed use

Claims should match records.

- ✗ A. No issue, because any business-use percent is allowed: must be accurate
- ✗ B. Grocery trips are business trips: personal
- ✗ D. Cars are never business assets: they can be

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q4 · question page 1343

ENT.TAX.02 · Apply it: calculate business portions with records

Which record best supports a phone business-use percent?

Answer: A. A sample of call and data logs showing business use

Usage records support the split.

- ✗ B. A guess made at tax time: not evidence
- ✗ C. A photo of the phone's case and screen taken at tax time: not use
- ✗ D. The phone's purchase box: not use

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F1-Q5 · question page 1344

ENT.TAX.02 · Apply it: calculate business portions with records

A laptop costing 900 dollars is used 80 percent for business. What is the business portion?

Answer: D. 720 dollars

0.80 x 900 = 720.

- ✗ A. 900 dollars: whole cost
- ✗ B. 180 dollars: personal share
- ✗ C. 80 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S64-F2-Q1 · question page 1345

ENT.TAX.02 · Handle the complications: changing use and missing logs

An owner forgot to keep a mileage log for six months. What is a sensible step now?

Answer: C. Start a log now and reconstruct carefully from calendars

Honest reconstruction plus a current log.

- ✗ A. Skip records from now on too: worse
- ✗ B. Claim 100 percent business use: unsupported
- ✗ D. Make up a full log now using round numbers for each week: false record

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q2 · question page 1346

ENT.TAX.02 · Handle the complications: changing use and missing logs

Business use of a phone rises from 30 to 60 percent mid-year. What should records show?

Answer: A. The change and when it happened

Records should reflect reality.

- ✗ B. Only the lower percent: inaccurate
- ✗ C. No percent at all: unsupported
- ✗ D. Only the higher percent for the whole year: inaccurate

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q3 · question page 1347

ENT.TAX.02 · Handle the complications: changing use and missing logs

A family member also uses the business laptop. What should the owner consider?

Answer: A. Whether the business-use percent should be lower

Personal use reduces the business share.

- ✗ B. Raising the business percent: wrong direction
- ✗ C. Hiding the family use: dishonest
- ✗ D. Nothing, because family use never matters for business items: it matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q4 · question page 1348

ENT.TAX.02 · Handle the complications: changing use and missing logs

Rules for home offices are detailed. What is the safest approach?

Answer: C. Read official guidance or ask a tax professional

Get qualified advice for specifics.

✗ A. Copy a friend's home office claim from last year: different facts

✗ B. Assume any room counts: not true

✗ D. Claim the whole home as an office: likely wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S64-F2-Q5 · question page 1349

ENT.TAX.02 · Handle the complications: changing use and missing logs

Which statement is accurate?

Answer: C. Mixed-use costs are split, and the split needs evidence.

Split and document.

✗ A. Personal use never matters.: it does

✗ B. Records are optional for mixed-use items.: needed

✗ D. Every purchase by an owner is fully deductible.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S65-M-Q1 · question page 1351

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Who pays sales tax in the end?

Answer: B. The customer, collected by the business

Customers pay; businesses collect.

✗ A. Nobody; it is optional for every sale: often required

✗ C. The business, out of its own profit: collected from customers

✗ D. The supplier, before the item is shipped: not usually

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-M-Q2 · question page 1352

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

What is income tax based on?

Answer: D. Profit

Income tax is on profit.

- ✗ A. The size of the store sign: irrelevant
- ✗ B. The number of employees only: not the base
- ✗ C. Each customer's sales tax amount: different tax

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-M-Q3 · question page 1353

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

A 50-dollar taxable sale with a 6 percent sales tax (example rate). How much tax is collected?

Answer: A. 3 dollars

0.06 x 50 = 3.

- ✗ B. 0.30 dollars: moved decimal
- ✗ C. 6 dollars: used percent as dollars
- ✗ D. 53 dollars: total with tax

Arithmetic checked by code: yes. Sources: sba_launch

S65-M-Q4 · question page 1354

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Why keep collected sales tax separate?

Answer: B. It belongs to the government, not the business

It must be sent to the tax agency.

- ✗ A. It is extra profit the business can spend: not profit
- ✗ C. It doubles if kept in savings: no
- ✗ D. It must be given back to customers each week: not usually

Arithmetic checked by code: not applicable. Sources: sba_launch

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S65-M-Q5 · question page 1355

ENT.TAX.03 · Distinguish sales tax from income tax and handle collected tax

Do all states have the same sales tax rules?

Answer: A. No; rules vary

Check the specific state and locality.

- ✗ B. No state has sales tax: many do
- ✗ C. Yes; every state is identical: not true
- ✗ D. Yes; federal law sets one rate: no federal sales tax rate

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q1 · question page 1356

ENT.TAX.03 · Holding money for someone else

The coach's 5 dollars is like what?

Answer: A. Sales tax collected from customers

You hold it for someone else.

- ✗ B. An owner draw: no
- ✗ C. A refund: no
- ✗ D. The business's own profit for the day: not yours

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q2 · question page 1357

ENT.TAX.03 · Holding money for someone else

Whose money is the coach's 5 dollars?

Answer: D. The coach's

It belongs to the coach.

✗ A. The friend's forever: meant for coach

✗ B. Nobody's: it belongs to someone

✗ C. Yours: you only hold it

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q3 · question page 1358

ENT.TAX.03 · Holding money for someone else

Income tax is a tax on what?

Answer: C. What you earned as profit

Income tax is on your profit.

✗ A. Money held for others: sales tax

✗ B. Your shoes: no

✗ D. Your friend's money: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q4 · question page 1359

ENT.TAX.03 · Holding money for someone else

What is the risk of mixing the 5 dollars with your own money?

Answer: A. Spending it by mistake

Separation prevents mistakes.

✗ B. It disappears legally: no

✗ C. It grows: no

✗ D. Nothing at all: risk exists

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-B1-Q5 · question page 1360

ENT.TAX.03 · Holding money for someone else

In this picture, the government is like whom?

Answer: D. The coach

The government receives the tax.

- ✗ A. You: the business
- ✗ B. The friend: customer
- ✗ C. The store: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F1-Q1 · question page 1361

ENT.TAX.03 · Apply it: collect and set aside sales tax

A shop sells 2,000 dollars of taxable goods in a month at a 7 percent example rate. How much sales tax should it set aside?

Answer: B. 140 dollars

0.07 x 2,000 = 140.

- ✗ A. 2,140 dollars: total
- ✗ C. 70 dollars: half
- ✗ D. 14 dollars: moved decimal

Arithmetic checked by code: yes. Sources: sba_launch

S65-F1-Q2 · question page 1362

ENT.TAX.03 · Apply it: collect and set aside sales tax

Customers paid 1,060 dollars including 6 percent tax. How much was the sale before tax?

Answer: D. 1,000 dollars

1,060 / 1.06 = 1,000.

- ✗ A. 996.40 dollars: subtracted 6 percent of total
- ✗ B. 1,060 dollars: included tax
- ✗ C. 63.60 dollars: tax only

Arithmetic checked by code: yes. Sources: sba_launch

S65-F1-Q3 · question page 1363

ENT.TAX.03 · Apply it: collect and set aside sales tax

A new seller plans to start collecting sales tax. What should she do first?

Answer: B. Check whether she needs a permit or account in her state

Registration often comes first.

- ✗ A. Collect it right away and keep it as business profit: not hers
- ✗ C. Pick any rate she likes: set by law
- ✗ D. Wait to see if anyone complains: risky

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F1-Q4 · question page 1364

ENT.TAX.03 · Apply it: collect and set aside sales tax

A seller collected 300 dollars of sales tax and spent it on supplies. What problem does she face?

Answer: B. She still owes 300 dollars to the tax agency

Collected tax must be paid.

- ✗ A. None; collected tax is hers to spend: not hers
- ✗ C. The tax is cancelled automatically: no
- ✗ D. She owes nothing because she spent it on business: still owed

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F1-Q5 · question page 1365

ENT.TAX.03 · Apply it: collect and set aside sales tax

Which statement correctly separates the two taxes?

Answer: C. Sales tax is collected on sales; income tax is on profit

Different bases.

✗ A. Income tax is collected from each customer: reversed

✗ B. Sales tax is calculated from profit: reversed

✗ D. Both taxes are really the same thing with two different names: different

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q1 · question page 1366

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A seller ships to customers in several states. What should she check?

Answer: B. Each state's rules on when sales tax applies

Multi-state rules can apply.

✗ A. Only her own state, since others never apply: may apply

✗ C. Only the shipping company's policy: not the law

✗ D. Nothing; online sales are never taxed: not true

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q2 · question page 1367

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A service business wonders whether its services are taxable. What should it do?

Answer: A. Check the state's rules for that service

Taxability varies by service and state.

✗ B. Assume no services are ever taxable: varies

✗ C. Ask a customer to decide: not their role

✗ D. Assume every service is taxable: varies

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q3 · question page 1368

ENT.TAX.03 · Handle the complications: exemptions and multiple places

A customer claims to be tax-exempt. What should the business usually ask for?

Answer: D. The documentation the state requires

Exemptions usually need proof.

- ✗ A. Nothing; a verbal claim is always enough: usually not
- ✗ B. The customer's bank password: never
- ✗ C. A higher price instead: not appropriate

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q4 · question page 1369

ENT.TAX.03 · Handle the complications: exemptions and multiple places

Sales tax of 450 dollars was collected but filed late. What might result?

Answer: B. Penalties or interest under state rules

File on time.

- ✗ A. The tax is forgiven: not usually
- ✗ C. Nothing at all, ever: late filing has consequences
- ✗ D. A bonus refund from the state for paying at all: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S65-F2-Q5 · question page 1370

ENT.TAX.03 · Handle the complications: exemptions and multiple places

Which statement is accurate?

Answer: A. Sales tax rules depend on the place and the item or service, so check officially.

Check the jurisdiction.

- ✗ B. Sales tax is always the seller's profit.: no
- ✗ C. There is one national sales tax rate.: no
- ✗ D. Income tax and sales tax are filed together on one form in every state.:

not necessarily

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S66-M-Q1 · question page 1372

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

What does withheld mean for an employee's paycheck?

Answer: D. Taxes are taken out before she is paid

Withholding pays tax during the year.

- ✗ A. Her taxes are cancelled for the year: not the meaning
- ✗ B. Her boss keeps her bonus as a reward: not the meaning
- ✗ C. Her paycheck is held by the bank for a month: not the meaning

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q2 · question page 1373

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

What does self-employment tax cover?

Answer: B. Social Security and Medicare on net earnings

It covers Social Security and Medicare.

- ✗ A. Sales tax collected from every customer: different tax
- ✗ C. Property tax on the owner's home: different tax
- ✗ D. Import fees on goods from abroad: different tax

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q3 · question page 1374

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Why might a self-employed person make estimated payments?

Answer: D. Tax is pay-as-you-go and nothing is withheld

Payments during the year replace withholding.

- ✗ A. To earn interest from the tax agency on the money: not the purpose
- ✗ B. Because they are optional gifts: not gifts
- ✗ C. To avoid keeping records: records still needed

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q4 · question page 1375

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Is self-employment tax based on total sales or net earnings?

Answer: B. Net earnings

Net earnings after expenses.

- ✗ A. The owner's age: not the base
- ✗ C. The number of customers: not the base
- ✗ D. Total sales before costs: not the base

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-M-Q5 · question page 1376

ENT.TAX.04 · Explain self-employment tax and why estimated payments exist

Where should a person check current rates and deadlines?

Answer: D. The IRS

Rates and dates change.

- ✗ A. A random blog from years ago: outdated
- ✗ B. A customer: not authoritative
- ✗ C. A competitor: not authoritative

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q1 · question page 1377

ENT.TAX.04 · Paying as you go

An employee's taxes are like what?

Answer: C. A pass topped up every paycheck by the employer

Withholding tops up taxes.

- ✗ A. A pass that customers pay for on her behalf: no
- ✗ B. A pass never paid: no
- ✗ D. A free pass: not free

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q2 · question page 1378

ENT.TAX.04 · Paying as you go

Who tops up for a self-employed person?

Answer: B. The person themselves

They make estimated payments.

- ✗ A. Their employer: they have none
- ✗ C. Their regular customers: no
- ✗ D. The bank: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q3 · question page 1379

ENT.TAX.04 · Paying as you go

What can happen if a self-employed person waits until the end?

Answer: C. A large bill all at once

Waiting builds a big balance.

- ✗ A. The bill simply vanishes: no
- ✗ B. A smaller bill: not usually

✗ D. A free year: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q4 · question page 1380

ENT.TAX.04 · Paying as you go

Estimated payments are like what?

Answer: A. Topping up the pass during the year

Pay as you go.

✗ B. A refund: no
✗ C. A fee charged to every customer: no
✗ D. Skipping payments: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-B1-Q5 · question page 1381

ENT.TAX.04 · Paying as you go

Why does the employee not need to top up alone?

Answer: D. The employer withholds taxes from pay

Withholding handles it.

✗ A. Taxes are optional: no
✗ B. Customers pay their taxes for them: no
✗ C. Employees pay no tax: they do

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q1 · question page 1382

ENT.TAX.04 · Apply it: recognize when payments are needed

Ana left a job with withholding and now freelances full time. What changed about her taxes?

Answer: B. Nobody withholds tax, so she may need estimated payments

She must plan payments herself.

- ✗ A. Her clients must pay her taxes for her: not usually
- ✗ C. Freelancers never owe any tax at all: not true
- ✗ D. Her old employer still withholds tax for her each month: not anymore

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q2 · question page 1383

ENT.TAX.04 · Apply it: recognize when payments are needed

Ben's side business earns net profit. He also has a job with withholding. What should he check?

Answer: A. Whether his withholding covers the extra tax

Side income can create extra tax.

- ✗ B. Only his customers' tax situations: irrelevant
- ✗ C. Only his job's vacation policy: irrelevant
- ✗ D. Nothing, because side income is never taxed at all: it is

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q3 · question page 1384

ENT.TAX.04 · Apply it: recognize when payments are needed

Sales are 30,000 dollars and business expenses are 12,000 dollars. What are net earnings (ignoring other adjustments)?

Answer: B. 18,000 dollars

30,000 - 12,000 = 18,000.

- ✗ A. 12,000 dollars: expenses
- ✗ C. 30,000 dollars: total sales
- ✗ D. 42,000 dollars: added

Arithmetic checked by code: yes. Sources: irs_se; irs_estimated

---

S66-F1-Q4 · question page 1385

ENT.TAX.04 · Apply it: recognize when payments are needed

A freelancer plans to pay all tax once, at filing time, after a profitable year. What risk does she face?

Answer: D. A large bill and possible penalties for not paying during the year

Pay-as-you-go rules may apply.

- ✗ A. No risk at all: there is risk
- ✗ B. A guaranteed refund: no
- ✗ C. Lower taxes than everyone else who pays during the year: no

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F1-Q5 · question page 1386

ENT.TAX.04 · Apply it: recognize when payments are needed

Which record helps calculate net earnings?

Answer: C. A ledger of sales and expenses

Records support the calculation.

- ✗ A. A list of social media followers: irrelevant
- ✗ B. A logo file: irrelevant
- ✗ D. A photo of the workspace: irrelevant

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q1 · question page 1387

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Income is very uneven: big in summer, small in winter. What helps with estimated payments?

Answer: C. Tracking income each quarter and adjusting

Adjust to actual income.

- ✗ A. Ignoring payments in good months: risky

✗ B. Paying a random amount once a year in December: not tied to income

✗ D. Stopping record keeping in winter: harmful

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q2 · question page 1388

ENT.TAX.04 · Handle the complications: uneven income and missed payments

A freelancer missed an estimated payment. What is a sensible step?

Answer: D. Pay as soon as possible and check IRS guidance

Act promptly.

✗ A. Wait several years until someone from the IRS asks: worse

✗ B. Stop working to avoid taxes: not a solution

✗ C. Assume it is forgiven automatically: not usually

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q3 · question page 1389

ENT.TAX.04 · Handle the complications: uneven income and missed payments

A friend tells her a specific self-employment tax rate from memory. What should she do?

Answer: A. Confirm it with the current IRS page

Rates and thresholds change.

✗ B. Ask a customer: not authoritative

✗ C. Ignore self-employment taxes altogether: harmful

✗ D. Use it without checking: may be outdated

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q4 · question page 1390

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Which situation most clearly needs a tax professional's help?

Answer: C. Several income sources and big swings in profit

Complex situations benefit from help.

- ✗ A. Choosing a font for invoices: not tax
- ✗ B. Deciding on a logo color: not tax
- ✗ D. Picking a business email name for clients: not tax

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S66-F2-Q5 · question page 1391

ENT.TAX.04 · Handle the complications: uneven income and missed payments

Which statement is accurate for this course?

Answer: B. It teaches why these taxes exist, not current rates or dates.

Check current IRS rules.

- ✗ A. Self-employed people never pay Social Security or Medicare taxes.: they do
- ✗ C. Estimated payments are only for corporations.: not only
- ✗ D. It gives the exact current tax rate.: not taught

Arithmetic checked by code: not applicable. Sources: irs_se; irs_estimated

---

S67-M-Q1 · question page 1393

ENT.TAX.05 · Set aside a planned share of income for taxes

With a 25 percent assumption, how much of a 1,200-dollar payment goes to tax savings?

Answer: B. 300 dollars

0.25 x 1,200 = 300.

- ✗ A. 1,200 dollars: all
- ✗ C. 900 dollars: what remains
- ✗ D. 25 dollars: used percent as dollars

Arithmetic checked by code: yes. Sources: irs_estimated

S67-M-Q2 · question page 1394

ENT.TAX.05 · Set aside a planned share of income for taxes

Why use a separate tax savings account?

Answer: C. So tax money is not spent by mistake

Separation protects the money.

- ✗ A. Because tax agencies require a special account: not a rule
- ✗ B. Because it earns guaranteed high returns: not guaranteed
- ✗ D. Because it lowers the tax owed automatically: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

S67-M-Q3 · question page 1395

ENT.TAX.05 · Set aside a planned share of income for taxes

What does this course say about the 25 or 30 percent figures?

Answer: D. They are practice assumptions, not advice

Use them for practice only.

- ✗ A. They never need checking: should be checked
- ✗ B. They are the official rate for every person: not true
- ✗ C. They are required by law: not true

Arithmetic checked by code: not applicable. Sources: irs_estimated

S67-M-Q4 · question page 1396

ENT.TAX.05 · Set aside a planned share of income for taxes

With a 30 percent assumption, how much of a 500-dollar payment is set aside?

Answer: B. 150 dollars

0.30 x 500 = 150.

✗ A. 350 dollars: remainder

✗ C. 30 dollars: percent as dollars

✗ D. 170 dollars: arithmetic slip

Arithmetic checked by code: yes. Sources: irs_estimated

S67-M-Q5 · question page 1397

ENT.TAX.05 · Set aside a planned share of income for taxes

When should the percentage be reviewed?

Answer: C. When income or circumstances change

Adjust as things change.

✗ A. Never; set it once and keep it forever: should adjust

✗ B. Only every ten years: too rare

✗ D. Only when a customer asks: not related

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-B1-Q1 · question page 1398

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 20 percent of 1,000. How much is set aside?

Answer: D. 200

0.20 x 1,000 = 200.

✗ A. 1,200: added

✗ B. 800: kept

✗ C. 20: percent as number

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q2 · question page 1399

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 20 percent of 1,000. How much is kept?

Answer: A. 800

1,000 - 200 = 800.

- ✗ B. 200: set aside
- ✗ C. 1,020: added
- ✗ D. 980: subtracted 20

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q3 · question page 1400

ENT.TAX.05 · Taking a share and keeping the rest

Keep = payment x (1 - percent). For 30 percent, multiply by what?

Answer: C. 0.70

1 - 0.30 = 0.70.

- ✗ A. 1.30: increase
- ✗ B. 0.30: set-aside share
- ✗ D. 70: not decimal

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-B1-Q4 · question page 1401

ENT.TAX.05 · Taking a share and keeping the rest

Set aside 25 percent of 400. How much is set aside?

Answer: B. 100

0.25 x 400 = 100.

- ✗ A. 300: kept
- ✗ C. 425: added
- ✗ D. 25: percent as number

Arithmetic checked by code: yes. Sources: irs_estimated

S67-B1-Q5 · question page 1402

ENT.TAX.05 · Taking a share and keeping the rest

How do you check the split?

Answer: D. Set-aside plus kept equals the payment

Parts add back to the whole.

- ✗ A. Kept must be zero: no
- ✗ B. They must be equal: not required
- ✗ C. Multiply the two parts together to check: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q1 · question page 1403

ENT.TAX.05 · Apply it: plan tax savings for a month

A freelancer receives 1,500, 900 and 2,100 dollars in a month. With a 25 percent assumption, how much goes to tax savings?

Answer: D. 1,125 dollars

(1,500 + 900 + 2,100) x 0.25 = 1,125.

- ✗ A. 3,375 dollars: kept
- ✗ B. 4,500 dollars: total income
- ✗ C. 375 dollars: only one payment

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F1-Q2 · question page 1404

ENT.TAX.05 · Apply it: plan tax savings for a month

A freelancer receives 1,500, 900 and 2,100 dollars in a month and sets aside 25 percent for taxes. How much is left for business and personal use?

Answer: B. 3,375 dollars

4,500 - 1,125 = 3,375.

- ✗ A. 1,125 dollars: set aside
- ✗ C. 2,250 dollars: half
- ✗ D. 4,500 dollars: total

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F1-Q3 · question page 1405

ENT.TAX.05 · Apply it: plan tax savings for a month

Which habit is most reliable?

Answer: D. Move the tax share as soon as each payment arrives

Immediate transfers work best.

- ✗ A. Keep tax money in the everyday spending account: easy to spend
- ✗ B. Move whatever is left at the end of the year: often nothing left
- ✗ C. Wait until the tax bill arrives to look for money: risky

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q4 · question page 1406

ENT.TAX.05 · Apply it: plan tax savings for a month

A seller sets aside 25 percent of each sale's full price, but much of the price is sales tax and costs. What should she reconsider?

Answer: D. Basing the set-aside on profit, with sales tax handled separately

Income tax relates to profit; sales tax is separate.

- ✗ A. Setting aside nothing at all: risky
- ✗ B. Mixing sales tax into her own savings: confusing
- ✗ C. Setting aside 100 percent of every sale's full price for taxes: excessive

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F1-Q5 · question page 1407

ENT.TAX.05 · Apply it: plan tax savings for a month

Tax savings hold 2,400 dollars and an estimated payment of 1,800 dollars is due. What remains in savings?

Answer: C. 600 dollars

2,400 - 1,800 = 600.

- ✗ A. 1,800 dollars: payment
- ✗ B. 4,200 dollars: added
- ✗ D. 2,400 dollars: no payment

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F2-Q1 · question page 1408

ENT.TAX.05 · Handle the complications: tempting balances and changes

A slow month tempts the owner to use the tax savings for rent. What is the risk?

Answer: A. She may not have money when tax is due

Borrowing from tax savings creates a later gap.

- ✗ B. None; tax savings are just extra money: not extra
- ✗ C. The tax bill shrinks automatically: no
- ✗ D. Rent counts as a tax payment: no

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q2 · question page 1409

ENT.TAX.05 · Handle the complications: tempting balances and changes

Profit doubled this year. What should happen to the tax savings plan?

Answer: D. Review it, since tax may also rise

Higher profit can mean higher tax.

- ✗ A. Keep the same dollar amount as before: may be too low

✗ B. Stop saving because profit is high: risky

✗ C. Spend the extra profit first: risky

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q3 · question page 1410

ENT.TAX.05 · Handle the complications: tempting balances and changes

Using a 30 percent assumption on 18,000 dollars of profit gives what set-aside?

Answer: C. 5,400 dollars

0.30 x 18,000 = 5,400.

✗ A. 540 dollars: moved decimal

✗ B. 12,600 dollars: kept

✗ D. 18,000 dollars: all

Arithmetic checked by code: yes. Sources: irs_estimated

S67-F2-Q4 · question page 1411

ENT.TAX.05 · Handle the complications: tempting balances and changes

An owner is unsure whether 25 percent is enough for her situation. What is the best next step?

Answer: B. Check with a tax professional or IRS tools

Personalized guidance is needed.

✗ A. Pick 5 percent instead, so she keeps more money: may be too low

✗ C. Guess and never revisit it: risky

✗ D. Ask her customers: not qualified

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S67-F2-Q5 · question page 1412

ENT.TAX.05 · Handle the complications: tempting balances and changes

Which statement is accurate?

Answer: C. A set-aside habit is a plan; the right amount depends on the person.

Plan, then verify.

- ✗ A. Self-employed people never owe tax on their business profit.: they can
- ✗ B. 25 percent is always exactly right.: assumption only
- ✗ D. Setting money aside is illegal.: not true

Arithmetic checked by code: not applicable. Sources: irs_estimated

---

S68-M-Q1 · question page 1414

ENT.TAX.06 · Keep tax records for the right time and know when to get help

What does the IRS say is the general period for keeping supporting records?

Answer: A. 3 years, with longer periods in some situations

Generally 3 years, sometimes longer.

- ✗ B. 1 month, after which records can be thrown away: too short
- ✗ C. Forever, for every single receipt in every case: not the general rule
- ✗ D. Only until the money is spent: not the rule

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-M-Q2 · question page 1415

ENT.TAX.06 · Keep tax records for the right time and know when to get help

Which records should be kept?

Answer: B. Receipts, invoices, bank statements and mileage logs

Supporting documents matter.

- ✗ A. Only social media posts about sales: not records
- ✗ C. Only the owner's favorite receipts: incomplete
- ✗ D. Only records of sales over 1,000 dollars each, and nothing else: incomplete

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-M-Q3 · question page 1416

ENT.TAX.06 · Keep tax records for the right time and know when to get help

Which is a safe way to store records?

Answer: D. Scanned copies with a backup

Backups protect records.

- ✗ A. Thrown away after filing: too early
- ✗ B. One paper pile in a damp garage: risky
- ✗ C. Only in a phone with no backup: risky

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-M-Q4 · question page 1417

ENT.TAX.06 · Keep tax records for the right time and know when to get help

What do tax forms depend on?

Answer: A. The business structure

Structure determines forms.

- ✗ B. The owner's favorite color: irrelevant
- ✗ C. The shop's paint: irrelevant
- ✗ D. The number of social media posts: irrelevant

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-M-Q5 · question page 1418

ENT.TAX.06 · Keep tax records for the right time and know when to get help

When should an owner ask a tax professional?

Answer: A. When the situation is complex or unclear

Get help when unsure.

✗ B. Only after a penalty arrives: too late

✗ C. Never, under any circumstance at all: help can be needed

✗ D. Only to choose a logo: not tax

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q1 · question page 1419

ENT.TAX.06 · A file box with labeled years

Each folder in the box is for what?

Answer: C. One year

Folders are organized by year.

✗ A. One month only: year

✗ B. One product: no

✗ D. One customer: no

Arithmetic checked by code: not applicable. Sources: irs_records

---

S68-B1-Q2 · question page 1420

ENT.TAX.06 · A file box with labeled years

What goes in a folder?

Answer: D. That year's receipts, statements and return copy

Supporting documents.

✗ A. Only empty pages and blank tax forms from a store: no

✗ B. Only ads: no

✗ C. Only photos: no

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q3 · question page 1421

ENT.TAX.06 · A file box with labeled years

When may a folder be cleared out?

Answer: B. After the period for that return has passed

Follow the period.

- ✗ A. Never: eventually allowed
- ✗ C. The next day: too early
- ✗ D. Whenever the box gets full of papers: not the rule

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q4 · question page 1422

ENT.TAX.06 · A file box with labeled years

A scanned copy is like what?

Answer: D. A spare box kept elsewhere

Backups protect against loss.

- ✗ A. A tax bill: no
- ✗ B. A new receipt: no
- ✗ C. A recycling bin for paper: no

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-B1-Q5 · question page 1423

ENT.TAX.06 · A file box with labeled years

What is the general period mentioned?

Answer: A. 3 years

Generally 3 years, sometimes longer.

- ✗ B. 3 months: too short
- ✗ C. 3 days: too short
- ✗ D. 30 years: too long

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q1 · question page 1424

ENT.TAX.06 · Apply it: decide what to keep and when to ask

It is 2026. An owner wants to throw out receipts that support her 2025 return. What does the general rule suggest?

Answer: A. Keep them; the general period has not passed

Generally 3 years after filing.

- ✗ B. Keep only half: not the rule
- ✗ C. Throw them out now: too soon
- ✗ D. Throw out the copy of the 2025 return too: too soon

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q2 · question page 1425

ENT.TAX.06 · Apply it: decide what to keep and when to ask

A flood destroys an owner's paper records. Which habit would have helped most?

Answer: D. Scanned copies stored with a backup

Backups protect against disasters.

- ✗ A. Remembering amounts: not proof
- ✗ B. Keeping records in the same basement: still lost
- ✗ C. Writing totals on a sticky note: not proof

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q3 · question page 1426

ENT.TAX.06 · Apply it: decide what to keep and when to ask

Which situation most needs a tax professional?

Answer: C. Hiring first employees and changing to an LLC in the same year

Multiple changes create complexity.

- ✗ A. Updating the website photo: not tax
- ✗ B. Ordering new business cards with the LLC name on them: not tax
- ✗ D. Choosing a coffee supplier: not tax

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F1-Q4 · question page 1427

ENT.TAX.06 · Apply it: decide what to keep and when to ask

An owner has 3 years of records with about 400 receipts per year. How many receipts is that?

Answer: C. 1,200 receipts

3 x 400 = 1,200.

- ✗ A. 400 receipts: one year
- ✗ B. 133 receipts: divided
- ✗ D. 403 receipts: added

Arithmetic checked by code: yes. Sources: irs_records

S68-F1-Q5 · question page 1428

ENT.TAX.06 · Apply it: decide what to keep and when to ask

Which file name helps find records later?

Answer: A. "2026-03 receipts - supplies"

Clear names save time.

- ✗ B. "misc final final v2 (new)": vague
- ✗ C. "scan1": vague
- ✗ D. "stuff": vague

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q1 · question page 1429

ENT.TAX.06 · Handle the complications: longer periods and lost records

Some records need to be kept longer than 3 years. What should an owner do if unsure?

Answer: C. Check IRS guidance or ask a tax professional

Some situations have longer periods.

- ✗ A. Throw everything out after exactly 3 years: may be too soon
- ✗ B. Keep nothing: risky
- ✗ D. Ask a customer: not qualified

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q2 · question page 1430

ENT.TAX.06 · Handle the complications: longer periods and lost records

Records for equipment the business still uses were bought 6 years ago. Why might they still matter?

Answer: B. They may support later tax items for that equipment

Property records can matter longer.

- ✗ A. They only matter for customers: no
- ✗ C. Equipment records are illegal to keep after five years: no
- ✗ D. They never matter after purchase: may matter

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q3 · question page 1431

ENT.TAX.06 · Handle the complications: longer periods and lost records

A tax agency asks about a year with missing receipts. What can help?

Answer: A. Bank statements and other records for that year

Other records can support claims.

- ✗ B. New receipts created today for that year: false

✗ C. Nothing at all: some records help

✗ D. A guess: not proof

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q4 · question page 1432

ENT.TAX.06 · Handle the complications: longer periods and lost records

An owner's accountant moves away and the owner has no copies of past returns. What lesson applies?

Answer: B. Keep your own copies of filed returns

Owners should hold their own copies.

✗ A. Accountants must keep records forever for you: not guaranteed

✗ C. Returns are never needed again: they can be

✗ D. Copies are illegal to keep: no

Arithmetic checked by code: not applicable. Sources: irs_records

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S68-F2-Q5 · question page 1433

ENT.TAX.06 · Handle the complications: longer periods and lost records

Which statement is accurate?

Answer: C. Keep records at least for the general period, and longer when rules require it.

Follow the rules and get help when unsure.

✗ A. Only paper records count.: scans can work

✗ B. Professionals are never needed for taxes.: sometimes needed

✗ D. All records can be thrown out the day after the tax return is filed.: too soon

Arithmetic checked by code: not applicable. Sources: irs_records

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S69-M-Q1 · question page 1435

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does a quote tell a customer?

Answer: D. What a job will cost before work begins

A quote prices the job in advance.

- ✗ A. How much the business paid for its last tax return: unrelated
- ✗ B. Which competitor charges the lowest price nearby: not a quote
- ✗ C. How many hours the owner slept last week: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q2 · question page 1436

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What should a clear quote state about scope?

Answer: A. What is included and what is not

Scope prevents disputes.

- ✗ B. Only the price, with no description of the work at all: too vague
- ✗ C. Only the owner's years of experience in the field: not scope
- ✗ D. A promise that every extra will be free of charge: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q3 · question page 1437

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does "valid for 30 days" mean on a quote?

Answer: B. The price holds for 30 days

Validity sets a time limit.

- ✗ A. The customer pays 30 percent more after accepting: not the meaning
- ✗ C. The work must be finished within 30 minutes: not the meaning

✗ D. The quote can never be accepted after the first day: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q4 · question page 1438

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

How should the price in a quote be built?

Answer: C. From costs and time

Costs and time drive price.

✗ A. From whatever a friend charged years ago: unrelated costs
✗ B. From a quick guess on the spot: unreliable
✗ D. From the customer's budget alone: may not cover costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-M-Q5 · question page 1439

ENT.PAY.01 · Write a clear quote with inclusions, exclusions and validity

What does a proposal usually add beyond a quote?

Answer: D. The problem, deliverables and timeline

Proposals give fuller detail.

✗ A. A copy of the owner's personal bank statements: private
✗ B. Nothing at all; they are always identical: proposals add detail
✗ C. A list of the owner's favorite hobbies and interests: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q1 · question page 1440

ENT.PAY.01 · A restaurant menu with a clear price

Which menu line is clearer?

Answer: B. "Burger with fries, 12 dollars; cheese 1 dollar extra"

Clear items and prices.

- ✗ A. "Prices change every hour": vague
- ✗ C. "Food, about 10 dollars, maybe more, depending on the day": vague
- ✗ D. "Ask the cook what it costs": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q2 · question page 1441

ENT.PAY.01 · A restaurant menu with a clear price

"Cheese 1 dollar extra" is like what in a quote?

Answer: D. An item not included in the base price

Extras are listed separately.

- ✗ A. A tax on all food: not tax
- ✗ B. A discount: not a discount
- ✗ C. A free gift for every customer who orders: not free

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q3 · question page 1442

ENT.PAY.01 · A restaurant menu with a clear price

Why is "about 10, maybe more" a problem?

Answer: B. The customer cannot know the final price

Vague prices cause disputes.

- ✗ A. It is always cheaper: not known
- ✗ C. It makes the cooking go faster in the kitchen: unrelated
- ✗ D. It is required by law: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q4 · question page 1443

ENT.PAY.01 · A restaurant menu with a clear price

A clear quote should read like what?

Answer: B. The good menu

Clear and specific.

- ✗ A. A blank page: empty
- ✗ C. The bad menu: vague
- ✗ D. A shopping list: not priced

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-B1-Q5 · question page 1444

ENT.PAY.01 · A restaurant menu with a clear price

What does a clear menu prevent?

Answer: A. Surprises when the bill arrives

Clarity prevents surprises.

- ✗ B. Taxes being paid: no
- ✗ C. Customers ordering food at all: no
- ✗ D. The cook working: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q1 · question page 1445

ENT.PAY.01 · Apply it: build and improve a quote

A painter estimates 12 hours at 40 dollars an hour plus 180 dollars of paint. What should the quote total be?

Answer: D. 660 dollars

12 x 40 + 180 = 660.

- ✗ A. 220 dollars: added hours and rate

✗ B. 180 dollars: paint only

✗ C. 480 dollars: labor only

Arithmetic checked by code: yes. Sources: none (stable)

S69-F1-Q2 · question page 1446

ENT.PAY.01 · Apply it: build and improve a quote

Which quote is clearest?

Answer: B. "Paint 2 bedrooms, walls only, 660 dollars, valid 30 days"

Scope, price and validity.

✗ A. "Rooms painted, price depends on my mood": vague

✗ C. "Painting, around 600 or so, and we will see about the rest later": vague

✗ D. "Whatever you think is fair for the painting": no price

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q3 · question page 1447

ENT.PAY.01 · Apply it: build and improve a quote

A client asks whether ceilings are included. The quote said "walls only." What does the quote show?

Answer: C. Ceilings are not included

Exclusions answer the question.

✗ A. Ceilings are included at no extra charge: quote says walls only

✗ B. The whole house is included: not stated

✗ D. The quote is no longer valid: still valid

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F1-Q4 · question page 1448

ENT.PAY.01 · Apply it: build and improve a quote

A quote requires a 30 percent deposit on 660 dollars. How much is the deposit?

Answer: D. 198 dollars

0.30 x 660 = 198.

- ✗ A. 220 dollars: one third
- ✗ B. 30 dollars: percent as dollars
- ✗ C. 462 dollars: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S69-F1-Q5 · question page 1449

ENT.PAY.01 · Apply it: build and improve a quote

A customer accepts a quote 45 days after it was sent; it was valid for 30 days and paint prices rose. What may the owner do?

Answer: D. Update the quote, since the validity period passed

Validity periods allow updating.

- ✗ A. Refuse to speak to the customer: unnecessary
- ✗ B. Honor any old price forever: validity expired
- ✗ C. Double the price without any explanation to the customer: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q1 · question page 1450

ENT.PAY.01 · Handle the complications: underquoting and pressure

An owner quoted 400 dollars, then realized the job will take twice as long as planned. What is a fair approach?

Answer: B. Explain early and agree on any change before doing extra work

Communicate before proceeding.

- ✗ A. Abandon the job without notice: harmful
- ✗ C. Charge 800 dollars at the end without any warning to the client: surprise
- ✗ D. Quietly do half the work: dishonest

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q2 · question page 1451

ENT.PAY.01 · Handle the complications: underquoting and pressure

A client pressures for a quote on the spot without details. What is the best response?

Answer: A. Ask questions or give a range with clear assumptions

Assumptions protect both sides.

- ✗ B. Refuse to ever quote: loses business
- ✗ C. Promise unlimited work for one price: risky
- ✗ D. Give a firm low number right away just to win the job: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q3 · question page 1452

ENT.PAY.01 · Handle the complications: underquoting and pressure

A quote omitted travel time; travel adds 3 hours at 40 dollars. How much was underquoted?

Answer: B. 120 dollars

3 x 40 = 120.

- ✗ A. 13 dollars: divided
- ✗ C. 43 dollars: added
- ✗ D. 40 dollars: one hour

Arithmetic checked by code: yes. Sources: none (stable)

S69-F2-Q4 · question page 1453

ENT.PAY.01 · Handle the complications: underquoting and pressure

Two quotes for the same job: one 30 percent cheaper with no scope listed. What should a customer consider?

Answer: D. What is actually included

Price without scope is hard to compare.

- ✗ A. Only the lower number: ignores scope
- ✗ B. Only the company logo: irrelevant
- ✗ C. Nothing else: scope matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S69-F2-Q5 · question page 1454

ENT.PAY.01 · Handle the complications: underquoting and pressure

Which statement is accurate?

Answer: B. A clear quote protects both the customer and the business.

Clarity builds trust.

- ✗ A. Quotes are never binding in any way.: can be relied on
- ✗ C. Exclusions should be hidden.: should be clear
- ✗ D. Vague quotes help businesses charge more fairly in the long run.: cause disputes

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q1 · question page 1456

ENT.PAY.02 · Set payment terms and milestone payments in writing

When should payment terms be written down?

Answer: D. Before work starts

Agree terms up front.

- ✗ A. After the customer refuses to pay: too late
- ✗ B. Only if the job is under 10 dollars: all jobs benefit
- ✗ C. Never; spoken promises are always enough: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q2 · question page 1457

ENT.PAY.02 · Set payment terms and milestone payments in writing

What are milestone payments?

Answer: C. Payments split into parts at stages of a job

Milestones split the price.

- ✗ A. A single payment made a year after the job: not milestones
- ✗ B. A discount for paying in cash only: not milestones
- ✗ D. A fee for driving past a mile marker: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q3 · question page 1458

ENT.PAY.02 · Set payment terms and milestone payments in writing

A 5,000-dollar job uses 30/40/30 milestones. How much is due at the midpoint?

Answer: A. 2,000 dollars

0.40 x 5,000 = 2,000.

- ✗ B. 1,500 dollars: first or last part
- ✗ C. 3,000 dollars: too much
- ✗ D. 5,000 dollars: all

Arithmetic checked by code: yes. Sources: none (stable)

S70-M-Q4 · question page 1459

ENT.PAY.02 · Set payment terms and milestone payments in writing

Which item belongs in payment terms?

Answer: B. Accepted payment methods

Methods are part of terms.

✗ A. The customer's home décor style: irrelevant

✗ C. The owner's favorite song: irrelevant

✗ D. A list of competitors: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-M-Q5 · question page 1460

ENT.PAY.02 · Set payment terms and milestone payments in writing

Before adding a late fee to terms, what should be checked?

Answer: C. Whether it is allowed where you operate

Late fees must be lawful.

✗ A. Whether customers will like it: not the rule

✗ B. Whether it rhymes with the business name: irrelevant

✗ D. Nothing; any fee is always allowed: rules vary

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-B1-Q1 · question page 1461

ENT.PAY.02 · Splitting a total by percentages

What is 25 percent of 4,000?

Answer: D. 1,000

0.25 x 4,000 = 1,000.

✗ A. 250: moved decimal

✗ B. 4,025: added

✗ C. 3,000: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q2 · question page 1462

ENT.PAY.02 · Splitting a total by percentages

Do 30, 40 and 30 percent add to 100?

Answer: A. Yes

30 + 40 + 30 = 100.

- ✗ B. No, they add to 110: miscounted
- ✗ C. No, they add to 90: miscounted
- ✗ D. No, they add to 70: miscounted

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q3 · question page 1463

ENT.PAY.02 · Splitting a total by percentages

1,200 at 50/50. What is each payment?

Answer: C. 600

0.50 x 1,200 = 600.

- ✗ A. 50: percent as number
- ✗ B. 1,200: all
- ✗ D. 500: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q4 · question page 1464

ENT.PAY.02 · Splitting a total by percentages

A plan says 20/30/40 percent. What is wrong?

Answer: D. The parts add to only 90 percent

20 + 30 + 40 = 90.

- ✗ A. Percents cannot be used: they can
- ✗ B. The parts add to 110 percent: miscounted
- ✗ C. Nothing is wrong at all: missing 10

Arithmetic checked by code: yes. Sources: none (stable)

S70-B1-Q5 · question page 1465

ENT.PAY.02 · Splitting a total by percentages

3,000 at 40/60. What is the second payment?

Answer: B. 1,800

0.60 x 3,000 = 1,800.

- ✗ A. 600: difference
- ✗ C. 1,200: first payment
- ✗ D. 3,000: all

Arithmetic checked by code: yes. Sources: none (stable)

S70-F1-Q1 · question page 1466

ENT.PAY.02 · Apply it: choose terms for a job

A web designer takes an 8-week, 6,000-dollar project and must buy software licenses at the start. Which terms fit?

Answer: A. A deposit up front with milestone payments

Deposits and milestones match costs to timing.

- ✗ B. Full payment 90 days after finishing: cash strain
- ✗ C. No written terms, just trust: risky
- ✗ D. Payment only if the client is fully happy, someday: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q2 · question page 1467

ENT.PAY.02 · Apply it: choose terms for a job

Terms: 25 percent deposit, balance due on completion, for a 2,400-dollar job. What is the balance?

Answer: D. 1,800 dollars

2,400 - 600 = 1,800.

- ✗ A. 600 dollars: deposit
- ✗ B. 2,400 dollars: all
- ✗ C. 2,375 dollars: subtracted 25

Arithmetic checked by code: yes. Sources: none (stable)

S70-F1-Q3 · question page 1468

ENT.PAY.02 · Apply it: choose terms for a job

A client wants to pay by a method the business does not accept. What helps avoid this?

Answer: A. Listing accepted methods in the terms

Clear methods up front.

- ✗ B. Accepting any method a stranger suggests: risky
- ✗ C. Changing methods after the work is done: confusing
- ✗ D. Refusing to say how to pay: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q4 · question page 1469

ENT.PAY.02 · Apply it: choose terms for a job

Which written term is clearest?

Answer: B. "Balance due within 15 days of the invoice date by bank transfer or card"

Specific timing and method.

- ✗ A. "Payment expected at some point soon": vague
- ✗ C. "Pay whenever you can, I guess, by however works best for you": vague
- ✗ D. "We will talk about money later on": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F1-Q5 · question page 1470

ENT.PAY.02 · Apply it: choose terms for a job

A 3,000-dollar project at 30/40/30: the client paid the deposit and the midpoint. How much is still owed?

Answer: C. 900 dollars

0.30 x 3,000 = 900.

- ✗ A. 3,000 dollars: all
- ✗ B. 2,100 dollars: amount paid
- ✗ D. 1,200 dollars: midpoint

Arithmetic checked by code: yes. Sources: none (stable)

S70-F2-Q1 · question page 1471

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

A client has not paid the midpoint milestone but wants the next phase started. What does good practice suggest?

Answer: B. Pause the next phase until the milestone is paid, as the terms say

Follow agreed terms.

- ✗ A. Delete the client's files: harmful
- ✗ C. Double the price as punishment: unfair
- ✗ D. Start the next phase anyway and simply hope the missing payment comes later: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q2 · question page 1472

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

A client asks to change terms from Net 15 to Net 60 after signing. What should the owner do?

Answer: D. Decide whether to agree, and put any change in writing

Written changes avoid confusion.

- ✗ A. Stop all communication: harmful
- ✗ B. Agree verbally and change nothing in the written terms: unclear
- ✗ C. Accept every request automatically: may harm cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q3 · question page 1473

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

Terms say a 1.5 percent monthly late fee (where allowed). A 1,000-dollar balance is 2 months late. What is the simple total of the fees?

Answer: A. 30 dollars

0.015 x 1,000 x 2 = 30.

- ✗ B. 300 dollars: used 15 percent
- ✗ C. 3 dollars: moved decimal
- ✗ D. 15 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S70-F2-Q4 · question page 1474

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

An owner forgot to write terms and the client pays 75 days later. What lesson applies?

Answer: D. Put terms in writing before starting

Written terms set expectations.

- ✗ A. Clients always pay on time: not true
- ✗ B. Terms only matter for big companies: all benefit
- ✗ C. Never work for clients again: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S70-F2-Q5 · question page 1475

ENT.PAY.02 · Handle the complications: unpaid milestones and changing terms

Which statement is accurate?

Answer: D. Clear written terms make late payments less likely and easier to address.

Terms help but do not guarantee.

- ✗ A. Milestones are illegal for small jobs.: not true
- ✗ B. Late fees are allowed everywhere.: rules vary
- ✗ C. Written terms guarantee that every single client will always pay early.: no guarantee

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q1 · question page 1477

ENT.PAY.03 · Write and apply a fair cancellation policy

Why have a cancellation policy?

Answer: A. Last-minute cancellations leave slots you may not fill

It protects the owner's time.

- ✗ B. Because the law requires the same policy everywhere: not a rule
- ✗ C. To stop customers from ever booking again: not the purpose
- ✗ D. To avoid writing any expectations at all: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q2 · question page 1478

ENT.PAY.03 · Write and apply a fair cancellation policy

Using the example policy, a 200-dollar booking is cancelled 3 days before. What is refunded?

Answer: D. 100 dollars

50 percent of 200 = 100.

✗ A. 0 dollars: within 24 hours only

✗ B. 50 dollars: quarter

✗ C. 200 dollars: full refund window

Arithmetic checked by code: yes. Sources: none (stable)

S71-M-Q3 · question page 1479

ENT.PAY.03 · Write and apply a fair cancellation policy

When should the policy be shared?

Answer: C. Before booking

Share it first.

✗ A. Only to customers who complain: inconsistent

✗ B. Never; it is private: customers need it

✗ D. Only after a cancellation happens: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q4 · question page 1480

ENT.PAY.03 · Write and apply a fair cancellation policy

What does applying a policy consistently mean?

Answer: A. Treating similar cases the same way

Consistency is fair.

✗ B. Applying it only to new customers: inconsistent

✗ C. Changing the rules for every customer randomly: inconsistent

✗ D. Ignoring the policy whenever it is inconvenient: inconsistent

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-M-Q5 · question page 1481

ENT.PAY.03 · Write and apply a fair cancellation policy

Which is a reasonable planned exception?

Answer: C. A documented emergency

Exceptions should be deliberate.

- ✗ A. A customer who is simply bored: not an emergency
- ✗ B. Anyone who complains loudly: not planned
- ✗ D. A friend of a friend asking nicely: not planned

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q1 · question page 1482

ENT.PAY.03 · Saving a seat at a show

A booked appointment is like what?

Answer: B. A seat held at a show

It reserves a slot.

- ✗ A. A free gift for coming: no
- ✗ C. A coupon: no
- ✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q2 · question page 1483

ENT.PAY.03 · Saving a seat at a show

Why do late cancellations hurt the theater?

Answer: A. The seat is probably left empty

Lost sales.

- ✗ B. The empty seat gets bigger: no
- ✗ C. Tickets become free: no
- ✗ D. The show gets longer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q3 · question page 1484

ENT.PAY.03 · Saving a seat at a show

A cancellation policy is like what?

Answer: D. Ticket refund rules

Rules for refunds.

- ✗ A. A map: no
- ✗ B. A cooking recipe: no
- ✗ C. A menu: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q4 · question page 1485

ENT.PAY.03 · Saving a seat at a show

What does the theater do when it holds your seat?

Answer: C. Turns other people away

Holding a seat has a cost.

- ✗ A. Sells it twice to two people: no
- ✗ B. Closes early: no
- ✗ D. Gives it away: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-B1-Q5 · question page 1486

ENT.PAY.03 · Saving a seat at a show

For a service business, the "seat" is what?

Answer: A. A slot of the owner's time

Time is the reserved resource.

✗ B. A parking spot: no

✗ C. A product on a shelf: no

✗ D. A chair in the waiting lobby: too literal

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q1 · question page 1487

ENT.PAY.03 · Apply it: apply the policy to cases

Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar session is cancelled 12 hours before. What is refunded?

Answer: C. 0 dollars

Within 24 hours: no refund.

✗ A. 300 dollars: full window

✗ B. 75 dollars: quarter

✗ D. 150 dollars: 50 percent window

Arithmetic checked by code: yes. Sources: none (stable)

S71-F1-Q2 · question page 1488

ENT.PAY.03 · Apply it: apply the policy to cases

Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar booking is cancelled 10 days before. What is refunded?

Answer: A. 300 dollars

7+ days: full refund.

✗ B. 30 dollars: misread

✗ C. 150 dollars: 50 percent window

✗ D. 0 dollars: too late window

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q3 · question page 1489

ENT.PAY.03 · Apply it: apply the policy to cases

A photographer loses 4 late-cancelled sessions a month at 150 dollars each. How much income is at risk without a policy?

Answer: D. 600 dollars

4 x 150 = 600.

- ✗ A. 154 dollars: added
- ✗ B. 37.50 dollars: divided
- ✗ C. 150 dollars: one session

Arithmetic checked by code: yes. Sources: none (stable)

S71-F1-Q4 · question page 1490

ENT.PAY.03 · Apply it: apply the policy to cases

Which expectation statement is clearest?

Answer: C. "You will receive 20 edited photos within 10 days by email."

Specific deliverables and timing.

- ✗ A. "Ask me later about what you get.": vague
- ✗ B. "You will get some photos at some point.": vague
- ✗ D. "Photos come whenever they are ready, eventually, by some method.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F1-Q5 · question page 1491

ENT.PAY.03 · Apply it: apply the policy to cases

A customer cancels because of a hospital emergency 6 hours before. The policy allows emergency exceptions. What fits?

Answer: B. Apply the planned exception

Use the planned exception.

✗ A. Charge double for the trouble: unfair

✗ C. Refuse because rules are rules: policy allows exception

✗ D. Ignore the message: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q1 · question page 1492

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

A customer says she never saw the policy. What prevents this next time?

Answer: B. Requiring a checkbox or signature showing the policy was read

Proof of agreement.

✗ A. Changing the policy after booking: unfair

✗ C. Never having a policy at all: no protection

✗ D. Hiding the policy in tiny text at the very bottom of the site: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q2 · question page 1493

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

One client cancels late every month. What is a reasonable step?

Answer: B. Require a nonrefundable deposit for that client's bookings

Deposits protect the slot.

✗ A. Insult the client online: harmful

✗ C. Keep giving that client full refunds forever, no matter what: continued losses

✗ D. Stop working entirely: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q3 · question page 1494

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

A 50 percent refund was promised but the owner refunds only 30 percent of 200 dollars. How much is still owed to the customer?

Answer: B. 40 dollars

Promised 100; refunded 60; owed 40.

- ✗ A. 100 dollars: promised amount
- ✗ C. 60 dollars: what was refunded
- ✗ D. 140 dollars: remainder

Arithmetic checked by code: yes. Sources: none (stable)

S71-F2-Q4 · question page 1495

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

Local consumer rules may override parts of a policy. What should the owner do?

Answer: C. Check the rules where she operates

Policies must follow law.

- ✗ A. Copy another state's policy: different rules
- ✗ B. Ignore the rules: risky
- ✗ D. Assume her policy always wins: may not

Arithmetic checked by code: not applicable. Sources: none (stable)

S71-F2-Q5 · question page 1496

ENT.PAY.03 · Handle the complications: disputes and repeat cancellations

Which statement is accurate?

Answer: D. A clear policy shared in advance prevents many disputes.

Clarity reduces conflict.

- ✗ A. Policies cause more disputes than they prevent.: not usually
- ✗ B. Exceptions should be random.: should be planned
- ✗ C. Refunds are never required.: rules vary

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q1 · question page 1498

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

What is scope creep?

Answer: B. Extra requests added without changing price or time

Unpriced extras pile up.

- ✗ A. A supplier raising prices every year: not scope creep
- ✗ C. A customer paying an invoice a little early: not scope creep
- ✗ D. A slow increase in the business's advertising budget: not scope creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q2 · question page 1499

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

What is a change order?

Answer: A. A written note of a new request with its cost and time

It records approved changes.

- ✗ B. A new order of supplies placed with a wholesaler: not this meaning
- ✗ C. A refund paid when a customer cancels: not this meaning
- ✗ D. An order to change the company name: not this meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q3 · question page 1500

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

When should the customer approve a change order?

Answer: C. Before the extra work starts

Approve first.

✗ A. Never; approval is not needed: needed

✗ B. Only if the change is free: all changes

✗ D. After the work is finished: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-M-Q4 · question page 1501

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

A 1,000-dollar job took 20 hours. Scope creep added 10 unpaid hours. What happened to the hourly earnings?

Answer: A. They fell by one third

50 an hour before; about 33 an hour after.

✗ B. They rose by 10 dollars an hour: no

✗ C. They stayed exactly the same: more hours

✗ D. They doubled because more work was done: no extra pay

Arithmetic checked by code: yes. Sources: none (stable)

S72-M-Q5 · question page 1502

ENT.PAY.04 · Recognize scope creep and handle changes with a change order

Are small favors ever acceptable?

Answer: D. Yes, when decided on purpose

Intentional favors are a choice.

✗ A. Only for strangers: arbitrary

✗ B. No, never under any circumstances: can be fine

✗ C. Yes, always, for every request: creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q1 · question page 1503

ENT.PAY.04 · Adding rooms to a house plan

The third room is like what?

Answer: C. A scope change

It is extra work.

- ✗ A. A tax: no
- ✗ B. The original plan: no
- ✗ D. A discount: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q2 · question page 1504

ENT.PAY.04 · Adding rooms to a house plan

What does a good builder write down?

Answer: D. The extra room, cost and time

A change order captures it.

- ✗ A. Nothing: no
- ✗ B. Only the start date of the room: incomplete
- ✗ C. Only the color: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q3 · question page 1505

ENT.PAY.04 · Adding rooms to a house plan

Without a written note, what can happen?

Answer: C. Free work or a surprise bill

Unclear changes cause conflict.

- ✗ A. Nothing at all: problems
- ✗ B. Faster building by the crew: no
- ✗ D. Lower taxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q4 · question page 1506

ENT.PAY.04 · Adding rooms to a house plan

When does the customer sign?

Answer: B. Before the extra room is started

Approve first.

- ✗ A. After it is built: too late
- ✗ C. Never: needed
- ✗ D. Only when it rains on the site: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-B1-Q5 · question page 1507

ENT.PAY.04 · Adding rooms to a house plan

The signed note is called what?

Answer: D. A change order

It authorizes the change.

- ✗ A. A deed: no
- ✗ B. A license: no
- ✗ C. A store receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q1 · question page 1508

ENT.PAY.04 · Apply it: write change orders

A designer agreed to 3 logo concepts for 900 dollars. The client asks for 2 more. Each concept takes 4 hours at 50 dollars. What should the change order add?

Answer: A. 400 dollars

2 x 4 x 50 = 400.

- ✗ B. 900 dollars: original
- ✗ C. 100 dollars: hours only
- ✗ D. 200 dollars: one concept

Arithmetic checked by code: yes. Sources: none (stable)

S72-F1-Q2 · question page 1509

ENT.PAY.04 · Apply it: write change orders

Which change order is clearest?

Answer: B. "Add 2 logo concepts, 400 dollars, 4 extra days. Approved: ____"

Specific, priced and approved.

- ✗ A. "Extra work, maybe extra money, maybe not": vague
- ✗ C. "Some more stuff added, and we will figure out the cost later": vague
- ✗ D. "Will do it, do not worry about cost": unpriced

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q3 · question page 1510

ENT.PAY.04 · Apply it: write change orders

A client says "Can you just quickly add a page?" to a website contract. What is the best first step?

Answer: C. Explain it is outside scope and offer a change order

Name the change and price it.

- ✗ A. Add it silently for free each time the client asks: creep
- ✗ B. Refuse to talk about it: unhelpful
- ✗ D. Charge without telling the client: surprise

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F1-Q4 · question page 1511

ENT.PAY.04 · Apply it: write change orders

An original job is 2,000 dollars and change orders add 300 and 150 dollars. What is the new total?

Answer: D. 2,450 dollars

2,000 + 300 + 150 = 2,450.

- ✗ A. 450 dollars: changes only
- ✗ B. 2,300 dollars: missed one
- ✗ C. 2,150 dollars: missed one

Arithmetic checked by code: yes. Sources: none (stable)

S72-F1-Q5 · question page 1512

ENT.PAY.04 · Apply it: write change orders

A tiny change takes 5 minutes, and the owner chooses to do it free. What makes this healthy rather than creep?

Answer: B. She decided on purpose and tells the client it is a courtesy

Intentional and communicated.

- ✗ A. She hides it and hopes: unclear
- ✗ C. She charges double later: surprise
- ✗ D. She does every request the client makes for free, always: creep

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q1 · question page 1513

ENT.PAY.04 · Handle the complications: blurred lines and pushback

A contract says "website design" with no details. Every request seems in scope to the client. What was missing?

Answer: D. A clear list of what is included

Vague scope invites creep.

✗ A. A longer timeline only: not the issue

✗ B. A bigger logo on the contract: irrelevant

✗ C. A lower price: not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q2 · question page 1514

ENT.PAY.04 · Handle the complications: blurred lines and pushback

A client refuses to pay for a change order she approved in writing. What supports the owner?

Answer: A. The signed change order

Written approval is evidence.

✗ B. Nothing; approvals do not matter: they do

✗ C. A social media post: weak

✗ D. A memory of a phone call: weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q3 · question page 1515

ENT.PAY.04 · Handle the complications: blurred lines and pushback

Scope creep added 15 hours to a job priced for 30 hours at an effective 40 dollars an hour. What is the new effective rate, to the nearest cent?

Answer: B. 26.67 dollars an hour

1,200 / 45 = 26.67.

✗ A. 20.00 dollars an hour: doubled hours

✗ C. 40.00 dollars an hour: ignored creep

✗ D. 60.00 dollars an hour: wrong direction

Arithmetic checked by code: yes. Sources: none (stable)

S72-F2-Q4 · question page 1516

ENT.PAY.04 · Handle the complications: blurred lines and pushback

A request changes the deadline but not the work. Does it need a change order?

Answer: A. Yes, timeline changes should be written too

Scope includes time.

- ✗ B. Only if the client is new: all clients
- ✗ C. No, deadlines never change: they can
- ✗ D. No, only changes to the price ever matter: time matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S72-F2-Q5 · question page 1517

ENT.PAY.04 · Handle the complications: blurred lines and pushback

Which statement is accurate?

Answer: D. Written change orders protect profit and the relationship.

Clarity helps everyone.

- ✗ A. Only large companies with big contracts need change orders.: all benefit
- ✗ B. Change orders insult clients.: they clarify
- ✗ C. Scope creep always helps profit.: hurts it

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-M-Q1 · question page 1519

ENT.PAY.05 · Set clear subscription terms and read churn

What should subscription terms state?

Answer: C. Price, frequency, renewal and how to cancel

Complete terms build trust.

- ✗ A. Only the price, with no word about cancelling: incomplete
- ✗ B. Only the founder's name and photo: not terms
- ✗ D. Only the company's history and mission: not terms

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-M-Q2 · question page 1520

ENT.PAY.05 · Set clear subscription terms and read churn

What is churn?

Answer: A. The share of subscribers who cancel in a period

Churn measures cancellations.

- ✗ B. The number of new products launched each year: not churn
- ✗ C. The speed of the website checkout page: not churn
- ✗ D. The price increase each month: not churn

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-M-Q3 · question page 1521

ENT.PAY.05 · Set clear subscription terms and read churn

A service has 200 subscribers and 10 cancel this month. What is the monthly churn?

Answer: B. 5 percent

10 / 200 = 0.05.

- ✗ A. 10 percent: used count as percent
- ✗ C. 20 percent: divided wrongly
- ✗ D. 2 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S73-M-Q4 · question page 1522

ENT.PAY.05 · Set clear subscription terms and read churn

Why make cancelling easy?

Answer: C. Hard cancellation can break rules and destroys trust

Honest cancellation is expected.

✗ A. Easy cancelling always doubles the number of subscribers: not guaranteed

✗ B. To avoid ever sending reminders: unrelated

✗ D. Because subscriptions are illegal: they are legal

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-M-Q5 · question page 1523

ENT.PAY.05 · Set clear subscription terms and read churn

What is a common cause of failed payments?

Answer: B. Expired cards

Cards expire.

✗ A. Customers liking the product too much: no

✗ C. Too many reminders being sent: no

✗ D. The logo changing color: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-B1-Q1 · question page 1524

ENT.PAY.05 · Monthly totals and percent lost

100 subscribers at 15 dollars. What is monthly revenue?

Answer: C. 1,500

100 x 15 = 1,500.

✗ A. 150: moved decimal

✗ B. 15,000: extra zero

✗ D. 115: added

Arithmetic checked by code: yes. Sources: none (stable)

S73-B1-Q2 · question page 1525

ENT.PAY.05 · Monthly totals and percent lost

8 of 200 cancel. What is churn?

Answer: A. 4 percent

8 / 200 = 0.04.

- ✗ B. 0.4 percent: moved decimal
- ✗ C. 25 percent: reversed
- ✗ D. 8 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S73-B1-Q3 · question page 1526

ENT.PAY.05 · Monthly totals and percent lost

After 6 of 150 cancel, how many remain?

Answer: D. 144

150 - 6 = 144.

- ✗ A. 156: added
- ✗ B. 150: start
- ✗ C. 6: cancelled

Arithmetic checked by code: yes. Sources: none (stable)

S73-B1-Q4 · question page 1527

ENT.PAY.05 · Monthly totals and percent lost

144 subscribers at 12 dollars. What is revenue?

Answer: C. 1,728

144 x 12 = 1,728.

- ✗ A. 12: price
- ✗ B. 156: added
- ✗ D. 1,800: old count

Arithmetic checked by code: yes. Sources: none (stable)

S73-B1-Q5 · question page 1528

ENT.PAY.05 · Monthly totals and percent lost

Churn is calculated by dividing cancellations by what?

Answer: B. Starting subscribers

Use the starting count.

- ✗ A. New subscribers that month: wrong base
- ✗ C. Revenue: wrong base
- ✗ D. The price: wrong base

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F1-Q1 · question page 1529

ENT.PAY.05 · Apply it: evaluate a subscription plan

A box costs 25 dollars a month; 300 subscribers; 6 percent churn. About how many cancel this month?

Answer: A. 18

0.06 x 300 = 18.

- ✗ B. 50: divided wrongly
- ✗ C. 282: remaining
- ✗ D. 6: percent as count

Arithmetic checked by code: yes. Sources: none (stable)

S73-F1-Q2 · question page 1530

ENT.PAY.05 · Apply it: evaluate a subscription plan

Which terms are clearest?

Answer: A. "14 dollars a month, renews monthly, cancel anytime in your account."

Price, renewal, cancel method.

- ✗ B. "Free! (Charges later, see fine print.)": hidden
- ✗ C. "Small monthly fee, terms may apply somewhere.": vague
- ✗ D. "Call us during weekday business hours to discuss cancelling your plan.": harder than needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F1-Q3 · question page 1531

ENT.PAY.05 · Apply it: evaluate a subscription plan

A free 7-day trial converts to 20 dollars a month. What must customers be told before signing up?

Answer: B. That they will be charged after the trial unless they cancel

Disclose post-trial charges.

- ✗ A. Only the company's address: incomplete
- ✗ C. Only the trial length: incomplete
- ✗ D. Nothing, because surprise charges are good for sales: harms trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F1-Q4 · question page 1532

ENT.PAY.05 · Apply it: evaluate a subscription plan

40 payments fail each month from expired cards. What helps recover them?

Answer: C. Reminders asking customers to update their card

Reminders recover payments.

- ✗ A. Cancelling those customers' accounts immediately: loses customers
- ✗ B. Ignoring the failures: lost revenue
- ✗ D. Charging a random other card: not allowed

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F1-Q5 · question page 1533

ENT.PAY.05 · Apply it: evaluate a subscription plan

A subscription has 500 members at 10 dollars and churn rises from 3 to 8 percent. How many more members are lost per month?

Answer: D. 25

0.08 x 500 - 0.03 x 500 = 40 - 15 = 25.

- ✗ A. 15: old churn count
- ✗ B. 40: new churn count
- ✗ C. 5: percent difference

Arithmetic checked by code: yes. Sources: none (stable)

S73-F2-Q1 · question page 1534

ENT.PAY.05 · Handle the complications: dark patterns and price changes

A competitor makes cancellation require a phone call during limited hours. Why should a new business avoid copying this?

Answer: A. It can break consumer rules and drives away trust

Easy, honest exits.

- ✗ B. Customers actually prefer a difficult cancellation process: no
- ✗ C. It always increases loyalty: not true
- ✗ D. Phones are illegal for businesses: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F2-Q2 · question page 1535

ENT.PAY.05 · Handle the complications: dark patterns and price changes

A subscription price will rise next month. What should the business do?

Answer: C. Give advance notice with the new price and date

Notice keeps trust.

✗ A. Raise it quietly for loyal long-time members only: unfair

✗ B. Raise it silently: surprise

✗ D. Hide it in a long email footer: unclear

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F2-Q3 · question page 1536

ENT.PAY.05 · Handle the complications: dark patterns and price changes

A customer is charged after cancelling because of a system error. What is the right fix?

Answer: A. Refund the charge promptly and fix the system

Correct mistakes quickly.

✗ B. Charge again to test: harmful

✗ C. Ask the customer to prove it twice: burdensome

✗ D. Keep the money since it was an accident: not fair

Arithmetic checked by code: not applicable. Sources: none (stable)

S73-F2-Q4 · question page 1537

ENT.PAY.05 · Handle the complications: dark patterns and price changes

Churn is 10 percent a month. Starting with 1,000 members and no new sign-ups, about how many remain after 2 months?

Answer: C. 810

1,000 x 0.9 x 0.9 = 810.

✗ A. 980: used 1 percent

✗ B. 900: one month

✗ D. 800: subtracted 10 percent of start twice

Arithmetic checked by code: yes. Sources: none (stable)

S73-F2-Q5 · question page 1538

ENT.PAY.05 · Handle the complications: dark patterns and price changes

Which statement is accurate?

Answer: A. Clear terms and easy cancellation support long-term subscriptions.

Honesty sustains subscriptions.

- ✗ B. Hiding the cancellation option is a good long-term growth tactic.: harms trust
- ✗ C. Churn does not matter if prices are high.: it matters
- ✗ D. Trials never need disclosure.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S74-M-Q1 · question page 1540

ENT.PAY.06 · Prevent chargebacks and respond with evidence

What is a chargeback?

Answer: C. A customer disputing a card charge with their bank

The card issuer handles the dispute.

- ✗ A. A fee the business pays to open a bank account: not this
- ✗ B. A coupon the customer uses at checkout: not this
- ✗ D. A refund the business chooses to give on its own: not a dispute

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-M-Q2 · question page 1541

ENT.PAY.06 · Prevent chargebacks and respond with evidence

What can a merchant usually do in response?

Answer: D. Submit evidence by the deadline

Respond with evidence in time.

- ✗ A. Post the customer's card number online: harmful
- ✗ B. Charge the customer again right away: not allowed
- ✗ C. Ignore it, since disputes always resolve for merchants: not true

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-M-Q3 · question page 1542

ENT.PAY.06 · Prevent chargebacks and respond with evidence

Which is useful evidence for a shipped order?

Answer: B. Delivery tracking showing it arrived

Tracking shows delivery.

- ✗ A. A photo of the owner smiling at the shop: not evidence
- ✗ C. The business's logo file: not evidence
- ✗ D. A list of other happy customers: not this order

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-M-Q4 · question page 1543

ENT.PAY.06 · Prevent chargebacks and respond with evidence

Which habit helps prevent disputes?

Answer: D. A recognizable business name on card statements

Recognition prevents "I don't know this charge."

- ✗ A. Hiding the refund policy: causes disputes
- ✗ B. Slow replies to complaints: causes disputes
- ✗ C. A confusing name customers do not recognize: causes disputes

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-M-Q5 · question page 1544

ENT.PAY.06 · Prevent chargebacks and respond with evidence

What sets the response deadline?

Answer: C. The dispute notice, based on card network and reason

Check the notice.

✗ A. The merchant's own preferred schedule for replying: not merchant's choice

✗ B. There is never a deadline: there is

✗ D. The customer's birthday: irrelevant

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-B1-Q1 · question page 1545

ENT.PAY.06 · A referee for payments

In a chargeback, who is like the referee?

Answer: D. The customer's card issuer

The issuer decides.

✗ A. The shipping company that delivered: not the decider

✗ B. The business owner: a party

✗ C. The customer: a party

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-B1-Q2 · question page 1546

ENT.PAY.06 · A referee for payments

The business's "replay" is what?

Answer: C. Receipts, tracking and messages

Evidence.

✗ A. A discount code for later use: no

✗ B. A song: no

✗ D. A logo: no

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-B1-Q3 · question page 1547

ENT.PAY.06 · A referee for payments

Without a replay, what usually happens?

Answer: D. The referee sides with the complaint

Evidence matters.

- ✗ A. The game is cancelled: no
- ✗ B. The business wins automatically: no
- ✗ C. Nothing happens: a decision is made

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

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S74-B1-Q4 · question page 1548

ENT.PAY.06 · A referee for payments

The customer saying a charge should not count is like what?

Answer: B. A player disputing a goal

It is a dispute.

- ✗ A. A coach resting on the bench: no
- ✗ C. A fan cheering: no
- ✗ D. A ticket sale: no

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-B1-Q5 · question page 1549

ENT.PAY.06 · A referee for payments

What helps the business most in a dispute?

Answer: C. Clear evidence

Evidence wins disputes.

- ✗ A. Getting angry: no
- ✗ B. Guessing: no
- ✗ D. Ignoring it: no

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F1-Q1 · question page 1550

ENT.PAY.06 · Apply it: respond to a dispute

A customer disputes a 120-dollar order as "not received." The owner has tracking showing delivery to the customer's address. What should she send?

Answer: C. The tracking record and order receipt by the deadline

Evidence answers the claim.

- ✗ A. Nothing; disputes always go her way: not true
- ✗ B. A new charge to the same card: not allowed
- ✗ D. An angry message to the customer's employer about the dispute: harmful

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F1-Q2 · question page 1551

ENT.PAY.06 · Apply it: respond to a dispute

The card statement shows "XQZ HOLDINGS 4471," but customers know the shop as "Maple Candle Co." What risk does this create?

Answer: D. Customers may not recognize the charge and dispute it

Use a recognizable name.

- ✗ A. No risk at all, because statement names never matter: they do
- ✗ B. Lower card fees: no
- ✗ C. Higher sales automatically: no

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F1-Q3 · question page 1552

ENT.PAY.06 · Apply it: respond to a dispute

A chargeback of 80 dollars is lost and the processor charges a 15-dollar dispute fee (example amount). What is the total cost?

Answer: A. 95 dollars

80 + 15 = 95.

- ✗ B. 80 dollars: missed fee
- ✗ C. 65 dollars: subtracted
- ✗ D. 15 dollars: missed sale

Arithmetic checked by code: yes. Sources: chargeback; stripe_disputes

---

S74-F1-Q4 · question page 1553

ENT.PAY.06 · Apply it: respond to a dispute

A customer emails a complaint before disputing. What response best prevents a chargeback?

Answer: C. Reply quickly and offer a fair fix

Fast, fair responses prevent disputes.

- ✗ A. Tell them to contact their bank: invites dispute
- ✗ B. Block their email: escalates
- ✗ D. Wait two weeks to reply: slow

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F1-Q5 · question page 1554

ENT.PAY.06 · Apply it: respond to a dispute

Which record helps most for a service dispute?

Answer: B. The signed agreement and messages confirming the work

Documents show what was agreed and done.

- ✗ A. A competitor's price list: irrelevant
- ✗ C. A picture of the office plant: irrelevant
- ✗ D. The company's mission statement and values page: irrelevant

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

S74-F2-Q1 · question page 1555

ENT.PAY.06 · Handle the complications: fraud and repeat disputes

An order uses a card that the real cardholder says was stolen. What does this show?

Answer: A. Fraud can cause chargebacks even when the item shipped

Fraud is a dispute reason.

- ✗ B. Shipping guarantees payment: not always
- ✗ C. Chargebacks only happen when the service was poor: not only
- ✗ D. The customer must always be lying: not necessarily

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F2-Q2 · question page 1556

ENT.PAY.06 · Handle the complications: fraud and repeat disputes

A shop has many disputes from orders shipped to addresses that do not match billing. What precaution fits?

Answer: D. Review mismatched high-risk orders before shipping

Screen risky orders.

- ✗ A. Ship faster to everyone: not a fix
- ✗ B. Refuse all card payments: overreaction
- ✗ C. Stop recording customers' shipping addresses: worse

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F2-Q3 · question page 1557

ENT.PAY.06 · Handle the complications: fraud and repeat disputes

A business receives 4 disputes on 400 orders. What is the dispute rate?

Answer: B. 1 percent

4 / 400 = 0.01.

✗ A. 10 percent: misdivided

✗ C. 0.1 percent: moved decimal

✗ D. 4 percent: count

Arithmetic checked by code: yes. Sources: chargeback; stripe_disputes

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S74-F2-Q4 · question page 1558

ENT.PAY.06 · Handle the complications: fraud and repeat disputes

The deadline on a dispute notice is close. The owner is missing some evidence. What should she do?

Answer: A. Submit the evidence she has before the deadline

Respond on time with real evidence.

✗ B. Ignore the notice: loses by default

✗ C. Wait until everything is perfect, even past the deadline: misses deadline

✗ D. Create fake receipts: fraud

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S74-F2-Q5 · question page 1559

ENT.PAY.06 · Handle the complications: fraud and repeat disputes

Which statement is accurate?

Answer: B. Rules and deadlines differ by card network, so read each notice.

Read the specifics.

✗ A. Chargebacks are always just small fees, with no lost sale.: sale can be lost

✗ C. Every dispute has the same deadline.: not true

✗ D. Merchants can never respond.: they can

Arithmetic checked by code: not applicable. Sources: chargeback; stripe_disputes

---

S75-M-Q1 · question page 1561

ENT.PAY.07 · Recognize payment scams and verify before paying

An email from "your supplier" says their bank account changed. What should you do?

Answer: A. Call the supplier at a number you already know

Verify through a known channel.

- ✗ B. Reply to the same email asking if it is real: scammer may answer
- ✗ C. Pay the new account right away to avoid late fees: risky
- ✗ D. Call the phone number listed in that email: may be the scammer

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

---

S75-M-Q2 · question page 1562

ENT.PAY.07 · Recognize payment scams and verify before paying

What is an overpayment scam?

Answer: A. Someone sends too much and asks for the difference back

The original payment often bounces later.

- ✗ B. A bank charging a monthly fee: normal
- ✗ C. A customer paying exactly the invoiced amount on time: normal
- ✗ D. A supplier offering a bulk discount: normal

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

---

S75-M-Q3 · question page 1563

ENT.PAY.07 · Recognize payment scams and verify before paying

How can a business catch fake invoices?

Answer: C. Match each invoice to a real order

Matching reveals fakes.

- ✗ A. Ignore all invoices: misses real bills
- ✗ B. Pay every invoice that looks official: risky

✗ D. Pay invoices under 100 dollars without checking: still risky

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-M-Q4 · question page 1564

ENT.PAY.07 · Recognize payment scams and verify before paying

A customer's check for 1,500 dollars arrives for a 500-dollar order with a request to send back 1,000. What should the owner do?

Answer: C. Do not send the 1,000; check with your bank at a trusted number

Overpayment requests are a common scam: the check can be returned as fake after the funds appear, and the owner would owe the money. Send nothing back; contact the bank at a number you already trust.

✗ A. Deposit the check and spend all 1,500 dollars right away: the check may be fake

✗ B. Send the 1,000 dollars back today, as the customer asks: classic overpayment scam

✗ D. Give the customer the business bank login to sort it out: never share logins

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-M-Q5 · question page 1565

ENT.PAY.07 · Recognize payment scams and verify before paying

Why not use the phone number in a suspicious email?

Answer: B. It may lead to the scammer

Use known contact details.

✗ A. Calling is illegal: no

✗ C. Phones never work for business: no

✗ D. It is always the correct number: not always

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

S75-B1-Q1 · question page 1566

ENT.PAY.07 · A stranger at the door in a uniform

Why call the water company before paying?

Answer: B. The uniform might be fake

Appearance is not proof.

- ✗ A. Uniforms are illegal to wear: no
- ✗ C. Cash is always best: no
- ✗ D. Water is free: no

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-B1-Q2 · question page 1567

ENT.PAY.07 · A stranger at the door in a uniform

Which number should you call?

Answer: A. The one on your last real bill

Use a known number.

- ✗ B. A random number: no
- ✗ C. The one the stranger gives: may be fake
- ✗ D. No number: verify

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-B1-Q3 · question page 1568

ENT.PAY.07 · A stranger at the door in a uniform

An official-looking email is like what?

Answer: D. The uniform at the door

Looks are not proof.

✗ A. A receipt: no

✗ B. A bank deposit: no

✗ C. A contract you signed: not proof

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-B1-Q4 · question page 1569

ENT.PAY.07 · A stranger at the door in a uniform

What should you do before paying a surprise bill?

Answer: A. Check through a trusted channel

Verify independently.

✗ B. Ask the stranger if he is real: not independent

✗ C. Pay quickly: risky

✗ D. Ignore all bills: misses real ones

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-B1-Q5 · question page 1570

ENT.PAY.07 · A stranger at the door in a uniform

What is the main lesson?

Answer: D. Verify before paying

Independent verification.

✗ A. Trust uniforms: risky

✗ B. Pay in cash: not the lesson

✗ C. Never pay any bill: too extreme

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F1-Q1 · question page 1571

ENT.PAY.07 · Apply it: check suspicious requests

An invoice for 349 dollars arrives for an "online business directory listing" no one ordered. What should the owner do?

Answer: C. Check records; if there is no order, do not pay it

No order, no payment.

- ✗ A. Pay it, because it looks official and has a logo: risky
- ✗ B. Forward it to every customer: unhelpful
- ✗ D. Pay half to be safe: still paying a scam

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F1-Q2 · question page 1572

ENT.PAY.07 · Apply it: check suspicious requests

A supplier's email asks to send this month's 4,200-dollar payment to a new account "urgently." What is the safest response?

Answer: D. Confirm by calling the supplier's known number first

Verify by phone.

- ✗ A. Reply asking for proof by email: scammer may reply
- ✗ B. Send it now because it is urgent: urgency is a red flag
- ✗ C. Split it between the old and new accounts to be safe: still risky

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F1-Q3 · question page 1573

ENT.PAY.07 · Apply it: check suspicious requests

A buyer sends a 900-dollar check for a 300-dollar item and asks for 600 dollars back by gift card. What red flags appear?

Answer: B. Overpayment and a request for gift cards

Overpayment plus gift cards is a scam pattern.

- ✗ A. Only that the item is cheap: not the flag

✗ C. None; this is a normal sale: red flags

✗ D. Only that checks are old-fashioned: not the flag

Arithmetic checked by code: yes. Sources: ftc_fakecheck

S75-F1-Q4 · question page 1574

ENT.PAY.07 · Apply it: check suspicious requests

Which internal rule reduces scam risk most?

Answer: C. Two people approve any bank-detail change

Dual approval adds a check.

✗ A. Never record bank details: unworkable

✗ B. Bank details can be changed by email request only: risky

✗ D. Anyone can change bank details: risky

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F1-Q5 · question page 1575

ENT.PAY.07 · Apply it: check suspicious requests

An email "from the owner" asks the bookkeeper to buy gift cards urgently. What should the bookkeeper do?

Answer: B. Confirm with the owner in person or by a known number

Impersonation scams use urgency.

✗ A. Buy them right away: scam

✗ C. Ignore the owner forever: overreaction

✗ D. Reply to the email with the gift card codes right away: scam

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F2-Q1 · question page 1576

ENT.PAY.07 · Handle the complications: after a mistake

An owner realizes she paid a fake invoice an hour ago. What is the first step?

Answer: B. Contact her bank immediately

Fast action can help recovery.

- ✗ A. Pay another invoice to balance it: no
- ✗ C. Wait a week to see what happens: delay hurts
- ✗ D. Delete the email and forget it: loses evidence

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

---

S75-F2-Q2 · question page 1577

ENT.PAY.07 · Handle the complications: after a mistake

After a scam, what else should the owner do?

Answer: D. Report it and tighten payment checks

Learn and report.

- ✗ A. Blame the bank only: not a fix
- ✗ B. Stop using email entirely for the business: impractical
- ✗ C. Keep it secret from staff: repeats risk

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F2-Q3 · question page 1578

ENT.PAY.07 · Handle the complications: after a mistake

A real supplier truly changed banks. How should the change be confirmed?

Answer: A. By calling a known contact before updating records

Same verification every time.

- ✗ B. By paying a test amount to the new account: still risky
- ✗ C. By asking a customer: unrelated
- ✗ D. By trusting the email because it is real this time: cannot tell

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

S75-F2-Q4 · question page 1579

ENT.PAY.07 · Handle the complications: after a mistake

The bank made the funds from a check available in 2 days, but later says the check was fake and reverses the deposit. What lesson does this teach?

Answer: A. Funds can be made available before a check is proven good

Available funds do not prove a check is good; the depositor owes the money if it is fake.

- ✗ B. Checks always clear for good in exactly 2 days: not always
- ✗ C. Deposits are guaranteed once they show in the account: not guaranteed
- ✗ D. Banks never reverse a deposit after the funds are available: they can

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S75-F2-Q5 · question page 1580

ENT.PAY.07 · Handle the complications: after a mistake

Which statement is accurate?

Answer: B. Urgency, new bank details and overpayments are common scam signs.

Know the patterns.

- ✗ A. Scammers only target large companies.: small too
- ✗ C. Official-looking invoices are always real.: not always
- ✗ D. Gift card payments are a normal way to pay supplier invoices.: red flag

Arithmetic checked by code: not applicable. Sources: ftc_fakecheck

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S76-M-Q1 · question page 1582

ENT.PAY.08 · Plan around supplier terms and communicate delays early

What is lead time?

Answer: A. How long from order to delivery

Lead time is the delivery wait.

- ✗ B. The time until a loan is repaid: not lead time
- ✗ C. The time a customer spends reading an ad: not lead time
- ✗ D. The length of a business meeting: not lead time

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-M-Q2 · question page 1583

ENT.PAY.08 · Plan around supplier terms and communicate delays early

What is a minimum order quantity?

Answer: C. The smallest amount a supplier will sell in one order

Suppliers set minimums.

- ✗ A. The fewest customers a business may serve each day: not this
- ✗ B. The lowest price a shop may charge: not this
- ✗ D. The smallest box size available: not this

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-M-Q3 · question page 1584

ENT.PAY.08 · Plan around supplier terms and communicate delays early

A supplier's lead time is 3 weeks. When should an owner order for a sale starting June 22?

Answer: D. By June 1

June 22 - 21 days = June 1.

- ✗ A. By June 21: too late
- ✗ B. On June 22: too late
- ✗ C. By June 15: too late

Arithmetic checked by code: yes. Sources: none (stable)

S76-M-Q4 · question page 1585

ENT.PAY.08 · Plan around supplier terms and communicate delays early

An order will be late. When should the customer be told?

Answer: C. As soon as the owner knows

Early updates keep trust.

- ✗ A. Never, to avoid awkwardness: harms trust
- ✗ B. On the original delivery day: late
- ✗ D. Only if the customer asks: passive

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-M-Q5 · question page 1586

ENT.PAY.08 · Plan around supplier terms and communicate delays early

What should a delay message include?

Answer: D. What happened, the new date and options

Complete, honest updates.

- ✗ A. Blame on the customer: harmful
- ✗ B. Only an apology, with no new date or options: incomplete
- ✗ C. A promise with no plan: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-B1-Q1 · question page 1587

ENT.PAY.08 · A friend running late

Which message keeps trust?

Answer: C. "Running 30 minutes late, still coming"

Early and specific.

- ✗ A. A message after dinner ends: too late
- ✗ B. "Maybe I'll come, maybe not, we'll see": vague

✗ D. No message at all: silence

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-B1-Q2 · question page 1588

ENT.PAY.08 · A friend running late

What does silence make people assume?

Answer: A. The worst

Silence breeds worry.

✗ B. Nothing: no
✗ C. The best: no
✗ D. A gift is coming: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-B1-Q3 · question page 1589

ENT.PAY.08 · A friend running late

"Want to order without me?" is like what in business?

Answer: A. Offering the customer options

Options respect the customer.

✗ B. Charging more: no
✗ C. Cancelling the order silently: no
✗ D. Hiding the delay: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-B1-Q4 · question page 1590

ENT.PAY.08 · A friend running late

When should the late friend text?

Answer: D. As soon as they know

Early notice.

- ✗ A. After dinner ends: too late
- ✗ B. Next week: no
- ✗ C. Never: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-B1-Q5 · question page 1591

ENT.PAY.08 · A friend running late

"Traffic" in the message is like what?

Answer: C. Explaining what happened

Brief honest reason.

- ✗ A. A discount: no
- ✗ B. A new price: no
- ✗ D. Blaming the customer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F1-Q1 · question page 1592

ENT.PAY.08 · Apply it: order on time and write a delay notice

A shop sells 40 mugs a week. The supplier's lead time is 2 weeks. About how many mugs must be on hand when ordering to avoid running out before delivery?

Answer: A. 80 mugs

40 x 2 = 80.

- ✗ B. 40 mugs: one week
- ✗ C. 42 mugs: added
- ✗ D. 20 mugs: half week

Arithmetic checked by code: yes. Sources: none (stable)

S76-F1-Q2 · question page 1593

ENT.PAY.08 · Apply it: order on time and write a delay notice

A supplier's minimum order is 200 labels; the owner uses 50 a month. How many months will one order last?

Answer: B. 4 months

200 / 50 = 4.

- ✗ A. 2 months: miscalculated
- ✗ C. 200 months: confused
- ✗ D. 50 months: confused

Arithmetic checked by code: yes. Sources: none (stable)

S76-F1-Q3 · question page 1594

ENT.PAY.08 · Apply it: order on time and write a delay notice

Which delay notice is best?

Answer: A. "Your order is delayed by our supplier; new ship date May 9. Reply to cancel for a full refund."

Reason, date and options.

- ✗ B. "Not our fault. Wait.": blames, no date
- ✗ C. No notice at all; just ship the order whenever the supplier's stock finally arrives: silence
- ✗ D. "There may be issues. We'll see.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F1-Q4 · question page 1595

ENT.PAY.08 · Apply it: order on time and write a delay notice

A supplier misses a delivery. The owner promised customers Friday. What is the first step?

Answer: C. Tell affected customers right away with a new estimate

Early notice.

✗ A. Ship empty boxes on time: dishonest

✗ B. Wait until Friday and say nothing to the customers: too late

✗ D. Cancel all orders without asking: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F1-Q5 · question page 1596

ENT.PAY.08 · Apply it: order on time and write a delay notice

Supplier terms are Net 30, and customers pay on delivery, which happens before day 30. Why does this help cash flow?

Answer: D. Customer money arrives before the supplier bill is due

Timing favors the business.

✗ A. It means the supplier never needs to be paid for the goods: still owed

✗ B. It doubles sales: no

✗ C. It removes all costs: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F2-Q1 · question page 1597

ENT.PAY.08 · Handle the complications: repeat delays and backup plans

A key supplier has been late 4 times in 6 months. What should the owner consider?

Answer: D. Finding a backup supplier

Backups reduce dependence.

✗ A. Stopping all sales: overreaction

✗ B. Ignoring the pattern: risky

✗ C. Promising customers faster delivery anyway: unrealistic

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F2-Q2 · question page 1598

ENT.PAY.08 · Handle the complications: repeat delays and backup plans

A backup supplier costs 10 percent more. A 500-dollar order would cost how much more?

Answer: C. 50 dollars

0.10 x 500 = 50.

- ✗ A. 550 dollars: total
- ✗ B. 5 dollars: moved decimal
- ✗ D. 10 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S76-F2-Q3 · question page 1599

ENT.PAY.08 · Handle the complications: repeat delays and backup plans

A customer wants a firm date during a supplier delay. The owner is unsure. What is honest?

Answer: B. Give a range and promise an update by a set day

Honest uncertainty with a follow-up.

- ✗ A. Make up a tracking number: dishonest
- ✗ C. Promise a firm date she cannot be sure of meeting: may break promise
- ✗ D. Refuse to answer at all: unhelpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F2-Q4 · question page 1600

ENT.PAY.08 · Handle the complications: repeat delays and backup plans

Ordering more stock to avoid delays ties up cash. What balance should the owner find?

Answer: A. Enough safety stock without draining cash

Balance risk and cash.

- ✗ B. Order a year of stock at once regardless: drains cash
- ✗ C. Order only after customers complain: too late
- ✗ D. Never keep any stock: risk of running out

Arithmetic checked by code: not applicable. Sources: none (stable)

S76-F2-Q5 · question page 1601

ENT.PAY.08 · Handle the complications: repeat delays and backup plans

Which statement is accurate?

Answer: A. Early, honest updates keep trust even when delays happen.

Communication matters.

- ✗ B. Delays always destroy a business.: not always
- ✗ C. Suppliers never change terms.: they can
- ✗ D. Customers prefer silence to hearing any bad news about orders.: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-M-Q1 · question page 1603

ENT.WEB.01 · Write a clear offer and a single call to action

Which three questions should the top of a main page answer?

Answer: B. What, who it is for, and what to do next

Offer, audience, next step.

- ✗ A. When the owner was born, where she grew up, and her hobbies: not the visitor's questions
- ✗ C. How big the company hopes to grow over the next ten years: not the visitor's question
- ✗ D. Which web host and font the site uses for its pages: technical details

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-M-Q2 · question page 1604

ENT.WEB.01 · Write a clear offer and a single call to action

What is a call to action?

Answer: C. A clear next step for the visitor

It tells visitors what to do.

- ✗ A. A list of every product the business has ever sold: not the meaning
- ✗ B. A legal notice about the site's privacy rules: not the meaning
- ✗ D. A phone call from the owner to every visitor who arrives: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-M-Q3 · question page 1605

ENT.WEB.01 · Write a clear offer and a single call to action

Which headline is clearest?

Answer: D. "Dog walking for busy owners in Eastfield"

It says what and for whom.

- ✗ A. "Welcome to our website, we hope you enjoy your visit": says nothing
- ✗ B. "Excellence in everything we do, every day, for you": vague slogan
- ✗ C. "Passion, quality and dedication since we started": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-M-Q4 · question page 1606

ENT.WEB.01 · Write a clear offer and a single call to action

How many main calls to action should a page usually have?

Answer: A. One

One main action keeps focus.

- ✗ B. Ten, so visitors have plenty of choices: confusing
- ✗ C. None, so visitors decide entirely on their own: no direction
- ✗ D. Five, all with the same size and color: competing

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-M-Q5 · question page 1607

ENT.WEB.01 · Write a clear offer and a single call to action

Which call to action is clearest?

Answer: C. "Book your first walk"

Plain, specific action.

- ✗ A. "Learn about our journey and our values": not an action toward buying
- ✗ B. "Submit": unclear purpose
- ✗ D. "Click here for more stuff and things": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-B1-Q1 · question page 1608

ENT.WEB.01 · A shop sign and an open door

A website's top section is like what?

Answer: B. The shop sign

It says what is sold.

- ✗ A. The back storage room: hidden
- ✗ C. The cash register drawer: not the sign
- ✗ D. The parking lot behind the shop: not visible

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-B1-Q2 · question page 1609

ENT.WEB.01 · A shop sign and an open door

The call to action is like what?

Answer: D. The open door

It invites people in.

✗ A. The roof of the building: not the entry

✗ B. A window with the curtains closed: hides the shop

✗ C. A locked gate around the shop: blocks visitors

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-B1-Q3 · question page 1610

ENT.WEB.01 · A shop sign and an open door

Which sign is clearer?

Answer: B. "Fresh bread, open now"

It names the product.

✗ A. "Dreams": vague

✗ C. "We are here": vague

✗ D. "Welcome to this place": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-B1-Q4 · question page 1611

ENT.WEB.01 · A shop sign and an open door

What happens if the sign and door are missing?

Answer: D. People walk past

Visitors leave.

✗ A. More people come inside: no

✗ B. Rent goes down: no

✗ C. The bread bakes faster: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-B1-Q5 · question page 1612

ENT.WEB.01 · A shop sign and an open door

Can a good shop lose visitors because of a bad sign?

Answer: A. Yes

Clarity matters.

- ✗ B. No, quality always shows from the street: not always
- ✗ C. Only if it rains: no
- ✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F1-Q1 · question page 1613

ENT.WEB.01 · Apply it: rewrite a weak page top

A tutor's page says "Unlock your potential." Which rewrite is best?

Answer: B. "Math tutoring for grades 6-8 in Eastfield. Book a free first session."

What, who, next step.

- ✗ A. "Unlock your potential and reach for the stars every day.": still vague
- ✗ C. "Tutoring. Things. Stuff. Call maybe if you want to.": unclear
- ✗ D. "Welcome! Please read our long story about why we started this business years ago.": no offer

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F1-Q2 · question page 1614

ENT.WEB.01 · Apply it: rewrite a weak page top

A bakery page has buttons for "Order," "Newsletter," "Careers," "Blog" and "Gallery," all the same size. What should change?

Answer: D. Make "Order" the clear main button

One main action stands out.

- ✗ A. Add five more buttons of the same size: more clutter
- ✗ B. Make every button flash: distracting

✗ C. Remove the "Order" button entirely: removes the goal

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F1-Q3 · question page 1615

ENT.WEB.01 · Apply it: rewrite a weak page top

A page gets 500 visitors and 10 click "Book now." What percent clicked?

Answer: A. 2 percent

10 / 500 = 0.02.

✗ B. 10 percent: count
✗ C. 50 percent: reversed
✗ D. 5 percent: misdivided

Arithmetic checked by code: yes. Sources: none (stable)

S77-F1-Q4 · question page 1616

ENT.WEB.01 · Apply it: rewrite a weak page top

Before a headline rewrite, 10 of 500 visitors clicked "Book now." After it, 25 of 500 visitors click. How many more clicks than before?

Answer: C. 15

25 - 10 = 15.

✗ A. 35: added
✗ B. 10: old total
✗ D. 25: new total

Arithmetic checked by code: yes. Sources: none (stable)

S77-F1-Q5 · question page 1617

ENT.WEB.01 · Apply it: rewrite a weak page top

Which detail best shows WHO the offer is for?

Answer: A. "for busy owners in Eastfield"

Names the audience.

- ✗ B. "and so much more": vague
- ✗ C. "with lots of passion and care": feeling
- ✗ D. "since last spring": time

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F2-Q1 · question page 1618

ENT.WEB.01 · Handle the complications: many products and unclear goals

A shop sells candles, soap and gift boxes. What is a good approach for the main page?

Answer: A. Lead with the main offer and link clearly to the others

Clear priority with simple navigation.

- ✗ B. Pick a random product each day: confusing
- ✗ C. Show nothing until visitors scroll far down: hidden
- ✗ D. List every product in tiny text with no headline: overwhelming

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F2-Q2 · question page 1619

ENT.WEB.01 · Handle the complications: many products and unclear goals

An owner wants visitors to call, email, book online and follow on social media, all equally. What is the risk?

Answer: B. Visitors may do nothing because no step stands out

Too many choices.

- ✗ A. More options always mean more sales for the business: not always
- ✗ C. Search engines ban the page: no
- ✗ D. Visitors always do every step: unlikely

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F2-Q3 · question page 1620

ENT.WEB.01 · Handle the complications: many products and unclear goals

A call to action says "Get a quote," but the form asks for 15 fields. What might happen?

Answer: C. Many visitors give up

Long forms lose people.

- ✗ A. Every visitor finishes happily: unlikely
- ✗ B. Sales double automatically: no
- ✗ D. Nothing changes: friction matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F2-Q4 · question page 1621

ENT.WEB.01 · Handle the complications: many products and unclear goals

A headline is clear but the page loads very slowly on phones. What should the owner check next?

Answer: D. Page speed on a phone

Slow pages lose visitors.

- ✗ A. The owner's biography: minor
- ✗ B. The footer color: minor
- ✗ C. The logo's font: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S77-F2-Q5 · question page 1622

ENT.WEB.01 · Handle the complications: many products and unclear goals

Which statement is accurate?

Answer: B. A clear offer and one main next step help visitors act.

Clarity drives action.

✗ A. Slogans always work better than plain descriptions.: not usually

✗ C. More buttons always help.: not always

✗ D. Visitors read every word before deciding.: they skim

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-M-Q1 · question page 1624

ENT.WEB.02 · Add honest trust signals, prices, an FAQ and policies

Which is an honest trust signal?

Answer: A. Genuine reviews used with permission

Real and permitted.

✗ B. Stock photos labeled as the owner's own completed work: misleading

✗ C. Made-up five-star reviews written by the owner herself: fake

✗ D. A "Best in the World" badge the owner designed for herself: fake

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-M-Q2 · question page 1625

ENT.WEB.02 · Add honest trust signals, prices, an FAQ and policies

What is an FAQ?

Answer: D. Answers to common questions

Frequently asked questions.

✗ A. A legal filing with the state each year: not FAQ

✗ B. A list of the owner's favorite quotes: not FAQ

✗ C. A fee charged for answering questions: not FAQ

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-M-Q3 · question page 1626

ENT.WEB.02 · Add honest trust signals, prices, an FAQ and policies

Why show a price or starting price?

Answer: C. It saves visitors and the owner time

Prices help visitors decide.

- ✗ A. It hides the real cost from customers: opposite
- ✗ B. It is required on every website by federal law: not a universal rule
- ✗ D. It guarantees that every visitor will buy: no guarantee

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-M-Q4 · question page 1627

ENT.WEB.02 · Add honest trust signals, prices, an FAQ and policies

When should refund and shipping policies be visible?

Answer: D. Before purchase

Expectations come first.

- ✗ A. Never; policies scare visitors: they build trust
- ✗ B. Only in a printed letter mailed later: hard to find
- ✗ C. Only after a complaint arrives: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-M-Q5 · question page 1628

ENT.WEB.02 · Add honest trust signals, prices, an FAQ and policies

Which detail shows a real business behind the site?

Answer: A. Real contact details

Contact info builds trust.

- ✗ B. A long list of buzzwords: not proof
- ✗ C. A countdown timer on every page: pressure, not trust
- ✗ D. A hidden email address: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-B1-Q1 · question page 1629

ENT.WEB.02 · Meeting a new babysitter

References from families are like what on a website?

Answer: C. Genuine reviews

Real feedback.

- ✗ A. A fancy logo: not trust
- ✗ B. A long slogan: not trust
- ✗ D. Bright colors: not trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-B1-Q2 · question page 1630

ENT.WEB.02 · Meeting a new babysitter

A clear hourly rate is like what?

Answer: B. Showing prices

Prices help decisions.

- ✗ A. A tax form: no
- ✗ C. Hiding prices: opposite
- ✗ D. A coupon: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-B1-Q3 · question page 1631

ENT.WEB.02 · Meeting a new babysitter

"What if my child gets sick?" is like what?

Answer: C. An FAQ answer

Answers to worries.

✗ A. A logo: no

✗ B. A sales pitch: no

✗ D. A review: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-B1-Q4 · question page 1632

ENT.WEB.02 · Meeting a new babysitter

A way to reach the babysitter is like what?

Answer: B. Real contact details

Reachability builds trust.

✗ A. No phone number listed: no

✗ C. A fake address: no

✗ D. A hidden email: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-B1-Q5 · question page 1633

ENT.WEB.02 · Meeting a new babysitter

Why do parents want these things?

Answer: B. To decide whether to trust a stranger

Trust needs evidence.

✗ A. To waste time: no

✗ C. To pay more: no

✗ D. To avoid hiring anyone at all, ever: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F1-Q1 · question page 1634

ENT.WEB.02 · Apply it: strengthen a page's trust

A new cleaning service has no reviews yet. What is an honest option?

Answer: B. Ask early customers for permission to share their feedback

Collect genuine reviews.

- ✗ A. Write a few glowing reviews under made-up customer names: fake
- ✗ C. Copy reviews from a competitor: deceptive
- ✗ D. Buy reviews from a website: fake

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F1-Q2 · question page 1635

ENT.WEB.02 · Apply it: strengthen a page's trust

Customers often email asking about delivery time. What would reduce these emails?

Answer: B. An FAQ answer about delivery times

Answer common questions on the site.

- ✗ A. Removing the email address from the website: loses customers
- ✗ C. A popup advertisement on every page: irrelevant
- ✗ D. Ignoring the emails: harms trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F1-Q3 · question page 1636

ENT.WEB.02 · Apply it: strengthen a page's trust

Which "about" section builds the most trust?

Answer: C. "I'm Dana, I've cleaned homes in Eastfield for 6 years."

A real person with relevant detail.

- ✗ A. "We are a world-leading enterprise of solutions.": vague
- ✗ B. "We prefer to stay anonymous.": less trust
- ✗ D. "About us: coming soon, check back.": empty

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F1-Q4 · question page 1637

ENT.WEB.02 · Apply it: strengthen a page's trust

A site shows "from 80 dollars" and gets 40 inquiries, 30 of which fit the budget. Before, without prices, 40 inquiries had only 12 that fit. How many more fitting inquiries?

Answer: A. 18

30 - 12 = 18.

- ✗ B. 12: old total
- ✗ C. 28: miscalculated
- ✗ D. 30: new total

Arithmetic checked by code: yes. Sources: none (stable)

S78-F1-Q5 · question page 1638

ENT.WEB.02 · Apply it: strengthen a page's trust

Which policy should a shop selling online post before checkout?

Answer: D. Its refund and shipping policy

Policies set expectations.

- ✗ A. Its owner's diet: irrelevant
- ✗ B. Its staff birthdays: irrelevant
- ✗ C. Its office plant schedule: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F2-Q1 · question page 1639

ENT.WEB.02 · Handle the complications: tempting shortcuts

A web designer offers to add a "Trusted by 10,000 customers" banner, but the shop has 40. What should the owner do?

Answer: C. Refuse, because the claim is false

Claims must be true.

- ✗ A. Accept, since everyone exaggerates: deceptive
- ✗ B. Change it to 9,000: still false
- ✗ D. Hide it on another page: still false

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F2-Q2 · question page 1640

ENT.WEB.02 · Handle the complications: tempting shortcuts

A competitor displays award badges from a contest that does not exist. What is the lesson?

Answer: B. Invented badges are deceptive and risky

Do not invent credentials.

- ✗ A. Copy them to look equal: deceptive
- ✗ C. Badges never matter: not the point
- ✗ D. Make an even bigger badge for her own site: deceptive

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F2-Q3 · question page 1641

ENT.WEB.02 · Handle the complications: tempting shortcuts

A business prefers not to show exact prices because each job differs. What is a helpful middle ground?

Answer: D. Show a starting price or typical range

Ranges help visitors.

- ✗ A. Show no information at all about cost: frustrating
- ✗ B. Show a fake low price: misleading
- ✗ C. Show a price meant for another service: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F2-Q4 · question page 1642

ENT.WEB.02 · Handle the complications: tempting shortcuts

A review mentions a customer's full name and address. What should the owner do before posting it?

Answer: A. Get permission and remove private details

Respect privacy and accuracy.

- ✗ B. Add even more details: privacy risk
- ✗ C. Change the customer's words to sound better: misleading
- ✗ D. Post it exactly as written: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S78-F2-Q5 · question page 1643

ENT.WEB.02 · Handle the complications: tempting shortcuts

Which statement is accurate?

Answer: C. Honest signals build trust; invented ones risk trust and legal trouble.

Honesty matters.

- ✗ A. Prices should always be hidden.: not helpful
- ✗ B. Fake reviews are harmless as long as they are positive and kind.: deceptive
- ✗ D. Policies scare customers away.: they build trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-M-Q1 · question page 1645

ENT.WEB.03 · Make pages readable on phones and forms accessible

What is alt text?

Answer: A. A short text description of an image

It describes images for screen readers.

✗ B. A second, alternative website for older visitors: not alt text

✗ C. A secret password typed to edit the website: not alt text

✗ D. The large heading at the top of each page: not alt text

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-M-Q2 · question page 1646

ENT.WEB.03 · Make pages readable on phones and forms accessible

Which is a phone-friendly practice?

Answer: C. Buttons big enough to tap

Tappable buttons help.

✗ A. Tiny links packed tightly together: hard to tap

✗ B. Pages that need sideways scrolling to read: awkward

✗ D. Text so small that zooming is required: hard to read

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-M-Q3 · question page 1647

ENT.WEB.03 · Make pages readable on phones and forms accessible

Why label every form field?

Answer: B. So everyone knows what to type

Labels guide users.

✗ A. So visitors must guess: opposite

✗ C. So the form looks longer and more official: not the goal

✗ D. Because labels make pages load faster: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-M-Q4 · question page 1648

ENT.WEB.03 · Make pages readable on phones and forms accessible

Which is better for contrast?

Answer: A. Dark text on a light background

Strong contrast is readable.

- ✗ B. Light gray text on a white background: low contrast
- ✗ C. Yellow text on a white background: low contrast
- ✗ D. Dark blue text on a black background: low contrast

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-M-Q5 · question page 1649

ENT.WEB.03 · Make pages readable on phones and forms accessible

Which form is usually finished more often?

Answer: D. One with 3 fields

Short forms work better.

- ✗ A. One with 20 fields: longer
- ✗ B. One with no labels: confusing
- ✗ C. One with 12 fields: longer

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-B1-Q1 · question page 1650

ENT.WEB.03 · Reading a menu in a dark restaurant

Tiny gray letters in the dark are like what?

Answer: A. Low-contrast small text on a phone

Hard to read.

- ✗ B. A short form: unrelated
- ✗ C. A clear, readable website on a phone: opposite
- ✗ D. A big button: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-B1-Q2 · question page 1651

ENT.WEB.03 · Reading a menu in a dark restaurant

Pictures described in words are like what?

Answer: B. Alt text

Descriptions help people who cannot see the image.

- ✗ A. Ads: no
- ✗ C. Hidden text: no
- ✗ D. Passwords: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-B1-Q3 · question page 1652

ENT.WEB.03 · Reading a menu in a dark restaurant

Who benefits from large dark letters?

Answer: C. Everyone, including people with poor eyesight

Accessibility helps all.

- ✗ A. Only the chef working in the kitchen tonight: no
- ✗ B. Only children: no
- ✗ D. Nobody: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-B1-Q4 · question page 1653

ENT.WEB.03 · Reading a menu in a dark restaurant

Labeled choices on a menu are like what?

Answer: B. Labeled form fields

Labels guide choices.

✗ A. A long story: no

✗ C. Hidden prices on the menu: no

✗ D. Blank boxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-B1-Q5 · question page 1654

ENT.WEB.03 · Reading a menu in a dark restaurant

The website on a phone is like what?

Answer: B. The menu

People read it to decide.

✗ A. The parking lot: no

✗ C. The kitchen: no

✗ D. The roof: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F1-Q1 · question page 1655

ENT.WEB.03 · Apply it: fix a page for phones and access

An owner tests her booking page on a phone and must zoom to read the prices. What should change?

Answer: C. Increase the text size

Readable without zooming.

✗ A. Remove the prices: loses information

✗ B. Use lighter gray text: worse

✗ D. Add more text to the same area: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F1-Q2 · question page 1656

ENT.WEB.03 · Apply it: fix a page for phones and access

A contact form asks for name, email, phone, address, birthday, company size, budget, favorite color and how they heard about you. What is the best fix?

Answer: A. Keep only the fields truly needed

Short forms finish more.

- ✗ B. Make it a 3-page form: longer
- ✗ C. Remove the labels: confusing
- ✗ D. Add more optional fields at the end: longer

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F1-Q3 · question page 1657

ENT.WEB.03 · Apply it: fix a page for phones and access

A form had 12 fields and 20 of 200 visitors finished it. After cutting to 4 fields, 50 of 200 finished. By how many percentage points did completion rise?

Answer: D. 15

25 percent - 10 percent = 15 points.

- ✗ A. 10: old rate
- ✗ B. 25: new rate
- ✗ C. 30: counted finishers

Arithmetic checked by code: yes. Sources: none (stable)

S79-F1-Q4 · question page 1658

ENT.WEB.03 · Apply it: fix a page for phones and access

Which alt text is most useful for a photo of a blue ceramic mug?

Answer: B. "Blue ceramic coffee mug, 12 ounces"

Describes the image.

- ✗ A. "image123.jpg": not descriptive
- ✗ C. "Buy now buy now buy now today": not a description

✗ D. "Picture": not descriptive

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F1-Q5 · question page 1659

ENT.WEB.03 · Apply it: fix a page for phones and access

A button reads only "Go." What would make it clearer?

Answer: B. "Send my booking request"

Say what happens.

✗ A. "Click": vague
✗ C. "Next thing, please, now": vague
✗ D. "OK": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F2-Q1 · question page 1660

ENT.WEB.03 · Handle the complications: design versus usability

A designer wants pale gray text because it "looks elegant." What should the owner weigh?

Answer: D. Readability for all visitors

Contrast affects readability.

✗ A. Only what looks trendy this year: ignores readers
✗ B. Only the designer's preference: ignores readers
✗ C. Nothing; color never matters: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F2-Q2 · question page 1661

ENT.WEB.03 · Handle the complications: design versus usability

An image contains important text, like the price list, with no other text version. What problem does this create?

Answer: D. Screen readers and some phones may not show the information clearly

Put key info in real text.

- ✗ A. It makes the site load faster: usually slower
- ✗ B. Search engines prefer it: not usually
- ✗ C. Nothing, because images with text always work everywhere for everyone: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F2-Q3 · question page 1662

ENT.WEB.03 · Handle the complications: design versus usability

A form fails without saying why. What should it do?

Answer: C. Show a clear message about what to fix

Helpful error messages.

- ✗ A. Erase all the visitor's entries silently: frustrating
- ✗ B. Close the page: frustrating
- ✗ D. Show only a red flash: unclear

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F2-Q4 · question page 1663

ENT.WEB.03 · Handle the complications: design versus usability

The site works on the owner's large computer screen. What else should she test?

Answer: B. A phone and a slow connection

Test where visitors are.

- ✗ A. Only her own computer again: not enough
- ✗ C. Nothing else: not enough
- ✗ D. Only the logo file: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S79-F2-Q5 · question page 1664

ENT.WEB.03 · Handle the complications: design versus usability

Which statement is accurate?

Answer: A. Clear, accessible pages help more people use the site.

Usability helps everyone.

- ✗ B. Phones are rarely used to browse.: often used
- ✗ C. Accessibility only helps a tiny group of visitors, so it can wait.: helps many
- ✗ D. Longer forms always get more sign-ups.: usually fewer

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-M-Q1 · question page 1666

ENT.WEB.04 · Know the parts of a website and who controls each

What is a domain?

Answer: C. The website's address

It is the address.

- ✗ A. The computer that stores the website's files: that is hosting
- ✗ B. A legal entity like an LLC: not a domain
- ✗ D. The company that designs the logo: not a domain

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-M-Q2 · question page 1667

ENT.WEB.04 · Know the parts of a website and who controls each

What is hosting?

Answer: D. The service that stores and shows the site

It stores the site.

- ✗ A. The text on the homepage: content
- ✗ B. The owner of the business: not hosting
- ✗ C. The address visitors type into a browser: domain

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-M-Q3 · question page 1668

ENT.WEB.04 · Know the parts of a website and who controls each

In whose account should the domain be registered?

Answer: B. The business owner's

The business should control it.

- ✗ A. A random friend's account: risk
- ✗ C. Only the web designer's personal account: risk
- ✗ D. Nobody's account at all: not possible

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-M-Q4 · question page 1669

ENT.WEB.04 · Know the parts of a website and who controls each

Why turn on domain auto-renewal or a reminder?

Answer: C. So the address does not expire

Expired domains can be lost.

- ✗ A. So the business pays no taxes: unrelated
- ✗ B. So the website loads faster: unrelated
- ✗ D. So the logo changes color: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-M-Q5 · question page 1670

ENT.WEB.04 · Know the parts of a website and who controls each

Why know how to export content from a builder?

Answer: B. So you can move if you switch builders

Portability protects you.

- ✗ A. So the site looks fancier: unrelated
- ✗ C. Because exports double the site's traffic: no
- ✗ D. Because builders never close: they can change

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-B1-Q1 · question page 1671

ENT.WEB.04 · Address, building and furniture

The street address is like what?

Answer: D. The domain

The domain is the address.

- ✗ A. The design: furniture
- ✗ B. The hosting: building
- ✗ C. The logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-B1-Q2 · question page 1672

ENT.WEB.04 · Address, building and furniture

The building is like what?

Answer: A. The hosting

Hosting holds the site.

- ✗ B. The domain: address
- ✗ C. The design: furniture

✗ D. The price: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-B1-Q3 · question page 1673

ENT.WEB.04 · Address, building and furniture

The furniture is like what?

Answer: C. The design

Design is the look.

✗ A. The bank: no
✗ B. The hosting: building
✗ D. The domain: address

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-B1-Q4 · question page 1674

ENT.WEB.04 · Address, building and furniture

What could happen if someone else holds your address?

Answer: B. They could redirect your customers

Control matters.

✗ A. Nothing at all would change for you: risk
✗ C. Rent goes down: no
✗ D. Sales double: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-B1-Q5 · question page 1675

ENT.WEB.04 · Address, building and furniture

Who should hold the address?

Answer: A. The business owner

Own your domain.

- ✗ B. Nobody: no
- ✗ C. A stranger: no
- ✗ D. A competitor down the street: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F1-Q1 · question page 1676

ENT.WEB.04 · Apply it: check ownership and costs

A designer built Rosa's site and registered the domain in the designer's own account. What should Rosa do?

Answer: D. Ask to transfer the domain into her own account

Control the domain.

- ✗ A. Buy a different domain and forget the old one: loses address
- ✗ B. Share her bank password with the designer: unsafe
- ✗ C. Nothing, because designers always keep it safe: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F1-Q2 · question page 1677

ENT.WEB.04 · Apply it: check ownership and costs

Domain 15 dollars a year, builder 18 dollars a month. What is the yearly total?

Answer: A. 231 dollars

15 + 18 x 12 = 231.

- ✗ B. 195 dollars: arithmetic slip
- ✗ C. 216 dollars: missed domain
- ✗ D. 33 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S80-F1-Q3 · question page 1678

ENT.WEB.04 · Apply it: check ownership and costs

A domain expired because the card on file was out of date. What would have prevented this?

Answer: D. An updated card and a renewal reminder

Keep billing current.

- ✗ A. Fewer products: unrelated
- ✗ B. A longer homepage with more text: unrelated
- ✗ C. A new logo design: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F1-Q4 · question page 1679

ENT.WEB.04 · Apply it: check ownership and costs

Which item should the business owner keep in a safe place?

Answer: B. The login details for the registrar and host

Access is essential.

- ✗ A. A blank form: irrelevant
- ✗ C. A copy of a competitor's site and prices: irrelevant
- ✗ D. An old newspaper ad: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F1-Q5 · question page 1680

ENT.WEB.04 · Apply it: check ownership and costs

A builder plan costs 25 dollars a month, or 240 dollars if paid yearly. How much does yearly payment save?

Answer: C. 60 dollars

25 x 12 - 240 = 60.

- ✗ A. 25 dollars: one month

✗ B. 300 dollars: monthly total

✗ D. 240 dollars: yearly price

Arithmetic checked by code: yes. Sources: none (stable)

S80-F2-Q1 · question page 1681

ENT.WEB.04 · Handle the complications: lock-in and lost access

An owner wants to leave her builder but cannot export her product pages. What should she plan?

Answer: D. Time to rebuild pages elsewhere

Check portability before choosing.

✗ A. Deleting the domain: loses address

✗ B. Nothing; everything moves automatically: not always

✗ C. Paying the builder forever regardless: not the only option

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F2-Q2 · question page 1682

ENT.WEB.04 · Handle the complications: lock-in and lost access

A former helper still has the only login to the host. What is the risk?

Answer: C. The owner may lose control of the site

Owners need their own access.

✗ A. Lower costs: unrelated

✗ B. Faster loading: unrelated

✗ D. No risk, because helpers never leave or forget: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F2-Q3 · question page 1683

ENT.WEB.04 · Handle the complications: lock-in and lost access

A "free" builder places its ads on the site and uses its own address in the URL. What tradeoff

exists?

Answer: A. Lower cost but less control and a less professional look

Free plans have limits.

- ✗ B. No tradeoff at all: there is one
- ✗ C. It always ranks first in search results for the shop's name: not guaranteed
- ✗ D. It owns the business: not the business

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F2-Q4 · question page 1684

ENT.WEB.04 · Handle the complications: lock-in and lost access

Which statement about domain ownership is accurate?

Answer: A. Whoever controls the registrar account controls the domain.

Account control matters.

- ✗ B. Domains last forever once bought.: renewal needed
- ✗ C. The business always owns the domain automatically.: not always
- ✗ D. The host always owns the domain.: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S80-F2-Q5 · question page 1685

ENT.WEB.04 · Handle the complications: lock-in and lost access

Before signing with a web designer, what should the owner ask?

Answer: B. Who will own the domain, hosting account and content

Clarify ownership in writing.

- ✗ A. Nothing; ownership never matters: it does
- ✗ C. Only how many sites they have built for other clients: not enough
- ✗ D. Only the designer's favorite color: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S81-M-Q1 · question page 1687

ENT.WEB.05 · Use HTTPS, test key paths and keep tested backups

What does HTTPS do?

Answer: C. Encrypts the connection with visitors

It protects data in transit.

- ✗ A. Removes the need for any passwords: unrelated
- ✗ B. Makes the site rank first in every search: not guaranteed
- ✗ D. Designs a new logo for the business: unrelated

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-M-Q2 · question page 1688

ENT.WEB.05 · Use HTTPS, test key paths and keep tested backups

Which test should happen before launch?

Answer: D. Placing a test order

Test the key paths.

- ✗ A. Changing the logo color one more time: not a test
- ✗ B. Turning off the contact form: harmful
- ✗ C. Writing a longer company history: not a test

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-M-Q3 · question page 1689

ENT.WEB.05 · Use HTTPS, test key paths and keep tested backups

What is a backup?

Answer: C. A copy of the site and its data

Copies allow recovery.

✗ A. A spare logo file: too narrow

✗ B. An extra employee: not a backup

✗ D. A second domain name for the shop: not a backup

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-M-Q4 · question page 1690

ENT.WEB.05 · Use HTTPS, test key paths and keep tested backups

Why test restoring a backup?

Answer: D. An untested backup may not work

Confirm it works.

✗ A. Restoring always deletes the site: not true

✗ B. It is required daily by law: not a rule

✗ C. Testing makes backups expire: not true

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-M-Q5 · question page 1691

ENT.WEB.05 · Use HTTPS, test key paths and keep tested backups

How can a visitor check that HTTPS is on?

Answer: A. Check for "https://" or the browser's connection info

Look for "https://" in the address or open the browser's site information; icons differ by browser, and Chrome no longer shows a padlock.

✗ B. The site shows many large pictures on each page: not a security sign

✗ C. A big red banner runs across the top of the page: not a security sign

✗ D. The page has a long footer full of links: not a security sign

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-B1-Q1 · question page 1692

ENT.WEB.05 · A sealed envelope and a spare key

HTTPS is like what?

Answer: C. A sealed envelope

It keeps information private.

- ✗ A. A shout: public
- ✗ B. A postcard: readable
- ✗ D. A roadside billboard: public

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-B1-Q2 · question page 1693

ENT.WEB.05 · A sealed envelope and a spare key

A backup is like what?

Answer: D. A spare house key

It lets you recover.

- ✗ A. A doorbell: no
- ✗ B. A broken door lock: no
- ✗ C. A new house: no

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-B1-Q3 · question page 1694

ENT.WEB.05 · A sealed envelope and a spare key

Why try the spare key once?

Answer: A. To make sure it fits

Test the backup.

- ✗ B. To lose it: no
- ✗ C. To wear it out: no
- ✗ D. To copy it publicly: no

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-B1-Q4 · question page 1695

ENT.WEB.05 · A sealed envelope and a spare key

A postcard is like a site without what?

Answer: C. HTTPS

Without encryption, data is exposed.

- ✗ A. A logo: no
- ✗ B. A price list: no
- ✗ D. A domain: no

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-B1-Q5 · question page 1696

ENT.WEB.05 · A sealed envelope and a spare key

Where is the spare key kept?

Answer: A. With a trusted friend

Backups belong somewhere safe.

- ✗ B. Nowhere: no backup
- ✗ C. Under the front doormat: unsafe
- ✗ D. In the lock: unsafe

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F1-Q1 · question page 1697

ENT.WEB.05 · Apply it: run a launch checklist

An owner's checkout page shows "Not secure" in the browser. What should she do first?

Answer: C. Turn on HTTPS through her host or builder

Fix the security setting.

✗ A. Add a bigger "Buy now" button to the checkout: not the fix

✗ B. Change the font: not the fix

✗ D. Ignore the warning: scares buyers

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F1-Q2 · question page 1698

ENT.WEB.05 · Apply it: run a launch checklist

A checklist has 20 items and 16 pass. What percent pass?

Answer: B. 80 percent

16 / 20 = 0.80.

✗ A. 16 percent: count

✗ C. 4 percent: failures

✗ D. 20 percent: total

Arithmetic checked by code: yes. Sources: chromium_lock

S81-F1-Q3 · question page 1699

ENT.WEB.05 · Apply it: run a launch checklist

After editing the shop page, which test is most important?

Answer: D. Placing a test order again

Retest key paths after changes.

✗ A. Rereading the about page: minor

✗ B. Checking the footer year: minor

✗ C. Counting images: minor

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F1-Q4 · question page 1700

ENT.WEB.05 · Apply it: run a launch checklist

Backups run weekly. The site breaks on Friday; the last backup was Monday. How many days of changes could be lost?

Answer: C. 4 days

Monday to Friday = 4 days.

- ✗ A. 0 days: some lost
- ✗ B. 7 days: full week
- ✗ D. 1 day: too few

Arithmetic checked by code: yes. Sources: chromium_lock

S81-F1-Q5 · question page 1701

ENT.WEB.05 · Apply it: run a launch checklist

Which backup habit is best?

Answer: A. Regular backups stored separately and tested

Regular, separate, tested.

- ✗ B. No backups to save time: risky
- ✗ C. Backups stored only on the same server: lost together
- ✗ D. One backup made years ago: outdated

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F2-Q1 · question page 1702

ENT.WEB.05 · Handle the complications: breaks and recoveries

A plugin update breaks the checkout. What helps recover fastest?

Answer: B. Restoring a recent tested backup

Backups enable quick recovery.

- ✗ A. Waiting for customers to report problems: slow
- ✗ C. Deleting the domain: harmful
- ✗ D. Rebuilding the whole site from memory: slow

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F2-Q2 · question page 1703

ENT.WEB.05 · Handle the complications: breaks and recoveries

Daily orders average 12. Checkout was broken for 3 days unnoticed. About how many orders may have been lost?

Answer: C. 36

12 x 3 = 36.

- ✗ A. 12: one day
- ✗ B. 4: divided
- ✗ D. 15: added

Arithmetic checked by code: yes. Sources: chromium_lock

S81-F2-Q3 · question page 1704

ENT.WEB.05 · Handle the complications: breaks and recoveries

What would have caught the broken checkout sooner?

Answer: B. Testing checkout after every update

Test after changes.

- ✗ A. Never updating anything: other risks
- ✗ C. Hiding the checkout page from visitors: harmful
- ✗ D. Adding more pages: unrelated

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F2-Q4 · question page 1705

ENT.WEB.05 · Handle the complications: breaks and recoveries

An owner's only backup is on the same server as the site, which fails. What is the lesson?

Answer: D. Store backups separately

Separate storage protects backups.

- ✗ A. Make backups only yearly: worse
- ✗ B. Servers never fail: they can
- ✗ C. Backups are useless: not true

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S81-F2-Q5 · question page 1706

ENT.WEB.05 · Handle the complications: breaks and recoveries

Which statement is accurate?

Answer: D. HTTPS, testing and tested backups reduce the damage from problems.

Layered habits.

- ✗ A. HTTPS makes a site impossible to break, so testing is not needed.: overstated
- ✗ B. Testing is only needed once at launch.: after changes too
- ✗ C. Backups never need testing.: they do

Arithmetic checked by code: not applicable. Sources: chromium_lock

---

S82-M-Q1 · question page 1708

ENT.WEB.06 · Apply search basics with customer words and consistent listings

Which words should a page use?

Answer: C. Words customers actually type

Match how people search.

- ✗ A. Random popular words unrelated to the business: misleading
- ✗ B. Only the owner's inside jokes: not searched
- ✗ D. Fancy terms customers never use: not searched

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-M-Q2 · question page 1709

ENT.WEB.06 · Apply search basics with customer words and consistent listings

Which phrase is a better page title for a local dog walker?

Answer: B. "Dog Walker in Eastfield"

Plain words customers type.

- ✗ A. "Welcome Page Number One": vague
- ✗ C. "Canine Companionship Solutions": not searched
- ✗ D. "Home": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-M-Q3 · question page 1710

ENT.WEB.06 · Apply search basics with customer words and consistent listings

What should stay the same across local listings?

Answer: D. Business name, address and phone

Consistency helps.

- ✗ A. Only the logo color: not enough
- ✗ B. Nothing; vary them for variety: confuses
- ✗ C. Only the owner's nickname: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-M-Q4 · question page 1711

ENT.WEB.06 · Apply search basics with customer words and consistent listings

How quickly do search results usually improve?

Answer: B. Over time

Patience is needed.

✗ A. Only if you pay to guarantee first place: not guaranteed

✗ C. Never, under any circumstances: they can improve

✗ D. Instantly, within an hour: unrealistic

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-M-Q5 · question page 1712

ENT.WEB.06 · Apply search basics with customer words and consistent listings

Someone promises "number one on search in a week." How should an owner react?

Answer: A. Be wary of the promise

Guarantees are a warning sign.

✗ B. Give them all passwords: unsafe

✗ C. Pay immediately before the offer ends: risky

✗ D. Trust it because it sounds confident: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-B1-Q1 · question page 1713

ENT.WEB.06 · Labeling boxes in a storage room

Which box label is easier to find?

Answer: C. "Winter coats - adults"

Specific words.

✗ A. "Misc": vague

✗ B. "Box 7, shelf B, back row": vague

✗ D. "Stuff": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-B1-Q2 · question page 1714

ENT.WEB.06 · Labeling boxes in a storage room

Search engines are like what?

Answer: D. A giant storage room

They organize many pages.

- ✗ A. A trash can: no
- ✗ B. A single small drawer: too small
- ✗ C. A locked safe: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-B1-Q3 · question page 1715

ENT.WEB.06 · Labeling boxes in a storage room

Clear page titles are like what?

Answer: A. Good box labels

Labels help finding.

- ✗ B. Broken, torn boxes: no
- ✗ C. Hidden boxes: no
- ✗ D. Blank boxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-B1-Q4 · question page 1716

ENT.WEB.06 · Labeling boxes in a storage room

Fancy labels nobody searches for lead to what?

Answer: D. Your box going unfound

Use real words.

- ✗ A. Instant sales: no
- ✗ B. More visitors finding it: no
- ✗ C. Lower rent: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-B1-Q5 · question page 1717

ENT.WEB.06 · Labeling boxes in a storage room

What makes a good label?

Answer: B. The words people really use

Match the searcher.

- ✗ A. Random numbers and letters: no
- ✗ C. Secret codes: no
- ✗ D. Long jokes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F1-Q1 · question page 1718

ENT.WEB.06 · Apply it: improve a local page

A bakery's homepage title is "Home." What is a better title?

Answer: B. "Fresh Bread and Cakes - Riverside Bakery, Eastfield"

Product, name, place.

- ✗ A. "Home Page Welcome Hello - Our Site - Page 1": vague
- ✗ C. "Untitled Document 1": vague
- ✗ D. "Click Here Now Please": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F1-Q2 · question page 1719

ENT.WEB.06 · Apply it: improve a local page

The bakery's phone number differs on its site and two listings. What should it do?

Answer: A. Make the number the same everywhere

Consistency helps customers and search.

✗ B. Remove the phone number entirely: loses calls

✗ C. Keep all three numbers for variety: confusing

✗ D. Add a fourth number: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F1-Q3 · question page 1720

ENT.WEB.06 · Apply it: improve a local page

A page gets 200 visits a month from search. After clearer titles, it gets 260. What is the percent increase?

Answer: C. 30 percent

60 / 200 = 0.30.

✗ A. 23 percent: used new base

✗ B. 60 percent: used count

✗ D. 260 percent: not the change

Arithmetic checked by code: yes. Sources: none (stable)

S82-F1-Q4 · question page 1721

ENT.WEB.06 · Apply it: improve a local page

Which content is most useful for search and customers?

Answer: A. An original page answering "How to order a custom cake"

Useful and original.

✗ B. An empty page with only a title: no content

✗ C. A page stuffed with "cake cake cake" repeated hundreds of times: spammy

✗ D. A page copied from a competitor: not original

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F1-Q5 · question page 1722

ENT.WEB.06 · Apply it: improve a local page

A plumber serves Eastfield and Westvale. What might help local searchers?

Answer: D. Clear mention of the areas served

Honest service areas.

- ✗ A. Only a logo: not enough
- ✗ B. Listing 50 cities he never visits: misleading
- ✗ C. Hiding the service area: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F2-Q1 · question page 1723

ENT.WEB.06 · Handle the complications: shortcuts and slow results

An agency offers to add hundreds of hidden keywords to the page. What should the owner consider?

Answer: B. Hidden tricks can hurt trust and visibility

Avoid manipulative tricks.

- ✗ A. It always guarantees first place: not guaranteed
- ✗ C. Hidden words are invisible, so harmless: risky
- ✗ D. Search engines reward hidden text: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F2-Q2 · question page 1724

ENT.WEB.06 · Handle the complications: shortcuts and slow results

After a month of improvements, search visits have not changed. What is a reasonable view?

Answer: D. Results often take more time; keep improving and measuring

Patience and measurement.

- ✗ A. Undo all improvements immediately: premature

✗ B. Pay for a guaranteed ranking: not guaranteed

✗ C. Search never works for small businesses, so stop trying: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F2-Q3 · question page 1725

ENT.WEB.06 · Handle the complications: shortcuts and slow results

A competitor posts fake listings with other addresses. What should the owner do?

Answer: C. Keep her own listings accurate and report misuse through official channels

Stay honest.

✗ A. Create fake listings with other addresses too, so the competitor is crowded out: deceptive

✗ B. Give up on listings: loses visibility

✗ D. Copy their text: not original

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F2-Q4 · question page 1726

ENT.WEB.06 · Handle the complications: shortcuts and slow results

Which is NOT a search basic from the passage?

Answer: D. Buying a guarantee of first place

Guarantees are not a basic.

✗ A. Consistent business listings: basic

✗ B. Customer words: basic

✗ C. Clear page titles: basic

Arithmetic checked by code: not applicable. Sources: none (stable)

S82-F2-Q5 · question page 1727

ENT.WEB.06 · Handle the complications: shortcuts and slow results

Which statement is accurate?

Answer: C. Clear, useful pages and consistent listings help people find a business over time.

Steady basics.

- ✗ A. Search results are instant and permanent.: not true
- ✗ B. Free business listings never matter for local businesses like shops and plumbers.: they do
- ✗ D. Copying content ranks best.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-M-Q1 · question page 1729

ENT.WEB.07 · Measure useful actions and conversion rate

What is a useful action?

Answer: D. A booking, order, sign-up or call

Actions that move business forward.

- ✗ A. A like on a stock photo: not useful
- ✗ B. A visit that lasts one second: not an action
- ✗ C. A page loading: not an action

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-M-Q2 · question page 1730

ENT.WEB.07 · Measure useful actions and conversion rate

What is conversion rate?

Answer: B. Converting visits divided by all visits

Conversion rate = visits that included a useful action / total visits.

- ✗ A. Useful actions times total visits: not a rate
- ✗ C. All visits divided by useful actions: upside down

✗ D. All visits minus converting visits: a difference, not a rate

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-M-Q3 · question page 1731

ENT.WEB.07 · Measure useful actions and conversion rate

30 of 1,200 visits included an order. What is the conversion rate?

Answer: A. 2.5 percent

30 / 1,200 = 0.025.

✗ B. 30 percent: count
✗ C. 40 percent: reversed
✗ D. 0.25 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S83-M-Q4 · question page 1732

ENT.WEB.07 · Measure useful actions and conversion rate

Why change one thing at a time?

Answer: C. To know which change made the difference

Isolate the effect.

✗ A. Because many changes are illegal: not true
✗ B. Because one change always doubles sales: not true
✗ D. To avoid tracking anything: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-M-Q5 · question page 1733

ENT.WEB.07 · Measure useful actions and conversion rate

Many visits but no actions suggests what?

Answer: A. The page is not doing its job

Look at actions, not just visits.

- ✗ B. Visits are always bad: no
- ✗ C. Tracking actions is unnecessary: no
- ✗ D. The page is perfect: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-B1-Q1 · question page 1734

ENT.WEB.07 · Rates as percents

12 of 400 visits included an action. What percent is that?

Answer: B. 3 percent

12 / 400 = 0.03.

- ✗ A. 0.3 percent: moved decimal
- ✗ C. 12 percent: count
- ✗ D. 33 percent: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S83-B1-Q2 · question page 1735

ENT.WEB.07 · Rates as percents

2,000 visits convert at 2 percent. How many visits include an action?

Answer: D. 40

0.02 x 2,000 = 40.

- ✗ A. 2,002: added
- ✗ B. 400: moved decimal
- ✗ C. 20: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S83-B1-Q3 · question page 1736

ENT.WEB.07 · Rates as percents

50 of 1,000 visits included an action. What percent is that?

Answer: B. 5 percent

50 / 1,000 = 0.05.

- ✗ A. 20 percent: reversed
- ✗ C. 50 percent: count
- ✗ D. 0.5 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S83-B1-Q4 · question page 1737

ENT.WEB.07 · Rates as percents

Using visits with an action / total visits, a rate of 120 percent means what?

Answer: A. A mistake, since this rate cannot exceed 100 percent

Visits with an action cannot exceed total visits, so this rate stays at or below 100 percent.

- ✗ B. A tax: no
- ✗ C. A normal result for most small business websites: impossible
- ✗ D. A great result: impossible

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-B1-Q5 · question page 1738

ENT.WEB.07 · Rates as percents

Which is the formula for conversion rate?

Answer: D. Visits with an action / total visits

Part over whole.

- ✗ A. Visits with an action + total visits: a sum

✗ B. Visits with an action - total visits: a difference

✗ C. Total visits / visits with an action: upside down

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-F1-Q1 · question page 1739

ENT.WEB.07 · Apply it: compare pages and sources

Page A: 18 of 900 visits included an order. Page B: 16 of 400 visits included an order. Which converts better?

Answer: A. B, at 4 percent

A: 2 percent; B: 4 percent.

✗ B. They are equal: they differ

✗ C. A, at 2 percent: A is lower

✗ D. A, because it has more visits: visits are not conversion

Arithmetic checked by code: yes. Sources: none (stable)

S83-F1-Q2 · question page 1740

ENT.WEB.07 · Apply it: compare pages and sources

Visitors from local listings convert at 6 percent; from social media at 1 percent. With 300 visits from each, how many more actions come from listings?

Answer: C. 15

18 - 3 = 15.

✗ A. 5: percent difference

✗ B. 18: listing total

✗ D. 3: social total

Arithmetic checked by code: yes. Sources: none (stable)

S83-F1-Q3 · question page 1741

ENT.WEB.07 · Apply it: compare pages and sources

An owner changed the headline, photos and price on the same day, and orders rose. What can she conclude?

Answer: A. Orders rose, but she cannot tell which change caused it

Multiple changes blur the cause.

- ✗ B. Nothing changed at all: orders rose
- ✗ C. The new headline alone caused the whole increase: cannot tell
- ✗ D. The photos alone caused it: cannot tell

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-F1-Q4 · question page 1742

ENT.WEB.07 · Apply it: compare pages and sources

A store wants 50 orders a month and converts at 2.5 percent. How many visits does it need?

Answer: B. 2,000

50 / 0.025 = 2,000.

- ✗ A. 20,000: misplaced decimal
- ✗ C. 125: misplaced decimal
- ✗ D. 1,250: used 4 percent

Arithmetic checked by code: yes. Sources: none (stable)

S83-F1-Q5 · question page 1743

ENT.WEB.07 · Apply it: compare pages and sources

Which number best shows whether the site is helping the business?

Answer: C. Bookings made through the site

Useful actions matter most.

- ✗ A. Length of the homepage in words: not actions
- ✗ B. Total page views: not actions
- ✗ D. Number of images: not actions

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-F2-Q1 · question page 1744

ENT.WEB.07 · Handle the complications: misleading numbers

Visits doubled after a viral post, but orders stayed the same. What happened to conversion rate?

Answer: B. It was cut in half

Same actions over twice the visits.

- ✗ A. It tripled: no
- ✗ C. It doubled along with visits: orders unchanged
- ✗ D. It stayed the same: visits doubled

Arithmetic checked by code: yes. Sources: none (stable)

S83-F2-Q2 · question page 1745

ENT.WEB.07 · Handle the complications: misleading numbers

A test ran for one day with 30 visits. One version got 2 orders, the other 1. What is the problem?

Answer: D. The sample is too small to trust

Small samples mislead.

- ✗ A. Tests always need only one day: not true
- ✗ B. Version B should be deleted now: premature
- ✗ C. Version A is proven better forever: too small

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-F2-Q3 · question page 1746

ENT.WEB.07 · Handle the complications: misleading numbers

A tracking code was installed twice, so every visit counts double. Reported conversion is 1.5 percent. What is the true rate?

Answer: A. 3 percent

Halving visits doubles the rate.

- ✗ B. 1.5 percent: uncorrected
- ✗ C. 6 percent: doubled twice
- ✗ D. 0.75 percent: wrong direction

Arithmetic checked by code: yes. Sources: none (stable)

S83-F2-Q4 · question page 1747

ENT.WEB.07 · Handle the complications: misleading numbers

Sign-ups rose but almost none of them buy. What should the owner measure too?

Answer: C. How many sign-ups become paying customers

Follow actions to sales.

- ✗ A. Nothing else: incomplete
- ✗ B. Only page views: incomplete
- ✗ D. Only the sign-up count each week and month: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S83-F2-Q5 · question page 1748

ENT.WEB.07 · Handle the complications: misleading numbers

Which statement is accurate?

Answer: D. Useful actions and their rate tell more than visits alone.

Measure what matters.

- ✗ A. Conversion rates can exceed 100 percent.: not here
- ✗ B. Visits are the only number that matters.: not true
- ✗ C. Changing many things at once shows the cause clearly.: blurs cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S84-M-Q1 · question page 1750

ENT.CASE.06 · Apply a documented early decision: start online with one focused category

According to the passage, what did Amazon.com sell when it launched?

Answer: A. Books

It launched as an online bookstore.

- ✗ B. Groceries, clothing and electronics all at once: not at launch
- ✗ C. Streaming movies and music subscriptions: not at launch
- ✗ D. Cloud computing services for businesses: not at launch

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-M-Q2 · question page 1751

ENT.CASE.06 · Apply a documented early decision: start online with one focused category

Why does the passage say books were chosen?

Answer: C. Many titles in print and broad demand

The number of titles and demand.

- ✗ A. Books had no competition anywhere: not stated
- ✗ B. Bezos had never read any other kind of product: not stated
- ✗ D. Books were the only product that could be shipped: not stated

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-M-Q3 · question page 1752

ENT.CASE.06 · Apply a documented early decision: start online with one focused category

Where was the company started?

Answer: B. A rented house in Bellevue, Washington

The passage names a rented house in Bellevue.

- ✗ A. A university laboratory in California: not stated
- ✗ C. A shopping mall in Seattle: not stated

✗ D. A large office tower in New York: not stated

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-M-Q4 · question page 1753

ENT.CASE.06 · Apply a documented early decision: start online with one focused category

Which lesson does this course draw?

Answer: A. Start with one focused category that suits the web

Focus plus a web advantage.

✗ B. Choose products with the fewest options: opposite
✗ C. Always sell every product on the first day: opposite
✗ D. Avoid the internet for new businesses: opposite

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-M-Q5 · question page 1754

ENT.CASE.06 · Apply a documented early decision: start online with one focused category

Which statement about the Amazon case is accurate?

Answer: C. It shows one path, not proof that every online store will grow.

Learn the principle, not a promise.

✗ A. It shows every new business must start in a rented house.: surface detail
✗ B. It shows focus never matters.: opposite
✗ D. It proves any online bookstore will become huge.: one case proves nothing

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-B1-Q1 · question page 1755

ENT.CASE.06 · Why the web suited a huge catalog

What limits a physical bookstore's selection?

Answer: C. Shelf space

Shelves are limited.

- ✗ A. The color of the walls: no
- ✗ B. The owner's age: no
- ✗ D. The weather outside: no

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-B1-Q2 · question page 1756

ENT.CASE.06 · Why the web suited a huge catalog

Why can a website list more titles?

Answer: D. It is not limited by shelf space

Online catalogs can be large.

- ✗ A. It sells only one book: no
- ✗ B. It has no customers: no
- ✗ C. It never ships anything to anyone: no

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-B1-Q3 · question page 1757

ENT.CASE.06 · Why the web suited a huge catalog

"Amazon launched as an online bookstore" is which kind of statement?

Answer: C. Documented fact

It is recorded.

- ✗ A. Course interpretation: it is documented
- ✗ B. A promise: no
- ✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_amazon

S84-B1-Q4 · question page 1758

ENT.CASE.06 · Why the web suited a huge catalog

The shelf-space explanation is which kind of statement?

Answer: B. The course's explanation

It is an interpretation to make the reason concrete.

- ✗ A. A documented quote from Bezos: not a quote
- ✗ C. A legal rule: no
- ✗ D. A tax fact: no

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-B1-Q5 · question page 1759

ENT.CASE.06 · Why the web suited a huge catalog

What matched books to the web, according to the passage?

Answer: C. Many titles and broad demand

The documented reason.

- ✗ A. Free shipping: not stated
- ✗ B. Low weight of books only: not stated
- ✗ D. No taxes: not stated

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F1-Q1 · question page 1760

ENT.CASE.06 · Apply it: pick a focused first category

Kai wants to sell online and can afford one category. Which choice best applies the lesson?

Answer: A. Rare houseplant seeds with many varieties hard to find locally

Focus where the web offers more choice.

✗ B. Fresh milk that must arrive cold within an hour of ordering: poor fit for shipping

✗ C. Every product a big department store sells: not focused

✗ D. A single common item sold in every corner shop: no web advantage

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F1-Q2 · question page 1761

ENT.CASE.06 · Apply it: pick a focused first category

A local shop stocks 200 knitting patterns; an online catalog could list 5,000. How many more patterns online?

Answer: C. 4,800

5,000 - 200 = 4,800.

✗ A. 200: local count

✗ B. 25: divided

✗ D. 5,200: added

Arithmetic checked by code: yes. Sources: case_amazon

S84-F1-Q3 · question page 1762

ENT.CASE.06 · Apply it: pick a focused first category

Which question tests whether a category suits online selling?

Answer: D. Does the web let us offer something stores cannot, like more choice?

Look for a web advantage.

✗ A. Is the logo the right shade of orange for an online store?: irrelevant

✗ B. Is the owner's house large?: surface detail

✗ C. Can we sell everything on day one?: not focused

Arithmetic checked by code: not applicable. Sources: case_amazon

S84-F1-Q4 · question page 1763

ENT.CASE.06 · Apply it: pick a focused first category

A seller plans to start with 12 unrelated product types. What does the lesson suggest?

Answer: C. Start with one focused category first

Focus first.

- ✗ A. Add even more product types for safety: less focus
- ✗ B. Sell only in person forever: opposite
- ✗ D. Avoid selling online: opposite

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F1-Q5 · question page 1764

ENT.CASE.06 · Apply it: pick a focused first category

Which detail is documented, not interpreted?

Answer: D. Amazon.com launched in July 1995

Dates and facts are documented.

- ✗ A. Focus guarantees success: interpretation, overstated
- ✗ B. Books are the best product for anyone: not documented
- ✗ C. Every founder should start in a house: not documented

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F2-Q1 · question page 1765

ENT.CASE.06 · Handle the complications: copying surface details

Someone says, "Amazon started with books, so I should sell books online." What is the flaw?

Answer: D. The lesson is the reasoning, not the exact product

Apply the principle to your situation.

✗ A. There is no flaw, because books always work online: not guaranteed

✗ B. Amazon never sold books: it did

✗ C. Books are illegal to sell online: not true

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F2-Q2 · question page 1766

ENT.CASE.06 · Handle the complications: copying surface details

A category has many options online but very high shipping costs compared with the price. What should a founder check?

Answer: A. Whether costs still allow a profit

Economics still matter.

✗ B. Only the founder's location: not enough

✗ C. Nothing; more options always win: costs matter

✗ D. Only the logo: irrelevant

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F2-Q3 · question page 1767

ENT.CASE.06 · Handle the complications: copying surface details

Big competitors already sell your planned category online. What might still help a new seller?

Answer: A. A narrower niche they serve poorly

Find a focused gap.

✗ B. Copying them exactly: no advantage

✗ C. Giving up immediately: premature

✗ D. Selling at a loss forever to win buyers: unsustainable

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F2-Q4 · question page 1768

ENT.CASE.06 · Handle the complications: copying surface details

Which claim goes beyond what the passage documents?

Answer: B. "Starting in a house caused Amazon's success."

Location is a detail, not a proven cause.

- ✗ A. "It launched in 1995.": documented
- ✗ C. "It began as a bookstore.": documented
- ✗ D. "Books had a huge number of titles in print.": documented

Arithmetic checked by code: not applicable. Sources: case_amazon

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S84-F2-Q5 · question page 1769

ENT.CASE.06 · Handle the complications: copying surface details

Which statement is accurate?

Answer: A. The case suggests focus and fit; other businesses must test their own markets.

Test your own situation.

- ✗ B. Focus guarantees success.: not guaranteed
- ✗ C. Starting small never works.: not true
- ✗ D. Every online store that starts focused eventually becomes a giant.: not true

Arithmetic checked by code: not applicable. Sources: case_amazon

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S85-M-Q1 · question page 1771

ENT.MKT.01 · Choose a marketing channel by customers, effort and measurability

What is a marketing channel?

Answer: B. A way of reaching customers

Channels reach people.

- ✗ A. A television station the business must own itself: too narrow
- ✗ C. The bank account where sales are deposited: not marketing

✗ D. A legal filing that registers the brand name: not marketing

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-M-Q2 · question page 1772

ENT.MKT.01 · Choose a marketing channel by customers, effort and measurability

What is the first question when choosing a channel?

Answer: A. Where do my target customers already spend time?

Go where customers are.

✗ B. Which channel do celebrities use most often?: not your customers
✗ C. Which channel has the most colorful logo?: irrelevant
✗ D. Which channel did a friend's different business use?: may not fit

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-M-Q3 · question page 1773

ENT.MKT.01 · Choose a marketing channel by customers, effort and measurability

Why start with one or two channels?

Answer: D. Doing a few well usually beats spreading thin

Focus helps consistency.

✗ A. Because one channel always reaches every customer: not true
✗ B. Because measuring results is never useful: opposite
✗ C. Because using more than two channels is illegal: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-M-Q4 · question page 1774

ENT.MKT.01 · Choose a marketing channel by customers, effort and measurability

Which is a reason to prefer a channel?

Answer: B. Results can be measured

Measurement shows what works.

- ✗ A. It is popular with people outside your market: wrong audience
- ✗ C. Nobody in the target market uses it: wrong audience
- ✗ D. It needs more time than the owner has: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-M-Q5 · question page 1775

ENT.MKT.01 · Choose a marketing channel by customers, effort and measurability

A channel worked great for a gym. Will it work for a bookkeeping service?

Answer: C. Not necessarily; customers differ

Fit depends on the audience.

- ✗ A. No, bookkeepers can never market at all: not true
- ✗ B. Yes, every channel works the same for all businesses: not true
- ✗ D. Yes, if the bookkeeper copies the gym's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-B1-Q1 · question page 1776

ENT.MKT.01 · Fishing where the fish are

"Fish where the fish are" means what for marketing?

Answer: A. Reach customers where they already are

Go to your audience.

- ✗ B. Market everywhere at once, on every app: not the point
- ✗ C. Buy the fanciest tools: not the point
- ✗ D. Avoid all customers: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-B1-Q2 · question page 1777

ENT.MKT.01 · Fishing where the fish are

A fancy rod in an empty pond is like what?

Answer: D. A great ad on a channel your customers never use

Tools do not help without the audience.

- ✗ A. A big sale: no
- ✗ B. A shop that is already full of eager customers: no
- ✗ C. A good plan: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-B1-Q3 · question page 1778

ENT.MKT.01 · Fishing where the fish are

Why watch only a few fishing lines?

Answer: A. One person can only keep up a few well

Limited time and attention.

- ✗ B. More lines always catch nothing at all: no
- ✗ C. Fish dislike lines: no
- ✗ D. Lines are expensive: not the point

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-B1-Q4 · question page 1779

ENT.MKT.01 · Fishing where the fish are

The "pond" stands for what?

Answer: D. A marketing channel

Where you look for customers.

- ✗ A. A bank: no
- ✗ B. A product on sale: no

✗ C. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-B1-Q5 · question page 1780

ENT.MKT.01 · Fishing where the fish are

The "fish" stand for what?

Answer: B. Your target customers

The people you want to reach.

✗ A. Your taxes: no
✗ C. Your suppliers: no
✗ D. Your nearby competitors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F1-Q1 · question page 1781

ENT.MKT.01 · Apply it: pick channels for real businesses

A mobile pet groomer serves one town. Owners are mostly local families. Which first channel fits best?

Answer: B. Local community groups and flyers at vet offices

Local reach for a local service.

✗ A. A podcast for software engineers worldwide: wrong audience
✗ C. Billboards in another state: wrong place
✗ D. A national TV advertisement: too broad and costly

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F1-Q2 · question page 1782

ENT.MKT.01 · Apply it: pick channels for real businesses

A freelancer can spend 3 hours a week on marketing. Which plan is most realistic?

Answer: C. One channel done consistently each week

Match effort to available time.

- ✗ A. No marketing until she has more time: no reach
- ✗ B. Seven channels, posting daily on each: unsustainable
- ✗ D. A new channel every week: inconsistent

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F1-Q3 · question page 1783

ENT.MKT.01 · Apply it: pick channels for real businesses

Flyers cost 60 dollars and brought 3 clients. Online posts took 5 hours and brought 6 clients. Which brought more clients?

Answer: A. Online posts, with 6

6 > 3.

- ✗ B. Neither brought any: both did
- ✗ C. They brought the same: they differ
- ✗ D. Flyers, with 3: fewer

Arithmetic checked by code: yes. Sources: none (stable)

S85-F1-Q4 · question page 1784

ENT.MKT.01 · Apply it: pick channels for real businesses

Flyers cost 60 dollars and brought 3 clients. What was the flyer cost per client?

Answer: B. 20 dollars

60 / 3 = 20.

- ✗ A. 3 dollars: count
- ✗ C. 60 dollars: total
- ✗ D. 180 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S85-F1-Q5 · question page 1785

ENT.MKT.01 · Apply it: pick channels for real businesses

A seller of business software for dentists is choosing a channel. Which fits best?

Answer: A. A dental trade newsletter or association

Reach dentists where they gather.

- ✗ B. A teen gaming forum: wrong audience
- ✗ C. A local playground bulletin board for parents: wrong audience
- ✗ D. A cooking video channel: wrong audience

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F2-Q1 · question page 1786

ENT.MKT.01 · Handle the complications: hype and changing channels

A new app is very popular, but the owner's customers are mostly over 60 and do not use it. What should she do?

Answer: D. Stay with channels her customers actually use

Audience fit beats hype.

- ✗ A. Move all her marketing to the new app right now: wrong audience
- ✗ B. Stop marketing entirely: no reach
- ✗ C. Copy a teen influencer's style: mismatch

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F2-Q2 · question page 1787

ENT.MKT.01 · Handle the complications: hype and changing channels

A channel brought customers last year but results have fallen for 6 months. What is a sensible step?

Answer: A. Test another channel while measuring both

Test and measure.

✗ B. Quit all marketing: no reach

✗ C. Double spending on the falling channel immediately: untested

✗ D. Keep doing exactly the same thing without measuring: ignores evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F2-Q3 · question page 1788

ENT.MKT.01 · Handle the complications: hype and changing channels

An owner cannot tell which channel brought new customers. What would help?

Answer: C. Asking new customers how they heard about the business

Simple tracking helps.

✗ A. Stopping all channels at once to see what changes: loses reach

✗ B. Guessing based on feelings: unreliable

✗ D. Ignoring the question: no learning

Arithmetic checked by code: not applicable. Sources: none (stable)

S85-F2-Q4 · question page 1789

ENT.MKT.01 · Handle the complications: hype and changing channels

Two channels each cost 100 dollars a month. A brings 10 customers, B brings 4. Ignoring other factors, which is cheaper per customer?

Answer: B. A, at 10 dollars per customer

A: 10; B: 25.

✗ A. They are equal: they differ

✗ C. B, at 25 dollars per customer: B is higher

✗ D. A, at 100 dollars per customer: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S85-F2-Q5 · question page 1790

ENT.MKT.01 · Handle the complications: hype and changing channels

Which statement is accurate?

Answer: A. The best channel depends on the customers and the owner's capacity.

Fit and focus matter.

- ✗ B. Measuring channels is a waste of time.: not true
- ✗ C. More channels always mean more sales.: not always
- ✗ D. One channel is always best for every kind of business everywhere.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-M-Q1 · question page 1792

ENT.MKT.02 · Create useful content with a single next step

What makes content useful?

Answer: C. It helps the reader before asking for anything

Value first.

- ✗ A. It uses as many complicated words as possible: unclear
- ✗ B. It talks only about how great the owner is: self-focused
- ✗ D. It repeats "buy now" as many times as possible: pushy

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-M-Q2 · question page 1793

ENT.MKT.02 · Create useful content with a single next step

Which post is more useful?

Answer: D. "5 ways to keep houseplants alive in winter"

Specific help.

- ✗ A. "We love plants so much!": vague
- ✗ B. "Plants are cool, right?": vague

✗ C. "Buy plants. Buy plants. Buy plants.": pushy

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-M-Q3 · question page 1794

ENT.MKT.02 · Create useful content with a single next step

What should each piece of content end with?

Answer: B. One clear next step

Guide the reader.

✗ A. No next step at all: no direction
✗ C. A long legal disclaimer only: not a next step
✗ D. Five unrelated links to choose from: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-M-Q4 · question page 1795

ENT.MKT.02 · Create useful content with a single next step

Who should content be written for?

Answer: C. One type of reader

Specific audience.

✗ A. Only the owner's family members: too narrow
✗ B. Every person on earth at once: too broad
✗ D. Competitors only: wrong audience

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-M-Q5 · question page 1796

ENT.MKT.02 · Create useful content with a single next step

Which is a clear next step?

Answer: A. "See this week's menu"

Plain and specific.

- ✗ B. "Click": unclear
- ✗ C. "Stuff and things": vague
- ✗ D. "Maybe check something": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-B1-Q1 · question page 1797

ENT.MKT.02 · A helpful neighbor

Why do people think of the helpful neighbor first?

Answer: B. She has helped them before

Help builds trust.

- ✗ A. She hides her skills: no
- ✗ C. She is the cheapest: not stated
- ✗ D. She shouts the loudest: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-B1-Q2 · question page 1798

ENT.MKT.02 · A helpful neighbor

Her free tips are like what?

Answer: D. Useful content

Value before asking.

- ✗ A. Taxes: no
- ✗ B. Invoices: no
- ✗ C. Ads with no information: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-B1-Q3 · question page 1799

ENT.MKT.02 · A helpful neighbor

Mentioning one simple way to work with her is like what?

Answer: B. A clear next step

One next step.

- ✗ A. A secret: no
- ✗ C. No offer at all: missed chance
- ✗ D. Ten different offers: too many

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-B1-Q4 · question page 1800

ENT.MKT.02 · A helpful neighbor

Are her tips vague or specific?

Answer: B. Specific

Specific tips help.

- ✗ A. Vague: no
- ✗ C. Random ones: no
- ✗ D. Secret: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-B1-Q5 · question page 1801

ENT.MKT.02 · A helpful neighbor

What does the neighbor avoid?

Answer: D. Pushing ten offers at once

Keep the ask simple.

- ✗ A. Sharing tips: she shares
- ✗ B. Helping people: she helps

✗ C. Being remembered by anyone: she is

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F1-Q1 · question page 1802

ENT.MKT.02 · Apply it: improve a post

A bakery posts "Best bakery ever!!!" with no details. Which rewrite is more useful?

Answer: B. "How to keep sourdough fresh for 3 days. Order Friday's loaves here."

Useful tip plus one step.

✗ A. "Best bakery ever, really, truly, the very best in the whole town!!!": still vague

✗ C. "Follow us for no reason at all.": no value

✗ D. "Bread.": empty

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F1-Q2 · question page 1803

ENT.MKT.02 · Apply it: improve a post

A post ends with links to the shop, blog, newsletter, survey and careers page. What should change?

Answer: A. Choose the one most important next step

One clear action.

✗ B. Remove every link: no direction

✗ C. Add five more links: more clutter

✗ D. Make all the links blinking and bright: distracting

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F1-Q3 · question page 1804

ENT.MKT.02 · Apply it: improve a post

A tutor's readers are parents of 7th graders. Which topic fits best?

Answer: B. "3 signs your 7th grader needs math help"

Write for the reader.

- ✗ A. "Why we love our logo": self-focused
- ✗ C. "Advanced calculus proofs for researchers": wrong audience
- ✗ D. "Our office furniture choices": irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F1-Q4 · question page 1805

ENT.MKT.02 · Apply it: improve a post

A post got 400 views and 12 people clicked "Book a call." What percent clicked?

Answer: D. 3 percent

12 / 400 = 0.03.

- ✗ A. 12 percent: count
- ✗ B. 33 percent: reversed
- ✗ C. 0.3 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S86-F1-Q5 · question page 1806

ENT.MKT.02 · Apply it: improve a post

Which detail makes content more believable?

Answer: C. A real before-and-after photo of the owner's work

Real examples build trust.

- ✗ A. A stock photo of a stranger's work labeled as her own: misleading
- ✗ B. An unrelated celebrity photo: irrelevant
- ✗ D. A made-up statistic: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F2-Q1 · question page 1807

ENT.MKT.02 · Handle the complications: pressure to post constantly

An owner posts 5 times a day but each post is filler. What might help more?

Answer: A. Fewer, more useful posts

Quality over quantity.

- ✗ B. Posting 10 times a day instead: more filler
- ✗ C. Copying competitors' posts word for word: not original
- ✗ D. Stopping all posts forever: no reach

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F2-Q2 · question page 1808

ENT.MKT.02 · Handle the complications: pressure to post constantly

A how-to post gives advice that could be unsafe if followed wrongly. What should the owner do?

Answer: D. Add clear safety notes or recommend a professional where needed

Responsible content.

- ✗ A. Post it without any warnings, since readers are adults: risky
- ✗ B. Exaggerate the benefits: misleading
- ✗ C. Delete all content: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F2-Q3 · question page 1809

ENT.MKT.02 · Handle the complications: pressure to post constantly

Posts with tips get 30 clicks each; pure ads get 5. How many more clicks do 4 tip posts bring than 4 ads?

Answer: B. 100

4 x 30 - 4 x 5 = 100.

- ✗ A. 25: one post difference
- ✗ C. 120: tip total
- ✗ D. 20: ad total

Arithmetic checked by code: yes. Sources: none (stable)

S86-F2-Q4 · question page 1810

ENT.MKT.02 · Handle the complications: pressure to post constantly

A competitor's post is very popular. The owner wants to copy it word for word. What is the problem?

Answer: C. Copying can violate rights and is not original

Create original content.

- ✗ A. It improves search results: not usually
- ✗ B. Copying guarantees more clicks: not guaranteed
- ✗ D. No problem; posts are always free to copy: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S86-F2-Q5 · question page 1811

ENT.MKT.02 · Handle the complications: pressure to post constantly

Which statement is accurate?

Answer: A. Useful, specific content with one next step tends to work better than vague hype.

Value and clarity.

- ✗ B. Vague hype always beats specific help.: not usually
- ✗ C. Content should never include a next step, because readers dislike being asked.: it should
- ✗ D. More posts always mean more sales.: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S87-M-Q1 · question page 1813

ENT.MKT.03 · Build an email list with permission and follow opt-out rules

How should an email list be built?

Answer: C. With permission, through a sign-up form

People choose to join.

- ✗ A. By copying addresses from other companies' websites: no permission
- ✗ B. By buying a list of strangers' addresses online: no permission
- ✗ D. By guessing addresses at popular email providers: no permission

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-M-Q2 · question page 1814

ENT.MKT.03 · Build an email list with permission and follow opt-out rules

What must a commercial email tell recipients?

Answer: B. How to opt out

Opt-out information is required.

- ✗ A. The owner's home phone number: not required
- ✗ C. The owner's favorite products: not required
- ✗ D. The business's bank balance: not required

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-M-Q3 · question page 1815

ENT.MKT.03 · Build an email list with permission and follow opt-out rules

Which address may be used as the required postal address?

Answer: D. A registered PO Box or private mailbox

A valid physical postal address is required.

✗ A. Only a made-up address that sounds official: must be valid

✗ B. No address is ever needed: required

✗ C. An email address instead of a postal one: not postal

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-M-Q4 · question page 1816

ENT.MKT.03 · Build an email list with permission and follow opt-out rules

Do the rules cover emails sent to other businesses?

Answer: B. Yes

Business-to-business email is covered.

✗ A. No, only emails to consumers: covers B2B too

✗ C. Only on weekends: no

✗ D. Only for large companies: no

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-M-Q5 · question page 1817

ENT.MKT.03 · Build an email list with permission and follow opt-out rules

Which subject line is NOT allowed?

Answer: A. A misleading one, like "Re: your order" when there was no order

Subject lines must not mislead.

✗ B. "Spring sale: 20 percent off all planters and pots this weekend": accurate

✗ C. "New class dates for May": accurate

✗ D. "Our monthly gardening tips": accurate

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-B1-Q1 · question page 1818

ENT.MKT.03 · Invited guests versus gate-crashers

An email list is like what?

Answer: B. A guest list of people who said yes

Permission-based.

- ✗ A. A list of strangers' addresses: no permission
- ✗ C. A shopping list: unrelated
- ✗ D. A phone book: no permission

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-B1-Q2 · question page 1819

ENT.MKT.03 · Invited guests versus gate-crashers

A guest saying "please stop inviting me" is like what?

Answer: C. An unsubscribe request

Opt-out.

- ✗ A. A purchase: no
- ✗ B. A new sign-up: opposite
- ✗ D. A complaint about food: no

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-B1-Q3 · question page 1820

ENT.MKT.03 · Invited guests versus gate-crashers

What should you do when a guest asks to stop?

Answer: B. Take them off the list

Honor opt-outs.

- ✗ A. Sell their name: no
- ✗ C. Invite them twice as often: no
- ✗ D. Ignore them: no

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-B1-Q4 · question page 1821

ENT.MKT.03 · Invited guests versus gate-crashers

Emailing people who never signed up is like what?

Answer: A. Inviting gate-crashers

No permission.

- ✗ B. Paying bills: no
- ✗ C. Sending thank-you notes: no
- ✗ D. Inviting friends: they agreed

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-B1-Q5 · question page 1822

ENT.MKT.03 · Invited guests versus gate-crashers

Who is glad to come to the party?

Answer: C. People you invited who said yes

Permission makes a welcome audience.

- ✗ A. Competitors from across town: no
- ✗ B. Nobody: no
- ✗ D. Strangers: no

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F1-Q1 · question page 1823

ENT.MKT.03 · Apply it: check an email campaign

Mei's newsletter has no unsubscribe link. What should she add?

Answer: C. A clear way to opt out

Opt-out is required.

✗ A. A bigger logo: not required

✗ B. More product photos: not required

✗ D. A countdown timer: not required

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F1-Q2 · question page 1824

ENT.MKT.03 · Apply it: check an email campaign

An owner wants privacy and does not want her home address in emails. What option fits the rule?

Answer: A. Use a registered PO Box or private mailbox

A valid mailbox address works.

✗ B. Leave out any postal address in the email: required

✗ C. Use only a phone number: not postal

✗ D. Use a fake address: must be valid

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F1-Q3 · question page 1825

ENT.MKT.03 · Apply it: check an email campaign

A list has 800 subscribers. 16 unsubscribe after one email. What percent unsubscribed?

Answer: D. 2 percent

16 / 800 = 0.02.

✗ A. 50 percent: misdivided

✗ B. 16 percent: count

✗ C. 0.2 percent: moved decimal

Arithmetic checked by code: yes. Sources: ftc_canspam

S87-F1-Q4 · question page 1826

ENT.MKT.03 · Apply it: check an email campaign

A vendor offers 10,000 email addresses for 50 dollars. What is the main problem?

Answer: B. Those people never gave permission

Bought lists lack consent.

- ✗ A. Nothing at all: permission matters
- ✗ C. The price is too low to be worth it: not the main problem
- ✗ D. 10,000 is too few: not the issue

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F1-Q5 · question page 1827

ENT.MKT.03 · Apply it: check an email campaign

Which subject line is honest for a sale email?

Answer: C. "Weekend sale: 15 percent off all candles"

Accurate subject.

- ✗ A. "Urgent tax notice": misleading
- ✗ B. "Re: our meeting yesterday about your account": misleading
- ✗ D. "Your account is suspended": misleading

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F2-Q1 · question page 1828

ENT.MKT.03 · Handle the complications: old lists and ignored requests

Someone unsubscribed but still gets emails because the owner forgot to update the list. What should she do?

Answer: D. Remove them promptly and fix the process

Honor opt-outs.

- ✗ A. Keep emailing them anyway: violates opt-out
- ✗ B. Ask them to unsubscribe again later: burden
- ✗ C. Move them to a second list: still emailing

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F2-Q2 · question page 1829

ENT.MKT.03 · Handle the complications: old lists and ignored requests

An owner collected business cards at a fair and wants to add everyone to her newsletter. What is the better approach?

Answer: D. Send one message inviting them to join, or ask permission first

Ask permission.

- ✗ A. Never contact them: missed chance
- ✗ B. Sell the list of card addresses to other businesses at the fair: harmful
- ✗ C. Add them all silently: no consent

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F2-Q3 · question page 1830

ENT.MKT.03 · Handle the complications: old lists and ignored requests

An email's "From" name says a famous company the owner does not represent. What rule does this break?

Answer: C. Headers must not be misleading

Honest headers.

- ✗ A. Only the image size rule: no such rule
- ✗ B. Only the color rule: no such rule
- ✗ D. No rule; any name is fine: misleading

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F2-Q4 · question page 1831

ENT.MKT.03 · Handle the complications: old lists and ignored requests

A list of 1,000 had 300 sign-ups from a contest with unrelated prizes; few read emails. What might improve results?

Answer: A. Focus on people who joined for the actual topic

Relevant subscribers.

- ✗ B. Email 5 times a day: more unsubscribes
- ✗ C. Run even bigger contests with unrelated prizes: same problem
- ✗ D. Buy more addresses: no consent

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S87-F2-Q5 · question page 1832

ENT.MKT.03 · Handle the complications: old lists and ignored requests

Which statement is accurate?

Answer: A. Permission, honest subject lines and working opt-outs are basic email duties.

Follow the rules.

- ✗ B. An address is never required.: required
- ✗ C. Buying lists is the best way to grow.: harms trust
- ✗ D. Emails sent to other businesses are exempt from all of these rules.: covered

Arithmetic checked by code: not applicable. Sources: ftc_canspam

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S88-M-Q1 · question page 1834

ENT.MKT.04 · Grow through local outreach, referrals and networking

What is a referral?

Answer: D. A recommendation from a happy customer

Customers recommend you.

- ✗ A. A tax form sent to the state: not a referral
- ✗ B. A discount the owner gives only to herself: not a referral
- ✗ C. A paid ad on a billboard: not a referral

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-M-Q2 · question page 1835

ENT.MKT.04 · Grow through local outreach, referrals and networking

Which partnership makes sense?

Answer: A. A wedding photographer and a florist

They serve the same customers.

- ✗ B. A plumber and a video game studio: different customers
- ✗ C. A bakery and a car wash in another state: no overlap
- ✗ D. A dentist and a tire shop: little overlap

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-M-Q3 · question page 1836

ENT.MKT.04 · Grow through local outreach, referrals and networking

How can an owner make referrals easier?

Answer: B. Ask directly and offer a simple reward for both people

Simple and direct.

- ✗ A. Only accept referrals sent by mailed letter to the shop: friction
- ✗ C. Never mention referrals to anyone: no request
- ✗ D. Require a long form to refer a friend: friction

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-M-Q4 · question page 1837

ENT.MKT.04 · Grow through local outreach, referrals and networking

What does "give before you ask" mean in networking?

Answer: D. Help others first

Build goodwill.

✗ A. Give away all products free forever: too extreme

✗ B. Never help anyone: opposite

✗ C. Ask for favors immediately: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-M-Q5 · question page 1838

ENT.MKT.04 · Grow through local outreach, referrals and networking

Which is local outreach?

Answer: B. A stall at the farmers market

Show up where customers are.

✗ A. A secret social media account: not outreach

✗ C. Hiding the shop address: opposite

✗ D. An email to a bought list: not outreach

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-B1-Q1 · question page 1839

ENT.MKT.04 · A good restaurant tip from a friend

A friend recommending Luca's is like what?

Answer: C. A referral

A personal recommendation.

✗ A. A tax: no

✗ B. A recipe: no

✗ D. A billboard: an ad

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-B1-Q2 · question page 1840

ENT.MKT.04 · A good restaurant tip from a friend

The free dessert is like what?

Answer: C. A referral reward

A thank-you for referring.

- ✗ A. A tax: no
- ✗ B. A fine: no
- ✗ D. A refund of the meal: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-B1-Q3 · question page 1841

ENT.MKT.04 · A good restaurant tip from a friend

The chef and wine shop sending customers to each other is like what?

Answer: C. Networking

Mutual relationships.

- ✗ A. Ignoring each other: no
- ✗ B. Competing: no
- ✗ D. Advertising on TV: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-B1-Q4 · question page 1842

ENT.MKT.04 · A good restaurant tip from a friend

Why do people trust a friend's tip more than an ad?

Answer: D. They trust the friend

Trust transfers.

- ✗ A. Friends are paid actors: no
- ✗ B. Ads cost nothing: no
- ✗ C. Ads are illegal: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-B1-Q5 · question page 1843

ENT.MKT.04 · A good restaurant tip from a friend

Who benefits from the wine shop partnership?

Answer: A. Both businesses

Partnerships are mutual.

- ✗ B. Only the chef: both
- ✗ C. Only the customer: both businesses too
- ✗ D. Neither: both

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F1-Q1 · question page 1844

ENT.MKT.04 · Apply it: plan people-based marketing

A new house cleaner has 10 happy clients. Which first step uses referrals well?

Answer: C. Ask each client to tell a friend, with 10 percent off for both

Ask directly with a simple reward.

- ✗ A. Ask clients to write fake reviews: dishonest
- ✗ B. Wait quietly and hope clients mention her to friends someday: passive
- ✗ D. Buy a national TV ad: costly

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F1-Q2 · question page 1845

ENT.MKT.04 · Apply it: plan people-based marketing

A referral reward gives 10 percent off a 120-dollar cleaning to both people. What is the total discount given?

Answer: A. 24 dollars

2 x 12 = 24.

- ✗ B. 10 dollars: percent as dollars
- ✗ C. 12 dollars: one person
- ✗ D. 120 dollars: full price

Arithmetic checked by code: yes. Sources: none (stable)

S88-F1-Q3 · question page 1846

ENT.MKT.04 · Apply it: plan people-based marketing

If that referral brings a client who books 10 cleanings a year at 120 dollars, what is the yearly revenue from that client?

Answer: D. 1,200 dollars

10 x 120 = 1,200.

- ✗ A. 24 dollars: discount
- ✗ B. 12,000 dollars: extra zero
- ✗ C. 120 dollars: one cleaning

Arithmetic checked by code: yes. Sources: none (stable)

S88-F1-Q4 · question page 1847

ENT.MKT.04 · Apply it: plan people-based marketing

A photographer meets a florist at a networking event. Which follow-up builds the relationship?

Answer: B. Send a short note and share one of the florist's posts

Give first and follow up.

- ✗ A. Criticize the florist's work publicly to look more expert: harmful
- ✗ C. Ask for 20 referrals immediately: too soon
- ✗ D. Never contact the florist again: no relationship

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F1-Q5 · question page 1848

ENT.MKT.04 · Apply it: plan people-based marketing

A booth at a market costs 50 dollars and brings 5 new customers. What is the cost per customer?

Answer: C. 10 dollars

50 / 5 = 10.

- ✗ A. 5 dollars: count
- ✗ B. 250 dollars: multiplied
- ✗ D. 50 dollars: total

Arithmetic checked by code: yes. Sources: none (stable)

S88-F2-Q1 · question page 1849

ENT.MKT.04 · Handle the complications: one-sided partners and broken promises

A partner business receives many referrals from the owner but never sends any back. What is a sensible step?

Answer: D. Talk openly about how the partnership can work for both

Honest conversation.

- ✗ A. Post complaints about them online: harmful
- ✗ B. Start sending fake referrals: dishonest
- ✗ C. Keep sending referrals forever without saying anything: one-sided

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F2-Q2 · question page 1850

ENT.MKT.04 · Handle the complications: one-sided partners and broken promises

An owner promised a free consultation to anyone she met at an event, then forgot. What is the risk?

Answer: A. Broken promises damage trust and referrals

Keep promises.

✗ B. It lowers taxes: no

✗ C. It increases demand: no

✗ D. No risk, because people at events forget too: trust suffers

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F2-Q3 · question page 1851

ENT.MKT.04 · Handle the complications: one-sided partners and broken promises

A referral program pays 50 dollars per referral, but most referred people buy a 40-dollar item once. What is the problem?

Answer: D. Each referral costs more than it brings in

50 > 40.

✗ A. Nothing, because referral rewards always pay off: not here

✗ B. The reward is too small: opposite

✗ C. Customers buy too much: opposite

Arithmetic checked by code: yes. Sources: none (stable)

S88-F2-Q4 · question page 1852

ENT.MKT.04 · Handle the complications: one-sided partners and broken promises

A networking group requires paid membership, but members serve very different customers. What should the owner weigh?

Answer: B. Whether the members connect to her customers

Relevance matters.

✗ A. Nothing, because all networking groups help equally: not true

✗ C. Only the meeting snacks: irrelevant

✗ D. Only the group's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S88-F2-Q5 · question page 1853

ENT.MKT.04 · Handle the complications: one-sided partners and broken promises

Which statement is accurate?

Answer: C. Referrals and partnerships work best when both sides benefit and promises are kept.

Mutual benefit and trust.

- ✗ A. Local marketing never works online.: irrelevant
- ✗ B. Referrals only come from paid ads.: not true
- ✗ D. Networking means asking new contacts for favors immediately after meeting.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S89-M-Q1 · question page 1855

ENT.MKT.05 · Use real reviews with permission and avoid fake ones

What should an owner do before quoting a customer on the website?

Answer: A. Ask the customer for permission

Permission first.

- ✗ B. Make up a name to protect privacy and add details: invented
- ✗ C. Quote them without asking, since the review is public: ask first
- ✗ D. Change their words to sound more exciting: not their words

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-M-Q2 · question page 1856

ENT.MKT.05 · Use real reviews with permission and avoid fake ones

Which is deceptive?

Answer: C. Writing reviews under made-up customer names

Fake reviews deceive.

✗ A. Fixing a small typo in a real review: acceptable

✗ B. Replying politely to a negative review: honest

✗ D. Quoting a real customer with permission: honest

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-M-Q3 · question page 1857

ENT.MKT.05 · Use real reviews with permission and avoid fake ones

Can AI be used to invent customer reviews?

Answer: D. No, invented experiences are deceptive

Reviews must reflect real experiences.

✗ A. Yes, for small businesses only: still fake

✗ B. Yes, if only positive ones are written: still fake

✗ C. Yes, if they sound realistic: still fake

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-M-Q4 · question page 1858

ENT.MKT.05 · Use real reviews with permission and avoid fake ones

How should an owner respond to a negative review?

Answer: C. Calmly and helpfully

Respond professionally.

✗ A. By paying them to remove it: improper

✗ B. By threatening the reviewer: harmful

✗ D. By posting their private details: harmful

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-M-Q5 · question page 1859

ENT.MKT.05 · Use real reviews with permission and avoid fake ones

A review describes results most customers do not get. What should the owner avoid?

Answer: B. Presenting it as typical

Do not mislead about typical results.

- ✗ A. Keeping it on file: fine
- ✗ C. Thanking the reviewer: fine
- ✗ D. Reading it carefully: fine

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-B1-Q1 · question page 1860

ENT.MKT.05 · A reference letter

Why is a reference letter valuable?

Answer: C. It comes from someone who knows your work

Independent source.

- ✗ A. It is long: not the reason
- ✗ B. It is printed on thick, colorful paper: no
- ✗ D. You wrote it: that would be fake

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-B1-Q2 · question page 1861

ENT.MKT.05 · A reference letter

Writing your own letter and signing the teacher's name is like what?

Answer: A. A fake review

Faked endorsement.

- ✗ B. A thank-you note: no
- ✗ C. A real review: no
- ✗ D. A receipt: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-B1-Q3 · question page 1862

ENT.MKT.05 · A reference letter

A business review is like what?

Answer: A. A reference letter from a customer

Third-party endorsement.

- ✗ B. A logo: no
- ✗ C. A tax return filed by the owner: no
- ✗ D. An invoice: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-B1-Q4 · question page 1863

ENT.MKT.05 · A reference letter

When are reviews valuable?

Answer: D. When they really come from customers

Authenticity.

- ✗ A. When they are bought: fake
- ✗ B. When AI invents them: fake
- ✗ C. When the owner writes them herself: fake

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-B1-Q5 · question page 1864

ENT.MKT.05 · A reference letter

What could happen with a faked letter?

Answer: B. Serious trouble

Deception has consequences.

✗ A. A gift: no

✗ C. A job promotion: no

✗ D. Nothing: risky

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F1-Q1 · question page 1865

ENT.MKT.05 · Apply it: handle reviews honestly

A friend offers to post five 5-star reviews for an owner's new café that she has never visited. What should the owner do?

Answer: D. Decline, because those reviews would not reflect real experiences

Reviews must be genuine.

✗ A. Accept, but only three reviews: still fake

✗ B. Accept, because friends are allowed to help a new business look popular: still fake

✗ C. Ask her to use different names: more deceptive

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F1-Q2 · question page 1866

ENT.MKT.05 · Apply it: handle reviews honestly

A customer emails praise. Which next step is right before posting it?

Answer: C. Ask permission and use her actual words

Permission and accuracy.

✗ A. Post it with a fake name: altered

✗ B. Post her phone number and email with it: privacy

✗ D. Rewrite it to add more praise: altered

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F1-Q3 · question page 1867

ENT.MKT.05 · Apply it: handle reviews honestly

A shop has 40 reviews averaging 4.5 stars. After asking all recent customers, it gets 10 more 3-star reviews. What is the new average?

Answer: D. 4.2 stars

(40 x 4.5 + 10 x 3) / 50 = 210 / 50 = 4.2.

- ✗ A. 4.5 stars: unchanged
- ✗ B. 3.0 stars: only new
- ✗ C. 3.75 stars: simple average

Arithmetic checked by code: yes. Sources: ftc_endorse; ftc_reviews

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S89-F1-Q4 · question page 1868

ENT.MKT.05 · Apply it: handle reviews honestly

A negative review says an order arrived late. Which reply is best?

Answer: A. "Sorry about the delay. Please email us so we can make it right."

Calm and helpful.

- ✗ B. "You're lying and we will sue you.": threatening
- ✗ C. No reply, then pay someone to bury it: improper
- ✗ D. "Delete this review now or we will post your home address online.": harmful

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F1-Q5 · question page 1869

ENT.MKT.05 · Apply it: handle reviews honestly

Which practice is honest?

Answer: C. Asking every customer for a review, not just happy ones

Fair request.

- ✗ A. Asking only the customers who seem likely to give 5 stars: skewed

✗ B. Hiding all negative reviews: misleading

✗ D. Offering money only for positive reviews: improper

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F2-Q1 · question page 1870

ENT.MKT.05 · Handle the complications: incentives and edited quotes

An owner offers a discount for leaving a review "of any kind." What should the review show to stay honest?

Answer: A. That the reviewer received an incentive

Disclose material connections.

✗ B. Only positive reviews should be accepted: skewed

✗ C. Nothing; incentives never need mention: disclose

✗ D. The reviewer's home address: privacy

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

---

S89-F2-Q2 · question page 1871

ENT.MKT.05 · Handle the complications: incentives and edited quotes

A testimonial says "I lost 30 pounds in a week" for a supplement. What is the concern?

Answer: D. It may suggest unrealistic results as typical

Unusual results should not be presented as typical.

✗ A. It lacks emojis: irrelevant

✗ B. No concern, because any real customer quote is fine to use: misleading

✗ C. It is too short: not the issue

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

---

S89-F2-Q3 · question page 1872

ENT.MKT.05 · Handle the complications: incentives and edited quotes

An agency offers to "remove bad reviews" by flooding the page with fake positive ones. What

should the owner do?

Answer: A. Refuse, because fake reviews are deceptive

Stay honest.

- ✗ B. Accept for a short time: still deceptive
- ✗ C. Accept the offer, since everyone else does it: deceptive
- ✗ D. Ask for fewer fake reviews: still fake

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S89-F2-Q4 · question page 1873

ENT.MKT.05 · Handle the complications: incentives and edited quotes

A customer approved a quote but later asks to withdraw it. What should the owner do?

Answer: B. Remove it

Respect the customer's choice.

- ✗ A. Post it twice: no
- ✗ C. Keep it, since permission was given once: respect withdrawal
- ✗ D. Edit it to be anonymous without asking: ask first

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

---

S89-F2-Q5 · question page 1874

ENT.MKT.05 · Handle the complications: incentives and edited quotes

Which statement is accurate?

Answer: B. Reviews and testimonials must reflect real customers' honest experiences.

Authenticity and honesty.

- ✗ A. Negative reviews should be threatened away or paid off quickly.: harmful
- ✗ C. Paying for positive reviews is normal.: improper

✗ D. AI-written reviews are fine if realistic.: deceptive

Arithmetic checked by code: not applicable. Sources: ftc_endorse; ftc_reviews

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S90-M-Q1 · question page 1876

ENT.MKT.06 · Disclose sponsorships and affiliate links clearly

What is a material connection?

Answer: D. A payment, free product or commission tied to the promotion

A connection that could affect trust.

✗ A. A friendship with no money or gifts involved at all: not this meaning
✗ B. A broken internet connection: not this meaning
✗ C. The material a product is made from: pun

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-M-Q2 · question page 1877

ENT.MKT.06 · Disclose sponsorships and affiliate links clearly

What is an affiliate link?

Answer: B. A link that pays the promoter a commission on purchases

Commission-paying link.

✗ A. A broken link that leads nowhere: not affiliate
✗ C. A link to the business's own privacy policy page: not affiliate
✗ D. A link to a government website: not affiliate

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S90-M-Q3 · question page 1878

ENT.MKT.06 · Disclose sponsorships and affiliate links clearly

Where should a disclosure appear?

Answer: D. Where people will see it before clicking or buying

Clear and noticeable.

- ✗ A. At the very bottom after 40 hashtags: hard to see
- ✗ B. Nowhere, if the post is short: still needed
- ✗ C. Only on a separate page that nobody visits: hard to see

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-M-Q4 · question page 1879

ENT.MKT.06 · Disclose sponsorships and affiliate links clearly

Is a platform's built-in disclosure tool always enough?

Answer: D. Not automatically

Check that it is clear.

- ✗ A. Yes, if the post has a photo: irrelevant
- ✗ B. No, disclosures are banned: not true
- ✗ C. Yes, it always replaces any other disclosure: not automatically

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-M-Q5 · question page 1880

ENT.MKT.06 · Disclose sponsorships and affiliate links clearly

Which disclosure is clearest?

Answer: A. "I earn a commission if you buy through this link."

Plain words.

- ✗ B. "Thanks to my friends at the shop for everything!": unclear
- ✗ C. "#sp #collab #thx": unclear
- ✗ D. No disclosure at all: missing

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-B1-Q1 · question page 1881

ENT.MKT.06 · A friend who earns money from the recommendation

Why might you feel misled?

Answer: B. You did not know she was paid

Hidden connection.

- ✗ A. She was rude: not stated
- ✗ C. The phone she chose was free: no
- ✗ D. The store closed: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-B1-Q2 · question page 1882

ENT.MKT.06 · A friend who earns money from the recommendation

Does a paid recommendation mean the product is bad?

Answer: C. No, not necessarily

Disclosure is about trust, not quality.

- ✗ A. Only on weekends: no
- ✗ B. Yes, always: not necessarily
- ✗ D. Only for phones: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-B1-Q3 · question page 1883

ENT.MKT.06 · A friend who earns money from the recommendation

What does a disclosure let people do?

Answer: C. Decide how much weight to give the recommendation

Informed choice.

- ✗ A. Buy without thinking: no
- ✗ B. Ignore all ads: no

✗ D. Get a refund automatically from the store later: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-B1-Q4 · question page 1884

ENT.MKT.06 · A friend who earns money from the recommendation

When should people learn about the connection?

Answer: C. Up front

Before deciding.

✗ A. Only if they ask: not enough
✗ B. After buying: too late
✗ D. Never: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-B1-Q5 · question page 1885

ENT.MKT.06 · A friend who earns money from the recommendation

The store paying the friend is like what?

Answer: A. A material connection

Payment tied to the promotion.

✗ B. A refund of the meal: no
✗ C. A paper coupon: no
✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F1-Q1 · question page 1886

ENT.MKT.06 · Apply it: write and request disclosures

A skincare shop sends free products to an influencer who posts a glowing review. What should the post include?

Answer: C. A clear note that the products were free from the shop

Free products are a material connection.

- ✗ A. Nothing, because no cash was paid: gifts count
- ✗ B. Only a hashtag buried at the end: may not be clear
- ✗ D. A note saying the opinion is completely unbiased: not a disclosure

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F1-Q2 · question page 1887

ENT.MKT.06 · Apply it: write and request disclosures

A blogger earns 8 percent commission on a 50-dollar item through an affiliate link. What does she earn per sale?

Answer: D. 4 dollars

0.08 x 50 = 4.

- ✗ A. 42 dollars: subtracted
- ✗ B. 8 dollars: percent as dollars
- ✗ C. 0.40 dollars: moved decimal

Arithmetic checked by code: yes. Sources: ftc_endorse

S90-F1-Q3 · question page 1888

ENT.MKT.06 · Apply it: write and request disclosures

Which disclosure placement is best on a short video?

Answer: A. Said aloud and shown on screen early

Early and visible.

- ✗ B. Only in a comment reply days later: easy to miss
- ✗ C. Only in the last second: easy to miss
- ✗ D. Only in a profile bio: easy to miss

Arithmetic checked by code: not applicable. Sources: ftc_endorse

S90-F1-Q4 · question page 1889

ENT.MKT.06 · Apply it: write and request disclosures

A business runs a program paying people to promote it. What should the business do?

Answer: D. Tell promoters to disclose and check that they do

Businesses share responsibility.

- ✗ A. Tell promoters to hide payments so posts look natural: deceptive
- ✗ B. Ignore what promoters post: risky
- ✗ C. Ask promoters to use fake names: deceptive

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F1-Q5 · question page 1890

ENT.MKT.06 · Apply it: write and request disclosures

Which phrase is a clear disclosure for a paid post?

Answer: B. "Paid partnership with Lime Tree Pets"

Plain and specific.

- ✗ A. "Thanks, LTP!": unclear
- ✗ C. "#blessed": unclear
- ✗ D. "Check them out maybe, if you like": unclear

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F2-Q1 · question page 1891

ENT.MKT.06 · Handle the complications: unclear and hidden connections

An influencer says, "I only post things I love, so I don't need to disclose payments." What is wrong?

Answer: B. Payment should be disclosed regardless of opinion

Disclose the connection.

✗ A. Disclosures are only for TV: not true

✗ C. Nothing; honest opinions need no disclosure: connection still matters

✗ D. Payments are always obvious: not always

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F2-Q2 · question page 1892

ENT.MKT.06 · Handle the complications: unclear and hidden connections

An owner's employee praises the shop online without saying she works there. What should she add?

Answer: A. That she works for the shop

Employment is a material connection.

✗ B. Nothing; employees are customers too: connection exists

✗ C. A discount code only: not a disclosure

✗ D. A fake name: deceptive

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F2-Q3 · question page 1893

ENT.MKT.06 · Handle the complications: unclear and hidden connections

A disclosure is written in tiny light-gray text. What is the problem?

Answer: C. People may not notice it

Must be easy to see.

✗ A. It is too clear: opposite

✗ B. Gray text is illegal: no

✗ D. It is too long: not the problem

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F2-Q4 · question page 1894

ENT.MKT.06 · Handle the complications: unclear and hidden connections

A promoter refuses to disclose after being asked. What should the business do?

Answer: D. Stop working with that promoter

Enforce the rule.

- ✗ A. Disclose nothing either: risky
- ✗ B. Pay more to stay quiet: deceptive
- ✗ C. Keep paying and say nothing: risky

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S90-F2-Q5 · question page 1895

ENT.MKT.06 · Handle the complications: unclear and hidden connections

Which statement is accurate?

Answer: A. Material connections should be disclosed clearly where people will see them.

Clear disclosure.

- ✗ B. Only cash payments count as connections.: gifts and commissions too
- ✗ C. Businesses have no role at all in whether their promoters disclose payments.: they do
- ✗ D. Hashtags at the end are always enough.: not always

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S91-M-Q1 · question page 1897

ENT.MKT.07 · Compare organic and paid reach and run a small, measured ad test

What is organic marketing?

Answer: B. Reaching people without paying per view

Unpaid reach such as posts and word of mouth.

- ✗ A. A legal filing for a brand name: unrelated
- ✗ C. Ads that cost the most money per click: that is paid

✗ D. Marketing that uses only farm products: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-M-Q2 · question page 1898

ENT.MKT.07 · Compare organic and paid reach and run a small, measured ad test

What happens to paid reach when spending stops?

Answer: D. It stops too

Paid reach depends on spend.

✗ A. It doubles for free: not true
✗ B. It grows by itself every month: not true
✗ C. It becomes organic forever: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-M-Q3 · question page 1899

ENT.MKT.07 · Compare organic and paid reach and run a small, measured ad test

A 60-dollar test brings 12 sign-ups. What is the cost per sign-up?

Answer: C. 5 dollars

60 / 12 = 5.

✗ A. 0.20 dollars: reversed
✗ B. 72 dollars: added
✗ D. 12 dollars: count

Arithmetic checked by code: yes. Sources: none (stable)

S91-M-Q4 · question page 1900

ENT.MKT.07 · Compare organic and paid reach and run a small, measured ad test

What budget should a first ad test use?

Answer: A. An amount the owner can afford to lose

Limit the risk.

- ✗ B. No budget limit at all: uncontrolled
- ✗ C. All of the business's savings at once: too risky
- ✗ D. A loan taken out just for ads: too risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-M-Q5 · question page 1901

ENT.MKT.07 · Compare organic and paid reach and run a small, measured ad test

Why test with one goal and one audience?

Answer: B. So the result is clear

Clear tests teach.

- ✗ A. So no results are measured: opposite
- ✗ C. Because more goals are illegal: not true
- ✗ D. Because one audience always buys: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-B1-Q1 · question page 1902

ENT.MKT.07 · Cost per result

100 dollars for 20 results. What is the cost per result?

Answer: C. 5 dollars

100 / 20 = 5.

- ✗ A. 2,000 dollars: multiplied
- ✗ B. 20 dollars: count
- ✗ D. 0.20 dollars: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S91-B1-Q2 · question page 1903

ENT.MKT.07 · Cost per result

45 dollars for 9 results. What is the cost per result?

Answer: D. 5 dollars

45 / 9 = 5.

- ✗ A. 4 dollars: arithmetic slip
- ✗ B. 405 dollars: multiplied
- ✗ C. 9 dollars: count

Arithmetic checked by code: yes. Sources: none (stable)

S91-B1-Q3 · question page 1904

ENT.MKT.07 · Cost per result

Test A: 4 dollars per result. Test B: 6 dollars per result. Which is cheaper?

Answer: B. Test A

Lower cost per result.

- ✗ A. They are the same: differ
- ✗ C. Test B: higher
- ✗ D. Cannot tell: can tell

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-B1-Q4 · question page 1905

ENT.MKT.07 · Cost per result

How do you check 5 dollars per result for 16 results?

Answer: B. 5 x 16 = 80, the total spent

Multiply back.

- ✗ A. 16 / 5 = 3.2, the cost each: not a check
- ✗ C. 5 + 16 = 21: not a check

✗ D. 5 - 16: not a check

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-B1-Q5 · question page 1906

ENT.MKT.07 · Cost per result

120 dollars for 8 results. What is the cost per result?

Answer: C. 15 dollars

120 / 8 = 15.

✗ A. 8 dollars: count
✗ B. 960 dollars: multiplied
✗ D. 12 dollars: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S91-F1-Q1 · question page 1907

ENT.MKT.07 · Apply it: design and judge an ad test

A candle maker has 40 dollars to test ads. Which plan is best?

Answer: D. One audience, one goal (orders), 7 days, 40 dollars

Focused and limited.

✗ A. Five audiences, three goals and no end date, for 40 dollars: unclear results
✗ B. No goal; just see what happens: unmeasurable
✗ C. Spend 400 dollars on credit: too risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F1-Q2 · question page 1908

ENT.MKT.07 · Apply it: design and judge an ad test

Ad A: 50 dollars, 5 orders. Ad B: 50 dollars, 2 orders. What is Ad A's cost per order?

Answer: C. 10 dollars

50 / 5 = 10.

- ✗ A. 5 dollars: count
- ✗ B. 25 dollars: Ad B
- ✗ D. 250 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S91-F1-Q3 · question page 1909

ENT.MKT.07 · Apply it: design and judge an ad test

Each order brings 14 dollars of contribution. Ad A costs 10 dollars per order. Does Ad A pay for itself on the first order?

Answer: B. Yes, by 4 dollars per order

14 - 10 = 4.

- ✗ A. No, it loses 4 dollars per order: reversed
- ✗ C. It breaks exactly even: no
- ✗ D. Cannot tell from the numbers: can tell

Arithmetic checked by code: yes. Sources: none (stable)

S91-F1-Q4 · question page 1910

ENT.MKT.07 · Apply it: design and judge an ad test

Ad B costs 25 dollars per order with the same 14-dollar contribution. What happens on each order?

Answer: D. It loses 11 dollars

14 - 25 = -11.

- ✗ A. It breaks even: no
- ✗ B. It earns 39 dollars: added
- ✗ C. It earns 11 dollars: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S91-F1-Q5 · question page 1911

ENT.MKT.07 · Apply it: design and judge an ad test

Organic posts brought 6 orders this month at no ad cost but took 8 hours. What should the owner also consider?

Answer: A. The value of her time

Organic costs time.

- ✗ B. Only the logo: irrelevant
- ✗ C. Nothing; organic is always free: time has value
- ✗ D. Only competitors' ad budgets: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F2-Q1 · question page 1912

ENT.MKT.07 · Handle the complications: misleading test results

An ad got 2,000 likes but 0 orders. The goal was orders. How should the owner judge it?

Answer: A. It did not meet the goal

Measure against the goal.

- ✗ B. It cannot be judged: it can
- ✗ C. It succeeded because likes are high: wrong goal
- ✗ D. It doubled sales: no sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F2-Q2 · question page 1913

ENT.MKT.07 · Handle the complications: misleading test results

A test ran for 1 day with 3 dollars spent and 1 order. What is the problem with scaling up now?

Answer: C. The test is too small to trust

Small samples mislead.

- ✗ A. Small tests are illegal: no
- ✗ B. Nothing; one order proves everything: too small
- ✗ D. Ads always work after one day: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F2-Q3 · question page 1914

ENT.MKT.07 · Handle the complications: misleading test results

A platform's ad dashboard shows 40 "conversions," but the shop recorded only 22 orders from that ad. What should the owner rely on?

Answer: A. Her own order records, after checking the definitions

Verify with your own data.

- ✗ B. Only the platform's number: may count differently
- ✗ C. The bigger of the two numbers, to feel good about it: biased
- ✗ D. Neither, guess instead: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F2-Q4 · question page 1915

ENT.MKT.07 · Handle the complications: misleading test results

Ads stopped and orders fell from 30 to 8 a month. What does this suggest?

Answer: D. Most orders depended on paid reach

Paid reach stops with spending.

- ✗ A. Organic marketing was doing most of the work: opposite
- ✗ B. Ads had no effect: opposite
- ✗ C. Prices doubled: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S91-F2-Q5 · question page 1916

ENT.MKT.07 · Handle the complications: misleading test results

Which statement is accurate?

Answer: D. Testing small first is safer than a big untested spend.

Test small first.

- ✗ A. Big untested spends are always safer than small tests.: riskier
- ✗ B. Likes always equal sales.: not true
- ✗ C. Organic marketing costs nothing at all.: costs time

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-M-Q1 · question page 1918

ENT.MKT.08 · Follow reach, leads and sales and find the weakest step

What is a lead?

Answer: B. A person who showed interest

Interest, not yet a sale.

- ✗ A. A heavy metal used in old pipes: pun
- ✗ C. A person who never saw the message: not reached
- ✗ D. A person who has already paid twice: that is a sale

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-M-Q2 · question page 1919

ENT.MKT.08 · Follow reach, leads and sales and find the weakest step

2,000 reached and 100 leads. What is the lead rate?

Answer: D. 5 percent

100 / 2,000 = 0.05.

- ✗ A. 2 percent: misdivided
- ✗ B. 100 percent: count

✗ C. 20 percent: sales rate

Arithmetic checked by code: yes. Sources: none (stable)

S92-M-Q3 · question page 1920

ENT.MKT.08 · Follow reach, leads and sales and find the weakest step

100 leads and 20 sales. What is the sales rate from leads?

Answer: C. 20 percent

20 / 100 = 0.20.

✗ A. 5 percent: lead rate
✗ B. 80 percent: non-buyers
✗ D. 1 percent: of reach

Arithmetic checked by code: yes. Sources: none (stable)

S92-M-Q4 · question page 1921

ENT.MKT.08 · Follow reach, leads and sales and find the weakest step

Why find the step where most people drop off?

Answer: D. It shows what to improve

Focus improvements.

✗ A. It proves marketing never works: no
✗ B. It doubles reach automatically: no
✗ C. It removes the need to measure: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-M-Q5 · question page 1922

ENT.MKT.08 · Follow reach, leads and sales and find the weakest step

What is reach?

Answer: C. How many people saw the message

The first step.

- ✗ A. How far the shop is from customers: pun
- ✗ B. How many asked questions: leads
- ✗ D. How many people paid: sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-B1-Q1 · question page 1923

ENT.MKT.08 · Chaining percentages

10 percent of 500 reached become leads. How many leads?

Answer: A. 50

0.10 x 500 = 50.

- ✗ B. 510: added
- ✗ C. 5: moved decimal
- ✗ D. 10: percent

Arithmetic checked by code: yes. Sources: none (stable)

S92-B1-Q2 · question page 1924

ENT.MKT.08 · Chaining percentages

20 percent of 50 leads buy. How many sales?

Answer: B. 10

0.20 x 50 = 10.

- ✗ A. 70: added
- ✗ C. 2.5: divided
- ✗ D. 20: percent

Arithmetic checked by code: yes. Sources: none (stable)

S92-B1-Q3 · question page 1925

ENT.MKT.08 · Chaining percentages

What is 0.10 x 0.20?

Answer: D. 0.02

0.10 x 0.20 = 0.02.

- ✗ A. 0.2: one factor
- ✗ B. 0.30: added
- ✗ C. 2: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S92-B1-Q4 · question page 1926

ENT.MKT.08 · Chaining percentages

2 percent of 500 reached buy. How many sales?

Answer: A. 10

0.02 x 500 = 10.

- ✗ B. 2: percent
- ✗ C. 100: moved decimal
- ✗ D. 250: divided

Arithmetic checked by code: yes. Sources: none (stable)

S92-B1-Q5 · question page 1927

ENT.MKT.08 · Chaining percentages

Do the step-by-step and combined-rate methods agree?

Answer: B. Yes, both give the same sales

Multiplication works either way.

- ✗ A. No, never: they agree
- ✗ C. Only for small numbers of people: always

✗ D. Only for large numbers: always

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-F1-Q1 · question page 1928

ENT.MKT.08 · Apply it: diagnose a funnel

Campaign A: 5,000 reached, 50 leads, 25 sales. Campaign B: 1,000 reached, 100 leads, 10 sales. Which has the better lead rate?

Answer: C. B, at 10 percent

A: 50/5,000 = 1 percent; B: 100/1,000 = 10 percent.

✗ A. They are equal: differ
✗ B. A, at 1 percent: A is lower
✗ D. A, at 50 percent: sales rate

Arithmetic checked by code: yes. Sources: none (stable)

S92-F1-Q2 · question page 1929

ENT.MKT.08 · Apply it: diagnose a funnel

Campaign A: 50 leads, 25 sales. Campaign B: 100 leads, 10 sales. Which has the better sales rate from leads?

Answer: B. A, at 50 percent

A: 25/50; B: 10/100.

✗ A. B, at 100 percent: miscalculated
✗ C. B, at 10 percent: B is lower
✗ D. They are equal: differ

Arithmetic checked by code: yes. Sources: none (stable)

S92-F1-Q3 · question page 1930

ENT.MKT.08 · Apply it: diagnose a funnel

Campaign B gets many leads but few buy. Which step should it improve?

Answer: D. The follow-up or offer after someone shows interest

The drop is between leads and sales.

- ✗ A. Nothing; it is perfect: low sales rate
- ✗ B. Reach, by showing the same ads to many more people: leads are not the problem
- ✗ C. The logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-F1-Q4 · question page 1931

ENT.MKT.08 · Apply it: diagnose a funnel

A shop reaches 3,000 people, gets 4 percent as leads and 25 percent of leads buy. How many sales?

Answer: A. 30

0.04 x 3,000 = 120; 0.25 x 120 = 30.

- ✗ B. 120: leads
- ✗ C. 12: miscalculated
- ✗ D. 750: used reach

Arithmetic checked by code: yes. Sources: none (stable)

S92-F1-Q5 · question page 1932

ENT.MKT.08 · Apply it: diagnose a funnel

An owner wants 40 sales. Her lead rate is 5 percent and sales rate is 20 percent of leads. What reach does she need?

Answer: C. 4,000

40 / (0.05 x 0.20) = 40 / 0.01 = 4,000.

- ✗ A. 800: leads needed
- ✗ B. 40,000: extra zero
- ✗ D. 200: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S92-F2-Q1 · question page 1933

ENT.MKT.08 · Handle the complications: vanity numbers and slow follow-up

Reach doubled but sales stayed flat. What might be happening?

Answer: B. The new viewers are not good leads

More reach is not always better reach.

- ✗ A. Sales must have doubled too, unseen: they did not
- ✗ C. Reach always equals sales: not true
- ✗ D. The math is impossible: possible

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-F2-Q2 · question page 1934

ENT.MKT.08 · Handle the complications: vanity numbers and slow follow-up

Leads wait 5 days for a reply and many buy elsewhere. Which step needs work?

Answer: A. Follow-up speed

Slow follow-up loses leads.

- ✗ B. The logo design: unrelated
- ✗ C. Reach: not the drop
- ✗ D. Nothing: there is a drop

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-F2-Q3 · question page 1935

ENT.MKT.08 · Handle the complications: vanity numbers and slow follow-up

A post reached 10,000 people but only 0.1 percent became leads. How many leads?

Answer: D. 10

0.001 x 10,000 = 10.

✗ A. 1: used 0.01 percent

✗ B. 1,000: used 10 percent

✗ C. 100: used 1 percent

Arithmetic checked by code: yes. Sources: none (stable)

S92-F2-Q4 · question page 1936

ENT.MKT.08 · Handle the complications: vanity numbers and slow follow-up

An owner reports only reach to investors. What is missing?

Answer: B. Leads and sales that show real results

Show the whole path.

✗ A. Nothing, because reach alone is enough: incomplete

✗ C. A longer report: not the point

✗ D. A larger font: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S92-F2-Q5 · question page 1937

ENT.MKT.08 · Handle the complications: vanity numbers and slow follow-up

Which statement is accurate?

Answer: A. Watching each step shows where people drop off.

Steps reveal problems.

✗ B. Leads and sales are the same thing.: different

✗ C. Reach is the only number that really matters.: not true

✗ D. Sales rates never change.: they change

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-M-Q1 · question page 1939

ENT.MKT.09 · Avoid fake followers and reduce dependence on one platform

Why are fake followers harmful?

Answer: C. They inflate counts but never buy

Empty numbers.

- ✗ A. They lower ad costs automatically: not true
- ✗ B. They buy more than real followers: not true
- ✗ D. They are required for success: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-M-Q2 · question page 1940

ENT.MKT.09 · Avoid fake followers and reduce dependence on one platform

What is an algorithm on a social platform?

Answer: D. The system that decides what people see

It ranks and filters content.

- ✗ A. A list of the owner's account passwords: no
- ✗ B. A type of business license: no
- ✗ C. A tax on posts: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-M-Q3 · question page 1941

ENT.MKT.09 · Avoid fake followers and reduce dependence on one platform

Which audience is closer to one the business controls?

Answer: C. An email list people joined with permission

Permission lists are portable.

- ✗ A. Bought followers from a website: fake
- ✗ B. Viewers of one viral video: temporary
- ✗ D. Followers on a single social app, however many: platform controls

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-M-Q4 · question page 1942

ENT.MKT.09 · Avoid fake followers and reduce dependence on one platform

What can a platform do at any time?

Answer: D. Change its rules or suspend accounts

Platform control is a risk.

- ✗ A. Hand you its customer data: no
- ✗ B. Pay all your bills: no
- ✗ C. Guarantee your reach for as long as you post: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-M-Q5 · question page 1943

ENT.MKT.09 · Avoid fake followers and reduce dependence on one platform

What is the safest approach?

Answer: A. Build some of both and do not rely on one platform

Diversify.

- ✗ B. Put everything on one app: risky
- ✗ C. Avoid all platforms: loses reach
- ✗ D. Buy followers on one app to look popular fast: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-B1-Q1 · question page 1944

ENT.MKT.09 · Renting a stall versus owning a address book

A social platform is like what?

Answer: C. A rented stall in someone else's market

Someone else controls it.

✗ A. Your own building on your own land: not yours

✗ B. A tax office: no

✗ D. A bank vault: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-B1-Q2 · question page 1945

ENT.MKT.09 · Renting a stall versus owning a address book

Who decides how many people walk past the stall?

Answer: B. The market owner

The platform controls visibility.

✗ A. Customers only: not fully

✗ C. You alone: no

✗ D. Nobody: someone does

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-B1-Q3 · question page 1946

ENT.MKT.09 · Renting a stall versus owning a address book

An email list is like what?

Answer: A. Your own address book of customers

A list you hold.

✗ B. A billboard: no

✗ C. A rented stall in the town market: no

✗ D. A coupon: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-B1-Q4 · question page 1947

ENT.MKT.09 · Renting a stall versus owning a address book

If the market closes, what can you still do?

Answer: A. Write to your address book

Owned contact survives.

- ✗ B. Use the same stall: closed
- ✗ C. Force the market to open again: no
- ✗ D. Nothing at all: you can

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-B1-Q5 · question page 1948

ENT.MKT.09 · Renting a stall versus owning a address book

What is the lesson of the picture?

Answer: D. Do not depend only on a rented stall

Diversify.

- ✗ A. Address books are useless for selling: no
- ✗ B. Markets never close: they can
- ✗ C. Never sell at markets: too extreme

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F1-Q1 · question page 1949

ENT.MKT.09 · Apply it: judge audience quality and risk

Account A has 20,000 followers and 3 sales a month. Account B has 900 followers and 40 sales. Which audience is more valuable for sales?

Answer: B. B

Sales show real value.

- ✗ A. A, because the count is bigger: count is not sales
- ✗ C. They are equal: differ
- ✗ D. Neither: B sells

Arithmetic checked by code: yes. Sources: none (stable)

S93-F1-Q2 · question page 1950

ENT.MKT.09 · Apply it: judge audience quality and risk

A service offers 10,000 followers for 30 dollars. What is the best response?

Answer: C. Decline; fake followers do not buy and can hurt reach

Avoid fake audiences.

- ✗ A. Buy 5,000 as a test: still harmful
- ✗ B. Ask for 20,000 instead: worse
- ✗ D. Buy them, since looking popular attracts real buyers: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F1-Q3 · question page 1951

ENT.MKT.09 · Apply it: judge audience quality and risk

An owner gets 90 percent of sales from one platform. What risk does she face?

Answer: B. A rule change or suspension could cut most sales

Concentration risk.

- ✗ A. No risk, because platforms never change their rules: they do
- ✗ C. Taxes vanish: no
- ✗ D. Sales will double: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F1-Q4 · question page 1952

ENT.MKT.09 · Apply it: judge audience quality and risk

Which step reduces that risk?

Answer: D. Inviting buyers to join an email list

Build an owned channel.

✗ A. Buying followers: harmful

✗ B. Posting more on the same platform only: same risk

✗ C. Deleting the account: loses sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F1-Q5 · question page 1953

ENT.MKT.09 · Apply it: judge audience quality and risk

A post reaches 8,000 of 40,000 followers. What percent of followers saw it?

Answer: B. 20 percent

8,000 / 40,000 = 0.20.

✗ A. 80 percent: reversed

✗ C. 5 percent: misdivided

✗ D. 8 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S93-F2-Q1 · question page 1954

ENT.MKT.09 · Handle the complications: algorithm shifts and suspensions

Reach dropped by half after a platform changed its algorithm. What is a sensible response?

Answer: B. Test new formats and strengthen other channels

Adapt and diversify.

✗ A. Assume the business is over: premature

✗ C. Do nothing forever: passive

✗ D. Buy fake followers to recover the lost reach quickly: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F2-Q2 · question page 1955

ENT.MKT.09 · Handle the complications: algorithm shifts and suspensions

An account is suspended by mistake. What would help the business keep selling meanwhile?

Answer: D. An email list and a website it controls

Owned channels are a backup.

- ✗ A. Only the suspended account, once it returns: unavailable
- ✗ B. Fake accounts: violates rules
- ✗ C. Nothing could help: owned channels help

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F2-Q3 · question page 1956

ENT.MKT.09 · Handle the complications: algorithm shifts and suspensions

An influencer with 100,000 followers offers a paid post, but her comments look like bots. What should the owner check?

Answer: A. Whether her audience is real and matches the target customers

Check audience quality.

- ✗ B. Nothing, because big follower counts are always real people: not true
- ✗ C. Only her profile photo: irrelevant
- ✗ D. Only her follower count: can be faked

Arithmetic checked by code: not applicable. Sources: none (stable)

S93-F2-Q4 · question page 1957

ENT.MKT.09 · Handle the complications: algorithm shifts and suspensions

An email list of 1,200 gives about 30 sales per campaign. A platform of 12,000 followers gives about 15. What does this suggest?

Answer: C. The smaller owned list produces more sales here

Engaged audiences matter.

- ✗ A. Lists never work: it worked
- ✗ B. Followers equal sales: not true

✗ D. The platform is always better because it has more followers: not here

Arithmetic checked by code: yes. Sources: none (stable)

S93-F2-Q5 · question page 1958

ENT.MKT.09 · Handle the complications: algorithm shifts and suspensions

Which statement is accurate?

Answer: D. Engaged audiences beat big counts, and no platform is guaranteed.

Quality and independence.

✗ A. Email lists are illegal to build.: legal with permission
✗ B. Platforms promise permanent reach to every account that posts often.: they do not
✗ C. Fake followers help sales.: they do not

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-M-Q1 · question page 1960

ENT.MKT.10 · Plan a realistic content calendar and follow platform rules

What is a content calendar?

Answer: A. A plan of what to post and when

Planned posting.

✗ B. A list of customer birthdays only: not this
✗ C. A tax deadline schedule: not this
✗ D. A wall calendar of the owner's holidays: not this

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-M-Q2 · question page 1961

ENT.MKT.10 · Plan a realistic content calendar and follow platform rules

Why batch content?

Answer: B. Writing several posts in one session saves time

Efficiency.

- ✗ A. Batches always go viral: not true
- ✗ C. Batching posts is required by platform law: not true
- ✗ D. It avoids having any plan: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-M-Q3 · question page 1962

ENT.MKT.10 · Plan a realistic content calendar and follow platform rules

What can happen if platform rules are broken?

Answer: C. Posts removed or accounts suspended

Rules are enforced.

- ✗ A. Nothing, ever: there are consequences
- ✗ B. A free advertising credit: no
- ✗ D. Automatic promotion to more viewers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-M-Q4 · question page 1963

ENT.MKT.10 · Plan a realistic content calendar and follow platform rules

Which images may a business use?

Answer: B. Images it has the right to use

Respect copyright.

- ✗ A. Screenshots of other people's art: no rights
- ✗ C. Any image found online: may be copyrighted
- ✗ D. A famous brand's photos without permission: no rights

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-M-Q5 · question page 1964

ENT.MKT.10 · Plan a realistic content calendar and follow platform rules

Which plan is more sustainable for a busy owner?

Answer: C. Two useful posts a week on set days

Consistent and realistic.

- ✗ A. Posting only when inspired: inconsistent
- ✗ B. Hourly posting with no plan: unsustainable
- ✗ D. Twenty posts on Monday, then nothing for a month: bursty

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-B1-Q1 · question page 1965

ENT.MKT.10 · Meal prep for posting

Batching content is like what?

Answer: A. Cooking meals for the week on Sunday

Prepare ahead.

- ✗ B. Buying a new oven: no
- ✗ C. Skipping meals: no
- ✗ D. Eating out at a restaurant every meal: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-B1-Q2 · question page 1966

ENT.MKT.10 · Meal prep for posting

A content calendar is like what?

Answer: A. A meal plan

It plans what and when.

✗ B. A dishwasher: no

✗ C. A grocery receipt: no

✗ D. A recipe book: close but not plan

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-B1-Q3 · question page 1967

ENT.MKT.10 · Meal prep for posting

Kitchen safety rules are like what?

Answer: D. Platform rules

Rules to follow.

✗ A. Grocery prices: no

✗ B. Table manners: no

✗ C. Recipe tips: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-B1-Q4 · question page 1968

ENT.MKT.10 · Meal prep for posting

Why prep on Sunday?

Answer: C. To save time during a busy week

Efficiency.

✗ A. To use more pans: no

✗ B. To waste food: no

✗ D. To avoid ever cooking again: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-B1-Q5 · question page 1969

ENT.MKT.10 · Meal prep for posting

Heating up a prepared meal is like what?

Answer: D. A scheduled post going live

Work done in advance.

- ✗ A. Breaking a rule: no
- ✗ B. Deleting a post: no
- ✗ C. Writing a new post from scratch: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F1-Q1 · question page 1970

ENT.MKT.10 · Apply it: plan a month of content

An owner plans 2 posts a week for 4 weeks and writes them in batches of 4. How many batch sessions does she need?

Answer: A. 2

8 posts / 4 per batch = 2.

- ✗ B. 1: too few
- ✗ C. 4: weeks
- ✗ D. 8: posts

Arithmetic checked by code: yes. Sources: none (stable)

S94-F1-Q2 · question page 1971

ENT.MKT.10 · Apply it: plan a month of content

Each post takes 25 minutes to write. How long for a month of 8 posts?

Answer: C. 200 minutes

8 x 25 = 200.

- ✗ A. 33 minutes: added
- ✗ B. 25 minutes: one post
- ✗ D. 100 minutes: four posts

Arithmetic checked by code: yes. Sources: none (stable)

S94-F1-Q3 · question page 1972

ENT.MKT.10 · Apply it: plan a month of content

An owner wants to run a giveaway on a platform. What should she check first?

Answer: D. That platform's contest rules

Platforms set contest rules.

- ✗ A. Only what a competitor did: may break rules
- ✗ B. Only the prize color: irrelevant
- ✗ C. Nothing; giveaways are always allowed: rules vary

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F1-Q4 · question page 1973

ENT.MKT.10 · Apply it: plan a month of content

A video uses a popular song without a license. What is the risk?

Answer: A. The video may be removed or muted

Use licensed music.

- ✗ B. More views guaranteed by the song: not guaranteed
- ✗ C. No risk at all: there is risk
- ✗ D. A free music license: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F1-Q5 · question page 1974

ENT.MKT.10 · Apply it: plan a month of content

Which calendar entry is most useful?

Answer: C. "Tue: tip on caring for wool sweaters; Fri: customer photo with permission"

Specific topic and day.

- ✗ A. "Post some stuff sometime this week, maybe about sweaters or other things": vague
- ✗ B. "Be creative": vague
- ✗ D. "Maybe Tuesday": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F2-Q1 · question page 1975

ENT.MKT.10 · Handle the complications: restricted claims and missed weeks

A supplement seller wants to post "cures colds." What should she consider?

Answer: B. Health claims are restricted and must be truthful and supported

Claims have rules.

- ✗ A. Bigger health claims bring more sales safely and quickly: risky
- ✗ C. Platforms never review claims: they can
- ✗ D. Any claim is fine on social media: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F2-Q2 · question page 1976

ENT.MKT.10 · Handle the complications: restricted claims and missed weeks

The owner missed two weeks of posts while sick. What is a sensible approach?

Answer: A. Resume the calendar and keep a few backup posts ready

Backups and steady resumption.

- ✗ B. Post 20 times in one day to catch up on missed weeks: bursty
- ✗ C. Quit posting forever: overreaction
- ✗ D. Apologize in ten posts: unnecessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F2-Q3 · question page 1977

ENT.MKT.10 · Handle the complications: restricted claims and missed weeks

A post was removed for using another company's logo. What should the owner do next time?

Answer: B. Use only her own images or licensed ones

Respect trademarks and copyright.

- ✗ A. Use the logo again but smaller: still infringing
- ✗ C. Use a different company's logo instead: still infringing
- ✗ D. Ignore the removal: repeats problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F2-Q4 · question page 1978

ENT.MKT.10 · Handle the complications: restricted claims and missed weeks

Platform A allows contests; Platform B restricts them. The owner posts the same contest on both. What is the problem?

Answer: D. It may break Platform B's rules

Rules differ by platform.

- ✗ A. No problem; rules are identical: they differ
- ✗ B. It doubles prizes: no
- ✗ C. Contests are illegal everywhere: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S94-F2-Q5 · question page 1979

ENT.MKT.10 · Handle the complications: restricted claims and missed weeks

Which statement is accurate?

Answer: C. Each platform has its own rules, so read them for each one you use.

Know the rules.

- ✗ A. All platforms share one rulebook.: not true
- ✗ B. Copyright does not apply online.: it does
- ✗ D. Posting more often always fixes any problems with rules.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S95-M-Q1 · question page 1981

ENT.CASE.07 · Apply a documented early decision: sell in person where customers gather

According to the passage, what did Blue Ribbon Sports first do?

Answer: D. Distribute Onitsuka Tiger running shoes from Japan

It distributed imported shoes.

- ✗ A. Manufacture its own shoes in a large factory: not at first
- ✗ B. Sell clothing in department stores: not stated
- ✗ C. Run a chain of gyms: not stated

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-M-Q2 · question page 1982

ENT.CASE.07 · Apply a documented early decision: sell in person where customers gather

Where did Knight sell shoes?

Answer: A. From his car at regional track meets

At track meets.

- ✗ B. Only through a website: not in 1964
- ✗ C. Only in a big-city storefront: not stated
- ✗ D. Only by mail to other countries: not stated

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-M-Q3 · question page 1983

ENT.CASE.07 · Apply a documented early decision: sell in person where customers gather

What else was Knight doing at the time?

Answer: B. Working other jobs

He worked other jobs.

- ✗ A. Managing a large company: not stated
- ✗ C. Running for political office: not stated
- ✗ D. Studying full time abroad: not stated

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-M-Q4 · question page 1984

ENT.CASE.07 · Apply a documented early decision: sell in person where customers gather

Which lesson does this course draw?

Answer: A. Go in person where interested customers gather

Meet customers where they are.

- ✗ B. Wait for customers to find you online: opposite
- ✗ C. Quit every other job on day one: not the lesson
- ✗ D. Only sell to people who are not runners: opposite

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-M-Q5 · question page 1985

ENT.CASE.07 · Apply a documented early decision: sell in person where customers gather

Which statement about the Blue Ribbon Sports case is accurate?

Answer: D. It shows one start, not a promise for other in-person sellers.

One story teaches; it does not promise.

- ✗ A. It shows imported goods never work.: opposite
- ✗ B. It shows part-time starts are impossible.: opposite

✗ C. It proves selling from a car at events always succeeds.: one case

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-B1-Q1 · question page 1986

ENT.CASE.07 · Why a track meet was a good place

Who gathers at a track meet?

Answer: B. Many runners

Interested customers in one place.

✗ A. Mostly bankers: no
✗ C. Mostly chefs: no
✗ D. Nobody: no

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-B1-Q2 · question page 1987

ENT.CASE.07 · Why a track meet was a good place

Why do runners care about the product?

Answer: D. They need good running shoes

Strong need.

✗ A. They sell shoes: no
✗ B. They mostly collect hats: no
✗ C. They avoid shoes: no

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-B1-Q3 · question page 1988

ENT.CASE.07 · Why a track meet was a good place

Selling apples at a farmers market rather than an empty road shows what?

Answer: A. Go where buyers already are

Location matters.

- ✗ B. Roads are illegal for selling: no
- ✗ C. Markets are free: not the point
- ✗ D. Apples are better: no

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-B1-Q4 · question page 1989

ENT.CASE.07 · Why a track meet was a good place

"Knight sold at track meets" is which kind of statement?

Answer: B. Documented fact

It is recorded.

- ✗ A. A rumor: sourced
- ✗ C. A promise: no
- ✗ D. Course explanation: it is documented

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-B1-Q5 · question page 1990

ENT.CASE.07 · Why a track meet was a good place

"Track meets fit because runners gather there" is which kind of statement?

Answer: D. The course's explanation

An interpretation.

- ✗ A. A legal rule: no
- ✗ B. A documented quote from Knight: no
- ✗ C. A tax fact: no

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F1-Q1 · question page 1991

ENT.CASE.07 · Apply it: find your "track meet"

Ana makes grips for rock climbers and has a full-time job. Which first step best applies the lesson?

Answer: C. Sell at climbing gym events on weekends

Go where climbers gather, part time.

- ✗ A. Wait for climbers to email her: passive
- ✗ B. Run ads to everyone in the country: unfocused
- ✗ D. Quit her job and open a mall store: not part time

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F1-Q2 · question page 1992

ENT.CASE.07 · Apply it: find your "track meet"

At one event Ana sells 18 grips at 15 dollars each. What is her revenue?

Answer: B. 270 dollars

18 x 15 = 270.

- ✗ A. 33 dollars: added
- ✗ C. 180 dollars: used 10
- ✗ D. 150 dollars: used 10 grips

Arithmetic checked by code: yes. Sources: case_nike

S95-F1-Q3 · question page 1993

ENT.CASE.07 · Apply it: find your "track meet"

At an event Ana sells 18 grips at 15 dollars each. The booth costs 40 dollars and each grip costs 6 dollars to make. What is her profit from the event?

Answer: D. 122 dollars

270 - 18 x 6 - 40 = 122.

- ✗ A. 270 dollars: revenue

✗ B. 162 dollars: ignored booth

✗ C. 230 dollars: ignored product cost

Arithmetic checked by code: yes. Sources: case_nike

S95-F1-Q4 · question page 1994

ENT.CASE.07 · Apply it: find your "track meet"

Which detail from the case is a surface detail, not the lesson?

Answer: C. Selling from a car

The car is incidental.

✗ A. Going where customers gather: lesson

✗ B. Starting part time: lesson

✗ D. Meeting interested buyers in person: lesson

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F1-Q5 · question page 1995

ENT.CASE.07 · Apply it: find your "track meet"

A baker's customers are mostly busy commuters. Applying the lesson, where might she sell?

Answer: C. Near a busy train station in the morning

Find where your customers gather.

✗ A. At a quiet park at midnight: no customers

✗ B. At a track meet: wrong audience

✗ D. Only online, with no promotion at all: passive

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F2-Q1 · question page 1996

ENT.CASE.07 · Handle the complications: limits of the lesson

Someone says, "Knight sold from his car, so I should sell everything from my car." What is wrong?

Answer: B. The car was a detail; the lesson is meeting customers where they gather

Do not copy surface details.

- ✗ A. Knight never had a car: he did
- ✗ C. Nothing, because selling from a car is what guarantees success: not true
- ✗ D. Cars are illegal for business: not the point

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F2-Q2 · question page 1997

ENT.CASE.07 · Handle the complications: limits of the lesson

Ana's climbing events happen only once a month. What should she consider adding?

Answer: D. Another channel to reach climbers between events

Combine channels.

- ✗ A. Quitting immediately: premature
- ✗ B. Fake reviews: dishonest
- ✗ C. Nothing, because one event a month is plenty of reach: may limit sales

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F2-Q3 · question page 1998

ENT.CASE.07 · Handle the complications: limits of the lesson

Selling at events needs permits in some places. What should Ana check?

Answer: A. The event's and city's vendor rules

Rules apply.

- ✗ B. Only her logo: irrelevant
- ✗ C. Nothing; events never need permits: may need
- ✗ D. Only competitors' prices: not rules

Arithmetic checked by code: not applicable. Sources: case_nike

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S95-F2-Q4 · question page 1999

ENT.CASE.07 · Handle the complications: limits of the lesson

Ana works 10 hours at an event to earn 122 dollars of profit. What is her hourly profit?

Answer: C. 12.20 dollars

122 / 10 = 12.20.

- ✗ A. 1.22 dollars: moved decimal
- ✗ B. 10.00 dollars: hours
- ✗ D. 122.00 dollars: total

Arithmetic checked by code: yes. Sources: case_nike

S95-F2-Q5 · question page 2000

ENT.CASE.07 · Handle the complications: limits of the lesson

Which statement is accurate?

Answer: B. The case suggests a way to start; results depend on the product and market.

Test your own market.

- ✗ A. Part-time starts always fail.: not true
- ✗ C. Every in-person seller at events eventually becomes a global brand.: not true
- ✗ D. Events are the only channel that works.: not true

Arithmetic checked by code: not applicable. Sources: case_nike

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S96-M-Q1 · question page 2002

ENT.CASE.08 · Apply a documented early decision: build distribution through trained agents

According to the passage, how did Walker first sell products?

Answer: C. Door to door

She sold door to door.

- ✗ A. Only to other companies: not stated
- ✗ B. Only through television ads: not available
- ✗ D. Only in large department stores: not stated

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-M-Q2 · question page 2003

ENT.CASE.08 · Apply a documented early decision: build distribution through trained agents

Where did she advertise?

Answer: D. In African American newspapers

Newspapers reaching her customers.

- ✗ A. On billboards across Europe: not stated
- ✗ B. Nowhere at all: she advertised
- ✗ C. On radio in every state: not stated

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-M-Q3 · question page 2004

ENT.CASE.08 · Apply a documented early decision: build distribution through trained agents

What did she do with sales agents?

Answer: A. Trained and recruited them

Training agents expanded reach.

- ✗ B. Replaced them all with machines: not stated
- ✗ C. Paid them to stay home: not stated
- ✗ D. Refused to work with any: opposite

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-M-Q4 · question page 2005

ENT.CASE.08 · Apply a documented early decision: build distribution through trained agents

Which lesson does this course draw?

Answer: C. Build several direct channels and train others to sell

Multiply reach through people.

- ✗ A. Avoid advertising entirely: she advertised
- ✗ B. Rely on one person doing every sale forever: opposite
- ✗ D. Sell only to strangers who never use the product: opposite

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-M-Q5 · question page 2006

ENT.CASE.08 · Apply a documented early decision: build distribution through trained agents

Which statement about the Madam C. J. Walker case is accurate?

Answer: A. It shows one approach, not a guarantee for other sellers.

One story teaches; it does not promise.

- ✗ B. It proves door-to-door sales always succeed for products.: one case
- ✗ C. It shows advertising is useless.: opposite
- ✗ D. It shows training agents never helps.: opposite

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-B1-Q1 · question page 2007

ENT.CASE.08 · One teacher versus a school

Why can a school teach more students than one teacher?

Answer: A. It has many trained teachers

More trained people.

- ✗ B. It charges less: no
- ✗ C. It has longer days: no

✗ D. It has bigger desks and rooms: no

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-B1-Q2 · question page 2008

ENT.CASE.08 · One teacher versus a school

Trained sales agents are like what?

Answer: C. Many teachers in a school

They multiply reach.

✗ A. One tired teacher: no
✗ B. A locked door: no
✗ D. An empty classroom at night: no

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-B1-Q3 · question page 2009

ENT.CASE.08 · One teacher versus a school

"Walker recruited and trained agents" is which kind of statement?

Answer: B. Documented fact

It is recorded.

✗ A. A rumor: sourced
✗ C. A promise: no
✗ D. Course explanation: documented

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-B1-Q4 · question page 2010

ENT.CASE.08 · One teacher versus a school

"Training let the business reach more customers" is which kind?

Answer: A. The course's explanation

An interpretation.

- ✗ B. A documented quote from Walker: no
- ✗ C. A tax rule: no
- ✗ D. A contract: no

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-B1-Q5 · question page 2011

ENT.CASE.08 · One teacher versus a school

What limits a business that depends on one person?

Answer: A. That person's time

Time is limited.

- ✗ B. The weather: no
- ✗ C. The color of the logo: no
- ✗ D. The number of chairs: no

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F1-Q1 · question page 2012

ENT.CASE.08 · Apply it: extend reach beyond one person

Lena sells handmade soap at markets alone and is booked every weekend. Which step best applies the lesson?

Answer: B. Train a helper to run a second market stall

Train others to sell.

- ✗ A. Work every night alone with no help at all: unsustainable
- ✗ C. Sell only to her family: opposite
- ✗ D. Stop advertising: opposite

Arithmetic checked by code: not applicable. Sources: case_walker

---

S96-F1-Q2 · question page 2013

ENT.CASE.08 · Apply it: extend reach beyond one person

Lena pays a trained helper 20 percent commission on 500 dollars of weekend sales. What is the commission?

Answer: C. 100 dollars

0.20 x 500 = 100.

- ✗ A. 50 dollars: ten percent
- ✗ B. 20 dollars: percent as dollars
- ✗ D. 400 dollars: remainder

Arithmetic checked by code: yes. Sources: case_walker

S96-F1-Q3 · question page 2014

ENT.CASE.08 · Apply it: extend reach beyond one person

Lena pays a helper 20 percent commission on 500 dollars of weekend sales. After commission, how much of the 500 dollars remains for her costs and profit?

Answer: A. 400 dollars

500 - 100 = 400.

- ✗ B. 500 dollars: ignored commission
- ✗ C. 100 dollars: commission
- ✗ D. 480 dollars: subtracted 20

Arithmetic checked by code: yes. Sources: case_walker

S96-F1-Q4 · question page 2015

ENT.CASE.08 · Apply it: extend reach beyond one person

Which channel mix reflects the case?

Answer: C. Markets, a community newsletter ad and mail orders

Several direct channels.

- ✗ A. Billboards in a different country: wrong audience

✗ B. No channels at all; just wait for word of mouth: passive

✗ D. One market stall only: single channel

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F1-Q5 · question page 2016

ENT.CASE.08 · Apply it: extend reach beyond one person

Before a helper sells for her, what should Lena provide?

Answer: D. Training on the products and how to talk about them honestly

Training keeps quality and honesty.

✗ A. Her bank password: unsafe

✗ B. A script with exaggerated claims: dishonest

✗ C. Nothing, because anyone can sell any product without help: no training

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F2-Q1 · question page 2017

ENT.CASE.08 · Handle the complications: quality and fair arrangements

A new agent makes promises about the soap that are not true. What should Lena do?

Answer: D. Correct the claims and retrain the agent

Agents represent the business.

✗ A. Ignore it, since sales are sales either way: harms trust

✗ B. Encourage bigger claims: dishonest

✗ C. Hide it from customers: dishonest

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F2-Q2 · question page 2018

ENT.CASE.08 · Handle the complications: quality and fair arrangements

An agent arrangement requires agents to pay a large fee before selling anything. What should Lena consider?

Answer: C. Whether the arrangement is fair and focused on real sales to customers

Fair, sales-based arrangements.

- ✗ A. Hiding the fee: dishonest
- ✗ B. Requiring even larger fees: worse
- ✗ D. Nothing, because bigger upfront fees are always better for everyone: not fair

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F2-Q3 · question page 2019

ENT.CASE.08 · Handle the complications: quality and fair arrangements

Someone says, "Walker sold door to door, so door-to-door is the secret." What is wrong?

Answer: A. The lesson is many direct channels, not one method

Look at the whole pattern.

- ✗ B. Door-to-door selling is illegal everywhere today: not true
- ✗ C. Walker never sold door to door: she did
- ✗ D. Nothing; door-to-door always works: not true

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F2-Q4 · question page 2020

ENT.CASE.08 · Handle the complications: quality and fair arrangements

Is a helper an employee or contractor? What should Lena check?

Answer: B. Current federal and state rules on worker classification

Classification depends on the real relationship.

- ✗ A. Nothing, because the label in the agreement decides everything: relationship decides
- ✗ C. Only her competitor's choice: irrelevant

✗ D. Only what the helper prefers: not the test

Arithmetic checked by code: not applicable. Sources: case_walker

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S96-F2-Q5 · question page 2021

ENT.CASE.08 · Handle the complications: quality and fair arrangements

Which statement is accurate?

Answer: C. The case shows one path; other businesses must test what works for them.

Learn the principle.

✗ A. One channel is always enough.: not always

✗ B. Training sales agents guarantees that a business will succeed.: not guaranteed

✗ D. Advertising never matters.: not true

Arithmetic checked by code: not applicable. Sources: case_walker

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S97-M-Q1 · question page 2023

ENT.AI.01 · Match tasks to what AI tools do well and poorly

Which task suits an AI tool well?

Answer: A. Drafting a first version of a product description

Drafting is a strong use.

✗ B. Confirming this year's exact tax rules with certainty: needs verified sources

✗ C. Knowing which local customers will definitely buy: tool cannot know

✗ D. Deciding the final legal structure for the business alone: needs professional judgment

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-M-Q2 · question page 2024

ENT.AI.01 · Match tasks to what AI tools do well and poorly

Which task is AI weaker at?

Answer: B. Giving verified legal or tax certainty

Certainty needs checking.

- ✗ A. Reformatting a price list neatly: good use
- ✗ C. Summarizing long meeting notes: good use
- ✗ D. Suggesting ideas for a social post: good use

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-M-Q3 · question page 2025

ENT.AI.01 · Match tasks to what AI tools do well and poorly

What is the good rule from the passage?

Answer: D. Let the tool draft; a person checks and decides

Human judgment stays in charge.

- ✗ A. Let the tool decide everything without review: risky
- ✗ B. Let customers check the drafts for you: not their job
- ✗ C. Never use any tools for any task: too strict

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-M-Q4 · question page 2026

ENT.AI.01 · Match tasks to what AI tools do well and poorly

Which is an organizing task?

Answer: A. Summarizing long notes into key points

Summaries organize information.

- ✗ B. Signing a lease on the owner's behalf: not organizing
- ✗ C. Choosing who to hire without review: decision

✗ D. Approving a refund automatically: decision

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-M-Q5 · question page 2027

ENT.AI.01 · Match tasks to what AI tools do well and poorly

Why is an AI tool weak at knowing your customers?

Answer: C. It does not have your specific customer knowledge

Local knowledge comes from you.

✗ A. Customers are illegal to describe: not true
✗ B. It always knows every customer personally: not true
✗ D. It refuses to write about customers ever: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-B1-Q1 · question page 2028

ENT.AI.01 · A fast but new assistant

What is the new assistant good at?

Answer: B. Fast drafts and tidying lists

Speed on drafts.

✗ A. Knowing all the laws: no
✗ C. Knowing every customer by name: new
✗ D. Never making mistakes: they guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-B1-Q2 · question page 2029

ENT.AI.01 · A fast but new assistant

What does the new assistant not know?

Answer: C. Your customers, prices and the law

Business-specific knowledge.

- ✗ A. How to write short letters to people: they can
- ✗ B. How to list items: they can
- ✗ D. How to type: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-B1-Q3 · question page 2030

ENT.AI.01 · A fast but new assistant

What would you do before a letter is sent?

Answer: A. Read and check it

Review first.

- ✗ B. Send it unread: risky
- ✗ C. Throw it away: no
- ✗ D. Ask a stranger to read it: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-B1-Q4 · question page 2031

ENT.AI.01 · A fast but new assistant

An AI tool is most like what?

Answer: D. A fast new assistant

Helpful but needs supervision.

- ✗ A. A licensed attorney: no
- ✗ B. A tax agency: no
- ✗ C. An owner: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-B1-Q5 · question page 2032

ENT.AI.01 · A fast but new assistant

Why check the assistant's work?

Answer: C. They sometimes guess confidently

Confidence is not accuracy.

- ✗ A. They are always perfect on day one: no
- ✗ B. They never type: no
- ✗ D. Checking is illegal: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F1-Q1 · question page 2033

ENT.AI.01 · Apply it: decide where AI helps a real business

A bakery owner spends 2 hours a week writing product descriptions. Which use of AI fits best?

Answer: C. Draft descriptions, then the owner edits them

Drafting with review.

- ✗ A. Let AI decide the prices of every product: needs owner judgment
- ✗ B. Let AI reply to complaints without review: risky
- ✗ D. Let AI choose the business structure: needs professional

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F1-Q2 · question page 2034

ENT.AI.01 · Apply it: decide where AI helps a real business

Drafting with AI cuts writing from 120 minutes to 45 minutes a week. How many minutes are saved each week?

Answer: B. 75

120 - 45 = 75.

- ✗ A. 165: added

✗ C. 45: new time

✗ D. 120: old time

Arithmetic checked by code: yes. Sources: none (stable)

S97-F1-Q3 · question page 2035

ENT.AI.01 · Apply it: decide where AI helps a real business

Drafting with AI cuts writing from 120 minutes to 45 minutes a week. Over 4 weeks, how many hours does that save?

Answer: D. 5 hours

75 x 4 = 300 minutes = 5 hours.

✗ A. 300 hours: did not convert

✗ B. 3 hours: miscalculated

✗ C. 75 hours: used minutes

Arithmetic checked by code: yes. Sources: none (stable)

S97-F1-Q4 · question page 2036

ENT.AI.01 · Apply it: decide where AI helps a real business

Which request is a poor fit for AI alone?

Answer: A. "Tell me exactly what I owe in taxes this year."

Tax certainty needs a professional.

✗ B. "Reformat this price list as a neat table with two columns.": good fit

✗ C. "List 10 ideas for a spring post.": good fit

✗ D. "Summarize these customer emails.": good fit

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F1-Q5 · question page 2037

ENT.AI.01 · Apply it: decide where AI helps a real business

An owner asks AI for supplier questions before a meeting. What should she do with the list?

Answer: C. Review it and add questions only she would know

Combine draft and knowledge.

- ✗ A. Use it unread: may miss key items
- ✗ B. Send it to the supplier as a signed contract: not a contract
- ✗ D. Delete it without looking: wasted

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F2-Q1 · question page 2038

ENT.AI.01 · Handle the complications: over-reliance and false savings

An owner uses AI for everything and stops reading outputs. What is the main risk?

Answer: A. Errors reach customers without anyone noticing

Review is essential.

- ✗ B. Sales double automatically: not guaranteed
- ✗ C. Nothing, because AI output is always right: not true
- ✗ D. Taxes disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F2-Q2 · question page 2039

ENT.AI.01 · Handle the complications: over-reliance and false savings

Fixing AI drafts takes longer than writing from scratch for one task. What should the owner conclude?

Answer: D. AI is not saving time for that task

Measure actual benefit.

- ✗ A. AI must always be used anyway, even if slower: not if slower
- ✗ B. Writing is never needed: not true
- ✗ C. The task should be abandoned: not necessary

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F2-Q3 · question page 2040

ENT.AI.01 · Handle the complications: over-reliance and false savings

A tool produces a social post with a claim the owner cannot support. What should she do?

Answer: A. Remove or correct the claim before posting

The business is responsible for what it publishes.

- ✗ B. Blame the tool publicly: not a fix
- ✗ C. Post it unchanged, since the tool wrote it: owner is responsible
- ✗ D. Add more unsupported claims: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F2-Q4 · question page 2041

ENT.AI.01 · Handle the complications: over-reliance and false savings

Which statement about responsibility is accurate?

Answer: D. The business is responsible for what it sends, even if a tool drafted it.

Owners own their messages.

- ✗ A. The tool maker is responsible for every message a business sends.: not how it works
- ✗ B. Customers are responsible for checking drafts.: no
- ✗ C. Nobody is responsible for AI text.: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S97-F2-Q5 · question page 2042

ENT.AI.01 · Handle the complications: over-reliance and false savings

Which statement is accurate?

Answer: C. AI tools help most with drafts and organizing, with a person checking.

Balanced use.

- ✗ A. AI outputs need no review.: not true
- ✗ B. AI tools never help small businesses.: not true
- ✗ D. AI tools fully replace all professional advice for small businesses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-M-Q1 · question page 2044

ENT.AI.02 · Write a clear request with task, context, audience and limits

Which request is clearest?

Answer: D. "Write a 50-word description of our 12-dollar lavender soap for busy parents."

Task, context, audience and length.

- ✗ A. "Do marketing.": vague
- ✗ B. "Write something good about our soap for people, please, thanks.": vague
- ✗ C. "Make it nice.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-M-Q2 · question page 2045

ENT.AI.02 · Write a clear request with task, context, audience and limits

What is "context" in a request?

Answer: A. Details like the product and its price

Background information.

- ✗ B. The color of the computer screen being used: irrelevant
- ✗ C. The tool's company history: irrelevant
- ✗ D. The time of day the owner types: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-M-Q3 · question page 2046

ENT.AI.02 · Write a clear request with task, context, audience and limits

Which is a limit?

Answer: C. "Keep it under 60 words and avoid medical claims"

Limits set boundaries.

- ✗ A. "Write a description": task
- ✗ B. "For busy parents": audience
- ✗ D. "Our soap is lavender scented and handmade": context

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-M-Q4 · question page 2047

ENT.AI.02 · Write a clear request with task, context, audience and limits

The first answer is too formal. What should the owner do?

Answer: D. Ask again with specific feedback

Refine with feedback.

- ✗ A. Give up on the tool forever: premature
- ✗ B. Post the formal version anyway: not what she wanted
- ✗ C. Type the same request again unchanged and hope: same result likely

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-M-Q5 · question page 2048

ENT.AI.02 · Write a clear request with task, context, audience and limits

Why do vague requests give vague results?

Answer: B. The tool has little to work with

Specific input, specific output.

- ✗ A. Vague requests are illegal: no
- ✗ C. Tools only answer long questions: no
- ✗ D. Tools punish vague users: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-B1-Q1 · question page 2049

ENT.AI.02 · Ordering at a sandwich counter

"A sandwich" is like what kind of request?

Answer: A. A vague one

Too little detail.

- ✗ B. A clear one: no
- ✗ C. A paid one: no
- ✗ D. A rude one: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-B1-Q2 · question page 2050

ENT.AI.02 · Ordering at a sandwich counter

"No mayo" is like what part of a request?

Answer: C. A limit

A boundary.

- ✗ A. The audience: no
- ✗ B. The task: no
- ✗ D. The context: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-B1-Q3 · question page 2051

ENT.AI.02 · Ordering at a sandwich counter

"For my child, small size" is like what part?

Answer: A. The audience

Who it is for.

- ✗ B. A price: no
- ✗ C. A limit only: partly
- ✗ D. The task: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-B1-Q4 · question page 2052

ENT.AI.02 · Ordering at a sandwich counter

If the sandwich is wrong, what do you do?

Answer: C. Say exactly what to fix

Specific feedback.

- ✗ A. Leave without a word: no
- ✗ B. Eat it unhappily forever: no
- ✗ D. Order the same vague thing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-B1-Q5 · question page 2053

ENT.AI.02 · Ordering at a sandwich counter

A clear order gets what?

Answer: D. What you wanted

Clarity improves results.

- ✗ A. Nothing: no
- ✗ B. A bigger bill: no
- ✗ C. Something random: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F1-Q1 · question page 2054

ENT.AI.02 · Apply it: improve requests

Rewrite "help with email." Which version is best?

Answer: A. "Draft a polite 80-word reply to a customer whose order is 3 days late."

Specific task, context and limit.

- ✗ B. "Help with my email again, but make it much better this time, please.": still vague
- ✗ C. "Do my emails for me forever.": vague and risky
- ✗ D. "Email.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F1-Q2 · question page 2055

ENT.AI.02 · Apply it: improve requests

A request lacks the audience. What should be added?

Answer: C. Who the message is for

Audience shapes tone.

- ✗ A. The owner's favorite color for emails: irrelevant
- ✗ B. The tool's price: irrelevant
- ✗ D. A random number: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F1-Q3 · question page 2056

ENT.AI.02 · Apply it: improve requests

An owner wants a description that must mention "handmade in Ohio." Where does that belong in the request?

Answer: B. In the limits or required facts

State required facts.

- ✗ A. Nowhere; the tool will guess it: it may not
- ✗ C. Only after posting: too late
- ✗ D. In a separate email to customers: wrong place

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F1-Q4 · question page 2057

ENT.AI.02 · Apply it: improve requests

Three tries with vague requests took 15 minutes; one clear request took 5 minutes. How much time did clarity save?

Answer: D. 10 minutes

15 - 5 = 10.

- ✗ A. 5 minutes: clear time
- ✗ B. 15 minutes: vague time
- ✗ C. 20 minutes: added

Arithmetic checked by code: yes. Sources: none (stable)

S98-F1-Q5 · question page 2058

ENT.AI.02 · Apply it: improve requests

The tool wrote 200 words when 50 were needed. What feedback is best?

Answer: A. "Shorten to 50 words, keep the price and key benefit."

Specific feedback fixes it.

- ✗ B. "Wrong. Again.": not specific
- ✗ C. "Make it different somehow, but similar to before.": vague
- ✗ D. "Try harder.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F2-Q1 · question page 2059

ENT.AI.02 · Handle the complications: requests that cause problems

An owner asks AI to "write 10 glowing customer reviews." What is the problem?

Answer: D. Invented reviews would be deceptive

Do not request fake reviews.

- ✗ A. The number should be 20: still fake
- ✗ B. Reviews must be long: irrelevant
- ✗ C. Nothing; reviews are just text: deceptive

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F2-Q2 · question page 2060

ENT.AI.02 · Handle the complications: requests that cause problems

A request includes a customer's full name, address and card number. What should the owner do instead?

Answer: B. Remove private details before using the tool

Protect customer data.

- ✗ A. Ignore privacy because tools are safe: unsafe
- ✗ C. Include even more personal details: risky
- ✗ D. Post the details publicly: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F2-Q3 · question page 2061

ENT.AI.02 · Handle the complications: requests that cause problems

The tool gives a confident answer about a local permit rule. What should the owner do?

Answer: C. Check it with the official local source

Verify facts.

- ✗ A. Ignore permits: risky
- ✗ B. Share it as legal advice: risky
- ✗ D. Trust it fully because it sounds sure: may be wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F2-Q4 · question page 2062

ENT.AI.02 · Handle the complications: requests that cause problems

Which request leaves out the most important part for a price-list task?

Answer: A. "Make a table" with no prices given

Context is missing.

- ✗ B. "Use these 5 items and prices": complete
- ✗ C. "Table with columns item and price": complete
- ✗ D. "Table of 5 items with prices": complete

Arithmetic checked by code: not applicable. Sources: none (stable)

S98-F2-Q5 · question page 2063

ENT.AI.02 · Handle the complications: requests that cause problems

Which statement is accurate?

Answer: D. Clear requests help, but the owner still checks facts.

Clarity helps; review remains.

- ✗ A. A clear request always guarantees a perfect answer.: not guaranteed
- ✗ B. Requests never need context.: they do
- ✗ C. Vague requests work best.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-M-Q1 · question page 2065

ENT.AI.03 · Recognize made-up answers and verify facts that matter

What is a hallucination in AI output?

Answer: C. A confident answer that is wrong or invented

Invented or wrong content.

- ✗ A. A slow internet connection: not the meaning
- ✗ B. A picture the tool draws of someone's dream: not the meaning
- ✗ D. A password reset email: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-M-Q2 · question page 2066

ENT.AI.03 · Recognize made-up answers and verify facts that matter

Which facts should be checked?

Answer: B. Numbers, dates, laws, prices, names and quotes

Anything that matters.

- ✗ A. Only facts the owner already knows by heart: too narrow
- ✗ C. Only the font of the answer: irrelevant
- ✗ D. Nothing; tools never err: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-M-Q3 · question page 2067

ENT.AI.03 · Recognize made-up answers and verify facts that matter

What is the best way to verify a law mentioned by AI?

Answer: A. Read the official government source

Use the official source.

- ✗ B. Ask the same tool if it is sure: not independent
- ✗ C. Ask another AI tool: not a source
- ✗ D. Assume it is right if it sounds formal: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-M-Q4 · question page 2068

ENT.AI.03 · Recognize made-up answers and verify facts that matter

An AI answer cites a source. What should the owner do?

Answer: B. Open the source and confirm it says that

Confirm the citation.

- ✗ A. Share it without reading: risky
- ✗ C. Trust it because a source is listed: sources can be invented
- ✗ D. Delete the source: not helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-M-Q5 · question page 2069

ENT.AI.03 · Recognize made-up answers and verify facts that matter

A fact cannot be verified. What does the passage advise?

Answer: C. Leave it out

Unverified facts stay out.

- ✗ A. Double the number to be safe: worse
- ✗ B. Make it sound more certain: worse
- ✗ D. Use it anyway, boldly: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-B1-Q1 · question page 2070

ENT.AI.03 · A confident friend who sometimes guesses

Is a confident tone proof that an answer is right?

Answer: A. No

Confidence is not evidence.

✗ B. Only on weekdays: no

✗ C. Yes, always: not proof

✗ D. Only for numbers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-B1-Q2 · question page 2071

ENT.AI.03 · A confident friend who sometimes guesses

How would you check the store's closing time?

Answer: B. Look at the store's own hours

Use the original source.

✗ A. Drive and hope: risky

✗ C. Ask the same friend again: not independent

✗ D. Guess: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-B1-Q3 · question page 2072

ENT.AI.03 · A confident friend who sometimes guesses

The confident friend is like what?

Answer: C. An AI tool that sometimes guesses

Sounds sure, may be wrong.

✗ A. A receipt: no

✗ B. A store's sign: no

✗ D. A government website page of laws: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-B1-Q4 · question page 2073

ENT.AI.03 · A confident friend who sometimes guesses

What is the "original source" in the story?

Answer: C. The store's own hours

The authority on the fact.

- ✗ A. The confident friend: no
- ✗ B. A map: not the hours
- ✗ D. A rumor: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-B1-Q5 · question page 2074

ENT.AI.03 · A confident friend who sometimes guesses

What should you do with an important AI fact?

Answer: A. Check the original source

Verify.

- ✗ B. Repeat it louder to others: no
- ✗ C. Ignore it: not needed
- ✗ D. Trust its tone: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F1-Q1 · question page 2075

ENT.AI.03 · Apply it: check AI output before using it

An AI draft says "73 percent of shoppers prefer handmade soap," with no source. What should the owner do?

Answer: C. Remove the claim unless a real source confirms it

No source, no claim.

- ✗ A. Keep it, because it sounds convincing to readers: unsupported
- ✗ B. Change it to 90 percent: worse
- ✗ D. Add "studies show" to it: still unsupported

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F1-Q2 · question page 2076

ENT.AI.03 · Apply it: check AI output before using it

An AI tool says the state filing fee is 50 dollars. The official site says 125 dollars. Which should the owner use?

Answer: D. 125 dollars, from the official site

Official sources win.

- ✗ A. An average of the two, 87.50 dollars: not a fact
- ✗ B. 50 dollars, from the tool: contradicted
- ✗ C. Neither; skip filing: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F1-Q3 · question page 2077

ENT.AI.03 · Apply it: check AI output before using it

A draft quotes a famous founder. The owner cannot find the quote anywhere reliable. What should she do?

Answer: A. Leave the quote out

Unverifiable quotes stay out.

- ✗ B. Attribute it to someone else: worse
- ✗ C. Keep it and add a date: still unverified
- ✗ D. Make it longer: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F1-Q4 · question page 2078

ENT.AI.03 · Apply it: check AI output before using it

An AI summary of a supplier contract says delivery is 10 days; the contract says 21. How many days off is the summary?

Answer: B. 11 days

21 - 10 = 11.

- ✗ A. 21 days: contract value
- ✗ C. 10 days: summary value
- ✗ D. 31 days: added

Arithmetic checked by code: yes. Sources: none (stable)

S99-F1-Q5 · question page 2079

ENT.AI.03 · Apply it: check AI output before using it

Which items in a draft press release most need checking?

Answer: D. Prices, dates and names

Facts that matter.

- ✗ A. The number of commas: minor
- ✗ B. The font choice: minor
- ✗ C. The paragraph spacing: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F2-Q1 · question page 2080

ENT.AI.03 · Handle the complications: subtle errors

An AI draft gets the price right but the store hours wrong. What does this show?

Answer: A. One correct fact does not mean all facts are correct

Check each fact.

- ✗ B. Store hours never matter: they do
- ✗ C. The whole draft must be reliable then, including hours: not necessarily
- ✗ D. Prices are always wrong: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F2-Q2 · question page 2081

ENT.AI.03 · Handle the complications: subtle errors

Two AI tools give the same wrong answer. Is that verification?

Answer: B. No, verification needs an original source

Agreement is not a source.

- ✗ A. Yes, if both sound confident: no
- ✗ C. Only if a third agrees: still not a source
- ✗ D. Yes, two tools always confirm truth: not independent proof

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F2-Q3 · question page 2082

ENT.AI.03 · Handle the complications: subtle errors

A tool invents a regulation and the owner posts it. A customer points it out. What should the owner do?

Answer: B. Correct the post and thank the customer

Correct mistakes openly.

- ✗ A. Ignore it: spreads error
- ✗ C. Delete the customer's comment quietly: hides error
- ✗ D. Argue that the tool said so: not a defense

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F2-Q4 · question page 2083

ENT.AI.03 · Handle the complications: subtle errors

An AI sales forecast says revenue will grow 300 percent next year. What should the owner treat it as?

Answer: B. An unsupported guess until checked against real data

Forecasts need evidence.

✗ A. A legal promise: no

✗ C. A bank statement: no

✗ D. A guaranteed result for next year's sales planning: not guaranteed

Arithmetic checked by code: not applicable. Sources: none (stable)

S99-F2-Q5 · question page 2084

ENT.AI.03 · Handle the complications: subtle errors

Which statement is accurate?

Answer: D. Confident AI answers can still be wrong, so check facts that matter.

Verify.

✗ A. Checking facts wastes time.: not for important facts

✗ B. AI never invents sources.: it can

✗ C. If an answer sounds formal and certain, then it must be true.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-M-Q1 · question page 2086

ENT.AI.04 · Protect confidential data when using AI tools

What may some AI tools do with what you type?

Answer: C. Store it or use it to improve their systems, depending on terms

Terms and settings decide.

✗ A. Send it back to you as a printed letter: not how it works

✗ B. Turn it into a legal contract automatically for you to sign: no

✗ D. Delete it before you finish typing, always: not how it works

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-M-Q2 · question page 2087

ENT.AI.04 · Protect confidential data when using AI tools

Which should NOT be pasted into a tool without knowing how it is handled?

Answer: C. A customer's card number

Payment data is confidential.

- ✗ A. A draft headline for a post: not sensitive
- ✗ B. A public holiday schedule: not sensitive
- ✗ D. A generic list of product colors: not sensitive

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-M-Q3 · question page 2088

ENT.AI.04 · Protect confidential data when using AI tools

What is a safer way to ask about a customer complaint?

Answer: D. Replace names and details with "Customer A"

Remove personal details.

- ✗ A. Paste the customer's login password: never
- ✗ B. Attach the customer's card photo: never
- ✗ C. Include the full name, address and phone: exposes data

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-M-Q4 · question page 2089

ENT.AI.04 · Protect confidential data when using AI tools

Where can an owner learn how a tool handles data?

Answer: B. The tool's privacy terms and settings

Read the terms.

- ✗ A. A random forum guess: unreliable
- ✗ C. The tool's logo: irrelevant
- ✗ D. A competitor's opinion of the tool: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-M-Q5 · question page 2090

ENT.AI.04 · Protect confidential data when using AI tools

Which information is confidential?

Answer: D. A client's secret product launch plans

Secret plans are confidential.

- ✗ A. The business's public website text: public
- ✗ B. A public store address: public
- ✗ C. A posted price list: public

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-B1-Q1 · question page 2091

ENT.AI.04 · Talking in a crowded café

Why not read a card number aloud in a café?

Answer: A. Strangers might hear

Privacy risk.

- ✗ B. Coffee gets cold: no
- ✗ C. Cafés ban numbers: no
- ✗ D. It is too long: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-B1-Q2 · question page 2092

ENT.AI.04 · Talking in a crowded café

Typing into an online tool can be like what?

Answer: C. Talking in a crowded café

Others may access it.

✗ A. Whispering alone at home: no

✗ B. Thinking silently: no

✗ D. Writing in a locked diary: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-B1-Q3 · question page 2093

ENT.AI.04 · Talking in a crowded café

What can be discussed freely?

Answer: B. General ideas

Non-private topics.

✗ A. Card numbers: no

✗ C. Health details: no

✗ D. Passwords: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-B1-Q4 · question page 2094

ENT.AI.04 · Talking in a crowded café

What is a placeholder?

Answer: A. A stand-in like "Customer A"

It hides identity.

✗ B. A signature: no

✗ C. A password: no

✗ D. A real phone number in full: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-B1-Q5 · question page 2095

ENT.AI.04 · Talking in a crowded café

What should stay private?

Answer: B. Private customer details

Protect personal data.

- ✗ A. Store hours: public
- ✗ C. A blog title: public
- ✗ D. Product colors and sizes: public

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F1-Q1 · question page 2096

ENT.AI.04 · Apply it: decide what is safe to share

A bookkeeper wants AI to summarize a client's bank statements. What should she check first?

Answer: C. The tool's data terms and her client agreement

Confidential financial data.

- ✗ A. Only the summary length: not the issue
- ✗ B. Only the tool's colors: irrelevant
- ✗ D. Nothing, because summaries are always private: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F1-Q2 · question page 2097

ENT.AI.04 · Apply it: decide what is safe to share

Which prompt is safest?

Answer: D. "Draft a polite reply to a customer upset about a late order."

No personal details needed.

- ✗ A. "Reply to Jane Lee, 14 Elm St, card 4111...": exposes data
- ✗ B. "Here is my admin password; fix my site.": never share
- ✗ C. "Here are all customer emails and phone numbers; write to them.": exposes data

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F1-Q3 · question page 2098

ENT.AI.04 · Apply it: decide what is safe to share

A business tool plan says data is not used for training; the free plan says it may be. Which fits confidential work better?

Answer: C. The business plan, after confirming its terms

Terms decide fit.

- ✗ A. The free plan, since it costs less each month: may use data
- ✗ B. Neither; tools are illegal: not true
- ✗ D. Either; terms never matter: they matter

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F1-Q4 · question page 2099

ENT.AI.04 · Apply it: decide what is safe to share

An owner pastes 120 customer emails into a tool by mistake. What is a sensible first step?

Answer: A. Check the tool's deletion options and terms, and stop sharing more

Limit and address the exposure.

- ✗ B. Paste the rest of the customer emails too, since the first batch is already in: harmful
- ✗ C. Paste the rest too: worse
- ✗ D. Ignore it entirely: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F1-Q5 · question page 2100

ENT.AI.04 · Apply it: decide what is safe to share

Which detail can usually be replaced with a placeholder?

Answer: B. The customer's name

Names are rarely needed.

- ✗ A. The product type: often needed
- ✗ C. The tone wanted: needed
- ✗ D. The question being asked: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F2-Q1 · question page 2101

ENT.AI.04 · Handle the complications: client rules and staff use

A client contract says their information must not be shared with outside services. What should the owner do?

Answer: B. Not paste their information into outside tools

Follow the contract.

- ✗ A. Hide it from the client: dishonest
- ✗ C. Ask the tool for permission: not the client
- ✗ D. Paste it anyway, since tools are helpful: breaks contract

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F2-Q2 · question page 2102

ENT.AI.04 · Handle the complications: client rules and staff use

A helper uses a personal AI account for business documents. What should the owner set?

Answer: D. Clear rules on which tools and data are allowed

Set a simple policy.

- ✗ A. A ban on all computers: impractical
- ✗ B. No rules at all: risky
- ✗ C. Rules only for the owner, not for helpers: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F2-Q3 · question page 2103

ENT.AI.04 · Handle the complications: client rules and staff use

A tool's terms change. What should a business that relies on it do?

Answer: B. Review the new terms and settings

Terms can change.

- ✗ A. Stop reading terms forever after this: risky
- ✗ C. Assume nothing changed: risky
- ✗ D. Share more data: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F2-Q4 · question page 2104

ENT.AI.04 · Handle the complications: client rules and staff use

Which item is never appropriate to paste?

Answer: D. A password

Passwords stay private.

- ✗ A. A public product name: fine
- ✗ B. A generic question: fine
- ✗ C. A draft headline: fine

Arithmetic checked by code: not applicable. Sources: none (stable)

S100-F2-Q5 · question page 2105

ENT.AI.04 · Handle the complications: client rules and staff use

Which statement is accurate?

Answer: D. How a tool handles data depends on its terms and settings, so check before sharing.

Check first.

- ✗ A. Terms never change.: they can

✗ B. Every AI tool keeps everything private.: not guaranteed

✗ C. Customer data is fine to share with any tool, as long as it is useful.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-M-Q1 · question page 2107

ENT.AI.05 · Decide which AI-assisted actions need a person's approval first

Which action needs human approval first?

Answer: C. Sending a refund to a customer

Refunds create obligations.

✗ A. Sorting notes into a list for yourself: internal

✗ B. Brainstorming ten slogan ideas: low stakes

✗ D. Drafting a private to-do list: internal

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-M-Q2 · question page 2108

ENT.AI.05 · Decide which AI-assisted actions need a person's approval first

What is the simple rule from the passage?

Answer: B. "Draft by tool, decision by person"

Humans decide.

✗ A. "Never use tools for drafts": too strict

✗ C. "Let customers decide everything": not their role

✗ D. "Decide by tool, never review": risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-M-Q3 · question page 2109

ENT.AI.05 · Decide which AI-assisted actions need a person's approval first

How should review change as stakes rise?

Answer: D. It should become more careful

Higher stakes, more care.

- ✗ A. It should become random: no
- ✗ B. It should stop entirely: opposite
- ✗ C. It should be done by the tool: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-M-Q4 · question page 2110

ENT.AI.05 · Decide which AI-assisted actions need a person's approval first

Which is a high-stakes area?

Answer: B. Advice about health, money or law

Mistakes can cause harm.

- ✗ A. Choosing an emoji for a post: low
- ✗ C. Picking a background color: low
- ✗ D. Naming a playlist: low

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-M-Q5 · question page 2111

ENT.AI.05 · Decide which AI-assisted actions need a person's approval first

Why name a reviewer for each task type?

Answer: C. So it is clear who must approve

Clear accountability.

- ✗ A. So the tool can sign: no
- ✗ B. So reviews never happen: opposite
- ✗ D. So nobody has to be responsible: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-B1-Q1 · question page 2112

ENT.AI.05 · A teacher grading a draft

Who reads the draft before it counts?

Answer: A. The teacher

A responsible reviewer.

- ✗ B. The draft itself: no
- ✗ C. Nobody: no
- ✗ D. A random stranger: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-B1-Q2 · question page 2113

ENT.AI.05 · A teacher grading a draft

In business, who is like the teacher?

Answer: B. A person who approves before it reaches customers

Human approval.

- ✗ A. The customer who will receive the message later: no
- ✗ C. The AI tool: it drafts
- ✗ D. A competitor: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-B1-Q3 · question page 2114

ENT.AI.05 · A teacher grading a draft

A final exam versus a practice quiz is like what?

Answer: A. High stakes versus low stakes

Stakes differ.

✗ B. Two kinds of pens for writing: no

✗ C. Two equal tasks: no

✗ D. Two lunch options: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-B1-Q4 · question page 2115

ENT.AI.05 · A teacher grading a draft

When does the teacher check most carefully?

Answer: D. When the consequence is bigger

More care for higher stakes.

✗ A. Only on Friday afternoons: no

✗ B. Never: no

✗ C. When bored: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-B1-Q5 · question page 2116

ENT.AI.05 · A teacher grading a draft

The AI tool is like whom in the picture?

Answer: C. The student writing a quick draft

It drafts.

✗ A. The principal of the whole school: no

✗ B. The parent: no

✗ D. The teacher: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F1-Q1 · question page 2117

ENT.AI.05 · Apply it: set approval rules

A shop uses AI to draft replies to reviews. Which rule fits?

Answer: A. The owner approves each reply before posting

Approve public replies.

- ✗ B. Customers approve the replies: not their role
- ✗ C. Replies post automatically with no review: risky
- ✗ D. Replies are never posted: too strict

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F1-Q2 · question page 2118

ENT.AI.05 · Apply it: set approval rules

An AI tool suggests raising all prices 25 percent. What should happen?

Answer: B. The owner reviews the reasoning and decides

Pricing is a business decision.

- ✗ A. Customers vote on it: not their role
- ✗ C. The suggestion is ignored without reading: wasteful
- ✗ D. Prices change automatically: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F1-Q3 · question page 2119

ENT.AI.05 · Apply it: set approval rules

A refund rule: tool drafts, owner approves. The owner approves 18 of 20 drafts. How many needed changes?

Answer: A. 2

20 - 18 = 2.

- ✗ B. 20: total
- ✗ C. 38: added
- ✗ D. 18: approved

Arithmetic checked by code: yes. Sources: none (stable)

S101-F1-Q4 · question page 2120

ENT.AI.05 · Apply it: set approval rules

Which task can usually run with lighter review?

Answer: C. Sorting the owner's own notes

Internal, low stakes.

- ✗ A. Issuing refunds: obligation
- ✗ B. Giving tax advice to a customer: high stakes
- ✗ D. Sending a contract to a client: high stakes

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F1-Q5 · question page 2121

ENT.AI.05 · Apply it: set approval rules

An AI tool screens job applications and ranks them. What should the owner do?

Answer: D. Review the applications herself before deciding

Hiring decisions need people.

- ✗ A. Hire the top-ranked person without reading: risky
- ✗ B. Let the tool send rejection letters unreviewed: risky
- ✗ C. Reject everyone the tool ranked low without review: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F2-Q1 · question page 2122

ENT.AI.05 · Handle the complications: speed pressure and automation creep

A busy owner wants to skip review "just this week." What is the risk?

Answer: A. An error could reach customers when no one is checking

Review matters most under pressure.

✗ B. No risk, because tools never make errors during busy weeks: not true

✗ C. Sales double: no

✗ D. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F2-Q2 · question page 2123

ENT.AI.05 · Handle the complications: speed pressure and automation creep

An automation sends AI-written emails to all customers when stock arrives. What safeguard fits?

Answer: B. Approve the template and test it before it goes live

Approve what is automated.

✗ A. Hide it from staff: no oversight

✗ C. Let it send anything it writes without review: risky

✗ D. Turn off all emails forever: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F2-Q3 · question page 2124

ENT.AI.05 · Handle the complications: speed pressure and automation creep

An AI reply promised a customer a refund the policy does not allow. What should the owner do?

Answer: D. Decide fairly, honor or explain, and fix the approval step

Own the outcome and fix the process.

✗ A. Blame the tool and refuse to discuss it with the customer: unfair

✗ B. Ignore the customer: harmful

✗ C. Promise even more: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S101-F2-Q4 · question page 2125

ENT.AI.05 · Handle the complications: speed pressure and automation creep

Reviewing each reply takes 2 minutes and there are 30 replies a week. How long is review each week?

Answer: C. 60 minutes

30 x 2 = 60.

- ✗ A. 30 minutes: one minute each
- ✗ B. 32 minutes: added
- ✗ D. 15 minutes: divided

Arithmetic checked by code: yes. Sources: none (stable)

S101-F2-Q5 · question page 2126

ENT.AI.05 · Handle the complications: speed pressure and automation creep

Which statement is accurate?

Answer: A. Customer-facing or binding actions need a person's approval.

People decide what matters.

- ✗ B. High stakes need less review.: opposite
- ✗ C. Human review is only needed for large businesses with staff.: all benefit
- ✗ D. Tools may sign contracts alone.: not appropriate

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-M-Q1 · question page 2128

ENT.AI.06 · Measure whether a tool is worth its cost

Which is a cost of a tool besides its price?

Answer: A. Time spent learning and checking its work

Time is a cost.

- ✗ B. The number of its employees worldwide: irrelevant
- ✗ C. Its company slogan: irrelevant
- ✗ D. The color of its logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-M-Q2 · question page 2129

ENT.AI.06 · Measure whether a tool is worth its cost

A 30-dollar-a-month tool saves 5 hours a month. What is the cost per hour saved?

Answer: D. 6 dollars

30 / 5 = 6.

- ✗ A. 0.17 dollars: reversed
- ✗ B. 150 dollars: multiplied
- ✗ C. 25 dollars: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S102-M-Q3 · question page 2130

ENT.AI.06 · Measure whether a tool is worth its cost

How should a new tool be tried first?

Answer: C. On one task, comparing before and after

Small, measured trial.

- ✗ A. By reading ads only: not a test
- ✗ B. On every task at once with no measuring: unclear
- ✗ D. Only after paying for a year: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-M-Q4 · question page 2131

ENT.AI.06 · Measure whether a tool is worth its cost

What should happen to a tool that does not help?

Answer: B. Drop it

Remove unhelpful costs.

✗ A. Keep paying forever: waste

✗ C. Buy a second copy: waste

✗ D. Hide it from the budget: dishonest

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-M-Q5 · question page 2132

ENT.AI.06 · Measure whether a tool is worth its cost

Besides price, what should be checked before choosing?

Answer: C. Terms, data handling and export options

Fit and risk.

✗ A. Only the logo: irrelevant

✗ B. Only its number of social media followers: irrelevant

✗ D. Only the website color: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-B1-Q1 · question page 2133

ENT.AI.06 · Cost per hour saved

20 dollars a month saves 4 hours. What is the cost per hour saved?

Answer: C. 5 dollars

20 / 4 = 5.

✗ A. 80 dollars: multiplied

✗ B. 16 dollars: subtracted

✗ D. 0.20 dollars: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S102-B1-Q2 · question page 2134

ENT.AI.06 · Cost per hour saved

A tool saves 6 hours but checking takes 2. What is the net saving?

Answer: D. 4 hours

6 - 2 = 4.

- ✗ A. 2 hours: checking only
- ✗ B. 8 hours: added
- ✗ C. 6 hours: ignored checking

Arithmetic checked by code: yes. Sources: none (stable)

S102-B1-Q3 · question page 2135

ENT.AI.06 · Cost per hour saved

36 dollars a month with a 4-hour net saving. What is the cost per hour saved?

Answer: C. 9 dollars

36 / 4 = 9.

- ✗ A. 144 dollars: multiplied
- ✗ B. 32 dollars: subtracted
- ✗ D. 4 dollars: hours

Arithmetic checked by code: yes. Sources: none (stable)

S102-B1-Q4 · question page 2136

ENT.AI.06 · Cost per hour saved

If time is worth 15 dollars an hour and the cost per hour saved is 9 dollars, does the tool pay off?

Answer: A. Yes

9 < 15.

- ✗ B. No: 9 < 15
- ✗ C. Cannot tell: can tell
- ✗ D. Only on weekends: no

Arithmetic checked by code: yes. Sources: none (stable)

S102-B1-Q5 · question page 2137

ENT.AI.06 · Cost per hour saved

Why include checking time?

Answer: B. It reduces the real time saved

Net savings are what count.

- ✗ A. It does not matter: it does
- ✗ C. It makes the tool free: no
- ✗ D. It increases the time saved: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F1-Q1 · question page 2138

ENT.AI.06 · Apply it: compare tools with real numbers

Tool A costs 15 dollars and saves a net 3 hours a month. Tool B costs 40 dollars and saves a net 5 hours. Which costs less per hour saved?

Answer: D. A, at 5 dollars per hour

A: 15/3 = 5; B: 40/5 = 8.

- ✗ A. B, at 8 dollars per hour: B is higher
- ✗ B. They are equal: differ
- ✗ C. B, at 5 dollars per hour: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S102-F1-Q2 · question page 2139

ENT.AI.06 · Apply it: compare tools with real numbers

Before a tool, invoices took 4 hours a month with 6 errors. After, 2 hours with 1 error. How many errors were avoided?

Answer: A. 5

6 - 1 = 5.

- ✗ B. 7: added
- ✗ C. 6: before
- ✗ D. 1: after

Arithmetic checked by code: yes. Sources: none (stable)

S102-F1-Q3 · question page 2140

ENT.AI.06 · Apply it: compare tools with real numbers

A tool claims to "save 20 hours a week," but the owner measured 1 hour. What should she rely on?

Answer: B. Her own measurement

Measure for yourself.

- ✗ A. Nothing: she has data
- ✗ C. The tool's advertisement: unverified
- ✗ D. A guess halfway between: not measured

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F1-Q4 · question page 2141

ENT.AI.06 · Apply it: compare tools with real numbers

Three tools cost 12, 18 and 25 dollars a month. The owner uses only the 18-dollar one. How much could she save each month by dropping the others?

Answer: D. 37 dollars

12 + 25 = 37.

- ✗ A. 43 dollars: miscalculated
- ✗ B. 55 dollars: all three
- ✗ C. 18 dollars: the one used

Arithmetic checked by code: yes. Sources: none (stable)

S102-F1-Q5 · question page 2142

ENT.AI.06 · Apply it: compare tools with real numbers

A tool helps a lot but cannot export the owner's work. What risk should she weigh?

Answer: D. Being stuck if the tool changes or closes

Lock-in risk.

- ✗ A. No risk, because tools never change or close: they can
- ✗ B. Faster work forever: not guaranteed
- ✗ C. Lower taxes: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F2-Q1 · question page 2143

ENT.AI.06 · Handle the complications: hidden costs and hype

A "free" tool requires 3 hours of fixing its errors each week. What is its real cost?

Answer: B. The owner's time spent fixing errors

Time is a cost.

- ✗ A. Only electricity: minor
- ✗ C. Only its logo: irrelevant
- ✗ D. Nothing, because free means no cost: time costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F2-Q2 · question page 2144

ENT.AI.06 · Handle the complications: hidden costs and hype

A tool's price rises from 10 to 25 dollars a month. It saves a net 2 hours. What is the new cost per hour saved?

Answer: B. 12.50 dollars

25 / 2 = 12.50.

✗ A. 5.00 dollars: old price

✗ C. 25.00 dollars: price

✗ D. 50.00 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S102-F2-Q3 · question page 2145

ENT.AI.06 · Handle the complications: hidden costs and hype

Everyone online says a new tool is "a must." The owner's trial showed no benefit. What should she do?

Answer: A. Trust her trial results

Evidence over hype.

✗ B. Buy three of them: waste

✗ C. Buy it because everyone says so: not evidence

✗ D. Ignore her own data: not wise

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F2-Q4 · question page 2146

ENT.AI.06 · Handle the complications: hidden costs and hype

A tool saves time but its terms allow using her client data for training. Her contract forbids sharing client data. What fits?

Answer: A. Do not use it for client data

Terms and contracts win.

✗ B. Hide it from clients: dishonest

✗ C. Ask the tool to promise privacy: not enough

✗ D. Use it anyway: breaks contract

Arithmetic checked by code: not applicable. Sources: none (stable)

S102-F2-Q5 · question page 2147

ENT.AI.06 · Handle the complications: hidden costs and hype

Which statement is accurate?

Answer: C. A tool is worth keeping only if measured benefits exceed its full costs.

Measure and decide.

- ✗ A. Free tools have no costs.: time costs
- ✗ B. Every popular tool pays off.: not always
- ✗ D. Measuring a tool's benefit is impossible for a small business.: it is possible

Arithmetic checked by code: not applicable. Sources: none (stable)

S103-M-Q1 · question page 2149

ENT.AI.07 · Avoid fake testimonials and unsupported claims made with AI

Which use of AI is deceptive?

Answer: D. Inventing customer testimonials

Invented testimonials deceive.

- ✗ A. Fixing grammar in a real review with permission: minor edit
- ✗ B. Drafting an honest product description: honest
- ✗ C. Summarizing real customer feedback accurately: honest

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-M-Q2 · question page 2150

ENT.AI.07 · Avoid fake testimonials and unsupported claims made with AI

Which claim needs support before it is used?

Answer: C. "Clinically proven to reduce wrinkles"

Strong claims need evidence.

✗ A. "Ships in 3 business days by mail": factual if true

✗ B. "Available in 4 colors": factual if true

✗ D. "Made with lavender oil": factual if true

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-M-Q3 · question page 2151

ENT.AI.07 · Avoid fake testimonials and unsupported claims made with AI

What does the FTC say about fake reviews and testimonials?

Answer: A. They are deceptive

Fake endorsements deceive.

✗ B. They are fine if positive: not true

✗ C. They are allowed if AI writes them: not true

✗ D. They are required for new businesses: not true

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-M-Q4 · question page 2152

ENT.AI.07 · Avoid fake testimonials and unsupported claims made with AI

When should an AI-generated image be labeled?

Answer: B. When it would affect a buyer's decision

Avoid misleading buyers.

✗ A. Never, under any circumstances at all: can mislead

✗ C. Only if it is blue: irrelevant

✗ D. Only on weekends: irrelevant

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-M-Q5 · question page 2153

ENT.AI.07 · Avoid fake testimonials and unsupported claims made with AI

What is a good use of AI here?

Answer: D. Drafting honest descriptions of what the product does

Honest drafting.

- ✗ A. Creating fake before-and-after photos of results: deceptive
- ✗ B. Implying a celebrity endorsement: deceptive
- ✗ C. Inventing awards: deceptive

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-B1-Q1 · question page 2154

ENT.AI.07 · A photo filter on a used-car ad

Editing dents out of a car photo is what?

Answer: A. Misleading buyers

It hides the truth.

- ✗ B. A free repair: no
- ✗ C. Honest marketing: no
- ✗ D. Required by law: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-B1-Q2 · question page 2155

ENT.AI.07 · A photo filter on a used-car ad

How do buyers feel when they see the real car?

Answer: B. Cheated

Deception damages trust.

- ✗ A. Delighted: no
- ✗ C. Indifferent: no
- ✗ D. Grateful: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-B1-Q3 · question page 2156

ENT.AI.07 · A photo filter on a used-car ad

Does AI change the honesty rule?

Answer: D. No, the same rule applies

Honesty still applies.

- ✗ A. Yes, AI edits are always allowed: no
- ✗ B. Yes, rules vanish online: no
- ✗ C. Only for cars: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-B1-Q4 · question page 2157

ENT.AI.07 · A photo filter on a used-car ad

What should a product photo show?

Answer: C. The product as it really is

Truthful images.

- ✗ A. An imagined better version: misleading
- ✗ B. A competitor's product: misleading
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-B1-Q5 · question page 2158

ENT.AI.07 · A photo filter on a used-car ad

What should a claim be?

Answer: B. Something you can back up

Supportable claims.

✗ A. Copied from rivals: no

✗ C. As exciting as possible: not the test

✗ D. Made up if needed: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F1-Q1 · question page 2159

ENT.AI.07 · Apply it: clean up AI-made marketing

An AI draft for a candle shop includes "Loved by 50,000 customers," but the shop has 600. What should the owner do?

Answer: A. Replace it with a true statement or remove it

Claims must be true.

✗ B. Change it to 40,000: still false

✗ C. Add "approximately": still false

✗ D. Keep it, because big numbers sound good: false

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F1-Q2 · question page 2160

ENT.AI.07 · Apply it: clean up AI-made marketing

An AI image shows a cake far more elaborate than the bakery makes. What should the owner use instead?

Answer: D. Photos of cakes the bakery actually made

Real examples.

✗ A. The AI image, without any label on it: misleading

✗ B. No photos ever: unnecessary

✗ C. A competitor's cake photo: misleading

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F1-Q3 · question page 2161

ENT.AI.07 · Apply it: clean up AI-made marketing

A draft says "Number one plumber in the state." The owner has no ranking data. What should she write instead?

Answer: A. "Licensed, 8 years serving Eastfield"

Specific and true.

- ✗ B. Write "best ever" in capitals: unsupported
- ✗ C. Write "number one in the country": worse
- ✗ D. Keep "number one" because many plumbers say it: unsupported

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F1-Q4 · question page 2162

ENT.AI.07 · Apply it: clean up AI-made marketing

A shop has 12 real reviews. An AI tool offers to write 30 more. If it did, what fraction of all reviews would be fake?

Answer: B. 30/42

30 fake of 42 total.

- ✗ A. 12/42: real share
- ✗ C. 30/12: not a fraction of total
- ✗ D. 12/30: not the fraction

Arithmetic checked by code: yes. Sources: ftc_reviews

S103-F1-Q5 · question page 2163

ENT.AI.07 · Apply it: clean up AI-made marketing

Which use of AI with real reviews is honest?

Answer: D. Summarizing common themes from real reviews accurately

Accurate summary.

- ✗ A. Rewriting them to sound more positive: altered

✗ B. Adding fake names to them: deceptive

✗ C. Inventing extra reviews in the same style as the real ones: deceptive

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F2-Q1 · question page 2164

ENT.AI.07 · Handle the complications: gray areas and pressure

A competitor uses AI-made testimonials and seems to sell more. What should the owner do?

Answer: B. Stay honest and build real reviews

Do not join deception.

✗ A. Buy reviews instead: deceptive

✗ C. Copy the competitor's tactic to keep up: deceptive

✗ D. Write even more fake reviews: worse

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F2-Q2 · question page 2165

ENT.AI.07 · Handle the complications: gray areas and pressure

A "sample testimonial" written by AI is placed on the site as a design placeholder and forgotten. What is the risk?

Answer: B. Visitors may think it is a real customer

Remove placeholders before launch.

✗ A. It is required: no

✗ C. No risk; placeholders are invisible: they are visible

✗ D. It improves trust: it misleads

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F2-Q3 · question page 2166

ENT.AI.07 · Handle the complications: gray areas and pressure

A product claim was true last year but the formula changed. What should the owner do?

Answer: C. Update or remove the claim

Claims must stay accurate.

- ✗ A. Keep it; it was true once: now false
- ✗ B. Make the claim stronger: worse
- ✗ D. Hide the formula change: dishonest

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F2-Q4 · question page 2167

ENT.AI.07 · Handle the complications: gray areas and pressure

An AI tool suggests saying a product is "FDA approved," but it is not. What should the owner do?

Answer: D. Not make the claim

False regulatory claims are serious.

- ✗ A. Make it in small print: still false
- ✗ B. Ask the AI again: still false
- ✗ C. Make it only on social media: still false

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S103-F2-Q5 · question page 2168

ENT.AI.07 · Handle the complications: gray areas and pressure

Which statement is accurate?

Answer: C. With or without AI, claims must be real and supportable.

Honesty rule stands.

- ✗ A. AI-written reviews are acceptable as long as they sound realistic.: deceptive
- ✗ B. Claims need no support online.: they do
- ✗ D. Images never mislead.: they can

Arithmetic checked by code: not applicable. Sources: ftc_reviews

S104-M-Q1 · question page 2170

ENT.OPS.01 · Write short procedures and block time for admin

What is a procedure in a small business?

Answer: B. Written steps for a task that repeats

A repeatable checklist.

- ✗ A. A legal filing that registers the business: not this
- ✗ C. A one-time speech the owner gives on opening day: not repeating steps
- ✗ D. A medical operation for the business owner: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-M-Q2 · question page 2171

ENT.OPS.01 · Write short procedures and block time for admin

Which task most needs a written checklist?

Answer: A. Packing an order the same way every time

Repeated tasks benefit most.

- ✗ B. Choosing a new logo once every ten years: rare
- ✗ C. Picking a favorite song for the shop: trivial
- ✗ D. Deciding what to eat for lunch today: trivial

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-M-Q3 · question page 2172

ENT.OPS.01 · Write short procedures and block time for admin

Why block time for admin?

Answer: D. So admin is not always pushed to "later"

Scheduled admin gets done.

✗ A. Because admin never needs any time at all: it does

✗ B. So customers can do the admin instead: not their job

✗ C. Because admin tasks are illegal during work hours: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-M-Q4 · question page 2173

ENT.OPS.01 · Write short procedures and block time for admin

When should a checklist be updated?

Answer: C. When something in the task changes

Keep it current.

✗ A. Only when a customer complains loudly: too late

✗ B. Every hour, whether or not anything changed: wasteful

✗ D. Never, once it is written: outdated

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-M-Q5 · question page 2174

ENT.OPS.01 · Write short procedures and block time for admin

How does a checklist help a new helper?

Answer: B. They can do the task the same way

Consistency.

✗ A. They can change the prices freely: unrelated

✗ C. They can skip steps they dislike: opposite

✗ D. They no longer need any training at all: still need some

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-B1-Q1 · question page 2175

ENT.OPS.01 · A recipe card

A business checklist is like what?

Answer: A. A recipe card

Steps in order.

- ✗ B. A grocery receipt: a record
- ✗ C. A menu price list: prices
- ✗ D. A shopping bag: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-B1-Q2 · question page 2176

ENT.OPS.01 · A recipe card

Why can anyone make the dish from the card?

Answer: D. The steps are written in order

Written order.

- ✗ A. The dish is always simple: not the reason
- ✗ B. The card is colorful: no
- ✗ C. Everyone already knows it: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-B1-Q3 · question page 2177

ENT.OPS.01 · A recipe card

A new oven temperature means what for the card?

Answer: B. Update it

Keep procedures current.

- ✗ A. Ignore the change: no
- ✗ C. Throw it away: no
- ✗ D. Hide it: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-B1-Q4 · question page 2178

ENT.OPS.01 · A recipe card

A weekly schedule is like what?

Answer: C. A meal plan

It decides when.

- ✗ A. A recipe card: that is the checklist
- ✗ B. A dish soap: no
- ✗ D. A fridge: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-B1-Q5 · question page 2179

ENT.OPS.01 · A recipe card

What should a good card be?

Answer: D. Short and in order

Clear steps.

- ✗ A. Secret: no
- ✗ B. Long and random: no
- ✗ C. Blank: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F1-Q1 · question page 2180

ENT.OPS.01 · Apply it: write a checklist and a weekly schedule

An Etsy seller forgets to include care cards in about 1 in 10 orders. What helps most?

Answer: B. A packing checklist that includes the care card

Checklists prevent omissions.

✗ A. Packing faster so she has no time to forget: more errors

✗ C. Asking customers to remind her: not their job

✗ D. Removing care cards entirely: loses value

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F1-Q2 · question page 2181

ENT.OPS.01 · Apply it: write a checklist and a weekly schedule

She ships 60 orders a month and misses the card in 1 of 10. How many orders a month miss it?

Answer: B. 6

60 / 10 = 6.

✗ A. 1: per ten

✗ C. 16: miscalculated

✗ D. 10: the rate base

Arithmetic checked by code: yes. Sources: none (stable)

S104-F1-Q3 · question page 2182

ENT.OPS.01 · Apply it: write a checklist and a weekly schedule

Which checklist step order makes sense for packing?

Answer: D. Check item, add care card, seal, label, record shipment

Logical order.

✗ A. Seal, then check the item inside: too late to check

✗ B. Record shipment before packing: premature

✗ C. Label first, then decide which item goes in the box: backward

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F1-Q4 · question page 2183

ENT.OPS.01 · Apply it: write a checklist and a weekly schedule

An owner works 40 hours a week and wants 15 percent of it for admin. How many hours is that?

Answer: C. 6 hours

0.15 x 40 = 6.

- ✗ A. 4 hours: ten percent
- ✗ B. 34 hours: remainder
- ✗ D. 15 hours: percent as hours

Arithmetic checked by code: yes. Sources: none (stable)

S104-F1-Q5 · question page 2184

ENT.OPS.01 · Apply it: write a checklist and a weekly schedule

Invoices are always sent late because there is "no time." What change fits the passage?

Answer: D. Block a fixed weekly time for invoicing

Schedule admin.

- ✗ A. Wait until there is free time: never comes
- ✗ B. Ask clients to invoice themselves: not their job
- ✗ C. Stop invoicing small jobs: loses money

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F2-Q1 · question page 2185

ENT.OPS.01 · Handle the complications: outdated steps and overbooked weeks

A helper follows an old checklist that uses a shipping service the shop no longer uses. What went wrong?

Answer: A. The checklist was not updated after a change

Update procedures.

- ✗ B. Shipping services never change: they did
- ✗ C. The helper ignored good, current instructions: followed them
- ✗ D. Checklists never work: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F2-Q2 · question page 2186

ENT.OPS.01 · Handle the complications: outdated steps and overbooked weeks

A checklist has 40 detailed steps for a 5-minute task, and helpers skip it. What is a better approach?

Answer: B. Shorten it to the key steps

Short checklists get used.

- ✗ A. Remove the checklist entirely: loses consistency
- ✗ C. Punish anyone who skips it: misses the cause
- ✗ D. Add 20 more steps: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F2-Q3 · question page 2187

ENT.OPS.01 · Handle the complications: outdated steps and overbooked weeks

Paid work fills 48 of 50 scheduled hours, leaving 2 hours for admin that needs 6. How many hours short?

Answer: C. 4 hours

6 - 2 = 4.

- ✗ A. 8 hours: added
- ✗ B. 2 hours: available
- ✗ D. 6 hours: needed

Arithmetic checked by code: yes. Sources: none (stable)

S104-F2-Q4 · question page 2188

ENT.OPS.01 · Handle the complications: outdated steps and overbooked weeks

Each week, paid work leaves 4 fewer hours than the admin work needs. Which change is most sustainable?

Answer: D. Reduce booked work or get help with admin

Balance the schedule.

- ✗ A. Ignore admin indefinitely: problems grow
- ✗ B. Skip all rest every week: burnout
- ✗ C. Work 90 hours a week permanently instead: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S104-F2-Q5 · question page 2189

ENT.OPS.01 · Handle the complications: outdated steps and overbooked weeks

Which statement is accurate?

Answer: B. Short, current checklists reduce mistakes.

Simple systems help.

- ✗ A. Checklists never need changes.: they do
- ✗ C. Admin can always wait.: it piles up
- ✗ D. Written steps slow every business down a lot.: usually faster

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-M-Q1 · question page 2191

ENT.OPS.02 · Calculate a reorder point and balance stock against cash

What is safety stock?

Answer: C. A small extra cushion of inventory

A buffer against surprises.

- ✗ A. Inventory locked in a safe for security reasons only: pun
- ✗ B. Items set aside to be thrown away later: not this
- ✗ D. Stock the owner keeps for personal use at home: not business stock

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-M-Q2 · question page 2192

ENT.OPS.02 · Calculate a reorder point and balance stock against cash

Daily use 5, lead time 8 days, safety stock 12. What is the reorder point?

Answer: D. 52

5 x 8 + 12 = 52.

- ✗ A. 25: added wrongly
- ✗ B. 100: multiplied all
- ✗ C. 40: no safety stock

Arithmetic checked by code: yes. Sources: none (stable)

S105-M-Q3 · question page 2193

ENT.OPS.02 · Calculate a reorder point and balance stock against cash

What is a risk of too much inventory?

Answer: C. Cash is tied up and items may spoil or go out of style

Overstock costs money.

- ✗ A. Prices automatically double: unrelated
- ✗ B. Customers can never find anything at all to buy: that is too little
- ✗ D. The business pays no rent at all: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-M-Q4 · question page 2194

ENT.OPS.02 · Calculate a reorder point and balance stock against cash

What is lead time?

Answer: C. Days for an order to arrive

Delivery delay.

✗ A. Days a customer waits to pay: not lead time

✗ B. Time spent on marketing: not lead time

✗ D. Hours a store is open each day: not lead time

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-M-Q5 · question page 2195

ENT.OPS.02 · Calculate a reorder point and balance stock against cash

Why count stock regularly?

Answer: B. So records match what is really on the shelf

Catch differences.

✗ A. Because records are always perfect anyway: they drift

✗ C. Because counting raises prices: no

✗ D. So suppliers can visit: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-B1-Q1 · question page 2196

ENT.OPS.02 · Multiply, then add

What is 3 x 9 + 5?

Answer: D. 32

27 + 5 = 32.

✗ A. 42: added first

✗ B. 27: skipped adding

✗ C. 17: added all

Arithmetic checked by code: yes. Sources: none (stable)

S105-B1-Q2 · question page 2197

ENT.OPS.02 · Multiply, then add

Which step comes first in "use x lead time + safety"?

Answer: A. Multiply use by lead time

Multiply first.

- ✗ B. Add lead time and safety: wrong order
- ✗ C. Divide by safety stock: not a step
- ✗ D. Subtract use: not a step

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-B1-Q3 · question page 2198

ENT.OPS.02 · Multiply, then add

What is 6 x 7 + 8?

Answer: D. 50

42 + 8 = 50.

- ✗ A. 42: skipped adding
- ✗ B. 21: added all
- ✗ C. 104: added first

Arithmetic checked by code: yes. Sources: none (stable)

S105-B1-Q4 · question page 2199

ENT.OPS.02 · Multiply, then add

What is 10 x 4 + 15?

Answer: B. 55

40 + 15 = 55.

- ✗ A. 29: added all
- ✗ C. 40: skipped adding
- ✗ D. 100: added first

Arithmetic checked by code: yes. Sources: none (stable)

S105-B1-Q5 · question page 2200

ENT.OPS.02 · Multiply, then add

What does "use x lead time" represent?

Answer: D. Items sold while waiting for delivery

Sales during the wait.

- ✗ A. The safety stock: no
- ✗ B. Total yearly sales of the whole shop: no
- ✗ C. The price per item: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-F1-Q1 · question page 2201

ENT.OPS.02 · Apply it: set reorder points for products

A tea shop sells 3 tins a day. The supplier takes 14 days. Safety stock is 9. What is the reorder point?

Answer: C. 51 tins

3 x 14 + 9 = 51.

- ✗ A. 26 tins: added all
- ✗ B. 42 tins: no safety stock
- ✗ D. 378 tins: multiplied all

Arithmetic checked by code: yes. Sources: none (stable)

S105-F1-Q2 · question page 2202

ENT.OPS.02 · Apply it: set reorder points for products

The shop has 60 tins and sells 3 a day. In how many days will it reach the 51-tin reorder point?

Answer: A. 3 days

(60 - 51) / 3 = 3.

- ✗ B. 17 days: used reorder point
- ✗ C. 9 days: used safety stock
- ✗ D. 20 days: used all stock

Arithmetic checked by code: yes. Sources: none (stable)

S105-F1-Q3 · question page 2203

ENT.OPS.02 · Apply it: set reorder points for products

Records show 80 candles; a count finds 72. What is the difference?

Answer: C. 8 candles

80 - 72 = 8.

- ✗ A. 80 candles: recorded
- ✗ B. 72 candles: counted
- ✗ D. 152 candles: added

Arithmetic checked by code: yes. Sources: none (stable)

S105-F1-Q4 · question page 2204

ENT.OPS.02 · Apply it: set reorder points for products

What should the owner do about that difference?

Answer: D. Update the records and look for the cause

Investigate and correct.

- ✗ A. Keep the old number so the records look better: false records
- ✗ B. Ignore it since it is small: causes grow
- ✗ C. Order 8 extra without checking: misses cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-F1-Q5 · question page 2205

ENT.OPS.02 · Apply it: set reorder points for products

A seasonal holiday item sells only in December. What is the risk of a large order in January?

Answer: B. Cash tied up in stock that will not sell for months

Timing matters.

- ✗ A. It will sell out immediately in January anyway: unlikely
- ✗ C. There is no risk at all: there is
- ✗ D. The supplier will refuse to deliver: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-F2-Q1 · question page 2206

ENT.OPS.02 · Handle the complications: delays and changing demand

The supplier's lead time grows from 10 to 20 days. Daily use is 4 and safety stock 10. What is the new reorder point?

Answer: B. 90

4 x 20 + 10 = 90.

- ✗ A. 800: multiplied all
- ✗ C. 34: added all
- ✗ D. 50: old lead time

Arithmetic checked by code: yes. Sources: none (stable)

S105-F2-Q2 · question page 2207

ENT.OPS.02 · Handle the complications: delays and changing demand

Sales jump after a viral post. What should happen to the reorder point?

Answer: A. Recalculate it with the new daily use

Inputs changed.

- ✗ B. Set it to zero: will run out

✗ C. Keep the old one forever, unchanged: will run out

✗ D. Double the price instead: not the question

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-F2-Q3 · question page 2208

ENT.OPS.02 · Handle the complications: delays and changing demand

An owner orders far more than needed to get a bulk discount, then cannot pay rent. What lesson applies?

Answer: D. A discount is not worth it if it drains needed cash

Weigh cash needs.

✗ A. Rent can always wait: not true

✗ B. Inventory equals cash: not spendable

✗ C. Bulk discounts are always worth any cash they use: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S105-F2-Q4 · question page 2209

ENT.OPS.02 · Handle the complications: delays and changing demand

Daily use 2.5, lead time 9 days, safety 6. What is the reorder point, rounded up to whole items?

Answer: C. 29

2.5 x 9 + 6 = 28.5, up to 29.

✗ A. 22.5: no safety, not rounded

✗ B. 18: miscalculated

✗ D. 28: rounded down

Arithmetic checked by code: yes. Sources: none (stable)

S105-F2-Q5 · question page 2210

ENT.OPS.02 · Handle the complications: delays and changing demand

Which statement is accurate?

Answer: C. Reorder points should be updated when sales or lead times change.

Keep inputs current.

- ✗ A. More inventory is always safer.: cash risk
- ✗ B. Counting stock by hand is unnecessary once software is used.: still needed
- ✗ D. Reorder points never change.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-M-Q1 · question page 2212

ENT.OPS.03 · Track the business's own subscriptions and trial dates

What should a subscription list include?

Answer: D. Service, cost, cycle, renewal date, card, login owner

Full details.

- ✗ A. Only the service names, with nothing else at all: incomplete
- ✗ B. Only the owner's favorite apps: incomplete
- ✗ C. Only services that are free forever: misses paid ones

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-M-Q2 · question page 2213

ENT.OPS.03 · Track the business's own subscriptions and trial dates

When should a trial end date go on the calendar?

Answer: C. A few days before it ends

Early reminders.

- ✗ A. On the day after it ends: too late
- ✗ B. Never; trials always cancel themselves: many convert
- ✗ D. Only if the trial is very expensive: all matter

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-M-Q3 · question page 2214

ENT.OPS.03 · Track the business's own subscriptions and trial dates

Five tools cost 9, 12, 15, 20 and 29 dollars a month. What is the monthly total?

Answer: A. 85 dollars

9 + 12 + 15 + 20 + 29 = 85.

- ✗ B. 75 dollars: missed one
- ✗ C. 17 dollars: average
- ✗ D. 29 dollars: largest

Arithmetic checked by code: yes. Sources: none (stable)

S106-M-Q4 · question page 2215

ENT.OPS.03 · Track the business's own subscriptions and trial dates

Five tools cost a total of 85 dollars a month. What is that total per year?

Answer: C. 1,020 dollars

85 x 12 = 1,020.

- ✗ A. 850 dollars: 10 months
- ✗ B. 1,105 dollars: 13 months
- ✗ D. 85 dollars: monthly

Arithmetic checked by code: yes. Sources: none (stable)

S106-M-Q5 · question page 2216

ENT.OPS.03 · Track the business's own subscriptions and trial dates

What should happen to unused subscriptions?

Answer: A. Cancel them

Stop paying for unused tools.

✗ B. Keep them just in case forever: waste

✗ C. Hide them from the budget: dishonest

✗ D. Move them to a personal card: commingling

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-B1-Q1 · question page 2217

ENT.OPS.03 · Magazine subscriptions you forgot

Why are small monthly charges easy to forget?

Answer: A. They are small and automatic

Small and automatic.

✗ B. They only ever come by mail: no

✗ C. They are illegal: no

✗ D. They are always huge: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-B1-Q2 · question page 2218

ENT.OPS.03 · Magazine subscriptions you forgot

A forgotten business tool is like what?

Answer: C. An unread magazine still being paid for

Ongoing waste.

✗ A. A paid invoice from a paper supplier: no

✗ B. A new customer: no

✗ D. A refund: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-B1-Q3 · question page 2219

ENT.OPS.03 · Magazine subscriptions you forgot

A trial that "quietly turned paid" means what?

Answer: B. It started charging after the free period

Trials convert.

- ✗ A. It deleted itself: no
- ✗ C. It stayed free forever after the trial: no
- ✗ D. It paid you: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-B1-Q4 · question page 2220

ENT.OPS.03 · Magazine subscriptions you forgot

What helps catch these charges?

Answer: B. A list with dates

Track them.

- ✗ A. Ignoring statements: no
- ✗ C. More subscriptions: no
- ✗ D. Hiding the card: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-B1-Q5 · question page 2221

ENT.OPS.03 · Magazine subscriptions you forgot

What do you do with a magazine you no longer read?

Answer: D. Cancel it

Stop unused charges.

- ✗ A. Hide it: no
- ✗ B. Buy two copies: no
- ✗ C. Keep paying: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F1-Q1 · question page 2222

ENT.OPS.03 · Apply it: audit subscriptions

An audit finds 3 unused tools at 14, 22 and 9 dollars a month. How much is saved per year by cancelling them?

Answer: A. 540 dollars

(14 + 22 + 9) x 12 = 540.

- ✗ B. 585 dollars: 13 months
- ✗ C. 450 dollars: 10 months
- ✗ D. 45 dollars: monthly

Arithmetic checked by code: yes. Sources: none (stable)

S106-F1-Q2 · question page 2223

ENT.OPS.03 · Apply it: audit subscriptions

A 14-day trial started March 3. When does it end?

Answer: D. March 17

3 + 14 = 17.

- ✗ A. March 31: end of month
- ✗ B. April 3: a month
- ✗ C. March 14: counted day 14 as date

Arithmetic checked by code: yes. Sources: none (stable)

S106-F1-Q3 · question page 2224

ENT.OPS.03 · Apply it: audit subscriptions

A 14-day trial started March 3 and ends March 17. When should the reminder for that trial be set?

Answer: B. A few days earlier, around March 14

Remind before conversion.

- ✗ A. April 1: too late
- ✗ C. No reminder needed: risky
- ✗ D. March 18, the day after it ends: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F1-Q4 · question page 2225

ENT.OPS.03 · Apply it: audit subscriptions

A tool bills yearly at 240 dollars on a date the owner forgot. What would have helped?

Answer: D. A renewal date on the subscription list and calendar

Track renewal dates.

- ✗ A. A second email address for the business owner: irrelevant
- ✗ B. More free trials: more risk
- ✗ C. A bigger logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F1-Q5 · question page 2226

ENT.OPS.03 · Apply it: audit subscriptions

A former helper's login owns a paid tool. What should the list show?

Answer: A. Who owns each login

Ownership matters.

- ✗ B. Only the price: incomplete
- ✗ C. Nothing about logins: misses risk
- ✗ D. Only the tool's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F2-Q1 · question page 2227

ENT.OPS.03 · Handle the complications: hard-to-cancel services and shared cards

A service makes cancelling difficult and keeps charging. What should the owner do?

Answer: A. Follow its cancellation steps, keep proof, then contact the card issuer

Document and escalate.

- ✗ B. Ignore the charges: continues
- ✗ C. Close the business: overreaction
- ✗ D. Keep paying forever, since cancelling the service is so hard: waste

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F2-Q2 · question page 2228

ENT.OPS.03 · Handle the complications: hard-to-cancel services and shared cards

Business subscriptions are on a personal card. What problem does this cause?

Answer: C. Business and personal costs get mixed

Use the business card.

- ✗ A. Taxes disappear: no
- ✗ B. No problem at all: commingling
- ✗ D. The charges become free for her: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F2-Q3 · question page 2229

ENT.OPS.03 · Handle the complications: hard-to-cancel services and shared cards

Two team members accidentally signed up for the same tool at 15 dollars a month each. The license needs only one, and one of the charges can be cancelled. How much does the unused duplicate waste per year?

Answer: B. 180 dollars

One duplicate x 15 dollars x 12 months = 180 dollars.

- ✗ A. 30 dollars: both monthly
- ✗ C. 15 dollars: monthly
- ✗ D. 360 dollars: both yearly

Arithmetic checked by code: yes. Sources: none (stable)

S106-F2-Q4 · question page 2230

ENT.OPS.03 · Handle the complications: hard-to-cancel services and shared cards

A business card expires and a key service fails to renew. What prevents surprise outages?

Answer: B. Updating the card on the list when it changes

Keep billing details current.

- ✗ A. Ignoring card expiry dates: causes outages
- ✗ C. Using many different cards randomly for each tool: confusing
- ✗ D. Never renewing anything: loses service

Arithmetic checked by code: not applicable. Sources: none (stable)

S106-F2-Q5 · question page 2231

ENT.OPS.03 · Handle the complications: hard-to-cancel services and shared cards

Which statement is accurate?

Answer: D. A dated subscription list prevents surprise renewals.

Track and review.

- ✗ A. Small charges never add up.: they do
- ✗ B. Trials always end for free.: many convert
- ✗ C. Only big companies need subscription lists at all.: all benefit

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-M-Q1 · question page 2233

ENT.OPS.04 · Protect accounts with unique passwords, two-step login and backups

What does two-step login add?

Answer: D. A second proof, so a stolen password alone is not enough

Two factors.

- ✗ A. An automatic backup of every file: different
- ✗ B. A longer username for the account: not security
- ✗ C. A second password that is the same as the first: not a second factor

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-M-Q2 · question page 2234

ENT.OPS.04 · Protect accounts with unique passwords, two-step login and backups

Why use a unique password for each account?

Answer: A. One leaked password cannot open the others

Limits damage.

- ✗ B. It makes logins faster: not the reason
- ✗ C. Unique passwords are easier to remember: not the reason
- ✗ D. Sites require the same password: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-M-Q3 · question page 2235

ENT.OPS.04 · Protect accounts with unique passwords, two-step login and backups

What is a password manager?

Answer: A. A secure app that remembers passwords

Secure storage.

- ✗ B. A sticky note on the monitor: insecure
- ✗ C. A list emailed to everyone: insecure
- ✗ D. A person who guesses passwords for you: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-M-Q4 · question page 2236

ENT.OPS.04 · Protect accounts with unique passwords, two-step login and backups

A message asks for the code sent to your phone "to verify your account." What should you do?

Answer: C. Not share it and check through the official site

Codes are secrets.

- ✗ A. Share it with anyone who asks politely by email: scam
- ✗ B. Post the code online: scam
- ✗ D. Reply with the code quickly: scam

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-M-Q5 · question page 2237

ENT.OPS.04 · Protect accounts with unique passwords, two-step login and backups

Why test restoring a backup?

Answer: D. To be sure it actually works

Untested backups may fail.

- ✗ A. Restoring erases backups: no
- ✗ B. Tests are required daily by law: no
- ✗ C. Backups never fail: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-B1-Q1 · question page 2238

ENT.OPS.04 · A door lock plus a security guard

A password is like what?

Answer: D. A door key

Something that opens access.

✗ A. A guard: that is two-step

✗ B. A fire: no

✗ C. A glass window: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-B1-Q2 · question page 2239

ENT.OPS.04 · A door lock plus a security guard

Two-step login is like what?

Answer: C. A guard who also checks your face

A second check.

✗ A. A doorbell: no

✗ B. A spare key hidden under the mat: insecure

✗ D. An open door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-B1-Q3 · question page 2240

ENT.OPS.04 · A door lock plus a security guard

Using one key for everything means what?

Answer: B. One lost key opens everything

Reused passwords.

✗ A. Nothing changes: risk

✗ C. Fewer locks are needed overall: not the point

✗ D. Better security: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-B1-Q4 · question page 2241

ENT.OPS.04 · A door lock plus a security guard

A backup is like what?

Answer: A. Copies of papers kept somewhere else

Separate copies.

- ✗ B. A single original: no
- ✗ C. Papers burned in a fire: no
- ✗ D. A locked drawer at home, nowhere else: same place

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-B1-Q5 · question page 2242

ENT.OPS.04 · A door lock plus a security guard

Why keep copies somewhere else?

Answer: D. In case the first place is damaged

Separation protects.

- ✗ A. To confuse yourself: no
- ✗ B. It is required: not the reason
- ✗ C. To share the copies with strangers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F1-Q1 · question page 2243

ENT.OPS.04 · Apply it: secure the key accounts

An owner uses "Shop2024" for email, bank and website. What should she change first?

Answer: C. Use unique passwords and turn on two-step login

Unique and two-step.

- ✗ A. Change only the website password: incomplete
- ✗ B. Add "!" to the end of the same password everywhere: still reused
- ✗ D. Write it on the shop door: insecure

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F1-Q2 · question page 2244

ENT.OPS.04 · Apply it: secure the key accounts

Which account should get two-step login first?

Answer: B. The business email, which can reset other passwords

Email unlocks other accounts.

- ✗ A. A newsletter she reads that has no login at all: none
- ✗ C. A free recipe website: low value
- ✗ D. A game account: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F1-Q3 · question page 2245

ENT.OPS.04 · Apply it: secure the key accounts

Backups run every 7 days. A laptop is stolen 5 days after the last backup. Up to how many days of work could be lost?

Answer: A. 5 days

Work since the last backup.

- ✗ B. 7 days: full cycle
- ✗ C. 2 days: subtracted
- ✗ D. 12 days: added

Arithmetic checked by code: yes. Sources: none (stable)

S107-F1-Q4 · question page 2246

ENT.OPS.04 · Apply it: secure the key accounts

Which backup plan is strongest?

Answer: A. Automatic backups kept elsewhere and tested

Separate, regular, tested.

- ✗ B. No backup, just being careful with the laptop: risky
- ✗ C. A backup made once years ago: outdated
- ✗ D. One copy on the same laptop: lost together

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F1-Q5 · question page 2247

ENT.OPS.04 · Apply it: secure the key accounts

A password manager asks for one strong main password. What should that password be?

Answer: C. Long and used nowhere else

Protect the vault.

- ✗ A. The business name: guessable
- ✗ B. The same as the email password: reused
- ✗ D. "password": weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F2-Q1 · question page 2248

ENT.OPS.04 · Handle the complications: breaches and shortcuts

A site the owner uses reports a data breach. What should she do?

Answer: A. Change that password and any others that reused it

Contain the damage.

- ✗ B. Nothing, because breaches never matter to small shops: they do
- ✗ C. Post her new password online: insecure
- ✗ D. Delete her email account: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F2-Q2 · question page 2249

ENT.OPS.04 · Handle the complications: breaches and shortcuts

A helper finds two-step login annoying and wants it off. What is the best response?

Answer: D. Keep it on and make it easier with an app

Keep the protection.

- ✗ A. Use the owner's phone for everyone's codes: insecure
- ✗ B. Share one code with all staff: insecure
- ✗ C. Turn it off for everyone: weakens security

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F2-Q3 · question page 2250

ENT.OPS.04 · Handle the complications: breaches and shortcuts

Restoring last month's backup fails because the files are corrupted. What lesson applies?

Answer: B. Test backups regularly

Testing catches failures.

- ✗ A. Never back up: worse
- ✗ C. Backups are useless: not true
- ✗ D. Only back up yearly: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F2-Q4 · question page 2251

ENT.OPS.04 · Handle the complications: breaches and shortcuts

An email claims to be from the bank and links to a login page. What is safest?

Answer: C. Go to the bank site by typing its address yourself

Use known routes.

- ✗ A. Forward it to customers: harmful
- ✗ B. Click the link in the email and log in right away: phishing risk

✗ D. Reply with the password: scam

Arithmetic checked by code: not applicable. Sources: none (stable)

S107-F2-Q5 · question page 2252

ENT.OPS.04 · Handle the complications: breaches and shortcuts

Which statement is accurate?

Answer: B. Unique passwords, two-step login and backups reduce risk.

Basics matter.

✗ A. Small businesses are never targeted.: they are
✗ C. One strong password reused everywhere is enough.: reuse risk
✗ D. Backups never need testing.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-M-Q1 · question page 2254

ENT.OPS.05 · Give each person their own login and only the access they need

What does least privilege mean?

Answer: A. Giving only the access a person needs for their job

Minimum needed.

✗ B. Never giving anyone any access: unworkable
✗ C. Giving the owner the least access: opposite
✗ D. Giving everyone full access to everything in the business: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-M-Q2 · question page 2255

ENT.OPS.05 · Give each person their own login and only the access they need

Why give each person their own login?

Answer: C. Access can be tracked and removed individually

Accountability.

- ✗ A. It makes passwords easier to share: opposite
- ✗ B. It is required for free accounts only, not paid: no
- ✗ D. It hides who did what: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-M-Q3 · question page 2256

ENT.OPS.05 · Give each person their own login and only the access they need

Who should hold the main administrator account?

Answer: D. The owner

The owner controls key accounts.

- ✗ A. A customer: no
- ✗ B. Whoever set up the site: may leave
- ✗ C. A temporary helper: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-M-Q4 · question page 2257

ENT.OPS.05 · Give each person their own login and only the access they need

When should a departing helper's access be removed?

Answer: D. The same day they leave

Immediately.

- ✗ A. Only if they ask: risk
- ✗ B. Never: risk
- ✗ C. A few months later, when convenient: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-M-Q5 · question page 2258

ENT.OPS.05 · Give each person their own login and only the access they need

A packing helper needs which access?

Answer: C. The order list

Job-related access only.

- ✗ A. The domain registrar: not needed
- ✗ B. The tax account: not needed
- ✗ D. The bank account: not needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-B1-Q1 · question page 2259

ENT.OPS.05 · Keys to different rooms

The cleaner's keys are like what?

Answer: B. Access only to what the job needs

Least privilege.

- ✗ A. No access: no
- ✗ C. A master key to every single room: no
- ✗ D. Full access: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-B1-Q2 · question page 2260

ENT.OPS.05 · Keys to different rooms

The master key is like what?

Answer: A. The administrator account the owner keeps

Full control.

- ✗ B. A guest pass: no
- ✗ C. A helper's login: no

✗ D. A customer's password for the online shop: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-B1-Q3 · question page 2261

ENT.OPS.05 · Keys to different rooms

Why does each person sign for their own keys?

Answer: A. So it is clear who has which key

Tracking.

✗ B. To lose keys: no
✗ C. To slow everyone down on purpose: no
✗ D. To share keys freely: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-B1-Q4 · question page 2262

ENT.OPS.05 · Keys to different rooms

When are keys returned?

Answer: B. The same day someone leaves

Promptly.

✗ A. Next year: no
✗ C. Whenever it is convenient: no
✗ D. Never: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-B1-Q5 · question page 2263

ENT.OPS.05 · Keys to different rooms

Does the cleaner need the safe key?

Answer: C. No

Not needed for the job.

- ✗ A. Yes, always: no
- ✗ B. Only if asked: no
- ✗ D. Only on Fridays: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F1-Q1 · question page 2264

ENT.OPS.05 · Apply it: set up access for a team

A shop has 3 helpers sharing the owner's login to the store platform. What is the best fix?

Answer: D. Give each helper a separate, limited login

Individual, limited access.

- ✗ A. Remove all helpers' access to orders: unworkable
- ✗ B. Keep sharing, but change the password monthly: still shared
- ✗ C. Give helpers the bank password too: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F1-Q2 · question page 2265

ENT.OPS.05 · Apply it: set up access for a team

An access list has 5 people with full admin rights, but only the owner needs them. How many should be reduced?

Answer: A. 4

5 - 1 = 4.

- ✗ B. 0: some should change
- ✗ C. 1: owner only
- ✗ D. 5: includes owner

Arithmetic checked by code: yes. Sources: none (stable)

S108-F1-Q3 · question page 2266

ENT.OPS.05 · Apply it: set up access for a team

A bookkeeper needs to see bank transactions but not move money. What access fits?

Answer: B. View-only access

Match access to need.

- ✗ A. The owner's personal login: shared
- ✗ C. No access at all: cannot work
- ✗ D. Full access to transfer funds: more than needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F1-Q4 · question page 2267

ENT.OPS.05 · Apply it: set up access for a team

A helper leaves on Friday. Which checklist item matters most that day?

Answer: A. Remove their logins and change any shared codes

Close access promptly.

- ✗ B. Update the logo: unrelated
- ✗ C. Send a thank-you card to them next month: not urgent
- ✗ D. Order new supplies: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F1-Q5 · question page 2268

ENT.OPS.05 · Apply it: set up access for a team

What should the access list record?

Answer: C. Each person, each service and their access level

Who has what.

- ✗ A. Only everyone's passwords written in plain text: insecure
- ✗ B. Only first names: incomplete

✗ D. Only the owner: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F2-Q1 · question page 2269

ENT.OPS.05 · Handle the complications: lockouts and role changes

A designer set up the store under her own admin account and stopped replying. What could the owner have done?

Answer: D. Kept the admin account in her own name from the start

Own the master account.

✗ A. Avoided having a store: overreaction
✗ B. Given the designer even more access to everything: worse
✗ C. Nothing could prevent it: it could

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F2-Q2 · question page 2270

ENT.OPS.05 · Handle the complications: lockouts and role changes

A helper moves from packing to marketing. What should happen to access?

Answer: B. Add marketing access and remove unneeded packing access

Update with role changes.

✗ A. Share the owner's login: insecure
✗ C. Keep all the old access and add the new access: access creep
✗ D. Remove all access: cannot work

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F2-Q3 · question page 2271

ENT.OPS.05 · Handle the complications: lockouts and role changes

A review finds an ex-helper still has access 6 months after leaving. What should the owner do?

Answer: D. Remove it now and check activity on that account

Close and check.

- ✗ A. Ask them to stop logging in: not enough
- ✗ B. Give them more access: worse
- ✗ C. Leave it alone, since nothing bad has happened: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S108-F2-Q4 · question page 2272

ENT.OPS.05 · Handle the complications: lockouts and role changes

Reviewing access takes 15 minutes each quarter. How many minutes per year?

Answer: B. 60 minutes

15 x 4 = 60.

- ✗ A. 15 minutes: one quarter
- ✗ C. 180 minutes: monthly
- ✗ D. 45 minutes: three quarters

Arithmetic checked by code: yes. Sources: none (stable)

S108-F2-Q5 · question page 2273

ENT.OPS.05 · Handle the complications: lockouts and role changes

Which statement is accurate?

Answer: C. Separate, limited logins make access easier to control.

Control access.

- ✗ A. Sharing one login is safer.: not true
- ✗ B. Access never needs review.: it does
- ✗ D. Everyone on the team should be an administrator.: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-M-Q1 · question page 2275

ENT.OPS.06 · Organize folders and name files so they sort and search well

Which file name sorts best by date?

Answer: B. "2026-03-14 Invoice 104 Lopez.pdf"

Year-month-day first.

- ✗ A. "scan0047.pdf": no meaning
- ✗ C. "invoice final final Lopez.pdf": no date
- ✗ D. "March 14 invoice.pdf": sorts alphabetically by month name

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-M-Q2 · question page 2276

ENT.OPS.06 · Organize folders and name files so they sort and search well

Which folder structure does the passage suggest?

Answer: D. By year, then by type

Year then type.

- ✗ A. Random folders for each day: too many
- ✗ B. All files in one big folder: hard to find
- ✗ C. By the color of each document: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-M-Q3 · question page 2277

ENT.OPS.06 · Organize folders and name files so they sort and search well

Why put the date first as year-month-day?

Answer: A. Files then sort in date order

Sorting.

✗ B. Computers require it by law: no

✗ C. It looks more official: not the reason

✗ D. It hides the file: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-M-Q4 · question page 2278

ENT.OPS.06 · Organize folders and name files so they sort and search well

Which documents should especially be kept?

Answer: A. Originals and important signed documents

Key records.

✗ B. Only blank forms: not important

✗ C. Only duplicate copies: not originals

✗ D. Only advertisements received in the mail: not important

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-M-Q5 · question page 2279

ENT.OPS.06 · Organize folders and name files so they sort and search well

What does good naming save later?

Answer: C. Time spent searching

Findability.

✗ A. Rent: no

✗ B. Taxes owed: no

✗ D. Shipping costs each month: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-B1-Q1 · question page 2280

ENT.OPS.06 · Labeled kitchen jars

Unlabeled jars are like what?

Answer: D. Files with meaningless names

Hard to find.

- ✗ A. A tidy folder: no
- ✗ B. Well-named files with dates: no
- ✗ C. A backup: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-B1-Q2 · question page 2281

ENT.OPS.06 · Labeled kitchen jars

Shelves in the kitchen are like what?

Answer: A. Folders

Grouping.

- ✗ B. Passwords: no
- ✗ C. File names: labels
- ✗ D. Printers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-B1-Q3 · question page 2282

ENT.OPS.06 · Labeled kitchen jars

Labels on jars are like what?

Answer: B. File names

Identification.

- ✗ A. Invoices sent: no
- ✗ C. Folders: shelves
- ✗ D. Backups: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-B1-Q4 · question page 2283

ENT.OPS.06 · Labeled kitchen jars

"Packed March 2026" on a jar is like what?

Answer: A. A date in the file name

Dating items.

- ✗ B. A price: no
- ✗ C. A secret password on a jar: no
- ✗ D. A recipe: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-B1-Q5 · question page 2284

ENT.OPS.06 · Labeled kitchen jars

What do labels save?

Answer: B. Time spent searching

Quick finding.

- ✗ A. Space: not the point
- ✗ C. Sugar: no
- ✗ D. Money spent on jars: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F1-Q1 · question page 2285

ENT.OPS.06 · Apply it: rename and file documents

Rename "IMG_8831.jpg," a receipt for printer ink bought April 2, 2026. Which name is best?

Answer: B. "2026-04-02 Receipt printer ink.jpg"

Date first and description.

✗ A. "ink.jpg": no date

✗ C. "April receipt maybe ink thing.jpg": vague

✗ D. "IMG_8831 copy.jpg": no meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F1-Q2 · question page 2286

ENT.OPS.06 · Apply it: rename and file documents

Where should a signed 2026 client contract go?

Answer: B. 2026 / Contracts

Year then type.

✗ A. A personal photos folder: wrong place

✗ C. 2026 / Receipts: wrong type

✗ D. Desktop with other random files: disorganized

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F1-Q3 · question page 2287

ENT.OPS.06 · Apply it: rename and file documents

An owner spends 20 minutes a week searching for files. Good naming cuts it to 5. How many minutes are saved over 52 weeks?

Answer: D. 780

15 x 52 = 780.

✗ A. 260: new total

✗ B. 1,040: old total

✗ C. 15: per week

Arithmetic checked by code: yes. Sources: none (stable)

S109-F1-Q4 · question page 2288

ENT.OPS.06 · Apply it: rename and file documents

Which name sorts correctly before "2026-11-05 Invoice.pdf"?

Answer: A. "2026-02-14 Invoice.pdf"

Earlier date sorts first.

- ✗ B. "2026-12-01 Invoice.pdf": later
- ✗ C. "2027-01-01 Invoice.pdf": later
- ✗ D. "2026-11-30 Invoice.pdf": later

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F1-Q5 · question page 2289

ENT.OPS.06 · Apply it: rename and file documents

Receipts are scanned into folders. What else should happen?

Answer: C. Back up the folders to a separate place

Backups protect records.

- ✗ A. Rename every file in them to just "scan": worse
- ✗ B. Email them to customers: privacy
- ✗ D. Delete the folders: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F2-Q1 · question page 2290

ENT.OPS.06 · Handle the complications: messy history and shared folders

Three years of files are messy. What is a practical approach?

Answer: B. Use the new system now and sort old files over time

Start now, fix gradually.

- ✗ A. Rename every old file in one long night this week: unrealistic
- ✗ C. Delete all old files: loses records
- ✗ D. Ignore it forever: stays messy

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F2-Q2 · question page 2291

ENT.OPS.06 · Handle the complications: messy history and shared folders

Two helpers name files differently. What helps?

Answer: C. A short written naming rule everyone follows

Shared standard.

- ✗ A. Each person invents their own naming style: inconsistent
- ✗ B. Only the owner saves files: bottleneck
- ✗ D. No file names at all: unusable

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F2-Q3 · question page 2292

ENT.OPS.06 · Handle the complications: messy history and shared folders

A shared folder contains customers' personal data. What should be checked?

Answer: C. Who has access to it

Protect data.

- ✗ A. Nothing; folders are always private: not guaranteed
- ✗ B. Only the file count: not the issue
- ✗ D. Only the folder color: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F2-Q4 · question page 2293

ENT.OPS.06 · Handle the complications: messy history and shared folders

A file named "Contract FINAL v3 really final.pdf" sits beside "Contract FINAL v4.pdf." What naming habit would prevent confusion?

Answer: A. Date the versions and keep one marked as the signed copy

Clear versions.

- ✗ B. Name them randomly: worse
- ✗ C. Delete both: loses records
- ✗ D. Add more "final" words to the newest one, to be clear: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S109-F2-Q5 · question page 2294

ENT.OPS.06 · Handle the complications: messy history and shared folders

Which statement is accurate?

Answer: A. Folders and dated names make records easy to find.

Organize.

- ✗ B. Backups replace the need for organization.: both needed
- ✗ C. One giant folder is best.: hard to search
- ✗ D. File names never matter.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-M-Q1 · question page 2296

ENT.OPS.07 · Build one calendar for filings, renewals and payments

Which is a recurring business deadline?

Answer: B. A state annual report

Filings repeat.

- ✗ A. A holiday sale idea: not a deadline
- ✗ C. A customer's birthday: not a filing
- ✗ D. A one-time logo design: once

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-M-Q2 · question page 2297

ENT.OPS.07 · Build one calendar for filings, renewals and payments

What can happen if a state annual report is missed?

Answer: D. Fees or the business being marked inactive

Penalties apply.

- ✗ A. Nothing ever happens: consequences
- ✗ B. A tax refund: no
- ✗ C. Automatic renewal for free the next year: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-M-Q3 · question page 2298

ENT.OPS.07 · Build one calendar for filings, renewals and payments

What should each calendar entry include?

Answer: A. Item, due date, frequency, where to file, reminder

Full details.

- ✗ B. Only the fee amount: incomplete
- ✗ C. Only a color code for each type of deadline: incomplete
- ✗ D. Only the item name: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-M-Q4 · question page 2299

ENT.OPS.07 · Build one calendar for filings, renewals and payments

Why set reminders about two weeks early?

Answer: C. To gather what is needed in time

Preparation time.

- ✗ A. To file twice: no
- ✗ B. To pay extra fees: no

✗ D. Because filings always open late: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-M-Q5 · question page 2300

ENT.OPS.07 · Build one calendar for filings, renewals and payments

Why keep one calendar instead of several notes?

Answer: A. All deadlines are in one place

Single source.

✗ B. Several notes are required: no
✗ C. It hides deadlines: opposite
✗ D. Calendars cause penalties: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-B1-Q1 · question page 2301

ENT.OPS.07 · A family calendar on the fridge

A fridge calendar is like what?

Answer: A. A business deadline calendar

One place for dates.

✗ B. A grocery store receipt slip: no
✗ C. A logo: no
✗ D. A menu: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-B1-Q2 · question page 2302

ENT.OPS.07 · A family calendar on the fridge

What happens with scattered scraps of paper?

Answer: C. Things get missed

Scattered info fails.

- ✗ A. Everything is remembered: no
- ✗ B. Taxes drop: no
- ✗ D. Nothing: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-B1-Q3 · question page 2303

ENT.OPS.07 · A family calendar on the fridge

A note written two weeks before is like what?

Answer: D. An early reminder

Advance notice.

- ✗ A. A refund: no
- ✗ B. A signed contract: no
- ✗ C. A late fee: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-B1-Q4 · question page 2304

ENT.OPS.07 · A family calendar on the fridge

Why put every important date in one place?

Answer: A. So nothing is missed

Completeness.

- ✗ B. To make the fridge heavier: no
- ✗ C. It is required: not the reason
- ✗ D. To confuse people: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-B1-Q5 · question page 2305

ENT.OPS.07 · A family calendar on the fridge

A bill due date on the calendar is like what?

Answer: C. A renewal or filing deadline

A deadline.

- ✗ A. A grocery list: no
- ✗ B. A movie: no
- ✗ D. A birthday party invitation: not business

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F1-Q1 · question page 2306

ENT.OPS.07 · Apply it: fill in a deadline calendar

A license renews on June 30. A two-week reminder should be set for which date?

Answer: B. June 16

30 - 14 = 16.

- ✗ A. June 2: four weeks
- ✗ C. July 14: after
- ✗ D. June 30: due date

Arithmetic checked by code: yes. Sources: none (stable)

S110-F1-Q2 · question page 2307

ENT.OPS.07 · Apply it: fill in a deadline calendar

Sales tax is filed quarterly. How many filings a year?

Answer: C. 4

Quarterly = 4.

- ✗ A. 12: monthly
- ✗ B. 3: miscounted

✗ D. 1: yearly

Arithmetic checked by code: yes. Sources: none (stable)

S110-F1-Q3 · question page 2308

ENT.OPS.07 · Apply it: fill in a deadline calendar

A late fee is 50 dollars per missed filing. Missing 2 quarterly filings costs how much in late fees?

Answer: A. 100 dollars

2 x 50 = 100.

✗ B. 25 dollars: halved
✗ C. 50 dollars: one
✗ D. 200 dollars: four

Arithmetic checked by code: yes. Sources: none (stable)

S110-F1-Q4 · question page 2309

ENT.OPS.07 · Apply it: fill in a deadline calendar

Which items belong on the calendar?

Answer: D. Annual report, license, estimated tax and domain dates

All recurring obligations.

✗ A. Only supplier birthdays: not filings
✗ B. Only the owner's vacation dates and public holidays: not business
✗ C. Only social media posts: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F1-Q5 · question page 2310

ENT.OPS.07 · Apply it: fill in a deadline calendar

Where should the owner confirm actual due dates?

Answer: B. The official agency or provider for each item

Official sources.

- ✗ A. A competitor: unreliable
- ✗ C. A friend's business calendar from last year: unreliable
- ✗ D. A guess: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F2-Q1 · question page 2311

ENT.OPS.07 · Handle the complications: changes and missed deadlines

The owner moves the business to a new state. What should she do with the calendar?

Answer: A. Add the new state's filings; drop old ones as they end

Update for changes.

- ✗ B. Guess new dates: unreliable
- ✗ C. Keep only the old state's dates on the calendar: outdated
- ✗ D. Delete the calendar: loses tracking

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F2-Q2 · question page 2312

ENT.OPS.07 · Handle the complications: changes and missed deadlines

A filing was missed last month. What is the best first step?

Answer: D. File as soon as possible and check what fees apply

Act promptly.

- ✗ A. Pay a random amount: not a fix
- ✗ B. Wait to see whether anyone at the state notices: worse
- ✗ C. Never file again: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F2-Q3 · question page 2313

ENT.OPS.07 · Handle the complications: changes and missed deadlines

A reminder fires, but the owner is traveling. What helps?

Answer: B. Early reminders and a named backup person

Plan for absence.

- ✗ A. Ignoring the reminder: missed
- ✗ C. Removing all reminders while traveling: worse
- ✗ D. Filing a year late: penalties

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F2-Q4 · question page 2314

ENT.OPS.07 · Handle the complications: changes and missed deadlines

A state changes its annual report due date. What should the owner do?

Answer: A. Update the calendar entry and source note

Keep current.

- ✗ B. Stop filing: harmful
- ✗ C. Keep the old date: wrong
- ✗ D. Assume nothing changed at all this year: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S110-F2-Q5 · question page 2315

ENT.OPS.07 · Handle the complications: changes and missed deadlines

Which statement is accurate?

Answer: A. One calendar with early reminders prevents many fees.

Plan early.

- ✗ B. Reminders on the due day are enough.: too late
- ✗ C. States never mark businesses inactive for missed reports.: they can

✗ D. Deadlines never change.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S111-M-Q1 · question page 2317

ENT.OPS.08 · Tell real government notices from look-alike paid offers

What is a paid solicitation in this context?

Answer: B. An offer designed to look official that charges a fee

Look-alike offer.

✗ A. A customer's payment: no
✗ C. A supplier invoice for goods the business received: real bill
✗ D. A real tax bill from the IRS: official

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-M-Q2 · question page 2318

ENT.OPS.08 · Tell real government notices from look-alike paid offers

What small print may reveal a solicitation?

Answer: D. "This is not a government agency"

Disclaimer.

✗ A. "Thank you for your order": unrelated
✗ B. "Printed on recycled paper stock": unrelated
✗ C. "Page 1 of 2": unrelated

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-M-Q3 · question page 2319

ENT.OPS.08 · Tell real government notices from look-alike paid offers

A letter charges 150 dollars to get an EIN. What should the owner know?

Answer: A. The IRS issues EINs for free

Free from IRS.

- ✗ B. The fee is required by law: false
- ✗ C. EINs always cost 150 dollars: false
- ✗ D. Only letters can issue EINs: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-M-Q4 · question page 2320

ENT.OPS.08 · Tell real government notices from look-alike paid offers

How should a notice be verified?

Answer: C. Through the official website or a number you find yourself

Independent verification.

- ✗ A. By guessing: unreliable
- ✗ B. By calling only the phone number printed on the letter: may be fake
- ✗ D. By replying with a check: risky

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-M-Q5 · question page 2321

ENT.OPS.08 · Tell real government notices from look-alike paid offers

Why not pay just because a letter looks urgent?

Answer: B. Urgency is a common pressure tactic

Pressure tactic.

- ✗ A. Urgent letters are always real: not true
- ✗ C. Paying fast lowers fees: not true
- ✗ D. Agencies require same-day payment: not generally

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-B1-Q1 · question page 2322

ENT.OPS.08 · A costume uniform

Does a uniform prove who someone is?

Answer: D. No

Appearance is not proof.

- ✗ A. Only at night: no
- ✗ B. Only if it is blue: no
- ✗ C. Yes, always: can be faked

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-B1-Q2 · question page 2323

ENT.OPS.08 · A costume uniform

A seal and serious font on a letter are like what?

Answer: A. A costume uniform

Look official only.

- ✗ B. A verified badge: not verified
- ✗ C. A signed receipt: no
- ✗ D. A bank statement: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-B1-Q3 · question page 2324

ENT.OPS.08 · A costume uniform

How would you check the person in uniform?

Answer: B. Call the station with a number you know

Independent check.

- ✗ A. Ask them only: not independent
- ✗ C. Trust the uniform you can clearly see: risky

✗ D. Ignore it: not checking

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-B1-Q4 · question page 2325

ENT.OPS.08 · A costume uniform

"FINAL NOTICE" in red proves what?

Answer: C. Nothing by itself

Wording is not proof.

✗ A. That you owe money: no
✗ B. That it is free: no
✗ D. That it is official: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-B1-Q5 · question page 2326

ENT.OPS.08 · A costume uniform

What is the lesson?

Answer: C. Check the source yourself

Verify.

✗ A. Pay quickly: no
✗ B. Ignore all mail forever: too far
✗ D. Trust fonts: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F1-Q1 · question page 2327

ENT.OPS.08 · Apply it: sort the mail

A letter titled "Annual Minutes Requirement" asks for 125 dollars, from "Business Compliance Services," with small print "not affiliated with any government agency." What is it?

Answer: D. A paid solicitation

Private offer.

- ✗ A. A customer order: no
- ✗ B. A tax refund: no
- ✗ C. An official state bill: disclaimer says not

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F1-Q2 · question page 2328

ENT.OPS.08 · Apply it: sort the mail

A letter says it is from the state and the annual report is due. What should the owner do?

Answer: A. Check the due date on the state's official website

Verify officially.

- ✗ B. Throw it away unread: may be real
- ✗ C. Call the number in the letter only: not independent
- ✗ D. Pay the letter's company directly without checking: risky

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F1-Q3 · question page 2329

ENT.OPS.08 · Apply it: sort the mail

The state fee is 20 dollars; a look-alike service charges 175 dollars to file the same report. How much more is the service?

Answer: D. 155 dollars

175 - 20 = 155.

- ✗ A. 175 dollars: service price
- ✗ B. 20 dollars: state fee
- ✗ C. 195 dollars: added

Arithmetic checked by code: yes. Sources: irs_ein

S111-F1-Q4 · question page 2330

ENT.OPS.08 · Apply it: sort the mail

Which sign most suggests a real IRS notice?

Answer: A. It can be confirmed through official IRS channels

Verifiable through official channels.

- ✗ B. It demands gift cards: scam
- ✗ C. It threatens arrest within an hour unless she pays: scam sign
- ✗ D. It uses lots of red ink: not proof

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F1-Q5 · question page 2331

ENT.OPS.08 · Apply it: sort the mail

A "trademark registry" letter offers to list the business name for 900 dollars. What should the owner check?

Answer: A. Whether it is an official office or a private listing service

Verify the source.

- ✗ B. Nothing; pay to protect the name: may be useless
- ✗ C. Only whether the 900-dollar fee must be paid by today: pressure
- ✗ D. Only the letter's paper quality: irrelevant

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F2-Q1 · question page 2332

ENT.OPS.08 · Handle the complications: already paid and mixed mail

An owner already paid a look-alike service. What should she do?

Answer: C. Check that the real filing was done; dispute the charge if needed

Confirm and act.

✗ A. Pay again to be safe: waste

✗ B. Ignore it: risk

✗ D. Assume everything is properly filed because she already paid: may not be

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F2-Q2 · question page 2333

ENT.OPS.08 · Handle the complications: already paid and mixed mail

A helper opens mail and pays "bills." What rule helps?

Answer: A. New payees need the owner's approval after checking

Approval step.

✗ B. Let suppliers decide: no

✗ C. Pay anything that looks official and urgent: risky

✗ D. Pay nothing ever: misses real bills

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F2-Q3 · question page 2334

ENT.OPS.08 · Handle the complications: already paid and mixed mail

A real tax notice arrives with a deadline. What should the owner not do?

Answer: C. Ignore it

Real notices need action.

✗ A. Read it carefully: good

✗ B. Ask a tax professional if unsure: good

✗ D. Verify it officially: good

Arithmetic checked by code: not applicable. Sources: irs_ein

S111-F2-Q4 · question page 2335

ENT.OPS.08 · Handle the complications: already paid and mixed mail

Five letters arrive: 2 are confirmed official, 3 are solicitations. What fraction are solicitations?

Answer: B. 3/5

3 of 5.

- ✗ A. 5/3: reversed
- ✗ C. 3/2: ratio
- ✗ D. 2/5: official

Arithmetic checked by code: yes. Sources: irs_ein

S111-F2-Q5 · question page 2336

ENT.OPS.08 · Handle the complications: already paid and mixed mail

Which statement is accurate?

Answer: B. Looking official is not proof, so verify independently.

Verify.

- ✗ A. Paying quickly is always safest.: not true
- ✗ C. All business mail is a scam.: not true
- ✗ D. All official-looking letters are real government mail.: not true

Arithmetic checked by code: not applicable. Sources: irs_ein

S112-M-Q1 · question page 2338

ENT.OPS.09 · Prepare recovery options and a short continuity plan

What are backup codes for two-step login?

Answer: C. One-time codes to sign in if the phone is lost

Recovery access.

- ✗ A. Discount codes for customers: unrelated
- ✗ B. Codes that turn off two-step security forever: not their purpose
- ✗ D. Codes for the office alarm: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-M-Q2 · question page 2339

ENT.OPS.09 · Prepare recovery options and a short continuity plan

What does a continuity plan cover?

Answer: D. Where key information is, who steps in, what customers hear

Keeping things running.

- ✗ A. Only the owner's vacation photos and her travel plans: irrelevant
- ✗ B. Only next year's marketing: irrelevant
- ✗ C. Only the business's logo design: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-M-Q3 · question page 2340

ENT.OPS.09 · Prepare recovery options and a short continuity plan

Where should backup codes be kept?

Answer: B. Somewhere safe and separate from the phone

Separate safe place.

- ✗ A. Emailed to customers: insecure
- ✗ C. On the same phone, and nowhere else: lost together
- ✗ D. Posted on social media: insecure

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-M-Q4 · question page 2341

ENT.OPS.09 · Prepare recovery options and a short continuity plan

Why test the plan once?

Answer: C. To find problems before a real emergency

Practice reveals gaps.

- ✗ A. Testing breaks accounts: no
- ✗ B. It is required daily: no
- ✗ D. Plans never need any testing at all: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-M-Q5 · question page 2342

ENT.OPS.09 · Prepare recovery options and a short continuity plan

What should be up to date for account recovery?

Answer: D. The recovery email and phone

Recovery contacts.

- ✗ A. The office plants: irrelevant
- ✗ B. The shop's holiday schedule: irrelevant
- ✗ C. The logo file: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-B1-Q1 · question page 2343

ENT.OPS.09 · A spare house key and a neighbor

Backup codes are like what?

Answer: A. A spare house key

Way back in.

- ✗ B. A broken door lock: no
- ✗ C. A new house: no
- ✗ D. A doorbell: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-B1-Q2 · question page 2344

ENT.OPS.09 · A spare house key and a neighbor

The note for the neighbor is like what?

Answer: D. A continuity plan

Instructions to keep things going.

- ✗ A. A bill: no
- ✗ B. A weekly grocery list: no
- ✗ C. A receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-B1-Q3 · question page 2345

ENT.OPS.09 · A spare house key and a neighbor

Who keeps the spare key?

Answer: D. A trusted neighbor

Trusted person.

- ✗ A. Nobody: no
- ✗ B. The mail carrier: no
- ✗ C. A stranger: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-B1-Q4 · question page 2346

ENT.OPS.09 · A spare house key and a neighbor

What can happen if you lose your own key?

Answer: D. You can still get in with the spare

Recovery.

- ✗ A. Rent doubles: no
- ✗ B. You can never get in: not with spare
- ✗ C. The house simply disappears overnight: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-B1-Q5 · question page 2347

ENT.OPS.09 · A spare house key and a neighbor

Why tell the neighbor which plants need water?

Answer: C. So they can help while you are away

Clear instructions.

- ✗ A. It is required: no
- ✗ B. To sell the plants while you are away: no
- ✗ D. To confuse them: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F1-Q1 · question page 2348

ENT.OPS.09 · Apply it: prepare for a lost phone

An owner's phone holds her two-step codes and is lost. Which preparation would have helped most?

Answer: B. Backup codes stored safely elsewhere

Recovery codes.

- ✗ A. A longer password on the lost phone only: not recovery
- ✗ C. More apps: irrelevant
- ✗ D. A new phone case: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F1-Q2 · question page 2349

ENT.OPS.09 · Apply it: prepare for a lost phone

A plan names a backup person for urgent orders. What should that person have?

Answer: B. Limited access and written steps for urgent tasks

Enough to help safely.

- ✗ A. Nothing at all: cannot help
- ✗ C. The owner's full bank login: too much
- ✗ D. Every password written on one sticky note: insecure

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F1-Q3 · question page 2350

ENT.OPS.09 · Apply it: prepare for a lost phone

The owner is sick for 5 days with 8 orders a day due. How many orders must be handled or delayed?

Answer: D. 40

5 x 8 = 40.

- ✗ A. 13: added
- ✗ B. 8: one day
- ✗ C. 5: days

Arithmetic checked by code: yes. Sources: none (stable)

S112-F1-Q4 · question page 2351

ENT.OPS.09 · Apply it: prepare for a lost phone

Which customer message fits a short delay?

Answer: A. "Orders this week will ship by Monday. Thank you for your patience."

Clear and honest.

- ✗ B. "We may or may not ship your order ever, sorry about that, bye.": alarming
- ✗ C. "Your order is your problem.": rude
- ✗ D. No message at all: silence

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F1-Q5 · question page 2352

ENT.OPS.09 · Apply it: prepare for a lost phone

A test login with backup codes fails. What should the owner do?

Answer: C. Generate new codes and store them correctly

Fix before needed.

- ✗ A. Ignore it until a real emergency happens: too late
- ✗ B. Turn off all security: unsafe
- ✗ D. Delete the account: overreaction

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F2-Q1 · question page 2353

ENT.OPS.09 · Handle the complications: hacked accounts and single points of failure

The business email is hacked and sending scams to customers. What is the first step?

Answer: B. Recover the account officially, then warn customers

Contain and inform.

- ✗ A. Wait for it to stop by itself: harm continues
- ✗ C. Create a new email address and never mention it: customers unaware
- ✗ D. Pay the hacker: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F2-Q2 · question page 2354

ENT.OPS.09 · Handle the complications: hacked accounts and single points of failure

Only the owner knows where key information is. What is the risk?

Answer: D. If she is unavailable, no one can keep things running

Document essentials.

✗ A. Lower taxes: no

✗ B. More privacy for the owner, always a good thing: not the issue

✗ C. No risk at all: single point of failure

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F2-Q3 · question page 2355

ENT.OPS.09 · Handle the complications: hacked accounts and single points of failure

A recovery email is an old address the owner no longer checks. What should she do?

Answer: C. Update it to a current address

Keep recovery current.

✗ A. Delete recovery options: worse

✗ B. Use a customer's email: no

✗ D. Leave it; it rarely matters: it matters in recovery

Arithmetic checked by code: not applicable. Sources: none (stable)

S112-F2-Q4 · question page 2356

ENT.OPS.09 · Handle the complications: hacked accounts and single points of failure

A continuity plan takes 1 hour to write and 30 minutes to test. How many minutes total?

Answer: B. 90 minutes

60 + 30 = 90.

✗ A. 30 minutes: testing only

✗ C. 130 minutes: misadded

✗ D. 60 minutes: writing only

Arithmetic checked by code: yes. Sources: none (stable)

S112-F2-Q5 · question page 2357

ENT.OPS.09 · Handle the complications: hacked accounts and single points of failure

Which statement is accurate?

Answer: C. Recovery options and a tested plan keep a business running.

Prepare.

- ✗ A. Small businesses never need plans.: they do
- ✗ B. Customers prefer silence during delays and problems.: not usually
- ✗ D. Backup codes can be stored on the same phone safely.: lost together

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-M-Q1 · question page 2359

ENT.RISK.01 · Match common insurance categories to risks and read limits and exclusions

A customer slips on a wet floor in the shop. Which category usually applies?

Answer: B. General liability

Injuries to others.

- ✗ A. Commercial auto coverage for vehicles: no vehicle
- ✗ C. Property coverage for the owner's equipment: not the owner's property
- ✗ D. Professional liability for advice mistakes: not an advice error

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-M-Q2 · question page 2360

ENT.RISK.01 · Match common insurance categories to risks and read limits and exclusions

A bookkeeper's error costs a client money. Which category usually applies?

Answer: D. Professional liability

Service mistakes.

- ✗ A. Commercial auto coverage for deliveries: no vehicle
- ✗ B. Property coverage for inventory: not property
- ✗ C. General liability for slips and falls: not an injury

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-M-Q3 · question page 2361

ENT.RISK.01 · Match common insurance categories to risks and read limits and exclusions

What is a deductible?

Answer: C. The amount you pay before the insurer pays

You pay first.

- ✗ A. The most the insurer will ever pay: that is a limit
- ✗ B. The yearly price of the policy itself: that is the premium
- ✗ D. A list of things the policy excludes: exclusions

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-M-Q4 · question page 2362

ENT.RISK.01 · Match common insurance categories to risks and read limits and exclusions

What are exclusions?

Answer: A. Situations the policy does not cover

Read them carefully.

- ✗ B. The insurer's office locations: no
- ✗ C. Extra benefits added for free each year: no
- ✗ D. Discounts for paying the premium early: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-M-Q5 · question page 2363

ENT.RISK.01 · Match common insurance categories to risks and read limits and exclusions

A claim is 5,000 dollars with a 1,000-dollar deductible. Within limits, about how much does the insurer pay?

Answer: C. 4,000 dollars

5,000 - 1,000 = 4,000.

- ✗ A. 6,000 dollars: added
- ✗ B. 5,000 dollars: ignores deductible
- ✗ D. 1,000 dollars: the deductible

Arithmetic checked by code: yes. Sources: none (stable)

S113-B1-Q1 · question page 2364

ENT.RISK.01 · An umbrella with holes in certain places

The size of the umbrella stands for what?

Answer: D. The policy limit

Maximum coverage.

- ✗ A. The premium price of the policy: no
- ✗ B. The deductible you pay first: no
- ✗ C. The insurer's name and logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-B1-Q2 · question page 2365

ENT.RISK.01 · An umbrella with holes in certain places

Getting a little wet before it opens is like what?

Answer: B. The deductible

You pay first.

- ✗ A. An exclusion in the policy: no
- ✗ C. A refund from the insurer: no
- ✗ D. The policy limit: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-B1-Q3 · question page 2366

ENT.RISK.01 · An umbrella with holes in certain places

Holes in known places are like what?

Answer: A. Exclusions

Not covered.

- ✗ B. Premiums paid monthly: no
- ✗ C. Extra coverage for free: no
- ✗ D. Discounts: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-B1-Q4 · question page 2367

ENT.RISK.01 · An umbrella with holes in certain places

When should you learn where the holes are?

Answer: B. Before the storm

Read first.

- ✗ A. Only after filing a claim: too late
- ✗ C. Never; holes do not matter: they do
- ✗ D. During the storm while getting soaked: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-B1-Q5 · question page 2368

ENT.RISK.01 · An umbrella with holes in certain places

Paying for the umbrella is like what?

Answer: C. The premium

The price of coverage.

- ✗ A. The deductible: no
- ✗ B. An exclusion: no

✗ D. A claim payment: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F1-Q1 · question page 2369

ENT.RISK.01 · Apply it: choose coverage for activities

A dog walker takes dogs to parks. Which coverage is most relevant to ask about?

Answer: D. Liability that covers dogs in her care

Match risk to activity.

- ✗ A. Only commercial auto for a truck she does not have: no truck
- ✗ B. No coverage, since dogs are friendly: risky
- ✗ C. Only property coverage for her phone: misses main risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F1-Q2 · question page 2370

ENT.RISK.01 · Apply it: choose coverage for activities

A policy has a 10,000-dollar limit. A covered claim is 14,000 dollars with a 500-dollar deductible. What might the owner pay?

Answer: C. 4,000 dollars

After the 500 deductible the insurer would owe 13,500 but pays at most 10,000; the owner pays 14,000 - 10,000 = 4,000.

- ✗ A. 14,000 dollars: all
- ✗ B. 4,500 dollars: added the deductible on top
- ✗ D. 500 dollars: deductible only

Arithmetic checked by code: yes. Sources: none (stable)

S113-F1-Q3 · question page 2371

ENT.RISK.01 · Apply it: choose coverage for activities

Policy A: 600 dollars a year, 2,000-dollar deductible. Policy B: 900 dollars a year, 500-dollar

deductible. Suppose one covered loss of 5,000 dollars happens this year, both limits are adequate, and there are no other costs. Which has the lower total cost to the owner that year?

Answer: B. B, at 1,400 dollars

A: 2,600; B: 1,400.

- ✗ A. A, at 2,600 dollars: A is higher
- ✗ C. A, at 600 dollars: ignores deductible
- ✗ D. They are equal: they differ

Arithmetic checked by code: yes. Sources: none (stable)

S113-F1-Q4 · question page 2372

ENT.RISK.01 · Apply it: choose coverage for activities

Policy A costs 600 dollars a year and Policy B costs 900 dollars a year. With no claim that year, which policy costs less?

Answer: A. A, at 600 dollars

Only premiums are paid.

- ✗ B. B, at 900 dollars: B is higher
- ✗ C. They are equal: differ
- ✗ D. B, at 500 dollars: deductible not paid

Arithmetic checked by code: yes. Sources: none (stable)

S113-F1-Q5 · question page 2373

ENT.RISK.01 · Apply it: choose coverage for activities

A baker's policy excludes food poisoning claims. What should she do?

Answer: D. Ask an agent about coverage for that risk

Fill the gap.

- ✗ A. Hide the exclusion from customers: irrelevant
- ✗ B. Stop reading exclusions: risky

✗ C. Assume it is covered anyway because she has a policy: excluded

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F2-Q1 · question page 2374

ENT.RISK.01 · Handle the complications: gaps and claims

An owner starts offering a new service not listed on her policy. What should she do?

Answer: B. Tell her agent and check whether it is covered

Coverage depends on activities.

- ✗ A. Hide the new service: risky
- ✗ C. Assume the old policy covers everything new: may not
- ✗ D. Cancel all insurance: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F2-Q2 · question page 2375

ENT.RISK.01 · Handle the complications: gaps and claims

A cheaper policy has many more exclusions. What should the owner compare?

Answer: A. What is actually covered, not only the price

Coverage matters.

- ✗ B. Only how fast the website loads: irrelevant
- ✗ C. Only the insurer's logo color: irrelevant
- ✗ D. Only the price, since cheaper is always better: misses gaps

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F2-Q3 · question page 2376

ENT.RISK.01 · Handle the complications: gaps and claims

A claim is denied because of an exclusion the owner never read. What lesson applies?

Answer: D. Read exclusions before you need the policy

Know the policy.

- ✗ A. Insurance never pays anything: not true
- ✗ B. Claims should never be filed: not true
- ✗ C. Exclusions are always unfair, so they can be ignored: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S113-F2-Q4 · question page 2377

ENT.RISK.01 · Handle the complications: gaps and claims

Premiums rose from 800 to 920 dollars. What is the percent increase?

Answer: C. 15 percent

120 / 800 = 0.15.

- ✗ A. 120 percent: dollar change
- ✗ B. 13 percent: used new price
- ✗ D. 8 percent: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S113-F2-Q5 · question page 2378

ENT.RISK.01 · Handle the complications: gaps and claims

Which statement is accurate?

Answer: B. Insurance covers specific risks within limits.

Fit matters.

- ✗ A. One policy covers every possible business risk at once.: not true
- ✗ C. Deductibles are paid by the insurer.: reversed
- ✗ D. Exclusions never matter.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-M-Q1 · question page 2380

ENT.RISK.02 · Recognize where personal and home policies stop covering business use

Does a homeowners policy always cover a home business?

Answer: B. Not necessarily; coverage may be limited or excluded

Check the policy.

- ✗ A. Yes, but only if the business is profitable: not the test
- ✗ C. No home policy can ever be changed: endorsements exist
- ✗ D. Yes, every home policy covers any business fully: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-M-Q2 · question page 2381

ENT.RISK.02 · Recognize where personal and home policies stop covering business use

Which risk is often excluded under a home policy?

Answer: D. Injuries to customers visiting for business

Business visitors may be excluded.

- ✗ A. Theft of the family's personal TV: usually covered
- ✗ B. Damage to the home from a covered fire: usually covered
- ✗ C. A broken window from a storm: usually covered

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-M-Q3 · question page 2382

ENT.RISK.02 · Recognize where personal and home policies stop covering business use

What may a personal auto policy not cover?

Answer: C. Driving for business deliveries

Business use may differ.

- ✗ A. Driving to a doctor visit: personal
- ✗ B. Driving to the grocery store: personal

✗ D. Driving to visit family: personal

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-M-Q4 · question page 2383

ENT.RISK.02 · Recognize where personal and home policies stop covering business use

What is an endorsement?

Answer: A. An add-on that changes a policy's coverage

Policy add-on.

✗ B. A signature on the business license: no
✗ C. A celebrity promoting the insurer: pun
✗ D. A tax deduction for premiums: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-M-Q5 · question page 2384

ENT.RISK.02 · Recognize where personal and home policies stop covering business use

What question should an owner ask the insurer?

Answer: D. "Does this policy cover my business activities?"

Ask directly.

✗ A. "Are all claims always paid instantly, every time?": not the key question
✗ B. "What color is your company logo?": irrelevant
✗ C. "Can I skip reading the policy?": risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-B1-Q1 · question page 2385

ENT.RISK.02 · A family car used as a taxi

Why might the car insurer refuse a taxi claim?

Answer: C. Business driving was not part of the policy

Different use.

- ✗ A. The car was red: irrelevant
- ✗ B. Passengers were too polite: irrelevant
- ✗ D. The trip was too short to count as driving: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-B1-Q2 · question page 2386

ENT.RISK.02 · A family car used as a taxi

What was the family policy priced for?

Answer: A. Personal trips like school runs

Personal use.

- ✗ B. Racing at a track: no
- ✗ C. Deliveries for a company all day: no
- ✗ D. All-day paid driving: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-B1-Q3 · question page 2387

ENT.RISK.02 · A family car used as a taxi

A home policy is like what in this picture?

Answer: B. The family car policy

Priced for personal life.

- ✗ A. A bus ticket: no
- ✗ C. A taxi company policy: no
- ✗ D. A racing license: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-B1-Q4 · question page 2388

ENT.RISK.02 · A family car used as a taxi

What could help the taxi driver?

Answer: D. A policy that covers business driving

Match coverage to use.

- ✗ A. Hiding the business use from the insurer: dishonest
- ✗ B. Driving faster: no
- ✗ C. A new car color: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-B1-Q5 · question page 2389

ENT.RISK.02 · A family car used as a taxi

What is the main lesson?

Answer: C. Personal policies may not cover business activities

Check business use.

- ✗ A. All policies are the same: no
- ✗ B. Business use is always covered by personal policies: no
- ✗ D. Insurance never pays: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F1-Q1 · question page 2390

ENT.RISK.02 · Apply it: check a home-business setup

A home baker stores 3,000 dollars of equipment. Her home policy covers business property up to 500 dollars. How much is uncovered?

Answer: D. 2,500 dollars

3,000 - 500 = 2,500.

- ✗ A. 3,500 dollars: added

✗ B. 500 dollars: covered part

✗ C. 3,000 dollars: all

Arithmetic checked by code: yes. Sources: none (stable)

S114-F1-Q2 · question page 2391

ENT.RISK.02 · Apply it: check a home-business setup

A tutor has students visit her home. What should she ask her insurer about?

Answer: C. Liability for business visitors

Visitors are a business risk.

✗ A. Only coverage for her personal jewelry: misses the risk

✗ B. Nothing, since students are young: risk remains

✗ D. Only coverage for her car stereo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F1-Q3 · question page 2392

ENT.RISK.02 · Apply it: check a home-business setup

A florist uses her personal car for weddings deliveries. What should she check?

Answer: B. Whether her auto policy covers business deliveries

Business driving may differ.

✗ A. Only the car's fuel economy: irrelevant

✗ C. Nothing, because cars are always covered for any use: not always

✗ D. Only the flowers' prices: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F1-Q4 · question page 2393

ENT.RISK.02 · Apply it: check a home-business setup

An endorsement costs 150 dollars a year and covers 5,000 dollars of business equipment. What is the cost per 1,000 dollars of coverage?

Answer: A. 30 dollars

150 / 5 = 30.

- ✗ B. 5 dollars: count
- ✗ C. 150 dollars: total
- ✗ D. 750 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S114-F1-Q5 · question page 2394

ENT.RISK.02 · Apply it: check a home-business setup

Which owner most needs to ask about coverage?

Answer: D. One with customers visiting and inventory at home

More exposure, more need.

- ✗ A. One with no business at all: none
- ✗ B. One who writes a blog for fun with no customers: no business risk
- ✗ C. One who only buys personal groceries: none

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F2-Q1 · question page 2395

ENT.RISK.02 · Handle the complications: assumptions and honesty

An owner does not tell her insurer about her home business, hoping to keep premiums low. What is the risk?

Answer: A. A business-related claim could be denied

Undisclosed use can void coverage.

- ✗ B. The business becomes an LLC: no
- ✗ C. No risk, because insurers never ask about business use: they can deny
- ✗ D. Premiums will drop to zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F2-Q2 · question page 2396

ENT.RISK.02 · Handle the complications: assumptions and honesty

A renter thinks her landlord's insurance covers her business inventory. What should she know?

Answer: B. The landlord's policy usually covers only the building

Tenants insure their own property.

- ✗ A. Inventory never needs insurance: risky
- ✗ C. Renters cannot get insurance: they can
- ✗ D. Landlords always insure their tenants' business inventory: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F2-Q3 · question page 2397

ENT.RISK.02 · Handle the complications: assumptions and honesty

A home business grows and now has a part-time helper working there. What should the owner review?

Answer: C. Whether her coverage still fits, including for workers

Changes require review.

- ✗ A. Only the helper's favorite snacks: irrelevant
- ✗ B. Only the logo design: irrelevant
- ✗ D. Nothing, because coverage never needs review once bought: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F2-Q4 · question page 2398

ENT.RISK.02 · Handle the complications: assumptions and honesty

A separate business policy costs 700 dollars; a home endorsement costs 200 but covers less. What should guide the choice?

Answer: D. Which risks each covers for her real activities

Fit to risk.

✗ A. Only which agent is friendlier: not enough

✗ B. Only the lowest price, whatever the coverage: may miss risks

✗ C. Only the policy's page count: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S114-F2-Q5 · question page 2399

ENT.RISK.02 · Handle the complications: assumptions and honesty

Which statement is accurate?

Answer: A. Personal policies may not cover business use unless confirmed.

Confirm coverage.

✗ B. Insurers never need to know about business use.: they do

✗ C. Personal auto always covers deliveries.: not always

✗ D. Home policies cover all home businesses automatically.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-M-Q1 · question page 2401

ENT.RISK.03 · Identify the core parts of a simple written agreement

Why put an agreement in writing?

Answer: B. It records what both sides promised

Shared record.

✗ A. It replaces the need to do the work: no

✗ C. It makes any promise automatically legal everywhere: overstated

✗ D. It hides the price from the customer: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-M-Q2 · question page 2402

ENT.RISK.03 · Identify the core parts of a simple written agreement

Which item belongs in a simple service agreement?

Answer: D. Who owns the finished work

Ownership matters.

- ✗ A. A list of competitors: irrelevant
- ✗ B. The owner's favorite color: irrelevant
- ✗ C. The customer's home décor style: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-M-Q3 · question page 2403

ENT.RISK.03 · Identify the core parts of a simple written agreement

What is "scope" in an agreement?

Answer: C. What will be delivered

The work included.

- ✗ A. The price per hour only: part of price
- ✗ B. The name of the business bank: irrelevant
- ✗ D. The length of the document: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-M-Q4 · question page 2404

ENT.RISK.03 · Identify the core parts of a simple written agreement

Who should review important or unusual agreements?

Answer: A. An attorney

Legal review.

- ✗ B. A graphic designer: not legal
- ✗ C. The customer's friend: not independent
- ✗ D. A social media follower: not qualified

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-M-Q5 · question page 2405

ENT.RISK.03 · Identify the core parts of a simple written agreement

What should be kept after signing?

Answer: B. A signed copy

Keep records.

- ✗ A. Nothing, once the work starts: needed later
- ✗ C. Only the first page: incomplete
- ✗ D. Only a photo of the pen: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-B1-Q1 · question page 2406

ENT.RISK.03 · A written plan for a group trip

Why write down the trip plan?

Answer: D. So everyone remembers the same thing

Shared memory.

- ✗ A. To make the trip longer: no
- ✗ B. Because notes are required by law: not the reason
- ✗ C. To avoid going: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-B1-Q2 · question page 2407

ENT.RISK.03 · A written plan for a group trip

"Who pays for what" is like which part of an agreement?

Answer: C. Price and payment terms

Money terms.

✗ A. The parties' names: no

✗ B. Ownership of the work: no

✗ D. Scope of work: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-B1-Q3 · question page 2408

ENT.RISK.03 · A written plan for a group trip

"What happens if someone cancels" is like which part?

Answer: D. Cancellation and refunds

Changes in plans.

✗ A. Timeline: no

✗ B. Ownership of the work: no

✗ C. Scope: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-B1-Q4 · question page 2409

ENT.RISK.03 · A written plan for a group trip

"How to decide if they disagree" is like which part?

Answer: C. Handling disagreements

Dispute process.

✗ A. Parties: no

✗ B. Scope: no

✗ D. Payment terms and dates: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-B1-Q5 · question page 2410

ENT.RISK.03 · A written plan for a group trip

"Who is coming" is like which part?

Answer: B. The parties

Who is involved.

- ✗ A. The deadline: no
- ✗ C. The deliverables: no
- ✗ D. The price: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F1-Q1 · question page 2411

ENT.RISK.03 · Apply it: find gaps in a draft agreement

A web design agreement lists price and timeline but not what happens if the client cancels halfway. What should be added?

Answer: A. Cancellation and refund terms

Cover changes.

- ✗ B. The designer's hobbies: irrelevant
- ✗ C. More pictures of websites: irrelevant
- ✗ D. A longer company history: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F1-Q2 · question page 2412

ENT.RISK.03 · Apply it: find gaps in a draft agreement

Which clause best describes scope?

Answer: B. "Design 5 pages: Home, About, Services, Gallery, Contact."

Specific deliverables.

- ✗ A. "Web stuff.": vague
- ✗ C. "Do whatever is needed on the website forever, for one price.": unlimited
- ✗ D. "Make a nice website.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F1-Q3 · question page 2413

ENT.RISK.03 · Apply it: find gaps in a draft agreement

The agreement says 2,400 dollars, half due at signing. How much is due at signing?

Answer: A. 1,200 dollars

2,400 / 2 = 1,200.

- ✗ B. 1,000 dollars: guessed
- ✗ C. 2,400 dollars: all
- ✗ D. 600 dollars: quarter

Arithmetic checked by code: yes. Sources: none (stable)

S115-F1-Q4 · question page 2414

ENT.RISK.03 · Apply it: find gaps in a draft agreement

The draft says nothing about who owns the final logo files. What risk does this create?

Answer: B. A later dispute about who may use the files

Clarify ownership.

- ✗ A. No risk; ownership is always obvious: not always
- ✗ C. The logo will look worse: irrelevant
- ✗ D. The price automatically doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F1-Q5 · question page 2415

ENT.RISK.03 · Apply it: find gaps in a draft agreement

Which agreement most needs attorney review?

Answer: D. A 3-year exclusive supply deal with large penalties

High stakes.

✗ A. A thank-you card: not a contract

✗ B. A note confirming a coffee meeting: not a contract

✗ C. A one-time 40-dollar flyer design for a yard sale: low stakes

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F2-Q1 · question page 2416

ENT.RISK.03 · Handle the complications: verbal changes and templates

A client verbally adds two pages after signing. What should happen?

Answer: B. Put the change in writing with any new price and date

Written changes.

✗ A. Do it free and say nothing: scope creep

✗ C. Refuse to discuss changes ever: inflexible

✗ D. Change the original contract without telling the client: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F2-Q2 · question page 2417

ENT.RISK.03 · Handle the complications: verbal changes and templates

A template from another country uses legal terms the owner does not understand. What should she do?

Answer: D. Adapt it to her situation and get it reviewed

Fit and review.

✗ A. Add more confusing terms: worse

✗ B. Never use written agreements again for any job: risky

✗ C. Sign it as is: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F2-Q3 · question page 2418

ENT.RISK.03 · Handle the complications: verbal changes and templates

Both parties signed different versions. What problem arises?

Answer: C. It is unclear which terms apply

Use one final version.

- ✗ A. The work is finished automatically: no
- ✗ B. The price becomes zero: no
- ✗ D. None; both are valid: conflict

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F2-Q4 · question page 2419

ENT.RISK.03 · Handle the complications: verbal changes and templates

An agreement has no plan for disagreements. A dispute arises. What would have helped?

Answer: C. A clause on how disputes are handled

Dispute process.

- ✗ A. A longer deadline: not a process
- ✗ B. More signatures on the last page: not a process
- ✗ D. A bigger font: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S115-F2-Q5 · question page 2420

ENT.RISK.03 · Handle the complications: verbal changes and templates

Which statement is accurate?

Answer: B. Clear written agreements prevent many misunderstandings.

Write it down.

- ✗ A. Written agreements cause most disputes.: not true
- ✗ C. Verbal promises are always enough.: risky
- ✗ D. Online templates fit every situation without changes.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-M-Q1 · question page 2422

ENT.RISK.04 · Keep signed documents and handle customer information carefully

What customer information should be collected?

Answer: A. Only what the business needs

Data minimization.

- ✗ B. Customers' full card numbers in a notebook: never
- ✗ C. Everything possible, just in case: excess
- ✗ D. Customers' passwords to other sites: never

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-M-Q2 · question page 2423

ENT.RISK.04 · Keep signed documents and handle customer information carefully

Who should store full card numbers?

Answer: D. The payment processor

Let processors handle cards.

- ✗ A. A shared email folder: risky
- ✗ B. The owner in a spreadsheet: risky
- ✗ C. A helper in a notebook: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-M-Q3 · question page 2424

ENT.RISK.04 · Keep signed documents and handle customer information carefully

What should happen to data no longer needed?

Answer: C. Delete it safely

Reduce risk.

✗ A. Sell it to anyone: improper

✗ B. Post it online for safekeeping: harmful

✗ D. Keep it forever in a public folder: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-M-Q4 · question page 2425

ENT.RISK.04 · Keep signed documents and handle customer information carefully

If a business promises privacy in its policy, what must it do?

Answer: D. Keep that promise

Promises bind.

✗ A. Remove the policy without notice: improper

✗ B. Change it secretly: deceptive

✗ C. Ignore it when convenient: deceptive

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-M-Q5 · question page 2426

ENT.RISK.04 · Keep signed documents and handle customer information carefully

Why keep a backup of signed documents?

Answer: B. So they are not lost if the original is damaged

Protection.

✗ A. To change their terms later without asking: no

✗ C. Because originals are illegal: no

✗ D. To share them publicly: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-B1-Q1 · question page 2427

ENT.RISK.04 · Holding a friend's spare key

Customer information is like what?

Answer: A. A friend's spare key you were trusted with

Held in trust.

- ✗ B. Public information for anyone: no
- ✗ C. Your own property to sell to others: no
- ✗ D. Trash to throw anywhere: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-B1-Q2 · question page 2428

ENT.RISK.04 · Holding a friend's spare key

What do you do with the key?

Answer: C. Keep it safe

Protect it.

- ✗ A. Copy it for everyone: no
- ✗ B. Leave it in the door: no
- ✗ D. Lend it to strangers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-B1-Q3 · question page 2429

ENT.RISK.04 · Holding a friend's spare key

When do you give the key back?

Answer: D. When you no longer need it

Let go of unneeded data.

- ✗ A. Only if the friend asks twice: no
- ✗ B. Never: no
- ✗ C. When you lose it: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-B1-Q4 · question page 2430

ENT.RISK.04 · Holding a friend's spare key

Taking only the key you need is like what?

Answer: C. Collecting only needed data

Minimization.

- ✗ A. Selling data: no
- ✗ B. Posting data: no
- ✗ D. Collecting everything possible: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-B1-Q5 · question page 2431

ENT.RISK.04 · Holding a friend's spare key

Why do you protect the key?

Answer: B. Your friend trusted you with it

Trust.

- ✗ A. Keys are rare: no
- ✗ C. It is shiny: no
- ✗ D. The law says keys are gold: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F1-Q1 · question page 2432

ENT.RISK.04 · Apply it: review data habits

A shop writes customer card numbers on order slips "for refunds." What should change?

Answer: A. Stop writing card numbers; refund through the processor

Never store card numbers yourself.

✗ B. Email them to staff: worse

✗ C. Keep them in a locked drawer forever, just in case: still risky

✗ D. Write them more neatly: still risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F1-Q2 · question page 2433

ENT.RISK.04 · Apply it: review data habits

An order form asks for birthday, income and favorite color for a candle purchase. What should change?

Answer: C. Remove questions the business does not need

Collect only what is needed.

✗ A. Make all of the questions required to order: worse

✗ B. Sell the answers: improper

✗ D. Add more questions: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F1-Q3 · question page 2434

ENT.RISK.04 · Apply it: review data habits

A signed waiver is needed for a climbing class. Where should it be kept?

Answer: B. In an organized file with a backup

Organized and backed up.

✗ A. Thrown away after class: lost proof

✗ C. In the instructor's car glove box: risky

✗ D. Posted on social media: privacy

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F1-Q4 · question page 2435

ENT.RISK.04 · Apply it: review data habits

A list of 200 customers is left on a café table. What is the problem?

Answer: D. Customer information could be seen by strangers

Protect data.

- ✗ A. Coffee will spill: not the main issue
- ✗ B. The list will get longer: irrelevant
- ✗ C. Nothing, because customer lists are public anyway: not public

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F1-Q5 · question page 2436

ENT.RISK.04 · Apply it: review data habits

An old customer list has 400 people, of whom 150 have not bought in 6 years and are no longer needed. How many records remain if those are deleted?

Answer: C. 250

400 - 150 = 250.

- ✗ A. 400: none deleted
- ✗ B. 550: added
- ✗ D. 150: deleted

Arithmetic checked by code: yes. Sources: none (stable)

S116-F2-Q1 · question page 2437

ENT.RISK.04 · Handle the complications: special data and mistakes

A fitness coach collects clients' health conditions. What should she check?

Answer: C. Whether special rules apply to that kind of data

Sensitive data.

- ✗ A. Only her logo: irrelevant
- ✗ B. Only her prices: irrelevant
- ✗ D. Nothing, because health data has no special rules: may have rules

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F2-Q2 · question page 2438

ENT.RISK.04 · Handle the complications: special data and mistakes

A helper emails the customer list to the wrong person. What should the owner do?

Answer: D. Ask for deletion, review what was shared, follow notice rules

Respond responsibly.

- ✗ A. Ignore it: risky
- ✗ B. Blame the customers: unfair
- ✗ C. Send the list to more people so it seems normal and routine: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F2-Q3 · question page 2439

ENT.RISK.04 · Handle the complications: special data and mistakes

A privacy policy says "we never share your data," but the owner plans to share emails with a partner. What should she do?

Answer: B. Not share without updating the policy and getting consent

Keep promises.

- ✗ A. Share secretly: deceptive
- ✗ C. Share anyway: breaks promise
- ✗ D. Delete the privacy policy quietly first, then share: deceptive

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F2-Q4 · question page 2440

ENT.RISK.04 · Handle the complications: special data and mistakes

A signed contract cannot be found during a dispute. What habit would have helped?

Answer: A. Filing signed documents with a backup

Records matter.

- ✗ B. Remembering the terms: unreliable
- ✗ C. Writing a new contract now: not the original
- ✗ D. Asking the client to remember the terms: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S116-F2-Q5 · question page 2441

ENT.RISK.04 · Handle the complications: special data and mistakes

Which statement is accurate?

Answer: B. Collect only needed data, protect it and keep signed copies.

Care and minimization.

- ✗ A. More customer data is always better.: more risk
- ✗ C. Privacy promises can be ignored later if plans change.: not true
- ✗ D. Card numbers are safe in spreadsheets.: not safe

Arithmetic checked by code: not applicable. Sources: none (stable)

S117-M-Q1 · question page 2443

ENT.RISK.05 · Get permission or a license for images, music, code and names

Is "I found it on Google" permission to use a photo?

Answer: D. No

Finding is not permission.

- ✗ A. Yes, anything online is free to use: not true
- ✗ B. Yes, for businesses only: not true
- ✗ C. Yes, if the photo is small: not true

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-M-Q2 · question page 2444

ENT.RISK.05 · Get permission or a license for images, music, code and names

What is a license?

Answer: D. Written terms that say how something may be used

Terms of use.

- ✗ A. A driver's permit for driving the delivery vans: different meaning
- ✗ B. A logo design file: no
- ✗ C. A business tax ID number: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-M-Q3 · question page 2445

ENT.RISK.05 · Get permission or a license for images, music, code and names

A license allows "personal use only." Can a business use it in ads?

Answer: A. Not under that license

Follow terms.

- ✗ B. Yes, ads are personal: no
- ✗ C. Yes, if the ad is short: no
- ✗ D. Yes, with a smaller image: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-M-Q4 · question page 2446

ENT.RISK.05 · Get permission or a license for images, music, code and names

Does registering a DBA give trademark rights?

Answer: B. No, they are separate

Separate processes.

- ✗ A. Yes, for domains too: no
- ✗ C. Yes, nationwide automatically: no

✗ D. Yes, but only for logos: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-M-Q5 · question page 2447

ENT.RISK.05 · Get permission or a license for images, music, code and names

Which use of another business's logo is risky?

Answer: D. Using it so customers think you are connected

Confusion risk.

✗ A. Not using it at all: safe
✗ B. Designing your own different logo: safe
✗ C. Referring to it in a short factual review: generally different

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-B1-Q1 · question page 2448

ENT.RISK.05 · Borrowing a neighbor's ladder

Seeing the ladder means what?

Answer: A. Nothing about permission

Visibility is not permission.

✗ B. It is free: no
✗ C. You may take it: no
✗ D. The neighbor gave it away: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-B1-Q2 · question page 2449

ENT.RISK.05 · Borrowing a neighbor's ladder

A license is like what?

Answer: A. The neighbor's "yes" with rules

Permission with terms.

- ✗ B. Buying a new house: no
- ✗ C. Taking the ladder quietly at night: no
- ✗ D. A broken ladder: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-B1-Q3 · question page 2450

ENT.RISK.05 · Borrowing a neighbor's ladder

Online photos are like what?

Answer: C. The neighbor's ladder

Owned by someone.

- ✗ A. Your own ladder: no
- ✗ B. Trash on the street: no
- ✗ D. Free public air: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-B1-Q4 · question page 2451

ENT.RISK.05 · Borrowing a neighbor's ladder

What should you do before using something?

Answer: D. Ask or check the license

Get permission.

- ✗ A. Just take it quietly: no
- ✗ B. Change the color: still theirs
- ✗ C. Hide it: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-B1-Q5 · question page 2452

ENT.RISK.05 · Borrowing a neighbor's ladder

Agreeing when to return the ladder is like what?

Answer: B. License terms

Conditions of use.

- ✗ A. A refund policy: no
- ✗ C. A logo: no
- ✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-F1-Q1 · question page 2453

ENT.RISK.05 · Apply it: check rights before using material

An owner wants a popular song in a promotional video. What should she do?

Answer: A. Get a license or use music that allows commercial use

License first.

- ✗ B. Use it because the clip is short: still needs rights
- ✗ C. Use it on one platform only: still needs rights
- ✗ D. Use it and credit the artist in the caption only: credit is not permission

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-F1-Q2 · question page 2454

ENT.RISK.05 · Apply it: check rights before using material

A stock photo site license allows commercial use with credit. What must the owner do?

Answer: C. Give the required credit

Follow terms.

- ✗ A. Nothing at all: credit required
- ✗ B. Remove the watermark and skip credit: violates

✗ D. Pay the photographer twice: not required

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

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S117-F1-Q3 · question page 2455

ENT.RISK.05 · Apply it: check rights before using material

A developer copies code from a website into the store's app. What should be checked?

Answer: A. The code's license terms

Code is licensed too.

✗ B. Only how long the code is: irrelevant
✗ C. Nothing; code online is always free: not true
✗ D. Only the font: irrelevant

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

---

S117-F1-Q4 · question page 2456

ENT.RISK.05 · Apply it: check rights before using material

Licensing 4 photos at 12 dollars each costs how much?

Answer: D. 48 dollars

4 x 12 = 48.

✗ A. 3 dollars: divided
✗ B. 16 dollars: added
✗ C. 12 dollars: one

Arithmetic checked by code: yes. Sources: uspto_name; copyright_fairuse

---

S117-F1-Q5 · question page 2457

ENT.RISK.05 · Apply it: check rights before using material

An owner names her coffee shop very similar to a famous chain. What risk does this create?

Answer: B. Customer confusion and a trademark dispute

Avoid confusing names.

- ✗ A. Lower rent: irrelevant
- ✗ C. Automatic free advertising: risky
- ✗ D. No risk if her state approved the name: not trademark rights

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

---

S117-F2-Q1 · question page 2458

ENT.RISK.05 · Handle the complications: unclear rights and takedowns

A photographer asks a shop to remove her photo it used without a license. What should the shop do?

Answer: C. Remove it promptly and resolve it fairly

Respond respectfully.

- ✗ A. Post it more widely: worse
- ✗ B. Argue that it was online, so anyone may use it: not permission
- ✗ D. Ignore the request: escalates

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

---

S117-F2-Q2 · question page 2459

ENT.RISK.05 · Handle the complications: unclear rights and takedowns

A designer gives the owner a logo but the contract does not say who owns it. What should she get?

Answer: A. A written transfer or license of the logo rights

Clarify rights.

- ✗ B. A new color: irrelevant
- ✗ C. A bigger file size: irrelevant
- ✗ D. Nothing; paying means owning automatically: not always

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

S117-F2-Q3 · question page 2460

ENT.RISK.05 · Handle the complications: unclear rights and takedowns

A free image site says images are free for commercial use but some show recognizable people. What should the owner consider?

Answer: A. Whether the people agreed to commercial use of their image

People have rights too.

- ✗ B. Only the image color: irrelevant
- ✗ C. Nothing, because free means anything goes for any use: not always
- ✗ D. Only the image size: irrelevant

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

S117-F2-Q4 · question page 2461

ENT.RISK.05 · Handle the complications: unclear rights and takedowns

An AI tool generates an image very similar to a famous character. What is the concern?

Answer: D. It may still infringe someone's rights

Check similarity risks.

- ✗ A. AI images are always free of rights issues: not guaranteed
- ✗ B. Characters cannot be owned: they can
- ✗ C. Similar is always fine: not always

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

S117-F2-Q5 · question page 2462

ENT.RISK.05 · Handle the complications: unclear rights and takedowns

Which statement is accurate?

Answer: B. Use others' work only with a valid legal basis, such as a license.

A valid basis is your own work, permission or a license, the public domain, or a

legal exception such as fair use, decided case by case. Credit alone is not one.

- ✗ A. A DBA filing gives the business trademark rights.: not true
- ✗ C. Giving credit always replaces asking for permission.: not true
- ✗ D. Anything visible online is free for any business to use.: not true

Arithmetic checked by code: not applicable. Sources: uspto_name; copyright_fairuse

---

S118-M-Q1 · question page 2464

ENT.RISK.06 · Keep ad claims truthful and handle complaints well

Which claim is misleading?

Answer: C. "Only 2 left!" when there are 200

Fake urgency.

- ✗ A. "Handmade in Ohio" when it is: true
- ✗ B. "Ships in 3 days" when that is the usual time: true
- ✗ D. "From 20 dollars" when 20-dollar items exist: true

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-M-Q2 · question page 2465

ENT.RISK.06 · Keep ad claims truthful and handle complaints well

When must a claim be supported?

Answer: A. Before it is made

Proof first.

- ✗ B. Only after a complaint: too late
- ✗ C. Never: must be
- ✗ D. Only if the ad is large: all ads

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-M-Q3 · question page 2466

ENT.RISK.06 · Keep ad claims truthful and handle complaints well

What should a business do when a customer complains?

Answer: D. Respond quickly and calmly and find out what happened

Calm response.

- ✗ A. Argue publicly with the customer to defend the shop: harmful
- ✗ B. Delete all records: harmful
- ✗ C. Ignore it until it goes away: harmful

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-M-Q4 · question page 2467

ENT.RISK.06 · Keep ad claims truthful and handle complaints well

Why keep a record of complaints?

Answer: A. They show where to improve

Learning.

- ✗ B. To blame customers: no
- ✗ C. To post them as ads: no
- ✗ D. Because records lower taxes: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-M-Q5 · question page 2468

ENT.RISK.06 · Keep ad claims truthful and handle complaints well

A shop advertises "cheaper than Big Mart" without checking prices. What is the problem?

Answer: D. The comparison may be false

Check comparisons.

- ✗ A. Big Mart must prove it: no
- ✗ B. Comparisons need no checking: they do

✗ C. It is always true: unknown

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-B1-Q1 · question page 2469

ENT.RISK.06 · A promise on a sign

An ad is like what?

Answer: C. A promise on a sign

Public promise.

✗ A. A secret note: no
✗ B. A tax form: no
✗ D. A weekly grocery list: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-B1-Q2 · question page 2470

ENT.RISK.06 · A promise on a sign

Why do customers feel tricked by powdered mix?

Answer: B. The sign promised fresh juice

Broken promise.

✗ A. Powder is illegal: no
✗ C. Lemonade is always bad: no
✗ D. The price was much too low: it was higher

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-B1-Q3 · question page 2471

ENT.RISK.06 · A promise on a sign

If the sign says 1 dollar but they charge 2, what is wrong?

Answer: A. The price claim was false

False price.

- ✗ B. The cups were small: not the point
- ✗ C. The weather changed that day: no
- ✗ D. Nothing is wrong: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-B1-Q4 · question page 2472

ENT.RISK.06 · A promise on a sign

Listening to a complaint is like what?

Answer: D. Checking whether the lemonade matched the sign

Find what happened.

- ✗ A. Painting the stand: no
- ✗ B. Closing early: no
- ✗ C. Making a bigger batch of lemonade for the next day: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-B1-Q5 · question page 2473

ENT.RISK.06 · A promise on a sign

What should the sign always do?

Answer: C. Tell the truth about the product

Truthful claims.

- ✗ A. Promise everything customers want: no
- ✗ B. Exaggerate: no
- ✗ D. Hide prices: no

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-F1-Q1 · question page 2474

ENT.RISK.06 · Apply it: fix ads and respond to complaints

An ad says "Eco-friendly packaging," but only the box is recyclable; the filler is plastic. What should change?

Answer: A. State exactly what is recyclable

Specific, accurate claims.

- ✗ B. Add "very" to the eco-friendly claim: worse
- ✗ C. Remove the box: not the issue
- ✗ D. Keep the broad claim: misleading

Arithmetic checked by code: not applicable. Sources: ftc_reviews

---

S118-F1-Q2 · question page 2475

ENT.RISK.06 · Apply it: fix ads and respond to complaints

A sale ad says "Prices from 10 dollars," but no item is under 25 dollars. What should the owner do?

Answer: D. Change the ad to the real starting price

True prices.

- ✗ A. Add one 10-dollar item no one can buy: bait
- ✗ B. Hide the prices: misleading
- ✗ C. Keep it to attract clicks: misleading

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F1-Q3 · question page 2476

ENT.RISK.06 · Apply it: fix ads and respond to complaints

A complaint says a mug arrived broken. Which reply is best?

Answer: D. "Sorry it arrived broken. Could you send a photo? We will replace it."

Calm and helpful.

✗ A. "Not our problem.": dismissive

✗ B. No reply: harmful

✗ C. "You must have broken it yourself after it arrived, not us.": accusatory

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F1-Q4 · question page 2477

ENT.RISK.06 · Apply it: fix ads and respond to complaints

In a month, 6 of 300 orders bring complaints about late shipping. What percent is that?

Answer: B. 2 percent

6 / 300 = 0.02.

✗ A. 0.2 percent: moved decimal

✗ C. 50 percent: misdivided

✗ D. 6 percent: count

Arithmetic checked by code: yes. Sources: ftc_reviews

S118-F1-Q5 · question page 2478

ENT.RISK.06 · Apply it: fix ads and respond to complaints

Most complaints mention slow replies. What should the owner improve first?

Answer: C. Response time to messages

Address the pattern.

✗ A. Ad budget: unrelated

✗ B. Product colors and sizes: unrelated

✗ D. The logo: unrelated

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F2-Q1 · question page 2479

ENT.RISK.06 · Handle the complications: unfair complaints and claims pressure

A customer posts an angry complaint that is partly wrong. What is the best response?

Answer: B. Reply calmly with facts; offer to resolve it privately

Professional response.

- ✗ A. Insult the customer publicly: harmful
- ✗ C. Threaten legal action immediately in a public reply: escalates
- ✗ D. Post the customer's address: harmful

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F2-Q2 · question page 2480

ENT.RISK.06 · Handle the complications: unfair complaints and claims pressure

A supplier says its cream "removes wrinkles in 3 days" and offers no proof. What should the reseller do?

Answer: A. Not repeat the claim without support

Resellers need support too.

- ✗ B. Add a celebrity photo: misleading
- ✗ C. Repeat it since the supplier said it: still responsible
- ✗ D. Make the claim stronger: worse

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F2-Q3 · question page 2481

ENT.RISK.06 · Handle the complications: unfair complaints and claims pressure

A countdown timer resets every time the page loads. What is the problem?

Answer: D. It creates fake urgency

False urgency.

- ✗ A. None; timers are always fine: misleading
- ✗ B. It is too slow: not the issue
- ✗ C. It is too colorful: irrelevant

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S118-F2-Q4 · question page 2482

ENT.RISK.06 · Handle the complications: unfair complaints and claims pressure

A business resolves 45 of 50 complaints within 2 days. What percent is that?

Answer: C. 90 percent

45 / 50 = 0.9.

- ✗ A. 45 percent: count
- ✗ B. 5 percent: unresolved count
- ✗ D. 10 percent: unresolved rate

Arithmetic checked by code: yes. Sources: ftc_reviews

S118-F2-Q5 · question page 2483

ENT.RISK.06 · Handle the complications: unfair complaints and claims pressure

Which statement is accurate?

Answer: D. Ads must be truthful, and complaints help fix problems.

Honesty and service.

- ✗ A. Complaints should be ignored.: harmful
- ✗ B. Exaggeration is always allowed in ads for small shops.: misleading
- ✗ C. Fake urgency is a harmless tactic.: misleading

Arithmetic checked by code: not applicable. Sources: ftc_reviews

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S119-M-Q1 · question page 2485

ENT.HELP.01 · Compare the cost of help with the value of your own time and risk

Earning 50 dollars an hour, an owner can pay a 35-dollar bookkeeper. What is the difference per hour?

Answer: C. 15 dollars

50 - 35 = 15.

- ✗ A. 85 dollars: added
- ✗ B. 50 dollars: owner rate
- ✗ D. 35 dollars: bookkeeper rate

Arithmetic checked by code: yes. Sources: none (stable)

S119-M-Q2 · question page 2486

ENT.HELP.01 · Compare the cost of help with the value of your own time and risk

Which task is a good candidate for help?

Answer: A. A complex task the owner does slowly

Complex, slow or risky.

- ✗ B. The owner's core skill that customers pay for: keep
- ✗ C. A task that takes one minute a month: low value
- ✗ D. A simple task central to the business: keep

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-M-Q3 · question page 2487

ENT.HELP.01 · Compare the cost of help with the value of your own time and risk

What should be compared before hiring help?

Answer: C. Cost of help versus value of the owner's time and risk

Weigh the tradeoff.

- ✗ A. Only the color of the helper's website: irrelevant
- ✗ B. Nothing, since owners should always do everything themselves: misses value
- ✗ D. Only the helper's favorite tools: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-M-Q4 · question page 2488

ENT.HELP.01 · Compare the cost of help with the value of your own time and risk

How can an owner start getting help?

Answer: A. Small, such as a few hours a month

Start small.

- ✗ B. By signing a long contract without testing: risky
- ✗ C. By hiring ten full-time staff at once: too big
- ✗ D. By never trying: no help

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-M-Q5 · question page 2489

ENT.HELP.01 · Compare the cost of help with the value of your own time and risk

Why might doing everything yourself cost more than it saves?

Answer: D. Mistakes and lost time can cost more than help

Hidden costs.

- ✗ A. Doing things yourself is always free of any cost: time has value
- ✗ B. Owners never make mistakes: not true
- ✗ C. Help is always more expensive: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-B1-Q1 · question page 2490

ENT.HELP.01 · Comparing hourly values

You earn 60 dollars an hour; help costs 30. What is the net gain per freed hour?

Answer: B. 30 dollars

60 - 30 = 30.

✗ A. 2 dollars: divided

✗ C. 90 dollars: added

✗ D. 60 dollars: your rate

Arithmetic checked by code: yes. Sources: none (stable)

S119-B1-Q2 · question page 2491

ENT.HELP.01 · Comparing hourly values

Net gain 20 dollars per hour for 5 hours. What is the total gain?

Answer: D. 100 dollars

20 x 5 = 100.

✗ A. 20 dollars: one hour

✗ B. 4 dollars: divided

✗ C. 25 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S119-B1-Q3 · question page 2492

ENT.HELP.01 · Comparing hourly values

You earn 25 dollars an hour; help costs 35. What is the net per hour?

Answer: B. A loss of 10 dollars

25 - 35 = -10.

✗ A. A gain of 10 dollars: sign

✗ C. A gain of 60 dollars: added

✗ D. No difference: differs

Arithmetic checked by code: yes. Sources: none (stable)

S119-B1-Q4 · question page 2493

ENT.HELP.01 · Comparing hourly values

If the freed hour is not used for paid work, what happens to the gain?

Answer: C. It is smaller or zero

Gain depends on use.

- ✗ A. It becomes a tax: no
- ✗ B. It doubles: no
- ✗ D. It stays exactly the same: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-B1-Q5 · question page 2494

ENT.HELP.01 · Comparing hourly values

Help costs 30 an hour for 4 hours. What is the total cost?

Answer: A. 120 dollars

30 x 4 = 120.

- ✗ B. 34 dollars: added
- ✗ C. 7.50 dollars: divided
- ✗ D. 30 dollars: one hour

Arithmetic checked by code: yes. Sources: none (stable)

S119-F1-Q1 · question page 2495

ENT.HELP.01 · Apply it: decide what to hand off

A photographer spends 8 hours a month on bookkeeping and earns 60 dollars an hour shooting. A bookkeeper does it in 3 hours at 40 dollars. What does the bookkeeper cost?

Answer: D. 120 dollars

3 x 40 = 120.

- ✗ A. 43 dollars: added
- ✗ B. 320 dollars: used 8 hours
- ✗ C. 480 dollars: owner value

Arithmetic checked by code: yes. Sources: none (stable)

S119-F1-Q2 · question page 2496

ENT.HELP.01 · Apply it: decide what to hand off

A photographer who earns 60 dollars an hour shooting frees 8 hours a month by handing off bookkeeping. If she fills those hours with shoots, what does she earn in that time?

Answer: A. 480 dollars

8 x 60 = 480.

- ✗ B. 360 dollars: 6 hours
- ✗ C. 120 dollars: cost
- ✗ D. 68 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S119-F1-Q3 · question page 2497

ENT.HELP.01 · Apply it: decide what to hand off

A bookkeeper takes over 8 hours a month of bookkeeping for 120 dollars (3 hours at 40 dollars). The photographer fills the freed 8 hours with shoots at 60 dollars an hour. What is her net gain from handing off bookkeeping?

Answer: D. 360 dollars

480 - 120 = 360.

- ✗ A. 120 dollars: cost
- ✗ B. 480 dollars: ignores cost
- ✗ C. 600 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S119-F1-Q4 · question page 2498

ENT.HELP.01 · Apply it: decide what to hand off

Which task should the photographer most likely keep?

Answer: C. Taking the photos clients hire her for

Keep core skills.

- ✗ A. Filing simple paperwork she dislikes: could hand off
- ✗ B. Editing tax forms she finds confusing: hand off
- ✗ D. Bookkeeping she does slowly: hand off

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-F1-Q5 · question page 2499

ENT.HELP.01 · Apply it: decide what to hand off

A baker wants help but cash is tight. What is a sensible start?

Answer: B. Hire help for a few hours a month on one task

Start small.

- ✗ A. Borrow to hire five people: risky
- ✗ C. Hire a full-time manager immediately to run everything: too costly
- ✗ D. Never get help: misses value

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-F2-Q1 · question page 2500

ENT.HELP.01 · Handle the complications: freed time that is not used

An owner hires help but uses the freed hours for unpaid tasks. What happens to the financial gain?

Answer: A. It may be small or negative

Gain depends on use.

- ✗ B. It always doubles: no
- ✗ C. It is the same as before: no
- ✗ D. The helper pays her: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-F2-Q2 · question page 2501

ENT.HELP.01 · Handle the complications: freed time that is not used

A helper makes many mistakes the owner must fix. What should she weigh?

Answer: C. Whether training or a different helper is needed

Quality matters.

- ✗ A. Hiring three more helpers just like that one: worse
- ✗ B. Nothing; mistakes are free: costly
- ✗ D. Never giving feedback: no improvement

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-F2-Q3 · question page 2502

ENT.HELP.01 · Handle the complications: freed time that is not used

An owner enjoys bookkeeping and finds it restful. Should she hand it off?

Answer: B. Not necessarily; value is not only money

Consider well-being too.

- ✗ A. No business should ever hire help: too rigid
- ✗ C. Yes, because enjoyment is irrelevant: not true
- ✗ D. Yes, always, regardless of preference: too rigid

Arithmetic checked by code: not applicable. Sources: none (stable)

S119-F2-Q4 · question page 2503

ENT.HELP.01 · Handle the complications: freed time that is not used

Help costs 300 dollars a month and saves 10 hours. What is the cost per hour saved?

Answer: D. 30 dollars

300 / 10 = 30.

✗ A. 10 dollars: hours

✗ B. 3,000 dollars: multiplied

✗ C. 300 dollars: total

Arithmetic checked by code: yes. Sources: none (stable)

S119-F2-Q5 · question page 2504

ENT.HELP.01 · Handle the complications: freed time that is not used

Which statement is accurate?

Answer: B. Help can pay off when freed time is used well.

Weigh the tradeoff.

✗ A. Help always costs more than it gives.: not always

✗ C. Owner time has no value.: it does

✗ D. Doing everything yourself always saves the most money.: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S120-M-Q1 · question page 2506

ENT.HELP.02 · Recognize that worker classification depends on the real relationship

What decides whether a worker is an employee or contractor?

Answer: A. The actual working relationship

Reality, not labels.

✗ B. Only what the worker prefers to be called: not decisive

✗ C. Only the size of the paycheck: not decisive

✗ D. Only the title written in the contract: label alone does not decide

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-M-Q2 · question page 2507

ENT.HELP.02 · Recognize that worker classification depends on the real relationship

Which factor suggests an employee relationship?

Answer: D. The business controls how and when the work is done

Control matters.

- ✗ A. The worker serves many other clients: suggests contractor
- ✗ B. The worker provides all of her own tools and equipment: suggests contractor
- ✗ C. The worker sets her own prices: suggests contractor

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-M-Q3 · question page 2508

ENT.HELP.02 · Recognize that worker classification depends on the real relationship

Which factor suggests an independent contractor?

Answer: C. The worker has other clients and her own tools

Independence.

- ✗ A. The business trains her on its methods: suggests employee
- ✗ B. The business sets a fixed daily schedule: suggests employee
- ✗ D. The work is ongoing and full time for one business: suggests employee

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-M-Q4 · question page 2509

ENT.HELP.02 · Recognize that worker classification depends on the real relationship

What can misclassification bring?

Answer: A. Back taxes and penalties

Costly consequences.

- ✗ B. Lower insurance costs: not the risk
- ✗ C. Automatic trademark rights: no
- ✗ D. A tax refund for the business: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-M-Q5 · question page 2510

ENT.HELP.02 · Recognize that worker classification depends on the real relationship

Why check current rules?

Answer: C. Federal rules have changed and states may be stricter

Rules vary and change.

- ✗ A. Rules never change: they have
- ✗ B. Rules are the same in every country and state: no
- ✗ D. Only customers decide: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-B1-Q1 · question page 2511

ENT.HELP.02 · Calling a dog a cat

A "cat" sign on a dog does what?

Answer: D. Nothing to change the animal

Labels do not change reality.

- ✗ A. Makes it a cat in the eyes of the law: no
- ✗ B. Makes it quieter: no
- ✗ C. Makes it meow: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-B1-Q2 · question page 2512

ENT.HELP.02 · Calling a dog a cat

The sign is like what in hiring?

Answer: B. The label in a contract

A label.

✗ A. The tools: no

✗ C. The actual work done: no

✗ D. The paycheck: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-B1-Q3 · question page 2513

ENT.HELP.02 · Calling a dog a cat

The animal itself is like what?

Answer: A. The real working relationship

Reality.

✗ B. The title written in the contract: no

✗ C. The business name: no

✗ D. The logo: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-B1-Q4 · question page 2514

ENT.HELP.02 · Calling a dog a cat

What do rules look at?

Answer: B. What the relationship is really like

Substance.

✗ A. Only the font: no

✗ C. Only what the sign on the animal says: no

✗ D. Only the date: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-B1-Q5 · question page 2515

ENT.HELP.02 · Calling a dog a cat

Setting hours and directing every step suggests what?

Answer: D. An employee-like relationship

Control factor.

- ✗ A. A supplier: no
- ✗ B. A contractor relationship for sure: no
- ✗ C. A customer: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-F1-Q1 · question page 2516

ENT.HELP.02 · Apply it: weigh the factors

A café calls a barista a contractor but sets her shifts, gives her an apron and trains her on recipes. What does this suggest?

Answer: C. The relationship looks like employment

Control and training.

- ✗ A. She is a supplier: no
- ✗ B. She is a customer: no
- ✗ D. She is clearly a contractor because of the label: label alone

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-F1-Q2 · question page 2517

ENT.HELP.02 · Apply it: weigh the factors

A web developer works for 6 clients, sets her own price and uses her own computer. What does this suggest?

Answer: D. An independent contractor relationship

Independence factors.

- ✗ A. An employee relationship for each client: independent signs
- ✗ B. A business partnership with each client: not stated

✗ C. A volunteer role: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-F1-Q3 · question page 2518

ENT.HELP.02 · Apply it: weigh the factors

Of 5 listed factors, 4 point toward employment. What fraction points toward employment?

Answer: A. 4/5

4 of 5.

✗ B. 4/1: ratio
✗ C. 1/5: contractor share
✗ D. 5/4: reversed

Arithmetic checked by code: yes. Sources: dol_contractor

S120-F1-Q4 · question page 2519

ENT.HELP.02 · Apply it: weigh the factors

An owner is unsure how to classify a helper. What is the best step?

Answer: C. Check current federal and state rules, or ask a professional

Get it right.

✗ A. Let the helper decide: not decisive
✗ B. Ignore classification: risky
✗ D. Pick whichever label is cheapest for the business this year: risky

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-F1-Q5 · question page 2520

ENT.HELP.02 · Apply it: weigh the factors

Which factor is LEAST useful by itself?

Answer: C. The job title written in the contract

Labels are weak evidence.

- ✗ A. Who provides tools: useful
- ✗ B. Who controls the schedule: useful
- ✗ D. Whether the worker has other clients: useful

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S120-F2-Q1 · question page 2521

ENT.HELP.02 · Handle the complications: changing roles and state rules

A contractor starts working 40 hours a week only for one business, following its schedule. What should the owner do?

Answer: B. Review whether the classification still fits

Re-evaluate.

- ✗ A. Hide the hours: improper
- ✗ C. Nothing; the original label lasts forever: reality changed
- ✗ D. Change the label word only: not enough

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-F2-Q2 · question page 2522

ENT.HELP.02 · Handle the complications: changing roles and state rules

The federal test and the state test give different answers. What should the owner do?

Answer: D. Comply with the stricter rule that applies

Follow applicable law.

- ✗ A. Ask the worker to pick: not decisive
- ✗ B. Choose only the friendlier test for the business: risky
- ✗ C. Ignore both: risky

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-F2-Q3 · question page 2523

ENT.HELP.02 · Handle the complications: changing roles and state rules

Misclassification back taxes are 2,400 dollars and penalties add 25 percent. What is the total?

Answer: A. 3,000 dollars

2,400 x 1.25 = 3,000.

- ✗ B. 600 dollars: penalty only
- ✗ C. 2,425 dollars: added 25
- ✗ D. 2,400 dollars: no penalty

Arithmetic checked by code: yes. Sources: dol_contractor

S120-F2-Q4 · question page 2524

ENT.HELP.02 · Handle the complications: changing roles and state rules

An article from 2019 explains the federal test. What is the concern?

Answer: A. The rule has changed since, so it may be outdated

Check current rules.

- ✗ B. Old articles about labor rules are always correct: not true
- ✗ C. Articles replace professionals: no
- ✗ D. Federal rules never change: they have

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S120-F2-Q5 · question page 2525

ENT.HELP.02 · Handle the complications: changing roles and state rules

Which statement is accurate?

Answer: C. The real relationship and current rules decide, not the label.

Reality and rules.

- ✗ A. A contract label always decides how a worker is classified.: not true
- ✗ B. States always follow federal rules exactly.: not always

✗ D. Misclassification has no consequences.: it does

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q1 · question page 2527

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What does withholding mean for an employer?

Answer: B. Taking taxes out of pay and sending them to the agency

Withhold and remit.

✗ A. Holding back the employee's whole paycheck as a penalty: not this
✗ C. Keeping the employee's tools: not this
✗ D. Refusing to pay overtime: not this

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q2 · question page 2528

ENT.HELP.03 · Describe an employer's payroll duties in general terms

Which is an employer duty?

Answer: C. Following minimum wage and overtime rules

Wage rules.

✗ A. Paying the employee's personal rent: no
✗ B. Filing the employee's personal return: no
✗ D. Choosing the employee's lunch: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q3 · question page 2529

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What does the employer give employees at year end?

Answer: D. Tax forms showing pay and withholding

Year-end forms.

- ✗ A. A refund of all taxes: no
- ✗ B. A new employment contract every single year: no
- ✗ C. A list of customers: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q4 · question page 2530

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What may many states require of employers?

Answer: B. Registration and workers' compensation insurance

State duties.

- ✗ A. Nothing at all: not true
- ✗ C. A new LLC formed for each employee hired: no
- ✗ D. A trademark filing: unrelated

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q5 · question page 2531

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What do many small businesses use for payroll?

Answer: A. A payroll service or an accountant

Help with payroll.

- ✗ B. Guesswork each pay period: risky
- ✗ C. Nothing; payroll is optional: not optional
- ✗ D. The employee to calculate her own taxes: not their job

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-B1-Q1 · question page 2532

ENT.HELP.03 · A collection box at the counter

The charity money belongs to whom?

Answer: D. The charity

Held for others.

- ✗ A. The store owner: no
- ✗ B. The customer forever: no
- ✗ C. The cashier: only holds it

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q2 · question page 2533

ENT.HELP.03 · A collection box at the counter

Withheld payroll taxes are like what?

Answer: C. The charity money in the box

Held in trust.

- ✗ A. The employer's profit: no
- ✗ B. A gift from the employee: no
- ✗ D. A bonus for the employer: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q3 · question page 2534

ENT.HELP.03 · A collection box at the counter

When must the charity money be sent?

Answer: B. On schedule

Deadlines apply.

- ✗ A. Never: no
- ✗ C. Whenever convenient: no

✗ D. After ten years: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q4 · question page 2535

ENT.HELP.03 · A collection box at the counter

Spending withheld taxes on rent is like what?

Answer: A. Spending the charity's money

Misusing held funds.

✗ B. Paying a fair bill on time: no
✗ C. Saving money: no
✗ D. A tax refund: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q5 · question page 2536

ENT.HELP.03 · A collection box at the counter

What is the cashier's role?

Answer: C. Collect and pass on the money

A pass-through.

✗ A. Hide the money: no
✗ B. Spend the money: no
✗ D. Keep the money for yourself: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F1-Q1 · question page 2537

ENT.HELP.03 · Apply it: prepare for a first employee

An owner hires her first employee. Which step should come first?

Answer: B. Learn the federal and state employer requirements

Prepare first.

- ✗ A. Pay cash with no records: non-compliant
- ✗ C. Wait until year end to think about taxes: too late
- ✗ D. Call the employee a contractor to skip payroll entirely: misclassification risk

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F1-Q2 · question page 2538

ENT.HELP.03 · Apply it: prepare for a first employee

An employee earns 18 dollars an hour for 20 hours a week. What is weekly gross pay?

Answer: A. 360 dollars

18 x 20 = 360.

- ✗ B. 38 dollars: added
- ✗ C. 180 dollars: 10 hours
- ✗ D. 900 dollars: miscalculated

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F1-Q3 · question page 2539

ENT.HELP.03 · Apply it: prepare for a first employee

A payroll service costs 45 dollars a month. What is the yearly cost?

Answer: B. 540 dollars

45 x 12 = 540.

- ✗ A. 450 dollars: 10 months
- ✗ C. 585 dollars: 13 months
- ✗ D. 45 dollars: one month

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F1-Q4 · question page 2540

ENT.HELP.03 · Apply it: prepare for a first employee

An owner withheld taxes but used the money for supplies. What problem does she face?

Answer: A. She still owes those taxes to the agency

Held funds must be sent.

- ✗ B. The taxes are cancelled: no
- ✗ C. None, because withheld money is hers to spend: not hers
- ✗ D. The employee owes them now: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-F1-Q5 · question page 2541

ENT.HELP.03 · Apply it: prepare for a first employee

Which detail varies by place and should be checked?

Answer: C. Minimum wage and state payroll requirements

Rules vary.

- ✗ A. Whether employees need to be paid at all: always
- ✗ B. Whether records matter: they do
- ✗ D. Whether taxes exist: they do

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F2-Q1 · question page 2542

ENT.HELP.03 · Handle the complications: mistakes and overtime

A payroll deposit was missed. What is a sensible step?

Answer: D. Make it right away and check penalties or ask a professional

Act promptly.

✗ A. Ignore it until someone from the tax agency notices it: worse

✗ B. Ask the employee to pay: improper

✗ C. Skip the next one too: worse

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-F2-Q2 · question page 2543

ENT.HELP.03 · Handle the complications: mistakes and overtime

An employee works 45 hours in a week where overtime applies after 40. How many overtime hours?

Answer: C. 5

45 - 40 = 5.

✗ A. 45: total

✗ B. 85: added

✗ D. 40: regular

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F2-Q3 · question page 2544

ENT.HELP.03 · Handle the complications: mistakes and overtime

An employee works 5 overtime hours, and overtime pays 1.5 times a 20-dollar rate. What is the overtime pay for those hours?

Answer: A. 150 dollars

5 x 30 = 150.

✗ B. 100 dollars: regular rate

✗ C. 30 dollars: one hour

✗ D. 900 dollars: all hours

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F2-Q4 · question page 2545

ENT.HELP.03 · Handle the complications: mistakes and overtime

An owner thinks payroll is too complex to handle alone. What is reasonable?

Answer: B. Use a payroll service or accountant

Get help.

- ✗ A. Avoid payroll by paying cash secretly: non-compliant
- ✗ C. Guess each period: risky
- ✗ D. Stop paying the employee: unlawful

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-F2-Q5 · question page 2546

ENT.HELP.03 · Handle the complications: mistakes and overtime

Which statement is accurate?

Answer: C. Employers must withhold, pay and report on schedule.

Payroll duties.

- ✗ A. Withheld taxes belong to the employer.: not true
- ✗ B. Employers have no reporting duties.: they do
- ✗ D. Payroll rules are identical in every state and city.: they vary

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S122-M-Q1 · question page 2548

ENT.HELP.04 · Use simple checklists to start and end work with helpers

What is onboarding?

Answer: A. Setting up a new helper to succeed

Start well.

- ✗ B. Removing a helper's access: offboarding
- ✗ C. Loading boxes onto a delivery truck: pun

✗ D. Filing an annual report: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q2 · question page 2549

ENT.HELP.04 · Use simple checklists to start and end work with helpers

Which belongs in onboarding?

Answer: D. Their own logins with limited access

Safe access.

✗ A. The owner's bank password: no
✗ B. Full access to every business account: excess
✗ C. No training at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q3 · question page 2550

ENT.HELP.04 · Use simple checklists to start and end work with helpers

When should a departing helper's access be removed?

Answer: B. The same day

Promptly.

✗ A. Only if they ask: risk
✗ C. Never: risk
✗ D. Next month: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q4 · question page 2551

ENT.HELP.04 · Use simple checklists to start and end work with helpers

Which belongs in offboarding?

Answer: B. Collecting keys and transferring their files

Close properly.

- ✗ A. Hiring their replacement before anything else: not required
- ✗ C. Giving them more access: opposite
- ✗ D. Deleting all customer records: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q5 · question page 2552

ENT.HELP.04 · Use simple checklists to start and end work with helpers

What makes both processes easier?

Answer: C. A simple checklist

Checklists.

- ✗ A. Guesswork: unreliable
- ✗ B. Skipping steps: risky
- ✗ D. Memory alone, with no notes: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q1 · question page 2553

ENT.HELP.04 · Moving into and out of an apartment

Getting keys when moving in is like what?

Answer: B. Giving a new helper logins

Onboarding access.

- ✗ A. A complaint: no
- ✗ C. Removing all their access: no
- ✗ D. Final pay: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q2 · question page 2554

ENT.HELP.04 · Moving into and out of an apartment

Returning keys when moving out is like what?

Answer: D. Removing a helper's access

Offboarding access.

- ✗ A. A promotion to manager: no
- ✗ B. Training: no
- ✗ C. Hiring: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q3 · question page 2555

ENT.HELP.04 · Moving into and out of an apartment

Learning where things are is like what?

Answer: C. Training

Orientation.

- ✗ A. Advertising: no
- ✗ B. Paying taxes: no
- ✗ D. Firing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q4 · question page 2556

ENT.HELP.04 · Moving into and out of an apartment

Leaving a forwarding address is like what?

Answer: A. Passing on their work and contacts

Handover.

- ✗ B. Deleting everything: no
- ✗ C. Taking the customers with them: no

✗ D. Keeping secrets: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q5 · question page 2557

ENT.HELP.04 · Moving into and out of an apartment

How many main stages are in the picture?

Answer: A. Two: moving in and moving out

Start and end.

✗ B. One: moving in, and nothing else: no
✗ C. Zero: no
✗ D. Ten: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q1 · question page 2558

ENT.HELP.04 · Apply it: run the checklists

A new helper starts Monday. Which item is most urgent to prepare?

Answer: A. A login with only the access her role needs

Safe access.

✗ B. Nothing until she asks: unprepared
✗ C. Full admin rights to every account: excess
✗ D. A copy of the owner's personal tax return: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q2 · question page 2559

ENT.HELP.04 · Apply it: run the checklists

An onboarding checklist has 10 items and 7 are done. How many remain?

Answer: C. 3

10 - 7 = 3.

- ✗ A. 17: added
- ✗ B. 7: done
- ✗ D. 10: total

Arithmetic checked by code: yes. Sources: none (stable)

S122-F1-Q3 · question page 2560

ENT.HELP.04 · Apply it: run the checklists

A helper leaves and was handling 12 customer conversations. What should happen?

Answer: B. Transfer them to someone else with notes

Handover.

- ✗ A. Let the departing helper keep them: risk
- ✗ C. Let them go unanswered: harms customers
- ✗ D. Delete them: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q4 · question page 2561

ENT.HELP.04 · Apply it: run the checklists

A helper still has a shop key after leaving. What should the owner do?

Answer: A. Collect it, or change the lock if it cannot be returned

Secure access.

- ✗ B. Give them another key: worse
- ✗ C. Post about it online and wait for the key to come back: unhelpful
- ✗ D. Ignore it: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q5 · question page 2562

ENT.HELP.04 · Apply it: run the checklists

Which onboarding item helps a helper know who to ask?

Answer: D. A named contact for questions

Support.

- ✗ A. A blank page: no
- ✗ B. A secret password: no
- ✗ C. A competitor's phone number: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q1 · question page 2563

ENT.HELP.04 · Handle the complications: sudden departures and gaps

A helper quits suddenly by text. What is the first step?

Answer: B. Remove access immediately

Secure first.

- ✗ A. Give them more access to finish: risk
- ✗ C. Ignore it: risk
- ✗ D. Wait a week to see if they return: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q2 · question page 2564

ENT.HELP.04 · Handle the complications: sudden departures and gaps

After a departure, customers report unanswered emails. What would have prevented this?

Answer: D. Transferring conversations as part of offboarding

Handover step.

- ✗ A. Hiring nobody ever: too far
- ✗ B. Changing the logo: irrelevant

✗ C. Deleting the helper's email account entirely: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q3 · question page 2565

ENT.HELP.04 · Handle the complications: sudden departures and gaps

Final pay rules vary by state. What should the owner do?

Answer: C. Check the state's rules for final pay timing

Follow rules.

✗ A. Ask the helper to wait indefinitely: improper
✗ B. Pay the final wages whenever convenient: may violate
✗ D. Skip final pay: unlawful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q4 · question page 2566

ENT.HELP.04 · Handle the complications: sudden departures and gaps

A new helper was given no training and made errors on 6 of 30 orders. What percent had errors?

Answer: A. 20 percent

6 / 30 = 0.2.

✗ B. 30 percent: total
✗ C. 5 percent: misdivided
✗ D. 6 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S122-F2-Q5 · question page 2567

ENT.HELP.04 · Handle the complications: sudden departures and gaps

Which statement is accurate?

Answer: B. Simple checklists make starting and ending work safer.

Checklists help.

- ✗ A. Everyone should get full access on their first day.: excess
- ✗ C. Offboarding can wait months.: risk
- ✗ D. Training is never needed.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q1 · question page 2569

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Which topic should partners agree on in writing?

Answer: C. How ties are broken

Decision rules.

- ✗ A. Which music plays in the office: irrelevant
- ✗ B. Their favorite lunch spots: irrelevant
- ✗ D. The color of business cards: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q2 · question page 2570

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Why put a partnership agreement in writing?

Answer: D. To reduce later disagreements

Clarity.

- ✗ A. Because friends never disagree: not true
- ✗ B. Because writing makes profits higher: not directly
- ✗ C. To avoid ever talking: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q3 · question page 2571

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

What should partners discuss openly?

Answer: A. Goals, risk tolerance and money

Align expectations.

- ✗ B. Nothing important: risky
- ✗ C. Only who sits where in the office: minor
- ✗ D. Only the logo: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q4 · question page 2572

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Is friendship a substitute for a written agreement?

Answer: B. No

Write it down.

- ✗ A. Only for family: no
- ✗ C. Yes, always: not true
- ✗ D. Only for small businesses: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q5 · question page 2573

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

What should the agreement say about someone leaving?

Answer: A. What happens to their share and duties

Exit plan.

- ✗ B. Nothing; leaving never happens: it can
- ✗ C. That they must stay forever: unrealistic

✗ D. That the business closes automatically: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q1 · question page 2574

ENT.HELP.05 · Planning a road trip with a friend

Who drives when is like what?

Answer: C. Each partner's role

Roles.

✗ A. The profit split: no
✗ B. Exit rule: no
✗ D. Logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q2 · question page 2575

ENT.HELP.05 · Planning a road trip with a friend

How gas money is split is like what?

Answer: D. How money and profits are shared

Money terms.

✗ A. Who drives: no
✗ B. The music choice in the car: no
✗ C. Exit rules: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q3 · question page 2576

ENT.HELP.05 · Planning a road trip with a friend

One friend wanting to stop early is like what?

Answer: B. A partner wanting to leave

Exit.

- ✗ A. A tax bill: no
- ✗ C. A new customer arriving: no
- ✗ D. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q4 · question page 2577

ENT.HELP.05 · Planning a road trip with a friend

What happens without the planning talk?

Answer: A. Small annoyances can grow into big fights

Unspoken expectations.

- ✗ B. The trip gets shorter: no
- ✗ C. Gas becomes free: no
- ✗ D. Everything goes smoothly anyway, always: unlikely

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q5 · question page 2578

ENT.HELP.05 · Planning a road trip with a friend

Why does planning matter more for a business?

Answer: D. It lasts longer with more money at stake

Higher stakes.

- ✗ A. It is shorter: no
- ✗ B. Money never matters: no
- ✗ C. Friends never disagree about money: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q1 · question page 2579

ENT.HELP.05 · Apply it: set up a two-partner business

Partner A puts in 6,000 dollars and Partner B puts in 4,000 dollars. If ownership follows money, what is A's share?

Answer: C. 60 percent

6,000 / 10,000 = 0.6.

- ✗ A. 6 percent: not converted
- ✗ B. 50 percent: equal
- ✗ D. 40 percent: B

Arithmetic checked by code: yes. Sources: none (stable)

S123-F1-Q2 · question page 2580

ENT.HELP.05 · Apply it: set up a two-partner business

B works full time and A works 5 hours a week, but ownership follows money only. What should they discuss?

Answer: A. Whether pay for work should be separate from ownership

Work versus capital.

- ✗ B. Only the logo: irrelevant
- ✗ C. Nothing, because the split is obviously fair already: may not be
- ✗ D. Only the office décor: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q3 · question page 2581

ENT.HELP.05 · Apply it: set up a two-partner business

Two equal partners disagree on a key hire. Their agreement names a trusted mentor to break ties. What should they do?

Answer: C. Ask the mentor, as agreed

Follow the agreement.

✗ A. Let the louder partner decide: unfair

✗ B. Stop talking to each other: harmful

✗ D. Close the business: too far

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q4 · question page 2582

ENT.HELP.05 · Apply it: set up a two-partner business

Profit is 18,000 dollars, split 60/40. How much goes to the 40-percent partner?

Answer: B. 7,200 dollars

0.4 x 18,000 = 7,200.

✗ A. 9,000 dollars: equal

✗ C. 720 dollars: moved decimal

✗ D. 10,800 dollars: 60 percent

Arithmetic checked by code: yes. Sources: none (stable)

S123-F1-Q5 · question page 2583

ENT.HELP.05 · Apply it: set up a two-partner business

Which question best reveals different risk tolerance?

Answer: C. "How much of our savings are we willing to lose if this fails?"

Money and risk.

✗ A. "What is your favorite color?": irrelevant

✗ B. "Which font do you like?": irrelevant

✗ D. "Where should we eat today, and who is paying for it?": irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q1 · question page 2584

ENT.HELP.05 · Handle the complications: stalled partners and exits

A partner stops contributing work for months. The agreement covers this. What should happen?

Answer: B. Follow the agreement's process for non-contribution

Use the agreed process.

- ✗ A. Lock them out of everything without any notice: improper
- ✗ C. Ignore it and resent them: harmful
- ✗ D. Post about it online: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q2 · question page 2585

ENT.HELP.05 · Handle the complications: stalled partners and exits

A partner wants to sell her share to a stranger. What should the others check?

Answer: C. What the agreement says about selling shares

Transfer rules.

- ✗ A. Only the logo: irrelevant
- ✗ B. Nothing, because anyone can join any business: may be restricted
- ✗ D. Only the stranger's car: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q3 · question page 2586

ENT.HELP.05 · Handle the complications: stalled partners and exits

Partners never wrote an agreement and now disagree about profit shares. What is likely?

Answer: D. A difficult dispute with no agreed rule

Missing rules cause disputes.

- ✗ A. An easy, quick resolution: unlikely
- ✗ B. Automatic equal shares everywhere, always: uncertain
- ✗ C. The business pays no taxes: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q4 · question page 2587

ENT.HELP.05 · Handle the complications: stalled partners and exits

A mediator costs 150 dollars an hour for 4 hours, and the two partners split the cost equally. What does each partner pay?

Answer: B. 300 dollars

150 x 4 / 2 = 300.

- ✗ A. 600 dollars: total
- ✗ C. 75 dollars: half hour
- ✗ D. 150 dollars: one hour

Arithmetic checked by code: yes. Sources: none (stable)

S123-F2-Q5 · question page 2588

ENT.HELP.05 · Handle the complications: stalled partners and exits

Which statement is accurate?

Answer: D. Written agreements help partnerships survive disagreements.

Plan ahead.

- ✗ A. Ownership always equals hours worked.: not necessarily
- ✗ B. Good friends never need written partnership agreements.: not true
- ✗ C. Partnerships never fail.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S124-M-Q1 · question page 2590

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What does SCORE offer?

Answer: A. Free volunteer mentoring

Mentoring.

- ✗ B. Free business loans for every owner: not stated
- ✗ C. Free tax filing for all businesses: not stated
- ✗ D. Free legal representation in court: not stated

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q2 · question page 2591

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What do SBDCs offer?

Answer: B. Free or low-cost consulting

Consulting.

- ✗ A. Payroll processing: not stated
- ✗ C. Guaranteed grants: not stated
- ✗ D. Trademark registrations for free: not stated

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q3 · question page 2592

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

Who should answer a specific tax decision?

Answer: D. A CPA, enrolled agent or other qualified tax pro

Licensed advice.

- ✗ A. A social media follower who posts tax tips: not qualified
- ✗ B. A competitor who runs a similar small business: not qualified, and conflicted
- ✗ C. A friendly mentor who works in another field: outside their field

Arithmetic checked by code: not applicable. Sources: sba_counsel

S124-M-Q4 · question page 2593

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What should an owner check about free help?

Answer: A. Their experience and qualifications for the question

Fit and qualifications.

- ✗ B. Only their website colors: irrelevant
- ✗ C. Nothing, because free help is always right for any question: not always
- ✗ D. Only how fast they reply: not enough

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q5 · question page 2594

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What can a mentor help with?

Answer: B. Spotting blind spots from experience

Perspective.

- ✗ A. Signing contracts for you: no
- ✗ C. Filing your taxes by law: no
- ✗ D. Guaranteeing that the business succeeds: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q1 · question page 2595

ENT.HELP.06 · Asking for directions

A helpful local resident is like what?

Answer: B. A mentor or free program

Free guidance.

✗ A. A licensed attorney in court: no

✗ C. A tax agency: no

✗ D. A bank: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q2 · question page 2596

ENT.HELP.06 · Asking for directions

A licensed mountain guide is like what?

Answer: C. A licensed professional for risky decisions

Qualified help.

✗ A. A random stranger: no

✗ B. A paper map with no roads drawn on it: no

✗ D. A friend's guess: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q3 · question page 2597

ENT.HELP.06 · Asking for directions

When do you want the licensed guide?

Answer: B. For a risky, complicated route

High stakes.

✗ A. For a short walk to the store: not needed

✗ C. Only on sunny days: no

✗ D. Never: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q4 · question page 2598

ENT.HELP.06 · Asking for directions

Contracts and taxes are like what in the picture?

Answer: A. The risky mountain pass

Specific, risky decisions.

- ✗ B. A parking lot near the trail: no
- ✗ C. A coffee break: no
- ✗ D. A short walk: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q5 · question page 2599

ENT.HELP.06 · Asking for directions

Is free help useful?

Answer: D. Yes, often

Often valuable.

- ✗ A. Never: no
- ✗ B. Only for experts: no
- ✗ C. Only when paid later: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q1 · question page 2600

ENT.HELP.06 · Apply it: choose the right help

A new owner wants feedback on her business plan at no cost. Which option fits best?

Answer: A. A free mentoring program such as SCORE

Free mentoring.

- ✗ B. A paid attorney for a full lawsuit: mismatch
- ✗ C. A social media poll of strangers: unreliable
- ✗ D. A competitor's opinion: conflict

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q2 · question page 2601

ENT.HELP.06 · Apply it: choose the right help

An owner must decide how to structure a large investor deal. Who fits best?

Answer: B. A licensed attorney

Specific legal advice.

- ✗ A. A random forum: unreliable
- ✗ C. A library workshop alone: not specific
- ✗ D. A friend who once sold cookies: not qualified

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q3 · question page 2602

ENT.HELP.06 · Apply it: choose the right help

A workshop costs 25 dollars and an attorney consultation costs 200. How much more is the consultation?

Answer: A. 175 dollars

200 - 25 = 175.

- ✗ B. 225 dollars: added
- ✗ C. 200 dollars: consultation
- ✗ D. 8 dollars: ratio

Arithmetic checked by code: yes. Sources: sba_counsel

S124-F1-Q4 · question page 2603

ENT.HELP.06 · Apply it: choose the right help

A mentor gives confident tax advice outside her field. What should the owner do?

Answer: D. Confirm it with a tax professional

Verify outside expertise.

- ✗ A. Follow it without checking with anyone: risky
- ✗ B. Ignore all mentors forever: overreaction
- ✗ C. Post it online as fact: risky

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q5 · question page 2604

ENT.HELP.06 · Apply it: choose the right help

Where else might an owner find local workshops?

Answer: B. Libraries and chambers of commerce

Local options.

- ✗ A. Only private, paid online courses: not only
- ✗ C. Only abroad: no
- ✗ D. Nowhere: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q1 · question page 2605

ENT.HELP.06 · Handle the complications: conflicting advice and fit

Two mentors give opposite advice. What should the owner do?

Answer: A. Ask each for reasons and test against her own evidence

Weigh reasons.

- ✗ B. Flip a coin: arbitrary
- ✗ C. Ignore both and guess: wasteful
- ✗ D. Follow whichever mentor happened to speak to her last: arbitrary

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q2 · question page 2606

ENT.HELP.06 · Handle the complications: conflicting advice and fit

A "free" advisor pushes the owner to buy his own expensive program. What should she consider?

Answer: C. Whether the advice is influenced by his sales interest

Check conflicts of interest.

- ✗ A. Only his website: irrelevant
- ✗ B. Buying immediately: risky
- ✗ D. Nothing, because free advice is always unbiased: not necessarily

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q3 · question page 2607

ENT.HELP.06 · Handle the complications: conflicting advice and fit

An owner can afford one hour with an accountant. Which question is the best use?

Answer: D. How to plan for taxes given her business structure

High-value expertise.

- ✗ A. Which logo color to choose for the new shop: not accounting
- ✗ B. Which coffee to stock: not accounting
- ✗ C. What to name her cat: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q4 · question page 2608

ENT.HELP.06 · Handle the complications: conflicting advice and fit

A mentor helped her avoid a 1,500-dollar mistake. The mentoring was free. What was the net value of that advice?

Answer: C. 1,500 dollars

1,500 saved - 0 cost.

- ✗ A. 0 dollars: it had value

✗ B. 3,000 dollars: doubled

✗ D. 750 dollars: halved

Arithmetic checked by code: yes. Sources: sba_counsel

S124-F2-Q5 · question page 2609

ENT.HELP.06 · Handle the complications: conflicting advice and fit

Which statement is accurate?

Answer: C. Free help is valuable; licensed pros handle legal and tax decisions.

Match help to need.

✗ A. Mentors can replace attorneys and accountants for any question.: not true

✗ B. Free help is always wrong.: not true

✗ D. Professionals are never needed.: not true

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S125-M-Q1 · question page 2611

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What does bootstrapping mean?

Answer: C. Growing with your own money and sales, without loans or investors

Self-funded growth.

✗ A. Selling part of the business to investors on day one: opposite

✗ B. Buying expensive boots for every employee in the shop: pun

✗ D. Borrowing as much as possible from several banks at once: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q2 · question page 2612

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What is a benefit of bootstrapping?

Answer: B. You keep control and avoid debt

Control, no debt.

- ✗ A. You never need to make a single sale to survive: sales are needed
- ✗ C. Growth is always faster than with any outside money: often slower
- ✗ D. Your personal savings can never be at risk at all: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q3 · question page 2613

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What should an owner decide before using savings?

Answer: D. How much she can afford to lose without harming her household

Set a limit.

- ✗ A. How quickly she can spend every dollar she has saved: risky
- ✗ B. How much her neighbors spent on their own businesses: irrelevant
- ✗ C. Which bank has the nicest-looking logo and branches: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q4 · question page 2614

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

An owner has 12,000 dollars in savings and keeps 7,000 for a household emergency fund. How much could she put in?

Answer: B. 5,000 dollars

12,000 - 7,000 = 5,000.

- ✗ A. 7,000 dollars: emergency fund
- ✗ C. 12,000 dollars: all savings
- ✗ D. 19,000 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S125-M-Q5 · question page 2615

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What should happen with early profits when bootstrapping?

Answer: A. Reinvest them in the business

Fuel growth.

- ✗ B. Hide them so no records show them: improper
- ✗ C. Spend them all on personal luxuries right away: slows growth
- ✗ D. Give them to competitors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-B1-Q1 · question page 2616

ENT.FUND.01 · Keeping a safety amount

Monthly costs 1,500 for 3 months. What is the safe amount?

Answer: D. 4,500

1,500 x 3 = 4,500.

- ✗ A. 4,500 per month: wrong unit
- ✗ B. 1,500: one month
- ✗ C. 500: divided

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q2 · question page 2617

ENT.FUND.01 · Keeping a safety amount

Savings 10,000, safe amount 6,000. How much could be risked?

Answer: C. 4,000

10,000 - 6,000 = 4,000.

✗ A. 6,000: safe amount

✗ B. 10,000: all

✗ D. 16,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q3 · question page 2618

ENT.FUND.01 · Keeping a safety amount

Savings 5,000, safe amount 6,000. How much could be risked?

Answer: A. Nothing yet

Savings are below the safe amount.

✗ B. 11,000: added

✗ C. 1,000 (the difference): negative

✗ D. 5,000: all

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q4 · question page 2619

ENT.FUND.01 · Keeping a safety amount

Monthly costs 2,200 for 6 months. What is the safe amount?

Answer: D. 13,200

2,200 x 6 = 13,200.

✗ A. 8,200: added

✗ B. 366.67: divided

✗ C. 2,200: one month

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q5 · question page 2620

ENT.FUND.01 · Keeping a safety amount

Which step comes first?

Answer: C. Find the safe amount, then subtract it from savings

Protect first.

- ✗ A. Add costs to savings: wrong
- ✗ B. Divide savings by monthly costs, and stop there: incomplete
- ✗ D. Spend first, then count: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q1 · question page 2621

ENT.FUND.01 · Apply it: plan a bootstrapped start

A tutor needs 300 dollars for materials and a simple website. She has 900 dollars she can afford to lose. What fits best?

Answer: C. Start small with 300 dollars and test demand

Smallest test.

- ✗ A. Wait years until she can afford an office: unnecessary
- ✗ B. Borrow 20,000 dollars to start big: too large
- ✗ D. Spend all 900 dollars on ads on day one: untested

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q2 · question page 2622

ENT.FUND.01 · Apply it: plan a bootstrapped start

Month 1 profit is 400 dollars. She reinvests 75 percent. How much is reinvested?

Answer: D. 300 dollars

0.75 x 400 = 300.

- ✗ A. 400 dollars: all
- ✗ B. 100 dollars: kept
- ✗ C. 75 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S125-F1-Q3 · question page 2623

ENT.FUND.01 · Apply it: plan a bootstrapped start

Bootstrapping limits her to 5 clients now. A loan would allow 15. What is the main tradeoff?

Answer: A. Slower growth versus avoiding debt

Speed versus risk.

- ✗ B. Bootstrapping is illegal: no
- ✗ C. Loans never need repaying: they do
- ✗ D. No tradeoff exists between the two choices: there is

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q4 · question page 2624

ENT.FUND.01 · Apply it: plan a bootstrapped start

Her household needs 1,800 a month and she wants 3 months covered. Savings are 7,000. How much could she risk?

Answer: A. 1,600 dollars

7,000 - 5,400 = 1,600.

- ✗ B. 7,000 dollars: all
- ✗ C. 3,600 dollars: two months
- ✗ D. 5,400 dollars: safe amount

Arithmetic checked by code: yes. Sources: none (stable)

S125-F1-Q5 · question page 2625

ENT.FUND.01 · Apply it: plan a bootstrapped start

Which purchase best fits a bootstrapped start?

Answer: C. Used equipment that covers the basic need

Lean spending.

- ✗ A. The newest top-model equipment on credit: debt
- ✗ B. A large office before any clients: premature
- ✗ D. Custom uniforms for future staff: premature

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q1 · question page 2626

ENT.FUND.01 · Handle the complications: draining savings

After 6 months, the owner has used her whole emergency fund on the business. What is the risk?

Answer: B. A household emergency could force bad decisions

Household safety matters.

- ✗ A. No risk, because the business will surely succeed: not certain
- ✗ C. Her business automatically becomes an LLC: no
- ✗ D. Her taxes will go to zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q2 · question page 2627

ENT.FUND.01 · Handle the complications: draining savings

The business needs 2,000 dollars more but she set a loss limit she has reached. What is a sensible step?

Answer: C. Pause and reassess before spending more

Respect the limit.

- ✗ A. Max out personal credit cards without a plan: risky
- ✗ B. Spend the rent money too: harms household
- ✗ D. Ignore the limit she set: defeats the purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q3 · question page 2628

ENT.FUND.01 · Handle the complications: draining savings

Sales grow 10 percent a month from 1,000 dollars. About what are sales in month 3 (two increases)?

Answer: A. 1,210 dollars

1,000 x 1.1 x 1.1 = 1,210.

- ✗ B. 1,200 dollars: added 10 percent of original twice
- ✗ C. 1,300 dollars: three
- ✗ D. 1,100 dollars: one increase

Arithmetic checked by code: yes. Sources: none (stable)

S125-F2-Q4 · question page 2629

ENT.FUND.01 · Handle the complications: draining savings

A friend says bootstrapping is "too slow to work." What is a balanced reply?

Answer: A. It can be slower but keeps control and avoids debt

Tradeoffs.

- ✗ B. It requires investors at the start: opposite
- ✗ C. It never works for anyone: not true
- ✗ D. It is always faster than borrowing or investors: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q5 · question page 2630

ENT.FUND.01 · Handle the complications: draining savings

Which statement is accurate?

Answer: C. Set a loss limit and grow from sales where possible.

Plan the risk.

✗ A. Debt is required to start any business.: not true

✗ B. All savings should be risked at once to grow faster.: risky

✗ D. Bootstrapping means no sales are needed.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q1 · question page 2632

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What is interest?

Answer: B. The cost of borrowing money

Borrowing cost.

✗ A. A discount the lender gives for borrowing: opposite

✗ C. A tax the state charges on all sales: different

✗ D. The owner's personal hobby or passion: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q2 · question page 2633

ENT.FUND.02 · Compare loans by total cost, term and guarantees

A loan has 24 payments of 250 dollars. What is the total repaid?

Answer: D. 6,000 dollars

24 x 250 = 6,000.

✗ A. 274 dollars: added

✗ B. 5,000 dollars: 20 payments

✗ C. 250 dollars: one payment

Arithmetic checked by code: yes. Sources: none (stable)

S126-M-Q3 · question page 2634

ENT.FUND.02 · Compare loans by total cost, term and guarantees

A 5,000-dollar loan is repaid with 24 payments of 250 dollars (6,000 dollars in total). How much interest was paid?

Answer: A. 1,000 dollars

6,000 - 5,000 = 1,000.

- ✗ B. 6,000 dollars: total repaid
- ✗ C. 11,000 dollars: added
- ✗ D. 250 dollars: one payment

Arithmetic checked by code: yes. Sources: none (stable)

S126-M-Q4 · question page 2635

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What usually happens with a longer term?

Answer: B. Lower monthly payments but more total interest

Tradeoff.

- ✗ A. The loan never needs repaying: not true
- ✗ C. Higher monthly payments and less total interest: reversed
- ✗ D. No interest is charged at all: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q5 · question page 2636

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What is collateral?

Answer: D. Property the lender can take if the loan is not repaid

Security for the loan.

- ✗ A. A free gift from the bank: no
- ✗ B. A coworker who helps the owner with the loan paperwork: pun
- ✗ C. A discount on the interest rate: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-B1-Q1 · question page 2637

ENT.FUND.02 · Total repaid and interest

12 payments of 100. What is the total repaid?

Answer: C. 1,200

12 x 100 = 1,200.

- ✗ A. 1,000: ten
- ✗ B. 112: added
- ✗ D. 100: one

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q2 · question page 2638

ENT.FUND.02 · Total repaid and interest

Total repaid 1,200; borrowed 1,000. What is the interest?

Answer: D. 200

1,200 - 1,000 = 200.

- ✗ A. 2,200: added
- ✗ B. 1,000: borrowed
- ✗ C. 1,200: total

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q3 · question page 2639

ENT.FUND.02 · Total repaid and interest

36 payments of 150. What is the total repaid?

Answer: A. 5,400

36 x 150 = 5,400.

✗ B. 186: added

✗ C. 150: one

✗ D. 4,500: 30

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q4 · question page 2640

ENT.FUND.02 · Total repaid and interest

Loan A total 5,400; Loan B total 5,100. Which costs less?

Answer: D. Loan B

Lower total.

✗ A. They are equal: differ

✗ B. Cannot tell: can

✗ C. Loan A: higher

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q5 · question page 2641

ENT.FUND.02 · Total repaid and interest

Why compare total repaid rather than monthly payment alone?

Answer: B. A lower payment can hide a higher total cost

Total cost matters.

✗ A. Lenders forbid it: no

✗ C. Totals are not real money: they are

✗ D. Monthly payment always shows total cost: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F1-Q1 · question page 2642

ENT.FUND.02 · Apply it: choose between two loans

Loan A: 12 payments of 450. Loan B: 24 payments of 240. Both lend 5,000. Which has the lower total cost?

Answer: C. A, at 5,400 total

A: 5,400; B: 5,760.

- ✗ A. B, because its payment is lower: payment is not total
- ✗ B. B, at 5,760 total: higher
- ✗ D. They are equal: differ

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q2 · question page 2643

ENT.FUND.02 · Apply it: choose between two loans

Loan A needs 450 dollars a month; Loan B needs 240 dollars a month. The owner's cash flow can safely cover only 300 dollars a month. Which loan fits her cash flow?

Answer: A. B, at 240 a month

Affordability.

- ✗ B. Both fit easily: A does not
- ✗ C. A, at 450 a month: too high
- ✗ D. Neither could ever fit: B fits

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q3 · question page 2644

ENT.FUND.02 · Apply it: choose between two loans

Both loans lend 5,000 dollars. Loan A: 12 payments of 450 dollars. Loan B: 24 payments of 240 dollars. How much more interest does B cost than A?

Answer: B. 360 dollars

760 - 400 = 360.

- ✗ A. 210 dollars: payment difference

✗ C. 400 dollars: A interest

✗ D. 760 dollars: B interest

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q4 · question page 2645

ENT.FUND.02 · Apply it: choose between two loans

A lender requires a personal guarantee. What does it mean for the owner?

Answer: A. She may have to repay personally if the business cannot

Personal liability.

✗ B. The loan becomes free: no

✗ C. Nothing, because an LLC always protects her from it: guarantee bypasses

✗ D. The lender guarantees her profit: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F1-Q5 · question page 2646

ENT.FUND.02 · Apply it: choose between two loans

What is the best use of a loan?

Answer: B. A plan that can realistically repay from cash flow

Repayable plans.

✗ A. Buying things that do not help sales: wasteful

✗ C. Covering ongoing losses with no plan to fix them: risky

✗ D. Personal vacations: not business

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q1 · question page 2647

ENT.FUND.02 · Handle the complications: tempting offers

An online lender offers "fast cash, small daily payments" with no clear total cost. What should the owner do?

Answer: A. Ask for the total repaid and the rate before deciding

Know the total.

- ✗ B. Sign without reading: risky
- ✗ C. Assume small payments mean low cost: not necessarily
- ✗ D. Accept quickly before the fast-cash offer ends: pressure

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q2 · question page 2648

ENT.FUND.02 · Handle the complications: tempting offers

Daily payments of 40 dollars for 150 business days on a 5,000-dollar advance. What is the total repaid?

Answer: C. 6,000 dollars

40 x 150 = 6,000.

- ✗ A. 4,000 dollars: 100 days
- ✗ B. 190 dollars: added
- ✗ D. 5,000 dollars: borrowed

Arithmetic checked by code: yes. Sources: none (stable)

S126-F2-Q3 · question page 2649

ENT.FUND.02 · Handle the complications: tempting offers

A loan would cover a slow season, but sales have been falling for a year with no plan to fix it. What is the concern?

Answer: B. The loan may only delay a bigger problem

Fix the cause.

- ✗ A. The bank pays the debt: no

✗ C. No concern; loans fix falling sales: not alone

✗ D. Interest will be negative: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q4 · question page 2650

ENT.FUND.02 · Handle the complications: tempting offers

A 6,000-dollar loan at 8 percent simple interest for one year costs how much interest?

Answer: D. 480 dollars

0.08 x 6,000 = 480.

✗ A. 4,800 dollars: moved decimal

✗ B. 6,480 dollars: total

✗ C. 80 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S126-F2-Q5 · question page 2651

ENT.FUND.02 · Handle the complications: tempting offers

Which statement is accurate?

Answer: B. Compare total cost; borrow only what cash flow can repay.

Careful borrowing.

✗ A. Loans never need guarantees.: often do

✗ C. The lowest monthly payment is always the cheapest loan.: not always

✗ D. Borrowing more fixes almost any business problem.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S127-M-Q1 · question page 2653

ENT.FUND.03 · Understand what grants are and their limits

What is a grant?

Answer: A. Money for specific purposes that is not repaid

Non-repayable funding.

- ✗ B. A loan with a very low interest rate from a bank: must be repaid
- ✗ C. An investment that buys part of the business: equity
- ✗ D. A tax that small businesses must pay each year: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-M-Q2 · question page 2654

ENT.FUND.03 · Understand what grants are and their limits

Are grants for starting any general small business common?

Answer: D. Less common than many people think

Many are targeted.

- ✗ A. Yes, if you pay a fee to a website: scam risk
- ✗ B. No grants exist anywhere at all: not true
- ✗ C. Yes, every new business gets one automatically: not true

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-M-Q3 · question page 2655

ENT.FUND.03 · Understand what grants are and their limits

What do grants often require?

Answer: C. Following rules on spending and sending reports

Conditions apply.

- ✗ A. Nothing at all after receiving the money: often rules
- ✗ B. Giving up ownership of the business: that is equity
- ✗ D. Repaying the full amount with interest: that is a loan

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-M-Q4 · question page 2656

ENT.FUND.03 · Understand what grants are and their limits

A website charges 199 dollars to "guarantee" a grant. What should the owner do?

Answer: C. Be wary; real programs do not sell guarantees

Guarantee offers are red flags.

- ✗ A. Give the site her bank login to speed things up: unsafe
- ✗ B. Pay twice for a bigger grant: scam risk
- ✗ D. Pay quickly to secure the grant: scam risk

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-M-Q5 · question page 2657

ENT.FUND.03 · Understand what grants are and their limits

Where can an owner get free help finding real programs?

Answer: B. An SBDC or similar organization

Free assistance.

- ✗ A. A paid "guaranteed grant" website: risk
- ✗ C. A random social media ad: unreliable
- ✗ D. A competitor: unlikely

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-B1-Q1 · question page 2658

ENT.FUND.03 · A scholarship for a business

A grant is like what?

Answer: D. A scholarship

Free money with rules.

✗ A. A loan from a friend: repaid

✗ B. A paycheck from work: earned

✗ C. A parking ticket: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q2 · question page 2659

ENT.FUND.03 · A scholarship for a business

Who gets a scholarship?

Answer: D. Those who fit the rules and apply on time

Eligibility and deadlines.

✗ A. Whoever pays a fee: no

✗ B. Nobody ever: no

✗ C. Everyone automatically, without applying: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q3 · question page 2660

ENT.FUND.03 · A scholarship for a business

Someone charging to "guarantee" a scholarship is what?

Answer: A. Suspicious

Red flag.

✗ B. Required by schools: no

✗ C. Normal and helpful: no

✗ D. A government rule: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q4 · question page 2661

ENT.FUND.03 · A scholarship for a business

Must the scholarship be used as promised?

Answer: B. Yes

Conditions.

- ✗ A. Only if asked: no
- ✗ C. Only in summer: no
- ✗ D. No, any use is fine: rules apply

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q5 · question page 2662

ENT.FUND.03 · A scholarship for a business

Does every student get a scholarship?

Answer: D. No

Competitive and targeted.

- ✗ A. Only seniors: no
- ✗ B. Only if they ask nicely: no
- ✗ C. Yes, always: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F1-Q1 · question page 2663

ENT.FUND.03 · Apply it: evaluate a grant opportunity

A grant funds "rural food businesses" up to 5,000 dollars. A city tech startup applies. What is the likely issue?

Answer: C. It does not fit the grant's purpose

Eligibility.

- ✗ A. The amount is too small to matter: not the issue
- ✗ B. No issue; grants fit everyone: targeted
- ✗ D. Grants never fund food: this one does

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F1-Q2 · question page 2664

ENT.FUND.03 · Apply it: evaluate a grant opportunity

Preparing an application takes 20 hours. The owner values her time at 30 dollars an hour. What is the time cost?

Answer: A. 600 dollars

20 x 30 = 600.

- ✗ B. 30 dollars: one hour
- ✗ C. 50 dollars: added
- ✗ D. 20 dollars: hours

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q3 · question page 2665

ENT.FUND.03 · Apply it: evaluate a grant opportunity

The grant is 5,000 dollars with a 1-in-10 chance of winning. What is the expected value?

Answer: B. 500 dollars

5,000 x 0.1 = 500.

- ✗ A. 50 dollars: moved decimal
- ✗ C. 10 dollars: odds
- ✗ D. 5,000 dollars: full

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q4 · question page 2666

ENT.FUND.03 · Apply it: evaluate a grant opportunity

Comparing 500 dollars of expected value with 600 dollars of time cost, what does the math suggest alone?

Answer: A. The expected value is lower than the time cost

500 < 600.

- ✗ B. The odds are 100 percent: no
- ✗ C. Time has no value: it does
- ✗ D. The grant is a guaranteed gain for her time: not guaranteed

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q5 · question page 2667

ENT.FUND.03 · Apply it: evaluate a grant opportunity

A grant requires spending only on equipment, with receipts. The owner wants to pay rent with it. What should she do?

Answer: D. Follow the spending rules

Comply.

- ✗ A. Ignore the reports: improper
- ✗ B. Spend it on rent and hope: violates
- ✗ C. Hide the receipts: improper

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q1 · question page 2668

ENT.FUND.03 · Handle the complications: dependence and scams

An owner plans her whole launch around winning a grant she has not received. What is the risk?

Answer: B. The plan fails if the grant does not come

Do not depend on uncertain money.

- ✗ A. Grants arrive instantly: not always
- ✗ C. She must repay it twice: no
- ✗ D. No risk, because grants are certain once applied for: not certain

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q2 · question page 2669

ENT.FUND.03 · Handle the complications: dependence and scams

A caller says she "won a federal business grant" but must pay a processing fee first. What should she do?

Answer: C. Treat it as a likely scam and verify independently

Red flags.

- ✗ A. Give her bank login: scam
- ✗ B. Pay the fee quickly so she can receive the grant: scam
- ✗ D. Share her SSN: scam

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q3 · question page 2670

ENT.FUND.03 · Handle the complications: dependence and scams

A grant requires a 25 percent matching contribution on 8,000 dollars. How much must the owner contribute?

Answer: D. 2,000 dollars

0.25 x 8,000 = 2,000.

- ✗ A. 8,000 dollars: grant
- ✗ B. 10,000 dollars: total
- ✗ C. 25 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F2-Q4 · question page 2671

ENT.FUND.03 · Handle the complications: dependence and scams

A grant's report is due but the owner lost receipts. What could happen?

Answer: D. She may have to repay or lose future eligibility

Keep records.

- ✗ A. The grant doubles: no

✗ B. Receipts are never needed: needed

✗ C. Nothing, because grant reports are always optional: often required

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q5 · question page 2672

ENT.FUND.03 · Handle the complications: dependence and scams

Which statement is accurate?

Answer: A. Grants are targeted and should not be the only plan.

Realistic expectations.

✗ B. Paying a fee guarantees a grant.: scam

✗ C. Every business qualifies for free startup grants.: not true

✗ D. Grants never require reports.: often do

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S128-M-Q1 · question page 2674

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What do investors usually receive?

Answer: B. A share of ownership (equity)

Equity.

✗ A. Repayment with fixed interest only: that is a loan

✗ C. Nothing at all in return: they expect a return

✗ D. The founder's personal home: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q2 · question page 2675

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

An investor pays 20,000 dollars for 20 percent of the company after the deal. What post-money value does this imply?

Answer: D. 100,000 dollars

20,000 / 0.20 = 100,000.

- ✗ A. 20,000 dollars: investment
- ✗ B. 4,000 dollars: percent of investment
- ✗ C. 400,000 dollars: multiplied wrong

Arithmetic checked by code: yes. Sources: none (stable)

S128-M-Q3 · question page 2676

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What is dilution?

Answer: D. The founder owning a smaller share after selling equity

Ownership shrinks.

- ✗ A. Adding water to a product: pun
- ✗ B. Getting a grant: no
- ✗ C. Paying off a business loan earlier than planned: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q4 · question page 2677

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What do reward crowdfunding backers expect?

Answer: C. Delivery of the product or perk promised

Rewards.

- ✗ A. Nothing at all: they expect delivery
- ✗ B. Interest payments every month: loan
- ✗ D. Ownership shares in the company they backed: equity crowdfunding

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q5 · question page 2678

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

Why is equity crowdfunding more complex?

Answer: B. It sells ownership and has legal rules

Securities rules.

- ✗ A. It requires no paperwork: not true
- ✗ C. It is always free of any legal rules at all: not true
- ✗ D. It only sells T-shirts: that is rewards

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-B1-Q1 · question page 2679

ENT.FUND.04 · Ownership percentages after investment

A founder owns 100 percent and sells 30 percent of the company from her own shares. What does she keep?

Answer: C. 70 percent

100 - 30 = 70.

- ✗ A. 30 percent: sold
- ✗ B. 130 percent: added
- ✗ D. 100 percent: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q2 · question page 2680

ENT.FUND.04 · Ownership percentages after investment

10,000 dollars buys 10 percent. What is the implied post-money value?

Answer: B. 100,000

10,000 / 0.10 = 100,000.

✗ A. 1,000: percent

✗ C. 10,000: investment

✗ D. 110,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q3 · question page 2681

ENT.FUND.04 · Ownership percentages after investment

30,000 dollars buys 15 percent. What is the implied post-money value?

Answer: A. 200,000

30,000 / 0.15 = 200,000.

✗ B. 30,000: investment

✗ C. 4,500: multiplied

✗ D. 45,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q4 · question page 2682

ENT.FUND.04 · Ownership percentages after investment

A founder owns 80 percent and sells 25 percentage points of the whole company from her existing shares, with no new shares issued. What does she keep?

Answer: D. 55 percent

80 - 25 = 55 percent. (If the company instead issued new shares for 25 percent after the deal, she would keep 80 x 0.75 = 60 percent.)

✗ A. 105 percent: added

✗ B. 25 percent: sold

✗ C. 80 percent: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q5 · question page 2683

ENT.FUND.04 · Ownership percentages after investment

Implied post-money value is found by dividing the investment by what?

Answer: A. The percent bought, as a decimal

Amount / share.

- ✗ B. The interest rate: no
- ✗ C. The number of employees on payroll: no
- ✗ D. The founder's age: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F1-Q1 · question page 2684

ENT.FUND.04 · Apply it: read an investment offer

An investor offers 50,000 dollars for 25 percent of the company after the deal. What post-money value does this imply?

Answer: B. 200,000 dollars

50,000 / 0.25 = 200,000.

- ✗ A. 75,000 dollars: added
- ✗ C. 50,000 dollars: investment
- ✗ D. 12,500 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q2 · question page 2685

ENT.FUND.04 · Apply it: read an investment offer

The investor gets 25 percent of the company through new shares, and the founder owned 100 percent before the deal. What percent does the founder keep?

Answer: C. 75 percent

100 - 25 = 75.

- ✗ A. 100 percent: unchanged

✗ B. 25 percent: sold

✗ D. 50 percent: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q3 · question page 2686

ENT.FUND.04 · Apply it: read an investment offer

The investor also wants a vote on all big decisions. What should the founder consider?

Answer: A. Whether she is comfortable sharing control

Control matters.

✗ B. Nothing; investors never affect decisions: they can

✗ C. Only the investor's car: irrelevant

✗ D. Only the logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F1-Q4 · question page 2687

ENT.FUND.04 · Apply it: read an investment offer

A reward campaign promises 300 backers a lamp each. Making and shipping each lamp costs 32 dollars. What is the total cost?

Answer: D. 9,600 dollars

300 x 32 = 9,600.

✗ A. 32 dollars: one lamp

✗ B. 960 dollars: moved decimal

✗ C. 332 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q5 · question page 2688

ENT.FUND.04 · Apply it: read an investment offer

The campaign raised 12,000 dollars and the platform keeps 5 percent. How much does the

owner receive?

Answer: B. 11,400 dollars

12,000 x 0.95 = 11,400.

- ✗ A. 12,000 dollars: ignored fee
- ✗ C. 600 dollars: fee
- ✗ D. 11,950 dollars: subtracted 50

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q1 · question page 2689

ENT.FUND.04 · Handle the complications: promises and control

After fees, the campaign leaves 11,400 dollars but lamps cost 9,600 to deliver. How much is left for everything else?

Answer: D. 1,800 dollars

11,400 - 9,600 = 1,800.

- ✗ A. 21,000 dollars: added
- ✗ B. 11,400 dollars: ignored costs
- ✗ C. 9,600 dollars: costs

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q2 · question page 2690

ENT.FUND.04 · Handle the complications: promises and control

Manufacturing costs rise and lamps will be late. What should the owner do?

Answer: B. Update backers honestly with a new timeline

Honest updates.

- ✗ A. Launch another campaign to cover it secretly: risky
- ✗ C. Stay silent and hope: harms trust
- ✗ D. Cancel without refunds: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F2-Q3 · question page 2691

ENT.FUND.04 · Handle the complications: promises and control

A founder sells 30 percent, then later another 30 percent of the company from her shares. What does she own now?

Answer: C. 40 percent

100 - 30 - 30 = 40.

- ✗ A. 0 percent: no
- ✗ B. 70 percent: one sale
- ✗ D. 60 percent: sold

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q4 · question page 2692

ENT.FUND.04 · Handle the complications: promises and control

An equity crowdfunding platform requires disclosures. Why?

Answer: C. Selling ownership is regulated to protect investors

Investor protection.

- ✗ A. To make campaigns slower for fun: not the reason
- ✗ B. Because rewards are illegal: no
- ✗ D. Disclosures are optional decoration for the page: required

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F2-Q5 · question page 2693

ENT.FUND.04 · Handle the complications: promises and control

Which statement is accurate?

Answer: B. Investors buy ownership; crowdfunding promises must be kept.

Know the trade.

- ✗ A. Backers expect nothing in return.: they do
- ✗ C. Selling equity never reduces the founder's ownership share.: it does
- ✗ D. Investors never expect a return.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q1 · question page 2695

ENT.FUND.05 · Separate money raised from profit and compute runway

Is a 30,000-dollar loan profit?

Answer: C. No, it must be repaid

Debt is not profit.

- ✗ A. Yes, all cash received is profit: not true
- ✗ B. Yes, if spent within a month: no
- ✗ D. Only if the bank is local: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q2 · question page 2696

ENT.FUND.05 · Separate money raised from profit and compute runway

Which of these adds operating profit for a small shop?

Answer: A. Selling products for more than they cost

Loans, investor money and owner contributions add cash but are financing. Operating profit comes from selling for more than costs.

- ✗ B. Moving the owner's savings into the account: a contribution is financing, not income
- ✗ C. Borrowing 10,000 dollars from a bank: a loan is financing that must be repaid
- ✗ D. Selling part ownership to an investor: investor money is financing, not income

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q3 · question page 2697

ENT.FUND.05 · Separate money raised from profit and compute runway

What is burn rate?

Answer: D. How much cash the business uses each month

Monthly cash use.

- ✗ A. The interest rate charged on a business loan: no
- ✗ B. The tax rate on profit: no
- ✗ C. The temperature of the oven: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q4 · question page 2698

ENT.FUND.05 · Separate money raised from profit and compute runway

Cash is 24,000 and monthly burn is 3,000. What is the runway?

Answer: C. 8 months

24,000 / 3,000 = 8.

- ✗ A. 3 months: burn
- ✗ B. 72,000 months: multiplied
- ✗ D. 21,000 months: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S129-M-Q5 · question page 2699

ENT.FUND.05 · Separate money raised from profit and compute runway

A business raised 50,000 dollars but loses 2 dollars on every sale. What is true?

Answer: A. It still loses money on each sale

Funding does not fix unit losses.

✗ B. Each sale now makes money: no

✗ C. Losses disappear with funding: no

✗ D. It is profitable because it raised money: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q1 · question page 2700

ENT.FUND.05 · Runway by division

15,000 cash, 3,000 burn. What is the runway?

Answer: B. 5 months

15,000 / 3,000 = 5.

✗ A. 12,000 months: subtracted

✗ C. 3 months: burn

✗ D. 45,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-B1-Q2 · question page 2701

ENT.FUND.05 · Runway by division

10,000 cash, 3,000 burn. How many full months?

Answer: D. 3

10,000 / 3,000 = 3.33, so 3 full months.

✗ A. 7: subtracted

✗ B. 4: rounded up

✗ C. 3.33: not whole

Arithmetic checked by code: yes. Sources: none (stable)

S129-B1-Q3 · question page 2702

ENT.FUND.05 · Runway by division

Why round runway down?

Answer: C. A partial month of cash will not cover a full month

Be conservative.

- ✗ A. Rounding up is always the safer choice here: not here
- ✗ B. It does not matter: it does
- ✗ D. Months cannot be counted: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q4 · question page 2703

ENT.FUND.05 · Runway by division

If burn rises, what happens to runway?

Answer: D. It falls

More burn, less time.

- ✗ A. It doubles: no
- ✗ B. It stays the same: no
- ✗ C. It rises: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q5 · question page 2704

ENT.FUND.05 · Runway by division

20,000 cash, 2,500 burn. What is the runway?

Answer: B. 8 months

20,000 / 2,500 = 8.

- ✗ A. 17,500 months: subtracted
- ✗ C. 2.5 months: burn
- ✗ D. 50,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q1 · question page 2705

ENT.FUND.05 · Apply it: read cash versus profit

A startup has 40,000 dollars from investors and loses 5,000 a month. How many months of runway?

Answer: A. 8 months

40,000 / 5,000 = 8.

- ✗ B. 5 months: burn in thousands
- ✗ C. 35,000 months: subtracted
- ✗ D. 200,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q2 · question page 2706

ENT.FUND.05 · Apply it: read cash versus profit

The founder says, "We have 40,000, so we are profitable." What is wrong?

Answer: A. Raised money is not profit; it loses money monthly

Cash versus profit.

- ✗ B. Losses are a type of profit: no
- ✗ C. Nothing; cash always means profit: not true
- ✗ D. Investors always guarantee profit to the founders: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F1-Q3 · question page 2707

ENT.FUND.05 · Apply it: read cash versus profit

If burn is cut from 5,000 to 4,000 a month, what is the new runway on 40,000?

Answer: D. 10 months

40,000 / 4,000 = 10.

- ✗ A. 9 months: miscalculated
- ✗ B. 4 months: burn
- ✗ C. 8 months: old

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q4 · question page 2708

ENT.FUND.05 · Apply it: read cash versus profit

A shop sells an item for 15 dollars that costs 18 dollars to make and ship. Raising more money will do what?

Answer: B. Fund more losses unless price or cost changes

Fix unit economics.

- ✗ A. Remove the costs: no
- ✗ C. Turn the loss on each sale into a profit: no
- ✗ D. Make each sale profitable: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F1-Q5 · question page 2709

ENT.FUND.05 · Apply it: read cash versus profit

A 25,000-dollar loan arrives and the bank balance rises. What should the books show?

Answer: A. Cash up and a loan owed, with no profit from it

Record properly.

- ✗ B. 25,000 dollars of profit earned for the month: not profit
- ✗ C. 25,000 dollars of sales: not sales
- ✗ D. Nothing at all: must record

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q1 · question page 2710

ENT.FUND.05 · Handle the complications: celebrating the wrong number

A reward crowdfunding campaign raised 20,000 dollars by promising each backer a product. The owner wants to spend it on a launch party. What is the problem?

Answer: D. The money is owed to backers as products

Obligations first.

- ✗ A. No problem, because campaign money is profit: not profit
- ✗ B. Parties are always tax free: irrelevant
- ✗ C. Backers expect nothing: they expect rewards

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q2 · question page 2711

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Runway is 6 months. When should the owner act to raise more or cut costs?

Answer: C. Well before cash runs out

Plan ahead.

- ✗ A. Never; it will work out: risky
- ✗ B. In the last week: too late
- ✗ D. After cash hits zero: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q3 · question page 2712

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Burn is 6,000 a month, cash is 30,000, and sales add 1,500 a month of net cash. What is the runway using net burn?

Answer: B. 6 full months

30,000 / (6,000 - 1,500) = 6.67, so 6 full months.

- ✗ A. 20 months: divided by sales

✗ C. 5 full months: gross burn

✗ D. 4 months: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S129-F2-Q4 · question page 2713

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Investors ask for a profit plan. What should it show?

Answer: A. How sales will exceed costs over time

Path to profit.

✗ B. Only the logo and website: irrelevant

✗ C. How much more money to raise forever: not profit

✗ D. Only the founder's salary: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q5 · question page 2714

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Which statement is accurate?

Answer: C. Loans and investor money add cash but are financing, not profit.

Financing adds cash; profit is recognized income minus expenses.

✗ A. Loans count as profit.: not true

✗ B. Raising money is the same as earning it from customers.: not true

✗ D. Runway grows when burn increases.: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q1 · question page 2716

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

Price 40; product 15, packaging 2, shipping 8, fees 1.50. What is the contribution per order?

Answer: C. 13.50 dollars

40 - 15 - 2 - 8 - 1.50 = 13.50.

- ✗ A. 25.00 dollars: only product cost
- ✗ B. 26.50 dollars: total costs
- ✗ D. 40.00 dollars: price

Arithmetic checked by code: yes. Sources: none (stable)

S130-M-Q2 · question page 2717

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

What is customer acquisition cost?

Answer: A. Marketing spend divided by new customers

CAC.

- ✗ B. Total sales for the year: revenue
- ✗ C. The cost of shipping each order to customers: one cost
- ✗ D. Price minus cost per item: contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q3 · question page 2718

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

Marketing spend 600 dollars brings 20 new customers. What is CAC?

Answer: D. 30 dollars

600 / 20 = 30.

- ✗ A. 620 dollars: added
- ✗ B. 12,000 dollars: multiplied
- ✗ C. 20 dollars: count

Arithmetic checked by code: yes. Sources: none (stable)

S130-M-Q4 · question page 2719

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

What happens when a business grows with negative unit economics?

Answer: A. Its losses grow

Scale magnifies losses.

- ✗ B. Costs disappear: no
- ✗ C. Its losses shrink automatically: no
- ✗ D. It becomes profitable from size alone: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q5 · question page 2720

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

A customer brings 13.50 per order and orders once. CAC is 30. Does the first order cover CAC?

Answer: B. No, it falls short by 16.50

13.50 - 30 = -16.50.

- ✗ A. It breaks exactly even: no
- ✗ C. Cannot be known: can
- ✗ D. Yes, with 16.50 left over: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q1 · question page 2721

ENT.GROW.01 · A lemonade stand that pays people to stop by

The 1 dollar paid per new customer is like what?

Answer: C. Customer acquisition cost

Cost to gain a customer.

✗ A. The lemon cost: no

✗ B. The price per cup of lemonade: no

✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-B1-Q2 · question page 2722

ENT.GROW.01 · A lemonade stand that pays people to stop by

With one cup per customer, what happens?

Answer: D. The stand loses 50 cents per customer

0.50 - 1.00 = -0.50.

✗ A. It breaks even: no

✗ B. It earns 1 dollar: no

✗ C. It earns 50 cents for each new customer: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q3 · question page 2723

ENT.GROW.01 · A lemonade stand that pays people to stop by

With three cups per customer, how much is left per customer after paying the 1-dollar referral cost?

Answer: C. 0.50 dollars

3 x 0.50 = 1.50 before the referral cost; 1.50 - 1 = 0.50 left.

✗ A. 1.00 dollar: that is the referral cost

✗ B. 3.00 dollars: counted cups, not dollars

✗ D. 1.50 dollars: that is before the referral cost

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q4 · question page 2724

ENT.GROW.01 · A lemonade stand that pays people to stop by

If one-cup customers keep coming, what happens as the stand gets busier?

Answer: A. It loses more

Losses scale.

- ✗ B. It earns more: no
- ✗ C. Lemons get cheaper: not stated
- ✗ D. Nothing changes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-B1-Q5 · question page 2725

ENT.GROW.01 · A lemonade stand that pays people to stop by

What makes the deal work?

Answer: A. Customers coming back for more

Repeat purchases.

- ✗ B. Charging nothing: worse
- ✗ C. Paying the friend more per customer: worse
- ✗ D. Fewer cups: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F1-Q1 · question page 2726

ENT.GROW.01 · Apply it: test unit economics

A subscription box earns 9 dollars of contribution per month. Customers stay 6 months on average. What is contribution per customer?

Answer: B. 54 dollars

9 x 6 = 54.

- ✗ A. 1.50 dollars: divided
- ✗ C. 15 dollars: added
- ✗ D. 9 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q2 · question page 2727

ENT.GROW.01 · Apply it: test unit economics

Expected contribution is 9 dollars a month for an average stay of 6 months, so 9 x 6 = 54 dollars per customer. CAC is 40 dollars. On average, is a customer worth acquiring?

Answer: C. Yes, on average, because 54 is more than 40

54 > 40 on average; individual customers will vary.

- ✗ A. Neither, because the two amounts are equal: they differ
- ✗ B. No, because 40 is more than 54: reversed
- ✗ D. It cannot be told from these numbers: it can

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q3 · question page 2728

ENT.GROW.01 · Apply it: test unit economics

Expected contribution per customer is 54 dollars and CAC is 40 dollars. By how much does contribution exceed CAC per customer?

Answer: A. 14 dollars

54 - 40 = 14.

- ✗ B. 94 dollars: added
- ✗ C. 40 dollars: CAC
- ✗ D. 54 dollars: contribution

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q4 · question page 2729

ENT.GROW.01 · Apply it: test unit economics

A subscription box brings 9 dollars of contribution a month. Shipping rises by 3 dollars per box. What is the new monthly contribution?

Answer: D. 6 dollars

9 - 3 = 6.

- ✗ A. 12 dollars: added
- ✗ B. 9 dollars: old
- ✗ C. 3 dollars: the rise

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q5 · question page 2730

ENT.GROW.01 · Apply it: test unit economics

With 6 dollars a month for 6 months and CAC 40, what happens?

Answer: B. Each customer now loses 4 dollars

36 - 40 = -4.

- ✗ A. Each still earns 14 dollars, as before: old
- ✗ C. Each earns 36 dollars: ignored CAC
- ✗ D. It breaks exactly even: no

Arithmetic checked by code: yes. Sources: none (stable)

S130-F2-Q1 · question page 2731

ENT.GROW.01 · Handle the complications: hidden costs and averages

Contribution per order ignores returns. 10 percent of orders return and lose 20 dollars each. What is the average return cost per order?

Answer: C. 2 dollars

0.10 x 20 = 2.

- ✗ A. 10 dollars: percent
- ✗ B. 0.20 dollars: moved decimal
- ✗ D. 20 dollars: per return

Arithmetic checked by code: yes. Sources: none (stable)

S130-F2-Q2 · question page 2732

ENT.GROW.01 · Handle the complications: hidden costs and averages

An owner plans to "make it up on volume" while losing money on each sale. What is wrong?

Answer: D. More volume multiplies the loss

Fix per-unit first.

- ✗ A. Losses become profit after 100 sales: no
- ✗ B. Volume lowers taxes to zero: no
- ✗ C. Nothing; volume always fixes losses: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q3 · question page 2733

ENT.GROW.01 · Handle the complications: hidden costs and averages

CAC from ads is 25 dollars, but referrals bring customers at 8 dollars. Overall CAC averages 18. What should the owner study?

Answer: C. Which channels bring profitable customers

Channel-level CAC.

- ✗ A. Only the logo: irrelevant
- ✗ B. Nothing, because averages tell everything needed: not always
- ✗ D. Only the overall average: hides differences

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q4 · question page 2734

ENT.GROW.01 · Handle the complications: hidden costs and averages

Free shipping raised orders but cut contribution per order to 1 dollar. What should the owner check?

Answer: B. Whether total contribution actually rose

Look at totals.

✗ A. Only the number of orders: incomplete

✗ C. Only customer compliments: incomplete

✗ D. Nothing; more orders is always better: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q5 · question page 2735

ENT.GROW.01 · Handle the complications: hidden costs and averages

Which statement is accurate?

Answer: D. Growth is more likely to help when contribution per customer exceeds CAC.

Growth multiplies whatever each customer brings after costs and acquisition, so check unit economics first.

✗ A. Shipping and payment fees can safely be left out of unit economics.: they count

✗ B. CAC never matters for small shops that sell online.: it does

✗ C. Growth always fixes losses, whatever each sale earns.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q1 · question page 2737

ENT.GROW.02 · Track retention and build repeat sales

What is retention?

Answer: D. The share of customers who come back

Returning customers.

✗ A. A type of business loan: no

✗ B. Holding back an employee's pay: no

✗ C. The number of new ads placed each month: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q2 · question page 2738

ENT.GROW.02 · Track retention and build repeat sales

Of 200 customers, 60 buy again within 90 days. What is the 90-day repeat rate?

Answer: B. 30 percent

60 / 200 = 0.3.

- ✗ A. 3 percent: moved decimal
- ✗ C. 70 percent: non-repeat
- ✗ D. 60 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S131-M-Q3 · question page 2739

ENT.GROW.02 · Track retention and build repeat sales

Which habit encourages repeat sales?

Answer: B. A reminder when a refill is due, sent with permission

Stay in touch.

- ✗ A. Ignoring past customers: opposite
- ✗ C. Changing quality randomly: opposite
- ✗ D. Making reordering harder so customers try new things: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q4 · question page 2740

ENT.GROW.02 · Track retention and build repeat sales

Why does retention matter?

Answer: D. Keeping customers usually costs less than finding new ones

Efficiency.

✗ A. Retention lowers product quality: no

✗ B. New customers are always free: not true

✗ C. It replaces the need for any new sales or marketing at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q5 · question page 2741

ENT.GROW.02 · Track retention and build repeat sales

A business loses most customers after one purchase. What must it do?

Answer: D. Keep finding new customers constantly

Low retention is costly.

✗ A. Nothing different: no

✗ B. Raise prices for the few customers left: not the point

✗ C. Stop marketing: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q1 · question page 2742

ENT.GROW.02 · A favorite barber

Why do people return to the barber?

Answer: C. Good cuts, easy booking and being remembered

Reasons to return.

✗ A. The shop is far away: no

✗ B. Prices change a lot at every single visit: no

✗ D. The barber is rude: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q2 · question page 2743

ENT.GROW.02 · A favorite barber

What does a returning customer save the barber?

Answer: A. The cost of attracting someone new

Acquisition cost.

- ✗ B. Rent: no
- ✗ C. Taxes: no
- ✗ D. The cost of buying new scissors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q3 · question page 2744

ENT.GROW.02 · A favorite barber

Easy booking is like what in business?

Answer: A. Easy reordering

Low friction.

- ✗ B. A long wait: no
- ✗ C. A hidden phone number: no
- ✗ D. A complicated form: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q4 · question page 2745

ENT.GROW.02 · A favorite barber

Being remembered is like what?

Answer: A. Staying in touch with customers

Relationship.

- ✗ B. Forgetting customers after one visit: no
- ✗ C. Ignoring complaints: no
- ✗ D. Raising prices: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q5 · question page 2746

ENT.GROW.02 · A favorite barber

What extra benefit can happy regulars bring?

Answer: B. Referrals of friends

Word of mouth.

- ✗ A. More complaints: no
- ✗ C. Lower quality: no
- ✗ D. Higher rent for the shop: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F1-Q1 · question page 2747

ENT.GROW.02 · Apply it: improve repeat sales

A coffee bean seller's customers run out in about 30 days. Which step encourages reorders?

Answer: D. A reminder email around day 25, with permission

Timely reminder.

- ✗ A. Making the reorder page hard to find on the site: opposite
- ✗ B. No contact after the first sale: missed
- ✗ C. A reminder at day 120: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F1-Q2 · question page 2748

ENT.GROW.02 · Apply it: improve repeat sales

Repeat rate rises from 20 to 35 percent of 400 customers. How many more customers buy again?

Answer: A. 60

140 - 80 = 60.

- ✗ B. 140: new count
- ✗ C. 15: percent difference
- ✗ D. 80: old count

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q3 · question page 2749

ENT.GROW.02 · Apply it: improve repeat sales

Each repeat order brings 12 dollars of contribution. What do those 60 extra repeat orders bring?

Answer: C. 720 dollars

60 x 12 = 720.

- ✗ A. 72 dollars: added
- ✗ B. 60 dollars: count
- ✗ D. 12 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q4 · question page 2750

ENT.GROW.02 · Apply it: improve repeat sales

A loyalty card gives the 10th coffee free at 4 dollars. What is the discount spread over 10 coffees, per coffee?

Answer: B. 0.40 dollars

4 / 10 = 0.40.

- ✗ A. 40 dollars: multiplied
- ✗ C. 0.04 dollars: moved decimal
- ✗ D. 4.00 dollars: whole

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q5 · question page 2751

ENT.GROW.02 · Apply it: improve repeat sales

Customers say reordering requires creating a new account each time. What should change?

Answer: D. Make reordering easy

Reduce friction.

- ✗ A. Ignore the feedback: loses sales
- ✗ B. Add more steps: worse
- ✗ C. Remove the reorder option: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q1 · question page 2752

ENT.GROW.02 · Handle the complications: discounts and declining quality

Repeat sales fall after the owner switched to a cheaper supplier. What should she check?

Answer: B. Whether quality dropped

Quality drives retention.

- ✗ A. Only the logo: irrelevant
- ✗ C. Only competitors' ads: not first
- ✗ D. Nothing; price is all customers notice: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q2 · question page 2753

ENT.GROW.02 · Handle the complications: discounts and declining quality

A loyalty discount is so big that repeat orders barely break even. What should the owner do?

Answer: A. Adjust the reward so repeat orders stay profitable

Profitable loyalty.

- ✗ B. Increase the discount further to win more loyalty: worse
- ✗ C. Remove all contact with customers: worse

✗ D. Ignore the math: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q3 · question page 2754

ENT.GROW.02 · Handle the complications: discounts and declining quality

An email list sends daily promotions and many unsubscribe. What might help?

Answer: D. Fewer, more useful messages

Respect attention.

✗ A. Hiding the unsubscribe link: improper
✗ B. Buying a new list: no consent
✗ C. Even more daily emails: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q4 · question page 2755

ENT.GROW.02 · Handle the complications: discounts and declining quality

Of 500 customers last quarter, 150 returned this quarter. What percent did not return?

Answer: C. 70 percent

350 / 500 = 0.7.

✗ A. 35 percent: miscalculated
✗ B. 150 percent: count
✗ D. 30 percent: returned

Arithmetic checked by code: yes. Sources: none (stable)

S131-F2-Q5 · question page 2756

ENT.GROW.02 · Handle the complications: discounts and declining quality

Which statement is accurate?

Answer: A. Repeat customers lower the effort and cost of growth.

Keep customers.

- ✗ B. New customers are always cheaper to get.: not usually
- ✗ C. Bigger discounts always build loyalty profitably.: not always
- ✗ D. Retention never matters for small shops.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q1 · question page 2758

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Which is a sign a business is ready to grow?

Answer: D. Steady demand it is turning away

Evidence of demand.

- ✗ A. A competitor growing quickly: not your evidence
- ✗ B. A friend saying it should grow: opinion
- ✗ C. One very good day last year: not steady

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q2 · question page 2759

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

What does growing in small steps mean?

Answer: C. Adding one helper, product or location and measuring

Measured steps.

- ✗ A. Never changing anything: no growth
- ✗ B. Doubling everything overnight: big leap
- ✗ D. Opening five locations at once with no testing: big leap

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q3 · question page 2760

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

What should happen if growth causes many late orders?

Answer: B. Slow down and fix the process

Protect quality.

- ✗ A. Grow even faster to catch up: worse
- ✗ C. Lower quality further: worse
- ✗ D. Ignore the complaints: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q4 · question page 2761

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Which is NOT a sign of readiness?

Answer: C. Losing money on each sale

Negative unit economics.

- ✗ A. Steady unmet demand: sign
- ✗ B. Enough cash for the step: sign
- ✗ D. Reliable processes: sign

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q5 · question page 2762

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Why can growing too fast hurt?

Answer: C. It can break what made the business work

Strain.

- ✗ A. Fast growth is always safe for small businesses: not always
- ✗ B. Customers prefer chaos: no

✗ D. Quality never changes: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q1 · question page 2763

ENT.GROW.03 · Adding floors to a building

The foundation is like what in business?

Answer: B. Proven demand, processes and cash

What growth rests on.

✗ A. A competitor: no
✗ C. A new logo: no
✗ D. A big opening party for friends: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q2 · question page 2764

ENT.GROW.03 · Adding floors to a building

Adding a floor is like what?

Answer: D. A growth step

Expansion.

✗ A. A complaint: no
✗ B. A tax filing: no
✗ C. A refund: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q3 · question page 2765

ENT.GROW.03 · Adding floors to a building

What does the builder check first?

Answer: C. Whether the foundation can hold the floor

Readiness.

- ✗ A. The paint color: no
- ✗ B. The view from the new roof deck at night: no
- ✗ D. The neighbor's opinion: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q4 · question page 2766

ENT.GROW.03 · Adding floors to a building

What happens with a weak foundation?

Answer: C. The whole building is at risk

Fragile growth.

- ✗ A. Rent goes down: no
- ✗ B. It grows stronger with each floor: no
- ✗ D. Nothing at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q5 · question page 2767

ENT.GROW.03 · Adding floors to a building

When is each floor added?

Answer: D. After the ones below are solid

Step by step.

- ✗ A. All at once, on the very first day: no
- ✗ B. Randomly: no
- ✗ C. Before planning: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q1 · question page 2768

ENT.GROW.03 · Apply it: decide on a growth step

A bakery turns away about 30 custom-cake orders a month, has positive contribution and 3 months of cash. Which step fits?

Answer: B. Hire one part-time baker and measure results

Measured step.

- ✗ A. Do nothing despite demand: missed
- ✗ C. Open three new shops at once across town: too big
- ✗ D. Cut quality to bake faster: harms brand

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q2 · question page 2769

ENT.GROW.03 · Apply it: decide on a growth step

Each custom cake brings 25 dollars of contribution. 30 extra cakes would bring how much a month?

Answer: C. 750 dollars

30 x 25 = 750.

- ✗ A. 55 dollars: added
- ✗ B. 25 dollars: one
- ✗ D. 300 dollars: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S132-F1-Q3 · question page 2770

ENT.GROW.03 · Apply it: decide on a growth step

Each custom cake brings 25 dollars of contribution. A part-time baker costing 600 dollars a month would allow 30 extra cakes. What is the net gain if all 30 are made?

Answer: D. 150 dollars

750 - 600 = 150.

✗ A. 600 dollars: cost

✗ B. 1,350 dollars: added

✗ C. 750 dollars: gross

Arithmetic checked by code: yes. Sources: none (stable)

S132-F1-Q4 · question page 2771

ENT.GROW.03 · Apply it: decide on a growth step

After hiring, late orders rise from 2 to 9 a month. What should the owner do?

Answer: A. Pause growth and fix training or scheduling

Protect quality.

✗ B. Raise prices to hide it: not a fix

✗ C. Ignore the late orders: harms trust

✗ D. Hire three more bakers immediately to catch up: more strain

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q5 · question page 2772

ENT.GROW.03 · Apply it: decide on a growth step

Which evidence is strongest before opening a second location?

Answer: C. A waiting list of customers near that area

Demand evidence.

✗ A. A cheap lease offer in that area, alone: not demand

✗ B. A cousin's encouragement: opinion

✗ D. A dream about expansion: no evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q1 · question page 2773

ENT.GROW.03 · Handle the complications: pressure to grow

An investor pushes the owner to open 5 stores this year, but the first store is barely profitable. What should she weigh?

Answer: D. Whether the first store's results support expansion

Evidence first.

- ✗ A. Only the store colors: irrelevant
- ✗ B. Nothing; growth is always right: not always
- ✗ C. Only the investor's excitement about growing fast: not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q2 · question page 2774

ENT.GROW.03 · Handle the complications: pressure to grow

A big retailer offers a large order that would need all production for 3 months, stopping regular customers. What is the risk?

Answer: B. Losing regular customers and depending on one buyer

Concentration and quality risk.

- ✗ A. Regular customers never leave: they can
- ✗ C. No risk, because big orders are always good news: not always
- ✗ D. Production capacity is unlimited: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q3 · question page 2775

ENT.GROW.03 · Handle the complications: pressure to grow

A growth step costs 4,000 dollars and adds 500 dollars a month of contribution. How many months to recover the cost?

Answer: C. 8 months

4,000 / 500 = 8.

- ✗ A. 4 months: miscalculated

✗ B. 500 months: confused

✗ D. 12 months: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S132-F2-Q4 · question page 2776

ENT.GROW.03 · Handle the complications: pressure to grow

Customer complaints doubled after growth. What is the lesson?

Answer: C. Growth strained quality and needs fixing

Listen to signals.

✗ A. Complaints are always fine: no

✗ B. Grow faster so complaints become a smaller share: worse

✗ D. Stop reading complaints: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q5 · question page 2777

ENT.GROW.03 · Handle the complications: pressure to grow

Which statement is accurate?

Answer: A. Grow in steps after evidence; slow down if quality slips.

Careful growth.

✗ B. Bigger leaps are always safer.: riskier

✗ C. Quality does not matter during growth.: it does

✗ D. Evidence is unnecessary before deciding to grow.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q1 · question page 2779

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

What is burnout?

Answer: D. Exhaustion and mistakes from overwork

Overwork harm.

- ✗ A. A marketing strategy for fast growth: no
- ✗ B. A kitchen fire in the shop: pun
- ✗ C. A tax penalty for late filing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q2 · question page 2780

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Which is a warning sign?

Answer: A. More mistakes and constant tiredness

Act early.

- ✗ B. Feeling rested after time off: healthy
- ✗ C. Steady, kept schedules: healthy
- ✗ D. Enjoying most days of work and rest: healthy

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q3 · question page 2781

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Which choice supports a sustainable pace?

Answer: C. Protecting days off

Rest.

- ✗ A. Saying yes to every request: overload
- ✗ B. Never taking a break for months: unsustainable
- ✗ D. Answering messages at 3 a.m. every night: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q4 · question page 2782

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Demand exceeds capacity. Which option helps both income and pace?

Answer: A. Raising prices

Manage demand.

- ✗ B. Skipping sleep: harmful
- ✗ C. Working 20 hours a day: unsustainable
- ✗ D. Lowering prices to attract more work: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q5 · question page 2783

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Why is a burned-out owner a business risk?

Answer: B. Mistakes and poor decisions become more likely

Owner health matters.

- ✗ A. Customers prefer tired, overworked owners: no
- ✗ C. Burnout increases profit: no
- ✗ D. It has no effect: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q1 · question page 2784

ENT.GROW.04 · A phone battery

What recharges the owner?

Answer: D. Rest

Recovery.

✗ A. Skipping meals: drains

✗ B. More work without breaks: drains

✗ C. Late-night emails: drains

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q2 · question page 2785

ENT.GROW.04 · A phone battery

Running on 1 percent is like what?

Answer: C. Working while exhausted

Low energy.

✗ A. A vacation: opposite

✗ B. Being well rested and alert: opposite

✗ D. A day off: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q3 · question page 2786

ENT.GROW.04 · A phone battery

What happens if the phone is never charged?

Answer: D. It shuts off at a bad moment

Burnout.

✗ A. It works faster than before: no

✗ B. Nothing: no

✗ C. It charges itself: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q4 · question page 2787

ENT.GROW.04 · A phone battery

Is planned charging laziness?

Answer: B. No, it keeps things working

Maintenance.

- ✗ A. Only on weekends: no
- ✗ C. Only for big businesses: no
- ✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q5 · question page 2788

ENT.GROW.04 · A phone battery

The owner is like what in the picture?

Answer: C. The phone battery

Energy source.

- ✗ A. The screen: no
- ✗ B. The charger cable: no
- ✗ D. The phone case: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q1 · question page 2789

ENT.GROW.04 · Apply it: rebalance a week

An owner works 70 hours a week and makes 4 order mistakes a week. Which change fits first?

Answer: B. Cut hours by declining poor-fit work or getting help

Reduce load.

- ✗ A. Stop sleeping to catch up: harmful
- ✗ C. Ignore the mistakes: harmful
- ✗ D. Add 10 more hours each week to fix the mistakes: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q2 · question page 2790

ENT.GROW.04 · Apply it: rebalance a week

She wants to cut from 70 to 50 hours a week. How many hours must be removed or delegated?

Answer: C. 20

70 - 50 = 20.

- ✗ A. 50: target
- ✗ B. 70: current
- ✗ D. 120: added

Arithmetic checked by code: yes. Sources: none (stable)

S133-F1-Q3 · question page 2791

ENT.GROW.04 · Apply it: rebalance a week

A price increase of 15 percent on 3,000 dollars of weekly sales with 10 percent fewer jobs. Assuming revenue scales with jobs, what is the new weekly revenue?

Answer: B. 3,105 dollars

3,000 x 1.15 x 0.90 = 3,105.

- ✗ A. 3,450 dollars: no fewer jobs
- ✗ C. 2,700 dollars: no price rise
- ✗ D. 3,000 dollars: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S133-F1-Q4 · question page 2792

ENT.GROW.04 · Apply it: rebalance a week

Which boundary is realistic for a solo owner?

Answer: A. "Messages answered 9 a.m. to 6 p.m. on weekdays."

Clear hours.

- ✗ B. "I never reply to anyone.": harmful
- ✗ C. "I reply instantly at any hour, every day.": unsustainable
- ✗ D. "Replies whenever I remember.": unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q5 · question page 2793

ENT.GROW.04 · Apply it: rebalance a week

A client always demands rush work at night for normal prices. What is a reasonable step?

Answer: A. Set rush fees or decline poor-fit requests

Protect time.

- ✗ B. Work every night forever: burnout
- ✗ C. Ignore the client entirely: harsh
- ✗ D. Always accept the rush work for free: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q1 · question page 2794

ENT.GROW.04 · Handle the complications: guilt and growth

An owner feels guilty taking a day off. What perspective helps?

Answer: C. Rest prevents mistakes and keeps the business running

Rest is maintenance.

- ✗ A. Guilt proves she is right: no
- ✗ B. Days off always harm a small business and its customers: not true
- ✗ D. Rest is only for employees: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q2 · question page 2795

ENT.GROW.04 · Handle the complications: guilt and growth

Burnout signs appear during a growth push. What should she do?

Answer: D. Slow the push and add support before continuing

Act early.

- ✗ A. Quit without a plan: drastic
- ✗ B. Hide the signs from everyone: harmful
- ✗ C. Push harder to finish the growth push faster: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q3 · question page 2796

ENT.GROW.04 · Handle the complications: guilt and growth

A helper costs 400 dollars a month and frees 25 hours. What is the cost per freed hour?

Answer: A. 16 dollars

400 / 25 = 16.

- ✗ B. 25 dollars: hours
- ✗ C. 10,000 dollars: multiplied
- ✗ D. 400 dollars: total

Arithmetic checked by code: yes. Sources: none (stable)

S133-F2-Q4 · question page 2797

ENT.GROW.04 · Handle the complications: guilt and growth

An owner says, "I'll rest after the business succeeds." What is the risk?

Answer: B. Burnout may arrive before success does

Sustainable now.

- ✗ A. Rest is never needed: it is
- ✗ C. No risk; success always comes first: not guaranteed

✗ D. Success removes all stress: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q5 · question page 2798

ENT.GROW.04 · Handle the complications: guilt and growth

Which statement is accurate?

Answer: C. A sustainable pace protects the owner and the business.

Pace matters.

✗ A. Longer hours always mean more success for owners.: not always
✗ B. Burnout only affects big companies.: not true
✗ D. Warning signs should be ignored.: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q1 · question page 2800

ENT.GROW.05 · Close or pause a business responsibly

What should happen to prepaid orders when closing?

Answer: D. Fulfill them or refund the customers

Honor obligations.

✗ A. Ship empty boxes to close the orders: dishonest
✗ B. Keep the money and say nothing to anyone: improper
✗ C. Ask customers to forget the orders: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q2 · question page 2801

ENT.GROW.05 · Close or pause a business responsibly

What is dissolution?

Answer: A. The state filing that formally ends an LLC or corporation

Formal ending.

- ✗ B. Mixing a drink with water: pun
- ✗ C. A new business license: no
- ✗ D. A sale of all remaining inventory at a big discount: not the term

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q3 · question page 2802

ENT.GROW.05 · Close or pause a business responsibly

Which step belongs in winding down?

Answer: B. Filing final tax returns

Close properly.

- ✗ A. Opening new subscriptions: opposite
- ✗ C. Ignoring supplier bills: improper
- ✗ D. Deleting all records immediately: keep records

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q4 · question page 2803

ENT.GROW.05 · Close or pause a business responsibly

Why keep records after closing?

Answer: D. They may be needed for the required period

Retention rules.

- ✗ A. To restart secretly: no
- ✗ B. Because records are profitable: no
- ✗ C. Records are never needed after closing: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q5 · question page 2804

ENT.GROW.05 · Close or pause a business responsibly

Why does closing well matter?

Answer: C. It protects reputation and future options

Integrity.

- ✗ A. It has no benefits: it does
- ✗ B. It guarantees a refund from the state: no
- ✗ D. It cancels all debts automatically: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q1 · question page 2805

ENT.GROW.05 · Moving out of an apartment the right way

Giving notice is like what in a business?

Answer: B. Telling customers and suppliers

Communication.

- ✗ A. Raising prices: no
- ✗ C. Opening a new store: no
- ✗ D. Hiding the closure from everyone: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q2 · question page 2806

ENT.GROW.05 · Moving out of an apartment the right way

Paying the last rent is like what?

Answer: B. Paying what the business owes

Settling debts.

- ✗ A. Ignoring the final bills that arrive: no
- ✗ C. A refund to yourself: no

✗ D. Buying inventory: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q3 · question page 2807

ENT.GROW.05 · Moving out of an apartment the right way

Returning the keys is like what?

Answer: B. Cancelling licenses and accounts

Closing access.

✗ A. Selling keys: no
✗ C. Making copies: no
✗ D. Keeping every account open just in case: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q4 · question page 2808

ENT.GROW.05 · Moving out of an apartment the right way

What happens if you just disappear?

Answer: A. Others are stuck and future options suffer

Consequences.

✗ B. Nothing happens: no
✗ C. Rent becomes free for everyone involved: no
✗ D. You get a bonus: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q5 · question page 2809

ENT.GROW.05 · Moving out of an apartment the right way

Forwarding your mail is like what?

Answer: C. Making sure final notices still reach you

Stay reachable.

- ✗ A. Throwing mail away: no
- ✗ B. Ignoring mail: no
- ✗ D. Changing your name to avoid the mail: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q1 · question page 2810

ENT.GROW.05 · Apply it: plan a closure

A shop closing has 12 prepaid orders it cannot fulfill, averaging 45 dollars. How much must be refunded?

Answer: C. 540 dollars

12 x 45 = 540.

- ✗ A. 57 dollars: added
- ✗ B. 450 dollars: 10 orders
- ✗ D. 45 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S134-F1-Q2 · question page 2811

ENT.GROW.05 · Apply it: plan a closure

Which closing message to customers is best?

Answer: D. "Closing June 30. Orders ship by June 20; others get refunds."

Clear and honest.

- ✗ A. "Closed. Good luck.": unclear
- ✗ B. "We may be back, maybe, eventually.": vague
- ✗ C. No message at all; the website just quietly goes offline: silence

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q3 · question page 2812

ENT.GROW.05 · Apply it: plan a closure

The business is an LLC. What state step is often needed?

Answer: A. Filing dissolution papers

Formal ending.

- ✗ B. Applying for a new EIN: unrelated
- ✗ C. Registering a new trademark: unrelated
- ✗ D. Nothing at all: often needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q4 · question page 2813

ENT.GROW.05 · Apply it: plan a closure

Subscriptions cost 18, 25 and 40 dollars a month. If not cancelled, what would they cost over 6 months?

Answer: C. 498 dollars

(18 + 25 + 40) x 6 = 498.

- ✗ A. 83 dollars: one month
- ✗ B. 996 dollars: 12 months
- ✗ D. 415 dollars: 5 months

Arithmetic checked by code: yes. Sources: none (stable)

S134-F1-Q5 · question page 2814

ENT.GROW.05 · Apply it: plan a closure

Cash is 2,000 dollars and supplier bills are 2,600 dollars. What is a responsible step?

Answer: B. Contact suppliers about a payment plan

Communicate.

- ✗ A. Spend the cash on new inventory: worse

✗ C. Ignore the bills: improper

✗ D. Pay one supplier and hide from others: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q1 · question page 2815

ENT.GROW.05 · Handle the complications: pausing and personal liability

An owner wants to pause for a year, not close. What should she check?

Answer: D. Which filings and fees continue while paused

Ongoing obligations.

✗ A. Only the logo: irrelevant

✗ B. Nothing; paused businesses have no duties: may continue

✗ C. Only her email signature: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q2 · question page 2816

ENT.GROW.05 · Handle the complications: pausing and personal liability

A sole proprietor closes with unpaid business debts. What should she understand?

Answer: B. She may still be personally responsible

Personal liability.

✗ A. All debts vanish when she closes: not true

✗ C. Suppliers cannot ask for payment: they can

✗ D. Closing the business cancels any taxes owed: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q3 · question page 2817

ENT.GROW.05 · Handle the complications: pausing and personal liability

An owner deletes all records the day she closes. What problem could arise?

Answer: A. She may need them for taxes or questions later

Keep records.

- ✗ B. None; records are useless after closing: not true
- ✗ C. It speeds up refunds: no
- ✗ D. It is required by law: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q4 · question page 2818

ENT.GROW.05 · Handle the complications: pausing and personal liability

Final payroll, taxes and reports are due. Who can help with complex final filings?

Answer: A. An accountant or tax professional

Professional help.

- ✗ B. A customer: not qualified
- ✗ C. Nobody; skip them: risky
- ✗ D. A random forum post about taxes: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q5 · question page 2819

ENT.GROW.05 · Handle the complications: pausing and personal liability

Which statement is accurate?

Answer: D. Closing well means honoring orders, paying debts and filing.

Responsible closure.

- ✗ A. Customers do not need notice.: they do
- ✗ B. Closing a business cancels all of its obligations at once.: not true
- ✗ C. Records can be deleted immediately.: keep them

Arithmetic checked by code: not applicable. Sources: none (stable)

S135-M-Q1 · question page 2821

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

According to the passage, what did Wrigley first sell in Chicago?

Answer: B. Soap

He started with soap.

- ✗ A. Candy bars and chocolate: not stated
- ✗ C. Chewing gum from the very start: came later
- ✗ D. Newspapers and magazines: not stated

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q2 · question page 2822

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

What was a premium in this story?

Answer: A. A free extra given with a purchase

An extra.

- ✗ B. A tax on gum: no
- ✗ C. A higher price for luxury buyers: different meaning
- ✗ D. An insurance payment: different meaning

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q3 · question page 2823

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

Why did he switch from soap to baking powder?

Answer: C. Baking powder proved more popular

Customer preference.

✗ A. Soap became illegal to sell: not stated

✗ B. A competitor forced him: not stated

✗ D. Baking powder was free to make: not stated

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q4 · question page 2824

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

Which lesson does this course draw?

Answer: D. Watch what customers prefer and be willing to change

Follow evidence.

✗ A. Ignore which extras customers like: opposite

✗ B. Give away your main product for free forever: not the lesson

✗ C. Never change your first product: opposite

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q5 · question page 2825

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

What does the passage say about the exact years?

Answer: A. They differ between sources

Uncertainty noted.

✗ B. They are certain and agreed everywhere: not stated

✗ C. They were all in 1891: not stated

✗ D. They are secret: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q1 · question page 2826

ENT.CASE.09 · Following what people actually pick

What did people keep asking for at the bake sale?

Answer: B. The lemonade extra

The extra was preferred.

- ✗ A. The cookies only: not the point
- ✗ C. Nothing at all: no
- ✗ D. The table: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q2 · question page 2827

ENT.CASE.09 · Following what people actually pick

What do you do next time?

Answer: C. Bring more lemonade

Follow demand.

- ✗ A. Hide the lemonade: no
- ✗ B. Bring nothing: no
- ✗ D. Bring only cookies again: ignores evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q3 · question page 2828

ENT.CASE.09 · Following what people actually pick

"Wrigley switched to baking powder" is which kind of statement?

Answer: A. Documented fact

Recorded.

- ✗ B. Course interpretation: documented
- ✗ C. A promise: no
- ✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q4 · question page 2829

ENT.CASE.09 · Following what people actually pick

"Follow what customers choose" is which kind?

Answer: C. The course's interpretation

Lesson drawn.

- ✗ A. A documented quote from Wrigley: no
- ✗ B. A tax rule: no
- ✗ D. A law: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q5 · question page 2830

ENT.CASE.09 · Following what people actually pick

What matters more than your plan?

Answer: B. What people actually choose

Evidence.

- ✗ A. Your first idea, always: no
- ✗ C. Your table color: no
- ✗ D. Your logo: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q1 · question page 2831

ENT.CASE.09 · Apply it: notice the product customers prefer

A candle shop gives a small free wax melt with each candle. Customers keep asking to buy the melts. What fits the lesson?

Answer: D. Test selling melts as a main product

Follow demand.

- ✗ A. Raise candle prices only: ignores melts
- ✗ B. Stop giving melts so people focus on candles: ignores evidence
- ✗ C. Ignore the requests: ignores evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q2 · question page 2832

ENT.CASE.09 · Apply it: notice the product customers prefer

Last month: 120 candles sold and 300 people asked about melts. What is the ratio of melt requests to candle sales?

Answer: A. 2.5 to 1

300 / 120 = 2.5.

- ✗ B. 420 to 1: added
- ✗ C. 180 to 1: difference
- ✗ D. 1 to 2.5: reversed

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F1-Q3 · question page 2833

ENT.CASE.09 · Apply it: notice the product customers prefer

Melts cost 1 dollar to make and could sell for 4 dollars. What is the contribution per melt?

Answer: B. 3 dollars

4 - 1 = 3.

- ✗ A. 5 dollars: added
- ✗ C. 4 dollars: price
- ✗ D. 1 dollar: cost

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F1-Q4 · question page 2834

ENT.CASE.09 · Apply it: notice the product customers prefer

Before switching fully, what should the owner do?

Answer: C. Run a small test sale of melts and measure

Test first.

- ✗ A. Ask only her family: biased
- ✗ B. Close the candle line immediately and switch: premature
- ✗ D. Order 10,000 melts at once: risky

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q5 · question page 2835

ENT.CASE.09 · Apply it: notice the product customers prefer

Which detail is documented, not interpreted?

Answer: A. Wrigley offered baking powder as a premium with soap

Recorded fact.

- ✗ B. Following customer evidence always guarantees success: interpretation
- ✗ C. Gum is always the best product: not documented
- ✗ D. Every switch makes money: not documented

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q1 · question page 2836

ENT.CASE.09 · Handle the complications: chasing every request

Three customers ask for very different products. What should the owner do?

Answer: D. Look for patterns across many customers before changing

Patterns, not one-offs.

- ✗ A. Ask only one customer: too few
- ✗ B. Switch products for each individual customer request: chasing noise

✗ C. Ignore all customers forever: misses evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q2 · question page 2837

ENT.CASE.09 · Handle the complications: chasing every request

The new product is popular but earns less contribution than the old one. What should the owner weigh?

Answer: B. Total contribution, not just popularity

Look at the money.

✗ A. Only the logo: irrelevant
✗ C. Nothing; popular means profitable: not always
✗ D. Only popularity: incomplete

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q3 · question page 2838

ENT.CASE.09 · Handle the complications: chasing every request

Someone says, "Wrigley switched products, so I should change mine every month." What is wrong?

Answer: B. Follow clear evidence; do not change constantly

Evidence-based change.

✗ A. Nothing, because constant change always works for businesses: not true
✗ C. Changes are illegal: no
✗ D. Wrigley never switched: he did

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q4 · question page 2839

ENT.CASE.09 · Handle the complications: chasing every request

Free extras cost 0.50 dollars each across 400 sales. What do the extras cost in total?

Answer: D. 200 dollars

400 x 0.50 = 200.

- ✗ A. 400 dollars: count
- ✗ B. 800 dollars: doubled
- ✗ C. 0.50 dollars: one

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F2-Q5 · question page 2840

ENT.CASE.09 · Handle the complications: chasing every request

Which statement is accurate?

Answer: C. The case suggests following evidence; test your own market.

Test and adapt.

- ✗ A. Original plans should never change.: opposite
- ✗ B. Free premiums always cause a business to succeed.: not true
- ✗ D. Gum is the right product for every new business owner.: not true

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S136-M-Q1 · question page 2842

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Which time should be included in an estimate?

Answer: D. All of it: setup, travel, cleanup, messages and the work

All time.

- ✗ A. Only the minutes spent doing the main task itself: misses hidden time
- ✗ B. Only travel, since the work is the easy part: misses work
- ✗ C. Only the time the customer can see you working: misses hidden time

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-M-Q2 · question page 2843

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

5 hours at 40 dollars plus 50 dollars of materials. What is the subtotal?

Answer: D. 250 dollars

5 x 40 + 50 = 250.

- ✗ A. 2,050 dollars: multiplied wrongly
- ✗ B. 200 dollars: no materials
- ✗ C. 95 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S136-M-Q3 · question page 2844

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Add 10 percent contingency to 250 dollars. What is the estimate?

Answer: A. 275 dollars

250 x 1.10 = 275.

- ✗ B. 250 dollars: no contingency
- ✗ C. 260 dollars: added 10 dollars
- ✗ D. 25 dollars: contingency only

Arithmetic checked by code: yes. Sources: none (stable)

S136-M-Q4 · question page 2845

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Why compare actual time with the estimate afterward?

Answer: B. To improve future estimates

Learn and adjust.

✗ A. Because estimates never matter: they do

✗ C. To charge the customer extra secretly: improper

✗ D. To delete old records: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-M-Q5 · question page 2846

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

What is contingency in an estimate?

Answer: D. A small extra amount for surprises

Buffer.

✗ A. A separate fee charged for travel only: part of time

✗ B. The materials cost: separate

✗ C. The customer's tip: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-B1-Q1 · question page 2847

ENT.SVC.01 · Hours times rate plus extras

4 hours at 35 dollars. What is the labor cost?

Answer: A. 140

4 x 35 = 140.

✗ B. 8.75: divided

✗ C. 35: rate

✗ D. 39: added

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q2 · question page 2848

ENT.SVC.01 · Hours times rate plus extras

Labor 140 plus materials 40. What is the subtotal?

Answer: C. 180

140 + 40 = 180.

- ✗ A. 140: labor only
- ✗ B. 100: subtracted
- ✗ D. 5,600: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q3 · question page 2849

ENT.SVC.01 · Hours times rate plus extras

180 plus 10 percent. What is the total?

Answer: A. 198

180 x 1.10 = 198.

- ✗ B. 180: none
- ✗ C. 190: added 10
- ✗ D. 18: percent only

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q4 · question page 2850

ENT.SVC.01 · Hours times rate plus extras

Which order is correct?

Answer: D. Labor, then add materials, then add the percent

Order matters.

- ✗ A. Add hours to rate: wrong
- ✗ B. Materials times rate: wrong
- ✗ C. Percent first, then labor, then materials last: wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-B1-Q5 · question page 2851

ENT.SVC.01 · Hours times rate plus extras

2.5 hours at 60 dollars. What is the labor cost?

Answer: B. 150

2.5 x 60 = 150.

- ✗ A. 62.5: added
- ✗ C. 120: 2 hours
- ✗ D. 24: divided

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q1 · question page 2852

ENT.SVC.01 · Apply it: estimate real jobs

A painter estimates 7 hours of painting, 1 hour of setup, 1 hour of cleanup and 1 hour of travel at 45 dollars, plus 120 dollars of paint. What is the subtotal before contingency?

Answer: C. 570 dollars

10 x 45 + 120 = 570.

- ✗ A. 165 dollars: added rate
- ✗ B. 450 dollars: labor only
- ✗ D. 435 dollars: painting only

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q2 · question page 2853

ENT.SVC.01 · Apply it: estimate real jobs

A painter's estimate subtotal is 570 dollars. With 10 percent contingency, what is the estimate?

Answer: A. 627 dollars

570 x 1.10 = 627.

- ✗ B. 57 dollars: contingency only
- ✗ C. 570 dollars: none
- ✗ D. 580 dollars: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q3 · question page 2854

ENT.SVC.01 · Apply it: estimate real jobs

The job actually took 12 hours instead of 10. What is the labor overrun at 45 dollars an hour?

Answer: C. 90 dollars

2 x 45 = 90.

- ✗ A. 45 dollars: one hour
- ✗ B. 540 dollars: all hours
- ✗ D. 2 dollars: hours

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q4 · question page 2855

ENT.SVC.01 · Apply it: estimate real jobs

The estimate included a 57-dollar contingency, and the labor overrun was 90 dollars. Did the contingency cover the overrun?

Answer: D. No, it fell 33 dollars short

90 - 57 = 33.

- ✗ A. Yes, exactly: no
- ✗ B. Cannot tell: can
- ✗ C. Yes, with 33 dollars to spare: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q5 · question page 2856

ENT.SVC.01 · Apply it: estimate real jobs

What should the painter do on future similar jobs?

Answer: D. Estimate more time for this kind of job

Adjust.

- ✗ A. Keep the same estimate for the next job: ignores data
- ✗ B. Stop tracking time: no learning
- ✗ C. Remove the contingency: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q1 · question page 2857

ENT.SVC.01 · Handle the complications: unknowns and pressure

A job has unknowns, such as hidden water damage. What is a fair way to estimate?

Answer: D. Give a range and explain what could change it

Ranges with assumptions.

- ✗ A. Promise no changes to the price no matter what: risky
- ✗ B. Give one low number and hope: risky
- ✗ C. Refuse to estimate any job: loses work

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q2 · question page 2858

ENT.SVC.01 · Handle the complications: unknowns and pressure

A client says another provider quoted much lower. What should the owner check first?

Answer: C. Whether the other quote includes the same work

Compare scope.

- ✗ A. Only the other provider's logo: irrelevant
- ✗ B. Only how friendly the client is: not enough

✗ D. Nothing, because she should match the lower quote instantly: may lose money

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q3 · question page 2859

ENT.SVC.01 · Handle the complications: unknowns and pressure

Over 5 jobs, actual hours were 10 percent above estimates on average. Next job estimates 20 hours. What adjusted estimate fits?

Answer: C. 22 hours

20 x 1.10 = 22.

✗ A. 30 hours: added 10 hours
✗ B. 18 hours: wrong direction
✗ D. 20 hours: unadjusted

Arithmetic checked by code: yes. Sources: none (stable)

S136-F2-Q4 · question page 2860

ENT.SVC.01 · Handle the complications: unknowns and pressure

An owner never counts travel time in estimates. What happens over many jobs?

Answer: B. She works many unpaid hours

Hidden time adds up.

✗ A. Her rate rises automatically: no
✗ C. Nothing at all: hidden cost
✗ D. Customers pay extra anyway: not if unbilled

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q5 · question page 2861

ENT.SVC.01 · Handle the complications: unknowns and pressure

Which statement is accurate?

Answer: D. Good estimates include all time, materials and a buffer.

Complete and learning.

- ✗ A. Contingency is dishonest.: not true
- ✗ B. Estimates never need adjusting.: they do
- ✗ C. Estimates should only count the visible work done on site.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q1 · question page 2863

ENT.SVC.02 · Calculate daily appointment capacity including travel

A day has 8 hours. Each appointment is 1 hour plus 30 minutes of travel. How many full appointments fit?

Answer: A. 5

8 / 1.5 = 5.33, so 5.

- ✗ B. 6: rounded up
- ✗ C. 8: ignored travel
- ✗ D. 4: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-M-Q2 · question page 2864

ENT.SVC.02 · Calculate daily appointment capacity including travel

What is routing?

Answer: B. Grouping clients by area to reduce travel

Efficient travel.

- ✗ A. A computer network for the office: pun
- ✗ C. Cancelling clients who live far away: no
- ✗ D. Charging more for far-away clients only: different

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q3 · question page 2865

ENT.SVC.02 · Calculate daily appointment capacity including travel

Why include a buffer?

Answer: D. To handle delays without making later clients wait

Absorb delays.

- ✗ A. To take more appointments: opposite
- ✗ B. Because buffers are required by law for services: no
- ✗ C. To charge for unused time: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q4 · question page 2866

ENT.SVC.02 · Calculate daily appointment capacity including travel

What wastes capacity?

Answer: B. No-shows and late cancellations

Lost slots.

- ✗ A. Accurate scheduling: no
- ✗ C. Clients who arrive on time: no
- ✗ D. Grouping by area: helps

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q5 · question page 2867

ENT.SVC.02 · Calculate daily appointment capacity including travel

Cutting travel from 30 to 15 minutes per appointment in an 8-hour day with 1-hour appointments allows how many?

Answer: A. 6

8 / 1.25 = 6.4, so 6.

✗ B. 7: rounded up

✗ C. 8: no travel

✗ D. 5: old

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q1 · question page 2868

ENT.SVC.02 · Dividing the day into slots

45 minutes is how many hours?

Answer: D. 0.75

45 / 60 = 0.75.

✗ A. 1.5: no

✗ B. 0.45: not converted

✗ C. 0.25: no

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q2 · question page 2869

ENT.SVC.02 · Dividing the day into slots

6 hours / 1.5 hours per slot. How many slots?

Answer: C. 4

6 / 1.5 = 4.

✗ A. 9: multiplied

✗ B. 7.5: added

✗ D. 4.5: not whole

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q3 · question page 2870

ENT.SVC.02 · Dividing the day into slots

7 hours / 1.25 hours, rounded down?

Answer: B. 5

7 / 1.25 = 5.6, so 5.

- ✗ A. 8.75: multiplied
- ✗ C. 5.6: not rounded
- ✗ D. 6: rounded up

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q4 · question page 2871

ENT.SVC.02 · Dividing the day into slots

Why round down?

Answer: B. A partial appointment cannot be sold

Whole slots only.

- ✗ A. Hours are fake: no
- ✗ C. It does not matter: it does
- ✗ D. Rounding up is always better for the owner: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-B1-Q5 · question page 2872

ENT.SVC.02 · Dividing the day into slots

1 hour plus 15 minutes travel is how many hours?

Answer: C. 1.25

1 + 0.25 = 1.25.

- ✗ A. 0.75: subtracted
- ✗ B. 1.15: not converted
- ✗ D. 16: added minutes

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q1 · question page 2873

ENT.SVC.02 · Apply it: plan a mobile service day

A mobile groomer works 9 hours. Each groom is 1.5 hours with 30 minutes of driving. How many grooms fit?

Answer: A. 4

9 / 2 = 4.5, so 4.

- ✗ B. 5: rounded up
- ✗ C. 6: ignored driving
- ✗ D. 3: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q2 · question page 2874

ENT.SVC.02 · Apply it: plan a mobile service day

Routing cuts driving to 15 minutes each. How many grooms fit now?

Answer: B. 5

9 / 1.75 = 5.14, so 5.

- ✗ A. 4: old
- ✗ C. 6: ignored driving
- ✗ D. 7: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q3 · question page 2875

ENT.SVC.02 · Apply it: plan a mobile service day

A mobile groomer works 9 hours a day; each groom takes 1.5 hours. Routing cuts driving between grooms from 30 to 15 minutes, so grooms rise from 4 to 5 a day. Each groom earns 70 dollars. How much more per day does routing allow?

Answer: D. 70 dollars

5 x 70 - 4 x 70 = 70.

- ✗ A. 350 dollars: new total
- ✗ B. 280 dollars: old total
- ✗ C. 140 dollars: two grooms

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q4 · question page 2876

ENT.SVC.02 · Apply it: plan a mobile service day

Two no-shows a week at 70 dollars each cost how much over 4 weeks?

Answer: C. 560 dollars

2 x 70 x 4 = 560.

- ✗ A. 140 dollars: one week
- ✗ B. 280 dollars: two weeks
- ✗ D. 70 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q5 · question page 2877

ENT.SVC.02 · Apply it: plan a mobile service day

Which policy helps reduce no-shows?

Answer: A. Reminder messages and a deposit for bookings

Reduce waste.

- ✗ B. Booking clients across the whole state each day: more travel
- ✗ C. Removing the cancellation policy: worse
- ✗ D. No reminders at all: more no-shows

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q1 · question page 2878

ENT.SVC.02 · Handle the complications: overbooking and long days

An owner books 6 appointments in a day that fits 4 with travel. What is the likely result?

Answer: C. Late arrivals and rushed work

Overbooking hurts.

- ✗ A. Everything goes perfectly on time: unlikely
- ✗ B. More free time: no
- ✗ D. Lower costs: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q2 · question page 2879

ENT.SVC.02 · Handle the complications: overbooking and long days

Clients across town request the same day. What helps?

Answer: C. Assign days to areas so routes stay short

Area days.

- ✗ A. Refuse all far clients forever: loses work
- ✗ B. Drive back and forth across town all day: wasteful
- ✗ D. Charge nothing for travel: loses money

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q3 · question page 2880

ENT.SVC.02 · Handle the complications: overbooking and long days

A 10-hour day fits 5 appointments at 2 hours each with no buffer. Adding a 20-minute buffer to each, how many fit?

Answer: A. 4

10 / 2.33 = 4.29, so 4.

✗ B. 5: ignored buffer

✗ C. 6: miscalculated

✗ D. 3: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-F2-Q4 · question page 2881

ENT.SVC.02 · Handle the complications: overbooking and long days

Fewer appointments with buffers earn less per day. What can offset that?

Answer: B. Fewer delays, happier clients and fewer cancellations

Reliability has value.

✗ A. Nothing, because buffers are always wasted time: not always

✗ C. Lower prices: worse

✗ D. Skipping lunch daily: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q5 · question page 2882

ENT.SVC.02 · Handle the complications: overbooking and long days

Which statement is accurate?

Answer: D. Capacity depends on length, travel and buffers.

Plan the day.

✗ A. More bookings always mean more income, even if overbooked.: not if overbooked

✗ B. Buffers are never useful.: they are

✗ C. Travel time does not affect capacity.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q1 · question page 2884

ENT.SVC.03 · Define service scope, extras and deposits in writing

Which scope statement is clearest?

Answer: D. "Deep clean of kitchen and 2 bathrooms; windows extra"

Specific and excludes extras.

- ✗ A. "Cleaning, more or less": vague
- ✗ B. "Clean the house nicely": vague
- ✗ C. "Do whatever needs doing around the whole house": unlimited

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q2 · question page 2885

ENT.SVC.03 · Define service scope, extras and deposits in writing

Why take a deposit for a reserved date?

Answer: B. It protects the business if the client cancels

Commitment.

- ✗ A. It is always fully refundable by law in every case: not always
- ✗ C. It is a tip for good service: no
- ✗ D. It replaces the final payment: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q3 · question page 2886

ENT.SVC.03 · Define service scope, extras and deposits in writing

What should be stated about a deposit?

Answer: C. Whether it is refundable

Terms.

- ✗ A. Nothing at all: needed
- ✗ B. Only its color: irrelevant
- ✗ D. Only the owner's name: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q4 · question page 2887

ENT.SVC.03 · Define service scope, extras and deposits in writing

A client asks for an extra room during the job. What should happen first?

Answer: C. Confirm the extra and its price in writing

Agree first.

- ✗ A. Refuse to discuss it: inflexible
- ✗ B. Do it free without mention: scope creep
- ✗ D. Add it to the final bill later as a surprise: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q5 · question page 2888

ENT.SVC.03 · Define service scope, extras and deposits in writing

How many revisions does a scope usually need to state?

Answer: B. How many are included in the price

Limits.

- ✗ A. Unlimited revisions, always, for any price: creep
- ✗ C. It never matters: it does
- ✗ D. None are ever allowed: too rigid

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q1 · question page 2889

ENT.SVC.03 · A haircut menu

"Coloring extra" is like what in a scope?

Answer: D. An excluded item that costs more

Extras.

✗ A. A tip: no

✗ B. An item already included in the price: no

✗ C. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q2 · question page 2890

ENT.SVC.03 · A haircut menu

"One free touch-up within 7 days" is like what?

Answer: C. A stated limit on included revisions

Limits.

✗ A. A discount code: no

✗ B. A cancellation fee for no-shows: no

✗ D. Unlimited free work: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q3 · question page 2891

ENT.SVC.03 · A haircut menu

Adding coloring without asking is like what?

Answer: D. Doing extra work without agreement

Needs agreement.

✗ A. A deposit: no

✗ B. A refund: no

✗ C. A normal service that is included: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q4 · question page 2892

ENT.SVC.03 · A haircut menu

Why do you know what you get?

Answer: B. The menu lists it clearly

Clarity.

- ✗ A. Prices are hidden: no
- ✗ C. You read minds: no
- ✗ D. The salon guesses what you want: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q5 · question page 2893

ENT.SVC.03 · A haircut menu

A service scope is like what for one job?

Answer: C. The menu

A written list.

- ✗ A. The mirror: no
- ✗ B. The chair: no
- ✗ D. The parking lot: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q1 · question page 2894

ENT.SVC.03 · Apply it: write scope and deposit terms

A photographer books a 4-hour wedding for 1,600 dollars with a 25 percent nonrefundable deposit. What is the deposit?

Answer: A. 400 dollars

0.25 x 1,600 = 400.

- ✗ B. 1,600 dollars: all
- ✗ C. 1,200 dollars: balance
- ✗ D. 25 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S138-F1-Q2 · question page 2895

ENT.SVC.03 · Apply it: write scope and deposit terms

Extra hours cost 300 dollars each. The client asks for 1.5 extra hours. What is the extra charge?

Answer: D. 450 dollars

1.5 x 300 = 450.

- ✗ A. 600 dollars: two hours
- ✗ B. 300 dollars: one hour
- ✗ C. 301.5 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S138-F1-Q3 · question page 2896

ENT.SVC.03 · Apply it: write scope and deposit terms

Which scope line prevents a common dispute?

Answer: C. "Includes 200 edited photos delivered within 3 weeks"

Numbers and timing.

- ✗ A. "Photos as needed": vague
- ✗ B. "Some pictures, we will see": vague
- ✗ D. "Includes lots of photos, delivered eventually": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q4 · question page 2897

ENT.SVC.03 · Apply it: write scope and deposit terms

The client cancels 2 months before. The deposit is nonrefundable as agreed. What should happen?

Answer: C. Keep the deposit as the signed terms say

Follow terms.

- ✗ A. Charge the full 1,600 dollars: not agreed
- ✗ B. Ignore the client: poor service
- ✗ D. Refund it secretly and also charge more: contradictory

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q5 · question page 2898

ENT.SVC.03 · Apply it: write scope and deposit terms

A cleaner's scope says "kitchen and 2 bathrooms." The client asks for the garage. What should she do?

Answer: A. Offer the garage as a priced extra

Price extras.

- ✗ B. Clean it and surprise-bill double: unfair
- ✗ C. Clean it free and say nothing: creep
- ✗ D. Refuse to speak about it: unhelpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q1 · question page 2899

ENT.SVC.03 · Handle the complications: disputes over what was included

A client insists windows were included, but the written scope says they were extra. What helps resolve it?

Answer: C. Pointing calmly to the written scope

Written terms.

- ✗ A. Doing the windows free to avoid talking: sets precedent
- ✗ B. Arguing loudly on social media: harmful
- ✗ D. Refusing to finish the job: escalates

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q2 · question page 2900

ENT.SVC.03 · Handle the complications: disputes over what was included

A deposit was taken but the scope never said whether it was refundable. What problem arises?

Answer: D. A dispute about returning it

State terms.

- ✗ A. The job is free: no
- ✗ B. No problem; deposits are always kept: not clear
- ✗ C. The deposit doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q3 · question page 2901

ENT.SVC.03 · Handle the complications: disputes over what was included

Materials of 220 dollars must be bought before a job. The deposit is 150 dollars. How much must the owner front?

Answer: A. 70 dollars

220 - 150 = 70.

- ✗ B. 370 dollars: added
- ✗ C. 220 dollars: all
- ✗ D. 150 dollars: deposit

Arithmetic checked by code: yes. Sources: none (stable)

S138-F2-Q4 · question page 2902

ENT.SVC.03 · Handle the complications: disputes over what was included

A client adds small extras every visit. What is a fair approach?

Answer: B. Track extras and agree on how they are priced

Clarity.

✗ A. Refuse all requests: inflexible

✗ C. Ignore all extras forever: creep

✗ D. Raise all prices later without explanation: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q5 · question page 2903

ENT.SVC.03 · Handle the complications: disputes over what was included

Which statement is accurate?

Answer: C. Clear scope and deposit terms prevent many disputes.

Write it down.

✗ A. Deposits never need terms.: they do

✗ B. A vague scope protects the business from disputes.: not true

✗ D. Extras should always be free.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q1 · question page 2905

ENT.SVC.04 · Build and schedule a base of repeat service clients

Why are recurring clients valuable?

Answer: D. Income is steadier and less marketing is needed

Steady income.

✗ A. They never need any reminders or attention at all: not true

✗ B. They pay twice as much automatically: no

✗ C. They replace the need for quality: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q2 · question page 2906

ENT.SVC.04 · Build and schedule a base of repeat service clients

Which habit helps keep regulars?

Answer: D. Booking the next visit before leaving

Book ahead.

- ✗ A. Changing their time every week randomly: unreliable
- ✗ B. Forgetting their preferences: poor service
- ✗ C. Waiting for clients to remember to call: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q3 · question page 2907

ENT.SVC.04 · Build and schedule a base of repeat service clients

A cleaner has 12 weekly clients at 90 dollars. What is weekly recurring revenue?

Answer: B. 1,080 dollars

12 x 90 = 1,080.

- ✗ A. 90 dollars: one
- ✗ C. 102 dollars: added
- ✗ D. 7.50 dollars: divided

Arithmetic checked by code: yes. Sources: none (stable)

S139-M-Q4 · question page 2908

ENT.SVC.04 · Build and schedule a base of repeat service clients

Why keep notes on each client?

Answer: C. To remember preferences and serve them well

Personal service.

- ✗ A. To raise prices secretly: no
- ✗ B. To share them publicly: privacy
- ✗ D. Because client notes are required by law: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q5 · question page 2909

ENT.SVC.04 · Build and schedule a base of repeat service clients

What should be decided about holidays?

Answer: B. How regular visits move when a holiday falls on them

Plan exceptions.

- ✗ A. Cancel all clients for the month: drastic
- ✗ C. Only the owner's vacation photos: irrelevant
- ✗ D. Nothing, because holidays never affect service schedules: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q1 · question page 2910

ENT.SVC.04 · A newspaper delivery route

Why does the carrier know the income?

Answer: D. The same houses are served regularly

Recurring.

- ✗ A. Nobody pays: no
- ✗ B. Income changes randomly each week: no
- ✗ C. Papers are free: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q2 · question page 2911

ENT.SVC.04 · A newspaper delivery route

When does the carrier need new customers?

Answer: C. When someone moves away

Replacement only.

✗ A. Never: no

✗ B. Every single day, nonstop: no

✗ D. Only in summer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q3 · question page 2912

ENT.SVC.04 · A newspaper delivery route

A route is like what for a service business?

Answer: B. A set of recurring clients

Regular base.

✗ A. A one-time job for a stranger: no

✗ C. A single ad: no

✗ D. A tax form: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q4 · question page 2913

ENT.SVC.04 · A newspaper delivery route

What makes the route work?

Answer: D. Reliability

Consistency.

✗ A. Late papers: no

✗ B. Changing days randomly: no

✗ C. Skipping houses: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q5 · question page 2914

ENT.SVC.04 · A newspaper delivery route

Why is the route efficient?

Answer: D. The carrier can plan time and travel

Planning.

- ✗ A. It is random: no
- ✗ B. It changes daily without a plan: no
- ✗ C. It has no plan: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q1 · question page 2915

ENT.SVC.04 · Apply it: grow a recurring base

A lawn service has 20 monthly clients at 60 dollars and adds 5 more. What is the new monthly recurring revenue?

Answer: C. 1,500 dollars

25 x 60 = 1,500.

- ✗ A. 1,200 dollars: old
- ✗ B. 85 dollars: added
- ✗ D. 300 dollars: new only

Arithmetic checked by code: yes. Sources: none (stable)

S139-F1-Q2 · question page 2916

ENT.SVC.04 · Apply it: grow a recurring base

A tutor books the next session before each lesson ends. What is the main benefit?

Answer: A. Fewer gaps and more predictable income

Predictability.

- ✗ B. Clients never cancel: not guaranteed
- ✗ C. Lessons become free: no
- ✗ D. No need for any reminders ever again: still useful

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q3 · question page 2917

ENT.SVC.04 · Apply it: grow a recurring base

Weekly clients: 15 at 80 dollars. Two leave and three join. What is the new weekly revenue?

Answer: C. 1,280 dollars

16 x 80 = 1,280.

- ✗ A. 1,040 dollars: only leaves
- ✗ B. 1,200 dollars: old
- ✗ D. 1,360 dollars: only joins

Arithmetic checked by code: yes. Sources: none (stable)

S139-F1-Q4 · question page 2918

ENT.SVC.04 · Apply it: grow a recurring base

A regular prefers no strong cleaning scents. Where should this be kept?

Answer: A. In the client's notes

Client notes.

- ✗ B. Nowhere; memory is enough: unreliable
- ✗ C. On public social media: privacy
- ✗ D. In a random notebook: disorganized

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q5 · question page 2919

ENT.SVC.04 · Apply it: grow a recurring base

Regulars fill 30 of 35 weekly slots. How many slots remain for new clients?

Answer: B. 5

35 - 30 = 5.

✗ A. 30: filled

✗ C. 35: total

✗ D. 65: added

Arithmetic checked by code: yes. Sources: none (stable)

S139-F2-Q1 · question page 2920

ENT.SVC.04 · Handle the complications: dependence and holidays

One client is 40 percent of all revenue. What is the risk?

Answer: D. Losing that client would cut income sharply

Concentration.

✗ A. Revenue doubles: no

✗ B. No risk, because big clients never leave: they can

✗ C. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q2 · question page 2921

ENT.SVC.04 · Handle the complications: dependence and holidays

A holiday falls on Thursday, a regular's day. What is a good approach?

Answer: B. Offer a nearby day in advance

Communicate early.

✗ A. Skip without telling them: poor service

✗ C. Charge double for the week: unfair

✗ D. Cancel them permanently: drastic

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q3 · question page 2922

ENT.SVC.04 · Handle the complications: dependence and holidays

Regulars fill every slot and new inquiries keep coming. What could the owner consider?

Answer: C. A waitlist, a price increase or adding help

Manage demand.

- ✗ A. Lowering prices: worse
- ✗ B. Turning away all the regular clients: drastic
- ✗ D. Overbooking regular slots: harms quality

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q4 · question page 2923

ENT.SVC.04 · Handle the complications: dependence and holidays

Monthly churn of regulars is 5 percent of 40 clients. About how many leave each month?

Answer: A. 2

0.05 x 40 = 2.

- ✗ B. 20: half
- ✗ C. 5: percent as count
- ✗ D. 8: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S139-F2-Q5 · question page 2924

ENT.SVC.04 · Handle the complications: dependence and holidays

Which statement is accurate?

Answer: B. Recurring clients help, but avoid depending on one.

Balance.

- ✗ A. One big client is always safest.: risky
- ✗ C. Scheduling does not matter for regular clients at all.: it does
- ✗ D. Recurring clients never leave.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S140-M-Q1 · question page 2926

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

According to the passage, what did the founders first rent out?

Answer: A. Air mattresses in their own apartment

Air mattresses.

- ✗ B. Office space downtown: not stated
- ✗ C. Cars to conference visitors: not stated
- ✗ D. A chain of hotels they had bought: not stated

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q2 · question page 2927

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Why was there demand at that moment?

Answer: A. Hotels were booked during a design conference

Timing of demand.

- ✗ B. They advertised heavily on national television: not stated
- ✗ C. Rent was free that week: not stated
- ✗ D. A law required it: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q3 · question page 2928

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

What was the idea first called?

Answer: B. AirBed & Breakfast

Original name.

✗ A. RoomNow: not stated

✗ C. HotelShare Rooms: not stated

✗ D. CouchCity: not stated

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q4 · question page 2929

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Which lesson does this course draw?

Answer: A. Test with what you have during clear demand

Low-cost test.

✗ B. Avoid moments of high demand: opposite

✗ C. Never use your own space: opposite

✗ D. Buy many properties first, before running any test: opposite

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q5 · question page 2930

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Which statement about the Airbnb case is accurate?

Answer: C. It shows one test, not proof that every rental idea will work.

One story.

✗ A. It shows conferences always create businesses.: overstated

✗ B. It proves every rental idea will grow into a huge company.: one case

✗ D. It shows websites are unnecessary.: they built one

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q1 · question page 2931

ENT.CASE.10 · Selling umbrellas when it rains

Selling spare umbrellas you own is like what?

Answer: A. Testing with resources you already have

Low-cost test.

- ✗ B. Waiting for sunshine: no
- ✗ C. Buying a whole umbrella factory first: no
- ✗ D. Ignoring demand: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q2 · question page 2932

ENT.CASE.10 · Selling umbrellas when it rains

The rainstorm is like what in the case?

Answer: C. The booked-up conference week

Clear demand moment.

- ✗ A. A tax deadline: no
- ✗ B. A slow season with no visitors: no
- ✗ D. A holiday sale: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q3 · question page 2933

ENT.CASE.10 · Selling umbrellas when it rains

"They rented air mattresses in 2007" is which kind of statement?

Answer: A. Documented fact

Recorded.

- ✗ B. A guarantee: no
- ✗ C. Course explanation: documented
- ✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q4 · question page 2934

ENT.CASE.10 · Selling umbrellas when it rains

The umbrella comparison is which kind?

Answer: A. The course's explanation

Interpretation.

- ✗ B. A law: no
- ✗ C. A documented fact from records: no
- ✗ D. A contract: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q5 · question page 2935

ENT.CASE.10 · Selling umbrellas when it rains

Why test without buying a shop?

Answer: B. To learn about demand cheaply

Cheap learning.

- ✗ A. Shops are illegal: no
- ✗ C. Umbrellas are free to everyone: no
- ✗ D. Rain never stops: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q1 · question page 2936

ENT.CASE.10 · Apply it: design a low-cost service test

A town hosts a large marathon and hotels fill up. Ana has a spare room. Applying the lesson, what fits?

Answer: D. Offer the room to visitors that weekend as a test

Test with what you have.

- ✗ A. Ignore the event: missed test
- ✗ B. Buy three apartments before the race weekend: large investment
- ✗ C. Wait for next year without testing: missed

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q2 · question page 2937

ENT.CASE.10 · Apply it: design a low-cost service test

She charges 80 dollars a night for 3 nights and spends 30 dollars on cleaning supplies. What is her profit?

Answer: A. 210 dollars

3 x 80 - 30 = 210.

- ✗ B. 240 dollars: ignored costs
- ✗ C. 30 dollars: costs
- ✗ D. 110 dollars: one night

Arithmetic checked by code: yes. Sources: case_airbnb

S140-F1-Q3 · question page 2938

ENT.CASE.10 · Apply it: design a low-cost service test

Before renting, what should Ana check?

Answer: B. Local rules, her lease or HOA, and insurance

Rules apply.

- ✗ A. Nothing, because short rentals are always allowed: may be restricted
- ✗ C. Only competitors' photos: not enough
- ✗ D. Only the room's paint color: irrelevant

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q4 · question page 2939

ENT.CASE.10 · Apply it: design a low-cost service test

A dog owner sees many neighbors asking for pet sitting during a holiday week. Which test fits the lesson?

Answer: C. Pet-sit a few pets that week from home

Small test.

- ✗ A. Do nothing: missed
- ✗ B. Advertise nationally: too broad
- ✗ D. Lease a large kennel building first: large investment

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q5 · question page 2940

ENT.CASE.10 · Apply it: design a low-cost service test

Which detail from the case is documented?

Answer: D. The idea was first called AirBed & Breakfast

Recorded.

- ✗ A. Testing small always works: interpretation
- ✗ B. Every founder should rent out air mattresses: not documented
- ✗ C. Conferences guarantee success: not documented

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q1 · question page 2941

ENT.CASE.10 · Handle the complications: one busy week is not a market

Ana's room was full for the marathon weekend but empty for the next 6 weeks. What should she conclude?

Answer: C. One busy weekend does not prove steady demand

Keep testing.

- ✗ A. She should buy more property today: premature

✗ B. Rentals never work: not shown

✗ D. Demand is now guaranteed every week of the year: not shown

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q2 · question page 2942

ENT.CASE.10 · Handle the complications: one busy week is not a market

Someone says, "Airbnb used air mattresses, so I should too." What is wrong?

Answer: A. The lesson is a cheap test, not the mattress

Copy the principle.

✗ B. Nothing, because air mattresses are the secret: surface detail

✗ C. Mattresses are illegal: no

✗ D. Airbnb never used mattresses: it did

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q3 · question page 2943

ENT.CASE.10 · Handle the complications: one busy week is not a market

A guest damages property worth 150 dollars. What would have reduced the risk?

Answer: D. A deposit, clear rules and checking insurance

Plan for risk.

✗ A. Hiding the room's condition from guests: no

✗ B. Charging nothing: irrelevant

✗ C. No rules at all: risky

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q4 · question page 2944

ENT.CASE.10 · Handle the complications: one busy week is not a market

Over 10 weekends, the room is booked 3. What is the occupancy rate?

Answer: A. 30 percent

3 / 10 = 0.3.

- ✗ B. 70 percent: empty
- ✗ C. 3 percent: count
- ✗ D. 10 percent: weekends

Arithmetic checked by code: yes. Sources: case_airbnb

S140-F2-Q5 · question page 2945

ENT.CASE.10 · Handle the complications: one busy week is not a market

Which statement is accurate?

Answer: C. Test cheaply, then confirm demand over time.

Test and confirm.

- ✗ A. One busy event proves a business will work.: not true
- ✗ B. Testing is unnecessary.: not true
- ✗ D. Every rental succeeds.: not true

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S141-M-Q1 · question page 2947

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why request samples before a big order?

Answer: B. To check quality before committing

Quality check.

- ✗ A. To avoid paying for anything: no
- ✗ C. To get free products forever: not the purpose
- ✗ D. Because samples replace contracts: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q2 · question page 2948

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

What should be asked about a supplier's defects?

Answer: D. Their policy for defective items

Defect policy.

- ✗ A. Nothing; defects never happen: they do
- ✗ B. Their favorite color: irrelevant
- ✗ C. Their office decor: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q3 · question page 2949

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why start with a small order?

Answer: A. To test reliability before larger commitments

Test reliability.

- ✗ B. To confuse the supplier: no
- ✗ C. Large orders are illegal at first: no
- ✗ D. Small orders are always cheaper per item: often not

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q4 · question page 2950

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why keep a backup supplier?

Answer: A. So a key item can still be sourced if the main one fails

Resilience.

✗ B. To avoid all contracts: no

✗ C. Because having one supplier is illegal for shops: no

✗ D. To pay twice for everything: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q5 · question page 2951

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Supplier A sells at 4.00 with 10 percent defects; B at 4.30 with 1 percent defects. Which is cheaper per good item?

Answer: A. B, about 4.34

A: 4.00 / 0.90 = 4.44; B: 4.30 / 0.99 = 4.34.

✗ B. They are equal: differ

✗ C. A, about 4.44: A is higher

✗ D. A, at 4.00 exactly: ignores defects

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q1 · question page 2952

ENT.PROD.01 · Cost per good item

10 percent defective means what share is good?

Answer: C. 90 percent

100 - 10 = 90.

✗ A. 100 percent: no

✗ B. 10 percent: defective

✗ D. 80 percent: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q2 · question page 2953

ENT.PROD.01 · Cost per good item

6 dollars each, 75 percent good. What is the cost per good item?

Answer: B. 8 dollars

6 / 0.75 = 8.

- ✗ A. 7.50 dollars: miscalculated
- ✗ C. 4.50 dollars: multiplied
- ✗ D. 6 dollars: listed

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q3 · question page 2954

ENT.PROD.01 · Cost per good item

5 dollars each, 80 percent good. What is the cost per good item?

Answer: A. 6.25 dollars

5 / 0.8 = 6.25.

- ✗ B. 5.00 dollars: listed
- ✗ C. 4.00 dollars: multiplied
- ✗ D. 5.80 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q4 · question page 2955

ENT.PROD.01 · Cost per good item

Why divide by the good share?

Answer: B. Only good items can be sold, so they carry the cost

Spread cost over usable items.

- ✗ A. To make prices look lower: no
- ✗ C. It is a tax rule: no
- ✗ D. Because defective items are free to replace: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-B1-Q5 · question page 2956

ENT.PROD.01 · Cost per good item

Which is cheaper per good item: 3.00 at 60 percent good or 4.00 at 100 percent good?

Answer: D. 4.00 at 100 percent good

3 / 0.6 = 5.00 > 4.00.

- ✗ A. Cannot tell: can
- ✗ B. They are equal: differ
- ✗ C. 3.00 at 60 percent good: 5.00 per good

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q1 · question page 2957

ENT.PROD.01 · Apply it: choose and test a supplier

A candle maker gets samples from three jar suppliers. One sample cracked in shipping. What should she do?

Answer: C. Ask about packaging and test a small order first

Test more.

- ✗ A. Ignore the crack: risk
- ✗ B. Order 5,000 jars immediately to get the lowest price: risky
- ✗ D. Choose based only on price: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F1-Q2 · question page 2958

ENT.PROD.01 · Apply it: choose and test a supplier

Minimum order is 500 jars at 1.20 dollars. What is the minimum spend?

Answer: A. 600 dollars

500 x 1.20 = 600.

- ✗ B. 500 dollars: count
- ✗ C. 120 dollars: moved decimal
- ✗ D. 1.20 dollars: unit

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q3 · question page 2959

ENT.PROD.01 · Apply it: choose and test a supplier

A small first order of 50 arrives 10 days late and 6 are cracked. What fraction is defective?

Answer: A. 12 percent

6 / 50 = 0.12.

- ✗ B. 10 percent: days
- ✗ C. 50 percent: total
- ✗ D. 6 percent: count as percent

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q4 · question page 2960

ENT.PROD.01 · Apply it: choose and test a supplier

Which question matters most before relying on a supplier for a holiday rush?

Answer: C. Can you deliver this quantity by this date?

Capacity and timing.

- ✗ A. What music do you play in your office?: irrelevant
- ✗ B. Do you like my logo?: irrelevant
- ✗ D. How old is your website?: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F1-Q5 · question page 2961

ENT.PROD.01 · Apply it: choose and test a supplier

A key supplier is reliable but the only source. What is the next step?

Answer: B. Find and test a backup supplier

Resilience.

- ✗ A. Do nothing; it will always be fine: risk
- ✗ C. Cancel the reliable supplier: unnecessary
- ✗ D. Stockpile a year of inventory regardless of cash: cash risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q1 · question page 2962

ENT.PROD.01 · Handle the complications: quality drift and price changes

A supplier's quality drops after 6 months. What should the owner do first?

Answer: D. Document the issue and raise it with the supplier

Communicate with evidence.

- ✗ A. Hide defects from customers: dishonest
- ✗ B. Say nothing and keep selling defects: harms customers
- ✗ C. Cancel all orders instantly without talking: drastic first

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q2 · question page 2963

ENT.PROD.01 · Handle the complications: quality drift and price changes

A supplier raises prices 15 percent from 8 dollars. What is the new price?

Answer: A. 9.20 dollars

8 x 1.15 = 9.20.

- ✗ B. 8.15 dollars: added 0.15
- ✗ C. 1.20 dollars: increase only

✗ D. 23 dollars: added 15

Arithmetic checked by code: yes. Sources: none (stable)

S141-F2-Q3 · question page 2964

ENT.PROD.01 · Handle the complications: quality drift and price changes

The cheapest supplier is often late, causing refunds. What is the real issue?

Answer: B. Low price can cost more through late orders

Total value.

✗ A. Refunds are free: they cost
✗ C. Customers never notice delays: they do
✗ D. There is no issue, because cheapest is always best: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q4 · question page 2965

ENT.PROD.01 · Handle the complications: quality drift and price changes

A sample was excellent, but production items differ. What lesson applies?

Answer: D. Check production quality, not just samples

Verify ongoing.

✗ A. Samples always match the production items exactly: not always
✗ B. Never order samples: useful
✗ C. Quality never changes: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q5 · question page 2966

ENT.PROD.01 · Handle the complications: quality drift and price changes

Which statement is accurate?

Answer: A. Judge suppliers on quality, reliability and total cost.

Balanced evaluation.

- ✗ B. One supplier is always enough.: risky
- ✗ C. The lowest listed price is always the best value overall.: not always
- ✗ D. Samples guarantee every future order.: not guaranteed

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q1 · question page 2968

ENT.PROD.02 · Choose protective packaging and track damage rate

What does packaging do besides protect the item?

Answer: B. Shapes the customer's first impression

Impression.

- ✗ A. Removes shipping costs: no
- ✗ C. Replaces the product description: no
- ✗ D. Lowers all taxes owed: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q2 · question page 2969

ENT.PROD.02 · Choose protective packaging and track damage rate

Which is a good packaging test?

Answer: D. Ship a few packed items to yourself or a friend

Real-world test.

- ✗ A. Shake the empty box: not a test
- ✗ B. Ask a box supplier's opinion and nothing else: incomplete
- ✗ C. Never test; just ship: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q3 · question page 2970

ENT.PROD.02 · Choose protective packaging and track damage rate

What is damage rate?

Answer: C. Damaged orders divided by total orders

A ratio.

- ✗ A. The cost of one box: no
- ✗ B. The shipping speed: no
- ✗ D. Total orders minus refunds given: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q4 · question page 2971

ENT.PROD.02 · Choose protective packaging and track damage rate

8 of 400 orders arrive damaged. What is the damage rate?

Answer: B. 2 percent

8 / 400 = 0.02.

- ✗ A. 0.2 percent: moved decimal
- ✗ C. 8 percent: count
- ✗ D. 50 percent: misdivided

Arithmetic checked by code: yes. Sources: none (stable)

S142-M-Q5 · question page 2972

ENT.PROD.02 · Choose protective packaging and track damage rate

Which costs belong in packaging cost per item?

Answer: C. Box, filler, tape and labels

All materials.

- ✗ A. Only the owner's time on social media: unrelated
- ✗ B. Only the product: separate

✗ D. Only the box: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-B1-Q1 · question page 2973

ENT.PROD.02 · Damage rate and replacement cost

15 damaged of 500. What is the damage rate?

Answer: A. 3 percent

15 / 500 = 0.03.

✗ B. 33 percent: reversed
✗ C. 15 percent: count
✗ D. 0.3 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q2 · question page 2974

ENT.PROD.02 · Damage rate and replacement cost

15 damaged at 20 dollars each. What is the damage cost?

Answer: D. 300 dollars

15 x 20 = 300.

✗ A. 0.75 dollars: divided
✗ B. 20 dollars: one
✗ C. 35 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q3 · question page 2975

ENT.PROD.02 · Damage rate and replacement cost

Better packaging costs 0.50 more on 500 orders. What is the extra cost?

Answer: C. 250 dollars

0.50 x 500 = 250.

- ✗ A. 500.50 dollars: added
- ✗ B. 1,000 dollars: doubled
- ✗ D. 0.50 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q4 · question page 2976

ENT.PROD.02 · Damage rate and replacement cost

If better packaging cuts damage cost from 300 to 40, what is the net saving after 250 extra?

Answer: A. 10 dollars

(300 - 40) - 250 = 10.

- ✗ B. 250 dollars: packaging
- ✗ C. 290 dollars: added
- ✗ D. 260 dollars: ignored packaging cost

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q5 · question page 2977

ENT.PROD.02 · Damage rate and replacement cost

Which number shows how often damage happens?

Answer: B. Damage rate

Frequency.

- ✗ A. Number of tape rolls: no
- ✗ C. Box price: no
- ✗ D. Shipping speed: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F1-Q1 · question page 2978

ENT.PROD.02 · Apply it: improve packaging decisions

A ceramic mug shop has 20 damaged of 400 orders. Replacing each costs 22 dollars. What does damage cost?

Answer: D. 440 dollars

20 x 22 = 440.

- ✗ A. 20 dollars: count
- ✗ B. 22 dollars: one
- ✗ C. 8,800 dollars: multiplied wrong

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q2 · question page 2979

ENT.PROD.02 · Apply it: improve packaging decisions

A mug shop ships 400 orders; replacing a damaged order costs 22 dollars. Double-boxing adds 0.80 dollars per order and cuts damage to 4 orders. What is the new total of packaging extra plus damage?

Answer: A. 408 dollars

400 x 0.80 + 4 x 22 = 320 + 88 = 408.

- ✗ B. 440 dollars: old damage
- ✗ C. 88 dollars: damage only
- ✗ D. 320 dollars: packaging only

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q3 · question page 2980

ENT.PROD.02 · Apply it: improve packaging decisions

Without double-boxing, damage costs 440 dollars; with it, packaging extra plus damage costs 408 dollars. Is double-boxing worth it on cost alone?

Answer: B. Yes, slightly: 408 is less than 440

408 < 440.

✗ A. No, it costs more: reversed

✗ C. It is exactly equal either way: no

✗ D. Cannot tell: can

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q4 · question page 2981

ENT.PROD.02 · Apply it: improve packaging decisions

Besides cost, what else does fewer damaged orders improve?

Answer: C. Customer experience and reviews

Reputation.

✗ A. Only the logo: irrelevant

✗ B. Nothing else at all improves: not true

✗ D. Taxes owed: not directly

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F1-Q5 · question page 2982

ENT.PROD.02 · Apply it: improve packaging decisions

A flat art print arrives bent in a soft envelope. Which change fits?

Answer: A. A stiff mailer with a backing board

Match packaging to item.

✗ B. Faster shipping only: still bends

✗ C. A bigger soft envelope with tape: still bends

✗ D. No packaging: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q1 · question page 2983

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Customers ask for less plastic. What should the owner check before switching?

Answer: B. That new materials still protect items, by testing

Test alternatives.

- ✗ A. Nothing, because any paper packaging works fine: may not protect
- ✗ C. Only the color of the paper: irrelevant
- ✗ D. Only competitors' choices: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q2 · question page 2984

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

A carrier crushed boxes several times. Besides packaging, what can help?

Answer: D. Filing claims and reviewing carrier options

Address the cause.

- ✗ A. Never shipping again: drastic
- ✗ B. Ignoring the pattern: continues
- ✗ C. Blaming customers for all of the damage: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q3 · question page 2985

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Packaging is 1.50 per order and the item contributes 6 dollars before packaging. What is contribution after packaging?

Answer: B. 4.50 dollars

6 - 1.50 = 4.50.

- ✗ A. 6.00 dollars: ignored
- ✗ C. 1.50 dollars: packaging
- ✗ D. 7.50 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S142-F2-Q4 · question page 2986

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Fancy packaging doubles cost but customers do not notice. What should the owner consider?

Answer: A. Whether the extra cost adds real value

Value for cost.

- ✗ B. Fancier is always better: not always
- ✗ C. Packaging cost never matters to profit: it does
- ✗ D. Remove all packaging: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q5 · question page 2987

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Which statement is accurate?

Answer: D. Good packaging balances protection and cost.

Balance.

- ✗ A. Testing packaging wastes time.: it helps
- ✗ B. The cheapest packaging is always best.: not always
- ✗ C. Damage rate does not matter.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q1 · question page 2989

ENT.PROD.03 · Run a clear fulfillment and returns process

What is fulfillment?

Answer: B. Everything from order to delivery

Order to door.

✗ A. Only the tax filing after a sale: no

✗ C. Only the product photo: no

✗ D. Only the marketing before an order: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q2 · question page 2990

ENT.PROD.03 · Run a clear fulfillment and returns process

What should a returns process state?

Answer: D. Request steps, time limit, condition, shipping and refund timing

Full terms.

✗ A. Nothing; returns are handled case by case, in secret, by the owner: unclear

✗ B. Only the owner's phone number: incomplete

✗ C. Only that returns are possible: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q3 · question page 2991

ENT.PROD.03 · Run a clear fulfillment and returns process

Why track return reasons?

Answer: A. To fix the causes of returns

Improve.

✗ B. To argue with customers: no

✗ C. Because reasons never matter: they do

✗ D. To raise prices secretly: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q4 · question page 2992

ENT.PROD.03 · Run a clear fulfillment and returns process

What should happen to sellable returned items?

Answer: B. Inspect and restock them

Recover value.

- ✗ A. Sell them as new without checking: risky
- ✗ C. Throw them all away: waste
- ✗ D. Keep them forever unopened: waste

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q5 · question page 2993

ENT.PROD.03 · Run a clear fulfillment and returns process

"Ships in 2 business days" is what kind of promise?

Answer: D. A processing time

Handling time.

- ✗ A. A delivery guarantee from the carrier: different
- ✗ B. A refund policy: no
- ✗ C. A discount: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q1 · question page 2994

ENT.PROD.03 · A library's checkout and return desk

The checkout desk is like what?

Answer: C. Fulfillment

Getting orders out.

- ✗ A. Taxes: no
- ✗ B. The return desk: other desk
- ✗ D. Marketing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q2 · question page 2995

ENT.PROD.03 · A library's checkout and return desk

The return desk is like what?

Answer: B. The returns process

Handling returns.

- ✗ A. Hiring: no
- ✗ C. Fulfillment of orders: other desk
- ✗ D. Pricing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q3 · question page 2996

ENT.PROD.03 · A library's checkout and return desk

What happens to returned books?

Answer: D. They are checked and reshelved

Inspect and restock.

- ✗ A. They are thrown away at once: no
- ✗ B. They are hidden: no
- ✗ C. They are sold: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q4 · question page 2997

ENT.PROD.03 · A library's checkout and return desk

Due dates are like what in returns?

Answer: A. The return time limit

Time limit.

✗ B. The product photo: no

✗ C. The price: no

✗ D. The shipping label: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q5 · question page 2998

ENT.PROD.03 · A library's checkout and return desk

Why have clear rules at both desks?

Answer: B. So everyone knows what to expect

Clarity.

✗ A. To charge late fines to readers only: no

✗ C. To confuse readers: no

✗ D. Rules are decoration: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q1 · question page 2999

ENT.PROD.03 · Apply it: improve fulfillment and returns

A shop promises 2-day processing but ships in 5. What should it change?

Answer: C. Meet the promise or change it to a realistic time

Honest processing time.

✗ A. Keep the false promise: misleading

✗ B. Remove all shipping information from the site: unclear

✗ D. Blame the carrier always: not the cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q2 · question page 3000

ENT.PROD.03 · Apply it: improve fulfillment and returns

Of 60 returns, 36 say "too small." What percent cite size?

Answer: A. 60 percent

36 / 60 = 0.6.

- ✗ B. 36 percent: count
- ✗ C. 40 percent: others
- ✗ D. 24 percent: difference

Arithmetic checked by code: yes. Sources: none (stable)

S143-F1-Q3 · question page 3001

ENT.PROD.03 · Apply it: improve fulfillment and returns

What fix best addresses "too small" returns?

Answer: D. A clearer size chart with measurements

Fix the cause.

- ✗ A. Ignoring the reason: no change
- ✗ B. Removing the return option entirely: harms trust
- ✗ C. Charging for every return: not the cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q4 · question page 3002

ENT.PROD.03 · Apply it: improve fulfillment and returns

Returned items: 40, of which 30 are sellable at 25 dollars. What value is recovered?

Answer: C. 750 dollars

30 x 25 = 750.

- ✗ A. 25 dollars: one
- ✗ B. 250 dollars: 10 items
- ✗ D. 1,000 dollars: all 40

Arithmetic checked by code: yes. Sources: none (stable)

S143-F1-Q5 · question page 3003

ENT.PROD.03 · Apply it: improve fulfillment and returns

A customer asks where her order is. What step in fulfillment helps most?

Answer: C. Sending tracking when the order ships

Confirmations.

- ✗ A. Shipping without labels: impossible
- ✗ B. Hiding tracking numbers: opposite
- ✗ D. Waiting for her to ask a second time: slow

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q1 · question page 3004

ENT.PROD.03 · Handle the complications: peaks and abuse

Holiday orders triple and processing time slips. What should the shop do?

Answer: B. Update the stated processing time and add help

Adjust and communicate.

- ✗ A. Stop taking orders without notice: abrupt
- ✗ C. Keep the old promise and simply miss it: broken promise
- ✗ D. Ship incomplete orders: poor

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q2 · question page 3005

ENT.PROD.03 · Handle the complications: peaks and abuse

Some customers return items clearly used. What should the policy include?

Answer: B. A condition requirement such as "unused, with tags"

Clear condition.

✗ A. Public shaming: harmful

✗ C. No conditions at all: invites abuse

✗ D. A ban on all returns of any kind, for any reason: harms trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q3 · question page 3006

ENT.PROD.03 · Handle the complications: peaks and abuse

Return shipping costs the shop 7 dollars per return on 50 returns. What is the total?

Answer: D. 350 dollars

50 x 7 = 350.

✗ A. 3,500 dollars: extra zero

✗ B. 7 dollars: one

✗ C. 57 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S143-F2-Q4 · question page 3007

ENT.PROD.03 · Handle the complications: peaks and abuse

Refunds take 4 weeks and customers complain. What is a better practice?

Answer: B. Refund promptly after inspection, within a stated time

Prompt refunds.

✗ A. Stop offering refunds secretly: deceptive

✗ C. Refund only if customers complain at least twice: unfair

✗ D. Take even longer: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q5 · question page 3008

ENT.PROD.03 · Handle the complications: peaks and abuse

Which statement is accurate?

Answer: A. Clear shipping and return rules build trust.

Systems help.

- ✗ B. Processing time promises can be ignored.: not true
- ✗ C. Return reasons are not useful.: they are
- ✗ D. Returned items are always worthless.: often sellable

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q1 · question page 3010

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What is wholesale?

Answer: C. Selling in bulk at a lower price to stores that resell

Bulk to resellers.

- ✗ A. Selling only at farmers markets: local retail
- ✗ B. Selling one item at full price online to a shopper: retail
- ✗ D. Giving items away for free: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q2 · question page 3011

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What does an online marketplace usually provide?

Answer: B. Access to buyers, with fees and rules

Reach with costs.

- ✗ A. Free sales with no rules: not true
- ✗ C. Guaranteed profits: no
- ✗ D. Full control of all customer data: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q3 · question page 3012

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What is a tradeoff of your own website?

Answer: D. More control, but you must bring visitors

Control versus reach.

- ✗ A. No costs of any kind: not true
- ✗ B. Visitors arrive automatically, with no work: not true
- ✗ C. No control at all: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q4 · question page 3013

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

A 40-dollar retail item sells wholesale at about half. What is the wholesale price?

Answer: B. 20 dollars

40 / 2 = 20.

- ✗ A. 10 dollars: quarter
- ✗ C. 40 dollars: retail
- ✗ D. 80 dollars: doubled

Arithmetic checked by code: yes. Sources: none (stable)

S144-M-Q5 · question page 3014

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What should be compared across channels?

Answer: C. Contribution per sale after channel costs

Money per sale.

✗ A. Only the logo on each channel: irrelevant

✗ B. Only the color scheme: irrelevant

✗ D. Only how popular each channel is with sellers: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-B1-Q1 · question page 3015

ENT.PROD.04 · Contribution after channel fees

15 percent of 30 is what?

Answer: A. 4.50

0.15 x 30 = 4.50.

✗ B. 15: percent

✗ C. 34.50: added

✗ D. 0.45: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q2 · question page 3016

ENT.PROD.04 · Contribution after channel fees

Price 30, cost 12, fee 4.50. What is the contribution?

Answer: D. 13.50

30 - 12 - 4.50 = 13.50.

✗ A. 18.00: no fee

✗ B. 4.50: fee

✗ C. 25.50: no cost

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q3 · question page 3017

ENT.PROD.04 · Contribution after channel fees

Wholesale price 15, cost 12. What is the contribution per unit?

Answer: B. 3

15 - 12 = 3.

- ✗ A. 12: cost
- ✗ C. 15: price
- ✗ D. 27: added

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q4 · question page 3018

ENT.PROD.04 · Contribution after channel fees

200 wholesale units at 3 dollars contribution. What is the total?

Answer: D. 600

200 x 3 = 600.

- ✗ A. 66.67: divided
- ✗ B. 203: added
- ✗ C. 3: one

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q5 · question page 3019

ENT.PROD.04 · Contribution after channel fees

Price 25, cost 10, fee 20 percent. What is the contribution?

Answer: A. 10

25 - 10 - 5 = 10.

- ✗ B. 20: percent
- ✗ C. 5: fee
- ✗ D. 15: no fee

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q1 · question page 3020

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars to make. Own site: price 10, fees 0.60. Marketplace: price 10, fees 1.80. What is the own-site contribution?

Answer: C. 6.40 dollars

10 - 3 - 0.60 = 6.40.

- ✗ A. 5.20 dollars: marketplace
- ✗ B. 10.00 dollars: price
- ✗ D. 7.00 dollars: no fees

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q2 · question page 3021

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars and sells for 10 dollars. Fees are 0.60 dollars on the own site and 1.80 dollars on the marketplace. The own site sells 40 a month; the marketplace sells 150. Which brings more total contribution?

Answer: D. The marketplace, at 780 dollars

Own: 40 x 6.40 = 256; marketplace: 150 x 5.20 = 780.

- ✗ A. The own site, at 400 dollars: miscalculated
- ✗ B. They are equal: differ
- ✗ C. The own site, at 256 dollars: lower

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q3 · question page 3022

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars to make. A shop wants 300 soaps wholesale at 5 dollars each. What is the total contribution?

Answer: A. 600 dollars

300 x (5 - 3) = 600.

- ✗ B. 1,500 dollars: revenue
- ✗ C. 2,100 dollars: added
- ✗ D. 900 dollars: cost

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q4 · question page 3023

ENT.PROD.04 · Apply it: compare channels for one product

Which is a risk of relying only on one marketplace?

Answer: A. A rule or fee change can hurt sales suddenly

Platform risk.

- ✗ B. Fees always fall: no
- ✗ C. No risk, because marketplaces never change rules: they do
- ✗ D. Sales are guaranteed forever: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F1-Q5 · question page 3024

ENT.PROD.04 · Apply it: compare channels for one product

A craft fair booth costs 80 dollars and she expects 40 sales at 7 dollars contribution each. What is the net?

Answer: B. 200 dollars

40 x 7 - 80 = 200.

- ✗ A. 360 dollars: added
- ✗ C. 80 dollars: booth
- ✗ D. 280 dollars: ignored booth

Arithmetic checked by code: yes. Sources: none (stable)

S144-F2-Q1 · question page 3025

ENT.PROD.04 · Handle the complications: channel conflict and capacity

A store buying wholesale asks the maker not to sell cheaper online. What should she consider?

Answer: C. Keeping prices consistent across channels

Channel consistency.

- ✗ A. Raising wholesale prices secretly: unfair
- ✗ B. Undercutting the store online anyway: harms partner
- ✗ D. Ignoring the request: damages relationship

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F2-Q2 · question page 3026

ENT.PROD.04 · Handle the complications: channel conflict and capacity

A large wholesale order would use all production for a month. What should she check?

Answer: B. Whether she can still serve her other channels

Capacity.

- ✗ A. Only the store's decor: irrelevant
- ✗ C. Only the logo: irrelevant
- ✗ D. Nothing, because bigger orders are always better: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F2-Q3 · question page 3027

ENT.PROD.04 · Handle the complications: channel conflict and capacity

Marketplace fees rise from 12 to 18 percent on a 20-dollar item. How much more per sale in fees?

Answer: D. 1.20 dollars

0.06 x 20 = 1.20.

✗ A. 3.60 dollars: new fee

✗ B. 6.00 dollars: percent as dollars

✗ C. 2.40 dollars: old fee

Arithmetic checked by code: yes. Sources: none (stable)

S144-F2-Q4 · question page 3028

ENT.PROD.04 · Handle the complications: channel conflict and capacity

Consignment means the shop pays only when items sell. What is the main risk?

Answer: D. Unsold items tie up stock and cash

Delayed payment.

✗ A. The shop pays twice: no

✗ B. Consigned items always sell instantly: no

✗ C. No risk at all: there is

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F2-Q5 · question page 3029

ENT.PROD.04 · Handle the complications: channel conflict and capacity

Which statement is accurate?

Answer: C. Channels differ in fees, reach and control, so compare them.

Compare.

✗ A. One channel is always enough.: risky

✗ B. All channels earn the same per sale.: not true

✗ D. Wholesale buyers always pay the full retail price.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-M-Q1 · question page 3031

ENT.PROD.05 · Estimate shipping costs, choose a pricing approach and set a return address

What can make a large, light box cost more to ship?

Answer: B. Dimensional weight pricing

Size-based pricing.

- ✗ A. Having a logo on the box: irrelevant
- ✗ C. Shipping on a Monday: not the factor
- ✗ D. Using a darker color tape: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-M-Q2 · question page 3032

ENT.PROD.05 · Estimate shipping costs, choose a pricing approach and set a return address

What is "free shipping built into prices"?

Answer: A. Raising product prices to cover shipping

Cost is still paid.

- ✗ B. The carrier ships for free: no
- ✗ C. Shipping is removed from the business's costs: still a cost
- ✗ D. Customers pay twice: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-M-Q3 · question page 3033

ENT.PROD.05 · Estimate shipping costs, choose a pricing approach and set a return address

Free shipping over 50 dollars. An order is 42 dollars. How much more to qualify?

Answer: D. 8 dollars

50 - 42 = 8.

- ✗ A. 92 dollars: added
- ✗ B. 50 dollars: threshold
- ✗ C. 42 dollars: order

Arithmetic checked by code: yes. Sources: none (stable)

S145-M-Q4 · question page 3034

ENT.PROD.05 · Estimate shipping costs, choose a pricing approach and set a return address

Can a PO Box be used as a return address?

Answer: D. Yes, it can work as a return address

Return addresses can be boxes.

- ✗ A. Only for international mail: no
- ✗ B. No, never, under any carrier's rules: it can
- ✗ C. Only for large boxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-M-Q5 · question page 3035

ENT.PROD.05 · Estimate shipping costs, choose a pricing approach and set a return address

Why weigh and measure packed items?

Answer: C. To estimate shipping cost accurately

Accurate costs.

- ✗ A. To decorate the box: no
- ✗ B. Because carriers require photos: no
- ✗ D. To avoid any packaging: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-B1-Q1 · question page 3036

ENT.PROD.05 · Mailing a pillow versus a book

Why can the pillow box cost a lot?

Answer: B. It is big even though it is light

Size matters.

✗ A. Pillows are heavy: no

✗ C. It has no address: no

✗ D. Pillows are illegal to mail in boxes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-B1-Q2 · question page 3037

ENT.PROD.05 · Mailing a pillow versus a book

What can lower shipping cost?

Answer: D. The smallest box that still protects the item

Right-size.

✗ A. Extra empty space: worse

✗ B. The biggest box possible, for extra room: worse

✗ C. No box at all: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-B1-Q3 · question page 3038

ENT.PROD.05 · Mailing a pillow versus a book

The book is small but what?

Answer: C. Heavy

Weight matters.

✗ A. Huge: no

✗ B. Free: no

✗ D. Light: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-B1-Q4 · question page 3039

ENT.PROD.05 · Mailing a pillow versus a book

The return address should go where?

Answer: C. Somewhere you reliably check

Reliable returns.

- ✗ A. A random address you never visit: no
- ✗ B. A competitor's shop: no
- ✗ D. Nowhere: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-B1-Q5 · question page 3040

ENT.PROD.05 · Mailing a pillow versus a book

Carriers price by what two things here?

Answer: A. Size and weight

Physical factors.

- ✗ B. Color and font: no
- ✗ C. Day and mood: no
- ✗ D. Logo and price: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-F1-Q1 · question page 3041

ENT.PROD.05 · Apply it: set shipping prices

Average shipping costs 7 dollars per order. Product price is 28. With free shipping built in, what price covers it?

Answer: B. 35 dollars

28 + 7 = 35.

- ✗ A. 28 dollars: not covered
- ✗ C. 21 dollars: subtracted
- ✗ D. 7 dollars: shipping

Arithmetic checked by code: yes. Sources: none (stable)

S145-F1-Q2 · question page 3042

ENT.PROD.05 · Apply it: set shipping prices

A flat rate of 6 dollars is charged but average cost is 8.50. How much is lost per order?

Answer: A. 2.50 dollars

8.50 - 6 = 2.50.

- ✗ B. 6.00 dollars: charged
- ✗ C. 8.50 dollars: cost
- ✗ D. 14.50 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S145-F1-Q3 · question page 3043

ENT.PROD.05 · Apply it: set shipping prices

A flat shipping rate falls 2.50 dollars short of the average cost on each order. Over 300 orders, what does that shortfall cost?

Answer: C. 750 dollars

300 x 2.50 = 750.

- ✗ A. 2.50 dollars: one
- ✗ B. 120 dollars: divided
- ✗ D. 302.50 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S145-F1-Q4 · question page 3044

ENT.PROD.05 · Apply it: set shipping prices

A box measures large but the item is light. What could cut costs?

Answer: A. A smaller box that still protects it

Right-size.

- ✗ B. A larger box with more space for safety: worse
- ✗ C. Removing the label: impossible
- ✗ D. Adding weight: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-F1-Q5 · question page 3045

ENT.PROD.05 · Apply it: set shipping prices

A carrier needs a street address for returns, but the owner uses a PO Box. What might help where available?

Answer: B. PO Box Street Addressing

Official option.

- ✗ A. Using a neighbor's address without asking: improper
- ✗ C. No return address at all: returns lost
- ✗ D. Using a fake street address: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-F2-Q1 · question page 3046

ENT.PROD.05 · Handle the complications: zones and rate changes

Shipping to far zones costs much more than nearby ones. What pricing approach handles this?

Answer: B. Charge actual shipping or zone-based rates

Match cost.

- ✗ A. Refuse all far orders: loses sales
- ✗ C. Free shipping everywhere with no price change: loses money
- ✗ D. One tiny flat rate for every distance: loses money far

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-F2-Q2 · question page 3047

ENT.PROD.05 · Handle the complications: zones and rate changes

Carrier rates rise 8 percent on an average 9-dollar label. What is the new average?

Answer: C. 9.72 dollars

9 x 1.08 = 9.72.

- ✗ A. 0.72 dollars: increase
- ✗ B. 17 dollars: added 8
- ✗ D. 9.08 dollars: added 0.08

Arithmetic checked by code: yes. Sources: none (stable)

S145-F2-Q3 · question page 3048

ENT.PROD.05 · Handle the complications: zones and rate changes

Free-over-50 raised average order size from 38 to 52 dollars. Shipping costs 8. What changed in revenue per order before shipping?

Answer: D. 14 dollars more

52 - 38 = 14.

- ✗ A. 8 dollars more: shipping
- ✗ B. No change: it rose
- ✗ C. 52 dollars more: new total

Arithmetic checked by code: yes. Sources: none (stable)

S145-F2-Q4 · question page 3049

ENT.PROD.05 · Handle the complications: zones and rate changes

Returns arrive at an old address the owner no longer checks. What should she do?

Answer: B. Update the return address on labels and accounts

Keep it current.

- ✗ A. Ignore lost returns: harms customers

✗ C. Stop accepting any returns from customers: harms trust

✗ D. Use a fake address: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S145-F2-Q5 · question page 3050

ENT.PROD.05 · Handle the complications: zones and rate changes

Which statement is accurate?

Answer: A. Size, weight, distance and speed set shipping costs.

Plan shipping.

✗ B. Return addresses do not matter.: they do

✗ C. Box size never affects the shipping cost at all.: it can

✗ D. Shipping is always free for sellers.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-M-Q1 · question page 3052

ENT.DIG.01 · Plan support and updates for a digital product

Why is a digital product not "make once and forget"?

Answer: B. Customers need support and the product needs updates

Ongoing work.

✗ A. Customers never have questions about software: they do

✗ C. Digital products never have errors once launched: they can

✗ D. Devices and platforms never change over time: they change

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-M-Q2 · question page 3053

ENT.DIG.01 · Plan support and updates for a digital product

What is a bug?

Answer: D. An error in a digital product

An error.

- ✗ A. A type of marketing email: no
- ✗ B. A customer review: no
- ✗ C. A paid feature added later: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-M-Q3 · question page 3054

ENT.DIG.01 · Plan support and updates for a digital product

Which support statement is clearest?

Answer: D. "Email replies within 2 business days"

Specific promise.

- ✗ A. "We reply eventually, maybe, by some method": vague
- ✗ B. "Contact us somehow": vague
- ✗ C. "Support depends on our mood": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-M-Q4 · question page 3055

ENT.DIG.01 · Plan support and updates for a digital product

What can common questions become?

Answer: A. A help page

Self-service help.

- ✗ B. A secret file nobody reads: wasted
- ✗ C. A list of complaints to ignore: wasted
- ✗ D. A reason to raise prices: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-M-Q5 · question page 3056

ENT.DIG.01 · Plan support and updates for a digital product

Why budget time for updates?

Answer: D. Devices, browsers and platforms change

Change happens.

- ✗ A. Updates only matter for big companies: all products
- ✗ B. Customers prefer outdated products: no
- ✗ C. Updates are never needed: they are

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-B1-Q1 · question page 3057

ENT.DIG.01 · Owning a car, not just buying it

Launching a digital product is like what?

Answer: C. Buying the car

The start.

- ✗ A. Parking the car: no
- ✗ B. Painting the car: no
- ✗ D. Selling the car: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-B1-Q2 · question page 3058

ENT.DIG.01 · Owning a car, not just buying it

Support and updates are like what?

Answer: D. Ongoing car maintenance

Maintenance.

✗ A. A car wash once: no

✗ B. A new license plate: no

✗ C. A one-time purchase, then nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-B1-Q3 · question page 3059

ENT.DIG.01 · Owning a car, not just buying it

What happens if maintenance is skipped?

Answer: A. It eventually stops working well

Neglect fails.

✗ B. It becomes free: no

✗ C. It runs better and better forever: no

✗ D. Nothing ever: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-B1-Q4 · question page 3060

ENT.DIG.01 · Owning a car, not just buying it

An oil change is like what for an app?

Answer: D. A routine update

Routine care.

✗ A. A refund: no

✗ B. A change to the logo: no

✗ C. An ad: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-B1-Q5 · question page 3061

ENT.DIG.01 · Owning a car, not just buying it

Who relies on the product working?

Answer: A. The customers who use it

Users depend on it.

- ✗ B. Only competitors: no
- ✗ C. Only the owner, nobody else: no
- ✗ D. Nobody: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F1-Q1 · question page 3062

ENT.DIG.01 · Apply it: budget support time

A template shop sells 200 templates a month; 5 percent of buyers email for help. How many emails a month?

Answer: C. 10

0.05 x 200 = 10.

- ✗ A. 20: misdivided
- ✗ B. 100: half
- ✗ D. 5: percent as count

Arithmetic checked by code: yes. Sources: none (stable)

S146-F1-Q2 · question page 3063

ENT.DIG.01 · Apply it: budget support time

A template shop gets 10 help emails a month, and each takes 15 minutes. How much support time is that per month?

Answer: A. 150 minutes

10 x 15 = 150.

- ✗ B. 1.5 minutes: divided
- ✗ C. 15 minutes: one

✗ D. 25 minutes: added

Arithmetic checked by code: yes. Sources: none (stable)

S146-F1-Q3 · question page 3064

ENT.DIG.01 · Apply it: budget support time

Half the emails ask the same question about fonts. What should the owner do?

Answer: C. Add a clear help page about fonts

Self-service.

✗ A. Remove fonts from the templates: overreaction
✗ B. Keep answering each one separately forever: inefficient
✗ D. Stop answering font emails: poor service

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F1-Q4 · question page 3065

ENT.DIG.01 · Apply it: budget support time

A browser update breaks a course video player. What is the first step?

Answer: B. Fix or update the player and tell affected customers

Fix and communicate.

✗ A. Ignore it until refund requests start to pile up: harmful
✗ C. Delete the course: drastic
✗ D. Blame customers' browsers: unhelpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F1-Q5 · question page 3066

ENT.DIG.01 · Apply it: budget support time

A one-time 30-dollar product promises "lifetime support." What should the owner consider?

Answer: B. Whether that promise is sustainable at that price

Sustainable promises.

- ✗ A. Only the product color: irrelevant
- ✗ C. Only competitor prices: incomplete
- ✗ D. Nothing; lifetime support is always free to give: costs time

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F2-Q1 · question page 3067

ENT.DIG.01 · Handle the complications: growing support load

Sales double and support emails double. The owner has no more time. What helps?

Answer: D. Better help pages, plus paid help if needed

Scale support.

- ✗ A. Stop replying to everyone who writes in: poor service
- ✗ B. Hide the contact address: poor service
- ✗ C. Lower prices further: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F2-Q2 · question page 3068

ENT.DIG.01 · Handle the complications: growing support load

Support takes 20 hours a month valued at 30 dollars an hour. What is the monthly cost?

Answer: B. 600 dollars

20 x 30 = 600.

- ✗ A. 50 dollars: added
- ✗ C. 1.50 dollars: divided
- ✗ D. 30 dollars: rate

Arithmetic checked by code: yes. Sources: none (stable)

S146-F2-Q3 · question page 3069

ENT.DIG.01 · Handle the complications: growing support load

An old product version no longer works on new phones and few people use it. What is a fair approach?

Answer: C. Announce an end-of-support date in advance

Clear notice.

- ✗ A. Charge extra to old users secretly: unfair
- ✗ B. Stop it overnight with no notice to anyone: unfair
- ✗ D. Pretend it still works: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F2-Q4 · question page 3070

ENT.DIG.01 · Handle the complications: growing support load

A bug fix introduces a new bug. What habit would help?

Answer: A. Testing updates before releasing them

Test first.

- ✗ B. Never updating anything: other risks
- ✗ C. Releasing faster without checks: worse
- ✗ D. Hiding updates: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S146-F2-Q5 · question page 3071

ENT.DIG.01 · Handle the complications: growing support load

Which statement is accurate?

Answer: D. Digital products need ongoing support and updates.

Plan upkeep.

- ✗ A. Digital products never need maintenance.: not true

✗ B. Support is optional for paid digital products.: customers expect it

✗ C. Updates never cause new problems.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-M-Q1 · question page 3073

ENT.DIG.02 · Write plain license terms and manage customer access

What does a customer usually buy with a digital product?

Answer: B. A license to use it under stated terms

Permission to use.

✗ A. The company that made it: no

✗ C. Full ownership of the product and its code: not usually

✗ D. The right to resell unlimited copies: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-M-Q2 · question page 3074

ENT.DIG.02 · Write plain license terms and manage customer access

Which item belongs in license terms?

Answer: A. How many people or devices may use it

Usage limits.

✗ B. The owner's birthday: irrelevant

✗ C. The logo's colors: irrelevant

✗ D. The founder's hobbies and interests: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-M-Q3 · question page 3075

ENT.DIG.02 · Write plain license terms and manage customer access

When should license terms be shown?

Answer: D. Before purchase

Up front.

- ✗ A. Only after a complaint: too late
- ✗ B. Only to resellers: all buyers
- ✗ C. Never: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-M-Q4 · question page 3076

ENT.DIG.02 · Write plain license terms and manage customer access

What should be decided about refunds?

Answer: D. What happens to access if a refund is given

Access rules.

- ✗ A. Access doubles: no
- ✗ B. Nothing, because access stays forever anyway: unclear
- ✗ C. Refunds are never allowed anywhere: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-M-Q5 · question page 3077

ENT.DIG.02 · Write plain license terms and manage customer access

Why write the license in plain words?

Answer: A. So customers understand what they may do

Clarity.

- ✗ B. So nobody reads it: opposite
- ✗ C. So it sounds more legal: not the goal
- ✗ D. Because plain words are required everywhere: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-B1-Q1 · question page 3078

ENT.DIG.02 · A movie ticket, not the movie

A movie ticket gives you what?

Answer: A. Permission to watch under certain rules

Permission.

- ✗ B. The theater building: no
- ✗ C. The right to copy it: no
- ✗ D. Full ownership of the whole film and its copies: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-B1-Q2 · question page 3079

ENT.DIG.02 · A movie ticket, not the movie

A digital license is like what?

Answer: B. The ticket

Permission to use.

- ✗ A. The film itself: no
- ✗ C. The projector: no
- ✗ D. The popcorn: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-B1-Q3 · question page 3080

ENT.DIG.02 · A movie ticket, not the movie

Can a ticket holder sell copies of the film?

Answer: A. No

Not permitted.

✗ B. Only online: no

✗ C. Yes, always: no

✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-B1-Q4 · question page 3081

ENT.DIG.02 · A movie ticket, not the movie

Why are ticket rules printed?

Answer: A. So everyone knows them

Transparency.

✗ B. To hide them: no

✗ C. For decoration: no

✗ D. To confuse the viewers: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-B1-Q5 · question page 3082

ENT.DIG.02 · A movie ticket, not the movie

What does the buyer of a digital product usually not get?

Answer: C. Ownership of the product itself

License, not ownership.

✗ A. Access to it: they get that

✗ B. Permission to use it as stated: they get that

✗ D. The stated terms: they get those

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F1-Q1 · question page 3083

ENT.DIG.02 · Apply it: set license tiers

A designer sells a font: personal license 20 dollars, business license 60 dollars. A company uses the personal version on its packaging. What is the issue?

Answer: D. Its use goes beyond the personal license terms

Match license to use.

- ✗ A. The font changes color: irrelevant
- ✗ B. The company owns the font now: no
- ✗ C. No issue, because any license covers any use: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F1-Q2 · question page 3084

ENT.DIG.02 · Apply it: set license tiers

A team license covers 5 users at 120 dollars. What is the cost per user?

Answer: B. 24 dollars

120 / 5 = 24.

- ✗ A. 600 dollars: multiplied
- ✗ C. 115 dollars: subtracted
- ✗ D. 120 dollars: total

Arithmetic checked by code: yes. Sources: none (stable)

S147-F1-Q3 · question page 3085

ENT.DIG.02 · Apply it: set license tiers

A course is sold with account access. A customer gets a refund. What should the terms say?

Answer: C. Whether access ends after the refund

Access rules.

- ✗ A. The customer gets a second account: no
- ✗ B. Nothing; access always stays: unclear
- ✗ D. Refunds double access: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F1-Q4 · question page 3086

ENT.DIG.02 · Apply it: set license tiers

Which license line is clearest?

Answer: C. "For 1 person, up to 3 devices, no resale or sharing."

Specific terms.

- ✗ A. "Use it however you like, more or less, on anything.": vague
- ✗ B. "Some sharing may be fine.": vague
- ✗ D. "Rules apply, ask us.": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F1-Q5 · question page 3087

ENT.DIG.02 · Apply it: set license tiers

20 personal licenses at 20 dollars and 8 business licenses at 60 dollars sell. What is total revenue?

Answer: A. 880 dollars

20 x 20 + 8 x 60 = 400 + 480 = 880.

- ✗ B. 480 dollars: business only
- ✗ C. 80 dollars: added prices
- ✗ D. 400 dollars: personal only

Arithmetic checked by code: yes. Sources: none (stable)

S147-F2-Q1 · question page 3088

ENT.DIG.02 · Handle the complications: sharing and piracy

A customer posts the download link publicly. What could the owner have used?

Answer: D. Account-based access or expiring links

Access controls.

- ✗ A. A bigger logo printed on the file: irrelevant
- ✗ B. A lower price: not prevention
- ✗ C. Nothing could help: options exist

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F2-Q2 · question page 3089

ENT.DIG.02 · Handle the complications: sharing and piracy

An owner finds her product shared on a piracy site. What is a reasonable step?

Answer: A. Request removal through the site's process

Use takedown processes.

- ✗ B. Stop selling entirely: overreaction
- ✗ C. Post angry messages everywhere about it: unhelpful
- ✗ D. Do nothing ever: passive

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F2-Q3 · question page 3090

ENT.DIG.02 · Handle the complications: sharing and piracy

Strict copy protection annoys honest customers. What should the owner weigh?

Answer: D. Protection against ease of use for paying customers

Balance.

- ✗ A. Only maximum protection, always, whatever the cost: hurts honest users
- ✗ B. Only competitor choices: incomplete
- ✗ C. No terms at all: no protection

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F2-Q4 · question page 3091

ENT.DIG.02 · Handle the complications: sharing and piracy

A license says "lifetime access," but the owner plans to close the platform in 2 years. What problem arises?

Answer: B. The promise may not be kept

Promise only what you can keep.

- ✗ A. It is always legal: risky
- ✗ C. Customers will not notice: they will
- ✗ D. No problem; lifetime means 2 years: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S147-F2-Q5 · question page 3092

ENT.DIG.02 · Handle the complications: sharing and piracy

Which statement is accurate?

Answer: A. Digital buyers usually get a license, not ownership.

Know the license.

- ✗ B. License terms can be hidden.: should be shown
- ✗ C. Sharing is always allowed.: depends on terms
- ✗ D. Buyers always own the product and all of its code.: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-M-Q1 · question page 3094

ENT.DIG.03 · List and total the recurring costs of a digital business

Which is a recurring cost for a digital business?

Answer: C. Monthly hosting

Repeats monthly.

✗ A. A single trademark search: once

✗ B. A one-time logo design: once

✗ D. A first laptop purchase: once

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-M-Q2 · question page 3095

ENT.DIG.03 · List and total the recurring costs of a digital business

What is marginal cost?

Answer: A. The cost of one more sale

Incremental cost.

✗ B. The cost of the owner's time last year: no

✗ C. A tax on profits: no

✗ D. The total cost of starting the business: startup cost

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-M-Q3 · question page 3096

ENT.DIG.03 · List and total the recurring costs of a digital business

Hosting 25, email 15, software 40, domain 2 a month. What is the monthly total?

Answer: B. 82 dollars

25 + 15 + 40 + 2 = 82.

✗ A. 25 dollars: one

✗ C. 80 dollars: missed domain

✗ D. 40 dollars: largest

Arithmetic checked by code: yes. Sources: none (stable)

S148-M-Q4 · question page 3097

ENT.DIG.03 · List and total the recurring costs of a digital business

Which cost often grows with more users?

Answer: A. Storage

Usage-based.

- ✗ B. The business name: none
- ✗ C. The founding date: none
- ✗ D. A one-time logo fee: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-M-Q5 · question page 3098

ENT.DIG.03 · List and total the recurring costs of a digital business

Why can a low-marginal-cost product still lose money?

Answer: C. Fixed monthly costs may be higher than revenue

Fixed costs.

- ✗ A. Revenue is never counted: no
- ✗ B. Digital products cannot be sold: no
- ✗ D. Marginal cost is always zero for digital products: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-B1-Q1 · question page 3099

ENT.DIG.03 · Converting costs to a monthly total

18 dollars a year is how much a month?

Answer: D. 1.50

18 / 12 = 1.50.

- ✗ A. 6: divided by 3
- ✗ B. 18: not converted
- ✗ C. 216.00: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S148-B1-Q2 · question page 3100

ENT.DIG.03 · Converting costs to a monthly total

240 dollars a year is how much a month?

Answer: C. 20

240 / 12 = 20.

- ✗ A. 24: divided by 10
- ✗ B. 2,880: multiplied
- ✗ D. 240: not converted

Arithmetic checked by code: yes. Sources: none (stable)

S148-B1-Q3 · question page 3101

ENT.DIG.03 · Converting costs to a monthly total

20 + 1.50 + 20 is what?

Answer: A. 41.50

41.50.

- ✗ B. 40.00: missed 1.50
- ✗ C. 21.50: missed 20
- ✗ D. 42.50: arithmetic slip

Arithmetic checked by code: yes. Sources: none (stable)

S148-B1-Q4 · question page 3102

ENT.DIG.03 · Converting costs to a monthly total

120 dollars a year is how much a month?

Answer: C. 10

120 / 12 = 10.

✗ A. 12: divided by 10

✗ B. 120: not converted

✗ D. 1,440: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S148-B1-Q5 · question page 3103

ENT.DIG.03 · Converting costs to a monthly total

Why convert to one period?

Answer: D. To add and compare costs fairly

Same units.

✗ A. To confuse the budget: no

✗ B. Because yearly costs are fake: no

✗ C. To make costs disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-F1-Q1 · question page 3104

ENT.DIG.03 · Apply it: check whether revenue covers costs

An app costs 30 hosting, 50 tools, 25 email monthly and 99 a year for an app store account. What is the monthly total, to the nearest cent?

Answer: B. 113.25 dollars

30 + 50 + 25 + 99/12 = 113.25.

✗ A. 99.00 dollars: store fee

✗ C. 204.00 dollars: added yearly as monthly

✗ D. 105.00 dollars: missed store fee

Arithmetic checked by code: yes. Sources: none (stable)

S148-F1-Q2 · question page 3105

ENT.DIG.03 · Apply it: check whether revenue covers costs

An app's costs average 113.25 dollars a month, and revenue is 90 dollars a month. Are costs covered?

Answer: A. No, it falls short by 23.25 dollars

90 - 113.25 = -23.25.

- ✗ B. Exactly covered: no
- ✗ C. Cannot tell: can
- ✗ D. Yes, with 23.25 dollars left over: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S148-F1-Q3 · question page 3106

ENT.DIG.03 · Apply it: check whether revenue covers costs

Each new subscriber pays 6 dollars a month and adds 0.50 in costs. How many more subscribers cover the 23.25 shortfall, rounded up?

Answer: B. 5

23.25 / 5.50 = 4.2, up to 5.

- ✗ A. 3: divided by 6
- ✗ C. 47: divided by 0.50
- ✗ D. 4: rounded down

Arithmetic checked by code: yes. Sources: none (stable)

S148-F1-Q4 · question page 3107

ENT.DIG.03 · Apply it: check whether revenue covers costs

A tool costing 40 a month is used once a quarter. What should the owner consider?

Answer: C. Cancelling or switching to a cheaper plan

Cut unused costs.

- ✗ A. Keeping it forever, just in case it is needed: waste
- ✗ B. Ignoring it: waste

✗ D. Buying a second copy: waste

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-F1-Q5 · question page 3108

ENT.DIG.03 · Apply it: check whether revenue covers costs

Storage costs rise as users upload more. What should pricing reflect?

Answer: D. Costs that grow with heavy use

Usage-based costs.

✗ A. Only competitor logos: irrelevant
✗ B. Nothing; storage is free: not true
✗ C. Only the founder's preference: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-F2-Q1 · question page 3109

ENT.DIG.03 · Handle the complications: creeping costs

Small tools were added one by one and now total 300 dollars a month. What is a good habit?

Answer: B. Review the tool list every few months

Regular review.

✗ A. Never look at tool costs: creep
✗ C. Add more tools to compensate: worse
✗ D. Pay with a personal card to hide it: commingling

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-F2-Q2 · question page 3110

ENT.DIG.03 · Handle the complications: creeping costs

A platform raises its fee from 5 to 8 percent on 2,000 dollars of monthly sales. How much more per month?

Answer: C. 60 dollars

0.03 x 2,000 = 60.

- ✗ A. 160 dollars: new fee
- ✗ B. 100 dollars: old fee
- ✗ D. 3 dollars: percent difference

Arithmetic checked by code: yes. Sources: none (stable)

S148-F2-Q3 · question page 3111

ENT.DIG.03 · Handle the complications: creeping costs

A free tier becomes paid at 25 dollars a month. The owner relies on it. What should she do?

Answer: C. Compare alternatives and budget for it

Plan for change.

- ✗ A. Ignore the change: will be charged
- ✗ B. Delete all of her data immediately: drastic
- ✗ D. Assume it stays free: wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S148-F2-Q4 · question page 3112

ENT.DIG.03 · Handle the complications: creeping costs

Monthly costs are 400 and each sale contributes 8. How many sales a month to break even?

Answer: A. 50

400 / 8 = 50.

- ✗ B. 3,200: multiplied
- ✗ C. 400: costs
- ✗ D. 8: per sale

Arithmetic checked by code: yes. Sources: none (stable)

S148-F2-Q5 · question page 3113

ENT.DIG.03 · Handle the complications: creeping costs

Which statement is accurate?

Answer: A. Digital businesses have recurring costs to cover.

Track recurring costs.

- ✗ B. Yearly costs can be ignored.: not true
- ✗ C. Low marginal cost always guarantees a profit.: not true
- ✗ D. Digital businesses have no costs.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-M-Q1 · question page 3115

ENT.DIG.04 · Design first steps and measure whether customers find the product useful

What is activation?

Answer: D. The share of new users who reach a first result

Early success.

- ✗ A. The number of ads shown: no
- ✗ B. The moment a user's computer is switched on: pun
- ✗ C. The price of a subscription: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-M-Q2 · question page 3116

ENT.DIG.04 · Design first steps and measure whether customers find the product useful

What often happens if onboarding is confusing?

Answer: B. Many customers quit early

Early drop-off.

✗ A. Support emails disappear: no

✗ C. Sales automatically double: no

✗ D. Customers stay longer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-M-Q3 · question page 3117

ENT.DIG.04 · Design first steps and measure whether customers find the product useful

100 sign up and 35 reach a first useful result. What is activation?

Answer: A. 35 percent

35 / 100 = 0.35.

✗ B. 3.5 percent: moved decimal

✗ C. 65 percent: not activated

✗ D. 100 percent: all

Arithmetic checked by code: yes. Sources: none (stable)

S149-M-Q4 · question page 3118

ENT.DIG.04 · Design first steps and measure whether customers find the product useful

Which onboarding step helps?

Answer: B. A short example showing a first result

Quick win.

✗ A. A 40-page manual before anything works: too long

✗ C. Hiding the main feature: confusing

✗ D. No instructions at all: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-M-Q5 · question page 3119

ENT.DIG.04 · Design first steps and measure whether customers find the product useful

How can an owner learn what confuses customers?

Answer: C. Ask a few customers what helped or confused them

Direct feedback.

- ✗ A. Ignore feedback: no learning
- ✗ B. Guess without asking: unreliable
- ✗ D. Read only competitor reviews online instead: indirect

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-B1-Q1 · question page 3120

ENT.DIG.04 · Activation and retention rates

28 of 80 activate. What is the rate?

Answer: C. 35 percent

28 / 80 = 0.35.

- ✗ A. 3.5 percent: moved decimal
- ✗ B. 28 percent: count
- ✗ D. 52 percent: not activated

Arithmetic checked by code: yes. Sources: none (stable)

S149-B1-Q2 · question page 3121

ENT.DIG.04 · Activation and retention rates

14 of 80 are active after 30 days. What is the rate?

Answer: A. 17.5 percent

14 / 80 = 0.175.

- ✗ B. 50 percent: of activated
- ✗ C. 82.5 percent: inactive
- ✗ D. 14 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S149-B1-Q3 · question page 3122

ENT.DIG.04 · Activation and retention rates

40 of 200 activate. What is the rate?

Answer: C. 20 percent

40 / 200 = 0.2.

- ✗ A. 5 percent: reversed
- ✗ B. 80 percent: not activated
- ✗ D. 40 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S149-B1-Q4 · question page 3123

ENT.DIG.04 · Activation and retention rates

Which number is the whole for both rates here?

Answer: B. The users who signed up

Same base.

- ✗ A. Only the active users: part
- ✗ C. The price: no
- ✗ D. The website visitors who never signed up: different group

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-B1-Q5 · question page 3124

ENT.DIG.04 · Activation and retention rates

Activation rises from 20 to 30 percent of 200 sign-ups. How many more users activate?

Answer: D. 20

60 - 40 = 20.

✗ A. 40: old count

✗ B. 60: new count

✗ C. 10: percent difference

Arithmetic checked by code: yes. Sources: none (stable)

S149-F1-Q1 · question page 3125

ENT.DIG.04 · Apply it: improve a first experience

A budgeting app's users must enter 12 months of data before seeing anything useful. Many quit. What change fits?

Answer: A. Show a useful result after the first week of data

Faster first value.

✗ B. Remove the app's main feature: worse

✗ C. Send no messages: no help

✗ D. Require 24 months of data before anything shows: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F1-Q2 · question page 3126

ENT.DIG.04 · Apply it: improve a first experience

After the change, activation rises from 25 to 40 percent of 300 sign-ups. How many more activate?

Answer: C. 45

120 - 75 = 45.

✗ A. 120: new count

✗ B. 75: old count

✗ D. 15: percent difference

Arithmetic checked by code: yes. Sources: none (stable)

S149-F1-Q3 · question page 3127

ENT.DIG.04 · Apply it: improve a first experience

A course has 500 buyers but only 60 finish lesson 1. What should the owner look at first?

Answer: D. Why buyers stop before or during lesson 1

Find the drop.

- ✗ A. Only the logo: irrelevant
- ✗ B. Only how to get more buyers: misses problem
- ✗ C. Nothing, because sales are all that matter: usefulness matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F1-Q4 · question page 3128

ENT.DIG.04 · Apply it: improve a first experience

Which welcome message helps most?

Answer: B. "Start here: a 5-minute lesson to make your first budget."

Clear first step.

- ✗ A. "Welcome. Good luck.": unhelpful
- ✗ C. "Read all 40 pages of the manual first, then come back.": overwhelming
- ✗ D. No message at all: missed chance

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F1-Q5 · question page 3129

ENT.DIG.04 · Apply it: improve a first experience

Of 40 activated users, 30 are still active after a month. What is the retention among activated users?

Answer: B. 75 percent

30 / 40 = 0.75.

- ✗ A. 30 percent: count

✗ C. 40 percent: count

✗ D. 25 percent: lost

Arithmetic checked by code: yes. Sources: none (stable)

S149-F2-Q1 · question page 3130

ENT.DIG.04 · Handle the complications: vanity sign-ups

Sign-ups doubled after a promotion, but the activation rate (the share of sign-ups who reach a first useful result) fell by half. What happened?

Answer: A. The number reaching activation stayed the same, while more sign-ups did not activate; investigate why

2 x the sign-ups at half the rate gives the same number activated; the extra sign-ups did not activate, so find out why.

✗ B. The product became twice as useful, because twice as many people signed up for it: sign-ups do not show usefulness

✗ C. Nothing changed, because a rate that falls by half while sign-ups double is unrelated: many more sign-ups failed to activate

✗ D. The number reaching activation doubled along with sign-ups, so the promotion fixed onboarding: twice the sign-ups at half the rate is the same number

Arithmetic checked by code: yes. Sources: none (stable)

S149-F2-Q2 · question page 3131

ENT.DIG.04 · Handle the complications: vanity sign-ups

An owner reports only sign-ups to investors. What is missing?

Answer: C. Whether users actually get value and stay

Usefulness metrics.

✗ A. More colors: irrelevant

✗ B. A larger logo: irrelevant

✗ D. Nothing, because sign-ups prove success alone: not alone

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F2-Q3 · question page 3132

ENT.DIG.04 · Handle the complications: vanity sign-ups

A survey of 3 customers says the product is perfect. What is the limitation?

Answer: B. Three answers may not represent all users

Small sample.

- ✗ A. Surveys are illegal: no
- ✗ C. Customers never answer honestly: overstated
- ✗ D. Three answers prove everything about all users: too few

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F2-Q4 · question page 3133

ENT.DIG.04 · Handle the complications: vanity sign-ups

A tutorial adds 2 minutes but raises activation from 30 to 45 percent. Is it worth it?

Answer: D. Likely yes, if those users keep using it

Weigh value.

- ✗ A. No, because every extra minute is bad: not necessarily
- ✗ B. It makes no difference: it does
- ✗ C. Cannot be judged at all: can

Arithmetic checked by code: not applicable. Sources: none (stable)

S149-F2-Q5 · question page 3134

ENT.DIG.04 · Handle the complications: vanity sign-ups

Which statement is accurate?

Answer: C. First experience and real usefulness matter more than sign-ups.

Measure value.

✗ A. Sign-ups are the only number that really matters to a product.: not true

✗ B. Customer feedback is useless.: not true

✗ D. Confusing onboarding helps retention.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S150-M-Q1 · question page 3136

ENT.CASE.11 · Apply a documented early decision: build for one platform and license it

According to the passage, what was Microsoft's first product?

Answer: B. Altair BASIC

Altair BASIC.

✗ A. A video game console: not stated

✗ C. A word processor for offices: later products

✗ D. An internet search engine: not stated

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-M-Q2 · question page 3137

ENT.CASE.11 · Apply a documented early decision: build for one platform and license it

Which computer was it written for?

Answer: D. The MITS Altair 8800

One platform.

✗ A. Every computer at once: one platform

✗ B. A smartphone: not in 1975

✗ C. A tablet: not in 1975

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-M-Q3 · question page 3138

ENT.CASE.11 · Apply a documented early decision: build for one platform and license it

How did the founders arrange use of the software with MITS?

Answer: A. They licensed it

Licensing.

- ✗ B. They sold the company to MITS: not stated
- ✗ C. They kept it secret: not stated
- ✗ D. They gave it away for free forever: not stated

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-M-Q4 · question page 3139

ENT.CASE.11 · Apply a documented early decision: build for one platform and license it

Which lesson does this course draw?

Answer: D. Build for one platform, show it works, and license it

Focus and license.

- ✗ A. Build for every platform before testing any of them: opposite
- ✗ B. Sell full ownership of all code: opposite
- ✗ C. Never demonstrate software to a buyer: opposite

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-M-Q5 · question page 3140

ENT.CASE.11 · Apply a documented early decision: build for one platform and license it

Which statement about the Microsoft case is accurate?

Answer: B. It shows one start, not a promise that every license deal succeeds.

One story.

- ✗ A. It shows demos are useless.: opposite
- ✗ C. It shows one platform is always enough for any business forever.: overstated
- ✗ D. It proves every software license will succeed.: one case

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-B1-Q1 · question page 3141

ENT.CASE.11 · Writing a game for one console first

Building for one console first is like what in the case?

Answer: B. Writing BASIC for the Altair

One platform.

- ✗ A. Writing for every computer: no
- ✗ C. Selling hardware: no
- ✗ D. Opening a store: no

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-B1-Q2 · question page 3142

ENT.CASE.11 · Writing a game for one console first

Showing the game running is like what?

Answer: B. Demonstrating it to MITS

Demonstration.

- ✗ A. Selling the company: no
- ✗ C. Advertising it on national TV: no
- ✗ D. Hiding the software: no

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-B1-Q3 · question page 3143

ENT.CASE.11 · Writing a game for one console first

Letting the store sell it under license is like what?

Answer: C. Licensing Altair BASIC to MITS

Licensing.

✗ A. Giving away all of the code: no

✗ B. Selling ownership: no

✗ D. Keeping it private: no

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-B1-Q4 · question page 3144

ENT.CASE.11 · Writing a game for one console first

"They demonstrated it to MITS" is which kind of statement?

Answer: B. Documented fact

Recorded.

✗ A. Course interpretation: documented

✗ C. A promise: no

✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-B1-Q5 · question page 3145

ENT.CASE.11 · Writing a game for one console first

"Focusing first reduces risk" is which kind?

Answer: A. The course's interpretation

Lesson drawn.

✗ B. A contract: no

✗ C. A documented quote from Gates: no

✗ D. A law: no

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F1-Q1 · question page 3146

ENT.CASE.11 · Apply it: focus and license a digital product

A developer builds a plugin. Applying the lesson, which first step fits?

Answer: C. Build it for one popular platform and show a working demo

Focus and demo.

- ✗ A. Never show it to anyone: opposite
- ✗ B. Build for ten platforms before any user tries it: unfocused
- ✗ D. Sell full ownership of the code to the first buyer: opposite

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F1-Q2 · question page 3147

ENT.CASE.11 · Apply it: focus and license a digital product

She licenses the plugin at 15 dollars per site. 120 sites buy it. What is revenue?

Answer: D. 1,800 dollars

120 x 15 = 1,800.

- ✗ A. 135 dollars: added
- ✗ B. 120 dollars: count
- ✗ C. 8 dollars: divided

Arithmetic checked by code: yes. Sources: case_microsoft

S150-F1-Q3 · question page 3148

ENT.CASE.11 · Apply it: focus and license a digital product

A company offers 2,000 dollars to own the plugin outright. Licensing has earned 1,800 in a year and is growing. What should she weigh?

Answer: B. Ongoing license income versus a one-time sale

Compare paths.

- ✗ A. Nothing, because selling outright is always better: not always
- ✗ C. Only the bigger number today: ignores future
- ✗ D. Only the buyer's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F1-Q4 · question page 3149

ENT.CASE.11 · Apply it: focus and license a digital product

The platform takes a 20 percent fee on each 15-dollar license. What does she keep per license?

Answer: C. 12 dollars

15 x 0.8 = 12.

- ✗ A. 18 dollars: added
- ✗ B. 3 dollars: fee
- ✗ D. 15 dollars: ignored fee

Arithmetic checked by code: yes. Sources: case_microsoft

S150-F1-Q5 · question page 3150

ENT.CASE.11 · Apply it: focus and license a digital product

Which detail is documented, not interpreted?

Answer: B. Altair BASIC was licensed to MITS

Recorded.

- ✗ A. Licensing always beats selling: interpretation
- ✗ C. Every developer should start in 1975: not documented
- ✗ D. One platform guarantees success: not documented

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F2-Q1 · question page 3151

ENT.CASE.11 · Handle the complications: platform dependence

The platform she built for changes its rules and her plugin stops working. What risk does this show?

Answer: D. Depending on one platform carries risk

Platform risk.

- ✗ A. Licensing is illegal: no
- ✗ B. Demos are useless: no
- ✗ C. No risk, because platforms never change rules: they do

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F2-Q2 · question page 3152

ENT.CASE.11 · Handle the complications: platform dependence

Someone says, "Microsoft started with BASIC, so I should write a BASIC interpreter." What is wrong?

Answer: B. The lesson is focus and licensing, not BASIC

Principle, not copy.

- ✗ A. BASIC is illegal: no
- ✗ C. Nothing, because BASIC itself is the secret: surface detail
- ✗ D. Microsoft never wrote BASIC: it did

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F2-Q3 · question page 3153

ENT.CASE.11 · Handle the complications: platform dependence

Her license terms do not say whether one purchase covers multiple sites. What problem arises?

Answer: A. Customers may use it more widely than intended

Clear terms.

- ✗ B. No problem, because license terms never matter: they do
- ✗ C. Revenue doubles automatically: no
- ✗ D. The code disappears: no

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S150-F2-Q4 · question page 3154

ENT.CASE.11 · Handle the complications: platform dependence

After a year, 25 percent of 120 licensed sites renew a yearly update plan at 10 dollars. What is renewal revenue?

Answer: C. 300 dollars

30 x 10 = 300.

- ✗ A. 30 dollars: count
- ✗ B. 120 dollars: count
- ✗ D. 1,200 dollars: all renew

Arithmetic checked by code: yes. Sources: case_microsoft

S150-F2-Q5 · question page 3155

ENT.CASE.11 · Handle the complications: platform dependence

Which statement is accurate?

Answer: C. Focus and license; each product must find its market.

Test your own.

- ✗ A. Software must always be sold outright to buyers.: not true
- ✗ B. One platform is always enough forever.: not true
- ✗ D. Licensing guarantees success.: not true

Arithmetic checked by code: not applicable. Sources: case_microsoft

---

S151-M-Q1 · question page 3157

ENT.CONT.01 · Create original content and get permission for others' material

Does giving credit alone give a creator the right to use someone else's work?

Answer: D. No; check permission, a license or another valid legal basis

Credit alone does not establish the right to use a work. A valid basis is your own work, permission or a license, the public domain, or a legal exception such as fair use, which is decided case by case.

✗ A. Yes, but only when the work is a piece of music: no such rule

✗ B. Yes, as long as the clip is short enough: length alone does not decide it

✗ C. Yes, giving credit always makes any use of the work legal: credit alone is not a legal basis

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-M-Q2 · question page 3158

ENT.CONT.01 · Create original content and get permission for others' material

What may platforms do with copyrighted material?

Answer: D. Block, mute or remove it

Detection tools.

✗ A. Pay the uploader extra: no

✗ B. Ignore it always: not always

✗ C. Make it go viral: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-M-Q3 · question page 3159

ENT.CONT.01 · Create original content and get permission for others' material

What should a creator keep records of?

Answer: B. Licenses and permissions

Proof of rights.

✗ A. Only favorite comments: irrelevant

✗ C. Nothing: risky

✗ D. Only follower counts: incomplete

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-M-Q4 · question page 3160

ENT.CONT.01 · Create original content and get permission for others' material

A creator films a friend at home and plans to publish. What should come first?

Answer: C. The friend's permission

Consent.

- ✗ A. More background music: irrelevant
- ✗ B. Nothing; friends never mind: ask
- ✗ D. A bigger camera: irrelevant

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-M-Q5 · question page 3161

ENT.CONT.01 · Create original content and get permission for others' material

Why does original work help a channel?

Answer: A. It avoids rights problems and builds a distinct voice

Protection and identity.

- ✗ B. Platforms pay double for original work automatically: no
- ✗ C. It is always shorter: no
- ✗ D. It needs no effort: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-B1-Q1 · question page 3162

ENT.CONT.01 · Cooking your own recipe versus copying a cookbook

Your own recipe is like what?

Answer: D. Original content

Yours.

- ✗ A. Someone else's work: no
- ✗ B. A tax: no
- ✗ C. A license: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-B1-Q2 · question page 3163

ENT.CONT.01 · Cooking your own recipe versus copying a cookbook

Photocopying cookbook pages is like what?

Answer: A. Using others' work without permission

Not yours.

- ✗ B. A fair trade with the cookbook author: no
- ✗ C. A gift: no
- ✗ D. Original content: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-B1-Q3 · question page 3164

ENT.CONT.01 · Cooking your own recipe versus copying a cookbook

Does writing "credit to the author" make the copy fine?

Answer: D. No

Credit is not permission.

- ✗ A. Yes, always: no
- ✗ B. Only online: no
- ✗ C. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-B1-Q4 · question page 3165

ENT.CONT.01 · Cooking your own recipe versus copying a cookbook

What do you need to share someone else's recipe pages?

Answer: C. A valid legal basis, such as permission or a license

Credit alone is not enough; you need permission, a license or another valid

legal basis.

- ✗ A. A bigger kitchen to cook the recipes in: unrelated
- ✗ B. More followers than the cookbook author has: popularity is not a right
- ✗ D. Nothing, as long as you write "credit to the author": credit alone is not a legal basis

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-B1-Q5 · question page 3166

ENT.CONT.01 · Cooking your own recipe versus copying a cookbook

Original material is what?

Answer: A. Yours to share

You own it.

- ✗ B. Illegal: no
- ✗ C. Someone else's: no
- ✗ D. Never shareable: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F1-Q1 · question page 3167

ENT.CONT.01 · Apply it: check content before publishing

A creator wants a 20-second clip of a popular movie in a review video. What should she do?

Answer: B. Check whether her use is permitted, or get a license

Check rights.

- ✗ A. Use the whole movie instead: worse
- ✗ C. Use it with credit and assume that makes it fine: credit not permission
- ✗ D. Use it, since 20 seconds is always fine: not a rule

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

S151-F1-Q2 · question page 3168

ENT.CONT.01 · Apply it: check content before publishing

A creator licenses 3 music tracks at 15 dollars each. What is the total?

Answer: C. 45 dollars

3 x 15 = 45.

- ✗ A. 5 dollars: divided
- ✗ B. 15 dollars: one
- ✗ D. 18 dollars: added

Arithmetic checked by code: yes. Sources: copyright_fairuse

S151-F1-Q3 · question page 3169

ENT.CONT.01 · Apply it: check content before publishing

A video was muted for copyrighted background music. What should the creator do next time?

Answer: D. Use licensed or original music

Licensed audio.

- ✗ A. Speed the song up: still infringing
- ✗ B. Use the same song again, louder: same problem
- ✗ C. Hide the song name: same problem

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

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S151-F1-Q4 · question page 3170

ENT.CONT.01 · Apply it: check content before publishing

A creator films strangers in a private café meeting and plans to post it. What should she consider?

Answer: A. Getting their permission before publishing

Consent.

✗ B. Only the background music: irrelevant

✗ C. Only the lighting: irrelevant

✗ D. Nothing; anything filmed can be posted: not always

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F1-Q5 · question page 3171

ENT.CONT.01 · Apply it: check content before publishing

Which shows the strongest original work?

Answer: A. A tutorial with her own footage and explanation

Original.

✗ B. A compilation of others' clips: not original

✗ C. Reposted memes with no commentary of her own: not original

✗ D. A copied article read aloud: not original

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F2-Q1 · question page 3172

ENT.CONT.01 · Handle the complications: claims and gray areas

A rights holder claims her video. She believes she had a license. What should she do?

Answer: C. Use the platform's dispute process with her license records

Evidence and process.

✗ A. Insult the rights holder: harmful

✗ B. Upload the same video again and again until it sticks: escalates

✗ D. Ignore the claim: loses revenue

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F2-Q2 · question page 3173

ENT.CONT.01 · Handle the complications: claims and gray areas

A free music site says "free for personal use only." She runs ads on her channel. What is the issue?

Answer: B. Commercial use may not be allowed

Read license terms.

- ✗ A. Ads make the music free: no
- ✗ C. Personal and commercial are the same: no
- ✗ D. No issue; free means any use: not true

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F2-Q3 · question page 3174

ENT.CONT.01 · Handle the complications: claims and gray areas

An AI tool generates a song very similar to a famous one. What is the risk?

Answer: D. It may still raise rights issues

Similarity risk.

- ✗ A. No risk; AI music is always free: not guaranteed
- ✗ B. It guarantees views: no
- ✗ C. It is automatically licensed: no

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F2-Q4 · question page 3175

ENT.CONT.01 · Handle the complications: claims and gray areas

A creator's original video is reuploaded by another account. What can she do?

Answer: B. Use the platform's copyright reporting process

Report.

- ✗ A. Reupload their videos in revenge right away: escalates
- ✗ C. Nothing can be done: there are processes
- ✗ D. Delete her own channel: drastic

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

---

S151-F2-Q5 · question page 3176

ENT.CONT.01 · Handle the complications: claims and gray areas

Which statement is accurate?

Answer: A. Original work and recorded permissions protect creators.

Rights matter.

- ✗ B. Platforms never check rights.: they do
- ✗ C. Giving credit always replaces getting permission.: not true
- ✗ D. Anything online is free to use.: not true

Arithmetic checked by code: not applicable. Sources: copyright_fairuse

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S152-M-Q1 · question page 3178

ENT.CONT.02 · Disclose and manage sponsorships and affiliate links as a creator

Where should a sponsorship be disclosed in a video?

Answer: D. Clearly, where viewers notice, such as at the start

Clear and early.

- ✗ A. Nowhere, if the creator likes the product: still needed
- ✗ B. Only in the last second after the video ends: missed
- ✗ C. Only in a separate website nobody visits: hidden

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-M-Q2 · question page 3179

ENT.CONT.02 · Disclose and manage sponsorships and affiliate links as a creator

Is a platform's built-in disclosure tool automatically enough?

Answer: B. Not automatically

Check clarity.

✗ A. No, disclosures are banned: no

✗ C. Yes, if the video is short: no

✗ D. Yes, always and in every case: not automatically

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-M-Q3 · question page 3180

ENT.CONT.02 · Disclose and manage sponsorships and affiliate links as a creator

What should a sponsorship agreement include?

Answer: A. Deliverables, payment and deadlines

Written terms.

✗ B. Only the creator's favorite snack: irrelevant

✗ C. Nothing; handshake deals are best: risky

✗ D. Only the brand's logo color: incomplete

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-M-Q4 · question page 3181

ENT.CONT.02 · Disclose and manage sponsorships and affiliate links as a creator

Why choose sponsors that fit the audience?

Answer: B. Mismatched sponsors can hurt trust

Trust.

✗ A. Fit only matters for TV: no

✗ C. Any sponsor is always fine for any audience: not always

✗ D. Audiences never notice: they do

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-M-Q5 · question page 3182

ENT.CONT.02 · Disclose and manage sponsorships and affiliate links as a creator

A sponsor asks the creator to say its supplement "cures anxiety." What should she do?

Answer: C. Refuse claims she cannot support

Truthful claims.

- ✗ A. Say it because she is paid: risky
- ✗ B. Say it quickly so nobody notices: still a claim
- ✗ D. Add it in small text: still a claim

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-B1-Q1 · question page 3183

ENT.CONT.02 · A friend recommending a restaurant she owns

Why might you feel misled?

Answer: C. You did not know about her stake

Hidden connection.

- ✗ A. She was rude: no
- ✗ B. The restaurant closed early: no
- ✗ D. The food was bad: not stated

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-B1-Q2 · question page 3184

ENT.CONT.02 · A friend recommending a restaurant she owns

Her up-front sentence is like what?

Answer: A. A sponsorship disclosure

Disclosure.

- ✗ B. A secret: no
- ✗ C. An ad hidden in text: no
- ✗ D. A coupon: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-B1-Q3 · question page 3185

ENT.CONT.02 · A friend recommending a restaurant she owns

Does disclosure mean the food is bad?

Answer: D. No

It informs, not judges.

- ✗ A. Only for pizza: no
- ✗ B. Yes, always: no
- ✗ C. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-B1-Q4 · question page 3186

ENT.CONT.02 · A friend recommending a restaurant she owns

What does disclosure let you do?

Answer: B. Decide for yourself with full information

Informed choice.

- ✗ A. Ignore the friend: no
- ✗ C. Get free food: no
- ✗ D. Avoid all restaurants in town from now on: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-B1-Q5 · question page 3187

ENT.CONT.02 · A friend recommending a restaurant she owns

Her ownership stake is like what for a creator?

Answer: A. A paid sponsorship or commission

Material connection.

✗ B. A count of channel subscribers: no

✗ C. A random hobby: no

✗ D. A tax bill: no

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-F1-Q1 · question page 3188

ENT.CONT.02 · Apply it: handle a sponsorship deal

A brand offers 800 dollars for one video mention. The creator's audience is gardeners; the brand sells car parts. What should she weigh?

Answer: D. Whether the sponsor fits her audience

Fit.

✗ A. Nothing, because money is money: trust risk

✗ B. Only the payment amount: incomplete

✗ C. Only the brand's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-F1-Q2 · question page 3189

ENT.CONT.02 · Apply it: handle a sponsorship deal

A sponsorship pays 800 dollars, and she spends 6 hours on it. What is the pay per hour?

Answer: B. 133.33 dollars

800 / 6 = 133.33.

✗ A. 6.00 dollars: hours

✗ C. 800.00 dollars: total

✗ D. 4,800.00 dollars: multiplied

Arithmetic checked by code: yes. Sources: ftc_endorse

S152-F1-Q3 · question page 3190

ENT.CONT.02 · Apply it: handle a sponsorship deal

An affiliate link pays 6 percent on 2,500 dollars of sales. What does she earn?

Answer: C. 150 dollars

0.06 x 2,500 = 150.

- ✗ A. 2,350 dollars: remainder
- ✗ B. 6 dollars: percent
- ✗ D. 15 dollars: moved decimal

Arithmetic checked by code: yes. Sources: ftc_endorse

S152-F1-Q4 · question page 3191

ENT.CONT.02 · Apply it: handle a sponsorship deal

Which disclosure is clearest at the start of a video?

Answer: D. "This video is sponsored by Green Grow Tools."

Plain and early.

- ✗ A. "#sp #ad #collab" in the description only: may be missed
- ✗ B. No disclosure at all: missing
- ✗ C. "Thanks, GGT!": unclear

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-F1-Q5 · question page 3192

ENT.CONT.02 · Apply it: handle a sponsorship deal

The brand wants the video posted in 3 days, but the agreement says nothing about deadlines. What should she do?

Answer: A. Agree on the deadline in writing

Written terms.

- ✗ B. Post whenever, without telling them: dispute
- ✗ C. Ignore the brand: unprofessional
- ✗ D. Guess the deadline: risky

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-F2-Q1 · question page 3193

ENT.CONT.02 · Handle the complications: pressure and conflicts

A sponsor asks her not to mention that the video is sponsored. What should she do?

Answer: C. Disclose anyway or decline the deal

Disclosure is required.

- ✗ A. Disclose only if viewers ask about it: not enough
- ✗ B. Agree to hide it: deceptive
- ✗ D. Hide it only in short videos: still deceptive

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-F2-Q2 · question page 3194

ENT.CONT.02 · Handle the complications: pressure and conflicts

Two sponsors make competing products and both want exclusive mentions this month. What should she check?

Answer: A. Exclusivity terms in each agreement

Contract terms.

- ✗ B. Only which logo looks better: irrelevant
- ✗ C. Nothing, so she accepts both quietly: conflict
- ✗ D. Only follower comments: incomplete

Arithmetic checked by code: not applicable. Sources: ftc_endorse

---

S152-F2-Q3 · question page 3195

ENT.CONT.02 · Handle the complications: pressure and conflicts

A sponsor is late paying 1,200 dollars, 30 days past the agreed date. What is a sensible first step?

Answer: D. Send a polite reminder referencing the agreement

Follow up.

- ✗ A. Post angry messages: unprofessional
- ✗ B. Delete the video immediately without notice: escalates
- ✗ C. Do nothing ever: lost money

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-F2-Q4 · question page 3196

ENT.CONT.02 · Handle the complications: pressure and conflicts

Affiliate income is 150 dollars on one month and 20 dollars the next. What does this show?

Answer: C. Affiliate income can be uneven

Variable income.

- ✗ A. The link stopped existing: not necessarily
- ✗ B. Taxes doubled: unrelated
- ✗ D. Affiliate income is always steady: not true

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S152-F2-Q5 · question page 3197

ENT.CONT.02 · Handle the complications: pressure and conflicts

Which statement is accurate?

Answer: C. Disclose paid connections clearly and keep claims true.

Honesty.

- ✗ A. Disclosures are optional for small creators with few viewers.: not true
- ✗ B. Sponsors decide what is truthful.: creator responsible
- ✗ D. Built-in tools are always enough.: not automatically

Arithmetic checked by code: not applicable. Sources: ftc_endorse

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S153-M-Q1 · question page 3199

ENT.CONT.03 · Distinguish getting views from being eligible to earn on a platform

Does getting views automatically mean earning ad revenue?

Answer: B. No; platform programs have eligibility rules

Eligibility.

- ✗ A. Yes, after the first video: not true
- ✗ C. Yes, every view always pays the creator: not true
- ✗ D. Yes, if the video has music: irrelevant

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-M-Q2 · question page 3200

ENT.CONT.03 · Distinguish getting views from being eligible to earn on a platform

Where should a creator check current YouTube eligibility thresholds?

Answer: D. The official YouTube help page

Official source.

- ✗ A. A friend's memory of the rules: unreliable
- ✗ B. A random comment: unreliable
- ✗ C. A video from several years ago: outdated

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-M-Q3 · question page 3201

ENT.CONT.03 · Distinguish getting views from being eligible to earn on a platform

What does the passage say about thresholds?

Answer: C. They have changed over time

Changes.

- ✗ A. They are secret: no
- ✗ B. They are the same on every platform: not stated

✗ D. They never change: they have

Arithmetic checked by code: not applicable. Sources: youtube_ypp

---

S153-M-Q4 · question page 3202

ENT.CONT.03 · Distinguish getting views from being eligible to earn on a platform

Which is a way creators earn beyond platform programs?

Answer: B. Selling their own products

Multiple routes.

✗ A. Copying others' videos: rights issue
✗ C. Hiding sponsorships: deceptive
✗ D. Buying fake followers: harmful

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-M-Q5 · question page 3203

ENT.CONT.03 · Distinguish getting views from being eligible to earn on a platform

Why should creators not rely on one program?

Answer: D. Platforms can change programs

Diversify.

✗ A. Programs never change: they can
✗ B. Other income is illegal: no
✗ C. Views always pay the same: no

Arithmetic checked by code: not applicable. Sources: youtube_ypp

---

S153-B1-Q1 · question page 3204

ENT.CONT.03 · Playing music on the street versus being hired

Drawing a crowd on the street is like what online?

Answer: A. Getting views

Attention.

- ✗ B. Being in a paid program: no
- ✗ C. Filing taxes: no
- ✗ D. Signing a lease: no

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-B1-Q2 · question page 3205

ENT.CONT.03 · Playing music on the street versus being hired

Being booked for a paid concert is like what?

Answer: B. Being accepted into an earning program

Eligibility and terms.

- ✗ A. Posting a photo: no
- ✗ C. Changing a profile picture online: no
- ✗ D. Getting one view: no

Arithmetic checked by code: not applicable. Sources: youtube_ypp

---

S153-B1-Q3 · question page 3206

ENT.CONT.03 · Playing music on the street versus being hired

Does a crowd automatically mean a paid booking?

Answer: B. No

Separate requirements.

- ✗ A. Only in summer: no
- ✗ C. Only downtown: no
- ✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-B1-Q4 · question page 3207

ENT.CONT.03 · Playing music on the street versus being hired

What do concerts have that street playing may not?

Answer: D. Requirements and contracts

Formal terms.

- ✗ A. Music: both
- ✗ B. An audience of passersby: both
- ✗ C. Instruments: both

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-B1-Q5 · question page 3208

ENT.CONT.03 · Playing music on the street versus being hired

What is the main lesson?

Answer: A. Attention and eligibility to earn are different

Distinguish them.

- ✗ B. Music is free: no
- ✗ C. Concerts are illegal for street musicians: no
- ✗ D. Crowds are useless: no

Arithmetic checked by code: not applicable. Sources: youtube_ypp

---

S153-F1-Q1 · question page 3209

ENT.CONT.03 · Apply it: plan earning routes

A creator has growing views but has not checked program requirements. What should she do first?

Answer: D. Read the official program requirements and policies

Check official rules.

- ✗ A. Quit posting: premature

✗ B. Buy views to speed things up: violates policies

✗ C. Assume she is already earning from every view: may not be

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F1-Q2 · question page 3210

ENT.CONT.03 · Apply it: plan earning routes

She earns 120 dollars from ads, 300 from a sponsor and 80 from affiliate links in a month. What is the total?

Answer: C. 500 dollars

120 + 300 + 80 = 500.

✗ A. 300 dollars: sponsor only

✗ B. 200 dollars: missed sponsor

✗ D. 420 dollars: missed affiliate

Arithmetic checked by code: yes. Sources: youtube_ypp

S153-F1-Q3 · question page 3211

ENT.CONT.03 · Apply it: plan earning routes

A creator earns 120 dollars from ads, 300 from a sponsor and 80 from affiliate links in a month. What share of the total comes from ads?

Answer: B. 24 percent

120 / 500 = 0.24.

✗ A. 16 percent: affiliate

✗ C. 120 percent: count

✗ D. 60 percent: sponsor

Arithmetic checked by code: yes. Sources: youtube_ypp

S153-F1-Q4 · question page 3212

ENT.CONT.03 · Apply it: plan earning routes

A blog post from years ago lists program thresholds. What should she do?

Answer: A. Confirm with the current official page

Current source.

- ✗ B. Ask a stranger: unreliable
- ✗ C. Trust the old blog post fully as written: outdated
- ✗ D. Ignore all rules: risky

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F1-Q5 · question page 3213

ENT.CONT.03 · Apply it: plan earning routes

Which plan reduces dependence on one program?

Answer: C. Building products, sponsorships and an email list too

Diversify.

- ✗ A. Relying only on ad revenue from one single platform: concentrated
- ✗ B. Buying followers: harmful
- ✗ D. Posting only on one app: concentrated

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F2-Q1 · question page 3214

ENT.CONT.03 · Handle the complications: policy changes and violations

A platform changes its program and her ad income drops by half. What helps most?

Answer: B. Other income routes she has already built

Diversification.

- ✗ A. Buying views to recover the lost income: violates
- ✗ C. Ignoring the change: passive
- ✗ D. Quitting immediately: premature

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F2-Q2 · question page 3215

ENT.CONT.03 · Handle the complications: policy changes and violations

A service offers to sell her views to reach a threshold faster. What is the risk?

Answer: A. It can violate policies and get her removed

Policy risk.

- ✗ B. It improves trust: no
- ✗ C. It guarantees acceptance: no
- ✗ D. No risk, because bought views are always allowed: not true

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F2-Q3 · question page 3216

ENT.CONT.03 · Handle the complications: policy changes and violations

Ad income falls from 400 to 200 dollars a month. What is the percent decrease?

Answer: C. 50 percent

200 / 400 = 0.5.

- ✗ A. 200 percent: dollar change
- ✗ B. 25 percent: miscalculated
- ✗ D. 100 percent: not all

Arithmetic checked by code: yes. Sources: youtube_ypp

S153-F2-Q4 · question page 3217

ENT.CONT.03 · Handle the complications: policy changes and violations

Her video is demonetized for a policy issue she does not understand. What should she do?

Answer: C. Read the policy and use the official review or appeal process

Use official channels.

✗ A. Repost it many times: escalates

✗ B. Complain only in the comments of other creators' videos: not a process

✗ D. Delete her channel: drastic

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S153-F2-Q5 · question page 3218

ENT.CONT.03 · Handle the complications: policy changes and violations

Which statement is accurate?

Answer: D. Views and eligibility differ, and rules can change.

Know the rules.

✗ A. Every view always pays the creator the same amount.: not true

✗ B. Program thresholds never change.: they have

✗ C. One income route is always enough.: risky

Arithmetic checked by code: not applicable. Sources: youtube_ypp

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S154-M-Q1 · question page 3220

ENT.CONT.04 · Protect audience trust and diversify platforms and income

What is a creator's main asset according to the passage?

Answer: B. Audience trust

Trust.

✗ A. The editing software: tool

✗ C. The logo design: minor

✗ D. The camera model: tool

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-M-Q2 · question page 3221

ENT.CONT.04 · Protect audience trust and diversify platforms and income

Which action builds trust?

Answer: A. Admitting a mistake and correcting it

Honesty.

- ✗ B. Making misleading claims: loses trust
- ✗ C. Hiding a sponsorship: loses trust
- ✗ D. Promoting low-quality products for money: loses trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-M-Q3 · question page 3222

ENT.CONT.04 · Protect audience trust and diversify platforms and income

What is diversification for a creator?

Answer: B. Not depending on one platform or income source

Spread risk.

- ✗ A. Buying followers on many different apps: harmful
- ✗ C. Using only one platform forever: opposite
- ✗ D. Posting the same video ten times: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-M-Q4 · question page 3223

ENT.CONT.04 · Protect audience trust and diversify platforms and income

Which is an owned channel?

Answer: B. An email list people joined

Owned audience.

- ✗ A. A viral video: temporary
- ✗ C. A comment section: platform-controlled
- ✗ D. A single social media account: platform-controlled

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-M-Q5 · question page 3224

ENT.CONT.04 · Protect audience trust and diversify platforms and income

What can quickly lose trust?

Answer: C. Hidden ads

Deception.

- ✗ A. Respecting viewers' time: builds
- ✗ B. Consistent, accurate content: builds
- ✗ D. Disclosed sponsorships: builds

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-B1-Q1 · question page 3225

ENT.CONT.04 · A trusted local newspaper

Labeling ads as ads is like what for a creator?

Answer: D. Disclosing sponsorships

Transparency.

- ✗ A. Buying views: no
- ✗ B. Deleting comments: no
- ✗ C. Hiding paid sponsorships: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-B1-Q2 · question page 3226

ENT.CONT.04 · A trusted local newspaper

Printing corrections is like what?

Answer: C. Admitting and fixing mistakes

Accountability.

✗ A. Deleting old posts: no

✗ B. Blaming readers: no

✗ D. Ignoring errors in old stories: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-B1-Q3 · question page 3227

ENT.CONT.04 · A trusted local newspaper

Hiding paid articles as news would do what?

Answer: A. Lose readers' trust

Deception.

✗ B. Gain readers' trust: no

✗ C. Change nothing: no

✗ D. Lower costs: not the point

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-B1-Q4 · question page 3228

ENT.CONT.04 · A trusted local newspaper

A newspaper with a website and a newsletter is like what?

Answer: A. A diversified creator

Multiple channels.

✗ B. A competitor: no

✗ C. A one-platform creator: no

✗ D. A creator with no audience: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-B1-Q5 · question page 3229

ENT.CONT.04 · A trusted local newspaper

Why is the newspaper not ruined if one route fails?

Answer: B. It has other ways to reach readers

Spread risk.

- ✗ A. Readers do not care how it arrives: no
- ✗ C. It is free: no
- ✗ D. Routes never fail: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F1-Q1 · question page 3230

ENT.CONT.04 · Apply it: protect trust and reduce risk

A creator recommended a gadget that later proved faulty. What builds trust?

Answer: C. Posting an honest update about the problem

Admit and correct.

- ✗ A. Blaming viewers for buying the gadget: harmful
- ✗ B. Deleting the video quietly: hides
- ✗ D. Promoting it more: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F1-Q2 · question page 3231

ENT.CONT.04 · Apply it: protect trust and reduce risk

90 percent of her income comes from one platform's program. What is the main risk?

Answer: D. A program change could remove most income

Concentration.

- ✗ A. Income will double: no
- ✗ B. No risk, because programs never change: they can
- ✗ C. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F1-Q3 · question page 3232

ENT.CONT.04 · Apply it: protect trust and reduce risk

She invites viewers to an email list and 400 of 8,000 regular viewers join. What percent joined?

Answer: D. 5 percent

400 / 8,000 = 0.05.

- ✗ A. 20 percent: misdivided
- ✗ B. 400 percent: count
- ✗ C. 0.5 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S154-F1-Q4 · question page 3233

ENT.CONT.04 · Apply it: protect trust and reduce risk

A sponsor offers a large fee for a product she would not use. What protects trust?

Answer: A. Declining sponsors she does not believe in

Selective sponsorship.

- ✗ B. Accepting every offer: erodes trust
- ✗ C. Hiding the sponsor: deceptive
- ✗ D. Exaggerating the product to earn the fee: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F1-Q5 · question page 3234

ENT.CONT.04 · Apply it: protect trust and reduce risk

Income sources: ads 40 percent, sponsors 35 percent, own products 25 percent. Which is largest?

Answer: B. Ads

40 > 35 > 25.

- ✗ A. They are all equal: differ
- ✗ C. Own products: 25
- ✗ D. Sponsors: 35

Arithmetic checked by code: yes. Sources: none (stable)

S154-F2-Q1 · question page 3235

ENT.CONT.04 · Handle the complications: trust under pressure

Viewers accuse her of hiding a sponsorship she did disclose. What should she do?

Answer: D. Calmly point to the disclosure and keep it clear

Calm clarity.

- ✗ A. Delete all comments: hostile
- ✗ B. Stop disclosing sponsorships to avoid the attention: worse
- ✗ C. Argue angrily: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F2-Q2 · question page 3236

ENT.CONT.04 · Handle the complications: trust under pressure

A platform suspends her account for two weeks by mistake. What helps her keep earning?

Answer: A. Her email list, website and other channels

Owned channels.

- ✗ B. Buying new followers on another app: harmful
- ✗ C. Nothing could help: diversification helps
- ✗ D. Creating fake accounts: violates rules

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F2-Q3 · question page 3237

ENT.CONT.04 · Handle the complications: trust under pressure

She wants to post daily but quality drops and viewers complain. What should she weigh?

Answer: B. Quality and trust over volume

Respect the audience.

- ✗ A. Posting hourly instead: worse
- ✗ C. Complaints never matter: they do
- ✗ D. Volume always beats quality: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S154-F2-Q4 · question page 3238

ENT.CONT.04 · Handle the complications: trust under pressure

Her own product earns 1,200 dollars from 80 buyers. What is the average per buyer?

Answer: C. 15 dollars

1,200 / 80 = 15.

- ✗ A. 1,200 dollars: total
- ✗ B. 96,000 dollars: multiplied
- ✗ D. 80 dollars: count

Arithmetic checked by code: yes. Sources: none (stable)

S154-F2-Q5 · question page 3239

ENT.CONT.04 · Handle the complications: trust under pressure

Which statement is accurate?

Answer: D. Honesty protects trust; more channels reduce risk.

Trust and diversity.

- ✗ A. Trust cannot be lost once earned.: it can
- ✗ B. One platform is always the safest choice for creators.: risky

✗ C. Hidden ads build trust.: they harm it

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-M-Q1 · question page 3241

ENT.CONT.05 · Budget creator costs and plan for uneven income

Which is a creator cost?

Answer: B. Music licenses and editing software

Business costs.

✗ A. Viewers' comments: no
✗ C. The platform's logo: no
✗ D. Followers' birthdays and names: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-M-Q2 · question page 3242

ENT.CONT.05 · Budget creator costs and plan for uneven income

Why is creator income often uneven?

Answer: C. Sponsors and ad revenue vary month to month

Variable sources.

✗ A. Viewers pay a monthly salary: no
✗ B. Income is always fixed by law: not true
✗ D. Platforms pay creators the same every month: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-M-Q3 · question page 3243

ENT.CONT.05 · Budget creator costs and plan for uneven income

What helps in slow months?

Answer: A. A cash reserve

Buffer.

- ✗ B. Ignoring the budget: risky
- ✗ C. Spending everything in good months: risky
- ✗ D. Buying more equipment: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-M-Q4 · question page 3244

ENT.CONT.05 · Budget creator costs and plan for uneven income

Why track income by source?

Answer: C. To see trends in each source

Visibility.

- ✗ A. To confuse the budget: no
- ✗ B. Because sources never change: they do
- ✗ D. To hide income: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-M-Q5 · question page 3245

ENT.CONT.05 · Budget creator costs and plan for uneven income

What should a monthly budget be based on?

Answer: B. A cautious estimate of income

Conservative planning.

- ✗ A. A competitor's income: irrelevant
- ✗ C. A guess of doubling each month: risky
- ✗ D. The best month ever: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-B1-Q1 · question page 3246

ENT.CONT.05 · Averaging uneven months

Months: 500, 900, 700. What is the average?

Answer: A. 700

2,100 / 3 = 700.

- ✗ B. 500: lowest
- ✗ C. 900: highest
- ✗ D. 2,100: total

Arithmetic checked by code: yes. Sources: none (stable)

S155-B1-Q2 · question page 3247

ENT.CONT.05 · Averaging uneven months

600, 1,400, 400 and 1,000 total what?

Answer: D. 3,400

600 + 1,400 + 400 + 1,000 = 3,400.

- ✗ A. 850: average
- ✗ B. 2,400: missed one
- ✗ C. 1,400: highest

Arithmetic checked by code: yes. Sources: none (stable)

S155-B1-Q3 · question page 3248

ENT.CONT.05 · Averaging uneven months

3,400 / 4 is what?

Answer: B. 850

850.

- ✗ A. 1,360: misdivided
- ✗ C. 3,400: total

✗ D. 425: divided by 8

Arithmetic checked by code: yes. Sources: none (stable)

S155-B1-Q4 · question page 3249

ENT.CONT.05 · Averaging uneven months

What is a cautious number to budget from in that example?

Answer: A. The lowest recent month, 400

Plan for slow months.

✗ B. The highest month, 1,400: risky
✗ C. Double the average: risky
✗ D. The total, 3,400: not monthly

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-B1-Q5 · question page 3250

ENT.CONT.05 · Averaging uneven months

Months: 300, 1,200, 600, 900. What is the average?

Answer: D. 750

3,000 / 4 = 750.

✗ A. 3,000: total
✗ B. 1,200: highest
✗ C. 600: one month

Arithmetic checked by code: yes. Sources: none (stable)

S155-F1-Q1 · question page 3251

ENT.CONT.05 · Apply it: budget a creator business

Monthly costs: software 45, music 20, storage 10, editing help 200. What is the total?

Answer: C. 275 dollars

45 + 20 + 10 + 200 = 275.

- ✗ A. 200 dollars: editing only
- ✗ B. 75 dollars: missed editing
- ✗ D. 255 dollars: missed music

Arithmetic checked by code: yes. Sources: none (stable)

S155-F1-Q2 · question page 3252

ENT.CONT.05 · Apply it: budget a creator business

Income over 4 months: 900, 300, 1,500, 500. What is the average?

Answer: A. 800 dollars

3,200 / 4 = 800.

- ✗ B. 3,200 dollars: total
- ✗ C. 300 dollars: lowest
- ✗ D. 1,500 dollars: highest

Arithmetic checked by code: yes. Sources: none (stable)

S155-F1-Q3 · question page 3253

ENT.CONT.05 · Apply it: budget a creator business

In the 300-dollar month, costs were 275. How much was left before taxes?

Answer: D. 25 dollars

300 - 275 = 25.

- ✗ A. 300 dollars: income
- ✗ B. 275 dollars: costs
- ✗ C. 575 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S155-F1-Q4 · question page 3254

ENT.CONT.05 · Apply it: budget a creator business

Her monthly costs are 275 dollars. She wants a reserve of 3 months of costs. How much is that?

Answer: B. 825 dollars

275 x 3 = 825.

- ✗ A. 550 dollars: two months
- ✗ C. 275 dollars: one month
- ✗ D. 1,100 dollars: four months

Arithmetic checked by code: yes. Sources: none (stable)

S155-F1-Q5 · question page 3255

ENT.CONT.05 · Apply it: budget a creator business

A sponsor pays 1,200 dollars once. What is a sensible use?

Answer: A. Set aside taxes, build the reserve, then invest

Plan the windfall.

- ✗ B. Ignore taxes: risky
- ✗ C. Spend it all on new camera gear that same week: risky
- ✗ D. Assume it repeats every month: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-F2-Q1 · question page 3256

ENT.CONT.05 · Handle the complications: gear temptation and slumps

After a great month, she wants a 2,500-dollar camera. Her average monthly profit is 500. What should she weigh?

Answer: D. Whether the camera will raise income enough

Return on gear.

- ✗ A. Buy it now, because one month was great: risky

✗ B. Buy two cameras: worse

✗ C. Borrow without a plan: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-F2-Q2 · question page 3257

ENT.CONT.05 · Handle the complications: gear temptation and slumps

Ad income drops 40 percent from 600 dollars. What is the new amount?

Answer: C. 360 dollars

600 x 0.6 = 360.

✗ A. 560 dollars: subtracted 40

✗ B. 840 dollars: added

✗ D. 240 dollars: drop amount

Arithmetic checked by code: yes. Sources: none (stable)

S155-F2-Q3 · question page 3258

ENT.CONT.05 · Handle the complications: gear temptation and slumps

A slump lasts 3 months. What should she adjust first?

Answer: B. Cut nonessential costs and lean on her reserve

Manage the slump.

✗ A. Spend more on new gear to feel better about it: worse

✗ C. Quit immediately: premature

✗ D. Stop paying taxes: unlawful

Arithmetic checked by code: not applicable. Sources: none (stable)

S155-F2-Q4 · question page 3259

ENT.CONT.05 · Handle the complications: gear temptation and slumps

She sets aside 25 percent of income for taxes (a practice assumption). Income is 1,600 dollars. How much is set aside?

Answer: A. 400 dollars

0.25 x 1,600 = 400.

- ✗ B. 25 dollars: percent
- ✗ C. 1,200 dollars: remainder
- ✗ D. 160 dollars: ten percent

Arithmetic checked by code: yes. Sources: none (stable)

S155-F2-Q5 · question page 3260

ENT.CONT.05 · Handle the complications: gear temptation and slumps

Which statement is accurate?

Answer: A. Budget cautiously, keep a reserve and track sources.

Plan for unevenness.

- ✗ B. Equipment always pays for itself.: not always
- ✗ C. Taxes do not apply to creators' online income.: they do
- ✗ D. Creator income is always steady.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S156-M-Q1 · question page 3262

ENT.CASE.12 · Apply a documented early decision: grow a useful list around what people ask for

According to the passage, how did it start?

Answer: C. An email list of local event notices for friends

Email list.

- ✗ A. A paid newspaper with printed classified ads: not stated
- ✗ B. A television show about San Francisco local events: not stated
- ✗ D. A mobile app for dating: not stated

Arithmetic checked by code: not applicable. Sources: case_craigslist

S156-M-Q2 · question page 3263

ENT.CASE.12 · Apply a documented early decision: grow a useful list around what people ask for

What did people start posting besides events?

Answer: B. Jobs and apartments

Expanded use.

- ✗ A. Nothing else: they posted more
- ✗ C. Only cat photos: not stated
- ✗ D. Only family recipes: not stated

Arithmetic checked by code: not applicable. Sources: case_craigslist

S156-M-Q3 · question page 3264

ENT.CASE.12 · Apply a documented early decision: grow a useful list around what people ask for

When was it incorporated as a company?

Answer: D. 1999

Documented year.

- ✗ A. 1975: not stated
- ✗ B. 1995: start of emails
- ✗ C. 2007: not stated

Arithmetic checked by code: not applicable. Sources: case_craigslist

S156-M-Q4 · question page 3265

ENT.CASE.12 · Apply a documented early decision: grow a useful list around what people ask for

Which lesson does this course draw?

Answer: D. Share something useful with people who asked, then listen

Useful and responsive.

- ✗ A. Ignore what users post: opposite
- ✗ B. Charge everyone before offering anything useful: not the lesson
- ✗ C. Buy a large email list of strangers first to grow fast: opposite

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-M-Q5 · question page 3266

ENT.CASE.12 · Apply a documented early decision: grow a useful list around what people ask for

Which statement about the Craigslist case is accurate?

Answer: A. It shows one path, not proof for every email list.

One story.

- ✗ B. It shows permission does not matter.: opposite
- ✗ C. It shows users never change a product.: opposite
- ✗ D. It proves every email list becomes a big company.: one case

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-B1-Q1 · question page 3267

ENT.CASE.12 · A neighborhood bulletin board

The first sheet of local events is like what?

Answer: B. The original email list of events

The start.

- ✗ A. A paid daily newspaper in print: no
- ✗ C. A tax form: no
- ✗ D. A store sign: no

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-B1-Q2 · question page 3268

ENT.CASE.12 · A neighborhood bulletin board

Neighbors adding notes about rooms and jobs is like what?

Answer: A. Users posting jobs and apartments

New uses.

- ✗ B. A competitor's ad on the board: no
- ✗ C. The owner deleting posts: no
- ✗ D. A government notice: no

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-B1-Q3 · question page 3269

ENT.CASE.12 · A neighborhood bulletin board

Adding sections for each kind of note is like what?

Answer: C. Growing the format around users' needs

Responsive growth.

- ✗ A. Charging money for every pin on it: not stated
- ✗ B. Closing the board: no
- ✗ D. Ignoring users: no

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-B1-Q4 · question page 3270

ENT.CASE.12 · A neighborhood bulletin board

"It was incorporated in 1999" is which kind of statement?

Answer: B. Documented fact

Recorded.

- ✗ A. A promise: no
- ✗ C. A rumor: sourced

✗ D. Course explanation: documented

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-B1-Q5 · question page 3271

ENT.CASE.12 · A neighborhood bulletin board

The bulletin board comparison is which kind?

Answer: D. The course's explanation

Interpretation.

✗ A. A contract: no
✗ B. A law: no
✗ C. A documented fact from records: no

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F1-Q1 · question page 3272

ENT.CASE.12 · Apply it: grow a list responsibly

Ana emails a weekly list of local craft fairs to 40 friends who asked for it. Readers start replying with booth swaps. What fits the lesson?

Answer: D. Consider adding a booth-swap section

Follow use.

✗ A. Ignore the replies: misses need
✗ B. Stop the list: premature
✗ C. Sell the readers' email addresses: violates trust

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F1-Q2 · question page 3273

ENT.CASE.12 · Apply it: grow a list responsibly

The list grows from 40 to 260 subscribers in a year. How many more?

Answer: C. 220

260 - 40 = 220.

- ✗ A. 300: added
- ✗ B. 40: start
- ✗ D. 260: new total

Arithmetic checked by code: yes. Sources: case_craigslist

S156-F1-Q3 · question page 3274

ENT.CASE.12 · Apply it: grow a list responsibly

The list grows from 40 to 260 subscribers in a year. What percent growth is that?

Answer: D. 550 percent

220 / 40 = 5.5.

- ✗ A. 650 percent: ratio
- ✗ B. 220 percent: count
- ✗ C. 15 percent: reversed

Arithmetic checked by code: yes. Sources: case_craigslist

S156-F1-Q4 · question page 3275

ENT.CASE.12 · Apply it: grow a list responsibly

Before adding strangers to the list, what should Ana do?

Answer: D. Let people join by choice with a clear sign-up

Permission.

- ✗ A. Copy a competitor's list: no permission
- ✗ B. Buy a list of addresses from a website quickly: no permission
- ✗ C. Add any email she can find: no permission

Arithmetic checked by code: not applicable. Sources: case_craigslist

S156-F1-Q5 · question page 3276

ENT.CASE.12 · Apply it: grow a list responsibly

Which detail is documented, not interpreted?

Answer: A. People asked to join the event emails

Recorded.

- ✗ B. Email lists guarantee companies: not documented
- ✗ C. Listening always leads to success: interpretation
- ✗ D. Every list should add jobs: not documented

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F2-Q1 · question page 3277

ENT.CASE.12 · Handle the complications: growth, spam and rules

As Ana's list grows, some readers post spam offers. What should she do?

Answer: B. Set clear posting rules and moderate

Protect usefulness.

- ✗ A. Allow anything to keep growth fast: harms readers
- ✗ C. Add more spam: worse
- ✗ D. Close the list immediately: drastic

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F2-Q2 · question page 3278

ENT.CASE.12 · Handle the complications: growth, spam and rules

Readers ask her to charge for job posts to reduce spam. What should she consider?

Answer: B. Whether a small fee fits readers' needs and her goals

Listen and decide.

✗ A. Nothing; fees are always wrong: not necessarily

✗ C. Ignoring them: misses feedback

✗ D. Charging every reader a monthly fee just to read: not asked

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F2-Q3 · question page 3279

ENT.CASE.12 · Handle the complications: growth, spam and rules

Someone says, "Craigslist started as email, so email lists always become companies." What is wrong?

Answer: A. One case does not prove a general rule

Avoid overgeneralizing.

✗ B. Email is illegal: no

✗ C. Craigslist never used email: it did

✗ D. Nothing, because it always happens that way: not true

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F2-Q4 · question page 3280

ENT.CASE.12 · Handle the complications: growth, spam and rules

Her commercial emails must include an opt-out and a valid postal address. Which address could she use for privacy?

Answer: D. A registered PO Box or private mailbox

Valid mailbox.

✗ A. A made-up address: invalid

✗ B. No address at all: required

✗ C. A friend's address without asking: improper

Arithmetic checked by code: not applicable. Sources: case_craigslist

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S156-F2-Q5 · question page 3281

ENT.CASE.12 · Handle the complications: growth, spam and rules

Which statement is accurate?

Answer: D. Serve people who asked and listen; results vary.

Learn the principle.

- ✗ A. Email lists should be built from bought addresses.: no permission
- ✗ B. One story proves a rule.: not true
- ✗ C. Users never change how a product is used.: they do

Arithmetic checked by code: not applicable. Sources: case_craigslist